FSN E-Commerce (NYKAA)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

Registered Office : 104 Vasan Udyog Bhavan | Sun Mill Compound | S . B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
August 16, 2022

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub : Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated financial results for the quarter ended June 30, 2022

Pursuant to Regulation 30(6) of the SEBI Listing Regulations , please find enclosed the transcript of the Analyst / Investor Conference Call held on Friday, August 05, 2022 with regard to the Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2022 .

The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Investor Conference Call – Q1 and FY 23 Results

Kindly take the same on record .

Thanking You.

Yours faithfully,
For FSN E -Commerce Ventures Limited

Rajendra Punde
Head – Legal, Company Secretary & Compliance Officer
Mem. No.: A9785

"FSN E -Commerce Ventures Limited Q1 FY 23
Earnings Conference Call"

August 5, 2022

MANAGEMENT : FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY E-COMMERCE
MS. ADWAITA NAYAR – EXECUTIVE DIRECTOR , CO-FOUNDER AND CHIEF EXECUTIVE OFFICER , FASHION
MR. ARVIND AGARWAL – CHIEF FINANCIAL OFFICER
MODERATOR : MS. GARIMA MISHRA – KOTAK SECURITIES

 Moderator: Good evening everyone. This is Garima Mishra from Kotak Securities. Welcome to FSN E -Commerce Ventures Limited 1Q FY '23 Earnings Call. We have with us the management team from Nykaa, represented by Ms. Falguni Nayar – Executive Chairperson, MD and CEO ; Anchit Nayar – Executive Director and CEO, Beauty E -Commerce ; Adwait a Nayar – Executive Director, Co -Founder , CEO, Fashion and Arvind Agarwal – Chief Financial Officer .

I will now hand over the call to Falguni for her opening remarks , following which we will open the floor for Q&A. Falguni , over to you.

Falguni Nayar: Welcome everyone . It's a pleasure and a delight to be with all of you here and really happy to present our results for the quarter . I think , I will begin with a short presentation , and I think through that I would prefer to give the commentar y. So, can someone project the presentation ?

So, I will just take few minutes to just , I think , this is a slide all of you are very much aware about macro indicators , which have had challenges of risi ng inflation and increasing interest rate, as well as maybe likely reduction in discretionary consumer spend . However , there has been also fair amount of positive noise in the area of GST collection , as well as some amount of demand recovery as evident in certain industry as well as purchasing , manufacturing PMI has been increasing , and our results have to be seen in the backdrop of this kind of challenges , mixed signals that are coming from the market , but they are clearly challenges , but at the same time Indian market doesn't seem to be as impacted as many global markets .

With that, really happy to announce our key areas of key numbers . So, I think happy to announce that our GMV for this quarter has come out at 2 ,156 crores , which is a 47% year-on-year growth , and the revenue has also grown at 41 % year-on-year and stands at 1 ,148 crores . What we are happy about is that the gross profit has shown stronger momentum than GMV and the revenue , and it grew at 54 % year -on-year and now stands at about 509 crores , almost 510 crores . EBITDA has grown , of course , from a year-on-year growth perspective at 71 % at 46 crores and now the EBITDA margin stands at 4% and profit before tax has come out at 8.3 crores , which is a 165 % year -on-year growth and a PBT margin of 0.7 %. PAT margin is coming out at 0.4 and PAT stands at 5 crores with a 42 % year-on-year growth . The difference is that many of the loss protection that we enjoyed in the company is running away and we end up now h aving to pay taxes in line with our profits .

Next . So, just talking a little bit more about the consolidated GMV growth over the last few years , as all of you are aware that our GMV growth has been strong . The year ended financial year '22 showed 71 % GMV growth and the current year growth has to be seen in light of that that on a strong year -on-year growth , we are continuing to deliver further growth and the Quarter 1 of financial year '23 has shown 47 % GMV growth and GMV stands at 2 ,156 crores .

Moving on to talk about this various business growth

 So, Beauty GMV , BPC GMV has grown at 39 % on a year -on-year basis coming out at 1 ,489 crores . This comes on the back of 49 % growth that we had seen in the last year . Fashion GMV is growing at 59 % year-on-year and now stands at 582 crores in the first quarter of financial year '23, and this is on the back of 168 % growth that we experienced last year .

And on the other businesses , you are all aware that last quarter was the first time we started splitting out our new businesses , which we call as our Investment Businesses . These businesses are also growing strongly and the quarterly growth for th is business is at 153 % year-on-year and the Quarter 1 number is 85 crores . These businesses are at an early stage exhibiting pretty strong growth in GMV .

So, talking about some of the business highlights , I'll request Anchit to come in on the Beauty side.

Anchit Nayar: Thank you very much . So, I'll quickly take you all through the BPC highlights for the Quart er 1 ended March 31st. So, five quick highlights . The first is Nykaa's launch of the Nykaa Everyday value proposition , which is a one -stop destination for all of our consumers to buy their everyday essentials when it comes to beauty and personal care . This is with a clear idea to increase the frequency with which our consumers interact with the platform .

The second big milestone for the quarter was our partnership with the Estee Lauder group of companies to bring the much -awaited and incredibly popula r global skin care brand known as The Ordinary into India and this brand is available on Nykaa. com as well as in Nykaa stores for sale in the Indian market .

The third is Nykaa did also launch multiple international brands besides the ordinary . These include brands such as Victoria’s Secret, as well as Pat McGrath Labs , which are well -known , globally -renowned brands . I think this is testament to the fact that despite already having 3,000 plus brands on the platform , we continue to find new and trending glo bal brands to add to the choice that we provide our consumers .

Fourth , with regards to our offline physical retail business , we managed to open eight additional stores this quarter . These stores were based in towns , cities such as Pune , Coimbatore , Delhi , Ranchi , Ahmedabad, and Calcutta . This takes a total store count to 112 stores across 52 cities as of June 30th, again, a testament to our commitment to the physical retail business and the opportunity that we see in the offline market .

Finally , during the quarter , during the first quarter of FY23 , we also hosted our Nykaa Summer Super Saver Days sale, NSSSD sale from the 3rd of May to the 8th of May, and this is a one of the flagship sales which we do in the quarter where we have incredible commerc ial support and offers from over 1 ,200 brand partners including both global and domestic brands . Next slide please .

 So, as we have always discussed , content remains a key driver of engagement , a key driver of education and awareness for our consumers , and we believe that it has a very positive impact in terms of conversion and therefore , commerce .

We create a tremendous amount of content across various platforms . These are just a couple of examples of some of the kind of high-quality content that was created by us in this past quarter . This includes content in collaboration with our brand partners such as on the left -hand side of the page , you will see live streaming tha t we enabled on our app with influencers , some grade A influencers , as well as with Nicola Kilner who is the Founder and CEO of The Ordinary . We hosted a live stream with her on our app as well as on Instagram .

We also partnered with the L’Oréal Group to create content for Cannes for their L’Oréal Paris's Fashion Week in Cannes and we partnered with them there to create content as well as commercial strategies around that .

And finally , we create flagship content such as the ones I just spoke about , but we also create a tremendous amount of content on a daily basis to help educate our consumers on product usage as well as on new launches . Next please .

Now coming to , so the first two slides I spoke cover mostly our multi -brand omni -channel retail business . Now I come to our House of Brands business within the BPC vertical . Today , the GMV of our own brands which now consists of roughly 10 brands in the portfolio stood at 166 Cr of GMV as of Q1 F Y23. This accounted for roughly 11.2 % of the total Nykaa .com, Nykaa GMV , Nykaa BPC GMV , and this was a 95 % growth year -over-year. So, strong growth from our own brands portfolio .

In terms of channel presence , our own

brands are available across multi , our own e -commerce channels such as Nykaa .com as well as Nykaaman.com. They are also available on their own direct -to-consumer websites such as dot andkey .com and earth rhythm .com , and a handful of them are also available on third -party platforms such as som e of the other horizontal marketplaces as well .

When I look at the offline distribution of our own brands , as mentioned earlier , they are available across our own physical store network . They are also available across general trade and modern trade outlets . To be precise , we have about 1 ,820 doors of general trade and 134 do ors of modern trade across 138 cities that carry some of our own brands . We have also expanded the distribution across other retailers through our e B2B Super Store app as well . So, really leveraging that new business to build out a distribution for our own brands .

Finally , there is also an expansion of some of our brands into international markets such as the UAE , Mauritius and the United States .

Just continuing on that with reg ards to our House of Brands , we had a variety of new launches , new product launches that came out of both from Nykaa Cosmetics as well as Dot & Key, Earth Rhythm and SKINRX . We had some very interesting new launches across categories whether it was makeup or skin care or hair care . And as we go deeper in terms of product availability and assortment , we also ensure that we are creating very interesting unique content to support our new launches and support our own brands through digital and non -digita l marketing campaigns , some of which you can see on the bottom of the screen . Next please.

Finally , just coming to some of the key metrics that we track for the beauty and personal care business , I will walk you through the slide left to right . So, on th e left -hand side , you can see that the total transacting customer base , trailing 12 -month customer base for BPC stood at 8.6 million for the quarter ended June 30th. This was a 33 % growth year -over-year.

If I look at the number of orders , 8.1 million ord ers were placed in the quarter on the platform which represented a 40 % growth year -over-year. If I look at the GMV , the business , the BPC segment closed at 1,488 crores of GMV for Q1, and this was a 39 % growth year -over-year.

Finally , average order value at the bottom of the page roughly in line with the previous quarters . So, I think what we are seeing is there has been an improved order conversion per visit over the past couple of quarters , and this coupled with our consistent average order values is I think a testament to the high quality of traffic which we are now driving to our platform in a very deliberate fashion . Next please .

So, with that , I will hand the deck over to Adwaita to take you through fashion .

Adwaita Nayar: Hi, everyone . I look forward to talking to you about the fashion business today . So, in terms of highlights, you know, the first thing that we are really excited about is that we have launched something called the Global Store , and this is a property where we bring some of the world's best brands to the country , and we are actively traveling the world to bring some of these brands . So, we have launched brands from Turkey , from Europe , and some of these are listed here on this slide . We do believe that this will be a strong way for us to differentiate our merchandise going forward .

The second highlight is we continue to be focused on building our House of Brands . So, these are our own brands . We like for these brands not to be considered private labels but trul y brands in and of themselves , and so this quarter we have added four more brands to our portfolio taking our account from 7 to 11 brands . As you will see later in the deck , this strategy is playing out nicely as our House of Brands are starting to contribute a

larger percentage of our overall business quarter -on-quarter .

Third , we continue to really try to focus on building a platform that is differentiated and very curated . We remain focused on wanting to continue to shift the conversation away fr om a discount mo re to trend . So, we built another very strong property this quarter called the First in Fashion where we are trying to build and bring the latest styles and the latest fashion from all the brands to our consumers first . A big metric that we track internally is what percentage of sales is coming from new season merchandise , and we do hear from our brand partners that this is a metric where our platform is over indexing versus competition .

 Fourth , we are starting to explore some offline event s and that will be a part of our focus going forward . We do believe that offline events are a great way to build brand , and this quarter we had one strong offline event where we again highlighted some of our interesting brands in Mumbai . With that, we can move on .

Content continues to be our focus . It's the same playbook that we have in beauty . On this slide , you can see that this quarter , we actually did a very strong TV campaign with Alaya who continues to be our ambassador . We brought Bhumi Pednekar on for Nykd , which is one of our own brands in the lingerie space , and I think that has been really accretive to the brand , and we continue to build very strong buying experiences on the website whether it's about teaching you how to buy the right bedding , whether it's about showing you and highlighting star design talent across the country , or whether it's teaching you how to style the latest look . With that, we can move on .

I do believe that fashion is the ultimate discovery problem . Fashion has so many products far more than beauty . So, how do you really show the right thing to the right person at the right time? And that remains a focus for us . Of course , content which you saw on the previous slide is a big part of helping you create the right discovery , but there is a lot that one can do on the technology side in terms of product features to create the right level of discovery , and that's what this slide shows here . So, for example , on the left , you can now tap, you know, looks and you can be told what are the products in that look which can help increase average bill size . Next , you know, we are integrating video and other content more strongly into the platform , and we continue to double down our service called Style Advice where we have stylists who give you advice on Whats App in terms of how you want to for any questions you might have in terms of your styling requirements .

Moving on, I briefly mentioned how the House of Brands portfolio is really starting to, you know, develop and tak e shape , and this slide focuses on that . On the left -hand side , you can see how the GMV coming from own ed brands has been steadily increasing , and in Q1 this year , it was 70 crores . And importantly , right below that in the red box , you can see how as a percentage of the overall Nykaa fashion business , owned brands are now up to 12 % up from about, you know, 5% or so a year ago on this date . But with every quarter we are seeing that this is rapidly expanding , and this is both a signal that these brands are working with the consumers , and it also does improve our gross margin profile for the overall fashion business .

On the right -hand side , again , I briefly mentioned , these own ed brands are not private labels . So, we do want them to have lives of their own , and here we talk about the types of ways we are distributing these brands . So, it's not just limited to the Nykaa platforms , but they all have their own D2C websites , and they also all list on , many o f them list on third -party platforms , and some of them even have offline presence whether it's Twenty D

resses , which is now live across
33 MBO channels or whether it's Nykd, our lingerie brand , which has 330 general trade outlets in over 70 cities .

 This slide just visually shows you the 11 brands that we are building and how some of them are being acquired , built internally and in, you know, which categories we are starting to comprehensively cover . We can move on .

Again , this just shows the pletho ra of marketing activities we are doing to build these private labels . Can proceed .

Perfect, s o, coming to some numbers , here we talk about just how the fashion business has been growing from a numerical point of view . So, on the left -hand side , you can see the trailing 12 -month customers . We are now at 2 million customers in terms of TTM , and this is up from 1 million, you know, the prior year 's Q1, and that's about a 99 % growth year-on-year.

In terms of orders , similarly , about 1.1 million orders this quarter which has grown at about 58 % year-on-year. I think an important point to note , which you can see in the text box right below that is that, you know, obviously , the order volume has improved . The AOV s have improved . Something that's not mentioned here , but I think it's really important to note is that our conversion rates across the platforms have improved very well , and that's why we are being able to just, you know, drive more orders from similar levels of visits .

In terms of AOV , which is the chart right below that , we continue to be proud of our AOV , which is at 4 ,300, and again , this is far higher than what we hear the market sees typically , and it's a mark of really trying to build something a bit differentiated a nd curated .

On the right -hand side , we can see, you know, here what we are trying to do is show you that our fashion business , which we present as a consolidated number , really is made up of two things : Nykaa fashion.com which is the platform , which is the app that some of you may have . And the second is something what we call Other Platforms , which is where we list fashion products both on Nykaa.com and also we list our private labels on many other third -party platforms and stores that I mentioned prior . But as you can see here , the Nykaa fashion.com business itself is growing at 74 %, and the Other Platforms are going at about 10 %, which is at the bottom , and overall in consolidation , fashion consolidated for Q1 was 582 crores , which is a 58% growth year-on-year from the prior Quarter 1 of FY22 .

And with that , I will hand over to Arvind to take us through the consolidated financial performance .

Arvind Agarwal: Thanks Adwaita, and good evening and big hello to everyone . Thanks for joining the call . I will take you through the financial performance in brief so that we have enough time for Q&A. Let me first talk about revenue growth for the quarter which is impressive growth at 4 1%. In fact, you can see that our trajectory of growth is better than last couple of quarters which was in the range of 30 % to 35 %, and that's coming at the back of all verticals showing good growth momentum .

 The core business of Beauty and Fashion is on steady pace of growth . At the same time , the new businesses have started picking pace and also because the retail business has delivered very good numbers this quarter , but that is also because of the base effect . So, these are the three factors due to which we have delivered 41 % revenue growth .

Talking about the gross profit margin , we have improved it sequentially by almost 70 b ps, primarily driven by improvement in advertisement revenue and a consistent trajectory .

In terms of EBITDA , we are reporting 4% margin , 38 crore , which is similar to last quarter , but 70 bps better year-on-year, and that's because Beauty business has improved its uni t economics and it has delivered better EBITDA , while Fashion

has maintain ed its unit economics . And we
have basically invested improvement in EBITDA from Beauty business into new businesses . So, it kind of balances out , and that's why the margin is 4% at EBITDA level .

If you look at the last chart , that's on profit before tax , and I will also explain you profit after tax . But PBT is something you can see that we are reporting 8.3 crore this quarter which is higher versus last quarter and much higher versus last year same quarter . So, some of the EBITDA improvement in absolute is also flowing down to PBT number .

Moving on, let me talk about few trends , and that's a blended number of key unit economics parameters here . Like I said , gross margin is a consistent trajectory . We are maintaining a good gross margin . In fact, we have improved sequentially by 70 bps. Year -on-year is some almost 380 b ps improvement , which is a factor of own ed brand share going up and advertisement revenue has shown improvement , and also because Luxe and Makeup category has also shown better traction this quarter .

If I talk about other costs like marketing cost is kind of flat , 12%. So, it's a line that we do very

measured decision . It's also a discretionary line . This quarter , in fact , we have done some brand campaign . We did not do it last quarter and despite that , we have maintained 12 %, which means that the underlying cost on digital marketing has come down , which shows some efficiency .
And talking about the fulfillment cost , it's showing a structural benefit , which is , so it's a sub 10% cost like . In fact, it has come down further to 9.1 % this quarter . So, because of the fulfillment network expansion that we explain ed during Investor Day in detail , it's having some unit cost advantage on a sustained basis .
And then talking about next line, which is employee co st, or maybe before that , I will talk about S&D line, which is green line over there in the last . S&D line is 4.2 %. We have published it for the first time as a separate line , and what I wanted to explain here that new business li ke eB2B, there is a lot of field staff recruitment that we have done , which shows up into this line . So, this line consists of selling commission on third -party platform and also the associates , beauty advisors , and field staff who are working on the gene ral trade , modern trade and e B2B business . So, because we started the scaling up eB2B only middle of last year , this line has shown increase , but it's flat versus last quarter .
 And finally on the employee cost line , it shows an increase from 9.3 % to 10 %. That's because we continue to hire ahead of the curve to invest into new growth verticals , and at the same time , this is also a quarter where increments take effect because the appraisal cycle kicks off from April . So, that is kind of a step up he re, but that will show a leverage over remaining quarters , because we get the scale for rest of the year .
Moving on, so this is a slice of how we track unit economics across business verticals . If you remember , we had done this split for the first time d uring our annual results . And we are trying to also maintain that disclosure even during the quarter results except that we are restricting it to contribution profit . And the reason behind that , we discussed this with our auditors and, you know, looking at the lines below contribution , especially the employee c ost, is more like a fungible resource that we use dynamically across verticals . So, it's very difficult to allocate it on a consistent basis quarter -on-quarter . And in fact , the CODM Falguni also revi ews and allocates resources fungible across business verticals . So, it's the right way to track unit economics up to contribution level .
So, if you look at contribution margin and if I first talk about the big picture or aggregate number , quarter -on-quarter it ha

s improved from 17.9 % to 19.9 %, almost 200 bps improvement . And
then if you look at BPC , that is where the most, you know, the biggest improvement is showing up from 20.7 to 22.9 . And that comes from these , all the lines that are li sted here . So, you can see that there is an improvement in gross margin . At the same time , there is also improvement in fulfillment cost . And also, there is small improvement even in the marketing line , 30 bps, and S&D is also showing 30 bps improvement . So, overall , it's a good healthy improvement in the unit economics of Beauty business .
If we look at Fashion , it has maintained or slightly improved its contribution profit from 4.5 % last quarter to 5.4 % this quarter . So, even Fashion conti nues to enjoy good unit economics . Of course , at an EBITDA level , it is still negative because it is in the investment phase where we are building capabilities and hiring people in technology functions and fulfillment function so that we can scale it even faster .
And finally in case of others , which is a combination of Nykaa Man and eB2B, we are at negative 30% contribution margin , 10 crore loss because S&D line which I spoke earlier , there is a big buildup there so that we can penetrate deeper in the coun try, and that will get leveraged over time. So, that's on the unit economics .
I will now move on to overall P&L, aggregate P&L. And since I spoke about quarter -on-quarter , here I would like to focus more on year-on-year numbers . So, just in summary , our revenue has grown 41 % year-on-year. If you look at gross margin , it has improved by 380 bps from 40.6 to 44.4, and rest of the lines which I explained as a trend , fulfillment cost has increased only by 12%. That shows that we are able to get b etter unit economics while we scale faster . We have incrementally lesser unit cost to spend . Marketing line is almost in line with gross profit growth , 52%. It's a very calibrated approach that we have there , but it's an investment into growth .
 Selling and distribution line has grown disproportionately , 149%, because like I said , we are hiring for GT, MT, and eB2B businesses . Employee benefit expense is 58 %. That is combination of two factor s. We have hired more people to build our new verticals and also on technology functions , and almost 38 % to 40 % of increase in head count is a big part of this cost increase , and the remaining is also because of mixed impact and also inflation which comes out of increments . But obviously , it gets leveraged over year, and like we had reported last year , we improved our employee cost to revenue ratio by almost 100 b ps.
And other expense is, you know, combination of over heads and technology expenses . So, that has also grown higher than the revenue growth rate because last year we had wave two, and it was kind of a low activity levels in the offices , but now we have expanded the office capacity and people are also coming back and traveling and overheads in general has gone up . But obviously , this cost , in the midterm , it will behave more like a fixed cost , and it should give us

some operating leverage as well .
Finally , on EBITDA , we are at 4%, 71 bps better than last year when it was 3.3 %. Talking about PBT, it is 8.3 crore versus 3.1 crore last year , so 165% growth . Some of the lines that you see in between , depreciation and amortization and finance cost, those are primarily driven by expansion into physical store network and also warehouses . So, the lease cost comes here as well as the CAPEX element comes into the depreciation line . And the finance cost has increased because there is a working capita l investment , which is because inventory led businesses are showing good growth and also because marginal increase in cost of financing after the repo rate increase , but still much better than two years back when we had almost 1

0% kind of cost . Now
it's trading around 7.5%. So, that gives us good profit before tax .
Finally on net profit after tax , it is 5.7 crore before consolidation of associate versus 3.5 crore last year , and you also see a line which is shar e in loss of associate , which comes out of the acquisition that we have made in Earth Rhythm . So, we are consolidating it as an associate number . So, 5 crore is the final PAT for the quarter which is 42 % growth year-over-year.
I will now pause and I will hand it over back to Falguni for remaining sections .
Falguni Nayar: So, talking about our new businesses , so I think we are quite happy that our SuperStore businesses continues to get fair amount of momentum on the GMV growth and the costs of doing that business in terms of the, you know, the people roll out that we need to create to reach about , we now reach about 100 ,000 retailers . And to do that , we are a t the end of the Quarter 1 of financial year '23, there were 45 ,000 transacting retailers and the reach is higher . And I think we are in 516 cities and we are investing towards that business .
So, we are happy with the control expansion that we are doing . There are almost 165 brands listed on the Super Store app and we are also doing development of technologies that allow us to manage our people who are doing this business and also help them support business development effort that allows them to sell more to the stores .
 So, I think this business is building out as per plan and we are happy with the GMV growth that is going on , but these are early days . But like everything Nykaa does, we are very focused on trying to get to the right unit economics and towards that , we are focused on expanding the Fulfillment center to increase its reach and penetration in such a way that the variable fulfillment costs of shipment , per shipment cost are under control . So, we are working on developing the right network towards that .
We are also making baby steps into international business where we want to take many of our owned brands in beauty and personal care area to countries like Mauritius . We have also done some listing in the Middle East on Noon.com in UAE and Nykaa Arabia Social Media handle was started and there are plans for more in the Middle East because we see it as an attractive market for our private labels including K-Beauty and also on Nykaa Natural 's, where we want to take our hair and bath and body ranges into the US through Amazon .com .
As far as the warehouse capacity is concerned , we are continuing to build a larger network of warehouses . In fact, there are now 30 fulfillment centers in 14 cities with a total capacity of 10.5 lakh square feet as of June 30th, 2022 , and we are continuing to expand this network in such a way that we are closer to our customers . The delivery timelines to the customers improve . The last mile delivery costs come down .
And we also reduce certain amount of air shipment and, you know, split shipment which were resulting in this kind of a, you know, longer shipment and as a result , higher fulfillment costs . If all of you re member about a year ago also impacted by COVID, our fulfillment costs were higher and over the last two , three quarters , we have had a concerted effort to bring them down . And these warehouse is an important part of that strategy towards that .
Moving on, you a re also aware of some of the acquisitions we have done in the first quarter . Earth Rhythm is basically a science focus ed beauty brand and we have invested about 41.7 crores for an 18.5 % stake , and we do believe that their research oriented and result oriented products are and especially because they are sustainable and it's an inclusive brand , and we do believe that this brand will have a lot of potential .
The second venture we signed off in the first quarter was Onesto Labs . Where, It is a joint vent

ure with a company where we are together going to produce a wellness brand . Nykaa owns 60% stake for a consideration of 3.6 crores . And Onesto Labs, with whom we j oined hands , will use their own expertise in creating ingredient -conscious products with the brand name Nudge and it will be addressing the nutricosmetics as well as the nutraceutical needs .
Third acquisition was KICA. Nykaa has acquired Kica, an active -wear brand for women for an aggregate consideration of 4.5 crores and through this acquisition , Nykaa aims to connect with the growing active -wear community of athletes and everyday fitness seekers with great variety and curation in this category .
 Next. So, that's the broad picture . I think if I may summarize the results before I open it up to question -answer is that I think given all the adversity that exists , I think we are happy with the

growth that we are experiencing and we do remain optimist ic about the quarter going ahead as we go into seasonally strong quarters . We also do believe that Nykaa has done a lot of hard work in optimizing its fulfillment costs and marketing costs and that benefit of that is already coming through .

Definitely the advantage and progress is more in more established business like beauty and in fashion , there's some more work to do . But even in fashion business , we do believe that we should be able to optimize our marketing cost and fulfillment costs further , and we will continue to work towards it . There is no guarantee , but I think Nykaa will continue to work hard towards it. And from our new business perspective , we are quite happy with the momentum we are seeing in the Super Store and in Nykaa Man, there is a rea sonable growth . And, you know, international is something where we are taking baby steps as I have always said .

What we remain most excited is the whole portfolio brands we have created both for beauty and fashion . We have been talking more about it over the last couple of quarters and sharing more information as like you can see , we have a number of exciting brands both in beauty and fashion space that are getting a lot of customer attention and acceptance , and we are really focusing a lot on rolling out those . And all of the channels are being used not just on Nykaa sales but also physical retail as well as GT, MT distribution . And if there is an opportunity to list on third - party platform , then sometimes we are considering that . So, with that , we also remain very , very excited about our House of Brand s strategy , which can pay big benefit going forward .

With that, I think that's all I wanted to share here . And I remain open to answering que stion - answers . The whole team is here to answer your questions .

Moderator: Thanks , Falguni. Anyone who has a question, please raise your hand and we will take you questions in order. Please limit yourself to maximum of two questions initially, so we can accommodate as many questions a possible

Falguni Nayar: Garima, I'll just come in one thing because I don't want to miss out . We also just cleared at the Board and we have announced to the exchanges that Nykaa is considering acquisition of a content brand called LBB and that announcement has been made . However , the definitive documents are in the process of getting signed , and it may take a day or two to complete those and report to , and then we will be again re porting to SEBI that the transaction is complete . Not SEBI, but exchanges.

Moderator: Noted. With that, participants can raise your hands , and we will take as many questions as possible . I see the first question from Sachin Dixit. Sachin, you can ask your question .

Sachin Dixit: Thanks, Garima and Thanks Nykaa team for giving us the opportunity. Congrats on the brilliant result. My first question is with regard to fashion . So, while I do appreciate that we are growing at roughly 20 % Q-on-Q

this quarter , but the growth still on a smaller base does not look as

 attractive . So, I just wanted to check is the reason for this is the competitive intensity as well as say Ajio Luxe coming into picture , Tata CLiQ Luxury also coming into picture ? That's my first question .

Falguni Nayar: Adwaita, why don't you answer ? Then I'd also like to come in in terms of our optimization strategy .

Adwaita Nayar: Sounds Good. I think, you know, to be honest , Sachin, and we are pleased with the growth in terms of quarter -on-quarter and year -on-year. You know, I think remain very focused on the positioning , remain very focused on the value proposition that we are trying to provide customers . Is it possible to grow faster than this ? Yes, obviously , but we are always trying to take the right calls from a marketing perspective . So, I think that's what even Falguni was alluding to in terms of optimization .

I think for us it's very important quarter -on-quarter to make sure that we are showing contribution margin positive , that we are continuing to set the business up for a trajectory which is going to be, you know, very clearly on the path of profitability in the near future . And so for that , we always take these calls on a month -to-month basis or sometimes, you k now, just focusing on getting the right cost structure in place , focusing on getting the right types of orders in place and for that you may see growth just, you know, we are not going to just grow at the cost of just growing . We will always be trying to k eep the bottom line in mind as well .

But, you know, I remain very bullish on the fashion space overall and every quarter that kind of bullishness is just increasing . I am very much drawn to just how large the market is . We are very much getting a lot of positive signals from our brand partners that we are becoming a very meaningful player in the ecosystem , getting a lot of positive signals from the customer which you can see in the, you know, conversion rate as well . So, overall , I think a lot of other metrics as well are giving confidence that the strategy is playing out well .

Sachin Dixit: Sure, yeah. Should I go for my second questions? So, on second question , I quickly , I do understand that the others category continues to be in investment phase . Can you please elaborate on the top line at least like the GMV to NSV fall, how is it happening and as well as the recognition of revenue in this category ?

Falguni Nayar: I think , Sachin , it's really early days . I think we just started reporting the GMV , and I think at this early stage , there are a lot of things to be built . So, if I may tell you there was a month or

two when our warehouses were just very full with, there was no place to take inventory and we had to give up on certain amount of growth for that one or two months, you know, and at this point we are rolling out new warehouses and stuff like that . So, I think really at the appropriate time, we'd be very happy to share . But I think at the moment , we just at least wanted you all to see that both the GMV and the costs are under control at some level . I mean , of course , it will be a loss -making business initially as we invest , but we wanted to share that with you so that the community has a good sense of, you know, the composition of our three big f ocus areas : beauty , fashion and new businesses .
 Sachin Dixit: Thank you. If a housekeeping question I can quickly squeeze in , on slide 28 and 29 , marketing expense is slightly different . Is it because there is some marketing expense that's being counted below contribution profit ? Or what's the reason for that ?
Falguni Nayar: Yes. So, for example , we do , do brand building expenses and they tend to be taken, we have decided to take it at below contribution level , because the businesses don't have co ntrol on those marketing spen

ds .
Sachin Dixit: Got it. Thanks.
Arvind Agarwal: So, that's correct . That's about 100 bps. So, you know, it's a corporate branding , which is why it is part of EBITDA , not part of contribution .
Sachin Dixit: Thank you.
Moderator: Next question is from Sachin Salgaonkar . You may please ask your question .
Sachin Salgaonkar: Thanks, Garima. Congratulations for a good set of numbers on revenue from Nykaa Team. I have two questions . There is a generic question on inflation . Clearly , the rising inflation doesn't appear to have had much impact on your overall revenue and GMV growth , and maybe it has to do with the higher or the high end of the consumers were sort of, you know, currently on the platform . The question out here is , how should one look at the impact going ahead when we end up adding incremental new customers ? And are we seeing a change in customer preference in terms of, you know, what kind of products they are buying in the current environment ?
Falguni Nayar: Anchit, do you want to take that first? Or should I take it?
Anchit Nayar: I can take it off with some color on beauty and then maybe Arvind and you can also add . So, yes, I think , Sachin , you are right . It's the inflationary pressures on consumer demand h asn't shown up in our numbers and nor in our consumer information that we track . It doesn't seem to have showed up in Q1. So, yes, maybe it is a result of the fact that our consumers are slightly more premium . That could be one of the drivers .
The second though is that we do believe that beauty as a category is a bit more essential and th an discretionary in the sense that a lot of categories such as skin care , hair care and other categories like that are daily essential items . So, we haven't seen co nsumers cutting back on demand for those categories . And you asked in terms of product , the kind of products we sold . So, I think the question maybe is a reference to down trading that we have also not seen really in our numbers , not in our mix of business .
So, we haven't seen though that impact yet . If it might come in the subsequent quarters , I don't think any of us have a magic ball to see what happens , but to us we feel our consumers are resilient . It is a category that seems to also be slightly more resilient to inflation . And yes, our consumers are slightly more urban than rural , and slightly more premium . So, that's , I'll stop there . That's on the beauty side . I will see if Arvind and FN have comment there.
 Falguni Nayar: I woul d like to come in and say that definitely the results are good in the backdrop of that's how I started that there were a lot of adversities . But having said that , could one experience better growth for both beauty and fashion should the adversity of some amount of inflation ary pressures and consumer sentiment not have been there ? Definitely , I think it is a what we call as an off season from a beauty and fashion consumption perspective , and with some early signs , which are not so bad . We are very optimistic about the season , which is over the next two quarters . So, let us remain optimistic , but that will truly show how the consumers perform .
Sachin Salgaonkar: Thank you. And my second question is on fashion . And while Adwaita did mention that the owned brands have started to contribute now 12 %, but when we look at the fashion gross margin on a QOQ basis , it appears to have been dipped from 47 % to 45.7 %. Any particular reason which has led to the dip in that margin ?
Adwaita Nayar: So, you know we think. So, technically Q4 has some earnings that we get from brands when we hit certain targets that they s et. So, it's sort of like turnover incentives . So, actually , if you normalize for that , we are seeing much more of a stable and steady margin profile . So, if one were to normalize for that , we are not seeing that sort of dip .
Arvind Agarwal:

That's correct . So, you know, March quarter is where we also look at our annual targets that we have committed to brand , and they give us some incentive address to that , which was recognized in Q4. Well, it's an annual phenomena and not necessarily to be accrued in every quarter . So, yes, pretty much stable gross margin in fashion as well .
Moderator: We have a next question from Percy Panthaki . Please go ahead .

Percy Panthaki: Hi, Am I audible? So, for many of the consumer companies both on discretionary and staples , we are nowadays looking at the three -year CAGR growths because of the base being disrupted by COVID etc. So, would you be able to tell us for the BPC GMV , what is your three -year CAGR growth for Q1 FY 23? And what it was for Q4 FY 22? What I am looking for is , is there any acceleration in the three -year CAGR growth ? So, if you can't tell me the exact numbers , that's also fine , but if you can give some flavor over whether the three -year CAGR growth accelerated in June quarter versus what you saw in the March quarter in the BPC GMV ?

Arvind Agarwal: So, maybe I'll come in . I think a three -year CAGR number quarter -on-quarter is pr obably not making so much especially in a business which has a seasonality . We had reported three -year CAGR as part of annual deck , and I think in BPC , it was close to 50 %. So, that was the three - year CAGR on FY19 to FY22.

Falguni Nayar: Percy, I know wha t you are asking . I don't have the number because we haven't looked at it . We can easily calculate that , but yes , you are right that there has been slight acceleration in the beauty BPC growth in this quarter .

Percy Panthaki: And what would you attribute that acceleration to ?

 Falguni Nayar: Honestly , like I do feel that the coming quarter can be even stronger . So, it's very difficult to say .

I think , if you look at the first , I mean , the last quarter , Jan, Feb, March , it was a very mixed quarter because I think the COVID incidence was very high . I mean , it was not very fatal or anything , but a lot of people had COVID, and there was some impact in January and February where a lot of things got postponed, you know, a lot of events got postponed if you remember . And I think so compared to that, you know, everyone is out and about . So, there is that, you know, opening up and people going to social events and work and all that leads to certain amount of consumption strength .

Anchit Nayar: I think to add to that, one is obviously macro , but the second is also just general commercial intensity from our brand partners, you know . So, obviously , we work with thousands of brand partners and, you know, they have their own budgets , their own constraints . So, I think basis, I think this is a quarter where , as I mentioned , we did do a big sale , the Nykaa SSSD sale. It's not our biggest sale , but it's a midsize sale that for which our brand partners contribute in terms of the k ind of commercial offers that they will participate with . So, I think as FN said, we have our biggest sale of the year obviously is in November . So, that's in Q3 and Q2 has our second biggest sale of the year which is our hot pink sale . So, yes, I think Q2, Q3 will, you know, and the rest of the year looks promising based on the commercial intensity of the calendar , let alone the macro tailwinds that we see .

Falguni Nayar: So, I think from what I understand , Percy, you want to try and understand removing all the seasonality , you want to understand whether the momentum is stronger . It is. And honestly , like there is not adequate , there's so much of COVID in different , different quarters, you know, and it has impacted in different ways . So, the clea r patterns are not emerging , but yes , there's a slight improvement in the growth.

Percy Panthaki: Right. My second question is on the other businesses . Could you give us an idea if you inte

rnally
have some kind of number as to the absolute losses that you are willing to tolerate in the other businesses ? As your business scales up probably , and I'm guessing ; I might be wrong . Probably , the percentage losses may or may not come down , but the absolute losses may increase for a while before coming down . So, is there a ceiling in terms of the absolute amount of losses that you are willing to tolerate ?

Falguni Nayar: We want to pursue a path to profitability like we've done in other businesses , which means that , first and foremost , the business should have ade quate gross margin . It's a B2B business . So, it cannot have the gross margin for a B2C business . So, that we must remember , and it needs to first r eign in its fulfillment cost structure , which also is currently just being put in place, you know .

So, I think current losses are not an indication of what we are ready to tolerate, you know . This is a business where we believe that there won't be too much of marketing costs or digital marketing costs , but that is replaced by feet on street costs , and the pro ductivity of those workers , and then the repeat customer business that they can get through their network are the two critical areas of success . And being only six to nine months of scale in this business , it's difficult to judge . I won't call it big scale , but just picking up . So, you know, while we will have guidance and we will manage it in a very kind of surgical way , I think , at the moment , it's difficult for us to give you guidance on this.

Percy Panthaki: Ok. That's all from me. Thanks and All the be st.

Moderator: Our next question is from Nihal Jam . Please go ahead .

Nihal Jam: Good evening. Am I Audible? A couple of questions from my side . First on the BPC side, while you did allude to, you know, there being a big sales , just wanted to understand that the number of sale days or activation was similar for this quarter versus last ? Or did you do higher number of sale da ys?

Falguni Nayar: No, I think , Nihal , it's very difficult to s ay that, but what we do are three big sales in a year , and they are in like there's a medium size sale in this quarter . There's a bigger sale in July to September quarter and the biggest sale is in October to December quarter in line with the Indian festive season . And in the past , in the Jan to March quarter , there were no significant sales .

Nihal Jam: Sure, Ma'am. But there were no sale which came in which was traditionally not slaughtered for this quarter for this year ?

Falguni Nayar: No. So, if you were to do year-on-year comparison , there would not be th at. That would not be the case . Year -on-year is comparable .

Nihal Jam: Sure. That was helpful. And the second question was on the fashion business . And you know, if I look at our number of visits or the unique visitors , now that as a number has stayed constant , whereas our conversions have only kept increasing quarter -on-quarter . So, is it right to assume at this point that, you know, this 16 to 20 million kind of vi sitors is our target set and our focus is only to increase conversion of the AOV from this very set ? And a related part to that is that there's been an improvement in private level . So, maybe the thought process on the fashion business is about, you know, maximizing the potential of these 20 million customers .

Falguni Nayar: I'll come in and then Adwaita can join . But I think the point is not , we are not making that statement for the long run . What we are seeing is that at different and this is the guidanc e we want to give also the investors that, you know, there could be periods when we may invest in upper funnel and there could be periods that we may decide to focus on middle and lower funnel to get more out of the customers who are anyway visiting us .

And I think we are looking at marketing as an optimization rather t

han us having to do and grow everything, you know, and I think conversion remains the key . And last quarter has been very focused on conversion both for beauty and fashion business and conv ersions have improved even for beauty business and also for fashion , and that will be the focus area for a while till we feel that yes , we do now need to consider . And it's not that anything stops . So, we continue to acquire new customers . We continue to acquire a new source of visit , but it's a relative

 importance of spends on each of the part of the funnel . With that, Adwaita, you want to come in?

Adwaita Nayar: No, I think you covered it perfectly . It's definitely not a blanket statement tha t we can make, you know, into perpetuity that we are happy with this number . It was more just we really wanted to focus on getting conversion up to a healthier level and from here , again , we can think about focusing on scaling the visits number . But I thin k, both our beauty and fashion journey has shown us over the last decade that there are just periods that the company in the website goes through where you focus on different metrics at different times , just reset new normals and then scale from there .

Falguni Nayar: And having said that , we are definitely doing a little more TV because we feel that that was also needed . So, you have seen that over the last two quarters .

Nihal Jam: Absolutely . The only reason I'm asking that was because it's been four qua rters since, you know, that number has stayed stable . So, you are saying that incrementally you still want to look at, you know, improving that number as well.

Falguni Nayar: Yes, we would . I think it's all a question of optimizing for the right mix . I think , the thing is that , like all of you are aware , there were a couple of quarters when the marketing cost had become very adverse . We are trying to reign in from those levels . That was also the time when the IOS reporting was a problem , and there were t hings that needed to be fixed . So, I mean , the quarter that has gone by has been improvement in marketing , digital marketing efficiency and with that, you know, creating a little more money to acquire new customers and to do some more, you know, broadband TV ads, not hugely expensive , but a little more, you know, getting the voice across to larger audience . So, I think there have been various strategies . And I think like Adwaita said, we tend to be more optimization focus and bring in various elements rathe r than see the need to do everything .

Nihal Jham: That's all. Wish you all the best

Moderator: Next , we have a question from Karan Danthi . Please go ahead . Karan , you can ask your question . There is no response . So, we'll move on to the next question from Vijit Jain.

Vijit Jain: Thank you, Garima. Hello, Can you hear me? Congratulations on the great set of numbers again. I have two questions . One, within the fashion business , I just want to understand , are we moving to an approach where, you know, the entire own ed brand obviously is an inventory model and all external brands will be largely marketplace model ? Is that the kind of thing we are doing there ? And in that context , just wondering the NSV to GMV ratio for the fashion business looks like it went down , right ? So, I am just trying to get a sense of what we are seeing there . That's my first question . And I'll just follow up with the second question .

Adwaita Nayar: So, I'll take both of those questions . So, in terms of, you know, as I have stated in previous calls , we have been a predominantly marketplace focused business . But yes, our private labels and our

 owned brands are working on inventory . But I wouldn't say that the split is just that black and white . There are definitely third -party brands as well that we would be willing and are exploring taking on inventory if it allows us to give a

better customer experience . So, in a nutshell if I had
to summarize , we will be predominantly marketplace , but we will also start taking some more inventory bets as and when it helps us, you know, provide the right customer experience .
In terms of your next question , the NSV to GMV ratio has worsened when you look at it year-on-year. Again , one thing I'd like to bring your attention to is Q1 of last year was a very unique quarter in the sense that it was, you know, sort of peak COVID as you might remember . And that was a time when returns across the whole industry were extremely low , and that's because a lot of customers were obviously not returning , and even us as retailers and brands were not really accepting returns because of the hygiene risks . So, off of that base , it's not really an apple s-to-apples comparison . I think the NSV to GMV ratio you see now is definitely a little bit more reflective of the market . That being said , our focus is very much on working on, you know, just any opportunity that we can find to just improve the health of that ratio , we continue to be very focused on .

Vijit Jain: Alright. Thanks, Adwaita. My next question is in the Beauty space , in general , with the partners , especially the local D2C space partners , are you seeing some kind of a slowdown for those partners specifically in India this year versus maybe last year or any change that you see in the behaviors overall ? That'll be great . Thank you.

Anchit Nayar: So, I think a short answer is not really . But so, I mean , I think the direct -to-consumer brands who have managed to create a niche for themselves last year are con tinuing to do well , and they continue to participate very actively on our platform . So, I can't speak for their participation on other platforms , but I think they value Nykaa's customer base , and they value the kind of business that they get on Nykaa . Obviously , it's very sticky and it's, you know, you have seen our average order values . You have seen the kind of consumers who shop on our platform . So, I can't speak for how they are participat ing broadly in the ecosystem , but with us , they continue to remain highly engaged . So, no changes there really, especially from the meaningful, you know, the larger, more meaningful , more established direct -to-consumer brands.

Vijit Jain: Thank you so much. If I can sandwich in one last question from my side , in just the other categories , do we have any marketing spend at all for e B2B or, you know, in that split eB2B is mostly reflected in selling and distribution expenses ?

Falguni Nayar: I don't think we got your question clearly . You are saying that all selling and distribution is only eB2B. No. There is Nykaa Beauty Private Label , which also has on contract, you know, they have on contract beauty advisors , which come in there , as well as some of our warehouse on contract staff comes in there . Actually , our S&D definition right now does not include the say employees working in our stores . So, it doesn't include a certain staff in warehouse that may be on our roles . Maybe we will com e in future with a more comprehensive, you know, definition that can be comprehensive . Right now it's off r oles for sales and distribution , and it also includes when we sell on third -party platforms , the commission that we give there .

 Arvind Agarwal: So, basically, all variable head count is in S&D and al l sales head count is in employee expense .

Vijit Jain: Thank you. Actually , the first part of that question was , is there any marketing spend you require for the eB2B business at all ?

Falguni Nayar: Right now we are not spending . I think when we can afford to spend , we will spend .

Vijit Jain: Thank you. Those were my questions. Thank you so much.

Moderator: Next question we have from Ankit Agarwal. Please go ahead .

Ankit Agarwal: Yeah. Thank you

for the opportunity and congrats to Team Nykaa for this amazing results. My question is do we have any plans for ONDC ? Are we looking to participate in this ?

Falguni Nayar: At the moment we don't have plans .

Moderator: Next question we have from Siddharth Mehra. Please go ahead .

Siddharth Mehra: Thanks for the opportunity. My first question is generally on this growth aspect . If I look at the frequency of ord ers placed by each customer across your BPC and fashion, do you think there will be scope to improve that even further or probably it is largely at the levels where you would actually want ed to be ?

Anchit Nayar: Sorry . Are you talking about frequency of or ders on BPC?

Siddharth Mehra: Yes. BPC and fashion both .

Anchit Nayar: So, maybe I'll take BPC first. So, yes, I think it was one of the business highlights which I had pointed out on one of our slides which is Nykaa Everyday . So, there is a concerted effort on our end to increase the basket size but also increase the frequency with which our existing customers shop on the platform . So, I think , predominantly , makeup and premium skincare have been the categories which have over indexed for us , and we are market leaders there .
But we also want to start selling a lot more everyday skin care , hair care products to our consumers like shampoos and shower gels that are consumed on a much more frequent basis .
So, we think it could have a , because ba sically our consumers , we want them to interact with us more frequently . It's also a great way for us to acquire new customers to Beauty through some of these other non -premium skincare , makeup categories . So, we think that's the big push on the on the bea uty side .

Adwaita Nayar: I'll jump in on fashion . I think , I absolutely feel that there is still a ton of potential to expand the orders per customer in a year . I will say that if I really think about the merchandise that we have today , we are probably at 60 % of where we need to be , 60, 70% of where we need to be . Both in terms of category completion , but also in terms of price point , I do believe that there are opportunities and pockets of price point that we need to get into without diluting our positioning Page 21 of 28 and both those things will allow us to increase our repeat behavior in a pretty dramatic way I believe .

Siddharth Mehra: Got it. And in terms of , again , in terms of the channels specifically for fashion , like you said (Unclear 01:06:38) , you are exploring multiple other options in terms of retailers and in terms of third -party channels . So, overall , if you look at the channel mix , probably , say, three four years down the line , any idea about how will it look compared to currently where you are ? And will that have any sort of impact on profitability ?

Falguni Nayar: I'll com e in on that . I think basically for fashion brand , we do believe that keeping them or any brand, you know, I think in cosmetics we started calling our brand Nykaa. So, we didn't want to share that name with other e -commerce platform , but I think most of the brands benefit by being more widely available in physical retail as well as in l arger , wider channels of distribution . And I think that if you were to look at brand 's own objectives of being more well established , it depends on the type of brand also , but for most brands , it may make sense to be more widely distributed . And sometimes the wider distribution does come at a slightly inferior unit economics from that channel because those are not Nykaa owned channels , and the unit economics of Nykaa channel is better .

But I think we are looking at our business from a multi -brand retailer perspective . So, a multi - brand retailer also benefits from a lot of like there is a lot of brand proliferation in beauty and fashion . So, many , many brands are going to come . So, that doesn't mean that, you know, it doesn't

have to be all maximized to our own brands . So, we are trying to do what is right for both. We are trying to do what is right for the multi -brand retailer , and we are also trying to do what is right for the brand .

Siddharth Mehra: And so will it be fair to say that in BPC also we might explore some of these things or will it be limited to fashion on ly?

Falguni Nayar: Yes, we already do like , for example , our cosmetics as well as K-Beauty are retail ed in lifestyle stores in retail , and they are increasingly being retail even in GT, MT through our eB2B distribution .

Moderator: Next question is from Vivek Maheshwari . Please go ahead .

Vivek Maheshwari: Hi, Good Evening. My first question is , if I look at your fashion AOV , for the last eight qua rters, it has consistently been moving up . So, one is that, you know, how that is possible ? Is it the supply side driver ? Is it the, let's say , the portfolio m ix? How are you ensuring this is moving up? And second is what is the sweet spot over here ? And if I just compare it with , let's say , the BPC side of things , that number has yoyoed in the last eight , nine quarters . So, how is this possible that, you know, it is just moving up one way ?

Adwaita Nayar: Ok. So, I can take that . I think a couple of things . I do feel that there's a little bit of a category mix story here . Also fashion is a very young business , but in the last two -and-a-half, three years Page 22 of 28 or so since we started , in the early days , we were selling a lot more of just accessories and linge rie which are, you know, cheaper products . And as that cate gory mix has shifted more to apparel and Indian wear and western wear, you are seeing the AOV climb .

The second trend that we are seeing is obviously the basket size is increasing . So, the people are just buying more items per cart . And again , as we continue to add category and add merchandise to my, you know, the previous answer I gave , again , you can expect some ABS movement , average bill size movement here . So, it's a category shift . It's a number of items in cart movement , and it's us also being, you know, quite focused on the positioning , and AOV is something that I am quite focused on holding as long as I can .

Falguni Nayar: Also very consciously , we are not going to the lower end of t he market in terms of assortment . So, there is the lowest like one -fourth price point assortment that we are consciously not bringing to our platform .

Vivek Maheshwari: Sure. But, you know, if I look at let's say , second quarter or first quarter F21, that number was about 22 , 23 hundred , which has jumped up to about 3 ,700. Where do you think this number then settles at ? Are you happy with where it is right now or it moves up further ?

Falguni Nayar: No, I think there was initial , I don't know if you're aware , but we had launched our fashion as a pop-up on the Beauty website where very different items used to sell like mostly because they are the buyers for beauty and our whole thought process was that fashion discover y needs to be done differently . So, on the beauty , much lower AOV s used to be there , and we decided to de - emphasize that business , and we have been de -emphasizing the last three , four quarters . So, benefit of that has come partly in AOV, though all of it c annot be explained by only that . But it's a combination of some of this . There is some more AOV to gain , but we are not really working on an AOV gain. AOV gain is just indicative of the fact that the business is healthy and there is a choice that customer is making of buying a differentiated product on our website . But as we go larger and larger , there could be some amount of AOV dilution .

Adwaita Nayar: And I think just to top that up, you know, I think great that Falguni gave you a context of wh ere it started . And so that's why you saw that sharp jump in the early months ,

but now, you know, the last couple of quarters which are more stable in terms of where bulk of the business is coming from , which is that Nykaa Fashion app, I do think we'll see this AOV sort of steady now for a bit, and there will always be pressures pushing the AOV up which is, you know, people adding more things to their car t.
But there wi ll also be pressures pushing the AOV down , which is that as you are acquiring more customers , you are obviously not just getting, you know, the top premium customers . So, there will be pressure both up and down , but I think for the foreseeable future , we will just be trying to hold this .
Falguni Nayar: Like we have not emphasized because of even catalog also , there's an execution thing . So, we have not focused on categories like just T-shirts and, you know, as we get more and look more and more like overall market , definitely avoiding the very low price point , it may emerge little differently, you know .
Vivek Maheshwari: Interesting. Ok. The other question , Falguni, is with the tough and tight liquidity conditions right now in the market , are you seeing that as an opportunity to , let’s say, you know, acquire brands , the early stage D2C s? Or are you getting more offers given that you have a focus on House of Brand s strategy and your own ed brands ?
Falguni Nayar: Yes. I mean , you are aware of all the acquisitions that we have done and of course , there could be more . But I think we are very thoughtful about what we want to add to our portfolio , and we are not looking at ourselves basically as a fund who wants to invest for a gain and that value of the investment we make . I think we are very carefully evaluating that is this a brand t hat can be part of our brand ? How is the brand portfolio ? And does it bring something incremental ? This doesn't mean we may not have two brands in the same segment , like Nykd and Kica have both sports wear. But I think , basically , a brand has to come in wit h a more of a strategic objective rather than just because you want to ride it .
Vivek Maheshwari: Got it. And last question if I may , Falguni, the other point is, you know, your presence now , let's say, on Amazon or your Amazon .com or let's say , expansion into international geographies , what is the thought process ? Or let's say , what is the right , what is your right to win that you see, you know, which will make you successful in those markets ?
Falguni Nayar: Well , I mean , it will be basically the brand . I mean , we are doing this only for the brands that we own and if our brand has something to appeal to a certain set of customers , then it can succeed . So, we do have brands like K-Beauty which we do believe can do well in the international market . We also have a certain bath and body range that can do well or sometimes it could be brands that focuses on Indian ingredients that may do well . There are a lot of ingredient -led brands that are doing well in the US market .
So, these are all baby steps b eing taken right now . These are early days , but I think there is definitely one thing we are seeing globally , that global consumer is looking at interesting brand from different countries . And there is a belief and Anchit can talk a little bit here , but there is a belief that some of the most successful brands of the future will come out of India . Anchit, you want to say something on that, with Beauty&You experience.
Anchit Nayar: Yes. Some of you might have read about the new venture which we are doi ng in partnership with Estee Lauder 's New Incubation Venture , which is kind of their venture capital arm out of New York . So, we are launching a program where we will identify , we will accept applications and then identify brands early on in their journeys being built in India that are truly unique and that can potentially carry the , what we like to say is carry the flag

of Indian beauty globally . You know, we have seen Korean beauty do incredibly well , Japanese beauty do well , French pharmacy beauty . So, we do think that it's time for us to identify the next set of Indian brands who will go international and, you know, we have great traditions of beauty in India including Ayurveda that we think could be a big benefit to the global markets . So, we are looking to identify the next set of brands who we can help foster , mentor , fund and then take them globally . And that's in partnership with Estee Lauder.
Vivek Maheswari: Got it. Thank you and wish you all the best.
Moderator: I'll come in with a question o f mine here . If we see your growth plans , essentially , we can divide those into two , right ? You will need investments into your organic strategies, you know, retail store expansion , warehouses etc ., plus also invest into inorganic strategies , brand acquisi tions etc. So, for the next two or three years , how well capitalized do you think you are in terms of all the cash flows that you generate from the co re business and the investments that you need to make on the other side to fund this growth ?
Falguni Nayar: I think for a company like ours, you know, efficiency of digital marketing and marketing efficiency determines a lot of our profitability , and also there is a balance between growth and profitability . And at any point in time , if we were to reduce t he customer acquisition ambition , we can become quite profitable .

So, I think generating enough resources for our ambition , if they were to exclude any major acquisition , I think most of the smaller needs of our own CAPEX as well as any small acquisition that we may want to make or fund couple of businesses that we are very carefully choosing that their balance vis -a-vis what our ability to fund those businesses is, you know, we are not someone who's entering XYZ business without considering that can be f unded, you know, from our internal resources .

So, I think all this is balance , and our efficiency on marketing determines everything . And there are periods when we could if there is not adequate efficiency in marketing , we could compromise on our growth of customer acquisition . It's a balance . So, we feel confident that we can manage all of this .

Moderator : We will take our next question from the line of Jai Gandhi . Please go ahead .

Jai Gandhi: Hi, Am I audible? Thanks for this. So, this is on advertisement revenue . I just want ed to understand given that you are a platform , is there a balance you would like to tread when it comes to ad revenues you earn in each category because beyond a point it may hinder experience , right ?

Anchit Nayar: Yes. So, look, we don't have a number target , but you are right . We always think about consumer experience first . So, to give you a sense , today our advertising dollars that we generate on the Beauty platform is predominantly for, you know, on -site, for example , home page banners and, you know, some social , we sell some assets on social media , but mostly it's on site and mostly on home page .

So, we are not really and we are not monetizing search . We are not monetizing many , many various landing pages and listing pages . So, I think Amazon and others, you know, other horizontal marketplaces have monetized their inventory and their assets to a much greater extent

than we have . So, we have been very mindful of consumer experience and because of that we have stayed away from certain things . So, we don't think , yeah, we think our ad revenues today where they are , we are very comfortable with the consumer experience .

Jai Gandhi: Right. But if it still is a sizeable portion , if I consider that as part of your profitability , so in the sense that in the backdrop of a tough macro , wouldn't a drop in advertisement revenue kind of have a sizable veto on profitab

ility ?

Falguni Nayar: I think we are not even scratching the surface on what potentially is possible because all of these platforms convert, you know, I mean , whatever percentage they convert on unique customer or even on total visits is very small . So, basically , the eyeballs you have is so high and conversion is best on platforms like ours where for relevant brands , and we only give our ad platform only to the relevant brands on the platform . We won't even give ad to a brand that doesn't sell well on our platform , even if it technically is a beauty and personal care brand .

So, in many ways , both our advertising and sales are quite integrated , and we don’t see, and what we do is very small part , if you were to look at entire audience of brands that we have . So, yes, there could be an individual brand partner related issues where they may choose to not spend as much in a year or so because of their own reasons , but I think at the industry level , that won't happen .

Anchit Nayar: And I think just to add to that , I think t here is probably a shift, you know, I think a lot of beauty brands are looking to find more efficient channels of marketing . So, you know, obviously , initially , there was a big switch from non -digital to digital marketing and now from, you know, Google and Facebook and other digital marketing channels to more platforms like ours whereas FN said, you can see, you know, the conversion can be immediate and, you know, the channel for the conversion is the same as that for the advertising . So, I think we are just scratching the surface . There is a lot more we can do . We have been very selective in who we even sell advertisement stake to at this point .

Jai Gandhi: Also on the fulfillment givings , especially in BPC, I just want ed to understand where are they coming from ? Is it that the order density at the receiver end, at the consumer end is increasing or?

Anchit Nayar: You are saying that's you are asking about the efficiency and fulfillment ?

Jai Gandhi: Yeah. Yeah.

Falguni Nayar: I think Arvind can give this answer

Arvind Agarwal: Yeah. Actually , it is primarily coming because we decided to go closer to customer . So, we are able to , let’s say , reach within 300 kilometer radius of customers , but it is not as simple as that . It also requires our supply chain to be adjusted and realigned such that we can replicate the inventory closer to customers . So, this is what we do as a strategic project las t year . Due to that , our order to delivery has also improved . So, we are delivering faster , but also our air shipments

have come down , and our unit cost per or rather the freight cost per shipment has also come down . And that's quite a healthy improvement in unit economics . But yes, there is a potential of, you know, scale efficiency even further .

Jai Gandhi: Right. So, I just want ed to try to understand you versus a horizontal or, you know, any other platform who has relatively more order dens ity at the consumer end . I am assuming and correct me if I am wrong . We perhaps as a vertical player won't be able to ever match that order density .

So, our fulfillment cost per order is likely to be relatively inferior .
Falguni Nayar: Absolutely . I think when we hear about like really hyper local delivery , I don't think or if basically our number of items in a cart would be four -and-a-half to five or sometimes higher , so I think when a horizontal tries to match it even working with the brand partner directly , I think it's very difficult because you're going to anyway split it into five orders .
Jai Gandhi: And the last question if I may ask , I just want ed to understand the gap between NSV and revenue from operations in the other business ? So, what is that gap signify ?
Arvind Agarwal: I will explain . So, that others comprises of Nykaa Man and eB2B. And you know, the mix is changing and eB2B

is going faster which is the in ventory led model , so which is why NSV is growing faster than GMV in this quarter . The gap is similar , right ? The definition of NSV is that it's net of returns , taxes and cancellations .
Jai Gandhi: No, I was saying gap in NSV and revenue from operations .
Falguni Nayar: I think that is because, you know, in fashion , the difference between NSV and revenue from operation is quite large , whereas in beauty it's not much large . So, the mix also impacts it . And in other business also , there is a Nykaa Man, which also has a mix of beauty and fashion , and that m ix can impact it . But like Arvin d said, all B2B is again inventory led . So, our overall consolidated business is a mix of both marketplace which is only where the gap between NSV and revenue is very large and also beauty , which is where the gap is not very large . So, this is the thing . That's why we started giving all the parameters on NSV so that people can compare margins , fulfillment costs and marketing costs on NSV.
Jai Gandhi: Right. There is no ad revenue in the other business part , right ?
Falguni Nayar: There is some like , in fact, NykaaMan.
Jai Gandhi: NykaaMan.
Arvind Agarwal: Yes. There's a small component .
Falguni Nayar: And even B2B business does intend to earn ad revenues .
Moderator: Next question is from the lin e of Karan Danthi . Please go ahead.
 Karan Danthi : Hi Falguni. Hi Anchit. Hi Adwaita. Many congrats on the results. I have two questions . The first was on how you are planning for fulfillment capacity this peak season ? We have seen in some other countries of the world, you know, Amazon specifically where there was quite a large shift in consumer behavior and they sort of misjudged, you know, how much fulfillment capa city they would need , and since they have readjusted successfully , but there was a misalignment . So, I am just curious kind of how you are thinking about approaching, you know, this festive season ? And the second question was, you know, around market shar e. I think India is experiencing unique dynamic where a very few number of companies have gone public .
Moderator: Karan seems to have dropped off . Would you anyway want to answer the first question that he asked ?
Falguni Nayar: I think on the first question is that yes , we want to continue opening . We are moving from what we used to call as a regional warehouse strategy to more of a local warehouse in the sense that in most of the large states where we have large demand , we may now support a warehous e in that state so that, you know, all the last mile delivery within the states are a short distance like Arvind spelled out . So, towards that early beginning . So, I think we must have ruled out three , four warehouse towards that , and there are more that w ill happen . So, we are definitely investing ahead of time .
Arvind Agarwal: Yes. And generally , we build our capacity . So, we have supply chain forecast basis that we build our capacities ahead of the curve , ahead of the season . And there is a cycle of six months that we follow and try to also improvi se the forecast over time as we learn from the consumer trends .
Moderator: In the interest of time , we have time for one last question from the line of Sanjay Bhat . Please go ahead .
Sanjay Bhat: Hi. So, just a couple of questions . One is would you be able to help us with the restatement of 0.4 million transacting users in Beauty this quarter ?
Falguni Nayar: Oh, I didn't understand the question .
Sanjay Bhat: So, in your deck , in the last slide where your transacting users have in last quarter , it was 8.4. It is now 8. So, there has been a comment that these numbers have been restated . So, would you be able to help us where this restatement came from ?
Falguni Nayar: Arvind, do you want to answer that? On Beauty?
Arvind Agarwal: I think , it's NykaaMan, which was

sitting in BPC until we separate it out and now we show it as part of others .
Sanjay Bhat: And for Beauty , additionally , the net revenue is higher than the NSV . Is this the ad revenue which is sitting or what explains this gap ?
 Falguni Nayar: Yeah.
Arvind Agarwal: That's correct . So, it includes both . NSV includes only product sales whereas revenue also includes services income such as the ad revenue .
Sanjay Bhat: Ok. Thanks a lot, and all the best.

Moderator: Well , that was the last question we have for today . I thank Nykaa's management team for the time and for all their clarifications . Thank you everyone for joining and hope you all have a good weekend .
Anchit Nayar: Thank you, e veryone.
Falguni Nayar: Thanks, everyone
Adwaita Nayar: Thanks
Arvind Agarwal: Thank you, Garima. Thank you so much . Thank you, everyone for joining.

Call: Nov 2022

FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
November 07 , 2022

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub : Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated financial results for the quarter and half year ended September 30, 2022

Pursuant to Regulation 30(6) of the SEBI Listing Regulations , please find enclosed the trans cript of the Analyst / Investor Conference Call held on Tuesday , November 01, 2022 with regard to the Una udited Standalone and Consolidated f inancial r esults for the quarter and half year ended September 30, 2022.

The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Investor Conference Call – Q2 and FY1 FY23 Results.

Kindly take the same on record.

Thanking You.

Yours faithfully,
For FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

____
Rajendra Punde
Head – Legal, Company Secretary & Compliance Officer
Mem. No.: A9785

FSN E -Commerce Ventures Limited
Q2 FY23 Earnings Call

November 01, 2022

MANAGEMENT :
MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , FSN E-COMMERCE VENTURES LIMITED
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY E-COMMERCE
MS. ADWAITA NAYAR – EXECUTIVE DIRECTOR , CO-FOUNDER AND CHIEF EXECUTIVE OFFICER , FASHION
MR. RAJESH UPPALAPATI – CHIEF TECHNOLOGY OFFICER
MR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER , NYKAA DISTRIBUTION & NYKAA INTERNATIONAL
MR. VISHAL GUPTA – EXECUTIVE VICE PRESIDENT , BEAUTY OWNED BRANDS
MR. ARVIND AGARWAL – CHIEF FINANCIAL OFFICER
MS. SUNITA SACHDEV – IR & STRATEGY

MODERATORS :
MS. SHEELA RATHI - MORGAN STANLEY

Moderator: Ladies and gentlemen, good day and welcome to FSN E -Commerce Ventures Limited 2 Q FY 23 Earnings Conference Call , hosted by Morgan Stanley India Company Private Limited . At this moment, all pa rticipant lines are in the listen only mode . Later, we will conduct the question - and-answer session, at that time you may click on raise hand icon from the toolbar to ask the question. Participants connected via telephone call may enter * and 1 on the telephone keypad to ask a question. Please note that this conference is now being recorded. I now hand the conference over to Ms. Sheela Rathi - India Consumer Analyst at Morgan Stanley. Thank you and over to you, ma'am .

Sheela Rathi : Thank you very much , Inba. Hello everyone and on behalf of Morgan Stanley, I welcome you all to the FSN E -Commerce Earning Conference Call. Thank you very much Nykaa t eam for giving us the opportunity to host you all for the 2Q FY23 Earnings Conference Call. Without any further delay, let me hand over the call to Ms. Sunita Sachdev - IR and Strategy to take the call forward.

Sunita Sachdev : Thank you Sheela . Good evening everyone and welcome to the conference call. We will be covering this evening the results for the quarter ended 30th September 2022. On the call with me from FSN E -Commerce Ventures Limited is Ms. Falguni Nayar - Executive Chairperson, MD & CEO; Mr. Anchit Nayar - Executive Director and CEO, Beauty and E -Commerce; Ms. Adwaita Nayar - Executive Director, Co -Founder & CEO, Fashion; Mr. Vikas Gupta - CEO, eB2B and International; Mr. Arvind Agarwal - our Chief Financial Officer; Mr. Vishal Gupta - Executive Vice President, Private Brands and Mr. Rajesh Uppalapati - Chief Technology Officer .

We will start the presentation with Falguni sharing an overview of our performance in this quarter. Before we get started with presentation , I would like to draw your attention to the disclaimer for good order. With that over to you, Falguni .

Falguni Nayar : Thank s Sunita and good evening everyone. Thank you for joining us on the call and it is always a pleasure to interact with all of you. I will begin with a short presentation and we will be happy to take questions after. Our GMV for the quarter is at Rs. 23.46 billion which has recorded 45% year-on-year growth. Revenue has also grown at 39% year -on-year and it now stands at Rs. 12.3 billion. We are happy to report our EBITDA growth which has more than doubled year -on-year at Rs. 611 million achieving an EBITDA margin of 5% for this quarter. Profit before tax is at Rs. 88 million and profit after tax is at Rs. 52 mi llion.

Our Beauty GMV has sustained growth at 39% on a year -on-year basis and the Fashion GMV has grown at 43% on a year -on-year basis. Visibility to business growth is strong , despite consumer environment normalizing as we have gained from our omnichannel presence. Our new business delivered Rs. 1.2 billion in GMV contribution which is heartening. These are early - stage businesses, so we believe there is strong growth to sustain.

Just going one level lower to the break up of GMV across businesses. Consolidated GMV as I mentioned earlier grew 45% year -on-year. This is truly a commendable performance from our

team and testament to the investment we have built into deeper technology and capacity. Our Beauty GMV grew 39% year -on-year. O ur online and off line presence in beauty has delivered strong growt h momentum while gaining from efficiencies across the value chain. Our Fashion GMV grew 43% year -on-year as we continued to stay committed to investing and building a unique customer proposition in fashion aided by investment in a differentiated product, collaboration with global brands and expansion of breadths and depths of private label portfoli

o.

As you have seen for a few quarters now, we separately provide what we call the "Others" categor y which are new businesses that we are currently building and that currently include early stage businesses like eB2B business as well as Nykaa Man. Th ese business es GMV grew by 240% year -on-year and now contribute to Rs. 1.1 billion in revenue . Overall , another quarter of yet another strong growth in revenues along with profit delivery.

I also wanted to take this opportunity to introduce you to all, the recent addition to Nykaa family. It gives us great pride to introduce our new Chief Technology Officer, Mr. Rajesh Uppalapati as well as our other members, our Head of Private Label Bra nds, Mr. Vishal Gupta and our Head of eB2B and International Business, Mr. Vikas Gupta. So, Rajesh brings over 2 decades of technology experience with proven record of delivering successful world -class large scale performance -critical software projects sup porting multis tage businesses. He has worked with Amazon for about 20 years across different roles and geographies with increasing responsibility. Prior to joining Nykaa, his immediate previous employment was with Intuit India. I would request Rajesh here to share a few words with our investors.

Rajesh Uppalapati : Thanks, Falguni for the warm welcome and the rich introduction. Good evening. As Falguni mentioned, I have been in the software industry for more than 20 years . We developed algorithms and built large scale distributor system for Amazon 's supply chain technologies . We built product innovations to acquire and retain the next 100 million customers r anging from video voice and vernacular based shopping experiences to lightweight apps for shopping in congested networks and also gamification and content platforms that will create upper funnel engagement with our customers.

Recently, as the Vice President of Product Engineering at Intuit , I was leading engineering for Intuit TurboTax desktop and Mint products along with owning the India site strategy . As I join Nykaa, I am really excited about the opportunity. Over the next few weeks, I intent building relationships , while also understanding where we stand across the three P's - People, Product and Process . They are three strategic pillars whic h have served me well as a tech leader in my career. Creating a robust product infrastructure, essentially the plumbing and everything that goes beneath the curtains that translates to offering best in class security, availability, performance and quality for our product s, and then t he second driver would be how do we get fit, how do we do more with life, how do we dramatically improve our development velocity and the throughput of our innovations and finally embracing e xternal technology trends. There are so many emerging technologies , and we will start to embrace these technologies and figure out use cases to apply them , and essentially invent on behalf of our customers before our competition can do it . Thank you so much.

Falguni Nayar : Welcome Rajesh, we are very excited. In fact, now, I will introduc e Vishal Gupta . With nearly 3 decades of experience in the FMCG sector , Vishal joins Nykaa after a celebrated tenure at Unilever globally where he led large -scale award -winning campaigns and teams . In his latest role at Unilever Russia, Vishal helmed the Beauty and Personal Care Business comprising a large portfolio of international and local brands including Lux, Surf Excel, Wheel and Sunlight to name a few. With this, I request Vishal to come in with his introduction and few words to the investors.

Vishal Gupta : Thanks, Falguni. Hello everyone. As mentioned by Falguni, I bring to the table many years of experience in running businesses and building brands with high consumer love in India as well as in international markets and hon

estly that is exactly my mandate in heading the Nykaa Private Label Brand business , which is to build a portfolio of brands with high consumer love and scale across channels, so that we deli ver sustained profitable growth for the years to come. Based on my past experie nce as well as last few months at Nykaa, I can confidently say that our right to win comes from three things that we do well ; first, our superior consumer understanding; second, our ability to translate this superior consumer understanding into products th at really wow our consumers and third, our ability to create brand content that not only drives desire, but also drives conversion across channels . So, all in all, super excited with this opportunity to scale our House of Brands into a large and profitable business for the years to come which is really loved by our consumers. Thanks.

Falguni Nayar : Thank you Vishal . Thank you very much . We also have here our CEO for eB2B business and he also heads the International business, Vikas Gupta. Vikas Gupta has been spearheading the Nykaa's eB2B business that currently holds SuperStore by Nykaa as well as Nykaa PRO. Having held several leadership roles in the past, both at Hindustan Lever and also Flipkart , just before joining Nykaa, Vikas is proficient in building businesses for data driven digital first enterprises. Vikas comes with over 20 years of experience at Unilever with stints i n India, Brazil, Singapore and Indonesia. Then as I said, more recently he was at Flipkart in Bangalore. Some of you may have heard Vikas speak in our annual investor conference in July. With that, over to you, Vikas to give us an update on your new business es.

Vikas Gupta : Thank you Falguni and good evening everyone. For my introduction, Unilever was my home for more than 20 years. I joined Hindustan Lever as the management trainee back in 1998 and was fortun ate enough to get opportunities to work on one of the most diverse roles during my tenure in Sales and Distribution, in Marketing and Internal management and it transpired over five countries and three different continents. This included the global leadership of one of Unilever's biggest brand “Dirt is good ” for 5 years. In that period , we added more than a billion topline taking global market leadership away from Tide and establishing “Dirt is Good” as an iconic brand across most markets including India . I also had the opportunity to serve as the Executive Director and Board Member at Unilever Indonesia , leading its home care business where we accelerated both the topline and bottomline growth and the biggest contribution that I made there was getting the next line of leadership ready to take over.

I left Unilever in early 2019 because I really wanted to participate in this brave new digital economy and learn how data and technology can be harnessed t o shape consumer behavior and solve real world problems , so joined Flipkart to head its marketing and customer growth function and last year I joined Nykaa to lead Nykaa Distribution and Nykaa International. I see it as the perfect opportu nity for me to bring together my experiences at Unilever and Flipkart to disrupt the old somewhat framed distribution ecosystem in the country, serve it historically unde r-served parts using technology, using data and create value for all stakeholders i n the process , most of all, our customers which is essentially the small retailer on the road-side.

Coming to the quarter 2 business updates, I would be taking you through the "Others” section which you saw in the previous slide on the split of vertic al performances. Just as a reminder, the Other business numbers includes our eB2B business, it includes our International business, it includes NykaaMan and our new acquisitions like LB B and Nudge . I am here to provide some insigh t on the scaleup of Su

perStore by Nykaa and the strategic partnership we recently announced with the A pparel Group in the Middle East as part of our international foray .

So, talking about our eB2B business, this vertical has now established its right to wi n as a specialist vertically focused eB2Bplatform allowing us to penetrate much deeper in the country. We are scaling this platform in a very measured manner to ensure focus on the right unit economics from the very start. Operating within that context, it is very exciting to see tha t in less than a year of launch, w e have more than 70,000 retailers already transacting on the platform across more than 650 cities with above expectation repeat rates and retention rates. In quarter 2 itself, we served over 1 ,73,000 orders and almost 20 times ramp up on a year -on-year basis. As you know, retailers have been spoilt for choice and inundated with horizontal B2B pla yers in the last few years, so within that crowded situation, we are resonating strongly as a specialized player and expert in beauty, personal care, and wellness segments getting their rightful share of mind .

Our key value proposition , most value d by our customers is the selection and its discovery on the platform through relevant recommendation customize d to the region and store type . We now have 182 brands listed on the platform, 6x growth on a year -on-year basis and there are several more in the offering. Our partnerships with brands are strengthening and that is essenti ally because of the level of transparency we are able to bring to the promotional spend s ensuring high ROI that reaches its target audience without leakages and the data intelligence that we are able to provide at the most granular level . A key strategic w in we are able to co -deliver with our brand partners is the premiumization of the offline markets just as we have done with the beauty platform in the online B2C market over the last ten years or so . For several brands, we are already their primary go -to-market partner thus democratizing distribution in the country especially in

underserved channels and underserved geographies.
The next highlight of quarter 2 is the new partnership with the Apparel G roup to undertake an omnichannel multi -brand beauty business in the Middle East. We intent to build a strong business on the line s of Nykaa in India in the 6 countries of Gulf Corporation Council or GCC namely UAE, Saudi Arabia, Bahrain , Kuwait, Oman a nd Qatar. We are very excited first and

foremost with the market opportunity that GCC presents. It is one of the most value dense markets in the world when it comes to beauty. With the significant young population that is witnessing strong winds of positiv e change in terms of women's right and women empowerment. The e -commerce segment is underpenetrat ed, but growing rapidly , ahead of the total market. We view this opportunity positively and believe we can build a strong sustainable business there with the Nykaa playbook and Nykaa energy. There is also a symbiotic deep partnership with two partners in play here. The A pparel Group is a global fashion and lifestyle conglomerate in the Middle East, it is an off line power house with more than 2000 stores across several categories with a growing play in e-commerce as well via 6TH Street. Together with Nykaa's experti se and omnichannel beauty retail, its strong brand partnership s, its unique content to commerce model and online capabilit ies, we believe we can create significant value with the partnership . Together, the two partners share very similar values, very similar growth ambition, but with a frugal mindset.
As a quick update to building our own brand presence internationally, I am also happy to share that we opened up first exclusive brand outlet in Mauritius last month. We have al so launched our brands across e -co

mmerce market places in the UAE and the USA. Over to Anchit to take us through the performance on beauty and personal care vertical. Thank you.
Sunita Sachdev : Since Anchit has not been able to dial in from a business meeting, we have Ms. Falguni Nayar take some of the slides . Over to you, Falguni.
Falguni Nayar : Thank you Sunita. Thank you everyone. I will take you through the BPC highlights for the Q2FY23 which ended on 30th September 2022. In terms of our business - brand partnerships remain key to our strategy and in this quarter , we had extended our strong relationship with Estee Lauder Group , in a first of its kind partnership to identify and support the next generation of beauty entrepreneurs from India. This is a unique partnership which offers non-equity gran ts and mentorship opportunities for budding talent in the beauty industry.
We also launched Priyanka Chopra 's brand "Anomaly " in India through an exclusive arrangement with Nykaa. This fits beautifully with our strategy of upgrading existing consumers to premium personal care products. We continue to remain the preferred partner for the largest FMCG companies in India including Hindustan Unilever which has launched its new Science -based skincare brand "Acne Squad " on Nykaa. We also launched Inde Wild; a Global Influencer led skin care brand as well as Fable & Mane which is an ayurveda based hair care brand that is now brought into the cou ntry.
Through quarter 2, we work towards increasing th e interaction with our audiences. It gives me immense pleasure to report that our Hot Pink Sale delivered the highest ever unique monthly visitors at 25 million. The love and confidence of our customers has helped us to deliver the highest Hot Pink Sale across e -commerce as also the rub -off affect that has delivered on improving traction in the o ffline retail network.

Our retail store expansion continues , as we are now in 53 cities and our footprint now stands at 121 stores. We expanded our BPC fulfillment center s to a total of 1 million square feet across 31 centers in 11 cities across the country. This has helped us manage our f ulfillment cost and bring them down in spite of inflationary pressure. Our House of Brand business within our BPC vertical continues to gain strength . The GMV of our own brand stood at almost Rs. 2 billion in quarter 2 of financial year 23. This now accoun ts for 12.1% of total Nykaa BPC GMV. This is a 64% year -on-year growth. It gives me immense pride to update you on the milestones we have achieved this quarter.
Kay Beauty, one of our brands in partnership with Katrina Kaif, Dot & Key, the brand that we had acquired earlier last year , they have both achieved the status of Rs. 1 billion plus brands. We already have Nykaa Cosmetics sitting at Rs. 2.5 billion plus levels, so we are building brands that are delivering to consumer expectation s and we are doing t his while achieving scale and size of our own brands. We continue to expand the distribution of our own brands through the in-house B2B vertical. This has helped us have our own brands reach 2 ,130 general trades as well as 132 modern trade outlets in India. We are already serving about 2 ,314 retailers through

our SuperStore app. We celebrated the third anniversary of K ay Beauty just recently and it has also won the Best Beauty Brand of the year which was awarded by the Vogue Beauty Festival reinstating our investor confidence in the brand.
Continuing with regard to the House of Brand business, we had a variety of new launches from Nykaa Cosmetics , our flagship brand, Kay Beauty, Nykaa SKINRX which is our premium skin care offering as well as Wanderlust which is our Bath & Body range. I would like to highlight that our own brand s straddle price points , from very affordable Nykaa Cosmetics nail paint in the bottom left cor

ner of the slide to the premium skincare -based moisturizer at Rs. 1,400 for the combo. Even the Wanderlust brand that specializes in Bath & Body has products ranging from more mass market, roll-on Deos to the higher end bath and body ranges.
We have some very interesting new launches by Dot & Key across Super food-based serums and the affordable face wash launches. Dot & Key launch ed for unique lip balm created at the price point of Rs. 249. We are growing the appeal and the market ability of the brand. Earth Rhythm, another company where we have taken si gnificant stake though not dominant. Earth Rhythm launched some of the unique bath lotions in time for the winter season rush for the body care products.
Our offline retail footprint has grown now across 53 cities and 121 stores . The segment now contributes to 7.5% of our BPC GMV and tracks healthy Rs. 3,640 per square foot per month. We now have 1. 2 lakh square feet in retailing space and quarter 2 has demonstrated a robust 19% sales growth for same stores opened till March 2021.
Finally, we would like to talk about the key metrics we track for the beauty and personal care business. Trailing 12 mont hs customers are at 9.1 million with growth of 31% year -on-year, average monthly unique visitors of 22 million for the quarter and visits were at least 3.5 times in a month, a robust metric according to us for the category of beauty. Order to visit improved

to 3.6% in Q2FY23 , almost 73 basis points improvement year -on-year, demonstrating the attractiveness of the platform. The number of orders were at 8.4 million in the quarter and we have delivered a growth of 39% year -on-year while the AOV stood at 1,872 for the second quarter of this year. These metrics continue to underline our testament to driving high quality traffic to the platform and also impactin g sustainability of our business model .
Now, I am happy to hand over the presentation to Adwaita for the update on fashion business.
Adwaita Nayar : Hi everyone. I really look forward today to talking to you about the fashion business. Starting on some of our highlights, first and foremost, we take great pleasure to announce the partnership with Revolve. Revolve is one of the world's most renowned fashi on e-retailers known for bringing the best and the trendiest fashion to many consumers across the US and in many ways their positioning is very similar to what we were trying to do here in Nykaa Fashion . This partnership which we have been working on over a year . We now have access to more than 400 international brands. We launched a campaign recently with the Revolve in line and we had a reach with more than 31 million customers majorly driven through a very strong influen cer outreach . This builds our global store portfolio which I spoke about last quarter as well and it further remains in line with our ambition to get the world's best global fashion brands to the Indian consumer.
Moving on, the second thing we have done is gearing up for the festive season, we launched the Nykaa Fashion brand Festive Carnival . We have over 2,500 brands bring incredibly interesting and exciting festive wear to the platform and this really helped build and maintain our positioning from a curation point of view and we did see higher monthly unique visitors for the sale and we saw 18 million monthly unique visitors in September.
We remained bullish on exploring an omnichannel strategy for the fashion business. We do believe that there i s a role for physical stores to play , it remains early day s. So, we did open two stores on the fashion side of the business this quarter. One is our Multi-brand fashion format which will be known under the label Nykaa Fashion and then we also open ed up store for our lingerie and inner wear brand called Nykd . Early days , as I mention

ed for physical retail .
Moving on, we will talk about our differentiation in positioning. This is something I typically touch on every quarter, but I think it remains really and credibly important for me that after delivering our business we make sure that we have a differentiation and so we do locate this very carefully and today I will talk about three propositions about building that we do believe are contributing to our unique positioning in the mind s of the consumer s. The f irst, the global store which I did mention on the prior page as well that remains a focus, we now had more than 400 brands across the world that we were bringing into the country. Many of these are exclusively available with us and this global store merchandize now contributes 13% of our western wear

offering in terms of GM V, but this is an incredibl e sharp uptake in terms of contribution given that it has only been a couple of months since we launched th is property.

Next, we have a property called Hidden Gems. The whole idea here to look for some of the country's best labels and emerging designers and so we really do scout the country to bring really exciting brands and we have more than 220 brands now as part of this portfo lio. It has been 18 months since we launched the Hidden Gems portfolio and it now contributes 7% of Nykaa Fashion's overall GMV.
Finally, I have spoken about th is but I do feel that the fashion forward platform like us has to emphasize new season. We want to be known as the destination for new season and therefore this quarter again we could see the big event for the First in Fashion where we have over 1000 brands participate and provide us the latest and newest sto ck and newest launches and that too is now contributing 24% of the overall GMV of Nykaa Fashion for the quarter. So, all in all, these metrics are supporting some metrics that we track that prove our differentiation, those are the two metrics on the bottom of the page, the first is average order value and average order value for the quarter is now Rs. 4,425 , which is 10% higher year -on-year an d it is far higher than what the industry sees as an average. Similarly, in terms of conversion, our c onversion rate has improved dramatically. It is 32% higher year -on-year.
Now , I would talk about our own brand strategy, we continue to believe that the own brands has a very important place an d role in our fashion journey. Over the last 2.5 to 3 years , we built up our own brand portfolio. On the left-hand side, you can see that we now have 11 owned brands, a couple of these we have acquired , many of these we buil t in-house and from the GMV perspective, you can see that the GMV o f these owned brands supported stood at Rs. 78 crores. This is up 169% year -on-year. Highlighting a couple of the metrics on the same chart at the bottom, you can see that our own brands GMV now accounts for 13% to the fashion consolidated GMV. This is a very impressive expansion of percentage and share. You can see that a year ago, the same own brands accomplished for about 7%. The 7% has moved up to 13% and this is on the back of consolidated efforts across 11 different brands. On the right -hand side, you can see that we are continuing to add many SKUs across our brands and we are trying to cover all sorts of categories, whether it is western wear, whether it i s lingerie, whether it is footwear and right below that I have spoken about th is and I will repeat that we remained focus that our own brands should have life of their own beyond our platform. So, some of our brands, not all, but some will have distribution, whether it is in multi -brand outlet , whether it is in general trades , whether it is with own stores and today, Rs. 78 crores of own brand GMV, 45% comes actually from third party platform.
Moving on, on the next coup

le of slides, we give you a glimpse of our own brand i magery just for you to have a sense of what we are doing . Here, you can see the p roduct that we are displaying , all of this was design ed, in house, and shot internally .
Finally, I will talk about the metrics for the Fashion business . On the left-hand side, you see that the orders are now at 1.2 million for this quarter that is a 41% year -on-year growth. On the right of that, you have seen that the trai ling 12 -month consumers are at 2.1 million, this is 66% higher than the year before. And last, I insinuated this before that the average order value has gone up dramatically and it is at Rs. 4,425 versus 4,000 or so a year ago and finally at the right -hand side,

you will see our GMV. The consolidated fashion business es’ GMV is almost Rs. 600 crores. This is split as two part of our business, the pink bar is what we call our multi -brand Nykaa fashion.com and the other bar i s the other platform s, so you can see that the multi -brand business is growing at 55% whereas the sales on other platform is degrowing at 1%.
I just had two more metrics, which are mentioned els ewhere in the deck, but it is important to round out the conversat ion on the Fashion business. We do continue to track that Fashion is about 26% to the consolidated business in terms of GMV and it remain s contribution margin positive and in fact the contribution margin for the fashion has gone up by 138 bps year -on-year. So, with that I will hand over to Arvind to take us through the financials. Thank you.
Arvind Agarwal : Thank you Adwaita and good evenin g friends. This is Arvind Agarwal, really glad to talk to you about our quarter 2 performance and why I s ay that because we have not only maintained the growth momentum, but also improved our EBITDA margin and I think that is quite impressive in the operating context laid down by inflationary pressure. The core business, if you look at the revenue chart, this q uarter, we have grown 39% year -on-year which is slightly lower than last quarter when it was 41%, but that also had a positive base effect on comp arison with quarter one

of last year when there was a COVID based impact. So, maintaining the growth mo mentum, beauty business has grown 35% year -on-year, but other new businesses have also done really well in this quarter.

Talking about the gross margin, we are reporting 45.3% gross margin which is about 259 bps improvement year over year and about 90 bps quarter -on-quarter . Talking about the EBITDA, this quarter, we are reporting Rs. 6 1 crores EBITDA which is more than doubled in absolute numbers vers us quarter 2 last year and very impress ively the margins have improved 170 bps from 3.3% to 5% year over year, but it has also improved by almost 100 bps quarter -on-quarter. In terms of PBT, we have Rs. 8.8 crores of profit before tax this quarter, which is marginally better than quarter one of this year and which is quite better than quarter 2 of last year, almost 6x of Rs. 1.4 crore last year same quarter.

I think I will go to next chart and try and explain that organically we are doing quite well on operating efficiencies and variable cost and not only that we are investing into building capabilities that will give us quite good operating leverage in the times to come, but these are really important investment s to make . So, if you look at this chart, we have upped our store s capacity by 70%, wareho use capacity by 74% and I am comparing H1 of last year to H1 of this year like one year journey, so the se infrastructur al investment s have been really accelerated over last 1 year. We have also recruited almost 800 employees in last one year and it comes a cross verticals which are like variable headcount linked to business growth, in eB2B, in general trade, modern trade channels and retai

l store rule out, but also some bit of augmentation on our corporate finance and support function, but that is just 34% of overall growt h and then we have also promoted and we did not have office capacities much in last 3 years, but now with the work from office environment and people coming back , we have added to office capacities also by almost 82% from 0.9 lakh square feet to 1.7 lakh square feet and obviously , these are adding to our fixed cost line and it shows up in our table.

So, let me e xplain you the next chart on how we should look at EBITDA margin waterfall. So, last year, we h ad 3.3% and now 5% this quarter and if you look like th e green movements here, the biggest green movement is coming from gross profit which is quite good because coming out of advertisement revenue going up and favorable product mix, so that is quite, while we have maintained a growth momentum and also improved the quality of business growth. Even the fulfillment cost line, we made some structural corrections and amended to regionalization strategy last year and that is paying back and 73 bps year -over-year improvement is showing up here. In terms of marketing, we had high marketing cost last year same quarter and 313 bps improvement year over year. Part of it is d riven by the efficiencies which shows up in order to conversion ratio and some sanity in digital marketing cost, but part of it is because we did not do a big brand building exercise this quarter, which we had done last year in the same quarter, so it is m ore of a seasonality in that sense.

Talking about the other line, Selling and Distribution expense has gone up by 159 bps which is because , like I said , we have been expanding into physical economy and eB2B which is our new initiative and out of general tr ade, modern trade expansion, so that sits under selling and distribution expense. End of the employee expense, we have added almost 35 -40% extra manpower to support our business verticals in their growth ambition s, but also invested very strongly to our technology function, so this is a cost which should pay back in form of operating leverage overtime, but year -on-year that shows an increase and then finally other expenses which is 108 bps higher because like I said, we also invested into office capac ities and administrative expense which go in line with the employee headcount growth. In spite of these increase s in the fixed cost, we have delivered higher EBITDA margin at 5% driven by operating efficiencies a s reflected in variable cost as I explained earlier.

I should move to next chart and just to give little bit more color on how the infrastructure investment also impacts lines below EBITDA, so while EBITDA has more than double d year-on-year to Rs. 61 crores, 112% year -on-year growth, but many of the fixed cost lines of this nature are also showing similar kind of growth, so since we have invested into stores, warehouse, office, capital expenditure , depreciation has gone up by 96%, even with the new leaders coming up in these properties, it also shows in terms of lease accounting impact in two lines, amortization and interest on lease, so both have also gone up quite significantly year over year and then interest on borrowing has gone up because our inventory investment and working capital investment has gone up to support the business growth . So, this shows that within EBITDA and PBT, we have increased in fixed cost. I n fact, i f you see the bottom table, it also shows because of the Ind AS accounting where th ere is a st raight line method followed for all the lease cost in terms of the future cost and then this discounted and spread over the next straight line method while the cash lease cost is Rs. 28 crores, but the P&L takes a hit of Rs. 34.6 crores. So, in the initial period of leases, there is higher cost in

the P&L. Of course, that will unwind towa rds the later part of the lease period. So, in that case, these are also some of the future costs, but that goes as required to the book as per the Ind AS accounting which is the standard we follow. Finally, next chart talks about the unit economics of different verticals and I am trying to compare one year journey for each of these verticals . Talking about the BPC f irst, like I said it

has grown 39% on GMV year over year and 35% on revenue , but if you also look at the unit economics parameters at the bottom of this page in terms of key ratio s to NSV, despite being a large business, it has improved gross margin by 300 bps and that is driven by advertisement income, own brand share going up and the favorable product mix like I said earlier. Not only that, fulfillment cost has come down from 10.5 to 9.4, almost 100 bps improvement and marketing cost, which has 10% plus k ind of number has come down to 7.8% now in this quarter, so almost 200 bps improvement year over year and S&D costs are kept flat at 3.9% . With this beauty has delivered almost 6 60 bps incremental margins on contribution level which is quite significant for a large size business like this and if I look at the fashion business, even there the business has been growing impressively and 600 crores kind of size now and with the revenue growth of 32% if you look at the unit economic parameters there, gross margin has improved from 39.1 to 44.6, so almost 550 bps improvement in gross margin in one year and it has also kept the fulfillment cost quite at check at 10.4% despite having pleasu re of higher return. It has also ke pt the marketing cost under check at 25.7% and the only cost line which has increased is S&D because our own brands are no w expanding into general trade, modern trade and various channel, third party platform, so there the commission that we pay comes and sits under selling and distribution expense. So, with that kind of constraint with the improvement in gross margin and investment to S&D , it has still managed to impr ove the contribution margin by almost 100 bps from 1.3 to 2.3, so it is the kind of calibrated growth that we are targeting in fashion while keeping our play book intact and not really going super aggressive in acquiring customers, but of course that choic e always exists, but as of now, we follow the target of being contribution positive and in terms of others, this is a mix of various busin esses which Vikas talked about and I think there the numbers will not be comparable year over year because eB2B, the d ifferent model and it just come up in last 3 -4 quarters, so year -on-year numbers from the B2C alone kind of model had changed to the mix of B2B and B2C there , so I will not talk much about it, at the suitable time we should separate out B2B numbers, s o that you can talk about unit economics there as well.

The nex t chart is the summary of what I said so far and since I have talked mostly about year -on-year growth , I will try and explain the quarter -on-quarter numbers here. So, this quarter , we are repor ting Rs. 1,231 crores revenue which is 7% growth sequentially quarter -on-quarter and in terms of the EBITDA margin , we are reporting Rs. 61 crores which is 33% higher in terms of the sequential growth and profit before tax is Rs. 8.8 crores which is 5% sequentially higher, Rs. 5.2 crores which is the PAT number. I think in terms of H1, if you would summarize it in the final right hand box , 40% growth on th e revenue year over year and then coming to EBITDA which is for H1 is almost Rs. 107 crores , 92% year over year growth, so more than double the growth of revenue which shows the operating efficiency and Rs. 10 crores profit after tax which is 117% year ove r year growth.

So, I will end the financial presentation he

re and we will move to Q&A now.

Sunita Sachdev : Thank you so much , Arvind. I now request the moderator to open the Q&A queue please.

Moderator: Thank you very much . Ladies and gentlemen, we will now begin the question and answer session. Participants to ask a question via web please click on the raise hand button on the tool bar at the Q&A tab and click raise hand. T he operator will announce your name when it is your turn to ask a question. Participants connected via audio call may enter * and 1 on the telephone keypad. Ladies and Gentleman , we will wait for a moment for the question queue assemble . Our first que stion is from the line of Nihal Jham from Nuvama . Please go ahead.

Nihal Jham : Congratulations on the strong performance, three questions from my side, I will start up with the BPC segment where as you have highlighted the contribution margin is something that has seen a significant improvement whether y ou look at it on a Y -o-Y basis or over the last 3 quarters as the other data available, I just wanted to understand that would this be the right unit economics to understand that the business can track going forward and also Arvind if you could ballpark,

convert this contribution margin to what will be the EBITDA margin for reference perspective?
Arvind Agarwal : So, I think in terms of improvement in gross margin driving that contribution margin that is quite good and I think at least 200 bps out of 259 bps is structural and should sustain as an advantage to us because now both online, offline channel and revised our own brand is also contributing well. Very importantly, advertisement revenue is doing really well, in fact if you look at commentaries from various FMCG they talk about d igital marketing taking a bigger share of their advertisement budgets, so that is good news, so we should be able to continue to monetiz e it better. So, I think heal thy gross margin is something that we are definitely looking forward . In terms of fulfillment cost, we might invest part of the savings or efficiency that we afford into better customer experience, but it should operate at some 10% kind of level and marketing is a choice , in some quarters, we have the marketing spends based on brand building like quarter 3 is expected to be a big season, so you might operate there, but it sho uld also operate with, let us say, to almost 150 bps improvement year -over-year in that range, so I think out of the 660 bps, 400 to 500 bps is so mething that we see a structure and we should also logically flow down to EBITDA as well, but yes, EBITDA we have added quarter in terms of employee cost lines as some of them are also investment to future especially technology function, so the operating leverage might come overtime . I won't be able to give more guidance on EBIT DA number here because it may be, people cost is something like we dynamically allocate across verticals depending on the lease quarter -on-quarter , quite fungible resource and may be when we come to the annual results, we will try and separate out EBITDA a lso for you.
Nihal Jham: Moving onto the second question on the fashion business, this was the quarter where there was some part of the festive period that come in, so we have seen a quarter -on-quarter fall in the orders that we service. I f you can just gi ve some highlight on any specific reason for that?
Adwaita Nayar: I will come in there. I think we are quite feeling pretty good about the fashion business from a year-on-year perspective , the fashion business, the core platform which I mentioned earlier is being robust 85% year-on-year on a base which is now significantly higher. Within that, the order s have gone up on a quarter -on-quarter basis. Yes, the sequential growth is more flattish than there is a serious rise , but every quarter on quarter we

are taking the right decision s in terms
of how much to invest versus how much to add to our contribution margin is then seen as to b e

it around the fashion side of the business where quarter 3 tend to be seasonally get a bit better, so for me it is always also a question of phasing out the growth and when is the right time to double down versus not . Couple of other metrics I will share, because I think others might also have questions is on fashion we are also starting to see very interesting and strong repeat behavior, so t his quarter, we have released it to the exchanges well earlier today that in quarter 2, fashion saw 66% of its revenue coming from repeat behavior, so it is also a quarter where we have seen repeat really starting to kick in and new customer acquisition is always something we can choose to exaggerate . It is simply a question of how much we want to accelerate and what the pressure might be in terms of profitability with that acceleration , so it is the choice that has continuously been made .
Nihal Jham: And just one last question from my side was on the international business if you c ould just give some sense on timelines of the launches and the potential investments ?
Falguni Nayar: On the international business, we have just recently entered into strategic alliance with Apparel Group. It is now being ruled out in terms of setting up the subsidiaries and the operating entities we did to rule out that business in the region. I would th ink that the first store s can be operational within definitely next 12 months and e -commerce website may take little longer or may be similar time. So, yes, we are in the execution mode. We will continue to build th at business in our same prudent style tha t Nykaa has always done and our partners also aligned with that plan, so everything will be more organically almost being treated like a startup in the GCC country that it is trying to execute an omnichannel beauty multi -brand retailer strategy in the regi on.
Moderator: Thank you. We will take our next question from the line of Percy Panthaki from IIFL. Please go ahead.
Percy Panthaki : My first question is on the fashion business, so the fashion market size is like 5 times that of BPC, we are relatively new entrant, very low base, very low market shares, at this stage of our lifecycle, the NSV growth being only 20% Y -o-Y seems a little s urprising, I understand that few other parameters that you mentioned are trending positively, but finally they are means to an end and the end is the NSV growth, so can you comment on what really is pulling down this number and what can we do to really pus h it up more aggressively, that is my first question?
Adwaita Nayar: So, I think I'm going to take this question in two ways , so the first is, in terms of just talking about what pie of the fashion part we want, so we all know that fashion is a massive market for any estimate at least about 5x the size of the beauty market, however, we want to be extremely positive about what part of the pie we get. Absolutely , it can be rolled out faster from the GMV

NSV perspective , but we focus on the quality of the customer we are getting , the average order value that we are getting and sort of premium that we are being able to deliver on. I think this is a very tricky industry and if you sort of loosen your reins on what type of customer you want, I think your profitability can get impacted faster than on e realizes . So, what I would say is that overarching comment is that it is actually easy to grow a lot faster, but by sort of more measure d thoughtful approach being that even as the fashion market is so large, we want the particular

play that make sense to us, that make sense to the Nykaa GMV and the Nyka

a Strategy which is
to build sustainable businesses with a clear path to profit ability .

I think the second point I was going to make is, so keeping in mind that there is a thoughtfulness in terms of the type of audience, the type of customers we want, what I am going to also say is that comparing year -on-year also brings in the basket last y ears COVID dynamics which make it a base, but it is little bit hard to compare too. There are two particular things I want to highlight, about a year ago , even before last, the peak of COVID, Nykaa Fashion in particular, so much lower returns than what we are seeing now, those lower returns which we saw a year and some quarters ago were actually deflated returns that were not sustainable. So, as the world normalizes , return rates are just going up b ack to normal and actual level . So, I think the NSV and GMV ratio were now seeing , sure there is some improvement still possible and we are working on that, but this is a more realistic ratio that we see and our understanding from the competitive dynamics is that the ratio that we have and the return pe rcentages we have is still far lower than what the competition has. So, that is one thing that is the base effect is a little bit noncomparable .

The second thing is, again in terms of base effect, last year we saw very rapid customer acquisition on the fas hion side and I think Nykaa Fashion in particular more than beauty gain ed from the COVID phenomenon because there was a l ot easier for us to acquire customer s last year where a lot of people won't be going out and were online, so I think one thing we are struggling with our fashion side, it is not struggling, but it is an effect is that we are comparing constantly on a base which saw a lot of unique ness given the COVID scenario that existed.

Falguni Nayar: I just want to com ment and also say that our growth should not be judged as it is all responsible for this strategy, I think there is a clear plan at Nykaa to try and maintain a financial discipline or trying to balance our profitability that we generate and that is now back to acquire new customers, both for beauty, fashion or any other new business that we are building and again, yes, in that light you could say that the new customer acquisition for fashion could have been stronger or faster. We definitely do see prett y strong returning consumer behavior and pretty much both for fashion and beauty business. We do feel that if we can acquire more customers, it would be good for the long -term busines s, but we are trying to be just clear about the pace of growth if I may s uggest that.

Percy Panthaki: My second question is on the International venture, so firstly, as you mentioned GCC market size is quite high per cap consumptions are significantly higher than India, so it is a much more mature market there, so unlike India where basically you are the primary driver of developing the BPC market in India, Nykaa is one of the primary agents of market development I would put it that way, in GCC your role is going to be different, so how do you see your role in GCC? And secondly, when the market size is so huge and it is such a lucrative market, how is it that the e -com penetration is so low and people are mainly shopping online, so is this because it is a mature market, is this an established behavior and that is how the market has sort of evolved and therefore to shift people online is going to be something of a difficulty for you in yo ur view, I mean any thoughts, I know I am asking too many questions within this question, there are many sub questions, but you get my general drift as to what I am sort of looking for?

Falguni Nayar: So, what I can tell you is that e -commerce penetration for beauty business is also going up, so I would now say that it is the market that geographically wa

s not very widespread, but we would
exclude Saudi Arabia . Then, I think it was not geographically very widespread and as a result there is lot of retail happening through physical stores , but still there is already lot of influencer led commerce there as well and penetration of e -commerce is increasing, so we do see that it is again very interesting market from nd there is a huge socioeconomic changes happening in the se countr ies, especially kingdom of Saudi Arabia, so it doesn’t feel that you are too late in the game, it does feel like early days , yes, there could be couple of players already established, but there seems to be room for more players including someone coming out of India taking a whole bunch

of bran ds that would be interesting in the region from what the brand ha s to offer perspective. That doesn't mean we won 't do global brands , as we are multi -brand retailers that will retail both global as well as our brands of Indian origin.

Percy Panthaki: And any guidance you can give on the total investment over a 5 -year horizon and the impact on the company level EBITDA margin due to startup losses of this venture?

Falguni Nayar: It is difficult to give that because we don't have a very clear path spelled out, a lot of early work is going on, but if we can build this business in a way where our near -term profitability of physical retail business can help us invest for the online business that is how we would like to do it and finally, the population size i s also limited. I think it is larger population countries that tend to be quite difficult in terms of building out an e -commerce platform. It is easier in smaller countries, but it all depends on whether there is an inherent consumption and are you abl e to appeal to that consumer and connect with that consumer and we do believe that with the strength of us as well as the Apparel Group which is a very large retailer with very extreme ly successful brand as a retail, both predominantly offline, but also on line, we do believe t hat together coming up this partnership gives us the chance to succeed in that market.

Moderator: Thank you. Our next question is from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain : Congratulations on a great set of numbers, I have one question specifically on the fulfillment expenses, Arvind , you noted that there was a bit of that Q -o-Q increases owing to inflation, if I look at on a per order basis for BPC this looks like 10% Q -o-Q increase in fulfillment expenses, but on the other hand, for fashion there is a decent decline on a Q -o-Q basis, so I am just wondering does the diversion have to do with your regionalization of warehouse strategy within BPC and associated investments within that or is that something else?

Arvind Agarwal: No, I think first of all, beauty and fashion are at completely different phase of maturity , so they are not comparable in that sense and also because the operating model is quite different in beauty versus fashion, so if I explain yo u the beauty number itself, yes, there is some increase Q -o-Q because there is some inflation in the air shipment side of it. It is also quarter just before the season, so we also make a step -up investment, so that we are ready for the season, so part of i t, we will again convene into next quarter.

Vijit Jain: And my second question is, in the new initiative what you classify and that EBITDA w aterfall that you showed obviously shows about 460 basis points of EBITDA impact , margin impact from investme nts in selling distribution, employee expenses, other expenses, etc., and obviously there is a contribution margin for the other businesses as well, so I am just wondering , is it fair to assume that there is about 400 -450 basis points of cumulative EBITDA level impact with these new investments, that is the b

asic level of investment you are doing in these new businesses or is some of that also reflecting increases in beauty and fashion as well?

Arvind Agarwal : No, I think when I talk about the lines like selling and distribution, it is not necessarily on the new business . Even our own beauty brands and fashion brands are also going into offline t hrough modern trade and general trade, so even there the co st go up . Even the beauty advisors in the retail store, so that cost also comes in there , so it is basically funding a re ach and penetration for various businesses to get stronger offline p lay and omnichannel play, so we should not try and see it only as new busine ss line. I think the overall impact of new businesses we have given the contribution of this quarter is about Rs. 16 crores, so even if you annualize it, 4 quarters could be Rs. 64 crores, that is the level we are operating at, but these are also in a high growth phase , so as we scale them up , initially the losses will increase and overtime they will come down . So, I can't give you any specific number of our new business investment s, but we are funding it from our internal accrual. That is very clear.

Adwaita Nayar: For selling and distribution expense, just to say what Arvind said that is coming from every business because we do believe in GT, MT distribution and a wider distribution and that is what we are putting in place for whether it is bea uty private label brand, fashion private label brand as well as in eB2B business that we are building, both for our own brand as well as for third party brand because we believe that if you look at any data , there was a large part of the market which stand outside of both online and modern trade and we want to be players in th ose areas .

Vijit Jain: And one last question, just on the working capital side, the net change in working capital that you have in the first half of the fiscal year , should we think of that as kind of inventory buildup before the festive season and all the sales that you have in the post Diwali sales that you typically launch, is that how I should look at it, it is partly inventory buildup and partly some of the other investments?

Arvind Agarwal: I think you are partly right, so net change in working capital and we have made investme nts into inventories for sure, so that is definitely part of the reason it should unveil in quarter 3, but also because we opened three new warehouses in beauty, in even eB2B Nykaa distribution , we opened many new warehouses, so as we open more fulfillment center, we have to stop them up to make the regional availability up, so initially there is a catch -up investment to be done and then that gets stabilized over times, right, so before the season we have expanded the capacity reach and also within the existing warehouses , we are stocking up strongly before we get October sale or November sale. Both are contributing .

Moderator: Thank you. Our next question is from the line of Sachin Dixit from JM Financial . Please go ahead.

Sachin Dixit : Congratulation on brilliant set of results, I had a couple of questions, the f irst one was with regards to the marketing spends, so is it possible for us to maintain, I know there were some brand market expense in the last quarter, this quarter that seems to be minimal, is it possible to breakdown the market expense like say influen cer marketing and what the customer acquisition cost or performance market expense would be?

Arvind Agarwal : We have not given those kind of micro cut s and details into how we spend the marketing, but we can definitely say that 80 -85% is digital marketi ng and content marketing, 10 -15% sales above the line and brand building kind of spend, but that varies quarter -on-quarter.

Sachin Dixit: On the next question like, earlier we used to share lik

e how many orders we are getting delivered within two days, next day, stuff like that, so is there any movement on those metrics as well or anything on regional warehouses ?

Arvind Agarwal : In fact with the regional expansion of fulfillment center getting closer to customer , that metrics is only improving and we are at industry standard in terms of being able to deliver almost 98% shipment in less than 5 days and of course , we deliver much faster in metro and urban areas, and rural we are able to deliver 98% shipments in less than 5 days.

Falguni Nayar: The distributed warehouse will only improve, so maybe next quarter we will share some amount .

Sachin Dixit: And just one final question, there is a sharp drop in trade payables during the half yearly balance sheet data, what is the reason for that would be?

Arvind Agarwal: While we have big suppliers which are like big companies and they are self sufficient o n working capital, but we also have large D2C suppliers and we want them to stock up sufficiently or invest through manufacturing line and then they supply to us, we have been paying them faster, so that they can also ramp up ahead of the business .

Moderat or: Thank you. Our next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

SheelaRathi : My first question was with respect to the initiative you ha d taken last quarter with respect to the everyday value offerings , so just wanted to get your perspective in terms of how they are doing on this point, what is the kind of customer traction you are getting?

Anchit Nayar : Sheela , what I will say is that as we discussed in the past , given that we are already very well established and the dominant leader of the beauty side of BPC, we also want to create a sizeable busines s on the personal care side. Reason is that we believe our existing customers can trans act with us at a much higher frequency if they begin to buy personal care products on our platform and so that was really the genesis behind the Nykaa Every Day . What I would say is that it is bearing fruit , obviously we don’t disclose , we are not breaking it out, but what I can tell you is qualitatively it is bearing fruit and we are seeing consumers who previously only looked at Nykaa as a beauty or as a cosmetics retailer , now looking at us more holistically for their more

personal care needs including hair care and skin care and other categories and I think that reflects in our category mix. Now hair care, makeup and skin care are equal parts of our overall business and other categories like hair care , fragra nce, deodorants, wellness, oral care i s also growing for us and I would say that is playing on nicely and we are putting a lot of effort into driving th at initially and I do believe that with the regional roll out warehouse that Arvind spoke about that would only help further improve our commitment to faster delivery for our consumers which is slightly more important when buying personal care items than when buying more expensive beauty items. I think the regional warehouse strategy continu es to play out and will have additional benefits for everyday strategy.

Sheela Rathi : Just a follow up here did you have a number in mind with respect to the roll out of fulfillment center or warehouses in the next few quarters?

Falguni Nayar : No, it is early days , so at the moment we are going into 5 -6 large states, states like Uttar Pradesh and some of the other bigger states and then based on that experiment, we may take decision to go into further .

Arvind Agarwal : I think w e have added significant CAPEX in fulfillment center and generally the cycles follows in a manner is we try to put a few centers in H1, so that we can really use them in H2 when the season picks up. I think most of the investment for this year is kind of do

ne, we might have a
couple of more and I am talking about beauty side of it , but yes , of course in distribut ion we will have to keep adding, it has been in the buildup phase . I think if we look at our IPO objective and how we raise our money and what we declare there , we have given the schedule of utilization of IPO proce eds into fulfillment center and one -third of that is utilized by now, two -third will be utilized in next 2 years. So, that kind of gives you idea how we are building out the capacities .
Sheela Rathi : Just one more question here on the beauty side, with the complete reopening happening especially in the last few months, what is the kind of customer traction we are seeing in the physical stores and is there any shift with respect to demand moving away from online to offline? And just a part of it in terms of delivery , are we still following the hyper -local delivery model now where we are using inventory from the stores to deliver to the customers in that locality? Just two questions and that is it.
Anchit Nayar : May be I can get off and others will add, so Sheela what I would say is that we did see a strong rebound in physical retail in the beginning of the quarter , but to our pleasant surprise , it doesn't seem to be a cannibalizing e -commerce b usiness, so both are growing at a healthy rate and I think that is reflecting in the beauty vertical GMV and net revenue growth numbers that we have seen year over year. So, we have to keep in mind that online penetration for beauty consumption in India today is still so low at less than 10% and 90% of BPC consumption has been offline , so even if there is a rebound in offline, there is this macro trend in India which shift s from offline to online which is inevitable and that trend continues to remain. So, I think in some other metro markets whe re there is cannibalization and demand does shift from online back to offline , in a very nascent market like India where penetration is still so low , not only for beauty consumpt ion, but especially for beauty consumption online , this macro trend we believe will continue to play

out a nd it is reflecting in our numbers . Both online and offline grew at a very healthy rate, but yes, I think retail has rebounded nicely post pandem ic clearly .
Arvind Agarwal : I will just supplement it, if you look at the beauty growth c hart H1 of last year, we are growing at about 32% and actually this year we have grown about 39%, so there is a step up which means that people are going out and shopping in offline , but at the same time they continue to shop online , so being omnichannel has really helped and I think the normalcy coming and then COVID free shopping, our gro wth rates have actually improved in beauty business.
Sheela Rathi: Anything in the hyper -local delivery models?
Falguni Nayar : Yes, hyper-local was only used during lockdown periods because in our industry air-conditioning is needed for many of the luxury products , so during that time when the malls were shut, we used hyper -local and that was the capability that was developed with the perspective to fulfill from the re. On an average we have 4.5 -5 items in a car t, it doesn't make a sense for us to fulfill on h yper-local plus our stores are very expensive in the state and not conducive to packing and shipping products from there , so just hyper -local is being used only to manage certain slow moving inventory and we usually fulfill from our warehouses.
Moderator : Thank you . Our next question is from the line of Garima from Kotak. Please go ahead.
Garima : My first question really is on the BPC segment, now when you show the contribution margin calculation, which in Q2 FY23 was at 24% contribution profit margin to revenue, does this also fully account for the rent that is payable for the physical stores

that you operate?
Arvind Agarwal : Rent for the store come below EBITDA lik e I showed you EBITDA to PBT that range, so because these are long -term leases, we account them as a lease amortization cost and there is also interest element to this. So, it doesn't come in contribution.
Garima : I I have to really see profitability, I understand that rent is a fixed cost , but to some extent it is variable because the more store you open , the more rent you will need to pay , so ultimately some kind of an adjustment should be d one to understand the contribution profitability better , so anyway that point is clear. Second question really was could you help us understand the period ending debt and cash because sometimes these items sit under multiple heads and it does look like you have consumed a fair amount of capital during the first half of the year , so how should we look at this going forward?
Arvind Agarwal : Cash balance at the end of September is about Rs. 365 crores and you are right that we have made significant investment in first half of the year , but you see most of it is working capital which should unwind in H2 . Of course there is CAPEX also , but CAPEX is not very big element. Two-third of the investments is going to working capital .
Garima : So, you are saying there are some seasonal factors here?

Arvind Agarwal : Absolutely .Also there are some payouts for the acquisitions we have made, so in the cash flow you have seen almost Rs. 70 crores that we have paid out for Earth Rhythm and LBB acquisition s.
Moderator : Thank you . Our next question is from the line of Jay Gandhi from HDFC Securities . Please go ahead.
Jay Gandhi : I am saying in a market place model , I am talking about fashion , is fulfillment cost a passthrough? If so, then why do we have a fulfillment expense line item in the first place?
Adwaita Nayar : So, it is a mix, you know there are many brands with whom we work on a more holistic margin structure and which will would not be split out and then there is small number of brands to which we split it out . The way to read the fashion P&L if we can go to the contribution margin s lide I can walk you through it. Right here in the second column you can see if I can draw your attention to the bottom side rows, so this is kind of apple -to-apple we are look ing at things and not fairly on revenue because revenue will have the impact of the commission / market place mix structure that affects our number, but in these bottom side where you can see that 44.6 % is the margin that we are getting typically from brands , these includes your product margin, it includes ad income, it includes services income . What I would say it is not all brands follow a very consistent structure, some we get an over-arching margin which includes all inclusive, but others we do itemize. This is the all -inclusive amount that we get from brands and then we make our expenses better than fulfillment , better than m arketing and so far.
Jay Gandhi : Second is on eB2B store, I wanted to understand in steady state , what does the working capital of that business look like , is it a negative working capital business or is it a positive one or deeply negative one or a neutral one?
Arvind Agarwal : Of course currently, it is in the buildup phase , so our inventory is around 45 days and we enjoy 30 days of credit from the suppliers , so there is some investment there , but in the long run, in this business actually it is possible for a negative working capital because you will still enjoy 30 days trade credit , but you will build out a network which will supply to these retailers almost every week or alternate week which means that you will be able to monetize it faster than what you stock up and pay to creditors. So, it is possible to have negative working capital, but that

is
few years away in my view .
Jay Gandhi : Got it and then no receivable?
Arvind Agarwal : No, even if we give credit to the trade, it would be financed by NBFC partner , so we do it right now prepaid or cash on delivery, but should the retailer choose to enjoy some credit or let us say 15 days and we pass it on to NBFC partner to fund them , so it is not our receivable at all, we do cash business.
Moderator : Thank you . Our next question is from the line of Tejas h Shah from Spark Capital. P lease go ahead.

Tejas h Shah : My first question pertains to BPC store expansion strategy , so we have now 121 stores in 53 cities, it looks that we are going forward over debt in the store expansion strategy, so just wanted to know the insights we are working with honestly ?
Rajesh Uppalapati : Our current status today , we have about 120 -130 stores across 53 cities. So, we do believe that it is already quite a wide footprint as you were saying. Now with regards to debts, certain cities like whether it is Delhi NCR or Mumbai or Bangalore, can have up to anywhere from 6 to 10 store whereas smaller cities might have just 1 or 2 , so I think we are taking a very measured approach. We understand the market well. We know where the demand lies, thanks to our e-commerce platform and we know where the customer lives. So, our purpose is to bu ild the stores where we know there is demand for the brand which we are selling. So, with the 2 formats we have thought the luxury store format as well as the on-trend store format, we know which catchment re quires which format of stores. So, given the cur rent formats we have as well as our current understanding of the market, we believe that as we said before publicly that about 300 plus stores are doable within the next couple of years. So, we are well on track to achieve that kind of roll out and it shou ld be across the top 100 cities . We have 53, so we will probably open the remainder of the store s across until we get to top 100 cities where we do see strong demand from our online business as well.
Falguni Nayar : But conceptually we have a f ormat where we are a destination store rather than neighborhood stores for now and we would retain that strategy as currently we are very focused on beauty rather than personal care and we are very focused on being destination store .
Tejas h Shah : Second question pertains to our inventory, in fact I have slightly different read on our inventory considering that Diwali and festive season is in 3Q and also the fulfillment center numbers have also increased considerably . I thought inventory has actually not gone up much , so just wanted

to understand how seasonality plays between Navratri, Diwali and festivity if you can represent how we should build for an inventory buildup in coming quarters ?

Falguni Nayar : Actu ally, on the beauty side, we work on about a 45 day forward looking inventory and for imported brands and some other brands, we may have over 60 days inventory . Within that we keep trying to optimize and buy the right inventory and for us in fact starting with Navratri the busy season starts , but at the same time our peak event is in November.

Arvind Agarwal : I think it is a 2 step up. One step happens in September end or beginn ing October. The second step happens in end o f October or rathe r beginning of November as our biggest sale is in November and then that will unwind towards the December. So, part of the step up you will see in these numbe rs, part of the step up you won't see in quarter numbers because that you will unwind within the quarter itself in Q3.

Tejas h Shah : And lastly one book keeping question if I may, other current assets have increased Rs. 130 crores odd from March balance sheet , so what does this pertain to?

Arvind Agarwal : Other current assets have increased because we have paid more advances to suppliers and that is because again and especially on our own brands , we need to reverse into supply chain from impor ting the raw material stage and since the own brand is now picking up as a business , so we have paid some advances there. I guess more of our working capital investment should unwind in quarter 3 and there is also increase in the GST balance which also sits under the same grouping, balance with the statutory authorities , so in line with inventory going up, GST input also goes up. Again , that is also ti ming difference , once we sell the inventory , then we will be able to offset this input against the output with it.

Moderator : Thank you. Ladies and gentlemen that was the last question I now hand the floor back to the management for closing comments. Over to you.

Falguni Nayar : Thank you everyone fo r being on the call and patiently listening to our presentation and our sharing of our business updates . I very much appreciate it. Thank you very much.

Sunita Sachdev : We would like to thank Morgan Stanley for hosting the call for us. This marks end of the call. Thank you.

Moderator : Thank you members of the management. Ladies and gentlemen , on behalf of Morgan Stanley that concludes today's session. Thank you for your participation. You may now disconnect.

Call: Feb 2023

FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136

February 17 , 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub: Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated F inancial Results for the quarter and nine months ended December 31, 2022

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Analyst / Investor Conference Call held on Monday, February 13, 2023 with regard to the Unaudited Standalone and Consolidated F inancial R esults for the quarter and nine months ended December 31 , 2022.
The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Investor Conference Call – Q3 and 9M FY23 Results.

Kindly take the same on record.

Thanking You.
Yours faithfully,
For FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

____
Sujeet Jain
Chief Legal and Regulatory Officer ,
Company Secretary & Compliance Officer
Mem. No.: F6144

Encl.: as above

"FSN E-Commerce Ventures Limited Q3 Earnings
Conference Call"

February 13, 202 3

MANAGEMENT : MS. FALGUNI NAYAR -- EXECUTIVE CHAIRPERSON AND MANAGING DIRETOR AND CHIEF EXECUTIVE OFFICER , FSN E-COMMERCE VENTURES LIMITED
MR. ANCHIT NAYAR -- EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY E-COMMERCE , FSN E-COMMERCE VENTURES LIMITED
MS. ADWAITA NAYAR , EXECUTIVE DIRECTOR , CO-FOUNDER , CHIEF EXECUTIVE OFFICER , FASHION , FSN E-COMMERCE VENTURES LIMITED
MR. P. GANES H -- CHIEF FINANCIAL OFFICER , FSN E-COMMERCE VENTURES LIMITED
MS. SUNITA SACHDEV – VICE PRESIDENT , INVESTOR RELATIONS AND STRATEGY , FSN E-COMMERCE VENTURES LIMITED
MODERATOR : MR. KAPIL SINGH FROM NOMURA

Moderator : Ladies and gentlemen, good day, and welcome to FSN E -Commerce Q3 FY '23 Earnings Conference Call hosted by Nomura Securities.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kapil Singh from Nomura. Thank you, and over to you.

Kapil Singh : Hi. Good evening, everyone. On behalf of Nomura Securities India, I'd like to welcome you to this Earnings Call.

On the call with me from FSN E -Commerce Ventures , we have Ms. Falguni Nayar – Executive Chairperson, MD and CEO; Mr. Anchit Nayar – Executive Director and CEO, Beauty E - commerce; Mr. Adwaita Nayar – Executive Director, Co -Founder, CEO, Fashion; Mr. P. Ganesh – CFO; Ms. Sunita Sachdev – VP (Investor Relations & Strategy).

With that, I hand over the call to Ms. Falguni for opening remarks.

Falguni Nayar: Thank you, Kapil. Good evening, everyone, and thank you for joining us on the call today. It is always a pleasure to interact with all of you. Before I start the presentation, I would like to take the opportunity to int roduce you to a new addition to Nykaa family. It gives us immense pleasure to introduce our new CFO, Mr. P Ganesh. Ganesh comes with 27 years of diverse industry experience in domestic and international markets. He joins us from TAFE Group. Prior to workin g with TAFE Group, Ganesh has held leadership position and senior management roles in India and overseas and has been associated with Godrej Group, Glenpharma, as well as Pidilite.

P. Ganesh : Thank you, Falguni, for the warm welcome, and good evening, ever yone.

Falguni Nayar : Thank you, Ganesh. I will also begin with a short presentation, and we'll be happy to take questions later. I wanted to share the results with you with an important backdrop. As retailers, we are very close to the consumption moment. A nd to put things in context is the seasonality in festive season that has been called out by most retailers. This has impacted quarter 3 '23 when you compare with quarter 3 of '22 when the entire festive season falls in quarter 2.

What this means is that f or this year, we had only 34 days of sales in quarter 3 compared to the previous year when it was 42 days. And that was because Navratri, an important festival was in quarter 2 of this year compared to earlier years when it was in quarter 3. So, this like -for-like comparison has impacted a certain growth in sales that I wanted to bring out right at the moment.

As we move forward, I wanted to say that the GMV for the quarter ha s come out at Rs. 27.9 billion, which is a 37% year -on-year growth and revenue has grown 33% and stands at Rs. 14.6 billion. Our gross profit at Rs. 6.4 billion for the quarter is about 25% year -on-year growth. And our EBITDA grew to Rs. 782 million, which is a 13% year -on-year increase. Profit before tax stands at Rs. 12 7 million and profit after tax is at Rs. 85 million. We can get into the details of

the gross margin as well as the composition of the EBITDA growth and PBT as we go through this presentati on.
With that, I recommend that we move to Slide 6. So, here, I wanted to show the 9 -month period where our GMV has seen a healthy growth of 42% year -on-year and stands at Rs. 72.9 billion and the revenues grew on a 37% and is at Rs. 38.4 billion. The gross profit also grew at 40% year-on-year at Rs. 17 billion for 9 -month period and EBITDA grew at 49% year -on-year with Rs. 1.8 billion. Profit before tax is at Rs. 298 million and profit after tax is at Rs. 187 mil

lion
0:04:45.3 .
Talking a little bit about v arious businesses and composition of the GMV growth. The beauty GMV grew at 26% on a year -on-year basis, while the fashion GMV has grown at 50% on a year -on-year basis. Both dot com and the retail businesses saw good consumer demand and some of the consume r rebalancing of demand has happened from online to offline, but that seems to have stabilized now. It was more pronounced in the last quarter for which we are talking about the results where customers were right enthused about stepping out, and we saw a g rowth in all our businesses.
Our new business delivered a Rs. 1.7 billion in GMV contribution, growing at 254% year -on-year, which we believe is a strong growth. These are early -stage businesses, but we are already rightsizing the inputs to keep the goal o f our profitable growth.
Moving forward on Slide 8, what you can see is that at Nykaa, we have created multiple engines of growth. Looking at the GMV contribution from 3 business verticals, you can clearly see that our desire to diversify and address large r TAM was the right thing to do. Fashion already contributes more than 1/4 of our consolidated GMV. And for a business that's less than 4 years old, it is commendable. At the NSV level, fashion contributes 14.6% of quarter 3 NSV versus 14% a year ago.
On the other s segment, which include eB2B, Nykaa Man, and International, we also scaled up significantly, led by the Superstore, which is our eB2B business, and that now contributes 6% of GMV, which is more than double what it was last year.
Our unique transac ting customer in the next slide continue to grow and for beauty, fashion and other s vertical. So, for Beauty, we are at about 9.6 million unique transacting customers on a trailing 12 -month basis. For fashion, the number is 2.4 million TTM customers. And i n the case of other s business, that number is 0.5 million, quite significant considering those are mainly the shopkeepers and other businesses that are customers there. We already believe that we are

transacting with 1/10 of the online shoppers in India at a very healthy AOV level as well as at a very healthy gross consumption level, which we will continue to penetrate further. I also want to highlight that we have retail customers, which were another additional 0.5 million, up from 0.3 million a year ago.
With that, I would like to hand it over to Anchit to walk us through the BPC performance for the quarter.
Why don't I continue for a bit till Anchit can join in. I think he was in a meeting.
Anchit Nayar : Sorry about that. I had a hard time unmuting myself, but I'm now on the call. So, thank you, everybody, for joining the call. I will pick up the slide deck from Slide No. 11 .
So, let me first start with a little update on the BPC industry in terms of the m arket size and the growth that we project over the next 5 years. These numbers have been updated by us in partnership with RedSeer. So, I'll kick it off on Slide 11. According to RedSeer estimates, the India BPC market was a $19 billion market in 2022, and it's expected to grow at a CAGR of 10% over the next 5 years to reach a market size of $31 billion by 2027.
Within that, online BPC is expected to grow at a much faster rate with a CAGR of 29%, followed by organized retail, which is expected to grow at ro ughly 14%. The online BPC penetration stood at about 15% in 2022, making it a $3 billion market, and it is expected to grow at 29% and account for a third of the overall BPC market by 2027, which will put it at roughly a $10 billion market by 2027. In the interest of time, I'll move forward to the next slide. There is some commentary on what the key growth drivers are of the BPC industry, which I will allow you to read on your own time.
So, coming to Slide 12, commenting on our growth strategy. We are focus ed around 5

core value
propositions :
• First and foremost is driving customer acquisition and retention. We are focused on acquiring and retaining customers in the evolving and rapidly growing BPC space.
Over the years, Nykaa has strived to create a loyal repeat customer base, and that is evide nt in the repeat versus new customer mix, our revenue mix, which we show on a

month -on-month basis.
• Second, we deeply value our relationships with our brand partners, both international and domestic, and we have always prioritized and sought to maintain a very symbiotic relationship with them on an ongoing basis.
• Third, is we continue to penetrate across the value chain and channels to further drive consumption and to truly grow the overall B2C market in the country. We have invested across the verticals to help serve our customers better, and this reflects in the launch of our eB2B business as well as our expansion of our physical retail footprint.

• Fourth, our house of brand strategy continues to evolve. We understand the gap that exist in the Indian BPC ma rket, and that has enabled us to develop our own house of brand across mas s to premium segment, keeping in mind that the Indian requirement is diverse across price points and consumption behavior.
• Fifth is Consumer Connect. We are a consumer -focused busine ss, and the consumer lies at the heart of every decision that we take. Nykaa has always tried to be in the forefront of consumer engagement and we have always focused on creating multiple content streams to help increase awareness among consumers, enabling them to make better purchase decisions.
Moving on to the next slide, Slide 13. I want to highlight certain key performance indicators that we track at the Nykaa level regularly :
• The first is our total visits were up 13% to 250 million f or the quarter, while our monthly average unique visitors were up 22% year -on-year. This reflects a very strong cohort of customers that we are attracting.
• We delivered a very strong order to visit conversion of 3.8% in Q3 FY '23 versus 3.4% in Q3 FY '22, 40 basis point improvement and our AOV has continued to sustain at Rs. 1,958 in the quarter ended December '22.
• Third, our GMV contribution from existing customers was 76% versus 74% last year, signifying better customer retention and loyalty, which helps drive the premiumization trend in the country. Our T TM customer base increased to Rs. 9.6 million in Q3, which was a 27% growth year -over-year. Coming to category growth, we are actively widening our offering s, which helps us drive penetration with a sign ificant depth and width of category offering.
If I look at our makeup category, that category has grown 12% year -over-year. The skincare category has grown 37% year -over-year, and health care has grown at 39%. Our other categories, which include Bath & Bod y, health and wellness, mom and baby, fragrances and appliances, have each grown at a healthy clip year -over-year.
Coming to Slide 15. We always maintain a deep and symbiotic relationship with our brand partners. And as of December 31, we had over 3,000 br ands retailing on the platform. Of the top 100 brands, we have a diversified offering across both FMCG brands, international brands, direct to consumer brands and luxury brands. And this is just the indicative of the diversification that we have managed to achieve in our core dot com business.
As you are aware, we host our largest flagship sale event of the year in November which is in Q3, that is called the Pink Friday sale event and that has continued to grow from strength to strength. This year, our Pink Friday sales registered a 40% growth like -for-like GMV with a 22% growth in underlying visits. We have seen strong performance across festive sales and we achieved almost 4 million unique visitors every day during the Navratri a

nd Diwali sales as well.

Coming to Slide 16, we remain committed to our core position as the guardians and as the creators of the Beauty ecosystem in the country, and we have facilitated this with marquee events this quarter, including the Nykaa Femina Beauty awards. This is our fla gship Beauty Awards event, which we host on an annual basis. It was not conducted in the last 2 years because of COVID. This year, we hosted once again with fantastic turnout with over 400 brand partners in attendance as well as multiple celebrities.
In ad dition, this quarter, we launched a partnership with the Estee Lauder Group of Companies to launch an incubator program called Beauty and You, where we partner to identify and support the next generation of beauty entrepreneurs with a non -equity grant.
Third, we were the partner of choice for Priyanka Chopra’s much awaited brand launch, Anomaly, in the country. This brand was launched exclusively on Nykaa and it was -- and it generated significant coverage given the celebrity status of Priyanka Chopra.

Comi ng to Slide 17. In order to help improve our customer experience, we have invested across physical stores, distribution channel as well as fulfillment centers , to help us be closer to the customer and to increase the customer delight. As of Q3 FY '23, we had 135 beauty and personal care stores across 56 cities, which achieved a GMV of Rs. 165 crores for the quarter ended December '22. Our physical stores now contribute 8.6% of our total B PC GMV versus 8.2% last year.

We distribute our own beauty brands across almost 2,400 plus general trade stores and 150 modern trade stores. We've also increased our fulfilment capacity. And at the end of the quarter, we have no w 37 fulfillment centers, which have a total capacity of 1.2 million square feet set across 15 cities in the country. This regionalization strategy when it comes to our fulfillment has allowed us to improve order fulfillment from within the state and as we ll as within the region. Now very few orders are being shipped across state borders, and this has made it possible for us to bring down our fulfillment costs, which you will see in the P&L in later slides.

Coming to Slide 18. Talking a little bit about our house of brands. Our own ed brand achieved a total GMV of Rs. 224 crores, which now accounts for almost 11.8% of our total BPC GMV. Our own brands GMV saw a 29% growth year -over-year in Q3.

Talking a little bit about the B2B business. We now serve almost 4 ,000 retailers plus through eB2B app Superstore, which is a new business in which we are investing heavily. The subsequent slide, Slides 19 and 20 are just some images of the key product launches, which we had across each of our own brands in Q3.

Coming to Slide 21. We actively engage with our customer and our platform. And this quarter, there have been some updates which we'd like to share with you. We revamped our loyalty program, which is now called Prive 2.0 and it is a tiered loyalty program to be more in line with best practice globally.

Second, we are now streaming personalized content on the Nykaa stream, which is our on -app video feature and this has helped us to drive awareness for consumption of beauty as well as education. We also invested in cre ating an educated content series known as the bridal series for the wedding season, which has achieved a reach of almost 15 million.

With that, I want to thank everyone for joining this call, and I will now invite Adwaita to discuss the fashion business pe rformance for the quarter gone by.

Adwaita Nayar : Thanks, Anchit. Hi, everyone, I look forward to discussing our fashion business for the quarter.

To begin with, we remain extremely excited by the sheer size of the fashion market. The fashion industry is 4x la

rger than the beauty industry. And according to RedSeer, the fashion market was $77 billion in 2022, expected to grow at a CAGR of 14% to reach a market size of $147 billion by 2027.

On that, online fashion is expected to grow at a much fa ster rate than the other segments at a CAGR of 27% and it will eventually be by 2027 a $49 billion size. The online penetration for fashion has been at about 19% in 2022 and is expected to be 33% of the total fashion market by 2027.

This slide here shows o ur focus areas for the business. And in the subsequent slides, I'll talk about each of these in depth. But touching upon these 5 here. The first is customer acquisition and retention and that is a key focus. We're working on this we are creating a strongly differentiated value proposition and focus initiatives across marketing and products. Second, building engaging and deep relationships with domestic and international brands and creating a comprehensive product assortment. Our third focus is investing and scaling multiple operating models to make brands available to customers while driving down inventory risk. Fourth, continuing to build our portfolio of owned brands, which are independent and consumer -first brands. And finally, fifth, investing in innovat ive ways of connecting with our customers led by experiential events and customer -facing technology.

Moving on, here we double click into our key performance indicators :

First, we can see that our total visits are up 19% to Rs. 137 million for the quarter, while our monthly average unique visitors are up 18% year -on-year to 19.4 million. Our AOV has held steady year -on-year with Q3 AOV MRP at Rs. 4,570 and its selling price after discounts at Rs. 2,526.

Finally , we're quite happy with our order to visit conversion of 1% has held up. This is up from 0.8% a year ago. A large part of this improvement is the result of both product assortment being better, but also in a large part, us attracting much better quality t raffic through marketing, which has been a focus for the last 9 months.

Moving on. Our trailing 12 -month customer base has increased to 2.4 million for the quarter, and that's a 50% growth year -on-year. Our GMV has grown at 50% year -on-year to Rs. 724 crores. Sequentially, this is a strong growth of 21% quarter -on-quarter. We're feeling good with the acceleration of the growth and do believe that our focused approach to building differentiation in our assortment is now working in our favor.

Finally, the cha rt at the bottom left shows the mix across women, men, home and kids . Women being about 70% of the business. And we do believe that the larger t hree, that is men, kids, home and others will present opportunities that we can choose to double take and accele rate at the appropriate time in the future.

On the next slide, we're going to talk about assortments. We now have 2,700 brands on our platform as of the end of December 2022, and this is up from 1,540 brands a year ago. There is a significant onboarding in the last 12 months, allowing us to present far more choices to the consumer . Additions have come across categories and types of brands, both local and international. However, with even rapid onboarding, the focus for us as a team remains curation . We are convinced that being tightly curated in terms of trend and quality is the core of our differentiation and will ultimately be our right to win.

We have taken advantage of the past quarter the festive season and have worked to strengthen our saree portfolio, adding brands like Kalki and Unnati. And we do believe that sarees are going to present a great growth engine for the months to come. In Q3, w e have also doubled down on our property called Global Store in which we're bringing the world's best fashion to India. It is now hit its stride, and we offer over 600 brands. This

particular property has contributed about
17% of the Western wear GMV. And I think this is striking because a couple of months ago, this property simply didn't exist.

Hidden gems, another property, which I've spoken about in the past as well, which includes emerging Indian designers and labels across the country, continues to be sought out actively by the customers and now contribute 7% of our total GMV. And finally, new season collection, which is another element to be truly fashion forward, have contributed about 17% of the GMV for the third quarter.

Moving on , the highlight of this past quarter has been the partnership that we launched with Revolve. As many of you know, Revolve is a noteworthy fashion platform in the U.S. And with this partnership, we have launched Revolve on Nykaa Fashion . Through this, we're able to offer the customer more than 600 international brands. I believe that what makes the partnership unique is a unique B2B2C technology that we have developed. And as per this integration, we now connect seamlessly with Revolve’s architecture. We reflect th eir catalog availability and pricing on our side with minimal manual effort. We don't hold any inventory and other push orders and do pick up on a daily basis and for the customer, it’s a hassle -free experience. The flow chart here depicts the journey that we've built out. And I do believe that the technology

we've built here can be useful in the future as well as stride partnerships with international companies.

Next, a key focus for us over the last couple of years as we've been building Nykaa Fashion, have been to d evelop a strong and flexible b ackend . While the majority of our business is driven by marketplace, we've built the tech in operations capabilities in -house to also cater via inventory models and other h ybrid models.

On the Marketplace side, that is the fir st component and the largest part of our business, we have built the capabilities to pick up inventory from both multiple warehouses and multiple stores. And as we speak, we're in the process of building capabilities to integrate with franchise stores as well. All of this will give us a lot more availability when it comes to assortment without actually having to hold inventory risk.

The second is the B2B2C technology, which I've already described on the prior slide with regard to Revolve. As I mentioned, this can be replicated as we onboard more aggregators. And finally, the third, whic h is our inventory -based model, we do have the capabilities to run this as well. And however, less than 20% of our business runs on this model. So, we have ramped up our warehouses as well to support the growth in this business.

Moving on. In quarter 3, th e own brand GMV stood at Rs. 90 crores, which was a 122% year -on-year growth. Our own brand GMV contributes 12.4% to the overall GMV of fashion and an even higher percentage if we were to look at it after discount. Also, from the GMV of Rs. 90 crores, 50% of that is actually contributed by the sale of these brands on third party platform. In the past, I have mentioned that these brands do sell on third -party platforms and that is all part of our vision to actually have stand -alone consumer -facing brands tha t are well known and provided to the customer at multiple touch points.

In the third quarter, there are 2 brands in particular that have hit significant size and scale. Up on the right, we mentioned Twenty Dresses, which has now hit Rs. 190 crores GMV annu alized and N ykd, which is at Rs. 80 crore GMV annualized. We've tried to also expand our under indexed saree segment, and we have launched a brand called "Nyri" . We also focus on distribution when it comes to some of these brands. And as you can see, we ha ve added 24 MBOs for Twenty Dresses and RSVP , taking the total count of physical presence for these bran

ds to
62.

Nykd by Nykaa, our lingerie brand, which I have again spoken about in the past is the brand that we remain extremely excited about. It is now present in 750 general trade outlets and has opened 2 EBOs with plans to add a couple more this quarter.

Moving on. We'll just flip through these slides, but this will give you a sense of the type brands and the type of products we're creating. We're actua lly generating a huge number of new products every quarter and we have built our capabilities in -house to support this level of growth.

Moving on. Finally, we're going to talk about how we're trying to stay engaged with our customer. This quarter, we condu cted physical events. We did do an event called the Global Store Fiesta, where we highlighted our global portfolio, and we did a very largescale event in Delhi called First in Fashion where we enabled brands to show their new season merchandise.

Finally, w e do believe that fashion the ultimate discovery problem statement, and there's a long tail nature of fashion that merits strong discovery features. How do you show the right product to the right person at the right time? We've made good progress in this r egard and we've launched hyper -personalized widgets on the home page. We continue to refine our recommendation engines and features at every leg of the app journey and it's all to drive product discovery and delight the customer s.

With that, thank you, everyone, and I'd like to request Falguni to take you through the eB2B business.

Falguni Nayar : Starting with the eB2B business. I just want to point out that, I mean, as you are all aware that with the eB2B business, we wanted to enter the large part of t he unorganized market, which is currently being serviced by mom -and-pop distributors and I think there was a need for a specialist organized distributor like ourselves who would focus only on the beauty category and to our many of the beauty brands, we wou ld offer now being able to sell their brands online, being able to sell them in our stores and also sell it to retailers from where it would onward move on to the consumers.

So, I think the business model was right as the disruption model, where being focu sed on beauty category, we would do the right thing in terms of enabling retailers in specialists where beauty was a big sale and enabling them with a number of all in one store, super service and delivery, a lot of flexibility, ability to increase their e arnings and also empower them with data and many more things that we can bring through a structured tech platform.

So, with that, we introduced the Superstore business. Moving on. I just want to say that from the business perspective, the transacting retailers has grown nicely to about 92,415 in this quarter, up from a very small number of 4,153 in a quarter or a year ago. So, almost 22x growth in transacting retailers and telling us that this is something which clearly, I mean, there is a place for this business. Also, the activation rate of registered retailer is as high as 69%.

From the brand listed perspective, again, t he number of brands on the platform has increased from 31 to 185, and a large range of national brands are coming in. This has grown by 6x again telling us that from both sides, from the consumer side, which in the case of retailer and also brand partners that we service, there's a clear need for this business.

From the number of city perspective, we now service about 652 cities, again, an 8x growth from 82 a year ago. And the orders that the business saw was about 216,000 orders, which again was 25x from a year ago quarter. So, clearly, the business has proven itself from size and scale and

later in our results, you will see that mix. We continue to build it in a manner which is right u

nit
economics.

So, can we move to the next slide? So, yes, with that, I hand over on the financial performance to Ganesh.

P. Ganesh : Thank you, Falguni. Good evening, everyone. I would like to take you through our Q3 FY '23 financial updates. As you can see on Slide 39, our revenues grew by 33% Y -o-Y during the

quarter . Our gross margin was at 43.4% during the quarter. We achieved an EBITDA of 5.3%, benefiting from our operating cost leverage. Our PBT margin was 0.9% during the quarter. We had an incremental impact of Rs. 66 million due to the Ind AS lease cost accounti ng, about which we'll dwell in greater detail in subsequent slides.
So, moving on to the next slide. I'd like to bring your focus on this slide and as we can see, we improved our operating costs over the year. Operating expense, as a percentage of revenue, was 38% in Q3 FY '23 versus 40% in the same quarter last year.
Regionalization of our fulfilment centers has enabled to grow at that rate. Similarly, rationalization of our marketing expenses has also helped us reduce cost. Fulfilment expense as a percent age of revenue was at 8.8% during the quarter versus 10.6% in Q3 FY '22, which is an improvement of 17 7 basis points Y -o-Y. Marketing cost as a percentage of revenue was 11.2% during the quarter versus 13.7% in Q3 last year, which is an improvement of 24 1 basis points Y-o-Y.
We saw a small increase in employee costs as we did ahead of the curve to funnel the growth of our new initiatives. Employee cost as a percentage of revenue was 8.7% during the quarter versus 8.5% in quarter 3 FY '22, a growth of 23 bas is points Y -o-Y.
Moving on to the next slide. Here, you'll see the waterfall, which will give a better understanding of our EBITDA margin change Y -o-Y. Gross margins, as you can see, has declined by 293 basis points during the quarter. And this has been pr edominantly due to seasonality reasons. And as you have seen subsequently, on a 9 -month basis, gross margins have expanded 79 basis points. If we were to look at gross margins on a trailing 12 -month basis, gross margins have expanded by 116 basis points.
Coming back to Q3, among other reasons, which has resulted in lower margins during the quarter has also been the strong growth coming in from our eB2B business, which comes with lower gross margins.
The strategic mo ot than the business provides remains key to our commitment to the segment while also providing an excellent India -wide distribution solution to our brand partners.
Fulfilment cost improvement, you can see has delivered 178 basis points through regionalization strategy and marketing efficiency ach ieved through better order to visit conversion has yielded

in 242 basis points. Selling and distribution profit has increased due to off -line distribution of our own brands and employee costs have increased due to investment into due initiatives and invest ments also into the technology function. Other expense increase has been primarily due to investment in infrastructure.
Moving on to the next slide. Here, the waterfall explains the movement from EBITDA margin to PBT margin, which gives a lot more color on the investments that we have been making and its impact by way of depreciation lease accounting. As we can see, depreciation increased Y -o-Y on account of incremental CAPEX in retail stores, warehouses as well as office space. This cost increase has been due to additional retail stores, warehouses and offices as we ramp up infrastructure. Interest on borrowings during the quarter increased on account of incremental borrowing, which was obtained to fulfil working capital requirement quarter 3 being our peak season. Lease cost as per Ind AS was higher versus cash lease cost. These are incremental impact of Rs. 66 million in quarter 3 FY '23 due to the Ind AS 116 accounting impact versus Rs. 46 million

in quarter 3 FY '22.
Moving to the next slide. Here you'll see our vertical performance, which gives you a good insight into the economics across business. I want to bring your focus to the bottom part of the table, where the cost items are calculated on NSV as the 3 business verticals are comparable on NSV basis . As you can see, gross margin for the BP C business was 45.4% during the quarter versus 47.5% in quarter 3 FY '22. Similarly, for fashion business, gross margin was at 43.5% this quarter versus 48.4% more in quarter 3 FY '22. And other s gross margin was 25 .5% this quarter versus 31.7% in quarter 3 FY '22.
We also saw improvement in our fulfillment expenses across businesses for BP C, it was at 8.6% versus 10.7% last year. For fashion, it was at 10.3% this quarter versus 11.6% for the same quarter last year. And for others, it was at 9.9% versus 12.3% in the previous year. We have also improved our marketing expenses. And as you can see for BPC, it was 7.9% versus 9.7% in quarter 3 FY '22 and for fashion, it was at 25.6% this quarter versus 30.9% in FY ' 22.
We have been investing behind selling and distribution expenses and for BPC, it was at 3% during the quarter versus 3.2% in quarter 3 FY '22. For fashion, it has been at 6.7% during the quarter versus 3.3% in the corresponding quarter last year. And fo r others, it has been at 16.4% versus 5.8% at corresponding quarter last year. Contribution margins have been maintained at 20.2% during the quarter with BPC accounting for 25.9% during the quarter. Fashion, the margins coming in at 0.9% and others coming in at minus 12.6%.

Moving on. Here you'll see the vertical performance for our businesses for the 9 months ended December 2022, where we've demonstrated improved contributions. After investing in customer acquisition and incubation of new businesses that a re deepening up, gross margin for 9 months has improved at 45.1% during the quarter versus 44.4% in quarter 3 FY '22 with BPC gross margin standing at 46.3%, fashion gross margin at 44.5% and other s contributing 25.3%.

Contribution margin has improved to 2 0.3% in quarter 3 FY '23 versus 17.9% in quarter 3 FY '22. BPC for the 9 -month period standing at 25.9%. For fashion, it was 2% during the 9 -month period and for others, it was at minus 22.1% during the 9 -month period.

Moving to the next slide. Here we hav e our income statement as FSN E -Commerce company where you can see that our revenue grew by 33% Y -o-Y to reach Rs. 14,628 million during the quarter. Our EBITDA margin was at 5.3% in the quarter versus 6.3% during the same quarter last year. And our PBT ma rgins came in at 0.9% and PAT margin was at 0.6% during the quarter.

All in all, I believe that we have continued to improve our scale efficiencies in a challenging macro environment.

Thank you, everyone, for joining on this call. I would now like to reque st Kapil to initiate the Q&A session.

Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and 1 on their touchtone telephone. If you wish to remove yourself from the questions queue, you may press “*” and 2. Participant are requested to use handsets while asking a question. F irst question is from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar : I have 3 questions. First question, Falguni, wanted to understand any particular reason for the slowdown in growth apart from the seasonality what you guys indicated. And we are hearing about consumer slowdown across the board. So, I just also wanted to understand your thoughts on the impact of that on cosmetics and fashion.

Falguni Nayar : I think clearly I mean, the fact that about 8 days of sale was less in festive sales than it was in the second quarter compared to third quarter for the previous yea

r, that would take away at least 3% or so in terms of the growth. So, that clearly was one differentiator. And I think in addition to that, we do believe that in terms of this third quarter of this financial year, it was quite strong, but at the margin may be slightly impacted in terms of consumption beca use of what's going on in terms of discretionary spend. But like you can see we've grown nicely and we've acquired customers nicely. So, I wouldn't call it that it was a difficult quarter at all.

But in such difficult environment, I think it does shave away a little bit from the top in terms of consumption. I think there could be slight down trading from certain types of brand to slightly cheaper brands, but nothing in a very meaningful way that would be of concern. But it does feel that at some le vel, some amount of growth was shaved off the top. And more for the festive Diwali rather than our Pink Friday sales, if I may call it.

Sachin Salgaonkar : Thanks, Falguni. Second question on gross margins. It was clearly down both on cosmetics and fashion. And I do see some comments saying that there were higher brand discounts as well as consumer downgrades. So, again, I mean both for revenue as well as gross margins, do we see this likely to continue with an impact and see further pressure on margins goin g ahead?

Falguni Nayar : Not really. We do feel that the previous comparable quarter a year ago, the gross margins were at a very, very healthy rate. And hence, we are guiding everyone to look at it on a 9 -month basis. And you can see that on a 9 -month basi s, there is no erosion of gross margin. And in fact, there is only improvement in beauty and flat in fashion. And even on the B2B business, clearly, the other s business includes focus on the store business where we've been guiding that the gross profit mar gin is at around 15% compared to this overall mix, which has certain other new businesses like Dot & Key and Nudge and Man. So, it's very difficult to judge from this.

So, I would say a lot of it is a mixed issue and more of a category mix issue also in some ways and some ways not really. I keep saying that we don't have one cement plant where the raw materials going in and final good price is determining the margin. We are working with 2,000 brands in both beauty and in fashion where the mix of the brands, the margins, the advertising income and many other things can vary. And sometimes there could be certain differences from quarter -to-quarter. I think Nykaa also needs to learn to improve it on a smooth bas is.

P. Ganesh : I guess I'll just add over here that if you were to look at gross margins on a trailing 12 months basis, you can see an improvement of 116 basis points. So, that also gives a reflection that over a period of time margins only improved.

Sachi n Salgaonkar : And my last question is any broad sense you could give us in terms of the mix of GMV between, let's say, online, offline, eB2B right now? Or where we could see that mix, let's say, in the medium term?

Falguni Nayar : Yes, online, offline, we'v e been giving the numbers. I think online in spite of growing our stores quite aggressively to now a very large number. Our online, we have been saying that our offline sales in beauty still account for less than 10% of our total sales, which is about 8.6% for this quarter and 8.1% on a 9 -month basis. We will continue to roll out more stores, and there could be you should expect another 50 more stores for the next year. But I think e -commerce will also continue to grow. So, that's on the physical store picture.

As far as B2B is concerned, I think, like you saw, I think the way we treat that business is that we do feel and you tell me whether this is wrong, but we do feel that B2B business in beauty is very strategi c and will give us a huge advantage in the long run to be

involved from entire, when an international brand comes into Indi a, we are their distributors, not just for, we do their e -com sales, we do their physical store sales, even if they go to other moder n trade channels we handle that and we also ha ndle general trade. And besides makeup which sometimes can manage our narrow distribution, most of the skin care and hair care do need by distribution.

So, I think this G T/MT distribution, which has been a key to success of FMCG companies, they have never offered it to third party. And what we are trying to do here is build a third -party GMV distribution platform that is so all our brands, our private label brands, it'll serve our import brand, and it will also be available to third -party brands to benefit from. So, we think this as a disruptor business. It can grow very fast in terms of revenues that we can service. So, orders and

revenues will grow very fast. However, the inherent structure of this business wil l be about, say, 15% gross margin to start with; in the long run, 10% to 25% if we add other values like technology and data. But in the short term, it started about 15%. And we have to manage the fulfillment costs below that. Right now, we are trying to w ork on unit economics segment allow us to manage fulfillment costs in a healthy territory.

And selling and distribution expenses, which is feet on street expenses to build the retailer engagement is what replaces the marketing cost. So, I think we can, at some point, do a more detailed presentation on unit economics. Maybe we'll plan for it at the end of the financial year after the March results, but the plan is to have a really clear unit economics that will give confidence to everybody that we are on the right track to build the right business for the long term. And in others, that is the one that moves the needle. Others are very small, not very small, but small relatively.

Moderator : The next question is from the line of Vijit Jain from Citi Group. Plea se go ahead.

Vijit Jain : My question is within the BPC business, Anchit called out makeup grew 12% Y -o-Y. Other categories obviously grew faster. Is that also seasonally driven because this is usually a seasonally strong quarter for makeup in general, righ t? That's my first question.

Anchit Nayar : Maybe I can comment. So, look, I think there's 2 things to keep in mind. One is that if you remember last Q3, it was really a standout quarter for makeup in the sense that makeup buying had been subdued due to the pandemic for a couple of quarters before that. So, we saw finally in Q3 last year return to social events, weddings and generally people getting back to the office. So, we saw an improvement in makeup consumption. So, I think makeup was coming off from a slightly high base, and that's why you see this 12%, 13% growth versus the overall growth at 26%, 27%. And as I said, other categories are growing a lot faster. So, I think that's the main reason.

I think the second thing is there is a big focus from us to expand the customers. The width of the assortment that the customer is buying on our platform and make up and skin care, are the 2 dominant categories that we 're really investing behind growing hair care, fragrance, appliances and others, which we think longer term will increase the basket size and therefore, the average order values to the customers as well.

Vijit Jain : Got it. Thanks, Anchit.

Falguni Nayar : Just I'd lik e to point out is that a lot of th is data that we're giving on growth is online, and there is a fair amount of uptick in offline sales growth, I think offline sales growth throughout this year has been very robust and offline, a lot of makeup and skin care is sold in our offline stores. But it is not a consolidated number.

Vijit Jai

n : My next question is for owned brands, I noticed you mentioned the revenue run rate for a couple of brands on both BPC and fashion. My question is, is there a threshold revenue run rate at which you think they'll start generating positive cash flows or a target ROCs for you? I would imagine given your own distribution platform, it would be lower than for other D2C companies, but is there a threshold for that?

Falguni Nayar : Yeah. So, our beauty brands are all profitable. They are profitable and they contribute to positive EBITDA after giving all the retailer margins on an arm's length basis. So, we do believe that beauty has always been very profitable for us. The right annual GMV run rate at which the brand becomes significant is about like Rs. 100 crore revenue run rate when the brand can start for investing in the brand from a marketing perspec tive. So, it becomes an interesting point. And that's why we started reporting the brands which are above Rs. 100 crore revenue run rate. So, that Nykaa Cosmetics, K -Beauty, Dot & Key that is 51% owned by us. And a couple of our other brands are also very close to Rs. 100 crores in the beauty category.

On the fashion also, while all of the fashion brands together, most of the old fashion brands together are close to breakeven levels. And at least 2 of them are now trending towards the Rs. 100 crore revenue run rate. So, Twenty Dresses which is something we had acquired a couple of years ago, 4, 5 years ago, and we've really built it out to now almost Rs. 190 crores revenue run rate and Naked is also now trending close to Rs. 100 crores. So, for both these no w, we have strategies for doing MBOs, EBOs, we are selling Naked through general trades. So, all that means that now we are handling it like beyond the D2C brand and investing in the future. We are very excited about our performance.

Moderator : The next qu estion is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon : Just take a step back 3, 5 years back when there was abundant capital availability, a lot of D2C brands coming to the market, et cetera, versus that sort of a tailw ind over the last few years versus, let's say, the investment winter we are going through currently. Two questions now. And if you could break up the beauty growth in terms of, let's say, the chain store growth concept in online versus, let's say, the new brands coming in and some color on that. And how does that, let's say, translate that into revenue, for example. I would assume that you will charge a listing fee or, let's say, the new brand coming to you probably have a knock at your door for a long period of time, quantitative and qualitatively.

Just some color on that. So, what I am trying to understand is your growth potentially could have been far better had they been a tailwind. So, what's the growth sort of with the tailwind without the tailwind is the question.

Falguni Nayar : I think what you're trying to asses is an extremely complex information for a large platform with 2,500 brands where top 20 brands, top 50 brands can change very rapidly over 3 months scenario, but definitely over a 1 -year scen ario. So, we are a very dynamic real platform that is really doing very, very well. So, if I were to tell you our top 100 brands, 22 of those are international brands,

17 are FMCG brands, 30 to our direct -to-consumer brands, which is clearly a very recent phenomenon over the last 2, 3 years. You see so many D2C brands stack up in the top 100 brands.

But we must remember that they are backed by a lot of investment in marketing, and they are all operating at negative profits or negative EBITDA, whereas the tr aditional international brands and FMCG brands are not doing that. They are investing within their internal profitability, if I may say so. Then there are 10 Lux e brands in our t

op 100 brands and 7 global brands. So, it's a very dynamic platform with lots happening.

What you have to remember is that we get 1 billion more plus visits on our platform from 25 million unique visitors every month. There are more than 10 million, like when we did Pink Friday sales, on 1 day alone, there were more than 10 million visits. So, we are a must have platform for any brand that wants to launch and build their brand in the country because of the customer cohort that we already have and how dynamic we are in terms of being able to activate those customers towards all of our brands.

And each of the brands, e ven the most larges t brands, like, say, some of the largest brands, mass brands like Lakme and Maybelline , also get more than 60% plus of new customers through us every year. So, it's a very, very dynamic platform that keeps adding customers to every brand.

Manoj Menon : Than ks for the clarifications or some comments about eB2B a little earlier, it was very helpful. But one follow -up on the eB2B is essentially that in general, there is an investor perception that given the MRP regime, which is very unique to India, there is on ly so much, let's say, distribution margins, which is very finite, which is available for any player however differentiated the offering may be. So, is it fair to assume that eB2B for you from a profitability point of view at scale is a reasonably long ges tation? Now the other point is that because you are one of the unique players who's got the end -to-end capability, which also means that it is a very high entry barrier business. So, how do we look at this, let's say, from a 3 -, 5-year sustainable meaningf ul

profitability metrics point of view?
Falguni Nayar : To be honest in all of the distributors or big companies like Hindustan Lever or P&G or all of them and they all have thousands of distributors throughout the country. And all of them are from small mo m and pop shops, who are not going to lose money on behalf of the company itself. So, in my opinion, if the eB2B business is done right, and especially in our industry where the distributor c um retailer margins are not small, I do feel that you can really add value, especially through that, you add data in terms of what the retailer should stock, the flexibility to allow them to buy a mix more frequently rather than by the minimum sizes that oth ers may ask. So, there's a lot of advantage a shopkeeper has by dealing with people like ourselves. So, I think the main thing is the business is to remember that it's a B2B business and not a B2C business. And hence, in the long run, fulfillment costs and marketing costs need to reflect that and the

overhead structure needs to reflect that. And if one doesn't do that, then it can be quite a dragging phenomenon.
So, where we are is that we have set up almost 11 to 15 warehouses, which take us closer to the customer. We are going to do more business where we will stay within 200 to 300 -kilometer areas of our fulfillment center. We will not jump in anywhere and everywhere. I think it's a business that we are doing very smartly where we will service shopkeepers in a certain there will be a fulfillment center in a certain square kilometer radius of that. We will focus on selling. So, I think if you do it right with the right unit economics, I think it can work. And the power it gives and barriers it creates for e ntry for future and power it gives to build brands in India is going to be very valuable in the long run.
Manoj Menon : And if I may, just quickly, please allow me to relay an important conversation point with investors over the last few months at least. Ju st some quick comments about how do you think about capital allocation in general? This question had essentially come up in the last, let’s say, 6 months post your GCC foray, et cetera. While I co

mpletely understand the disclosures you have done about the market opportunity there, this is just sort of a hanging question about incremental capital allocation, how do you see that over the next 3 years?
Falguni Nayar : So, first of all, for us, beauty online, offline, so consolidated beauty business is very impo rtant. And in our opinion, we should never under invest in that, and we will continue to acquire customers for the beauty business, both online and offline. And also, we would like to build private label brands in beauty and become say, a consumer company like Estee Lauder or L'Oreal coming out of India. So, that is No. 1 priority towards investment, and I don't think we would deprive this business of any amount of investment. Investment in inventory and warehouses and stores will be needed to continue to s upport it.
But at any point, you can pull back all those investments and continue to grow online and customer acquisition is another big investment we make. So, I think this business has seen a huge amount of investment in customer acquisition, investment in fulfilment center, investment in stores and investment that we've done in terms of building tech capabilities towards this business. So, I think there is a fair amount of investment going in there. And this business is not deprived off that.
But yes, the profitability of this business is being used to build new businesses, including fashion. So, you can see that the profitability, like if you see the EBITDA level, the EBITDA gross profit of BPC would have been Rs. 523 crores. And that to some of that has funded or say contribution profit is Rs. 298 crores, and some of that has funded investment in fashion and B2B. So, yes, we're taking the profitability of this business to expand our TAM and invest in fashion. In fashion, we are very clear that as the equation between new and returning customer builds up and it keeps improving with every passing year, fashion is just the fourth year of the business. But as the situation improves, we are confident that we should be able to bring down the

marketin g costs from current levels to just about 15 or mid -teens to late teens, and that itself will be very profitable. And on the B2B business, it's literally first year. We are very happy with the scale and the retention and reactivation numbers. And we do bel ieve that it will need another year or two of investment before we can talk about being profitable. But none of it will be massive losses. So, like contribution margin, even this year, it was only minus 12.6% negative and next year will be lower.
So, like I said, path to profitability is clearly in our mind, and at the moment, we are only investing in these 3, 4 businesses. So, beauty like I already spelled out, fashion, we’re also building some private label brands, but investment is less than Rs. 4 , 5 crores in those. And with

fashion platform itself , we've been investing, but it will turn profitable over time, and B2B business where we are investing will become profitable.

I think GCC, we see a very, I joke about it that in India we are customers, but we struggle with the wallet. And in GCC, the customers have the wallet. So, I think it can potentially be a very profitable business, but we will be very measured. And I think it's a market that will have a lot more dominance of physical retail compared to e -commerce. So, the mix will be a little different, like mix could be 50 -50 and also the fact that the physical retail in those markets can actually turn profitable very quickly compared to India.

Moderator : The next question is from the line of Manish Adukia from Goldman Sachs. Please go ahead.

Manish Adukia : My first question is on the fashion business. So, Falguni, on the first question you'd mentioned that some impact on the top of the pyramid, a bit shave off growth, di

scretionary spend impac t.

Now on the fashion business, when we look at this quarter, growth actually accelerated during the quarter. So, can you actually talk about the difference in dynamics between the fashion and the BPC growth during the quarter?

And a related question, when we look at 1 of the explanation in the slides around gross margin impact and where you mentioned consumer downgrades as one of the reasons, just trying to understand what you mean by consumer downgrade because A OVs have moved up in the quarter, both quart er-on-quarter and Y -o-Y. So, if you can just explain what do you mean by consumer downgrade there.

Falguni Nayar : I think consumers sometimes and I mean none of these are like what you have to remember is that these 2,500 brands with lots of trends being a round, so none of those are like dominant long - term trend. So, we do expect that, in general, in the industry, there is premiumization and customers are buying more premium products. They're buying more luxury products. But if you look at it, at least last 1 year, there has been some amount of, I mean customers are down trending at least in certain categories from luxury brands to premium and mass brand. So, there is some amount of that going on. I think it could be short -lived and it can change. But yes, t here was some amount of inflationary pressure, which is making customers hold back or choose a slightly lower category of product.

Adwaita Nayar : I think just coming in on the gross margin side of the question, at least I think we definitely want to draw t he attention to Slide 44, where we show sort of the 9 -month number because even that is quite clear, we have said this before in this call itself. But from that it’s quite clear that if you look at both the businesses, BPC and fashion, on a 9 -month basis, there is an improvement on both. So, fashion has gone from 43.7%, gross margin at N SV to 44.5% and beauty gone from 44.7% to 46.3%. So, we would encourage folks to look at the 9 months numbers and there's no sort of plan to deteriorate the margin at all.

Falguni Nayar : So, even in fashion, we have a lot of imported brands. Now we are doing business in Revolve. We are doing business in a number of imported brands like Cider and all of that, you can see. So, there are a lot of mix changes that happened from quarter to quarter while we are trying to make sure that we try and manage all this in a more uniform manner, but please appreciate that the current mix changes that happen, new launches that happen and the impact it can have some time in the near term.

Manish Adukia : My second question, again, just continuing on the fashion business. So, clearly, I mean, 50% Y - o-Y growth in this quarter, AOV still holding up quite well at around Rs. 4,000. Just trying to understand, I mean, do you think this kind of a grow th rate could sustain with the kind of AOVs that you have? Or do you think to keep growth rate elevated we’ll have to compromise a little bit on AOV.

And Adwaita to your point earlier, I mean, you called out gross margins for the business. Clearly, across both BPC and fashion gross margins are currently comparable, but there's obviously a fairly large difference in the contribution margin. So, as we think that 3 years out, do you think given contribution margin for these 2 businesses could be comparable?

Adwaita Nayar : Yes. So, in terms of growth, I think we're pleased with the kind of the fashion growth that’s come through the quarter. I do feel it's the work of many things coming to effect, whether it's the brand assortment, whether it's some of the fabulo us international wins that have come through, whether it's just breakthrough on the marketing side.

As I've always said in the past calls as well, perhaps it’s never topline at any cost. It's always at the right marketing. So, I think somewh

ere this quarte r, the ratio and sort of the mix that we wanted from a marketing cost perspective also lined up. So, there were at least 2 or 3 different things that propel the business forward. Everything from assortment to product features to the right marketing return. So, the quarter has held up. I would like to maintain a sustained sort of

growth trajectory for the fashion business.
Obviously, with every passing quarter is on a higher base. So, that is something to be kept in mind, but this does feel like something we should be able to kind of hold on to. From an AOV perspective, we'd like to hold this AOV, and I definitely feel at least for another 12 months at least, there is no requirement to reduce the AOV to kind of grow in the way we want. So, for the

near future , there is a focus on maintaining the AOV. And I do feel that this AOV is important from the perspective of having the right unit economics to make the business work.
Falguni Nayar : So, having said that, Adwaita, we should say that the AOV is not something we insist, this is what we discovered that our customers are coming out at that, right? But it is coming from a perspective that we are not flooding them with trying to give a lot of ch eap products in terms of discovery or trying to give them a lot of discounts to convert, and that's how the AOVs are holding up. We take pride in the fact that such a large percentage of our sales happens at full price. A large of our sales is happening of the new season, and that also has lesser discounts. So, I think it's all baked in many of those things rather than being rigid about holding the AOV.
Adwaita Nayar : Right. And then coming to the question on just where do we see the contribution margin end ing up. So, again, if we go to the Slide 44 only, where you can see the 9 months number for the 3 verticals. Over time, our ambition is definitely gross margin can get to kind of beauty levels. I think some major flex in the next 12 months obviously come t o the marketing and advertising line item, which is 25.5% of NSV today. And I think there are big strides that we would like to make in this line item itself.
So, I think over the long run, definitely getting to EBITDA breakeven is a key priority for fashion, but that's the medium term, and I think in a longer run, getting to a similar cost structure of beauty does seem attainable and something we can strive for.
Falguni Nayar : I just want to comment and say 1 thing I believe in that there's a lot of i nefficient marketing in what you call performance marketing. And one has to constantly optimize and reach a good healthy balance between reaching the midst of customers that you'd like to engage with and convert on your platform over time. And not doing th e full expenditure that is just chasing the visits, so just chasing sometimes the downloads, which are never going to convert in any healthy manner.
And finally, what you want is the L TV of the customer or the right annual consumption value from that custo mer. So, Nykaa clearly is optimizing all the campaigns from these parameters rather than chasing any numbers like any artificial visits or app downloads or a lot of traffic come through wrong mediums that will never convert in any meaningful way. And somet imes just certain incentives are given to convert for sake of converting. So, I think Nykaa stays away from most of those.
Manish Adukia : Very helpful explanation. Thank you so much.
Moderator : The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh : So, my question a bit long term. We have seen a projection of close to 30% growth of online business for both beauty and fashion. I just want to understand how do you envision Nykaa's

growth in comparison to that? Will it be

similar? Will it be much higher? What do you envision?
And what are the top 2 -3 new initiatives that you need to take to get there?
Falguni Nayar : Anchit, do you want to take that, Adwaita? Or should I take it?
Anchit Nayar : No, I was just saying that for BPC, we believe that the market, as I showed earlier in the slides, will grow at online BPC will grow at roughly 29% and the overall BPC market will go at 10% CAGR over the next 5 years. And we feel confident that we'll continue to grow in line, if not slightly faster than the overall market despite us already being one of the larger players on the online side. We continue to see and are confident in healthy growth and maybe possibly faster than market growth on the online side due to multiple factors, incl uding premiumization, including depth and width of assortment as well as availability. And finally, increasing awareness should drive increasing basket size of the customers.
Adwaita Nayar : I think on the fashion side, we see that the overall fashion industry is growing at 14%. And within that online is growing at 27%. So, most definitely, fashion will grow faster than the overall growth rates for the online segment given that we're a new ent rant, given that we're on a lower base. That being said, I think all of you know that we were sort of playing, slightly more creative zones. So, I think it's not going to be growth at any cost. It's going to be kind of ho lding in on the positioning and the differentiation that we're going forward. Within that world being a very, very sort of No. 1 choice for the customer. So, just to summarize,, I think we're definitely

growing faster than the 27% but also keeping in mind that for now at least our focus on positioning and differentiation holds.

Kapil Singh : Can you also touch about any new initiatives that you need to take to get there?

Adwaita Nayar : Yes. I mean, I think to answer at a high level, I think it's the same . First, we start with fantastic assort ments. Just this year itself, I think you see that we've added 1,200 brands or so. I still feel there are a lot of strategic brands you still need to wear and we still need to add. So, assortment itself will trigger quite a bit of growth. That side we are already doing in India. Then of course, we can go abroad as we've been doing. That I think again will be a big unlocker of growth. So, I think assortment remains one.

I think the next remains of the customer journey, the retention. I think holding the cohort to ensure that the r etention rates are exactly as aggressive as they can be is something that will drive significant growth. At the same time, new customer acquisition, of course, is a focus and ensure that every year there is a significant increase in new customer acquisition.

And then finding a third market, I would say the app experience. So, a lot of focus on making sure that there are very few friction points for the customer. The conversion rate is improving. And importantly, my favorite topic, which is just the discovery that the customer is really being able to discover what they want, which can be done through like fantastic personalization and

product features. So, assortment, retention of customers and new customer acquisition and finally, product features that can drive discovery and conversion rate.

Kapil Singh : Second question is on gross margins, particularly for BPC business. What I want to understand is when you look at over the next 4 to 5 years, do you think you are closer to the rig ht level? Or do you think we have reasons to believe that even the gross profit margins could have good headroom to improve? And if so, what are the reasons?

Falguni Nayar : I think the beauty gross profit margins are at a very healthy level. But as you are aware, it includes the advertising income because we have so many eyeballs fro

m really the relevant beauty customers, even though with very high conversion, unique conversion, but still, I think, at 3.5% conversion, which means that any advertiser can get so many more relevant eyeballs to focus on their products. So, I think Nykaa's effort is to become bigger on the ad platform side, and we have some investments being made to be a very significant player on that side where we work with our brands to add mo re value and give them more sophisticated ad experience on our side. And that can help us improve the gross profit margin a little bit. But from a product margin perspective, beauty is in a very good pace already. And then again, our private label share ca n also determine a higher gross profit margin.

Moderator : Thank you. The next question is from the line of Amit Sachdeva from HSBC Securities. Please go ahead.

Amit Sachdeva : Hi, Good evening. Thank you so much for taking my question, My first question really on like Falguni alluded to 3% impact on growth, purely on cyclicality because of the days were different. But as you go in, just looking to whether January and February so far, have you seen, has it shown some amount of more normalization even if, say, same growth rates sort of structural trend, is Jan -Feb looking better than like last quarter? Could you give us some amount of thought on how marginal growth is shaping up on demand side purely?

Falguni Nayar : So, I think October, November, December is a seasonally strongest quarter, and it's difficult to replicate that strength in a quarter basis. So, on a quarter -on-quarter basis, I don't think Jan, Feb, March can be massive growth over previous quarter. But on a year-on-year comparison, the Jan - Feb-March is definitely likely to be recent because I think it did start with that. I think it has all to do with how the wedding days start in India and all that, and that has made this quarter a little more interesting th an it would normally have been. We also have one more sale which is Pink love sales this year.

Amit Sachdeva : My second question is actually on gross margin, which I'm trying to sort of understand the moving parts. One is on BPC where the margin impact on Y-o-Y is less, and fashion optically is higher if you take the gross margin purely on the revenue basis. Coming to beauty, is there some rather than down trading or something else. Is there also effect that's playing out where some brands are really iconic in their category and they tend to give lower margin, but they may advertise more on the platform versus some new brands, which are like they don't have such

massive advertising budget, but they can give higher margin for being on the platform and maybe spend less on advertising.

So, in some sense, is there like a mix shift happening where iconic brands are growing much

more in a dominant way? But newer brands or D2C or something which have lesser presence, it's not falling by the wayside, but maybe they a re sort of plateauing. Is that sort of trend that you're seeing, which is also in part reflecting in the margins because as we say that iconic brands will probably pay lesser margin, and that's what is slightly more structural than cyclical.
Anchit Nayar : I'll come in on the BPC side. So, I think the short answer is no. I don't think there's any generalization we can make on that point. It's really a mixed bag. As we said out of the top 100 brands, almost 30 of them are direct -to-consumer brands, right, who come up in a very short span of time. And also, when I look at the margins, to your point, I wouldn't call them iconic. What I would say is FMCG, CPG brands, more established MNC companies, they may give slightly lower product margin that they make up for in advertising. But even equally so on the direct -to-consumer side, they give higher product margins, but they also are, as we mention

ed
earlier, are well funded and are willing to spend heavily on advertising to acquire customers from probably the most r elevant platform for customer acquisition that they have in the country today, which is Nykaa.
So, I don't think it's really this MNC or this FMCG versus D2C debate. But as we said, it's really hard to pinpoint because it’s 3,000 -plus brands and some being luxury, some big mass, some being hair, skin, makeup, multiple categories, multiple types of brand. Some brands might go aggressive in 1 quarter and slightly less again in another, depending on their own ability to pay and spend. So, I don't think there's any generalization we can take out of this for coming quarters.
Amit Sachdeva : So, there is no real structural thing here. It is just what it is right now because of the seasonal change in mix and things like that, that would just impact margin temporaril y.
Anchit Nayar: Yes. And also, as we said, I think we said, 300, 400 basis points of growth was preponed into Q2, which is worth noting. And there has been a slight return to travel. Travel Retail was back in the quarter as was physical retail. In physica l retail, we are becoming a very large player and we are soon to become the largest on the beauty side. But still, there are other players, and it's a very unorganized market offline. So, I think online to offline, into category shifts, some amount of pull back from luxury just for the quarter. So, I think it's really an interplay of these couple of factors.
Amit Sachdeva : But on the gross margin side, again, like if you look at the headline basis, the fashion was 81% and now 70% in a bit. So, it obviously c ould be optical. But I just wanted to know whether it's also driven by like a mix changing because more you sell your own brands, optically, it reduces gross margin because the marketplace would theoreticall y be 100% gross margin category because it's net of all expenses and COGS. But your own brands come with certain COGS as well. And hence, probably shift from 8.4% to 12.4% is perhaps optically gross margin reducing,

but it might increase the value capture anyway. It is also playing out. Or is there any o ther factor which has also led to some drag on fashion side?
Adwaita Nayar : No. So, on fashion. I think you're understanding in terms of owned brand o r private l abel is not correct. I think the gross margin would increase on the private label front. If you go to Slide 44, I think the metrics that I would draw your guys’ attention to is actually the last 5 rows on the bottom, which is on N SV. So, that normalizes for any market -based inventory diverse mix.
So, first and foremost, private label share and ex pansion of that will increase this percentage.
Again, I think what we're trying to kind of say from a margin perspective is that we like to kind of focus on the 9 months trailing. I think there's a lot of seasonal understanding and changes that keep happen ing to the business, whether it's regarding income, whether regarding costs. And so, I think we have some work to do in that regard as well. But if you look at a 9 -month basis, there is an improvement.
And like I said before, on the fashion business, we ac tually don't see a decline in gross margin going forward. We would like to hold it or improve it, and we feel very confident in that.
Falguni Nayar : Yes. In fashion, a year ago, I think it was a small business. And in terms of discipline of booking, so wha t we are saying is from quarter -to-quarter, there may not be a good discipline of booking things in right quarter. So, that’s why 9 months takes away those differences. That is why we are highlighting that.
Moderator : The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi : So, my first question was which was Falguni, you talked about some down -tradi

ng and some
weakness in demand. Even though the AOVs held up, so is it correct to say that the number of products in the basket actually went up? Is that a fair assessment here?
Falguni Nayar : No. I think my comment on down trading is being seen in a much bigger light than necessary. So, I just want to say that honestly, in terms of down trading, what I meant was that there is a lot of growth in certain price point brands, which are growing very rapidly all across. So, like, for

example, if you see many of those D2C brands like whether Minimalist or Swiss Beauty or so many of those brands are growing quite nicely, and they all tend to be slightly lower price points than their Lux e equivalent. So, if such large brand proliferation of D2C brands in India was not there, there would have been bigger growth of many of the luxury imported brands. So, that was the only limited point I was making.

It's a very complicated point to make because, again, if you look at FMCG, those were always very mass brands. So, I'm not talking about the mass brands at all. I'm talking about a little bit cheaper products that kind of imitate the i nternational luxury brands and sometimes Indian consumers are okay to consume those. That's the kind of down trading, I was talking about.

Sheela Rathi : And how would you look at the competitive intensity in this quarter, both from online players in beauty and fashion retailers on the offline side? I mean, for both the businesses, has there been anything which is monitorable for you on the competitive intensity side?

Falguni Nayar : Think this is for beauty. So, Anchit can answer. Anchit, are you there?

Anchit Nayar : Yes, I'm here. So, I think there's been a lot of noise in the system around increase in competitive intensity. And this is something which has probably been discussed a lot since pretty much we went public as a company. I think, as I'v e always said, there is an on and off focus on this category from some of the horizontals from time to time. But nothing that we feel is really going to impact the growth because we have to realize that the consumption in India is so low on a per capita ba sis, and there is such an active room to grow. And Nykaa is still seen as the destination of choice for beauty brand as well as for beauty consumers.

And I gave a couple of examples earlier when I spoke that when Pr iyanka Chopra launched her brand in India , she had the choice to really partner with anybody, but she chose to come exclusively with Nykaa. And same thing when The Ordinary, which is a brand owned by the Estee Lauder Group, which is one of the best -selling brands globally for Skin Care. So, to launch in India, it chose Nykaa as the exclusive partner. So, I think brands continue to choose us as a port of call for their entry into India. Customers continue to see us as the No. 1 destination for the latest trends within Beauty. So, I don't think that is changing.

If there is an increase in competitive focus on this category, I don't think that's necessarily a bad thing. That will help increase the awareness as well as the availability of beauty in the country, which should only help accelerate the con sumption on a per capita basis. So, to answer your question, nothing really meaningful to discuss this quarter, but obviously, we monitor it very closely. So, we're happy to update you in subsequent quarter as well.

Sheela Rathi : Just a follow -up here, Anc hit, and thanks for making the point on the launch of Ordinary and Anomaly. Has it become more or let's put it this way, has it become less easier to get brands on an exclusive basis versus, say, 2 years ago? Because now even off -line retailers are also fo cusing on expanding the beauty , their beauty businesses. So, that's where I'm coming from. But is it less easier than where we were say, 2 years ago?

Anchit Nayar

: I think it depends. There are premium luxury brands who are very conscious about having limited distribution and for them, Nykaa remains indisputably the first choice. Now for our more mass brands, for them, it makes sense to have wide distribution. So, even they continue to partner with Nykaa first. But yes, when they do choose to distribute sli ghtly more widely because for them, the whole game is about distribution.

Versus a couple of years ago, yes, there are more options for brands, but we're not losing brands, if I could say that to competition. I mean, Nykaa is a default platform which any beauty brand who wants to retail in India ha d to list on. Whether they choose to list on other platforms as well,

yes, I mean, that's something that depends brand to brand and could potentially be something which brands do going forward. But we still a ccount for a majority of their online sales.

And as Nykaa having both physical retail distribution as well as online, there is no other competition right now in India, who is offering that very healthy mix of both 150 stores on the retail side plus 20 million, 25 million, unique visitors on a monthly basis online who are only looking for beauty. So, I think it's quite a difficult proposition to replicate for a competitor. So, yes, we're not seeing it yet.

But even if a brand choose to not remain exclusive with Nykaa, that's not the end of the world because by listing on other brands, the brands are able to build greater awareness and that snowballs into better momentum on sales, which then comes back to benefit us as well. So, it really depends on the brand strategy in the country.

Sheela Rathi : And on the fashion side, how has been the competitive intensity, especially from the off -line

players?
Adwaita Nayar : So, I think in fashion, again, we were not the first mover, so there has been competition and there have been players who've existed in this mar ket. But I think a couple of things. First and foremost, again, we always keep orienting ourselves to the size of the market and the industry and if a $49 billion of sales is going to happen online by 2027, there's a lot of space for definitely a couple of players. And I think we're keen to be one of those players for sure.
What we feel is, obviously, we're growing much faster than the online market. So, we are taking share. And even anecdotally , when we talk to a lot of our brand partners, it's quite clear that for several brands now, we are clearly a very serious player for them in the market. So, what I would say is that it's been a period of us to take market share. And I think the market is large enough definitely for us to emerge as a very meaningful s ales.
Sheela Rathi : And just 1 follow -up on fashion. What has been the retention rate, which we have seen say in the last 6 months or 9 months?
Adwaita Nayar : Yes, we do track that, but we're not kind of releasing that number. So, we won't be able to share that on this call.
Falguni Nayar : But I would say they are quite healthy and slightly behind our beauty retention, which is really, I would say, very, very advanced. We have an eye on it and we'll surely give that.
Sheela Rathi : One final question. How has been the trend on the inventory days for all the 3 businesses, say over the last quarter? Has it moved up, the inventory days?
Anchit Nayar : Inventory days have come down largely.

Falguni Nayar : Inventory days have come down significantly in beauty. I think we had pointed out that last quarter, September quarter was just before the season. So, we had also stocked up on inventory, especially international, I mean imported brands and other inventory. So, I think that has clearly come down re cently and you'll find it in our results.
And I think as far as Fash

ion is concerned, we are a marketplace business with the exception of owning our own private brands as well as some imported brands where we take inventory. That's a reasonably small perce ntage but growing. But yes, we do manage our inventory with a keen eye on the number of days of inventory that we are taking.
Thank you. So, that'll be end of our call?
Moderator : Due time constraint, that was the last question taken for today. I would now like to hand the conference over to management for closing comments.
Falguni Nayar : So, yes, just thank you very much, everyone, for being here. I think we find it extremely difficult to do this presentation just on audio call without the presentation rig ht in front of you, but unfortunately, that's what we have now. But I hope you understood what we were trying to say, and yes, you can download the presentation from our site investor presentation, and we are always available for any clarification that you may need. But we really appreciate all of you taking interest in talking to us today.
And the big theme is that we are definitely investing for the future. And I think I'm really glad that this was an audience that understood that below EBITDA line is all just the investment for the future. So, I think just want to continue to say that we are investing for the future and remain very confident about building the right businesses that will pan out.
Adwaita Nayar : And each of our 3 businesses are really takin g the right steps in terms of the path to profitability. And that should also be clear from the financials we release.
Falguni Nayar : What we remain proud of is that it's been a period of large amount of investment in customer acquisition, fair amount of i nvestment in stores and warehouse rollout and a fair amount of investment in building offices and teams for future businesses. So, even with that, I think we are really happy on where we stand in terms of being able to maintain our contribution margin and being able to deliver profitability. Thank you very much.
Adwaita Nayar : Thanks.
Moderator : Thank you, everyone. On behalf of Nomura Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2023

FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
May 31, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub: Transcript of the Conference Call for analyst/institutional investors for discussing Audited Standalone and Consolidated F inancial Results for the quarter and financial year ended March 31, 2023

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Analyst / Investor Conference Call held on Wednesday , May 24, 2023 with regard to the Audited Standalone and Consolidated F inancial R esults for the quarter and financial year ended March 31 , 2023.
The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Investor Conference Call – Q 4 and FY23 Results.

Kindly take the same on record.

Thanking You.
Yours faithfully,
For FSN E -Commerce Ventures Limited
(formerly 'FSN E -Commerce Ventures Private Limited')

____
Sujeet Jain
Chief Legal and Regulatory Officer,
Company Secretary & Compliance Officer
Mem. No.: F6144

Encl.: as above

Q4FY23 & FY23 Earnings Call - Transcript

Sunita Sachdev: Good evening, everyone. This is Sunita Sachdev. I head investor relations and strategy at FSN E- Commerce Ventures Limited. It's my pleasure to introduce our management for the call today. On the call with me today is Mrs. Falguni Nayar - Executive Chairperson, MD and CEO, Mr. Anchit Nayar - Executive Director and CEO, beauty e- commerce, Ms. Adwaita Nayar – Executive Director and Co-Founder CEO, fashion, Mr. P Ganesh – Chief Financial Officer, with that over to you Falguni for opening remarks.

Falguni Nayar: Good evening, everyone, and thank you, S unita. Thank you for joining us on the call today, and it is always a pleasure to interact with all of you. I would like to start the presentation now and request the team to move the slides, please.

So, talking about the performance highlight s, I am happy to say that for the fourth quarter of this year, financially year 20 23, we have come out with a G MV g rowth of about 36% year on year at Rs 2,445 crores , and the revenue has grown at 34% standing at Rs 1,302 crores. Gross profit continues to be strong at Rs 576 crores, which is a 35% year on y ear growth, and the gr oss margins are at 44.2% , which is a 54-basis point improvement over the year ago. On the EBITDA, the growth has been even stronger at Rs 71 crores is a growth of 84% year on y ear growth, and the EBITDA margin is at 5.4% , which is a 147-basis point improvement over y ear on year . Profit before tax is at Rs 8.6 scores , 48% year on y ear growth, and PBT margin of 0. 7%. I did like to highlight the difference between EBITDA margin and P BT is all investment for the future, which I'll share in my next few slides, and the PAT growth is at Rs 2.3 crores , which is which is less healthy than expected, and I think some amount of that is due to [inaudible] tax planning.
Moving on, I think, on a full year basis , again, the G MV growth is at 41 %, GMV at Rs 9,743 crores. R evenue is at Rs 5,144 crores , which is a 36% year on y ear growth, and the gross profit i s at Rs 2,278 crores , which is a 39

% growth year in year with gross margin at 44.3% , which again is a 73- basis point improvement on a year-on-year basis. EBITDA for the full year is at Rs 256 crores , a 57% year on y ear growth and EBITDA margin at 5.0 %, a 65-basis point improvement year on year. P rofit before tax is at Rs 38.4 crores , 19% lower on a year-on-year basis, with the profit before tax margin at 0. 7%, slightly adverse than a year ago. And finally, the PAT is at Rs 21 crores , a degrowth, and PA T margin of 0.4%

Going forward, I'd like to take you through some of the important items and composition of the GMV growth. So here you can see that our consolidated GMV growth was 41% for the full year. I will stick to the full year numbers, while you can see the quarterly numbers, too. So, on a quarterly basis, the consolidated growth is 36% on GMV, wh ereas it is 41% on a full year basis. As you are all aware, that fourth quarter is a slightly seasonally lower quarter compared to third quarter in India, which is a strong quarter.
Talking about the beauty category. Again, the full year growth is at 33% on GMV basis and the GMV stands at Rs 6,649 crores. On the quarter basis, the beauty GMV grew at 29%. On the fashion side, the full year fashion growth on GMV basis at 47% with fashion GMV at Rs 2,570 crores almost, and on a quarterly basis the fashion GMV grew 38%.

And finally, as you are aware that we are building other businesses like the SuperStore, which is our eB2B business , Nykaa Man as well as the international businesses, and these together account – as Others. They grew at 204% on a on a G MV basis on a year -on-year basis , and their G MV has come out at Rs 525 crores . This is for the quarter , the GMV for these businesses was Rs 152 c rores , which is a bout 170 % year on year growth.

Moving on, on the composition of the GMV, I just wanted to highlight that our investment in fashion is paying off with fashion GMV now contributing as much as 26% plus of our annual total GMV of the full business.
The full business GMV is at Rs 9,743 crores, of which beauty now accounts for 68.4%, fashion at 26.4%, and other businesses contribute 5.2%. So, as we said that we are trying to address larger addressable markets with a view to provide acceleration in our growth, and that is very evident from these numbers.
From our view here, one of the important focus this year was to accelerate customer acquisition, and towards that we have invested in each of the customer acquisition for each of the platforms. So m if you look at the beauty platform where we have acquired, our annual unique transacting customer this year was 9.4 million, which is a growth of about 22% from the previous year, where our annual unique transacting customers were at 7.7 million. The next number, a small pink box, is for our stores. In the stores , we service about 0.6 million customers this year compared to 0. 3 million last year. This is an increase of 73%. On the fashion side, we had a n annual transacting unique customer base of 2.5 million this year, compared to 1.8 million a year ago, which is a 39% growth year on year . And finally, the last element, which is, you know, on SuperStore business , where again, the customers are not really the consumers, but retail stores and the O thers number also has Nykaa Man numbers where there are certain consumers. So, for all the others category, our annual unique transacting customers are at about 500,000, which is a 30% growth over previous year. With this total cumulative customer base at N ykaa service so far, is about 24 million, a pretty large number .

Moving on. I also wanted t o say that we have been investing in in our employee headcount. But I want to do throw more colour on that. So, this is the employee count. So while it has gone up from 2,764 in financial year 2022 to 3,177. What I wanted to highlight is that there is an i ncrease in retail and sales e

mployee, as
we roll out our retail stores as well as we roll out our private label brands and many other brands into what

we call as GT/MT distribution. So, this category of employees now accounts for 32.3% of our total employees. Again, what you can see is that there was a large amount of investment in employee growth last year, but most of it was specially in the category of stores and sales employee count, and we saw that post Covid, after 2 years of Covid there was an opport unity to expand offline distribution and that's why this big focus was made and that we have here given all the 4 quarters of growth in what we call a store and sale employee count, and you can see, even in fourth quarter, that continues to be at 42% year on year growth.

On the other sid e, the core employee growth has now slowed down after early investment in core employee growth of 27% and 25% for the first two quarter. That growth has now slowed down to just 4% by the time the fourth quarter came, and this result is evident in the fact that if you were to deep dive in a financial number , you'll be able to see that the employee cost for the fourth quarter has kind of remain flat on a quarter on quarter basis.

Moving on, even when we are investing in employees, which is the core employee figure that I talk about is after removing sales and distribution employees. A lot of this investment is towards technology. So, from the core employees, which were 2,063 employees in FY2022 that has grown to 2,152 employees in FY2023. Now, this is increase of 24%. But within that, the tech has grown faster, and the tech employees have grown from 389 to 482, which is sorry , 24% is the growth for tech employees. So, my tech employees have grown at 24% on a year on year basis. On the tech employee costs perspective, in fact, the growth has been even higher at almost 73% growth. All of you are aware that there was inflation in tech cost last year and the tech employee cost has risen from Rs 280 crores to Rs 434 crores, and this increase amounts to almost 73% increase.

Moving on, I also wanted to show that these employees , I mean the work that is being done by the tech team. We see the entire tech investment is investment for future capability building. And right now, there are a lot of very exciting projects which we've invested in in the last year, and I would like to hi ghlight some of those. Personalization has been a big priority, and some of the work on that, I'm sure, we always say that our execution is an open book. You can see it on our apps, but a number of personalization features are being rolled out, and they're evident and very much visible on our website.
We also are building seller panels to be able to service our sellers on the fashion side better. And this seller panel, a lot of investment have gone into building this new technology. Similarly, ad t ech is another big area of focus and improvement. As you're all aware that we've always enjoyed good ad income. And we are now taking our ad platforms to best in class in the world, so that our brand partners have the best -in-class ability to manage their ad investment in our company. In addition to that, we built a , B2B 2C capability to help us manage our fashion inventory better where we didn't want to get access to only the warehouse inventory of our brand partners, and with this capability we are able to get fashion inventory from our brand partners, be it in their warehouse, be it in their stores, or, you know, wherever that inventory sits, we are able to get access and deliver from there. In addition, a lot of work being done on the attribution engine side, a lot of work being done on improving customer journey. H uge investment in Martech, so that we can support complex journeys and also a fair amount of investment in AI and M L, from a discovery and recommendation perspective and many more.

Going forward, Also, we made big investment in

infrastructure as well as in retail. And here we've given our year numbers so that you can understand why we were lagging behind. So like you can see in physical stores in the financial 2021, our stores grew only 18% due to covid impact and hence, we've accelerated the growth in physical store, which is area in lakh square feet, which has grown by 59% in financial year 2022 and another 43% in the current year. And now our physical store area sits at 1.4 lakh square feet across all of India. On the warehouse, similarly, you can see, the investment was quite subdued in the financial year 2021, and on back of that, for two years we've invested and grown our warehouse capacity by 41% and 79%. So, this year there was almost an 80% increase in our warehouse capacity, and now our warehouse capacity stands at 14.6 lakhs square feet. On the office space, you can see that because of covid wor k from home, we let go of some amount of space, and that resulted in a 19% de -growth in our office space and on post -covid we are believers in everybody coming to work. We are encouraging our employees. We are believers that coordination, cooperation, all that is much better when employees come into work. So, with that philosophy we have taken more office space, and that is now for this financial year, another 68% growth at 1.9 lakhs square feet. We do believe that investment in warehouses and office spaces are now at the last leg. Most of the investment is over. Very little remains for next year, though physical stores will continue to grow over period on a more prudent basis.

With that , I hand over to Anchit to talk about the beauty business.

Anchit Naya r: Yeah. Hi, thank you very much. So, I'll kick off this section on B PC, so if we go to the next slide.

This is just to remind everybody about what is the total addressable market and how it looks today in 2022, and how we expect it to look by 2027. So, if you look at 2022, the Indian BPC market is about a 19 billion dollars market in US dollar terms and that is expected to grow at a CAGR of about 10% over the next five years to become a 31- billion -dollar market.

Within that, you can see that the online s hare of BPC is the faster growing channel within the segment and that's expected to grow at a CAGR of 29% taking the online B PC market from roughly 3 billion dollars in size today to about 10 billion dollars in size by 2027. And that's where Nykaa.com is a key player. If I look at the organized sector that is expected to grow from 5 billion dollar to 9 billion dollar, so 14% growth , and that's where our specialty retail brick and motor st ores, such as Nykaa Luxe, N ykaa On Trend, and Nykaa Kiosks, are playing in that segment of the market. And finally, if I look at the unorganized retail sector, that which has historically been the majority of the market that is expected to grow almost around just about 1% or so and that'll be about 12-billion -dollar market and that's where our SuperStore business that we'll talk about in subsequent slides. That's the addressable market for that business.

If I look at what are the major growth drivers for BPC consumption in India, it is, there's a couple of fact ors. First and foremost is that the per capita consumption of beauty in which India is still relatively low compared to other similar markets in other parts of the world and so that number is set to grow on a per capita basis quite meaningfully over the coming years. Second, what we're seeing is, there is a shift from personal care to beauty . And, as I said, these numbers are for both beauty and personal care. But we are seeing a shift of consumption, behaviour from personal care to beauty, and that is agai n a trend that is seen in other markets as their G DP per capita and their consumption per capita increases , there is this shift that does occur which is beneficial to a platform like N ykaa , which is predominantly a beau

ty retailer . Finally, as I

spoke abou t earlier, there continues to be shift from offline to online. There was obviously an acceleration in this shift that had occurred during the Covid period that had normalized slightly post Covid with the returned to offline shopping as well, and we think the two will both grow meaningfully in the coming years. But online will continue to outpace the growth of offline retail. And finally, there is the shift from unorganized to organized in terms of the channel mix of offline retail.

Next slide please .

Just to remind everybody what are the key core value propositions of the Nykaa platform and what are the five main pillars on which we are focused. First and foremost, is our focus on acquiring new customers and equally importantly retaining our existing loyal , premium repeat customers, and I think Falguni had mentioned earlier in the deck that you know, for the beauty business today we had 10 million transacting customers on a 12 month basis and that goes to show you that we now have a very sizable customer base. Second is, we pride ourselves on deep relationships with our brand partners . For us, our brand partners are crucial to the journey which we are on, to expand the BPC market in India, and we continue to work very closely with them to help them achieve their objectives in the market. Third, we continue to penetrate across the value chain and the channels in to address the large TAM , and that has been discussed in the previous slide basis, our expansion into both physical retail as well as our B 2B business.

Fourth, we remain committed to creating, acquiring, and scaling a portfolio of independent new age consumer first brands, and we'll talk a little bit more about that in the subsequent slides. Fifth, we are always looking at new ways of retailin g, what we call as the art of retailing remains a key priority for us, and our ability and desire to maintain a very holistic consumer connect is something which we focus on every day.

Next slide, please.

So just coming to some of the key KPIs around our business. You can see that in terms of visits , our visit growth was 11% year over year from a FY 22 to FY 23, and we had almost 937 million visits to the platform in this past fiscal. If I look at the monthly average unique visitors , that number now sits at about 22.7 million for the fiscal year 2023. That was about a 21% growth year over year. So clearly, there has been a focus on increasing the quality of visits and visitors to our platform that's reflecting in a healthy growth in this number. If I look at the average order value, despite a large number of customer acquisitions as well as an increase in the volume of traffic to the platform, our average order value has remained healthy and have remained constant at about Rs 1,857. If I look at orders , you c an see that we serviced about 35 million orders in this last fiscal, and that was a 31% growth here over here.

If I come to now t he second set of key metrics that we track our annual unique transacting customer base has increased to 10 million, which is t he 24% growth year over year . Our order conversion and this is not the unique conversion, this is order conversion. This sits at 3.7% , which is almost 50 basis points higher than last fiscal. So there has been a meaningful improvement in this metric over t ime.

Finally, if you look at our G MV, our GMV for FY23 stood at Rs 6,650 crores and this is a 33% growth year over year. And, as you can see in terms of the mix of the G MV, 78% of it comes from existing customers, and 22% comes from new. So again, a t estament to a very loyal, sticky, and high repeat, cohort of existing customers who tend to transact on our platform.

Speaking a little bit about our brand mix. As I had mentioned earlier, we have very strong, healthy relationships with our brand partners. Today, we have almost 3,400 plus

brands listed on the platform.
These include both international and domestic. If I look at our top 100 brands, roughly, 28 of them are what we classify as international, 31 of them are FMCG brands, 31 of them are direct to consumer brands, about 16 brands are in the top 100 are what we classify as luxury brands and 6 brands come from our own portfolio of what we call the global store, these are basi cally international brands which we import into the country and tend to retail with very limited distribution, mostly distribution that is limited to the Nykaa platform, so very healthy mix in terms of the top 100 brands that contribute to our business. Th ere is not much over reliance on any brand, and there is a good mix between both international and domestic.

In terms of new brand launches for the year, for this past quarter. This is Q4 brand launches. The number of brands were more that were launched, but just a couple to highlight for the audience. First is, we launched Lancôme, which is which is a very popular luxury beauty brand that is owned by the L'Oréal group that launched in India with Nykaa both in our online platform as well as in our physical retail stores.

We also launched the brands Farmacy and S imply Nam , which are smaller more niche brands but are very popular with certain customers and that those two brands w e launched on our platform as well. In terms of owned brands , this quarter we launched two new owned brands. One is Nyveda , which is Nykaa's own ayurvedic brand focus mostly on haircare and skin care. We also launched a brand called Nudge w ellness . Nudge is a wellness brand focused on beauty from within.

Next, please.

This quarter Q4, we conducted a pink love sale, and this is a very successful sale . We saw about 151% growth in G MV year over year versus a similar sale which we had done in February of last year. We had over 2,000 brands participate in this pink love sale. There was a lot of pre buzz engagement activities that were done to drive traffic to the platform, and these are listed on the page. I n terms of creating awareness and driving engagement for the sale we partnered with many influencer s, and this allowed us to generate close to 144 million impressions during the sale period.

We also expanded our watch and buy. So, this is our social commerce feature, where live streaming is conducted on the app itself, and this proved to be very popular this sale with over 33,000 visits from customers watching the live streams on the app during the sales period.

Next please.

If I look at our physic al retail business, you know, we've invested, I think, really, for us to improve the customer experience. W e've invested across building out our physical retail network a nd, as you can see today, we have about 145 stores across the length and breadth of the countr y. Today we covered 60 cities across India. And this is up from about 104 stores last year. So, 41 new stores were open ed this year . the physical retail business grew at a 67% year over year growth and today that business in GMV term sits at about Rs 551 crores of business and contributes to about 8 .5% of the total Nykaa BPC GMV.

In terms of some other key metrics to the retail business. Same store sales gr owth in FY23 versus FY22 stood at 36% roughly and this is for the cohort of st ores that were opened prior to March 2021. If I look at the G MV p er square foot, that number has also improved to about Rs 3,271, and the total area that we cover in terms of square feet of retail space is now at 1.4 lakhs a nd it's a 43% growth year over year.

Now, movi ng on to our distribution of our owned brands. Today, our owned brands are available across almost 2,750 general trade and modern trade doors and that is a 41% growth year over year. This business now, is accounting for almost Rs 275 crores of revenue to the company .

As mentioned, in the earli

er section of this presentation there has been a meaningful investment also in terms of fulfilment centres, and we have taken our fulfilment centre count from 25 in FY22 to 38 in FY23.
And today we have fu lfilment centres across 15 cities. And so, the area growth in terms of the fulfilment centre has been at 55% growth. This has been driven mostly by regionalization strategies. So, the push was to increase the regional coverage of our warehouses, and this has played a very meaningful role in improving the customer experience, bringing down the order to delivery timelines and helping us to reduce our fulfilment expenses. As a result, our split shipment ratio has gone from 1.3 to 1.17. Again, a testament to the fact that a regionalization strategy for our fulfilment centres has played out nicely.
Now, focusing a little bit more on our hous e of brands. You can see that from our G MV, there has been meaningful G MV growth in our own ed brands year over year. Today, our owned brands contribute about

Rs 789 crores of GMV , and that's about 12% of our overall BPC business. We have 12 own ed brands, and the growth in G MV has been about 41 % year over year . In terms of our key owned brands , Nykaa Cosmetics, which is our lar gest own ed brand today is about Rs 250 crores brand on GMV basis. And interestingly, and I think the good news for us is that now both Kay Beauty and Dot & K ey. Dot and Key was an acquisition, a brand which we acquired. Kay Beauty is a joint venture brand which we have with Katrina Kaif. Both of these brands today are now have also scale nicely to be about Rs 130 crores in terms of annual GMV each.

We have now 1,600 SKUs across our own ed brands, portfolio, and these brands are now distributed across 2,580 and 169 selective doors of both gen eral trade and modern trade. Additionally, our owned brands are now reaching 5,400 retailers through our eB2B SuperStore, app, and business as well.

This is just some imagery of some of the new launches within our own ed brands that that we had in Q4 of this year. You can see across Nykaa Cosmetics, Kay Beauty and Gentlemen's crew s, the re were meaningful new launches, and very important at L3 levels .

Next slide, please.

And even the brands which we either have as an investment in or we have acquired. There has been meaningful new product development within their portfolios as well.

Finally, just one additional new item we want to share with the Forum is , we have a proper ty that is known as the N ykaa Beauty Bar. The Nykaa Beauty Bar was an on- ground event, where we invite our consumers to come and interact with certain makeup artists and influencers as well as participating brands in a physical setting , usually in the mall s where we have our own physical retail stores. So, after a period of about 2 years, because of the pandemic, during which we did not conduct the Nykaa Beauty Bars and the Nykaa Beauty Bars are back, and we are hosting them at a regular cadence.

This is j ust one case study of one Beauty Bar which we held in Q4. This was conducted in Lucknow , this Beauty Bar generated almost 4 million impressions on social media. We had 1,300 customers in the Lucknow area who registered for the event and there were 16 plus media houses and 11 influencer s, who covered the event to generate a significant buzz and awareness for the event as well. And, as you can see from the images , these are very well attended, and are very highly sought after and anticipated by our consumers in the towns in which we host these events .
Next, please.

Now, I think earlier in the deck, we spoke about the investment which we 've been making in technology. And on this slide, we've just shown a few of the initiatives which were undertaken by the tec hnology department this year that we thought is worth sharing with the broader audience. First is a big initiative around paper less picking

. So, this has allowed us to basically move to zero paper utilization in our warehouses. but importantly, what this has enabled is, it has enabled us to increase the order fulfilment , capacity, and the productivity of our warehouse staff through this automated paper less picking technology that has been rol led out.
Secondly, we've also launched an ability for us to nudge our consumers to complete incomplete shopping baskets through various interventions across both the P DP and PLP page.

There has also been a big focus on personalization , one example of whi ch is pushing consumers to replenish certain products that they have bought in the past. So, personalization has been a big area of development for us where basis consumer 's previous buying behaviour or browsing behaviour , we're able to personalize the rel evant assortment and the relevant product to show to that particular consumer . So very beneficial for the consumer, very beneficial for our brand partners, and, of course, for us as a retailer as well.

And with that I'll hand the mic over to Adwaita to take you through the fashion section.

Adwaita Nayar: Hi, everyone! Thanks Anchit . So, I look forward to discussing the fashion business with everyone. So, to begin with, we remain extremely excited by the size of the fashion market. The fashion industry is 4 to 5 times larger than the beauty industry, and according to RedSeer , the fashion market was 77 billion in 2022, going to 147 billion, growing at a CAGR of 14% by 2027.

In terms of the key drivers that we see in this space, we think that the fashion in dustry is going to be driven by increasing digital penetration, the disruption by D 2C brands. There's a willingness to try new brands. Premiumization across the category and then personalized experiences. Customers are demanding more personalized experienc es, and finally, a shift from just pure fashion to lifestyle, including the emergence of new categories like sport , athleisure, technology, and the home category.

So, when it comes to building like a fashion, I have five main focus areas. The first is cus tomer acquisition and retention. The second is strengthening external brand assortment. The third is accelerating our owned brand strategy. We see this as a real fashion centric opportunity and a future moat for the business . Fourth, exploring new operatin g models and channels of growth. And finally, fifth, innovating via technology to constantly improve discovery, shopping, and post order experience.
Double clicking on these. First, we'll talk about the key performance indicators. First, our total visits are up 14% year on year hitting 504 million for FY23, and our average monthly unique visitors are up 13% year on year to 17.3 million and FY23.

In the bottom left table, y ou can see our A OV trends . On a year-on-year basis , we have seen a gradual increase in our AOV, and this is a reflection of our differentiated positioning. The F Y23 AOV at MRP is Rs 4,507 , and it's selling price that is, post discounts is Rs 2,547. Overwhelming majority of these discounts are funded by the brands .

Moving on, we now see the bottom right, and you can see that orders have grown at 42% year on year to 4.8 million in FY23. And importantly, our conversion rate, which you can see below the bar lines has increased from 0.8% last year to 1.0% this year and this has been a b ig focus area.

In summary, we're really focused on finding and attracting the right type of customer. We're also really focused on improving the site experience to drive conversion. So, driving visits for the sake of visits is not the focus. And it's this strategy, which is now paying off, and you'll see it later that our marketing spend is come down significantly in quarter for our marketing spend is at 27.3% of NSV versus 30.1% for the same quarter last year.
Moving on to slide 32, our trailing 12 months customer. So

, these are consumers who've transacted with
us in the last 12 months has increased to 2.5 million by the end of Quarter 4, and this is a 39% year on year growth.

Fashion GMV grew from Rs 17.5 billion to Rs 25. 7 billion, which is a 47% growth year on year.
and from a quarter perspective, it has grown 38% year on year, reaching a Q4 GMV of Rs 6.6 billion.
Finally, the ch art at the bottom left shows a mix across women, men, home, and kids, and while we are predominantly focusing on women and men. I am excited by the fact that kids and home can be future opportunities that we tap into at the right time.

On the next slide. I talk about assortment. I really feel that assortment is at the heart of our business and providing curated and fashion forward merchandise is our right to win. We look at assortment in a couple of different buckets, and I'll walk you through that on this slide.
The first is the bucket on the top left, which is the popular brands that already exist in India and have strong customer recall s. So, these are your Puma, Biba, Marks & Spencer's , Forever New, and Adidas. B eing a strong partner for these brands is extremely important for us and will always be a focus. But it's the next couple of buckets from which our differentiation arises. First, we'll talk about global store. This is our portfolio of international brands that we brought into India, often exclusively on our platform. It's been our largest focus area over the last 12 months and some key partnerships that we've had include revolve, which is, truly, one of the world's most leading fashion retailers. We integrate with their entire site . They are a retailer, so they have over 500 br ands , and we're able to bring those 500 international brands to the Indian consumer.

Another big one is Alo Yoga . Today, one of the world's most popular athleisure brand which we've launched exclusively in the country. And then there's cider, which is again an exclusive launch that we've had, which is very popular Gen Z brand.

This whole offering is really resonating with the consumer and today the global store contributes 25% of our western wear sales.
Moving on in terms of differentiated offering. I'll talk about hidden gems. This is the property I've spoken to you about before. It includes emerging Indian designers and labels, and it's really sought after. And this is contributing 6% of the Nykaa fashion GMV is coming from this assortment, or 20% of the Indian wear assortment is coming from the hidden gem segment.

Next, we have first in fashion, which is really our new season focus. This is what brands love us for that we're able to sell their new season merchandise. And in Q4, 23% of our sales came fr om new season merchandise, which is a fantastic metric. It's much higher than what we saw last year . Later, I'll talk about some of the o mnichannel technologies we built where we connect with brand stores, and this is allowing us to get new season merchandise in a very timely manner.

Finally, lastly, we have the luxury offering and the responsible offering . Smaller offerings, but again provide that sort of layering, and make our merchandise more interesting.

Moving on, a key focus for us over the last few years has been to incubate and grow our owned brand strategy. Our owned brands portfolio has been n urtured to occupy clear market and price positioning. And this slide here talks to about the brands that we've acquired, and then many that we have built in ternally.

As you can see, we have 13 owned brands today, and we're trying to go after category by category very systematically , price point after price point. And at the same time, we're really trying to build brand that has great customer love and connec t. These are not private labels that we're trying to build.

In this year itself. We have launched 7 new brands, taking our count to 13.

Moving on. This whole privat

e label portfolio, you can start to see some of the brands in terms of what they look like. And you know, the point I make here is, we have over 20,000 styles available across the brands, and every month we're launching 700 to 1,000 new styles, and I think it is very key ingredient of making like a fashion an interesting place and will be a very strong future moat for the business.
Moving on. In terms of how this portfolio is doing from a GMV perspective. Here you can see that t he owned brands GMV stood at Rs 3.3 billion for this financial year. It's a141% year on year growth. It's something that I think we done a terrific job with. And in terms of share of business, these owned brands business is contributing 12.9% of the fashion overall GMV up from 7.8% last year. And if we look at this with penetration at an NSV perspective, it is even higher.

From the 13 brands the largest ones would be 20 D resses and Nykd, which have crossed Rs 150 c rores and Rs 85 crores run rates and are growing extremely well.

Like I said, these are not private labels, but really brands with, true customer connect, and we aim for them to have their own identity and to this end we retail on third party e- commerce platforms, and we also have offline distribution ambitions. In terms of offline, here you can see that we've added MBOs for 20 Dresses and RSVP. We're over 112 MBOs. Nykd by Nykaa has tremendous offline presence. This is our lingerie brand. We've over 900 points of sale in terms of general trade, and 4 EBOs and 7we're expanding this. And overall, all of this third -party sale is contributing about 48% of that, you know, Rs 3.3 billion number. So the point we're really trying to make here is that these brands are really emerging well, and they do hav e traction far beyond just the Nykaa platforms. And I think that's a great sign of customer connect.

In terms of a quick new launch that we've done this quarter. I'm really excited about launching MIXT. This is a very Gen Z focused brand and on the next s ide I'll show you a quick glimpse of what the imagery looks like.
Moving on. You will here have a glimpse of what our offline presence is starting to look like for some of these owned brands. You can see the Nykd stores in the top left. You can see some of the MBOs on the right.

Move on. Here actually, I'm showing you what the multi brand format. So, this is not just private labels, but a multi brand format that we've been experimenting with. We've spoken to you about it last quarter and the quarter befor e. We've experimented with 4 stores this past year. They're ranging from 1,000 square feet to 5,000 square feet, with a mix of own ed brands, but also a mix of curated, interesting third -party brands. The idea is to create a new age format where one can find differentiated, millennially focused fashion. At this point, though, the intent is to get the format to work and to hone in on the size and the product market fit before we expand further. And so, as in when we have more plans here, we'll update you.

So here just quickly, you know, we're always working on the operating model. So, we're developing global drop shift , integrating with physical stores within the country , we've invested in warehousing space. Our warehousing capacity in fashion has gone up 3.5 x. So, while we remain super marketpl ace focus ed for our third-party business , but as our own brands business becomes larger, we will be needing more space for that.

On these slides we just show you a quick glimpse of what we're doing from a technology point of view. So, whether that's personalization which the fashion platform is really embraced and it's a big part of our strategy going forward. Whether it's, you know, launching interesting customer features like being able to refund to wallet . A lot of innovation on the recommendation engine which drives a huge part of our business actually comes from this recomme

ndation, which is what we recommend for the customer.
And on the next slide, you know the ability to have live commerce, building a property c alled editors picks, and then finally doing a bunch of events to engage with the customer and do right by the brands.

And so, with that I'll hand over to Falguni to take us through the SuperStore section.

Falguni Nayar: I think, on the SuperStore section just coming in on the size of the market. I think this is a chart that is being repeated here from earlier chat that we saw on the beauty side. I think the G T/MT market continues to be large at USD 12 billion. And as a result , we saw the need to come in on come in and have our offering there and it comes in form of SuperStore. This is a business we launch a couple of years ago, and like we said that we want to serve the underserved both in terms of brands , manufacturers as well as the ret ailers. And with that focus we've been building a very specialist distribution channel .

Speaking about our performance in quarter 4, like all of you can see here that our transacting retailer count has jumped to about 1.1 lakh retailers, which is almost 5.8 x jump from a year ago. The number of brands listed is also now at 190, and that's grown at 1.4 x. I think there is interest from more brands, but we are taking it slowly. We also have served the retailers in almost 700 cities, which is 2.3 x a year ago, and our order volume is at about 729 thousand orders, which, again, is grown almost 15.0x from a year ago.

We have been always believed that our technology footprint will allow us to succeed in the eB2B market, and very differently compared to most of the markets. So, we have invested in our technology and this technology investment comes in two three forms. One is , we have developed feat ures which are very retailer centric like a one- click access to best price, because finally, for a retailer, best price matters first. Personalized recommendations for a retailer , again, very different from how the consumer will look at it . As well as the on the B DE, which are our feet on street , now we have ability to have even Lat and long check in on the sales and delivery, and that allows us to really monitor our networks much better for their efficiency. These are just some examples in scaling technology and infrastructure. There are many more. But this is just to give you guys a flavour of the kind of stuff that is going on with this. I would like to now hand over to Ganesh to take us to the next section on financials.

P Ganesh: Thank you, Falguni.

Good evening, everyone. I would like to take you through our Q4FY23 and full year FY23, financial update.

So as we can see in slide number 48, our revenue grew by 34% YoY during the quarter, and at 36% in FY23. Gross-profit grew by 35%, Y oY, and 39% for F Y23. Our gross margin was at 44.2% during the quarter and continue to be strong during the year at 44.3% .
We achieved an EBITDA of 5.4% during the quarter, and for the full year this number stood at 5.0%, and this also benefited from the operating cost leverage.

Our EBITDA grew by 84% during the quarter and by 57% for the full year.

Our P BT margin was at 0. 7% in Q4FY23 , and similar number for a FY23 , and as Falguni mentioned the drop between the EBITDA and PBT margins on account of the investments, we ar e being making for the business. There was also an incremental impact of around Rs 23 crores on account of INDAS lease accounting, which will delve deeper in subsequent slides.

So going to the next slid e, slide number 49. I would like to bring your focus on this slide in terms of operating expense as a percentage to revenue standing at 38.8% versus 39.7% in Q4FY22, which is an improvement of 93 basis points YoY. Clearly the regionalization of our fulfilment centres has enabled lower air freight and also rationalizing our marketing expenses. All of these

have resulted in better leverage on this front .

Fulfilment expense as a percentage of revenue was at 7.9% during Q4FY23 vs 9.7% in Q4FY22, which is an improvement of 180 basis points YoY,
Similarly, market ing cost as a percentage of revenue was at 11.0% during the quarter versus 12.3%. during the same quarter last year, an improvement of 130 basis points YoY.

As again, as Falguni mentioned, while we have seen a slight increase in employee cost, as we did, hiring ahead of the curve to funnel the growth. I would also like to share is that employee cost was flat during the quarter on a sequential basis, on a QoQ basis.

Moving over to the next slide. Slide number 50. This slide will give you a better understanding of our EBITDA margin change YoY, and, as you can see, we have provided a n EBITDA margin waterfall chart. Gross margins improved by 73 basis points led by a change in category mix and change in private label mix. Fulfilment cost improved and this has been through our regionalization strategy, and this has seen an improvement of 164 basis points Y oY d uring the year . Marketing efficiency achieved through improved marketing spend strategy resulted in an improvement of 129 basis points. Selling and distribution costs increased, due to offline distribution of owned brands and expansion of our eB2B business and increased by 88 basis points YoY. E mployee cost increased, due to investments into new i nitiatives and in investment into the tech function and increased by 92 basis points Y oY in FY23. O ther expenses inc reased due to investment in infrastructure and technology .

Going on to the next slide, slide number 51. This explains the waterfall from EBITDA margi n to P BT margin which gives a lot more colour on the investments that we are making and its impact on depreciation, lease accounting, etc. While depreciation increased YoY on account of incremental capex on retails stores , warehouses, offices . Lease cost i ncreased has been due to additional retail stores, warehouses, and offices as we ramp up infrastructure.

Interest on borrowings increased YoY on account of incremental borrowings to fulfil working capital requirements. And, as I mentioned a while earlier lease cost as per INDAS was higher by around Rs 23 crores for the full year versus the cash lease pay -out.
Going over to the next slide, slide number 52. Here we can see the vertical performance which gives you a good insight into the economics across businesses. As you can see, the disclosure here is at the contribution profit level, because many of the cost s, for example, employee costs, etc. are used very dynamically across verticals, and it would be difficult to allocate these common costs on a quarter -to-quarter basis.

I would like to bring your focus on the bottom part of the table. Th e cost items are c alculated on an N SV. basis ass the 3 business verticals become comparable in N SV terms.
So, looking at gr oss margin, B PC margin was at 46.8% during the quarter versus 44.1% in Q4FY22. Fashion gross margin was at 43.2% during the quarter, vs 47.1% in Q4FY22. O thers gross margin was at 20.9% during the quarter versus 22.7% in the corresponding quarter l ast year .

We saw improvement in our fulfilment expenses. For BPC, it was at 7.4% versus 9.3% a year ago. For Fashion, it was 10.4% during the quarter versus 11.7% a year ago. For Others, it was at 10.2% versus 14.8% in Q4FY22. They have improved marketing expenses and, as you can see, for BPC, it was at 7.9% in Q4FY23 versus 8.7% in Q4FY22. In fashion, it was at 27.3% versus 30.1%, and O thers stood at 8.9% versus 23.2% in Q4FY22.

We have been investing behind selling and distribution expenses. And, as you can see for BPC, it is today 3.3% versus 3.5% corresponding quarter last year. For Fashion, it stood at 2.9% verses 2.7% in Q4FY22, and for Others it was at 17.4% in Q4FY23 versus 19.5% in Q4FY22.

Contr

ibution margins have overall expanded by 360 basis points. For BPC, it was a 28.1% versus 22.5% in Q4FY22. For Fashion, it was a 2.6%, and for Others it was at - 15.6% versus - 34.8% in Q4FY22.

Moving on to the next slide. Here we have the vertical performance for our business for the full year. And where again we have demonstrated improved contributions, despite investing in customer acquisition and incubation of new businesses, which are only deepening our mode.

Gross margins for FY23. BPC gross margin was at 46.4%. Fashion gross margin was at 44.2%, and Others gross margin was at 24.2% in FY23. Contribution margins have expanded by 280 basis points. BPC in FY23 was 26.5% versus 21.7% in FY22. For Fashion it was a 2.2% versus 2.8% in FY22, and for Others it was at - 19.9% during the year versus - 31.8% in FY22.

Moving to the next slide. Here we have the full profit and loss account statement and as you can see, our revenue grew 34% YoY to reach Rs 13,017 mil lion in Q4FY23 and our EBITDA margins stood at 5.4% during the quarter versus 4.0% in Q4FY22. And o ur PBT stood at Rs 86 million in Q4FY23.

I believe we continue to improve our scale efficiencies in this current ma cro environment and with the online offline rebalancing panning out. And as is a major part of our investment across infrastructure and people. Moving to the next slide, which is our balance sheet. As we can see, our inventory days have been stable. So also, our receivable days. And payable days when we look at it, I would like to also just point out over here that the trade payables and the other financial liabilities need to be read together to get a full picture of where the trade variables stay.

Moving on to the next slide, here you have a s ummary of the cash flow, and, as we can see, operating profits for the year Rs 284 crores. Working capital to support the increasing business went up by Rs 329 crores, led by inventory build- up for the upcoming sale events, as well as with the introduction of new warehouses during the year.

Capex for the year stood at Rs 208 crores , while investments in subs idiaries and associates was at Rs 70 crores. C ash and cash equivalence stood at Rs 41 crores of 31st March 2023.

Thank you, e veryone for attending the Q4FY23 earnings call. I would now like to request Br inda to kindly initiate the Q&A session.

Brinda Iyer: Hi, everyone, please put in your Q&A questions in the Q&A box. We'll take about 2 minutes and then start the Q&A accordingly.

Falguni Nayar: I think. I had seen certain questions on physical retail. So , I just wanted to highlight that we give consolidated omnichannel numbers most of the year, and only at the end of the year , we give the mix in terms of what percentage of our turnover is contributed by retail. But I want to just share that as far as our retail business is concerned, it is able to cover all fully costs, like all of the costs that you can see that it now contributes almost 8.3% of our BPC GMV and it's been able to cover its full cost of the business. So, the stores have been profitable throughout the year on a fully costed basis which includes recovering the depreciation and interest costs also.

Brinda Iyer: Okay, we move on to the second question then. W hat is the expected growth in personal and other expenses in FY24.

Falguni Nayar: I think. we would not like to give very clear. I mean too much of a guidance towards where it will come out next year. But all I can say is that we were quite conscious about the fact that last year the employee costs kind of grew a lot and we tried to explain it by how these investments were made in area of tec hnology , in sales and distribution network as well as our new businesses that we were supporting. However, since then we have taken cognizance of the fact that there was need to control these and the core employee growth in headcou

nt has been brought down to as low as 4.0% in fourth quarter, and I think this will continue. This emphasis will continue next year also. So, we are being extremely prudent about our people cost in the core business. Of course, the retail and sales employee in the store r oll out w ill happen. I think, even as far as the store roll out is concerned, w e are being prudent and cautious about the store rollouts from this current level of stores that we have. I'm not saying we won't grow them. But the plan ned store roll out is also prudent, and I think, given all of that, we do feel that our people costs will be, under control in the coming year.

So, I think couple questions I have answered, I think, General expenses also, we think they were a little bit out of control, and they are being brought under control. But it's harder to explain that .

Brinda Iyer: So, the next question is, when do we start witnessing fixed operating capital leverage play out, resulting in higher PBT margins going forward?
Falguni Nayar: No, so like we said that we have been controlling all items of cost. So, first focus was on our fulfilment cost and you can see we brought it quite a bit under control. Second is, of course, we had to invest in warehouses to do that. So, of all our investment below the EBITDA line, 25% of that investment was towards w arehouse, but we think that warehouse roll out is at the end of the cycle, and they should not be too much investment in warehouse, at least for next one and one and a half years. That is on the fulfilment side. So, I think that's where some amount of curtailment of cost will happen. I think from store perspective also, while we may roll out fair number of stores next year, but on a base of 145 that growth will be lower, and as a result again, you'll see some curtailment on that count. So, I think, from EBITDA to PBT line, it's this element of lease rentals and depreciation and amortization which we are definitely controlling. But we also see these as investments for the future. And, believe me, we ar e being very prudent about doing what is right for the business, and I think we do believe that these are right investment for the business as far as above EBITDA line is concerned. A lot of improvement had already come into fulfilment and marketing. The s ame focus of improving those will continue. However, there was some amount of lack of focus on employee and other expenses, and that you will see change this year, and w e are hoping that these to turn green next in the coming year . I mean the rate of chang e turns green in the coming year.

Brinda Iyer: The next question is, what will be the key margin drivers from here on? Do we see double digit margin possible in the next 3 to 4 years.

Falguni Nayar: I'm assuming you mean EBITDA margin or are you talking about PBT margin. It's not very clear from the question probably.
I think, from EBITDA margin perspective. it is a mix of margin. I think that's why we give. We keep sharing information for our businesses both, beauty business enjoys very good EBITDA margin and fashion busines s that an investment phase, and as we feel that one of the important element of cost there is the marketing cost, and as the mix of new customer to repeat customer ration improves , marketing cost comes down. We've seen this in beauty business where over period as the repeat customer ratio improved; the marketing cost comes down so that would be driver of profitability improvement . In the O ther businesses, in Nykaa Man it would be a similar thing playing out . Whereas SuperStore business, I think again, with scale would come improvement in marketing and sales and distribution cost .

So I think , in Super Store businesses, more sales and distribution costs, and there, with increasing scale, you'll see improvement in that cos t. So yes, there is possibility of better margins on the EBITDA lev

el as
the m ix, as more and more of how growth businesses turn to maturity phase where the cost structure on marketing and others selling and distribution costs.

Brinda Iyer: Okay. Next question is, Fashion contribution margins continue to worsen year on year for full year, while similar for the quarter, despite higher scale. How do we get benefits of scale in this business?
Falguni Nayar: Please do remember that we all our businesses, like beauty and personal care, is a combination of beauty online, physical retail, which, like we showed now, is close to 8.3% obviously, e-commerce profitability is better than physical retail profitability. But we believe that right mix is needed. Because why should Nykaa customers, go into third party retail stores when they want to occasionally try out something like a foundation or a lipstick. So, in my mind, physical retail is a certain investment that we need to make, even if it is adverse on overall profitability. So , the optimum mix of online offline and duty is what we are chasing. Also, beauty is supported by private label which can grow faster, in which case, again, the profitability can improve.
Similarly, Fashion is also a mix of both Fashion.com, which is a platform level of profitability as well as private label brands, and, like you, saw in the conversation that Adwaita shared, we have invested in a lot of fashion brands in the last year, and many of thes e were essential to success of the platform itself, and these brands have all as they come off. They become like some of our old brands, like 20 dresses and Nykd , which are at a higher scale, they are profitable. But obviously, as you launch the new brands in the initial years (first year) you end up making more investment in getting the brand get off the ground. So, I think the F ashion margin also need to be seen considering a consolidated fashion business which has invested in lot of private labels. These, we believe, next year, private label business for F ashion will be kind of break even, and the platform business of F ashion also can break even anytime if you don't acquire new customer , but we want to continue to acquire a new customer, and, as far as the mix of new to repeat customer is 50: 50, or 60% of our new customers being acquired, I think it is hard to bring down the marketing cost, and as the business becomes large enough where the new customer versus repeat customer ratio is better, which happens in third, fourth, and fifth year. Now, we are entering fourth year of Fashion. So, as that happens in fourth and fifth year of the business, we do feel you'll be able to bring down the marketing cost.

Adwaita Nayar: Yeah. And I think I'll just add to that that I feel like, you know, when we're building any new business , there's a year of sort of like peak loss , peak investment. I feel FY23 was that y ear for Fashion and the intent is, down the corner you are you coming down the hill from there . So, it was also sort of the peak y ear of investment and it is sort of the natural cycle of building a new business.

Falguni Nayar: I think, just to repeat what, because I saw one of the questions , and to repeat what Ganesh said. Just believe us when we say that a lot of our employee costs are for fixed platform, like on the technology side, as much as 68 % of our employee cost is a fixed platform cost, and platform costs not one platform, but multiple platforms which are being shared by multiple businesses. And becaus e of that nature we don't allocate our employees across the 3- 4 business verticals, and there is a fair amount of employee costs across so finance and tech, and all which is a central cost. Now these can be allocated on some basis of revenue or NSV, which I think all of you can also do, because you have all the elements available there, and that is the reason why, we're going all the way up to contribution margin, which are all o

f the direct
attributable cost, and we are not going below that in allocating the employee cost.

Brinda Iyer: Okay, next question is, FCF as well as OCF for the company continued to be negative, and net cash on balance sheet seems to be zero. How do we manage our cash requirement? Do we need to raise funds? I will direct it to you Ganesh.

P Ganesh: Yeah. So as far as the business is concerned, you would have seen that the beauty business is making significant amount of money at the same time, fashion business which is relatively newer, is still in investment phase and same thi ng holds good for the eB2B business as well, which is into its first year of business. So, in a sense we are looking at all these businesses, and the beauty business in a sense, is also helping fund the growth of the newer businesses. So, when you look at the overall cash position what you would see is that the operating profits have gone to fund the working capital increase. That's what you are seeing in the full year FY23. A nd what I would like to also say is that we manage our cash flows quite dynamicall y. We still have some amount of funding from the IPO, which will be get utilized over the next one year, and there are also banking lines which are available in terms of credit lines. So that's the way we look at the funding happening going forward. And what I would also like to add on this is that while there has been a good amount of increase which we are seeing in working capital as the scale increases , the working c apital days would also start moderating, and that will also mean that the amount of fundi ng which gets logged into working capital, we should see some moderation going forward.

Brinda Iyer: Okay. The next question is from Nihal. It is the fulfilment cost and marketing expense readjusted to current rents permanently. Also in marketing is the f ocus on performance marketing to drive conversion more efficient from an overall spend perspective.

Falguni Nayar: Yeah, I'll take that question. So, I think from a marketing perspective, we've been big believers in performance marketing. And I think about 80%-85% of our spends are on performance marketing. I just say 80- 85%, because there are certain enablement costs which fall between performance and then also partly mainly towards performance marketing. So that's how it is. We do non-performance marketi ng is or you can say non-digital marketing is less than 10% -15% for N ykaa.

I think, on the fulfilment cost, we do believe that these are new fulfilment cost number, which are here to stay, and they we are very focused on really , there are big projects which are tech supported for improving giving certain serious advantages to our warehouses , and how they operate, and with that their productivity and ever ything of productivity as well as efficiency, would go up. And we do believe that these benefits will stay unless some huge inflationary pressures come on the courier networks.

So, we will continue to again emphasize that our warehouse network rollout is also almost complete, with the exception of one or two small warehouses, at least for next one- and-a-half-year period, so that also will not lead to additional hits below the EBITDA line.

Brinda Iyer: Next question is from Kapil Singh, can you talk about market conditions that you are observing in beauty and fashion. Is there any divergence in trends? I ask, because the NSV growth for fashion business has slowed down and lower than beauty business on a lower base. Do you still expect fashion to grow much faster over the next 2 to 3 years?
Falguni Nayar: Also, on the beauty side I don't know if Anchit wants to come in and talk about the global . Anchit , do you want to talk about the global , what we learned about how strong the beauty business is from global perspective.
Falguni Nayar: Yeah, just I just come in for a minute. The two are driven from

different perspective. I think
beauty currently is doing very well globally and we are seeing the benefits of that, and Anchit will talk more about it . On the fas hion from near term perspective, the physical store network of domestic brand was very large, and as a result, as these domestic stores open, there was some adversity in growth. But we are continuing to build the international brands on our platform and ag ain, there's a lot of interest and that will help with growth. But with that I hand over to Anchit and later to Adwaita.

Anchit Nayar: Yeah, thank you. So yeah, I think, if you look at it from our global brand partners. Their perspective on India is that it has clearly become a key priority market for them, especially after everything that happened in China, the kind of lockdowns that they faced in China, the kind of impact to their business they saw there. I think a lot of global partners are looking to d iversify and de- risk from that market . India is a is a clear winner in that scenario. So, I think in terms of long-term strategic priority, India has emerged is probably top 2 or 3 priority markets for most global beauty companies. So that is, of course, a very good news for our players like us. I think , if you look at some of the data that's out there in terms of the last quarter Q4 with regards to B PC volumes that was slightly muted
numbers that we have is around 11% volume growth for B PC online, but you know, we've obviously grown a lot faster than that as you can see from our results. We've out paced the online BPC growth that is currently being seen by other competitors in this space. So, I think there was slight pressure on consumption of beauty in India and the short term in the past few months, because of inflation and certain price hikes that brands had passed on to the consumers. But we think we're beyond that, and we're past that now, and we do see consumption at quite healthy levels in the shor t term. But I think long term, the picture is still very, very bright. As I said, a lot of global focus on India as a market, and as I spoke about earlier, the per capita consumption is at some of the lowest levels in the world, and we are all seeing very early assigns that this is improving in a very meaningful way. So I think outlook over the next 12 months is positive. But yeah, there is some short -term pressure that we saw in the past quarter that the industry saw which didn't impact us too much, becaus e obviously, our customers are more premium, we are on the slightly more premium end of the scale when it looks. When I look at our customer base and so we didn't feel that impact to the same extent.

Adwaita Nayar: Yeah, I think I can come in a little bit on fashion. So, I think a couple of thoughts and points of view on what's happening. So , I do feel that last year and the year before that was an amazing period for fashion given covid and given the fact that there was this insane digital uptick in penetration, and I do feel that fashion, like a fashion really benefited from that, and you grew extremely well for the prior 2 years. I think this year that we have just ended was working off, you know, more normalized w orld where we did see that demand was going back a bit offline and the growth that was so easy in the first 3 years didn't feel as easy in this past financial year. I think you also saw a bit of change in behaviour when it came to return.

So, you saw duri ng Covid there wasn't many returns at all. And then this passed financial year, the returns picked up as well. So that would be affecting NSV a little bit. I think a second philosophy I've sort of developed is that fashion is a massive market, and growth i s not the challenge. One can grow very, very easily, and we have some, you know, competitors out there who've shown us the playbook on how that can be done. However, I think there's a lot of bad noise in that

type of growth, and it can lead to a lot of pr essure when it comes to profitability. So, I think that this year has also been a year of immense learning when it comes to understanding what growth comes, at, what cost, and being able to kind of decipher, what growth of all that type of growth you could get, that you really want, which brings me to my sort of third thought in philosophy, which is that we've really warned in on deciding that at least for the next 6 months, 9 months , we want to get the right quality of traffic and the right quality of grow th. So, you'll see us really focusing a lot on the shape of the brands that we're selling on the type of categories that we're selling, the type of customer that we're acquiring everything from saying, we want more women, the retention of women is looking for a lot stronger than a lot of other categories. We want x yz type of categories because their retention is better. We want these types of categories because their returns are better. So, you could say that we're entering a phase of really trying to shape the type of business that we get, because we think that, we'll then have the right unit economics in place, and from there it will be easier to scale up. So that's kind of how I would summarize that not really going off t o growth at any cost, but just really wanting to shape the business in a way that helps us really get the right type of customer the right quality and not get distracted by high growth categories, but can have, lower retention in the long run, lower long t erm value in the long run, very bad return behaviour on the short term. Things like that.

Brinda Iyer: The next question is from Sheela Rathi, one for beauty, one for fashion. Any guidance on the number of stores for beauty in FY2024. And for fashion, are there any headwinds you are witnessing in the fashion business? Do we expect growth rates to pick up in financial year 2024.
Falguni Nayar: I think, on physical store, I'll answer the question. We don't plan to do more than 50 stores this year for the be auty business. So, it'll come off the base of 145 stores that we've ended the year at. And so that's one guidance I can give as far as fashion is concern like Adwaita just said, we are trying to pursue what we call as a right growth. And I think the fashio n industry is very large, like, we always say that it's 5 times the size of the beauty market, and there are a lot of brands and a lot of categories where, the business is fraught with high returns and high cancellations as well as high cost of, for you know, like marketing costs are very high. So, I think what N ykaa is doing is trying to work on a basis that we build a business that is long term sustainable with the right cost structure, and within that, though mix of new and repeat customer ratio drives t he marketing costs. So, till such time as you know, we're still like in terms of, you can see we started 4 years ago, but it's been 3 years of significant performance, in which case our ratio of new to repeat customer still is at 50: 50, or in slightly higher for new customer on fashion.

I think on beauty also, I saw one question that are we acquiring enough customers. So, I just wanted to say that while we don't give out numbers of new customer acquisition for different segments, but we wanted to just say that in the year ended March 2023, we have actually acquired more customers in one year for beauty compared to the previous 2 years. So yes, we are accelerating our pace of customer acquisition.

Brinda Iyer : The next question is from Garima. Could you please give us an update on the Middle East business? What is the business? How much investment do you envisage and timelines of the ramp up.

Falguni Nayar: I think. what we were thinking is that like, we've announced that we have a JV , and we own 51% of the JV, and we are working towards a plan to roll out the business

in the second half of this year. I think there should be some interesting more detailed information on this business that will emerge like as we do the planning. And as we are working towards implementation, so we are hoping that in our annual day later this quarter or very soon after that we will share more details of the G CC business. But it’s an excellent market, very large market , high per capita consumption of beauty, high per capita income, very concentrated market, physical retail will have a very large share to play, and as a result, we do believe that it can be a market where all investments pay off much faster than many other markets. So, we think , I mean, and when we talk to our global brand partners which Anchit talked about earlier , India and GCC tends to be their top priorities, and many of them are very keen to see N ykaa go into those markets and are supporting us in thos e markets. So , we do believe that with our strength in brand relationships, our strength in technology and digital marketing, and our partner strength and physical retail , getting the right location in those markets , knowing those markets geographically, w e have a win- win partnership that can help us execute well. But more details will come through in the next one or two quarters.

Brinda Iyer: Our next question is from Karan. Can you comment on the forward outlook for growth for each of the segments. Will slowing inflation, help accelerate growth, as some other consumer companies have mentioned?
Falguni Nayar: Anchit do you want to take first for beauty ?

Anchit Nayar: Yeah, sorry I didn't understand the question correctly. Can you just repeat that, please?

Falguni Nayar: Do you think the growth in beauty business will accelerate next year?

Anchit Nayar: So is that in relation to the inflation point, I didn't understand the connection.
Falguni Nayar: Yes, that is as the inflation slows down. I mean, was inflation taking away for the first two quarters.
Anchit Nayar: Understood, I think, as I mentioned earlier, there was some inflationary pressures, and I think that has been commented on by some of the other publicly listed FMCG companies. So, there was a bit of inflationary pressure last year, and some price hikes that were taken and passed along to the consumers. So, we do see that trailing off this year, and we think that it should be less of an issue for our consumers. It wasn't much of an issue for our premium consumers last year. It should become even less of an issue for this year. So, I think, yeah, we are quite optimistic that that should help to fuel the demand for both the online as well as the offline duty business.
Falguni Nayar: and Adwaita on the fashion side.
Adwaita Nayar: Yeah. So, I think you know, given our size and scale, the platform is not necessarily facing pressure in this regard. I think there's enough room for us to grow quite comfortably without feeling unnecessarily th e trends of inflation either way. So, I think , the growth trajectory of fashion is a lot more dependent on the strategy we take in terms of how fast we want to grow and where and when we want to grow rather than external considerations. And if I had to just give a little bit of direction, I think if we look at a year-on-year basis that 47% G MV growth is definit ely something we'd like to do again. And hopefully, with some improvements in N SV, so some somewhere around that is what we'd like to achieve. So, we're not giving up on growth at all. We're not saying there's going to be some super dramatic slowdown at all. It's more just this year it has become a lot about identifying the pockets. where one would like to grow.

Falguni Nayar: I think, if I may come in on the fashion side, I think there could be certain growth drivers through assortment or gaps that we may have in certain categories, like maybe our D enim's, or maybe T - shirts, or maybe Sarees , and th

ere will be continued expansion of assortment in such a selective categories where we maybe lagging behind what we need to have. But we are also extremely consci ous to continue having this differentiated premium positioning in the market. And we don't want to be cluttering a platform with a lot of low -price affordable brands, which may give us quick conversion, but we do believe that it won't allow the differentiation that we are keeping for the long term. So, we are not chasing the highest possible growth in fashion, but we are chasing the right growth that doesn't dilute what the platform has to offer in terms of uniqueness. In fact, I think many of you may have read certain research which was recently published. And what we want to do is for those certain segments of the customers which you know, like as always, try to approach customers from the top end of the consumption pyramid. For those you know, our fashion platform is differentiated and preferred platform, and that is the direction in which we are going, and Adwaita described all our strategies right here. So I think within this , in fact, we make an extra effort to make customers aware of new brands , aware of for the more differentiated offerings and through that b uild consumption on our platform, rather than try to build a revenue through going down the value change. So, I think we're very conscious to keep that appeal of the platform.
Adwaita Nayar: I think just to add that I see lot of questions coming through in terms of fashion growth. I think, just to add more lens to it. Really, the priority is to break through from this, you know, 2.2% -2.6% contribution margin that you guys have seen and some of you asked that it's been flat year on year. I want to get that to a stronger place in the next couple of quarters before bringing the focus back to growth. Because I think, being on this borderline kind of cusp, and that to us is non- negotiable right . Like our business es must be contribution margin positive. So that's a non- negotiable but getting it to a much more comfortable place in terms of unit economics and cost structure before, again, further scaling up is the priority for all of us as teams. And so like, I said, shaping the busines s, renegotiating freight cost, fulfilment cost, working on a lot of these sub line items, lot of emphasis on marketing, bringing that efficiency , bringing S&D down so just systematically going after every line. Getting this contribution margin to a better place, and then scaling is probably what the next 12 months are going to look like.
Brinda Iyer: Thank you. The next question is from Anand Shah. Any guidance on c apping of losses in Others vertical. Will it go lower in absolute terms from here on? Are you done with investments here? Any guidance here will be helpful.
Falguni Nayar: I think we have said that we are hoping that for fashion this was a year of Peak lo ss, and from here the fashion losses will be lower for the vertical, and that. And we also share this unit economics, just to show where that improvement will come and we feel most of the improvement will come on marketing line as well as some improvement, will come on the fulfilment expenses side. And, this is a consolidated number, like, I said, with the investment in new brands that we were launching is also built into this, and as that investment goes down again, you'll see some improvement here. So that's for the fashion. F or the other s businesses , it is a composition of number of businesses . As far as eB2B is concerned, w e do believe that the losses will not go up too much, but they may go up slightly in the coming year, but it will be quite affordable from our overall earnings on EBITDA perspective. We are keeping an eye on that. And we are

controlling our roll out eB2B in a manner that doesn't lead to swelling of costs. I think we do believe that eB2B is a strategically i

mportant business which will b e very valuable in the long run, and it is something that we want to invest in, but very conscious of making sure that we do it right and like fashion, it will f irst focus on being contribution positive. And after that it will focus on achieving scale whic h will help us lower both the marketing and overheads of the business, but we are really controlling the over heads of the business quite tightly, and marketing expense in that business comes in form of selling and distribution expense. We've taken a call t o serve through concentric ci rcles of areas that we service from our warehouses rather than going national . National will lead to much higher cost, and through that we believe that we should be able to control our fulfilment costs in a way that we can make a difference to contribution profit for that business.

Brinda Iyer: The next question is on fulfilment from Avi Mehta. Would it be fair to expect per order BPC. fulfilment cost seen in Q4 at Rs 85 or so to be the new normal going forward on which we can see further productivity benefits?

Falguni Nayar: Anchit, do you wan t to answer that?

Anchit Nayar: Yeah. So, I think the question is, is the fulfilment cost on the B PC side sustainable? Is that correct? Falgun i Nayar: Yeah
Brinda Iyer: That’s correct. yes
Anchit Nayar: Yeah, I think it is. I mean, you know, for us there has been some a lot of focus on optimizing and bringing efficiency into that process. As we spoke about earlier, we have regionalized our warehouse footprint, which has helped to reduce the fulfilment cost, a bit. T here has been a c apex investment on th at front, but for from a fulfilment cost perspective, it's helped us reduce the cost per order, and so I think that benefit should accrue in the coming years as well. And I think there is more efficiency for us to drive within that cost bucket as we continue to focus on that as an area of cost initiative for the B PC business given our scale now.
Brinda Iyer: A follow -up question by when you expect the personalization ad-tech engine to be up and running, and when can we see the benefit in marketing support revenues in B PC?

Anchit Nayar: So, personalization . It has been launched on the platform and we are testing it and piloting it. I think one must remember that , personalization needs to be done in the right way , what I mean is that over personalization or hyper personalizatio n too early on in India's consumption journey is also not the right move, because, you know, our whole goal is to increase the purchasing behaviour of our consumers and to expose them to new types of products and new categories, and thereby driving an increase in the average basket size, helping them to premiumise their purchases and also increase the frequency of purchase in in a year. Right? So , I think those remain the key objectives. And so, personalization needs t o be done, keeping that in mind. And if you over personalize too early, then you are stifling the consumption journey that you need consumers on. So, I think, that is how we're looking at it. So, we can personalize, and we continue to improve and build out that capability. You will start to see benefits, I think, this year itself, but we will be doing it very cautiously. S o, that is to address the personalization point.

Falguni Nayar: I think, if I may just add, you know, what is not coming out in our conversation is the kind of CRM and C LM focus we have now on and we have a lot of information about our customers in terms of what they're browsing, what they're doing in terms of activities on the on the websi te or the app, and many things like that. And all of those are being used towards individual personalized journeys and some examples, you can see here in terms of nudges for incomplet e shopping or personalize replenishment nudges or if they have tried t he sample, then giving

them coupons to convert it to sales. So, a lot of these are being used throughout the C LM, CRM journeys, and we’ re seeing big benefits of that. So, if you see, last year we had a very strong growth in our repeat customer ’s revenues also. Some somebody as ked the question that , are we relying too much on that at the cost of new customer? We don't see like that we see to the 2 different teams in our marketing, one working on new customer acquisition, and they have their own targets, and then the other is working on C RM, CLM journeys, and they take all of the current customers, and try to continue to make sure that they like Anchit said they buy more frequently. They buy larger amounts and all of those they were organic improvements in all of that, but we are also doing nudge improvements in all of that.

Anchit Nayar: Yeah, I think to address the second question on ad platform. So , to be clear, the ad platform is something which we are building to allow our brand partners who are the advertisers who advertise on our platform to be able to make real time changes and to see data on the performance of their assets on a more real -time b asis. So , it's a lot more visibility to the brands which should help them to see better return on investment. Also, what it does is a combination of personalization, and a d tech allows us to actually increase the amount of advertising real estate which we' re able to monetize. So, we are optimistic that that should play out nicely this year. So, we'll see. But a lot of work has already gone into and this is the year of realization of both.

Sunita Sachdev: This is Sunita Sachdev, we do have plenty of more questions here on the chat box as well as on the Q&A. But we are end for time, and therefore we promise to respond to each one of these to you.

And if there are any more questions, please feel free to contact us. But with that we'd like to call the call to close. Falguni, would you like to have some closing remarks, please?

Falguni Nayar: Yeah, thank you very much. everyone. I think we've had a good engagement from several you all who've been on the platform, and just really, really happy to be able to come in and talk to all of you.

And like, Sunita said, we really value your support and interest in the company, and feel free to get in touch with us so that we can , if we can be of any help, and you know, to clarify any further questions that you may have. But with that, thank you very much.

Adwaita Nayar: Thank you.

Call: Sep 2023

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
August 17 , 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub: Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated F inancial Results for the quarter ended June 30, 2023

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Analyst / Investor Conference Call held on Friday, August 11, 2023 with regard to the Unaudited Standalone and Consolidated F inancial R esults for the quarter ended June 30, 2023.

The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Institutional Inv estor s Conference Call – Q 1 FY2 4 Results .

Kindly take the same on record.

Thanking You.
Yours faithfully,
For FSN E -Commerce Ventures Limited

____
Sujeet Jain
Chief Legal and Regulatory Officer,
Company Secretary & Compliance Officer
Mem. No.: F6144

Encl.: as above

Q1FY24 Earnings Call – Transcript

Sunita Sachdev: Good evening, Everyone. Welcome to the Q 1FY24 earnings call of F SN E-Commerce Ventures Limited.

I'm Sunita Sach dev. I'm the I nvestor Relations and S trategy head at FSN E-Commerce Ventures Limited . I welcome all A nalysts and I nstitutional I nvestors for the call today.

On the call with me today from FSN E -Commerce Ventures Limited are:
Mrs. Falguni Nayar, Executive Chairperson, M anaging Director and C hief E xecutive O fficer
Mr. Anchi t. Nayar, Executive Director and C hief E xecutive O fficer of Beauty E -Commerce.
Mrs. Adwaita Nayar. Executive Director, Co -founder and C hief E xecutive O fficer of Fashion.
Mr. Vishal Gupta , Chief Executive Office r – Nykaa eB2B and the Executive Vice President , Beauty Private Label
Mr. Suyash Saraf , Co-Founder o f Dot & Key.
Mr. P Ganesh, our C hief F inancial Officer.
For Abundant caution, I would like to draw your attention to our safe coverage statemen t, and our disclaimer on page number 2. With that over to you to Falguni for your opening remarks.

Falguni Nayar: Thank you, S unita. Good evening, everyone, and thank you for joining us on the call and it's always a pleasure to interact with all of you. I wanted to start with our slide 5 , which summarizes our results. Just wanted to share that , we are happy to announce that our gross merchandise value for the quarter is at around ■26.7 billion , which is a 24% year -on-year growth. Revenues have grown at a similar rate of a healthy 24% year -on-year, and now stand at for ■14.2 billion. Our gross profit gr ew at 21% year -on-year and stand at ■6.2 billion for the first quarter. And our EBITDA has come out at ■735 million, which is a 60% year -on-year growth for the quarter. Our p rofit before tax stands at ■97 million, and a profit after tax is at ■54 million. Both are showing positive growth on a year -on-year basis.

Moving on to the next slide. Our beauty GMV grew at 24% for the quarter on a year -on-year basis and our Fashion GMV grew at about 12% on a year -on-year basis. Both the GMV, on a 2 -year CAGR basis stand at 32% for beauty and 34% for fashion. Overall, on a consolidated basis, Nykaa's GMV has grown at 24

% on a year -on-year basis.
We believe that we have delivered on the growth while keeping our focus on customers and costs, and consistently invest in sustainable growth. I would like to say that we found during the quarter our growth
in fashion to be a little bit below our long- term expectatio n. I think it was it was, I mean, throughout the industry everybody is talking about it, that it was a particularly tough quarter for fashion very surprisingly

and the industry is hoping for a revival in that. And N ykaa also feels confident that we should be able to move back to our long term trendline growth in fashion.

In fact moving forward, I would like to say that in July we had a good sales season and saw some green shoots of recovery in the month of July, which brought us back to our what we call as our on trend year-on-year growth in fashion. So, we remain cautiously optimistic for the quarter two , though I want to sa y with abundant caution that July is just one month in the quarter .

On Slide 7. What I'd like to talk about is that we continue to gr ow new businesses. Our incubation business, which is the others segment has also scaled up significantly, and now contributes about 6.1% of our GMV, compared to 3.9% in a year ago, quarter similar quarter a year ago. In Beauty and Fashion, our annual trans acting customer base ha ve been growing. You can say that in B eauty now we are at about 9.7 million annual transacting customers, 2.6 million in Fashion, 0.6 million in our physical retail business and in the other s category, which includes Nykaa Man as well as our eB2B business, we have about 0.5 million annual transacting customers.

With that I want to hand over to Anchit to walk you through our B PC performance for the quarter.
Falguni Nayar: I think. I will take those slides for now . We have here been talking about this for a long time. This is the industry sizing as given by RedSeer on the left and the expectation that the B PC growth is growing at about 10 % and within that the online B PC is growing at 29% .
Online BPC penetration stood at about 15% or around $3 billion US market in 2022, and this is expected to be about a third of the overall BPC market and grow to about $10 billion by 2027. You know, key to our understanding is that the realization of this growth should take the premi um component of the BPC consumption from 45% currently to 55% by 2027. There has been a premiumization of the market which we've been talking about on a regular basis. This growth should come through per capita consumption in the segment doubling over next 4 to 5 years.

At Nykaa we already have our consumer spending at about $80 per capita , which is 5 times that of the industry average. The average beauty shopper is spending about $15, whereas a N ykaa customer is spending about $80. There are 18 million cu stomers in that price point. So , we do believe that there is head room for growth, and we can expand our customer base in the ensuing years.

On the G MV front , we want to say that in the BPC segment, our G MV for this quarter came in at 24% year-on-year growth with a 79% of G MV in quarter 1 was from existing customers. This is a testament to the quality of the customer traffic that we attract. But it is also important to note that our focus on being an omnichannel retailer has enabled this growth , as off line retail grew ahead at 27% year -on-year. Physical stores now account for 8.2% of N ykaa BPC GMV. It is also good to see that our investment in

our owned brands is resonating with consumers , as GMV o f our own ed brands has grown at 39% year -on-year. Of this growth, majority of the growth has come through both 3P Platforms offline distribution growth as well as online growth. As o ur retail business space grow at about 43% year -on-year, and we now stand at about 152 stores , delivering on a very robust GMV per square f oot pe

r month of ■3,346. Our
same store growth also came out healthy at 6% year -on-year. This needs to be seen in the context of the base quarter being relatively a buoyant one.

Moving on to the slide 11, which gives some of our important beauty KPI. Most of these are self -explanatory. I think you can go through it themselves because there are a lot of numbers. But important thing to note here is that the order grew at about 17% year -on-year to 9.5 million within an AOV continuing to be at ■1,849 in the first quarter of FY24. We delivered on a consistent order to visit conversion of 3.7% in the first quarter.

Moving on to the slide 12, our owned brands grew 39% year -on-year. Now, accounting for 12.5% percent of our BPC GMV, up from 11.2% in the s ame quarter a year ago. Importantly, 90% of GMV growth of our owned brand comes from other 3P channels also, and this represented in the chart to the right. Our owned brands have been able to win the trust of our customers, allowing them to grow at a healt hy pace. To add more colour on our method, we have been finding good investments that we can make, and Dot & Key was one such example. And we can talk about that later .

On Slide 13. Sorry, I just take 2 more minutes from the previous slide. So just wanted to show that we've been able to grow our owned brands like Nykaa Cosmetics, which is now at about almost a ■300 crores brand on an annualized GMV basis. Kay Beauty, whic h is a joint venture celebrity brand, which is at about ■130 crores annualized GMV. And Dot & Key, which was an acquisition we made about 2 years ago, which now stands at about ■300 crores GMV and the channel mix here is about 54% is online and you can se e that there is offline of about 14 %, and there is almost a third of the G MV is coming from 3 P business, which has grown very healthy that shown a very healthy growth over last year. And this has been a conscious strategy to take our brands wider beyond our platform. So, it's not that it is not indicative of you know what the platform can deliver, but it is indicative of the investment that we are making in taking our brands wider .
On slide 13, I just want to say that we have always maintained deep and sym biotic relationship with our brand partners as of June 30, we had 3,400 brands retailing on our platform. As you will see, a spread of global, luxe, domestic, FMCG and D2C brands is quite wide, which makes our platform de -risk from any individual brand per spective.
We also continue to launch a varied list of brands on our platform, and some of the key ones that are being listed are shown on the right -hand side. W e saw the launch of Elemis , which is U K's number one

Skincare brand, V irtue a very unique brand. And then couple of other brands that many of the other brands that we launch, and w e continued to be the partner for exclusive luxury launches.

Moving on to the next slide, I wanted to talk a little bit about Elemis, I just alluded to in the previous slide. But it is UK's number one skincare brand, and it has launched exclusively on Nykaa Global store, and we are very excited and proud to be the partners of this brand in India. Our launch campaigns and our educational content on the brand, along with soc ial media outreach and offline presence, provided a good 360-degree marketing for this brand, which is unmatched in the market.

Similarly , I want to talk next about an important initiative that we did. We pioneered a very unique Indian engagement with our customers. We created an Indian skincare regime, which is called CSMS, and this includes cleansing, serum, moisturizing, and sunscreen use. We were aware that there were a number of routines, like, you know, the Korean routine or Japanese routine, which w ere considered very much, very demanding by Indian consumers, and the need of the hour was to come up with a short routine that Indian consumers would be able to fo

llow. So with this kind of a program which was developed along with
dermatologists and with the reach that Nykaa can provide in terms of social media and marketing reach and 360- degree marketing reach. We also launch ed it in all our stores, 81 Nykaa Stores. With this we were able to take this very, very deep, and the success of this campaign was very evident in terms of the

kind of engagement and kind of click through rates it provided leading to a superior growth of skincare category on our platform, for that at the time of the launch, and beyond that.
Coming to slide 16, we did similar effort i n terms of focusing on Beauty from the East, which was an edit, that where we brought Korean as well as Japanese and many other East Asian skincare brands to the consumer in an event that that was omnichannel. It went beyond physical event into digital wor ld, and this also was a very well loved and very engaging event. In fact, it had a reach of almost 11 million on social media, and more than 60 plus influencers participate in this.

Moving on to the next slide. As you are aware, that we tend to have a sal e, large sale once in a quarter and our Pink Summer sale, which was an important event went very well. It delivered 35% year -on-year omnichannel growth with more than 2,000 brands participating. We've been introducing additional features into our sale process through massive influencer outreach with more than 255 million impressions and also introducing gaming into our playbook.
Next. So, you know, we are also creating further consumer customer web experiences through our online finders like the lipstick finder creating, you know game changing content both on our social media and on the platform, like you can see here, were some of the other trends that we embrace towards engaging our customers and continuing that what we call as art of beauty ret ailing.

Moving on to the next slide. We also have had front and centre towards our tech efforts and our Stream feature got upgraded with intent driven navigation on the app and that has seen a much better engagement. Homepage Personalization, where the re commendation widgets are completely driven from the browsing and shopping history of the customer, as well as Buy Again, and Wish List Nudges that have been introduced on the cart page are just some of the small changes we keep making towards our overall e xperience enhancement of the consumer experience on the app.
And with that I would like to now hand over to Adwaita to take us through the Fashion business performance.

Adwaita Nayar: Yeah, thank you very much. So, I'm excited to take you through the fas hion business performance for Q 1. To begin with, we remain excited by the size of the fashion market . The fashion industry is 4 times larger than the beauty industry, as we've said before. And as you can see from the industry sizing numbers on the left. There's an expectation that the online component of fashion is expected to grow at a much faster rat e of a CAGR of a bout 27% over the next couple of years. So, the online penetration, which today is about 19% will end up being at about 33% equating to about $50 billion in top line by 2027.
On the right -hand side, we're double clicking on what we consider is the premium component of this online fashion market. So, of that $15 billion that is being transacted online, we believe 10 % - 15%, is what we consider pr emium, i .e. Average order values of ■1,500 and above. So , we feel this is the space that N ykaa Fashion plays in and today, this is about $1.5 to 2 billion in size. It's growing much faster than the rest of the pie. And it's this sliver of the market that w e want to focus on over the next couple of years .

Going on to slide 22. This quarter overall, the fashion market, you know, Falguni referred to this overall the industry has seen a slightly slower quarter. And we've heard that anecdotally, and

I'm sure a lot of you have seen other results also coming out. And so, in that context, we do believe Nykaa Fashion has outperformed the market, and we have taken some amount of market share delivering 12% year -on-year GMV growth. This has taken our GMV to about ■654 crores and I'd like to highlight that the 2- year CAGR for this business remains 34%.

In terms of repeat behaviour, still, on the left -hand side chart, we can see that 44% of Fashion's GMV has come from the existing customer, and this is up from 30% a yea r ago, and this signifies better customer retention, a metric that I've spoken about last time as well. And it's this metric that is giving us confidence and comfort that we are continuing to find strong product market fit with the customer. You know , generally the cohorts that we are seeing is giving us a lot of confidence as this business shapes up . On the right hand side, you can see the split of Fashion GMV across our core Fashion.com business as well as our owned brands, which again, I've spoken a lot about, and I will speak about further as we further, as we go on, so you can see that about 80% of our business comes from our platform, which is our multi brand predominantly app experience and 14% comes from our owned brand business.

What is notewor thy here is that the owned brands business is growing at 30 % year-on-year and our platform orders is growing at about 12 % year-on-year. In terms of offline again, we'll touch upon this in the next couple of slides. We're today at 10 stores of which, 4 are Nykaa Fashion multi brand stores and 6

are actually for one of our brands Nykd, which again, you might have heard of, which is our lingerie brand. And that's sort of the split. F urther on the offline strategy, I'll elaborate as we proceed.
Slide 23 gives us a quick snapshot of our metrics, you know, this will be widely available listed online. You can look at this. Just the highlights are - visits are growing at about 7% , orders have grown at about 12%, implying a conversion improvement. Average order val ue is holding up at about ■4,400. So, we're feeling pretty good about being able to hold up our average order value as well.

Moving on. The annual unique transacting consumers is at 2.6 million, so this is up 30% year -on-year. And so, we are continuing to do a pretty good job in terms of acquiring customers as well as retaining. And yeah, I think the other thing I'll highlight is the N SV. So the N SV, which is sort of net of discounts net of returns , what is truly delivered to the customer , is about ■197 crores for the quarter a nd this is up 14% year -on-year. It's higher than the growth that the G NV is seeing and that's because we made a lot of efforts this year to reduce things like R TO, returns and actually just increase the quality of the business we're doing and being able to deliver more to the customer.

Moving on. Talking about our assortment topic that is close to my heart. We have over 3,000 brands on our platform as of the end of this quarter. This is up from 1,800 brands a year ago. There's bee n significant onboarding in the last 12 months, and sometimes, you know, I have to remind myself my teams that fashion is still a pretty young business so there is still a lot of onboarding that just happened in the last 12 months and you can see that from 1,800 brands going to 3,000 we're feeling really good about being able to present more choice to the customer. And, more importantly, despite being you know this platform business , we continue to have our eye on curations. So , there's a constant delisting of SKUs that is constantly happening.

The 3 next buckets we talk about this every time . We continue to focus on Global Store, Hidden Gems and First in Fashion, each is growing very well. The Global Store business, which is now 650 brands, contributes 20% of the western wear G MV. Hidden gems, which is over 300

local emerging designers,
contributes about 17% of the Indian w ear business. So, both are really meaningful, a nd you know we hear from our customers that they like to come back to us for these sorts of unique assortments that we are building that are hard to find are not listed widely on other competitor platforms .

Moving on. In this past quarter, we also saw the Pink Summer sale event and we have now been conducting sale events in the manner such that Beauty and Fashion coincide on the same date so we take advantage of the rub off effect, and we gain from marketing costs and are able to leverage across both platforms.

Moving on to slide 26. Our owned brands business in Q1 of FY24, our owned b rands GMV Stood at ■916 million, which was a 30% year -on-year growth. The owned brands GMV contributed 14% to overall Fashion G MV, and actually, if you look at these metrics on N SV, they're even higher, closer to 17% and that's up from 12% a year ago.

Our 2 major brands, 20 D resses and Nykd, have both crossed the ■100 crore s mark, and we really do believe that by building these into standalone brands , that includes being able to list them on third party marketplaces as well as physical stores. So yes, we r emain really focused that, some of these brands have to be built out as real standalone brands with a lot of brand love and equity. And so that is why we distribute them far and wide . Nykd, our l ingerie brand, which, as you all know, I'm personally really bullish. Love how the brands is shaping up. For example, this brand has massive distribution outside of Nykaa and Nykaa Fashion. It has over a thousand selective doors in G T and MT . It has its 6 of its own EBOs , and we are accelerating on this strategy as well. Before we move on from the own brand section , I'd like to emphasize that we see our own brands business as a real moat. These brands are superior in terms of profitability profile w hen we compare to the third -party brands that we retail, and also as they develop into real brands with a lot of consumer love , they make our platform an interesting place to shop as well. So , I really think it's a win -win situation if we're able to build these brands out beautifully.

Moving on to slide 27. Just a quick glimpse of the brands across segments. So, we are sort of systematically trying to approach and sort of address all the segments out there on the women's side.

And then moving on. You can see that we've also done some interesting collaborations for our own brands, whether it's you know, with Pipa Bella and R hea Kapoor or with Mahima Mahajan, who's a great designer for one of our Indian we ar brands .

Moving on to the omnichannel s lide. We do believe in exploring omnichan nel to some degree. So, we have , apart from our website and our multi brand play, we have 4 N ykaa Fashion M BOs, which again, I have mentioned in the past, and 6 Nykd EBOs, as well as selling Nykd across a thousand selective doors. As I mentioned last time , at the moment we don't have plans to scale our Nykaa Fashion M BO business. So that's the first thing I referred to. We'd like to continue to nail our proposition there before we move and accelerate in any manner. But, on the other hand, Nykd, those EBOs we are feeling confident about, and we will be accelerating there. And similarly, you know, placing some of our private brands in M BOs is something we feel confident. So just to recap, because I know often questions come on thi s, that t here are no plans at the moment to accelerate our N ykaa Fashion multi brand business, but as in where offline works for our own brands. We are sensibly progressing in that direction.

Moving on. We're always really focused on education and creating the right content. So that c ontinues to be done. That is always going to be the Nykaa playbook, as you can see here.

Moving on. We do believe that the long tail

nature of fashion merits strong discovery. And so really the ultimate question I keep asking myself and my teams ask, how do you show the right product to the right person at the right time, because you have millions of SKUs. And so, we made some progress this quarter which I'm really proud of, and we've launched hyper personalized experiences across the site. We've also launched a new feed called My Nykaa, which is a completely unique feed to every person who engages with the app. So, feeling really excited about the personalization that we managed to launch this quarter. It's showing great promising results with very good cl ick through rates, so I feel like it's finally addressing that, you know, ultimate discovery problem that exists in fashion. And finally, on the right -hand side, I want to highlight that we've also enabled our website to ship internationally. And so, we're now available in 12 countries for over 100 designer labels. And it's still really early days here. But personally, I'm excited about, now having the ability to tap into the NRI market.

And so with that, thank you. And I'd like to request Vishal to take u s through our eB2B business .
Vishal Gupta: Thanks, Adw aita. Good evening, everyone.
We remain very excited about our eB2B super store business. And the reason is simple, it's a very large addressable market, and where we can make 3 to 5% EBITDA at scale, it's a large addressable market because the unorganized offline retail stands at $11 billion and it's traditional. It's ripe for technology disruption. And we know that you know, Indians are by and la rge, quite comfortable in adopting technology, if you see all the mobile penetration, etc. Given the level of unservice in the Indian market and technology adoption. We feel confident that we can disrupt this market and achieve 10 to 15%, which means $1-2 billion of the addressable market. And given Nykaa's expertise in technology as well as beauty and well -being vertical, we can be at the forefront of this disruption. So large addressable market, with 3 to 5% EBITDA at scale .

Next slide, we are well on our way to you know, on our path to profitable scale, and very happy to report that previous quarter was another very good quarter for us, and you can see, year -on-year we have increased our transacting retailers by 2.7 x. We have increased our brands on the platform by 1.1 X. We have increased our coverage of cities by 1.4 x and orders by 2.5 x. So, we make very good quarter -on-quarter and year -on-year progress on as per our plan.

Next slide. And you can see that the benefits of these also are flowing into our bottom line, because, as our GMV is growing by 2.6 x, our feet on ground people productivity have gone up by 1.8 x. Our fulfilment cost has come down by 10%. The distribution cost has come down by 30%, you know which are the benefits of scale. But we a lso know that we have a long way to go.

Next slide. So, if you see the bottom part, you know, we are confident at scale, we can be 3 to 5% EBITDA, for the simple reason that our focus on beauty and well -being means that we make two and a half times the m argin of industry, which is at 5% to 6%. And we can make 12% to 15% because of our focus on beauty and well -being. But profitable scale means we have to grow our GMV by 18x. You know our orders by 13 X, you can see BDE productivity, brands listed, you know . So, it's a journey. But, like I said in my previous slide, every quarter -on-quarter we are moving as per our plan on that path to profitable scale.

Next slide. Technology is at the core of our operations, because that is where we are bringing the disruption. And this is where we have lot of data . We not only have our B2B data, but we also have B2C data, for example, what beauty products are selling in a certain PIN code. So, you know, we have a unique advantage over anyone else in terms of helping our ret

ail partners to buy and therefore stock and
sell the right assortment, which is going to increase their overall throughput and increase their income. So, recommendations is one such way where technology is adding value. We also have, you know our own sa lesman efficiency app with location base check in, etc. So, we are able to drive very high rigor in terms of our feet on ground. So net -net, we will continue upping the game on technology to bring the disruption and improve the service to the retailers.

Thanks. I think now, I will hand over to Ganesh for the financial part.

P Ganesh: Thank you, Vishal.

So, looking at slide number 39, as we can see, our revenues grew by 24% y- o-y during the quarter . Our gross margin was at 43.5% for the quarter and our EBITDA margins improved by 120 basis points to 5.2% during the Q1FY24. W e delivered a 17% y- o-y growth in PBT f or the quarte r.

Moving to the next slide. I'd like to focus over here in terms of the improvement which we have seen in our operating co sts year -on-year. Operating expenses as a percentage to revenue was 38.3% during the quarter versus 40.4% during Q1FY23 . Quite a lot of the operating cost improvement has come through with the regionalization of our fulfilment centres and reduced rate cost s, and also rationalization of our marketing expenses. Fulfilment expense as a percentage of revenue was at 9.5 % during the quarter versus 11.3% during the same quarter last year. Marketing costs as a percentage of revenue was at 11.2% during the quarter versus 12.3% in Q1FY23, which is an improvement of more than 110 basis points. Our employee costs have also started seeing leverage come through as had been guided earlier and employee cost as a percentage of revenue was at 9.7% during this quarter versus 10% in the corresponding quarter last year .

Moving to the next slide. Here we have a waterfall in terms of our EBITDA margins, as you can see, while gross margin has contracted by nearly 90 basis points, as a result of a higher proportion of

super store business in our NSV mix. The fulfilment cost improvement which has been achieved through regionalization strategy and better freight cost, along with shift optimization of our fulfilment centres as well as the marketing efficiency which has been achi eved through attracting better -quality customers. All of this has actually been ensuring that the overall cost parameters have improved. Selling and distribution costs, of course, increase during the quarter with the offline distribution of owned brands, a s we have seen
earlier in the presentation. Employee cost, as I mentioned, has started to see leverages coming through and other expenses increased, due to investment in technology and infrastructure.
Moving to the next slide. This slide explains the what the fall from EBITDA margins to P BT margins and gives colour on the investments that we have made, and the impact which it is having . So, deprecation and lease costs increased during the quarter is on account of incremental Capex that we did in FY23 in retail stores, warehouses, as well as offices. And other income has been lower on account of the utilization of I PO proceeds.

Moving to the next slide. Here we can see the vertical performance as it stands, and I'd like to bring your focus to the bottom par t of the chart where the cost items are calculated on NSV, which makes it comparable across the 3 verticals of the business. The key point to highlight over here has been the improvement in the contribution margins in the business for the BPC business from 25.2% to 26.5%
during the quarter. For Fashion, in a challenging environment that has been and given our consistent investments in the business, our contribution margin has come through at 2.7% for the quarter. The key
improvement has been from the SuperS tore business again, as highlighted by Vishal. This business has done quite w

ell in terms of cost, and, as you can see within the others vertical , all operating cost parameters have actually improved significantly.
Moving ahead. Here we have the one Nykaa Income statement for FSN E-Commerce Ventures Limited . Our revenue grew by 24% y-o-y to reach ■14.2 billion during the quarter. Our EBITDA margins, as we saw earlier, was at 5.2% , an improvement of 120 basis points over the corresponding quarter the previous year. And this has come through reduction in fulfilment costs , better marketing spends and employee cost rationalization.
Our investments in building retail infrastructure have meant that some of the increase in other expenses and the emphasis in building own branches meant that there is sales and distribution expenses that have seen some increase during the quarter.

All in all, we believe we have managed to improve our scale efficiencies in a challenging macro environment, and we continue to inv est in the growth diversification and improvement of the quality of the business over time.

11

With this I would now like to invite Suyash Saraf, C o-founder, Dot and Key to talk about the brand and its performance.

Suyash Saraf : Thanks , Ganesh. Hello, everyone. I'm Suyash Saraf, co -founder of Dot & Key. I think. I'll just brief a little bit of what Do t % Key is for you all who don't know this . Dot & Key is a new age D2C skincare brand. It promises efficacious products with a fabulous user experience. We hav e a strong product portfolio with the primary focus on face care because we feel face care has more premium and with our categories being moisturizers, sunscreens , serums, and face washes. And you know we have about 50 different products, about 68 different SKUs for it.

Next, please. So, my wife, Anisha and me started the brand back in 2018 and we really wanted to create a beautiful skin care brand which is in par with global standards. So, we incorporated Dot & Key with efficacious products, joyful skincare experience, and a packaging that would really make th e customers enjoy their skincare rather than making it just a product that they use. I think, post our initial launch, we really got traction because of our innovative products, which caught a lot of user's eye and specially influencers which gave us our f irst traction. I think the real game changer for us came back in 2021 when we shook hands with Nykaa, Nykaa got majority stake into the company, which completely changed the game that we were in. And we have massive ambitions for Dot & Key then, and I thin k the next 2 years we actually spent in re- strategizing, re -aligning, re -pricing our products in order to really start building Dot & Key as a large FMCG skincare company. And I think, all our efforts have paid off in 2023. We now have an annualized run ra te of ■3 billion rupees. We are now having improved profitability. We are in top 3 skincare brands on Nykaa.com. And actually, several of our products are top sellers across different platforms on the Internet. So, we have grown about 5x since the 2021 acquisition. And we do want to become a ■5 billion brand by 2026.

So, I think, one of the key product innovations is at the core of Dot & Key as a brand, and our biggest reason to win. I think one of the key points for Dot & key winning and the products bei ng differentiated, is that we identified the international trends very early on and we make sure that we actually bring those products to the Indian market way before any competition can. This makes a product strong and what's trending globall y and the Indian consumers really want these products .

I think, for any successful F MCG company, the consumer and understanding the consumer is at the core of the business of the business. So, we at Dot & key really feel that if we understand our consumers , we can mak e great products for them. I think this entire philoso

phy of ours, where we are obsessed with the customers making sure we are delivering products that they are expecting from us and being very detail oriented when it comes to our product, has really helpe d the brand grow, and has created a c lear right to win for the brand, as you've seen in in a number growth.

12

I think one of the key win s have also been setting up a strong new product development vertical within the business which got us to the market much faster than competition. So , the speed to market was a clear, differentiating factor in the brand, and the reason for the brand to win which we are streamlining further to improve our speed to market, to be always like in the top in the space .
Next, please. I think, last year about 30% of our revenue came from the innovation funnel that we built out. That really tells, our new launches have been more and more successful as we launch them, and the beauty of the success is that about 70 of our revenue does come from cities beyond the Tier 1 metro. So , we as a brand, believe that the next growth story is coming from beyond Tier 1, and that i s where Do t & Key, as a brand is structuring its portfolio, it's pricing, etc., so it can cater to this mass audience which have the aspiration to buy the products, yet don't have the accessibility around them, and they buy products which the world wants a nd they can and t hey can get it easily. So , our growth is aligned with the growth in the metro, Tier 1, and beyond them, actually.

So, I think what we've also done in the future is that we've actually gained a lot of market share over the last couple of y ears across all marketplaces that we are available at. Our objective is to strengthen our leadership position in some of these categories by launching more products, by increasing our market share, to become a dominant player in the market. I think we also want to focus on increasing our retail distribution via the Nykaa retail channel and other modern trade retail channels to increase retail distribution. I think with this, our ambition is to make Dot & key a ■5 billion brand by 2026. And I think hopefully we'll achieve it.

Thank you. Over to you Sunita.

Falguni Nayar: Sunita. You're on mute.

Sunita Sachdev: Thank you. Thank you. So, with that we've come to the end of our presentation, and we'd like to now open the platform for Q &A.

We request you to raise your hand and we'll allow you into the meeting room for Q &A with the management.

We'll just wait for a couple of seconds for the listeners to raise their hands.
Falguni Nayar: I think, Sunita, while that's happening, I think I wanted to request Anchit to come in and share his insight on what we are seeing in terms of, you know how the beauty industry is doing internationally, and what we've learned through our recent visit. Anchit , if you would like to just share some qualitative stuff.

Anchit Nayar: Yeah. So, I think, you know, we were on the road for a lot of April and May, and even parts of July meeting with a lot of our global brand partners in the U S, Europe as well as Asia and I think, the feedback we're getting is that India is clearly now very much on everybody's radar. A lot of the global brands, both on the premium side as well as more on the F MCG s ide, have always histor ically prioritized China for driving a majority of their growth. But I think with everything that they've seen with the lockdown and the impact of supply chain and also I think, what has been a relatively t epid recovery in the luxury and the premium market in China. Everybody's looking for China plus one strategy. I know we heard a lot about this across manufacturing and electronics and other categories, and I think it's equally the case for beauty. And so, everyone is looking to now invest into India. It i s still very early days, they feel, and you know we've always showed you th

e numbers around the market size. But I think everyone is very excited by the growth opportunity. And they know it's a multi decade story. So, we're seeing a lot of interest for the first time, this level of interest from global brands. And they're keen to partner with the right retailers. I think that's another differentiator for us. I think they've seen the kind of work Nykaa has done in India leveraging technology, but also focusi ng on building stores, you know, having a very extensive network of physical stores is crucial for global brands , when they are deciding on them, go to market strategy. And I think the technology, large content, education, assortment and omni -channel appro ach has been a big differentiator for us and has allowed us to not only continue to win new brands for the platform, like we showed you like we showed you during the presentation, but also to continue to strengthen our business with existing partners. So , I think it's the optimism is high. There is an understanding that the market is still sub scale. But there is a belief that it is it can be a very meaningful contributor to their business in the coming years, and they are looking to partner with Nykaa to achieve their goals in India.

Sunita Sachdev: Thank you, A nchit . We have our first question from Manish. Manish, please go ahead.

Anchit Nayar: I think Manish might be on mute, but Sunita also just introduce the name as well as the company, if possible.

Sunita Sachdev: Yeah.

Sunita Sachdev: Manish, are you in the call?
Manish Adukia : Yes. Hi, can you hear me. Okay.
Sunita Sachdev: Yeah. Can you introduce yourself and then go on with your question?

Manish Adukia: Yeah . Hi, this is Manish Adukia from Goldman Sachs. Thank you for taking my questions. I have a couple of questions, maybe first on the beauty business so you talked about beauty

seeing a tough quarter, and the industry was facing some challenges. Can you maybe just elaborate on what these challenges were that the segment was facing?

Falguni Nayar: I'm sorry, Manish . I was speaking at that time I didn't say beauty. I said fashion faced a tough quarter challenge . I think beauty was in line with expectation, and we do believe that we have grown ahead of the market.

Manish Adukia: Right? Sorry, my bad, I was referring to the fashion segment .

Falguni Nayar: So, on fashion, I think, we are also aware that it was a very tough quarter for other players in the fashion industry, be it e -commerce or physical retail, as well as the fashion brands. It's been a tough quarter for most of the players. I think it was one of those odd quarters where somehow the consumer was just not interacting and picking up. And it was what we saw that there was really nothing much you could do to get the consumer interested. So , it was one of those way below , you know, if we have an annual trajectory , I think i t would clearly come out way below that tra jectory . But I think when we gave the revenue guidance earlier, at the beginning of the new quarter , we realize that industry had seen even less er growth. And I think that's when we started picking up the revenue growth of others, we realize that our growth was still better than the industry. But all I can say is that since then, in July we have seen better growth coming back to long- term annual trajectory that we would consider for that business and to that extent we remain we remain excited and but, however, I want to caution that July is just one month out of a quarter which would have 3 months.

Manish Adukia: Sure . Thank you for clarifying on that. Maybe just a couple of follow ups on that . So, of course, at the start of the year, I think in the month of May, t here was an expectation that the fashion, business and fiscal 2024 could also grow at a similar pace versus fiscal 2 023. So given just to start to the year. Would it be fair to sa

y that for the full year the growth may end up being meaningfully lower than you know what we had previously in the fashion vertical. And second, follow up, there would be given that you are focusing on the prem ium online fashion category, just a bit odd that you know, we are seeing a bit of slowdown even in that category. So, is there any more colour , you're able to add, just you know whether, by segment, is there something more slowdown than the other? That wil l be helpful.

Falguni Nayar: No, so honestly, I'm not saying that it was due to affordability. It almost felt like customers were missing. Maybe they were travelling. Maybe a year ago quarter was stronger online because of circumstances at that point, because even previous year there was a lot of covid non covid first quarter after Covid. Also, there is certain amount of you know , there was generally a trend where customers were going back into the stores, an d this is a global trend where customers are goi ng back into the stores compared to e -commerce and it was shaving off a little bit across that effort. But I think if you take the first quarter from what we are hearing from the market, even physical retail has not done well for fashion, so it almost felt like customers were absent. Maybe a lot of customers were traveling. Lot of

customers were postponing their fashion purchases. I wouldn't see it was coming out of affordability, maybe for at our end. You know , also, maybe you know, like, sometimes, what happens in an industry , that new assortment and excitement comes at a different point in time, definitely in beauty, which we observed so for a long time. That second half is when most brands launch their new launches, because it is off season in India gene rally, you know, the quarter is not such a strong quarter from a seasonality perspective. So maybe some amount of that excitement was missing.

Manish Adukia: Thank you for clarifying.

Adwaita Nayar: I think I'll just add there that. Yeah, I think it's way too early to sort of, you know, right off the year. Nothing like that. We as a team, remain really confident and sort of focused on the rest of the year. Three things are giving us confidence as we' re sitting in August. The first is that we have shared that July was actually quite good for us and we did feel that there was a normalization of growth again when we were looking at July. Again, that's only one month. But we're feeling, you know, sort of confident, going into festive season that we're going to be able to hold you know, higher level of growth. So that's point number 1. P oint number 2 is, we are noticing that our repeat metrics, and our cohort metrics are improving. And so again, that is giving us confidence that the customer is sort of starting to come back again, and that also like points to the inherent strength of the platform and the proposition we're building and then the third thing that's giving us confidence sitting in August is that the marketing metrics, again, are looking better. So one is, we're not at all giving up on the growth targets and the growth that we believe that this business can achieve in a year. Yes. Q1 was a bit odd but again, from what we're hearing, anecdotally from all our brand partners , other retailers are that Q 1 seemed to be a bit de -growth or flat for a lot of fashion folks out there. So, in that context, we feel that we still did take market share. But yes, it wasn't to our overall expectation from a growth point of view. I'd say the second thing that I'm feeling good about sitting in August is that I do feel that the business has made a lot of changes in Q1, you know, sort of during the slower time. We've really continuing to shape the business. So, we are d eprioritiz ing certain categories. We're focusing a lot more on women. We're focusing on certain, like quite profitable segments. So, my belief that the shape of the profitab

ility of the business is going to show improvement in the near future is again incr easing. So yeah, I would definitely not say that we're losing confidence for the rest of the year.

Falguni Nayar : Also , the quarter went by , it wasn't that there were no improvements. I think our shrinkages came down, and our ratio between GMV to NSV impr oved in Fashion. So, I think there were a lot of improvements in the business which were made including controlling the ma rketing expenses. It just said we found it harder to I mean to achieve growth that quarter.
Manish Adukia: Thank you. My last question is on the B2B business . The contribution margin there seems to be improving on a t rendline basis. Would you be able to comment on how many quarters from now could it potentially, let's say, get to break even, or at least at the contribution level. And of course, at

16

the start of the call or during the call, you also guide you to 3% to 5% scale again, you know, in terms of some sense on you know, how far away are we from that like qualitatively, that'll be helpful. Thank you.

Vishal Gupta: Yeah. Can I an swer that? Yeah. Look firstly, you know. It is obviously slightly difficult question to answer, because, you know how long it takes, but I think that it will take a few years for sure. Okay, and if you look at my slides , then what we are clear on is at what scale, what number of orders, etc. we get to the profitable scale, and you can see that previous quarter , what kind of growth we had. Right? So, you can make your own judgment. It will be a few years.

Vishal Gupta: It won't be 2 years. It won't be 7 yea rs or 6 years, you know.

Falguni Nayar : Also, I think the growth generally as a platform becomes bigger, comes down. But also, this is a platform which is not at its full scale. It's not servicing, or it's I mean, we have said in the past that we are trying to service in a concentric manner with PIN codes around our warehouse is being service d. So , both the inputs into it in term s of additional warehouses , additional feet on street that will service those markets in in panel. The customers can also go up and we want to also keep the discipline of the way we invest in this business. So, I think at the moment we can only say that at what scale will be profitable. We are not giving very clear guidance on timing.

Manish Adukia: Thank you all the best.
Sunita Sachdev: Thank you, Manish. We have the next questions from Sachin. Sachin, once you're in the call. Please introduce yourself and go ahead.
Sachin Dixit: Yeah. Can you hear me now?

Sunita Sachdev: Yes, please go ahead.
Sachin Dixit: Yeah. Hi, this is Sachin from JM Financials. I had a couple of questions , the first one was on Beauty Vertical this was one, I think I highlighted last part as well. W e were adding roughly, 0.5 million net users in beauty every quarter since IPO until last quarter, when it di pped to 0.4 and now it looks like this quarter, it is dipped further to point 0.3. And that is given that the marketing expenses are still holding up. You've not really cut it down. So how do we think of ramping that back up?

Falguni Nayar: I think what I can say is that honestly like the T TM, I've always felt is not the right metrics for measuring Nykaa's customer, and how often they come, because, while we say, on an average customer buys three and a half times in a year. It is not like food, and others where customer comes back a lot more times in a year, and because of the way the customer distribution is that there are customers

17

who come back sometimes once in one and a half years or once in 2 years. So, I think the T TM number doesn't truly reflect Nykaa's buying customers.

All I can say is that we do study the cohorts , the monthl y cohorts, and we do feel that the cohorts are kind of similar and not deteriorating as we go wider, but also with an acce

leration of new customers that you
bring into the net. You know that that balance itself can lead to the changes. So, I think all we a re seeing is that we have 2 separate programs. We have CLM and CRM program s that monitors about our growth of our repeat customers, and how that is growing, and also monitors the growth of our new customer acquisition, and, in fact, repeat customers, both the customers and the purchases continue to grow at a healthy pace.

Sachin Dixit: In that case, would you be comfortable sharing the new customers added in a quarter, or for at least the last few quarters.

Falguni Nayar: I think you know. The point is that we I mean, I think we as a company, are sharing far more information than anybody else in the industry does. All I can say is that sometimes the certain metrics are not very keen

to share on a regular basis. So , because of you know, the changes which ca n be
due to many reasons , there could be seasonality, t here could be other things and investors tend to read too much into it. So , the decision to share something annually and something quarterly is a very conscious decision, based on not creating further confusion amongst investors who may not understand the strategies that may be employed during a quarter .
Anchit Nayar: Yeah, I think sorry Sachin. I'll just add something. I think. Look, if you look at the year-over-year growth in in terms of the you know, tra iling 12 month transacting c onsumer base, that's almost 20% growth, right? And also for B PC, and in that same time we've reduced the marketing spend- year over-year by about 30 basis points. The marketing cost hasn't grown in line with the increase in the number of transacting customers year -over-year. So, I think that's one thing to point out . I would say, t he second thing is that, as you can see from N ykaa, it's not just about the growth in customers , it's also about the growth in the customer ’s basket size, frequency of purchase. So, you must also look at it in that sense , these are unique transacting customers, but the frequency of purchase, the average basket size, the average selling price, and therefore the average order values obviously have improved to deliver 24% growth year -over-year. When the growth in customer year -over-year has been 18%. S o you know, we have many levers. One is, of course, importance of increasing a number of transacting customers, but also the frequency and the quality of their transactions is also equally important, which has improved. And that's why we've delivered higher revenue growth as opposed to the marketing spend growth.

Sachin Dixit: Fair enough. Yeah. Other m etrices are certainl y holding up. So, I'll move to a next question. That's a housekeeping question looks like there has been some cost movement that have

happened between selling and distribution and fulfilment . I would love to have probably at least the last quarter and the last fiscal year's number, if possible.

Falguni Nayar: Yeah. Comparable numbers for the last few comparable quarters. I think the team will share it.

P Ganesh: Yeah, it's a real classification of off role warehouse cost which have logically now been reclassified into fulfilment , and in terms of in terms of value , this is roughly about ■100 crores annually, if you look at a FY 23 numbers.

Sachin Dixit: Understood. Would it be possible to share, like to like numbers for last quarter, just to see the difference.

Falguni Nayar: Yeah, the effort will be to give it to you for last quarter. I think.
P Ganesh: It’s about ■25 crores, if you look at Q1FY23, it’ s about ■25 crores. That’s the quarterly number.
Sachin Dixit: I'll probably check on this offline. Thank you. Those are my questions. Thanks.
Sunita Sachdev: Yeah. So, the next questions from Sheela Rathi. She ela, please go on. Sheela, you're on mute. Maybe you want to unmute.

Sheela Rat

hi: Yeah. Hi, good evening, everyone. So, my first question was, with respect to the pink day
sales. So, is this the first time where we are planning to do it, 4 times in a year? I believe earlier it used to be twice a year. Right?

Falguni Nayar: No, it's been 4 times a year since last year, you know.
Anchit Nayar: Yeah, we've done this in May. It's a May sale . We call it a pink summer sale. We've done it. We did it last year as well. In terms of doing only 2 pink sales in a year. That was a couple of years ago, but in the last at least I would say maybe 8 to 12, maybe more quarters we try to do at least 3 to 4 pink sales in a year.

Falguni Nayar: I think I can explain, I think why, She ela, you may be confused, bec ause I think about a year ago, when we were planning the sale. It was, you know, third phase of Covid, and we were afraid to call it pink sale, so we call ed it Nykaa super summer days and this year we brought it back into our pink sale. We didn't want to c all it sale at that point.

Sheela Rathi: Understood. Falguni, my second question was, with respect to the you know, scaling which we have seen for D ot and K ey. And if I compare that with K ay Beauty, there is a st ark difference . Is it a transition which is happening with respect to the Indian consumer in terms of, you know, more preferences towards skincare versus cosmetics, which was the case in the past. And especially, you know, you going ahead with the CSMS campaign? Are we seeing some behavioural chang es among the customers? And how what does it mean for our margins?

Falguni Nayar: Yeah, no, I think I won't worry about the margins, but I think what I can say is that world over there is skinification of beauty which means that world over there is a high er growth in skincare consumption compared to make up, I think, in the industry. I've seen that these are short cycles over one or 2 years, you know, industry moves in favour of one particular subcategory , and then the growth happens somewhere else 2 years later. So , for now, definitely it’s a worldwide trend where there's skinification of beauty with lot of products , consumers preferring to have, you know, the starting point is that, let's have better skin then trying to hide fal se in your skin. So, I think there is skinification of beauty going on, and that same trend is being seen in India.
Anchit Nayar: Yeah. But II just want to add, because I think, She ela, you mentioned that there has been a stark difference in the performance of Kay Beauty and Dot & Key . And I think that's not the case. So Kay Beauty actually, which is our colour cosmetics brand which we have in partnership with Katina K aif and it's a slightly more premium brand that actually has done very, very well. And it's growing incredibly fast. I don't know if we disclose those numbers, or if Vishal would like to point that out. But I think that would be a that would be a wrong assumption from you that K ay Beauty’s the performance has been starkly different from Dot & Ke y. In fact, K ay beauty, is one of the fastest growing platforms. Sorry one of the fastest growing brands on the N ykaa platform. And actually, just yesterday, it won some award at some Economic Times brand a wards show. But that's not the point. The point is , the numbers are also showing that the brand is doing incredibly well, and it has become now one of our top, you know, top 10 or so makeup brands on the platform out of 1,000 makeup brands that we have.

Falguni Nayar: Yeah, on a makeup basis. I think Kay Beauty is doing fantastically. Well, I think to Sheela’s broader question. I think if we see maybe 3 years ago or 2 years ago most of the top 5, 6 brands would all be makeup. You are increasingly seeing that. You know, there are a lot of skin care brands creeping into being top brands at N ykaa . So, skincare is definitely growing very strong.
V

ishal Gupta: Absolutely. And just to build on that look. Both brands are doing really well. But skin as a market , its addressable market is far larger than makeup, and therefore skin brands will be bigger than makeup brands . But both brands are doing really. Well, I mean across India , not just Nykaa, I'm s aying the overall market.
Sheela Rathi: Okay? And there are no not much differential on the margin side from our perspective.

Falguni Nayar: If you're talking about margins as manufacturer, no, not much difference. And margins as retail also not much difference.

Sheela Rathi: Okay. My other question was actually on gross margins, you know, as a share of eB2B goes up for us , you know, in the coming quarters and years. How should we think of the gross margin trajectory now going ahead? Because, at the c onsolidated levels, and numbers could be now lower versus what we have been seeing in the past.

Falguni Nayar: I think the c onsolidated gross margin will be a function of 3 distinct businesses which is Beauty , Fashion , where , the gross margins are a certain number, because again in fashion, a lot of business was marketplace and then, now B 2B, and then against that, even our own brands, as we call it, between beauty and fashion. A lso, as you're aware, we have quite a few brands, similar, like about 12 /13, and beauty and similar number in fashion. So, I think even they have a little different structure of revenue versu s margins, and we also now have L BB, which is a content business. So, I think the margins are a combination of a number of things. I think the reason why we give all the 3 segments, and you know variable costs, as percentage of net sales value is with a view to for you to be able to see how they will emerge, and I would just caution that in others it's a combination of B 2B as well as other businesses in terms of revenue. Large portion is B 2B. Though in other cost item, it could be variable. And that's why we are making this effort to share the B 2B u nit economics very clearly for you to be able to project .
Sheela Rathi: Understood. M y final question was, to Adwaita on the fashion business. You know, she mentioned that, you know, as we are confident about delivering the full year growth which we had talked about, you know, last quarter. And she also mentioned about, you know, deep prioritizing certain categories and focusing on profitable categories. So just wanted to hear more details on what exactly we
are doing here.

Adwaita Nayar: Yeah, you know. So, I think. First of all, I think you know, we have to begin with the fact that fashion is a massive market, and we are so excited that N ykaa has sort of put it s stake in the ground, saying, we want to play in fashion, and I think in the long run, us having a role in in this, seemingly you know, large fashion industry, we would be really great thing for N ykaa . So, I thin k growth will come but I do believe that in this category it's absolutely incredible to crack some sort of formula to be able to drive profitability. There is 100% a model in fashion, as I always say, to deliver, you know, 50%-60% top line growth with limi tless funds and limitless losses, which is what you know the industry may have seen to date, but that will never be the Nykaa way. So, as always, the focus is for us to remains that how do we deliver sensible growth, while every quarter shaping the busines s such that we're driving closer and closer to being truly profitable in a meaningful manner. And, as you can see, over the last couple of quarters, we've been hovering around this contribution margin of about 3% and so I, you know, it is time that there a re some decisions that we take to really drive meaningful step function changes in

21

that number, and I always think that every new leg of profitability requires some bold decisions to get to that new leg, and then you work from there and go

onward and upwar d. So how are we thinking about the
profitability? couple of things? The first is category mix. The reality is that certain categories are better from a profitability perspective. They have better margins; they show better cohort behaviour, they show bette r type of customers who adopt to those categories. So, a perfect example is like Indian wear is a great category. You know, in women accessories. S o, bags, lingerie, these are great categories.
Men's is a slightly less great category, particularly men's fo otwear, you end up seeing a lot of sorts of returns. So, nothing super dramatic. But as a team we're just being really mindful of what is the profitability profile of various categories and how can we shape it? So that's one example of what we're doing on the profitability front. A second example is, we're doing a lot on cart charges. So, I'm sure you guys can even see Zomato and other companies out there. They're starting to layer on a lot of charges at the cart level, whether it's around shipping or retur ns, or whatever. So, we do feel that there's a margin opportunity in putting some level of charges on the cart to drive better customer behaviour, so that will also drive some amount of profitability. The third is owned brand strategy. I'm relentlessly foc used on growing our own brands share. Why? Because it is a significant delta when it comes to a profitability point of view. So, if you just see on a GMV level, right like owned brands, is now 14% of our GMV up
from, you know, 12% a year ago, and up from l ike negligible 2 years before. So, with every 10%, we're being able to increase an owned brand share , there's a profitability improvement coming out there and then. The fourth thing we're doing from profitability point of view is again, we're trying to inc rease our ability to deliver truly to the customer. So , fashion is often plagued by returns and RTOs which is when the customer refuses, or the logistics partner can't get to the customer. So , there's a lot of operational heavy lifting we're doing to try t o fix those. So, these are sort of like 4 examples of strategic decisions we're taking and initiatives that the team is doing over the last quarter. And this is the only way in fashion to keep clawing back profitability and to build a profitable business i n the long run. So, I hope that was clear, like growth is not really the concern it. The concern is actually being able .to drive a profitable business and a very clear path to profitability while still getting some amount of growth, like happy to wait a little longer for growth, but definitely want the right cost structures in place as we keep scaling up.
Falguni Nayar : I think , I can definitely say is that over the whole year we have given up a lot of business on tech accessories because we felt that it didn't make any meaningful addition to our profitability. You can get a lot of top line revenue, but there's a lot of shrinkage, and there is a lot of cost of you know, if from a marketing perspective, it was not justified. And then we do this across brands, we do this across subcategories. So , it's very difficult to give too many examples. I am just giving you one example that kind of stands out.
Sheela Rathi: Thank you. I think this is very clear.

Sunita Sachdev: Thanks so much, She ela, I think we shou ld have Vijit in the meeting room soon. Vijit, please go ahead.

22

Vijit Jain: Hello! Hi, can you hear me?
Sunita Sachdev: Yes, please go ahead.
Vijit Jain: Yeah. Hi, this is Vijit Jain from Citi? I have 2 questions. My first question is, did the ad-revenu es go down y- o-y in the BPC segment. And my questions context is, I just look at the NSV in the BPC Business, and I deduct that from revenues, and that number seems to be down on a y- o-y basis. Just wondering on that, given you have rolled out new ad products in the quarter. So, if you can comment on

that.

Anchit Nayar: Yeah, maybe I can take that. So , I think I would say it's not declined but there is a slight softness in the advertising incom e on the dotcom platform, and I think it's predominantly for 2 reasons. Although we believe it's an aberration, and I would not try to draw some sort of longer -term trend from this. So, the first is that you know we did launch our Ad -tech platform towards the end of the quarter, a nd you know, it is a very different ways of working for a lot of brand partners from what they were used to earlier. In the past everything was handled by the N ykaa brand managers you know, full service , where we would help them upload their ad and monitor the performance . Now we m ove to what is really industry standard, which is a self -serve ad platform where brands have to themselves come up with the creative design, the commercial offers and decide on the duration of their banners on the platform. So, I think there was a little b it of change management that took a little bit of time for brands to get up to speed on, because they were not used to those ways of working earlier. And you know there are many brands who are very you know, they are direct to consumer brands, or th ey are smaller, and they don't have the kind of bandwidth or infrastructure to manage this on their own. So, it's taking them a bit of time, I would say a couple of weeks, months or so to get up to speed on how to use our new Ad platform, but we knew there would have been some teething issues when we launch this, but we know that longer term it is very beneficial for our brand partners. In fact, it's something that they have been asking for a long time. And as they get more comfort with it, I think you'll see that gap closing. I think, t he second thing is, there was a little bit of a pull back on spends this quarter from direct -to-consumer brands, not so much from F MCG . Or C PG. Brands. Some pull back from D2C because, as we all know. and we're all reading , there is a little bit of pressure on D 2C brands with regards to profitability as they look to enter their new fundraise cycles, etc. So , I think it's a slight aberration could it be one quarter, 2 quarters, maybe. But I think you have to keep in mind the longer -term trend, that there are more and more brands coming alive every day every month, and they need a place to do their story telling. They need a place to acquire customers. And you know that, continues the platform of choice, for that continues to be Nykaa given the kind of customers that we have and the kind of marketing which we're able to do.

Vijit Jain: Got it. Thanks, Anchit. M y next question is just a clarification to you know, Vishal and Falguni comments on B2B margins. Because I think the question was in part what Manish was asking

was on contribution margins. So, I just wanted to make sure I understand that right? The scale charts of slides that you've put up. They address overall business wide profitability. Right? If you could separate your answer into on the contribution side and on a business side that will be helpful.

Falguni Nayar: Sorry. I think the scale is for B2B only.
Vijit Jain: Yeah, I just wanted to understand if the contributi on margins itself probably need a smaller scale than what shows up. Right?

Vishal Gupta: Yeah, no, absolutely. You are. You 100 %, right? What we spoke about is the EBITDA includes all people cost and overheads and technology costs and everything, but contribution margin is, you know far, far shorter turning.

Vijit Jain: Okay, got it. Thank you. Those were my questions.
Sunita Sachdev: I think Kapil, maybe you want to go ahead.
Sunita Sachdev: Kapil you are on mute. P lease go ahead .
Kapil Singh : Thank you. You talked about growth in fashion picking up in July. I just wanted to check. What is the trend you're observing in BPC, is it holding around the same range?

Anchit Nayar: Yeah. So, look, I would say, you know, as you could see, B PC definitely had a good quarter . Q1 was a good quarter as not only in absolute terms, but also, if I look especially relative to competition , it's been , I think there was definitely further market share gain for us across our core categories of beauty which is makeup and s kincare predominantly. So, I think it's a good quarter Q1 for Beauty, and I think you'll see a similar trend in Q2, as we've always said Q3 is the festive period. So that's obviously when there is the most aggression from brands as well as the most interested excitement from customers. So , Q3 I think, as we've always said , our is a seasonal business is our best quarter, but I think Q2 you'll see , you know, similar growth trajectory to what we saw in Q1.

Kapil Singh: Okay, thanks. And just secondly, on the E BITDA margins. For you know, for the business. they've been ballpark in the same range for last 4 quarters, you know, and B PC also if you look at the contribution margins , they've been, you know, in the last 4 quarters being around the same range. We've seen some increase in revenues also. But you know, that's not brought in a margin expansion, I would say. So just wanted your perspective on what is the plan for margin expansion. What will be the drivers for BPC, and for the company as a whole. Also , if you could give some direction.

Falguni Nayar : I think, if I may say so, in BPC, a lot of cost improvement and margin improvements have been made. And while we only share up to contribution margin level below that also you know the employee cost, and all in B PC are quite tight . So, in in my opinion, you know , BPC business also is a combination of online offline, and also our private label business. So, you know it does get influenced by all the 3 elements. So I think the some of it balances out some im provements somewhere, balances out with some deterioration somewhere else, and deterioration not from a business hardship perspective, but clear strategy of, say, going more in G T/MT for private label that we may adopt, or in a future date we may adopt cer tain strategies about taking a brand internationally or investing in a brand marketing sometime. And similarly, physical retail business also goes through, the best quarter when you know, that business is very sensitive to revenues, and there is seasonalit y in Beauty business, and that we've seen over long period of time. So, I think it's very difficult for us to say that there'll be like massive improvement in contribution margin, or even EBITDA margin in B eauty f rom here but there will be some improvement . I think, at the consolidated Level most of the improvement is going t o come from bringing our costs under control for other businesses which include F ashion, Fashion private label , B2B business as well as N ykaa M an, and others that we have in our field.

Anchit Nayar: Yeah. I think just to look, I think it's the point was made that our B PC vertical is a combination of us as a online and offline retailer as well as a consumer company. Right? So , it's a mix so there's some impact there, but that you know that being said, there's still been a 130- basis point improvement and con tribution margin year -over-year, despite there being a 60 basis point deterioration in the gross profit margin. So you know, I wouldn't really call it flat year-over-year, the contribution margin and for a business that's already at decent scale, and, as w e said, costs are already relatively well optimized. It's still, I think, a meaningful improvement on the contribution margin line.

Kapil Singh: Okay, thank you, and wish you all the best.

Falguni Nayar Sunita, I think it's quite late now. So 7:30 for everyone. It's late. So maybe we can end here.

Sunita Sachdev: We just have one last with your permission. Yeah. Latika. Why don't you

go ahead?
Latika Chopra: Thanks for the opportunity. I'm Latika from JP Morgan. Few questions, the first one was, you know, just taking forward on Anchit's comment, I wanted to understand what led to, you know, reduction in gross margins for the BPC segment both on y- o-y and q- o-q. basis. Is it largely you do with mix? Or is there something else?
Falguni Nayar: Sorry? Can you s ay again what you are s aying?

Latika Chopra : The gross margins for the BPC segment. There was a reduction on a sequential basis, and even on a y- o-y basis. What led to that? Is it just a function of product mix, or there is something else here?

Anchit Nayar: Oh, I think I answered that question it was asked by somebody else. So, it's a couple of things. One is, of course, mix between the 3 distinct businesses of physical retail , online and consumer brand s that is built into that. But also, as I mentioned, there was, you know a little bit of a pull back on advertising spends from direct -to-consumer brands and specific. Not really from anybody else. You know, international brands , FMCG, C PG, everybody has continued to spend well and I think if you read the news, or you see the press out there it's all saying that A &P spends for F MCG and C PG are back to Pre covid level. So that we think is a very is a very optimistic trend, and we hope to see that revival continue and strengthen for a large part of our base of brand partners in the coming quarters, but yes, I think D2C has had a diff icult quarter, as all of you know as there is a desire for profitability, and they are in the midst of fundraising, and as a result, they are trying to optimize for the quarter. I don't think there's much to look into it from a longer -term trend . There wil l be quarters where growth and add income will be up and down, but I think we all have to continuously believe in the long term trend here. And that being said, look, our BPC growth is very strong, right? I think at 24% growth for GMV, that is definitely ahead of the market. I don't know what numbers you have but the numbers I have , this is at least 5 to 7 percentage points higher than the other platforms. So, I think we continue to market share in BPC, despite being already quite large in size, and ad spends, t here will be some ups and downs in quarters, as I said, one because of D2C pull back. But the second point I made earlier, which is, you know, we have rolled out a very new way of buying, Ad real estate on our platform, and there will be some change management to be done. Certain brands will have to learn to use that platform, and that is something we expected, and that is something which should be mostly, you know, I think, between June and July that's being taken care of, and I think by August , September everybody should be very much up to speed on how to use our very new and very enhanced Ad Platform service that we've rolled out.

Latika Chopra : Sure, thanks, Anchit. The second bit I wanted to check with you is, you know. Are you sensing any change in consumer behaviour ? You know, from a purchase perspective. You know you talked about, you know, 4 discount sales period seasons in a year , are you seeing salience of sales increasing more than previous years during these periods. I understand you don't fund those discounts. So , it doesn't really , you know, affect your profit line. But just trying to understand, you know, is this something which is, you know, getting more consumers on board, or, you know, help them to spend more during these periods.

Anchit Nayar: Maybe I'll kick it off . So, you know, I actually don't really think it's a change in consumer behaviour . I think, what's a little bit of what we saw in Q1 is a lot of the horizontal marketplaces, t hey did step up, their ret ailer funded discounting quite significantly and they were pushing brands to also discount more. So, I don't think it's

a consumer led change. I think it's a retailer. There was a bit of aggression from

26

other horizontal retailers, maybe in a scramble to accelerate growth in what they were seeing as a soft market, you know they probably push the pedal on their, you know, their main lever, which is always discounts to try to generate some business. So , brands did move some budget from marketing and visibility into discounts and heavy retailer funded discounts as well. But I think again, that's , I don't thin k it's a longer -term trend from them, either. I think they're just trying to shore up a quarter that was looking, challenging. I don't think this is a new way of working , and the reason I don't think so is because the brand partners do not like it at all. All the large brands are very disappointing that retailers are taking this approach to heavy discounts and trying to commoditize this category, which has never been the case.
So, you will see a lot of pushbacks from brands to retailers who are looking to do these kinds of discounts, and I think it should revert to the median in the coming quarters.

Latika Chopra : Okay? And the last bit, you know, of course , there has been you know, is on employee attrition, and I did see the press release put out by the co mpany, and I do see new hires, and you know expansion of roles for the existing you know employees as well. I just wanted to understand , are there any specific initiatives, your company is undertaking to arrest the attrition? And could that have any influe nce on employee costs going forward, and that was the last one from my side. Thank you.

Falguni Nayar: I think I'll address that. I think attrition is the wrong word. I think N ykaa has definitely went
through a very tight evaluation process where we have decided to differentiate quite a bit between high performers and average performers, and performers which were below the threshold. And there is clear you know, upgradation of talent going on. I think some of these tend to be misrepresented in the media. and I wouldn't call it an attrition, so I think it is a media. I mean, there are people in that group who we're not doing any significant r oles. And very often, you know, m edia picks up what they intend to pick up. So , I think there was no significant erosi on of talent, if I may s ay so. In fact, the quality of our talent is better now than ever.

Anchit Nayar: I think it is two things. One is of course upgradation of talent, because we are getting a lot higher quality talent coming into key roles and we have revamped and really focused on our appraisal process and the way we are deciding on what roles are critical and which are not. And I think you must look at this in context of what's happened in the broader, consumer technology space, and probably in the broader space, globally, in terms of the kind of reduction in force you've seen across hundreds of companies. I think Nykaa has not done bad at all. And so, for us, the focus has just been on ensuring we have the right people in the right seats. You may cal l it attrition, but you know, I think in the kind of, if you look at the context and the macro comparable it is very different. And as Falguni said, you know, we're trying to make sure we have the right people in the right seats.

Latika Chopra : Well, understood. Thank you so much, Falguni and Anchit.

27

Sunita Sachdev: Alright Falg uni. Since that's the end of the con-call, maybe you can have some closing remarks, please.

Falguni Nayar: Well, I just wan t to thank everyone for attending this. And like you know, we have said in our press release, I continue to say that. You know, N ykaa remains very confident of creating long-term value for all its shareholders. W e do feel that our B eauty vertical continues to shape into an ecosystem of its own, with steady and balance growth across our online platforms , physical footprint as well as our consumer brands. O ur fashion consumer brands have experienced steady growth and they also building their own labels, spanning across categories of Westernwear, Indianwear, lingerie, menswear accessories, and much more. And even though this quarter growth was slightly below long- term trajectory, we remain confident that this will not be the case going forward. I mean, we hope that we are able to go back to the trajectory of gr owth that we are planning . Also, Nykaa’s ethos to grow businesses and brands with passion, but also with the discipline, is again visible in the way we are growing. Our SuperStore business by N ykaa as well as our B eauty brand, Dot and Key has had significant scale quickly with a lot of inputs that went in from Nykaa way of building, and of course we appreciate what Suyash and Anisha bring to the table in terms of innovation and their passion to build a business. So, it's a great partnership. And similarly, we are also seeing that K ay Beauty is a brand as well as Nykd that we talked about in our annual day. So, building a number of very interesting brands and we continue to work with each of our businesses, improving their unit economics. Dot & Key has, in fact, crossed the annualized GMV run rate of almost ■300 cro res, which we're very proud of , growing almost 5 f olds since the acquisition and achieving profitability and demonstrating the successful business model that you know Nykaa aspires fo r, which is building value with N ykaa playbook. So, with that, I thank each of you to being present today in the call and we've enjoyed our interactions .

P Ganesh: Thanks everyone.

Call: Nov 2023

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
November 10, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: NYKAA BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 543384

Dear Sirs,
Sub: Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated F inancial Results for the quarter and half year ended September 30, 202 3

Pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Analyst / Investor Conference Call held on Mon day, November 06, 2023 with regard to the Unaudited Standalone and Consolidated F inancial R esults for the quarter and half year ended September 30, 2023.
The said transcript has been uploaded on the Company's website at the following link:
Transcript – Analyst / Institutional Investors Conference Call – Q2 FY24 Results.

Kindly take the same on record.

Thanking You.
Yours faithfully,
For FSN E -Commerce Ventures Limited

____
Sujeet Jain
Chief Legal and Regulatory Officer,
Company Secretary & Compliance Officer
Mem. No.: F6144

Encl.: as above

1
FSNE: Q2FY24 Earnings Call Transcript

VIJIT JAIN: OK, thank you. Hi, good evening, everyone. This is Vijit Jain from Citi Research. Welcome to FSN E -commerce Ventures Limited Q2FY24 earnings call. From the management at Nykaa, we have
Ms. Falguni Nayar : Executive chairperson, MD, and CEO,
Mr Anchit Nayar : Executive director and CEO, B eauty e -commerce,
Ms. Adwaita Nayar : Executive director and C o-founder CEO, Nykaa F ashion, and

Mr P Ganesh : Chief F inancial O fficer.

Before we start, we would like to point out that some of the statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. If there are any representatives from the media, they are requested to drop off this call immediately.

With that, I hand over to Falguni for her opening remarks. Over to you, Falguni.
FALGUNI NAYAR: Thank you, Vijit, thank you very much.
Good afternoon, everyone. It's a pleasure to be here again this quarter talking to all of you about the performance. I will begin with a short performance highlight. For the quarter 2 of financial year '24, we have seen a strong profitable growth. And as you can see in this very concise summary, you can see that our N et Sales Value has grown to Rs. 1,498 crores for the quarter , up 24% on a year -on-year basis. I also want to just point out that the revenue from operation, has come out at Rs. 1,507 crores, up 22% on a year -on-year basis. GMV, of course, has been at Rs. 2,943 crores, up 25% on a year -on-year basis.
I think it's an industry first, but we have decided to talk about NSV more regularly than GMV. For sake of comparison, we have given the GMV number here and sometimes in certain segments, it's more GMV comparison that becomes appropriate and we will be giving it. However, what matters to the market is revenue from operations and NSV. And hence, I think the focus will be on that.
As far as the gross profit is concerned, you can see that at Rs. 650 crores, it's a 16% growth year -on-year and the margins are at 43.1%. It can look that i t

is down to 221 basis point year -on-year,
however, I want to point out that in a year ago period, our gross profit margin was highest ever with an aberration of about 100 basis point. And if we look if we were to look at this gross margin
percentage on a quarter -on-quarter basis, it has been stable.
Coming to EBITDA, I think as you can all see, our growth journey continues. EBITDA has come out at Rs. 80.6 crores, which is a 32% year -on-year growth and EBITDA margin is at 5.4%, which is a 38
2
basis point improvement year -on-year. And we are really happy that all of the effort that the firm has put in place over the years, be it fulfilment cost control, be it controlling marketing costs, and in more recent times, controlling our employee costs, all of those have borne fruit and in later tables, you will see that we have been able to control our costs well where EBITDA continues to grow at a higher pace than our revenues.

On the PBT picture is similar, where the profit before tax as well as profit after tax have grown around 50% year on year with profit before tax at Rs. 13.3 crores and the profit after tax at Rs. 7.8 crores for the quarter.

Moving on, if we were to look at the components of our business, and I just want to point out that beauty and personal care includes our dot com business. It includes our physical retail business, as well as it includes our beauty house of brands that we have under our beauty business.
Similarly, on the fashion side, the business includes our fashion.com business. It includes our little bit of fashion pop- up business that we do on the beauty website. And finally, it includes a house of fashion brands.

And in the third bucket, which we call it others, but it should be a little bit more like a new business initiative, it consists of a number of businesses, which we've mentioned in the past. It consists of NykaaMan, eB2B platform, which is called the Superstore by Nykaa, international initiative, which
are even today a little small and not meaningful today but going ahead, as you're aware, that this is going to grow . LBB, which was an acquisition that we had made, and Nudge, which is a subsidiary that we've set up. Nudge subsidiary is a wellness brand that has been set up about a year ago.

As far as beauty and personal care is concerned, you can see that the GMV grew at 23% on a year -on-year basis and if you were to look at two- year CAGR, it's at about 31%. And as far as NSV is concerned, the growth is similar , where NSV has grown at 19% on a year -on-year basis, but about 28% on a two- year CAGR basis.

Want to just remind everybody that this is a year where the festive season has got delayed by almost 20 days to little more than that. As a result, the second quarter was impacted with hardly any days of festivals coming into the second quarter and hence, at the margin, some amount of growth has got impacted, both at the NSV level as well as at the GMV level.

On the fashion side, I think you all may remember that compared to the Q11, which was quite subdued for fashion, we have been able to increase the growth momentum. The GMV for the quarter in fashion grew at 27% year -on-year. And the GMV came out at Rs 763 crores for the quarter. I f you were to look at net sales value, the growth was 32% on a year -on-year basis. In fact, on a two- year CAGR basis, the NSV growth is 26%. So , there is an acceleration there. And again, the NSV stands at Rs 232 crores.

3

Moving on to the last bucket of others, just want to point out that our GMV growth has come out at 54% for quarter on a year -on-year basis. And if you were to look at two- year CAGR, it stands at 129% growth over two years. T he picture on the NSV side is better, where the NSV has grown 105% on a year -on-year basis and the two- year CAGR is a 202%. In fact, this reflects some amount of improvement in shrinkages that were happening in our businesses earlier.

Moving on, I think we talked about how we have pursued diversification of TAM through entering new industries. We started with BPC, introduced fashion four years ago. Today, fashion accounts for almost 15.5% of our NSV contribution. And similarly, the Others category, which predominantly has eB2B platform, Superstore by Nykaa, is now contribute to about 6.6%. Though there are other businesses included in this, and as a result, this is not all of B2B business NSV. But we are really happy with how the diversification has been achieved.

Coming to BPC, the strong growth across key metrics continues. Looking at the composition of GMV, you can see that almost 79% of our GMV now comes from existing customers, which are the customers who existed on the platform before the year began a nd 21% comes from new customers that have been acquired during the year. T he GMV for the quarter stands at strong Rs 2,000 crores.

NSV picture is similar at 28% CAGR over a two -year period. And NSV stands at Rs 1,168 crores for the quarter. Interesting to note that annual unique transacting customers has increased at 24% on a CAGR basis and now stands at 10.7 million customers. On the orders, we again delivered about 10 million orders in this quarter, which is a 28% two-year CAGR growth.

On the fashion side, in fact, you can see the picture that existing customers are contributing more and more to the fashion business GMV and today for this quarter, 46% of fashion business GMV came from existing customers, which were at the beginning of the year. And 54% of the businesses come from new customers. The GMV for fashion business was at Rs 763 crores for this quarter and that was about 35% CAGR over a two- year period. On the Net Sales Value, for this quarter, we delivered Rs 232 crores of Net Sales Value. Again, interesting to note that on an annual unique transacting customers, today, NykaaFashion.com has 2.8 million annual unique transacting customers and this is a 47% growth over a two- year period. On the orders, NykaaFashion.com did about 1.5 million orders this quarter, which is a 36% CAGR over a two- year period.

On eB2B, a significant progress has been made on path to profitability. From the GMV perspective over last one year, the growth has been almost 70% and the NSV growth is even better at almost 2.3x, which is a 130% growth over the base. On a transacting retailer basis, we saw a growth of 73% year on year, with now 1,30,000 retailers transacting on the platform and activation rate stands healthy at 66%. On the orders, this quarter saw 2,80,000 orders from this transacting base, which was a 62% growth year on year. And like we said in the past, we serve these retailers across 770 cities.

4

With that, I hand over to Anchit to take us through the beauty industry and how Nykaa has pioneered the beauty industry journey.

ANCHIT NAYAR: Yeah, thank you very much.

So moving to the first slide, just a quick update for those of you who may be new to this call. Just reminding everybody on what the opportunity is on the beauty and personal care side. I think the three major levers that are going to serve as strong tailwinds for our business are the following.

First is , a large part of the current BPC market is currently unorganized retail and that is going to continue to move towards organized with the online segment of the BPC market to grow the fastest over the next 5 to 10 years.

Second, India today has some of the lowest per capita spend on BPC in the world at about $15, that is set to grow to $50 over the next eight years.

The third major trend is the shift from personal care to beauty. W e expect to see strong growth in beauty categories such as makeup, skincare, and fragrances.

Now, Nykaa's focus I think first and foremost, our focus is we see ourselves as category creators. And as a part of that responsibility, we have towards building the beauty ecosystem, that c

an be done in
large part through education, experiences, and events.

Second, there is a strong focus from us on personalizing the discovery as well as curating the experience for our consumers on platform to ensure that we are doing the best possible art of retailing for the benefit of our customers.

Third is , Nykaa continues to be seen as a destination and partner of choice for the leading brands in the beauty space, both global and domestic.

And fourth, a very strong symbiotic winning partnership between us as the retailer and our brand partners, 3,600 plus brand partners who we work with and a large part of that is achieved through a very strong focus on what we refer to as the art of retailing to help our brand partners to build meaningful brand equity in the India market.
So what have we achieved so far . 79% of our revenue comes from existing customers. I think that is an indication of how sticky, loyal, and highly engaged Nykaa's consumers are.
Second, Nykaa's consumers spend close to $80 per annum on our platform. That compares to just $15, which is the average Indian consumer spend on BPC, so five times the industry average is the spend of our consumers.

5
Third, we today have over 21 million consumers who have shopped on the Nykaa beauty app. As I said, we work with 3,600 plus global and domestic brands. And we have today over 165 physical retail company owned and operated stores across 60 plus cities.
So, to my earlier point in terms of Nykaa's role in the ecosystem as a category creator, we just wrapped up the first edition of " Nykaa land", which was India's biggest and first beauty and lifestyle festival, which was held at the Mahalakshmi Racecourse in Mumbai. We had over 80 brands participating in the event, 800 plus influencers, makeup artists, and KOLs, and over 5,000 pieces of unique content were generated across the two -day festival.
Some of the new brands which launched at the festival include Urban Decay, which is an iconic cosmetic brand that is owned by the L'Oreal Group, which has launched for the first time in India exclusively with Nykaa and was launched at the Nykaal and event. Bath and Body Works, a global brand in the bath and body space also launched their most renowned collection of products with Nykaa at the Nykaa land event.

There were masterclasses hosted by makeup artists, hair stylists, and skin experts across the two days. These include some of the global icons, such as Mario Dedivanovic as well as local makeup artists, such as Namrata Soni. In terms of celebrities, we had Katrina Kaif, Janhvi Kapoor, M asaba, Kriti Sanon, and many more attend the two- day festival.
And most importantly, we were able to generate over 15,000 consumers who attended the event, which I think was quite a large number of consumers and it goes to show you the interest that exists in India for learning and experiencing beauty. This is just some imagery of the kind of content, which was created at the festival, highly experiential, highly education focused, and a very unique opportunity for consumers to experience some of the best global brands for the first time.
Next slide, please. This is just a short video to give you an example of the sheer scale of the event. As I said, biggest of its kind in India and possibly in the world, very unique concept, combination of brand experiences, master classes, yoga, lifestyle events, food and beverage, live entertainment as well. This is an event which we hope to continue to do over the years.
Moving on, in Q2 we also hosted our flagship Hot Pink Sale. As many of you know, we do two large flagship sales in the year, one in July and one in November. The July edition was a success this year. We saw 37% growth in omnichannel beauty GMV. Our reach was substantial, over 525 million, both through social media, as well as through influencers. This was the first time we innovated very meaningful gamific

ation on the platform as well and over 2, 00,000 users engaged with some of the gamification upgrades, w hich we had performed prior to launching the sale. Importantly, we also launched early access for our prive gold and platinum users. As many of you know, prive program is our loyalty program and our gold and platinum users are some of our most valuable consumers from an LTV perspective and they were given 24 hours early access to the sale, which proved to be a
6
success with the consumers and is another mode for retaining and engaging with our highly loyal, sticky, repeat customer base.
Speaking a little bit about our physical retail business, as many of you know, today with 165 stores, we are one of the largest physical retailers for beauty as well, not just the largest online. Today, our offline physical retail business contributes roughly 8% of our beauty GMV. We have 1.6 lakh square feet of offline space, which is a 34% growth year over year. And we have roughly Rs 3,250 as our GMV per square foot per month, which is, we believe, best in class in the industry.

Next slide, please. So just doubling down on a point I made earlier, which is we continue to be the partner and destination of choice for international and domestic brands to launch in the India market. They see us as much more than just a retailer, but truly a marketing engine, as well as an influencer platform, and an all -around partner who can help them to build and create brand equity in the India market thanks to our specialization and 10 years of experience in this market. We do have a very good understanding and we have some of the most premium and highly engaged consumers of beauty in India today. Just two examples, we launched Redken, which is, again, a L'Oreal owned brand, professional haircare brand, very successful brand in Western markets. It has launched in India exclusively with Nykaa Online.

We also launched the brand Uriage which is a derma cosmetic brand owned by the Puig Group based out of Barcelona. This brand, again, very popular brand in Western markets, has launched exclusively with Nykaa. There were an additional 10,000 SKUs that were launched this quarter across 400 other brands on the platform. Some other brands which we also launched this quarter include Formula 10.0.6, Novology. Novology is a brand owned by HUL . Versed, and Juice Beauty , Natasha Moor, Lamel, Sugar Play and The Good Bug were brands that were also launched on the platform. Natasha Moor, a very popular makeup brand, launched exclusively, again, only on the Nykaa platform.
So, events and experiences, as I mentioned earlier, are crucial as we look to continue to grow awareness for beauty. We believe that awareness is a large barrier to consumption of beauty in the market and events and experiences such as the Nykaa Beauty Bar, which will help to overcome that current lack of awareness. This is an event which we do a few, maybe three or four every month across different cities. So far, we've hosted seven beauty bars across seven different cities. We had over 10,000 customers who registered for these events ass you can see from the video, a very diverse selection of consumers who attend these events. These events also allow us to create incredible content and the content we created from these events generated over 50 million in terms of cumulative impressions across channels. On the right are just a few more examples of some of the events which we conducted this quarter.
Next slide, please. So, Nykaa is the platform where trends in beauty are identified very early on before they become mainstream and one of those trends which we've seen emerge this quarter has been the trend of Korean beauty brands. As you can see on the left-hand side, these are search terms
7
on the Nykaa platform and they are growing exponentially. So, the number of searches for Korean skincare, Glass Skin, are at 148% and 61%, respectively,

showing that the Indian consumer, the
Nykaa consumer is starting to gain a lot of interest in Korean beauty. As a result, to better serve our consumers and to stay ahead of the trends, Nykaa has launched a dedicated k -beauty store. We are creating dedicated Korean beauty content on site and hosting Korean beauty events. As a result, we have the largest selection of Korean beauty brands available in the market today. And we are the destination of choice for consumers looking for this particular set of brands.
I think this is a very interesting case study of how Nykaa continues to focus on building the category of beauty. One of the big challenges in India today for skincare consumers has been that Indian consumers don't actually follow a skincare routine. Indian skin is very unique compared to Western skin as it is very melanin rich and as a result, our requirements are very different from other markets. Our consumers told us that they were very confused by the sheer number of products which were available and did not understand what was the right assortment of products for them to use. As a result, Nykaa collaborated with over 100 dermatologists across India and we came up with the ideal regime, which is relevant for the Indian consumer in particular. This routine, we have called as the I -beauty. So , on the previous slide, I showed you K -beauty, which is Korean beauty, t his is I -beauty, Indian beauty and it's India's daily skincare routine. It consists of four steps, CSMS - Cleanse, Serum, Moisturize, and Sunscreen. It is specifically tailored for the Indian skin and climatic conditions and this has been a great growth driver for certain categories within skincare. It has helped us to expand the basket. It has helped us to expand the frequency of purchase, as well as drive deeper penetration of skincare usage in the Indian market.

Next slide, please. For CSMS, we also did 36 0-degree awareness building for consumer education. We believe education will be the greatest driver of awareness. O nce awareness is in place, that's when the consumption happens. So, as I had mentioned already, we partnered with influencers and KOLs to amplify our CSMS routine and to create more awareness for this program. We generated over 123 million impressions across Nykaa's own platforms as well as off platform, including across third party platforms like Google, and Facebook, YouTube, and Instagram. In terms of our brand partners and customer adoption, 60% plus of Nykaa's customers shop skin care on our platform and because of this new routine which we have created, CSMS, we have seen a 35% growth year over year in serum sales and 85% growth year over year in sunscreen sales.
Next slide, please. And with that, I'll hand the presentation over to Adwaita to take you through fashion.

ADWAITA NAYAR: Hi, everyone. I'm looking forward to talking about the fashion business today.

So as a reminder, we've covered this in previous sessions as well, we do believe that, obviously, fashion is a massive market. We're incredibly excited about the opportunity. But I think what was incredibly important to us was that we carved out a bit of a niche and a differentiation for ourselves because it was a crowded market. And so, we've been very focused over the last four years in building

a premium, differentiated, fashion forward platform which shifts the conversation away from discounting, and price, and modest style. We do believe that we have found product market fit and we do believe that the consumers and brands are appreciating us for our positioning. And so, on the right - hand side, we have a couple of metrics that we measure, which ensure that we're staying true to our positioning and those are things like the percentage of sales coming from new season collection, which stands at 26%, far, far higher than what our competition sees. We do see a really strong cohort developing. So, we're seeing ver

y impressive repeat rates coming through. Today, 46% of our GMV is coming from existing customers and it reflects a very strong cohort. Next, we're seeing that the order conversion is increasing very dramatically and quickly on the platform. And so now the order conversion per unique visitor stands at 3%. And finally, in terms of the annual spend by the average customer, it's at about $110, which is 2- 2.5x higher than what our competition sees. So, some of these metrics give us confidence that our differentiated positioning is definitely clicking and we're trying to stay true to that. So with that, we can move to the next slide.

In the past, we've spoken a lot about assortment. I think assortment is at the heart of all e -commerce companies and it's particularly important in fashion. Fashion platforms need to have a point of view. They need to stand for something. And so, our platform chooses to stand for great selection, great curation, very trendy fashion and so on that note, we've been aggressively onboarding brands. There are a couple of new properties that we've been building this quarter, which I'd like to talk about. So in the past, you might recall I've spoken about properties like hidden gems and global store. This quarter, we've added two more distinct properties that we're building on. The first is the Gen Z store, which you can see on the top right. S o, this is basically just focusing on the younger consumer in a much more targeted way. Again, we're seeing very good traction of this new property that we've just launched. And the second right below that is what we're calling the Nykaa fashion Luxe store. So, this is the luxury brands, both in Indian wear and Western wear that we're trying to pull together in a very concentrated manner and we have about 150 brands that we 're pulling together in this regard. So , all of these are just different elements of assortment and curation that are coming together to make Nykaa Fashion and interesting and a distinct place to shop.
We can move on. So , all of you have obviously heard how beauty has this very big Hot Pink Sale, and we do these Pink Sales through the year. So, fashion has taken a call to align with beauty for these mega sales. And this past quarter, we held what was our largest sale till date, where we saw 18 million visits, 9 million unique visitors, a nd an order to visit conversion of 1.3%. All of these numbers, all the metrics that we saw on this sale were the highest we've had till date, which gives us confidence that we are cracking the sale playbook.

Moving on, so I think something, as we mentioned, that was very important to me was that we were differentiated, and we were truly adding value in what was a crowded and cluttered market. And so this time, we've pulled together some quotes that we've gotten from our brand partners in terms of how we differentiate ourselves. And so I'll read out a couple of those.

This first one up top here says “Nykaa has always been a preferred platform for Forever New, as it helps us increase our visibility to a target audience that Forever New caters to. It's because of great marketing collaterals we're able to reach the targeted and relevant audience, making it easier to provoke genuine interest in the audience .” So basically, the fact that we have this premium audience that is very serious about shopping is something that brands are liking about us. I think on the right hand side, you see a quote from Forever 21, another important brand partner of ours from the Aditya Birla Group, which says “Nykaa and Forever 21 have been working very closely to offer very trendy and quirky fashion to the consumers. The intent shown by Nykaa in promoting upcoming trends has been significant. And as a result, it has the highest contribution to fresh season sales for Forever 21 across all marketplaces. ” So it is this sort of qualitative feedback that we're getting consistently from

brand after brand which makes us feel that we are really becoming a preferred destination for brands and for consumers in this premium fashion forward segment. We can move on.

I think fashion has been doing a particularly good job over the last quarter on introducing personalization into our app. So, I think a lot of you know that fashion is the ultimate discovery problem. There are over 3 million styles that you need to help the customer discover and so personalization plays an incredibly important role. I feel really proud of the work that the team has done over the last quarter of bringing personalization into the app experience. So now, about 20% of people see a completely personalized home page. Where they will see widget spaces, their interests, what they've been exploring, what they've been buying. And we do believe that some of the conversion uptick that we've seen has come from this know personalization efforts, which is on the back of a lot of strong technology and data science behind the scenes.

Moving on, I think this is an important part of the presentation. Over the last couple of quarters, a lot of you are asking when fashion is going to see a meaningful uptake both in growth and profitability . And I do think this is the quarter where everything has lined up. And so we're feeling pretty good about the trajectory fashion is on and what we've delivered in Q2.
So starting with the left hand side, you can see that the order to unique visitor conversion has hit almost 3%, climbing really beautifully quarter on quarter, year on year. The middle chart here is the NSV. So you can see that the NSV has hit Rs. 232 crores this quarter. The growth has significantly come back.
It's a 32% year -on-year growth. It's a 1.6x over two years. And in other parts of the deck, you'll see that this is also on the back of improving profitability. So, I think this is the quarter where fashion has delivered both meaningful top line growth as well as improvements in P&L and profitability. So truly, been able to impact the top and bottom of the P&L.

And finally on the right -hand side, you can see on the right hand side, you can see that the contribution margin has climbed to 4.7% from 2.3% last year and 1.3% the year prior. And this is on the back of a whole bunch of efforts, which we'll cover some on the next slide.

10
So, I think this really talks about what's helping the P&L shape up nicely. On the top left -hand side, we can see that a lot of fashion is plagued by things like returns, RTOs, cancelations, discounts. We've done a lot of very targeted effort over the last two to three quarters to bring this down. So, from two years ago, our leakages are down significantly. So, it's about 0.8x of what they were two years ago, which is really creating a lot of goodness in the P&L. And it's leading to much higher NSVs versus GMVs than ever before. And so, you will see that in the P&L reflected from an NSV/GMV ratio point of view. And you'll also see it from the fact that NSV is growing faster than GMV.
On the right -hand side, I think the teams have done great work to finally see a breakthrough in marketing expenses. So , marketing expenses have come down from 28.4% last year to 24.9% and we're feeling confident about the trajectory. And as you all know that this is a very important line item in improving fashion's P&L going forward as well. There's a lot of meat here that will give us some leverage on a contribution margin line perspective going forward.
On the bottom, we talk about a couple of other shifts we've made to the business, which are shaping the P&L nicely. So, the first is premiumization. We have been focusing on attracting a more premium customer. And we have been doing that by one of the metrics that's reflecting that is the fact that the iOS share has gone up by 1.4x.

Next, you'll see that the existing customers coming back well.

And so, you'll see that the business from the repeat customers going up from 13% to 46% over two years. And lastly and importantly, our own brands, which I'll talk about a bit later, are also growing very fast. They're growing faster than the platform. They're gaining share on the platform. And that's also helping both the profitability, as well as making Nykaa Fashion a more interesting place to shop.
Moving on, so just before I wrap up on fashion, I just wanted to close with the remark that I do feel that it has been a bit of a turning point in terms of fashion's journey. And the trajectory that we're on, it does give us confidence that we will be able to get to profitability in a nice, timely manner, as well as continue growing in a very strong manner as well. So, a lot of our experiments, a lot of our investments, and most importantly, our commitment to our positioning has been finally paying off. And we're quite pleased with the Q2 performance.
So, moving on, I'll be talking about Nykaa's house of brands, both across beauty and fashion. So, in prior sessions, we've spoken about how we have this intent of cultivating a beautiful bouquet of our own brands. These are not private labels, these are our own brands an many of these are now quite sizable and we really pour a lot of our heart and soul into building beautiful brands. We have 13 brands of our own on the beauty side and 16 of our own on the fashion side.
And on the next slide, we'll talk about the top line of the beauty side of our own brands business first. So you can see that the GMV has grown to Rs. 243 crores for the quarter that has just ended. And this contributes to about 12.2% of the overall BPC GMV. On the chart below, you can see that where this
11
business is coming from. So, 56% of it is from sales on our own platform, 13% is what we sell in our own stores. But importantly, 31% of it is also what we sell in other third -party channels. So, we truly are trying to build brands that can stand on their own two feet.

So I think we'll double click on one beauty brand. So, one of the brands that we're really excited about is this beauty brand that we have with Katrina Kaif called Kay Beauty. It's actually India's first celebrity beauty brand and definitely one of the most successful. And on the bottom left, you can see how the top line has been growing. So, it has grown 4x in the last four years. And it has now crossed Rs. 150 crore annualized run rate. On the right -hand side, you can see that it's won several awards. It has over 300 points of sale. And again, it does do about 74% of its business on Nykaa platforms, but 26% is being sold via other channels.

Next, on fashion, so similarly, it's a newer business. But it is already about Rs. 100 crore per quarter GMV business. In terms of NSV, that's after discounts, returns, and so forth, it is a Rs. 45 crore business for the quarter 2. I think I want to draw your attention to this 19.2%, which is the fact that this business contributes almost 20% of the overall fashion NSV. So even though it's only 13.0 % on GMV, it actually translates to 19 .2% on NSV. And that's because our own brands actually show better behaviour in terms of lower returns, lower RTOs, lower cancelations. So, it's quite meaningful from an NSV point of view and if you actually look at it from a profit point of view, it's even more meaningful.

So, on both sides of the business, our own ed brands are important to us, both from plugging consumer gaps but also from a profitability point of view.

We can move on. Yeah, so one brand here in particular we'll talk about is N ykd. We've spoken about this in the past. It's a brand that we're incredibly proud of. It's a lingerie brand. We started it three years ago. Today, it's a Rs. 140 crore annualized run rate brand. It does about 80% full price sales. It's not a discounted brand. It has over 1,000 points of sale. I t's the number one bra in t

he bra category on Nykaa Fashion and it's a top three bra in one of the largest marketplaces in India. So , it is finding traction both inside Nykaa as well as outside Nykaa and we're quite proud of this trajectory.

Moving on, so N ykd has many points of sale. It has seven exclusive stores. We've started a franchise model as well, which is scaling up well. It does very well on Amazon. And we try to focus very much from a marketing point of view and truly from brand love via this brand, which you can see a little bit on the right bottom right hand side some of the collaborations we've done.

Moving on, so with that, that wraps up the owned brand section. And I'll hand back to Falguni to take us through the ESG section. Thanks.

FALGUNI NAYAR: Yeah, thank you very much, Adwaita. I think we are really happy to introduce this section in our presentation, where we're talking about how we are impacting the society at large.

12

Nykaa works with more than 6,700 brand partners today, both in beauty and fashion. Every upcoming brand in the country wants to be on Nykaa platform. I think the discovery and the kind of early -stage growth that the brands can get if they are built well is immense. We are not an open platform. We are a curated platform. So, in some ways, we look after our customers and don't allow wrong quality products to be sold on our platform. But at the same time, if the brand is good and delivers quality to the consumer, our platform is very open for brands to scale up and get recognized in the country. So, time and again, many of our brand partners tell us about the role Nykaa has played in enabling the beauty and fashion industry's growth in the country, where many D2C brands are able to reach the consumers in a very cost effective manner thanks to a platform like ours.

We also work with a number of influencers. More than 6,000 influencers are on our NAP program, where they could create content and put links directed to our websites and apps and that leads to a steady source of revenue for them. And this is also a way of contributing to the entire ecosystem.

Of course, we have more than 10,500 employees, about 3,500 on roles and others which are off role creating a large employment in the country, both in our warehouses as well as in our stores, as well as in what we call as beauty advisors that work in our various stores as well as in GT and MT.

On the supply side, we work with more than 7,000 suppliers who are supporting our ecosystem. Also, another interesting thing is we've enabled Nykaa pro users, these are makeup artists, and the beauty service providers who go into people's homes and provide services and these guys are registered users on our platform and they get special benefits, which are passed on by the brands to them. So really building an ecosystem that benefits everyone in the industry. More than 2,500 MSME vendors operate on our platform, again, helping create a robust economy in the country.

And finally, now with our B2B platform, we have more than 1.9 lakh registered retailers. I think in this world where everybody talked about how a physical retailer needs to be protected from e-commerce platforms. I think we have been very inclusive and taking our brand collection to retailers, who could then cater to the customers in their area. W e do believe that this will only grow the ecosystem for beauty. And it will benefit all because we do believe that beauty consumption will grow in the country and it doesn't need to only go through one channel an the right optimum mix would be if beauty as well as fashion reaches its customers through multiple channels. And in each of our businesses, we are pursuing such multi -channel approach.

Moving on, I think, again, some amount of quality work that we do in this area. I think since for a long time, we've had two special collections highlighted on the platform. One is what is called "Conscious at

Nykaa " educate d customers on vegan brands, cruelty free brands, as well as clean brands, and provided this knowledge to our consumer for our entire catalogue on our website. Where they are able to select the right conscious brands on our platform. This has been an effort over the last two years we put in place.

13

On the fashion side, similarly, we've always highlighted "T he Responsible Collection " and this also has more than 650 brands which are disclosing what they mean to the customer in terms of whether certified organic and a whole category of sustainable criteria that the customers like to choose from.

Moving on. I mean with our vision to protect our planet, we came up with a 10X10 Initiative, where we have said that over the next 10 years, we will move to reducing our usage of plastics and moving more onto recyclable materials and today, we are proud to present that almost 323 tonnes of plastic is being recycled in 2023, as well as 80% of our packaging is now sustainable packaging.

We've also introduced paperless picking, which obviously even in spite of increased order fulfilment capacity by improving picking process, but we've also achieved zero paper utilization in how we process our orders.

Moving on further. I n terms of Nykaa Foundation focused on our CSR efforts. And our CSR is focused on empowerment. So, there are a couple of initiatives that have kind of achieved deep penetration in the last year and there'll be more that'll come. So first being that we now have a Nykaa chair at IIM Ahmedabad which is focused on consumer technology and the role that consumer technology, including digital marketing, plays in today's consumer brands. And this learning chair is focused on doing research as well as education on campus.

From a transforming lives perspective, we also have partnered with Labournet, where we are helping marginalized young women become skilled beauty professionals. And this also too is being done at scale. On the education front, we have partnered with Rangeet to launch an app based learning program called S EEK , which is benefiting more than 15,000 plus students. And also, very much focused on children's health through our collaboration with Anushka Foundation to enable the skilling of doctors in treating clubfoot.

Our values have always been the ones of sustainability, inclusivity, and community being part of our Nykaa's corporate identity. Be bold, but be good. Corporate governance is extremely important to us.

Also be the customer's champion and believe that the customer is sitting at the table while they are negotiating with us. One Nykaa and a culture of belonging where every Nykaa belongs to the organization and sustainability in every action are our key values and philosophies.

Also, very diverse and inclusive workforce, 67% of our committees are chaired by women. 63% of Nykaa leadership is under the age of 40. 43% of our women employees in our workforce. 40% are women directors. And 33% of Nykaa leadership are women. So pretty much, a pretty strong inclusivity based on gender, as well as age at all the levels. And in terms of a mix, you can see that in terms of years of experience, in fact, the lesser number of years of experience we have, female population is better represented at 46%.

14

So, at entry, we are kind of almost taking near equal gender diversification. I agree that we all have to learn to retain women, especially as they go through their young roles in their family. And that's why you can see that this erodes to about 41%. But we are doing a lot of effort to change that and to improve that.

And pretty young organization, like you can see, almost 19% of our employees are under the age of 25. 36% in the age of 25 to 30. 27% in the age group of 30% to 35%. And just about 18% are over the age of 35 years. So, we are extremely proud of being a young organization and young talent getting to take critical decisions

throughout the organization. And this data is for the on- roll employees, which are 3,2 16.

So, with that, I hand over to Ganesh to take us through our financial performance.

P GANESH: Thank you, Falguni. Good evening, everyone. Before we get into the financial performance for Q2 , I'd like to highlight that this quarter has been impacted by the shift of festive season to Q3. However, in spite of the same, we have been able to drive strong growth across our business verticals.

So, with this, let's actually get into the financial performance. Next slide.

Yeah, as you can see, our revenue has grown strongly at 22% for the quarter. Our gross margins came in at 43.1%, which is in line with the long- term trend for gross margins. We achieved an EBITDA of 5.4%, which is an improvement of 38 basis points over the corresponding quarter the previous year.

And our PBT margin was at 0.9% for the quarter, with PBT growing 51%. YoY.

So, in this slide, we have the One Nykaa income statement and as I mentioned earlier, gross margins were impacted during the year versus Q2 last year, but in line with the long- term trend because last year's Q2 numbers had a one -time aberration and came in higher than the normal trend. Also, what you would like to see is that the fulfilment expenses have been smartly improving quarter after quarter. And there's more than a 210- basis points improvement on the same. And this has been driven by regionalization strategy, with our expansion of warehouse locations and capacity in FY23. This has, in turn, resulted in lower air shipment ratio along with shift optimizations. All of this has resulted in a smart reduction in fulfilment expenses.

Our marketing expenses have been slightly higher. So also, other expenses, while selling expenses have been more or less in the same line. You would also see that employee costs have started moderating as we have indicated in the earlier quarters. And on a YOY basis, has about 85 basis points reduction. Overall, through scale efficiency and improvement in expenses control, we have been able to drive strong profitability and with EBITDA growing at 32% YOY and PAT growing at 50% YOY.

15

Moving ahead, so in this slide, you can actually see the EBITDA margin waterfall and what you can actually see over here is that as I mentioned, while gross margin has contracted on a YOY basis, marketing and other expenses expanding marginally, fulfilment expenses moving up is something which has actually helped us improve our profit margins. And selling and distribution expenses have also been slightly higher. So broadly, cost optimization and cost control has actually resulted in a strong uptake in terms of margins and profit margins coming in at good levels, and therefore, registering a high profit growth. Moving ahead. So here we see the vertical performance. And as you can see, I would like to focus on the bottom part of the table, where we have put all the costs on a comparative basis and therefore, express ed as percentage of NSV. This is what will make all the businesses comparable. The key point to note over here is that there has been improvement in contribution margins in fashion as well as in Others business, while as far as the beauty and personal care business is concerned, this has already been at a healthy place. So , contribution margins in the fashion business has improved to 4.7% this quarter versus 2.3% in the corresponding quarter of the previous year and driven mainly by reduction in marketing expenses, which had been sticky for some time, but which is now starting to moderate. Similarly, the e B2B business, which is the major part of the others vertical, has also been consistently reducing the EBITDA losses with increase in scale.

So, with that I'd like to thank all of you for joining the call. And would like to request Vijit to initiate the Q&A session. Thank you.

VIJIT JAIN: Thank you, G

anesh. Thank you, everyone. I would now like to initiate the Q&A session. Anyone who has a question, please raise your hand, and limit yourself to two questions so we can accommodate as many as possible. Operator, can you please unmute Sachin Di xit?

SACHIN DIXIT: Yeah, Hi. This is Sachin from JM Financial . Congrats on hitting the ball out of the park completely on fashion. However, I just wanted to understand looking at how this business has trended, can we talk about EBITDA profitability now in terms of how soon can we achieve it?

ADWAITA NAYAR: So, yeah, I think we're not going to give a n exact timeline. But it's definitely of course, on all our minds and we're working towards it every single quarter. So, what I can say is that every single quarter deliver better and better P&L line items. But we won't be able to talk about exactly when that breakeven will be coming through.

FALGUNI NAYAR: But I think main item that matters is basically the marketing expense, like all of you can see. And as that improves with a mix of new and existing customers improving with every passing quarter and with every passing year, we remain confident that should not be an issue. It's just a question of the timing on how many quarters it's going to happen is the only question that we don't want to commit to at the moment.

16

And as far as the overheads of th ese businesses are concerned, they're quite reasonable. I don't think we've shared. I think we've promised that by the end of the year, we'll start giving EBITDA for both beauty and fashion and we hope to live up to it and start disclosing that by the end of this year and you'll be able to see then that it's not so much the issue on overheads, but more about how quickly we can bring down the marketing costs. And it won't be magic that'll happen overnight. It just needs a lot of painstaking work, acquiring and retaining the right customers, but the benefits are sure to flow.

SACHIN DIXIT : I'm sure. On the beauty side, while we do understand that margins are not

comparable to last year. But even with Q1, this seems like a 60 basis point dip in gross margin. What's happening there?
ANCHIT NAYAR: Yeah, so maybe I'll kick it off and then I'll hand it over to Ganesh. So look, what I can say is that last quarter, we had spoken about there was a little bit of softness in advertising revenues. But that has improved quarter over quarter. Sequentially, that has improved meaningfully, I would say.
It is still slightly below where it was exactly a year ago. But it has improved to almost being at a similar level. So, we're happy about the way that the ad income has come back. And in fact, going into the second half of the year, especially Q3, which is when a lot of brand partners choose to really market heavily and they tend to save a lot of their marketing budgets for the Q3 festive season, we are quite optimistic that that will recover nicely. So that's my comment on the gross margin for beauty.
What I would say is please remember that the BPC segment includes our own ed brand ’s business. It also includes our physical retail vertical, as well as dot com business. So , with that, Ganesh, maybe you'd want to explain the rest of the data.

P GANESH: I would also just like to add to what Anchit mentioned, just highlighting that on a quarter -to-quarter basis, there is actually a small improvement in gross margins from 45.2% to 45.4%

SACHIN DIXIT: I am seeing gross margin declining in beauty from 42.1% to 41.5%. I'm not sure if I'm missing something. Anyways, we can take this offline. Another question quickly, or more like a housekeeping question, I saw borrowings having gone up by almost Rs 260 crores. Can you explain the nature of the borrowings and why do we need them?
P GANESH: Yeah, so the borrowings have gone up in line with working capital requirements. And Q3 happens to be the largest quarter for us and in line

with building up of inventory etc. for the peak quarter, working capital has gone up. And this is on the basis of established lines of credit that we have. So, it's purely working capital.
SACHIN DIXIT: Sure, thanks. Thank you for that. Bye.

VIJIT JAIN: Thank you, operator , can we please take Kapil Singh next?

KAPIL SINGH: Yeah, hi, good evening. Just wanted your comments on a couple of points mentioned in the press release. So, we've talked about discounting BPC category increasing due to proliferation of number of homegrown brands and increasing number of international brands as well.
So just, if you could, talk us through what exactly are you trying to communicate here in terms of the external environment and what does that mean for that for Nykaa?

FALGUNI NAYAR: Sorry, first, I think some reporting has been wrong about , it's not discounting by Nykaa. It is an additional discount that are being given by the brands that operate on our platform. There has been a little bit more of a competitive landscape, both from D2C brands as well as international brands that are coming into the country and in terms of each of the brands trying to hold on to their market share, they are sometimes doing little extra discounting, especially in the second quarter. So, it was more comparison of difference between GMV and the NSV growth that we were trying to explain.
KAPIL SINGH: OK, sure but as far as competitive intensity is concerned, are we observing any change there? Or it is pretty much under control?

FALGUNI NAYAR: It's pretty much under control. No change there.
ANCHIT NAYAR: I think I'm sorry if maybe that came across as confusing in the press release. I think the only point we were trying to make is that the environment for brands is becoming more competitive because of the brand proliferation that's happening, as well as I think because it was a soft Q1 for the consumer brands as well, especially for them, I think there was an effort by them to drive more top line through discounting and that was the limited point we were trying to make. As it ’s not retailer funded discounting, and it is not a reflection on the competitive environment for us as a retailer.
KAPIL SINGH: Great. Second, we've also mentioned that we lost around 20 days of festive season during this quarter. So, any estimate of how much revenue we would have lost or whether the growth in the third quarter can be much higher compared to the second quarter because we'll have higher number of festive days falling in the third quarter this time?

FALGUNI NAYAR: I think difficult to , I mean, we wouldn't like to indulge in forward looking statements. So unfortunately, we can't talk about that. But you can safely assume that if the festive season is shifted, it should probably lead to some bump up in growth in the third quarter. As far as the second quarter is concerned, I think, again, it varies depending on certain number of days. But theoretically, one can assume that it would have taken off at least 200, 300 basis points of growth from a retailer. But it can be varied depending on whether beauty or fashion or some different subsegments.

18

P GANESH: And just to add, there is no loss of sales per se because it's actually shift of the festive period from quarter 2 to quarter 3. So, it's more of a shift, not really a loss.

FALGUNI NAYAR: It's more a year -on-year comparison that become difficult because in the previous period, there was festive. And this period, there was no festive.

KAPIL SINGH: Sure, sure, understand that. Thank you.

VIJIT JAIN: Thank you. The next question is from Nihal Jham. Nihal, please also introduce yourself before asking a question. Thank you.

NIHAL: Hi, good evening, am I audible?

FALGUNI NAYAR: Yes.

NIHAL JHAM: Yes, good evening, this is Nihal Jham from Nuvama. My first question was you did mention about the increased competitive int

ensity where brands are obviously increasing the discounting for the BPC segment. So, did that not lead to maybe potentially higher advertising spends

on your platform because maybe that's another way of targeting the increased competitive intensity? And ideally, it is a tailwind if there are more brands proliferating?

ANCHIT NAYAR: Yeah, so we've always said that brand proliferation is a good thing for a retailer like ourselves and having that competitive intensity between global, local, D2C, FMCG, that is a good thing for a retailer in the long run. So yes, to your point, it is beneficial to a retailer like ourselves from an advertising income perspective. And , as I mentioned, qualitatively as we mentioned, because we don't disclose the number, but there was an improvement in Q2 versus Q1 when we look at our advertising income, which we received from brand partners.

NIHAL JHAM: Any specific reason maybe they chose to discount more than advertised? Any trends that may be happening that you want to highlight on that?

FALGUNI NAYAR: I think these are very complicated questions and they vary by brand. But I think coming on back of a slower quarter , the previous quarter, the first quarter was generally slow for the industry. So, it's very difficult to predict. But yes, I think all you can see is interpret the number.

ANCHIT NAYAR: Yeah, I think it's different, as I said it's different for different brands. Some brands have taken a price increase, which they've obviously pulled back. Others have not pulled back the price increase yet. So, they're able to provide more discount. For some brands, they feel that discount gets immediate sales whereas advertising, the benefit of advertising is slightly more longer term. Each brand has their own objectives. And as we said, because Q1 was so soft for the industry, and even Q2 hasn't been great for the broader industry, there's probably a little bit of near -term

19

objectives that some brands are trying to achieve. But it's too difficult to paint all brands with a single brush stroke.

NIHAL JHAM: Sure, Anchit. Point taken. My second question was on the fashion bit. It's good to see the kind of a growth turnaround, especially in the order side that fashion has seen. At least from the numbers we see, the sales and marketing spends have not moved too much. If you could just highlight what are the specific steps that you've taken that has led to this growth revival, especially after two quarters of growth, I think was single digit in terms of growth in the order side of it?

FALGUNI NAYAR: Adwaita, wil l you take this?

ADWAITA NAYAR: Yeah, I'll take it. So your question is, what's causing the growth really, right?

NIHAL JHAM: Very much.

ADWAITA NAYAR: Yeah, so I think in terms of what's causing the growth there's a whole bunch of strategies at play. First, obviously, I'm a big believer that everything begins with assortment and we've just been continuously adding to our assortment, strengthening a lot of our unique propositions . I keep hopping on these propositions we're building, like global store, hidden gems, our private labels.

But truly, and now we see it in what people are searching for on the website, it's these unique propositions that are making the platform an interesting place to shop and people are coming there for that. There have been also a lot of mainstream national brands that we've been collaborating with a lot more closely. So that's another level. So yeah, I would say one full bucket is just better assortment. I'd say a second bucket is very focused product level features to improve conversion, whether that's improving the checkout funnel, the payments, whether it's the personalization I was talking about, whether it's differentiated product strategy on web versus app, just meticulously, line by line, going after every opportunity we see on conversion rate. And then finally, there's a w

hole lot of good work
that we've been doing on marketing. So just working as a very close- knit team on delivering really end-to-end marketing. So, everything from getting new customers or new customer acquisition is back in a very strong way to going out and getting the repeat customers back. Our CRM team, our retention teams are doing some really good work on targeting and bringing back different cohorts of customers in a very focused way. So, I wisht I could say it's one thing. But it's really not. It's probably five or six different things spread across assortment, marketing, and product tech that are coming together. I will also say like more thematically we've decided to focus a little bit more on women and we decided to just lean in a little bit more into our proposition and do that with confidence. So those are two more qualitative inputs that we've been focusing on and we see that that's paying off. We do think premium women's wear is our right to win. And we've kind of been refocusing on that. So even if you were to look at our share of women's business, that's been going up. Our share of premium business, that's been going up. Our iOS share, that's been going up. So just shaping the business a little bit more.
20

NIHAL JHAM: This is helpful. Thank you so much.
ADWAITA NAYAR: Thank you.

VIJIT JAIN: Thank you. We'll take the next question from Abhisek Banerjee. Abhisek, please introduce yourself before asking a question. Thank you.

ABHISEK BANERJEE: Hi this is Abhishek from ICICI Securities. My question to Adwaita. So, in terms of the improvement in contribution margin, and you've actually mentioned that there are some leakages you have plugged, could you give us some more insight into exactly what that means? And also in terms of your spending decreasing on existing users, may I just know how do you define an existing user , as in till what time frame they must have ordered in the past in order to qualify as an existing user?

ADWAITA NAYAR: So yeah, I think in terms of the reducing of leakages, taking your first question, I'd say there are two distinct legs to this answer. The first is that we've actually worked on reducing things like RTOs. That's the deliveries that could not be delivered to the customer. And we've worked on reducing things like returns. And we've done that again through a lot of micro efforts. So, for example, blacklisting customers who are very bad behaviour or blocking certain pin codes which show very bad behaviour . We started introducing some charges at the cart level, which dissuade some of this bad behaviour . So, there's been a lot of just identifying unique kind of use cases on how we can change some of this behaviour . We're working a lot more closely with courier partners, seeing how we can do a better job to work with them to increase some of these metrics. That's what we've been doing on one leg.
And I'd say the other leg, and this goes back to my prior question, is you can sometimes pick the right categories which show better behaviour . So again, womenswear is a category that shows better behaviour from a leakage point of view than, let's say, men's footwear. So, there are certain choices we're making from a category mix perspective, which is also allowing us to deliver better NSV. And so yeah, I would say both those things. One is category shaping. But the other is also very discrete efforts that we're making line by line to plug any kind of anything that's controllable from a leakage point of view, we're trying to attack and reduce. And I didn't actually follow your second question.

ABHISEK BANERJEE: So, in terms of marketing expenses coming down as a proportion of NSV, you said that it is because your existing users, or old users are buying more, which is why it is coming down. So, I just want to know how you classify an old user. As in how many times must they have purchased in the past?

FALGUNI NAYAR:

No, no sorry, can I just comment on this? I think for us, the definition of existing customer is someone who was before this financial year started and that number is at 46%.
21
Actually, there is a repeat user customer definition, which is when a customer has bought the second time.
I think that what happens is if you acquired a customer in the year, many of them may have bought the second time. But I think we have chosen over the years to disclose the repeat customers in this manner, where we call them existing customers. Means that they were on the platform before the year began, the financial year began.

ABHISEK BANERJEE: Understood. Just one last question for Anchit. So, you've actually mentioned the rupees per square feet in your offline stores. So, could you give us some guidance of, say, what is the number for stores that are older stores viz a viz the newer stores? So that we have some idea of where this number can go up to, GMV per square feet.

ANCHIT NAYAR: So, I don't know if we disclose it. So, I don't want to get into that right now, maybe we can just talk slightly more qualitatively. What we can say is generally, as a store tends to mature, the productivity improves and increases. So older cohort of stores tend to have better productivity.
Of course, there's many variables like sometimes if the location is wrong or it's a high street versus a mall. So, I think there's a lot of variables. But generally, we do see that the longer the store has been around, the better the productivity. And we continuously churn and update the brand mix in the store to ensure that we're maximizing the productivity in the store. Footfalls as the store matures and the local catchment is aware that the store is in the mall or on the high street, then there tends to be higher productivity as well. So, I think various factors, but what we can say is as the stores mature, we do tend to see better productivity. I don't know, Ganesh, if there's anything you'd like to add.

P GANESH: Yeah, I think he has summarized it well. And again, in terms of a breakdown between older stores, newer stores, et c., that 's not something we are given in the public domain, as Anchit explained. By and large, as the stores mature, this is a number which tends to go up.

ABHISEK BANERJEE: Understood.
VIJIT JAIN: Thank you. I'll just take in jump in with a question of my own, if that's OK. My question is just staying on the beauty side, I understood your comment that the Ads have recovered somewhat QoQ but still remain weak on a YOY basis. But if I take those numbers into account, it does look like the e -commerce business gross margins, stripping out ads, is also somewhat weaker on a QOQ basis, YOY basis. So just trying to understand if that's because own ed brand mix is more or less stable, or is there something to do with the sale event that you launched this quarter? Thank you.
FALGUNI NAYAR: I think, yeah, I think all I can say is that owned brands, they do little more discounting like we told you that between GMV and NSV, the discount for most of the brands had
22
gone up in that quarter. And to that extent, our own brands also probably had to participate in slightly higher discounting than they would have done in the past. And there is some amount of factor. But it doesn't move the needle in a very meaningful way. So, it's a lot of small things. All we can say is that , urge you to say treat it like an aberration rather than a huge trend or anything.

VIJIT JAIN: Got it. The next question is from She ela. She ela, please unmute yourself and introduce yourself before asking. Thank you. Operator, can we unmute She ela, please?

SHEELA RATHI : Yeah, hi, thanks for taking my questions. Adwaita, my first question was to you. Would it be fair to say that the worst is behind us with respect to the fashion business from a growth perspective and as well as in terms of operational metri

cs point of view?

ADWAITA NAYAR: I think the way I would frame it is I think the peak loss is definitely behind us and I think that the P&L is just going to improve from here both from percentage of NSV point of view, the contribution margin is just going to keep increasing, as well as from a n absolute loss of last year versus going forward, t hat number is also going to keep decreasing. So, I feel like I said this in a prior call. I think in building any new business, there's a year of peak loss. And I think that year is behind us. And from here, the loss will keep going down. I do also feel that some of the challenges we faced in Q4 and Q1, the last two quarters, were pretty unique from a growth point of view. So, we don't see that coming back. I do find that Q2, Q3, and onwards, both the growth as well as the profitability will be moving in the right direction. But yeah, I think as you guys have probably figured out by now, we have a lot of discipline in terms of not growing if we're not seeing the right unit economics or the cost structure stacking up. So yes, for Q2 and from what I can see right now, everything is stacking up well. So, the growth can be continued but we will always bring that discipline of just making sure that our unit economics are constantly improving and moving in the right direction. So, I think what I'm trying to say is the growth you're seeing now is the growth we want to keep steady at. We want to keep growing at this level and we feel like at this level of growth, we will also be able to keep improving our unit economics, and our contribution margin line quarter on quarter.
ANCHIT NAYAR: Yeah, I think if I could just add to what Adwaita's saying, I think to phrase it as the worst behind us is probably not correct because the reality is that you have to invest in a new business and the biggest unlock is on marketing ads. As the repeat versus new mix, as that evolves, and as existing and repeat customers start to account for a larger share of GMV, then the marketing spend as a percent of sales will start to trend downwards, which will obviously reflect well on the profitability.

But I think any business has to first build that base of repeat and existing customers and to build that base, you have to acquire the customer and customer acquisition is going to cost money regardless and especially so in a competitive business like fashion.

23
SHEELA RATHI: Thanks, Anchit, and thanks, Adwaita. And that brings me to my second question. We have seen improvement on the GMV contribution with respect to the fashion business now at 46%. Obviously on the beauty business it's much higher, but from your perspective and also what we see at the industry level, from that lens, what do you think is a sustainable level with respect to the GMV contribution coming from existing customers?
ADWAITA NAYAR: I honestly think that is year on year, it keeps climbing. I think what that eventual number sort of stabilizes at , differs from every market to every market, depending on where that particular business is in terms of their journey. But I think more directionally what I can just say is that I think every year, you'll see this percentage coming from existing buyers increasing. But it's not like next year we're going to jump to where beauty is. But it'll just keep increasing sequentially every quarter.

ANCHIT NAYAR: The way we look at it is, it's not about we're not trying to solve for a mix. I think we have very clear goals in terms of what should be the growth in new customer acquisition and what should be the growth in repeat customer and we try to maximize both. And wherever the mix shakes out it, shakes out now. Naturally, beauty as a business has been around for 10 years. So, they've had 10 years of customer acquisition that has allowed us to build a very large base of existing users. And in fact, I would say that if you see a business th

at's been around for 10 years but has a low share of repeat or existing customers, that to me, is indicative that they're not doing a good job at customer retention. And customer retention is an output of the kind of customer experience that you're able to deliver. So, I think better the customer experience, better the retention, higher the share of existing customers. And that's kind of how we look at it. That being said, new customer acquisition is an investment for the future and has to be done and therefore, we look at the two very separately and we invest in both and try to drive growth in both pockets.

SHEELA RATHI: Fair enough. Just if you would give us some ideas in terms of where the industry would be on this number?
FALGUNI NAYAR: It's very difficult to comment. Each platform will be different and it all depends on the pace of growth also. I think it also depends on the quality of growth in the past. If you have periods of very poor -quality customer acquisition, then you would have difficulty having good cohort.

SHEELA RATHI: Understood. And my final question was very bookkeeping related question. But in the fashion business, the NSV growth is higher than the GMV growth. The gap is about five percentage points. What could be the reason?

ADWAITA NAYAR: Yeah, I think I tried to allude to this. But it's all the efforts on reducing the leakages. So, when you're able to reduce your returns, RTOs, cancelations, and so forth, then your NSV looks better. So, because this quarter versus a year ago, a lot of those leakages are looking far
24
better, you'll see that the NSV on a year -on-year basis is growing better than what the GMV is growing at. I think you've understood, yeah.

VIJIT JAIN: Thank you. We'll take the next question from Aditya Chandrasekar. Aditya, please introduce yourself before asking your question. Thank you.

ADITYA CHANDRASEKAR: Hi this is Aditya from UBS. Just a kind of follow -up question on the marketing spends on the fashion side. So obviously, it's come down sharply because your repeat customers have increased. Just wanted to get a sense of as the share of repeat customers kind of, or share of existing customers keeps inching up and maybe heads closer and closer to where beauty is, where can we see this kind of 25% of NSV go down to? Do you have some kind of target in mind for the medium term? Just wanted to get a sense because structurally, it would be higher than beauty, I'm assuming. But what kind of a number you are kind of targeting, that would be helpful.
ADWAITA NAYAR: There's no explicit number that's in our head, obviously, every quarter we just want to do as well as possible. We set sort of three months, six -month kind of targets. We keep gunning for those. But we do feel that there's significant headroom to bring this down significantly. So, if you see this number for beauty, it's so very low at the moment.

So, I think between where beauty is today, and where fashion is today, there's so much room for us to continue optimizing. We see a lot of low hanging fruit. We think that this number is not only related

to the repeat existing mix. Of course, that's one big element. But there's a lot of other optimizations that we continue to do which can bring this down significantly. So again, I can't give you an exact number and by what quarter. But what I can say is that the goal is to, every quarter, bring this down in a meaningful manner. And there's a lot of room. And there's a lot of flex on this number. And most of the contribution margin expansion will come from this number going down.
ADITYA CHANDRASEKAR: Thank you.
VIJIT JAIN: Hi, can we take the next question from Lat ika Chopra? Lat ika, please unmute yourself. Go ahead.

LATIKA CHOPRA: Yeah, hi, thanks for the opportunity. First of all , congratulations. It's very encouraging to see so many efforts to scale up both beauty and fashion portfolio from a co

nsumer lens. My question was on contribution margins for the beauty and personal care business. It's hovering at pretty healthy levels of 26, 27 odd percent. Just wanted to understand, how should we think about progression of these contribution margins over the next two to three years? Can they reach, in your view, a high 20s level? And the question is the context that I guess you will need investments behind your owned brands and also on the offline stores. So how should we think about how this number is going to move and what will drive that? Thank you.

25
FALGUNI NAYAR: Sorry, you are asking for the number for fashion? Is that what you're asking?

LATIKA CHOPRA: For beauty and personal care. The contribution margins are hovering at about 26.5%. These are good levels. But just trying to understand, should we see scope for further improvement here considering that you have to make investments behind scaling up your owned brands and behind the offline stores?

FALGUNI NAYAR: I think there is a certain amount of offline store growth already built into our current numbers. Because if you remember, we've reaccelerated the offline stores, It's built into our financial numbers because we accelerate the offline store count after the COVID. However, it is not above the contribution line. So actually, our store expenses, if I'm not mistaken, come below the contribution line.

LATIKA CHOPRA: Sure.

FALGUNI NAYAR: And so that's one thing I wanted to point out. And secondly, we also have a fairly large critical mass of our owned brands, where again, while we don't think invest in our brands in a way that can lead to large investment, we kind of earn and then invest in the brands. I don't know whether right or wrong approach, but that's the one we follow. So, it's more measured. However, it can go up. I think marketing expense to a certain extent or towards brand building as well as some amount of brand building expense for our BPC brands, I mean, beauty as well as fashion brands can go up in future if we see conducive environment.

LATIKA CHOPRA: All right, so Falguni, does it mean that we should, for the time being, assume that contribution margins are going to hover in this 26%, 27% zone? And it's going to be a more gradual expansion from these levels for BPC.
FALGUNI NAYAR: See the point is you always see n us that we will try to deliver the best margin possible. So, I don't want you to tell me to not try to improve those. So, what can I say? I don't want to promise that I won't improve it. But yes, you can assume . It's been a huge effort to tighten the fulfilment costs. And a lot of benefit of that, you've already seen. We work towards improving marketing costs over the last few quarters. But right now, you can see that we do believe that we do need to create and build a market. Like, y ou saw that we are doing work towards market creation. And I think we'll do the right thing for each quarter, rather than worry about the contribution margin. But overall, we don't see huge need to spend too much.

LATIKA CHOPRA: All right, thank you so much.
VIJIT JAIN: And that was the last question for the day. Thank you everyone for joining the call. I will hand this back to the team at Nykaa for any closing comments. Thank you.

26
FALGUNI NAYAR: Sorry, I just forgot to mention that while we discuss contribution margin at the EBITDA level, we have improved our employee cost quite substantially over the last year from 9.9% to around 9.0 % level. And I think that has been a big focus during last year. And we're happy to report that.
And like you can see in other expenses line also, it's been flattish and we think we can improve it slightly more there too. So yes overall, at the EBITDA level, trying to work towards improving EBITDA margin will definitely be a possibility because many of our businesses like fashion, as well

as the new businesses, can see improvement in

EBITDA margins.
VIJIT JAIN: Thank you, Falguni . Thank you, everyone who joined this call. On behalf of Citi, that concludes this earnings call. Thank you for joining and you may now disconnect. Thank you.

FALGUNI NAYAR: Thank you.
P GANESH: Thank you.

ANCHIT NAYAR: Thank you.
VIJIT JAIN: Thank you.
ADWAITA NAYAR: Thank you.

Call: Feb 2024

FSN E -Commerce Ventures Limited

Registered Office : 104 Vasan Udyog Bhavan | Sun Mill Compound | S . B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
February 13, 202 4

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sirs,
Subject: Q3 FY24 Earnings Call Transcript

Please find enclosed the transcript of the Analyst / Investor Conference Call held on Tuesday , February 06, 2024 with regard to the Unaudited Standalone and Consolidated Financial Results for the quarter and nine months ended December 31, 202 3.

This intimation is being submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Kindly take the same on record .

For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Transcript

FSN E -Commerce Ventures (Nykaa) Q3 FY24
Earnings Conference Call Tuesday, 06 February 2024

US: +1 800 893 0568 Asia -Pacific: 852 2877 1422 Europe: +44 (0) 800 -014-8131 | www. netroadshow .com
Moderator Ladies and gentlemen, good evening and welcome to the FSN E-Commerce Ventures Limited Q3 FY24 Earning s Call hosted by Morgan Stanley. This event is not for members of the press. If you are a member of the press, please disconnect and reach out separately. For more important disclosures, please see the Morgan Stanley disclosure website at www.m organstanley.com /research disclosures.

Please note that this call and your questions will be recorded and may , in certain circumstances , be distributed to clients and /or made publicly available. By participating in this event , you consent to such recording , distribution and publication . All participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

I'll now hand the conference over to Ms. Sheela Rathi with Morgan Stanley.

Sheela Rathi Thank you very much. Good evening , everyone. This is Sheela Rathi from Morgan Stanley Research. Welcome to the FSN E -Commerce Ventures Limited Q3 F Y24 Earnings call. From the management of N ykaa, we have

Mrs. Falguni Nayar : Execut ive Chairperson, MD and CEO
Mr. Anchit Naya r: Executive Director and CEO of Beauty E-Commerce
Mrs. Adwaita Nayar : Executive Director and Co-founder, CEO , Nykaa Fashion and
Mr. P. Ganesh : Chief Financial Officer.

Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the presentation. Kindly note that the call is meant for investors and analysts only.

With that , over to you Falguni for your opening remarks.

Falguni Nayar Thank you very much, Sheela . It's a pleasure to be here amongst all of the investors. Thank you for giving us this opportunity.

I will begin with the presentation. We'll begin with performance highlights.

So, I think we saw that Quarter 3 of financial year 2024 Nykaa continues to drive profitable growth. Our gross merchandise value at Rs 36,194 million is about 29% year -on-year growth. The net sales value (and I'll t alk the numbers in million) at Rs 17,866 million is about 24% year -on-year growth and revenue from operations at Rs 17,888 million is about 22% year -on-year growth.

On the gross profit basis, our gross profit came out at Rs 7,607 million, which is about 20% year -on-year growth. The gross margins are at 42.5%, which is albeit about 86 basis lower on a year -on-year basis. There are more details on each of those in later numbers and hence , I won't elaborate on these here.

On the

EBITDA basis, o ur EBITDA came out at Rs 988 million, a 26% year -on-year growth. The EBITDA margins are at 5.5% , which is about 18 basis point improvement.

Transcript

FSN E -Commerce Ventures (Nykaa) Q3 FY24
Earnings Conference Call Tuesday, 06 February 2024

On the profit before tax basis, it ’s at a bout Rs 265 million , almost 109% year -on-year growth , with P BT margin at 1.5%, which is a 62 basis point improvement on a year -on-year basis. With that, the PAT has come out at Rs 175 million, which is 106% year -on-year growth with about PAT margin at 1 .0%, almost 40 basis point improvement.

Taking it forward , I think we are delivering growth across all our verticals, and we are happy about that. I think what we've done is we have given the year -on-year growth for the third quarter of the current financial year , but at the bottom, we've also given a two-year CAGR for each of the businesses so that you can compare how the business are going from a medium -term perspective.

On the GMV basis, the Beauty grew at about 25% on a year -on-year basis. It's a similar growth rate as a 2-year CAGR . On the Fashion business , the GMV growth came out at about 40% year -on-year , but the Fashion G MV at Rs 10,12 5 million and this is about a 45% CAGR growth over a 2-year period.

If I look at the other businesses, which includes mainly the Nykaa Man, as well as the eB2B business platform, which is th e most significant part of the business , what we call as a Superstore by Nykaa, that Other s business has grown at about 39% year -on-year on a GMV basis. Within that , the Superstore business has grown 68% on a year -on-year basis and the 2-year CAGR of Others business is at about 12 2%. The GMV of these businesses now stands at Rs 2,373 million , so it is becoming reasonably significant.

On the NS V basis, the growth in Beauty w ere lower at about 20% year -on-year and the NSV was at about Rs 13,805 million. One of the reasons for divergence in the GMV and NS V growth in Beauty particularly is that it was a difficult year for many of the beauty companies in the country and as a result, the discounting that they are offering to the consumer has gone up. Many of you are aware about some of the rural growth and growth in other channels being slower and as a result, the discounting in Beauty busi ness has gone up a little bit more this year. There's more on that, that Anchit will take us through .

On the Fashion business , NSV grew at 31% year -on-year compared to the GMV of 40% year -on-year . Similarly, slightly higher discounting. And, In the Others business , in fact, you can see that the NS V growth was at 88% year -on-year against the GM V growth of 68% year -on-year for Superstore and for overall category 67% NSV year -on-year growth against GMV growth of 39% year -on-year . This is particularly indicating some of the improvements that Nykaa did in terms of leakages that th ese business es used to face. With that kind of leakage improvement, we've been able to deliver higher NSV growth compared to G MV. As we grow through other businesses also came out at Rs 1,309 million and a 2-year CAGR on NSV growth has been as healthy as 22 1% year -on-year .

So, like we talked about it, a couple of years ago , that we were aiming for business diversification to serve the larger T AM. That's exactly what Nykaa has been able to achieve. If you look at a 2 -year period, between Quarter 3 of FY22 to Quarter 3 of FY24, you can see that against the total net sales value of Rs 17,86 6 million , now Beauty contributes about 78% with Fashion contributing 15% and Other s business contributing about 7%.

I think you can see that all of the businesses are growing healthy in a similar manner, with of course some of the really nascent businesses outperforming in terms of growth. This is resulting in a fair amount of diversification and yet diversified growth — each of the businesses are delivering growth.

On the right -hand side from the opportunity perspective, we have always said that BPC is overall $31 billion market, and it is broken into three components of online being about $10 billion ; organized offline, which we call as modern trade about $9 billion and unorganized offline, which is about $12 billion opportunity. Nykaa now plays pretty aggressively in each of the three segments. We dominate online beauty, but we also have a very significant presence in physical retail now. Similarly, we are buildi ng a presence t hrough the Superstore to cater to the GT /MT segment.

In Fashion, we've always said that it's five times the size of the Beauty market and that's what excites us about the business. And w e are addressing about 49 billion of that opportunity th at exist s in our online segment currently.

With that, I hand over to Anchit to talk about the Beauty business.

Anchit Nayar Yeah, thank you very much. So , I will quickly run through the slides, giving an update on the performance of the Beauty.com , Beauty physical retail , as well as our private brands on the Beauty side — those various business segments.

If you see the chart on the top left corner, you will notice that the GM V growth over the past two years for the BPC segment has been roughly 25%, taking us to about Rs 2,370 crores of GMV for the quarter ended December 31st. In terms of the mix of business, the loyalty and the stickiness of our existing customers continues to improve and t hat reflects in an improvement in the mix of business coming from repeat versus new buyers now standing at 78% and 22% respectively .

NSV grow th came in at about 23% over a 2-year CAGR and ended the quarter at Rs 1,381 crores of NSV for the BPC segment . Annual unique transacting customers stood at 11.1 million versus 9.6 million the year before and a 21% CAGR over a 2-year period.

In terms of the number of orders that w ere serviced in the quarter , it stood at 11 .1 million orders w ere serviced in the quarter ended December 31st.

Next slide, please. So , this is a very interesting and unique innovative event , which Nykaa hosted for the first time this year, it was called Nykaaland . It was India's biggest beauty festival. It is a one-of-a-kind event in which over 80 global and local brands participated in a 2-day beauty festival. We had 15,000 + customers who bought tickets to attend this event. There were over 12 master classes that were hosted and 5 ,000 participants attending those master classes. These events were hosted by makeup artists and professional beauty experts from across the world, including Mario Dedivanovic, as well as others listed on the page.

There was significant attendance from celebrities as well , Bollywood celebrities and over 800 -plus influencers and KOLs . As a result, we managed to create over 5.5 billion impressions from

this 2-day event and 5 ,000 pieces of content were created and disseminated across both online and offline channels.

So, this is an event , which we see as instrumental in the role which Nykaa plays in the ecosystem, which is that of category creators . Events such as these allows customers to access and to be educated on beauty as a category . These are the kinds of events that will accelerate the expansion of the addressable market of beauty in India and help to take the per capita spend on beauty to higher levels than wher e they are today, which happen to be some of the lowest in the world.

So please enjoy the video and in about five seconds, we can move on.

Great, so moving on to the next slide. This was an important quarter for Nykaa Beauty , also from a premiumization perspective. As we have always stated , one of our strategic pillars of the business is to continue to premium ize the consumption of beauty in India. We believe that not only does India under index ed in terms of per capita spend on beauty, but premium beauty as a percentage of overall beauty is also highly under indexed compared to other developing and developed economies. As India's GDP per ca pita increases, we are very optimistic that premium beauty and prestige brands will continue to gain more market share and drive a better unit economics for both brands and retailers alike.

Here on this slide, there are a couple of examples of some of the brands , which were launched by Nykaa in Q3 . As you can see, some of these names you might recognize . They are globally well renowned brands. The first on the page is the brand CeraVe. CeraVe is a derma skincare brand that is owned by the L’Oréal group, and it was launched for the first time in India in partnership with Nykaa .

Second brand on this page is a brand called Urban Decay. It is a n iconic cosmetics brand, again from the US and again owned by L’Oréal . This brand has been introduced into India exclusively with Nykaa . Nykaa serves as importer, distributor and retailer for this brand.

Also adding to the list is Dr. Barbara Strum, which is a prestige premium skincare brand ou t of Germany, as well as Colour pop, which is a Los Angeles based mobile makeup brand. These brands as wel l are exclusive to the platform and are also being imported and distributed solely by Nykaa .

On the right -hand side, you will see a quick summary of some of the brands which we serve as importer and distributor for into India. To remind some of you , this business i s, we call it as the Nykaa Global Store. These are brands for whom Nykaa handles not only the logistics and the registration and importing of the products, but also the distribution , go-to-market, marketing, pricing and customer service aspects of their business. So , we serve as the brand 's proxy in the country.

We have about 35 brands in this portfolio. We have shown the logos for about 9 of them , which we feel are worth highlighting, some of which we have discussed in the past.

This business of ours is growing at roughly 47% year -over -year and is a strong additio n to our portfolio as well as moats against other competition.

If I look at the premium business as a whole , today we have one of the largest , if not largest , assortment of premium brands in beauty in the country , 250 +. This segment of our business is growing at about a 50% CAGR over the past 3-years and almost roughly about a third of our GMV comes from what we define as premium and prestige beauty brands.

Next slide, please. Spending a minute on our physical retail business , we believe that brick and mortar retail continues to be incredibly important for beauty brands as they look to partner with select retailers. They are looking for retailers who can give them both scale online as well as scale offline. Today , in India, Nykaa is one of those players.

If I look at our store count, it has increased by 79 stores over the past 2 years, and we have opened roughly about 39 stores in the pas

t 12 months. Today, we cover o ver 64 cities across
174 stores, and we cover about 1.7 lakh square feet of retail space.

In terms of the key c all outs for this business this quarter, I would say is a strong improvement in profitability. The retail segment of our BPC business is showing healthy growth at the EBITDA level of about 35% year -over -year and today it contributes to roughly 9% of our overall BPC GMV.

Now , I will mention that it's not an exact apples -to-apples comparison . We have over 3 ,000 brands online and about 160+ brands in our stores. So , for the 160+ brands which we keep in our physical retail stores, the contribution of physical retail to the overall GMV mix is much higher than 9%.

Finally, we see our stores as a very powerful channel, especially for premium beauty brands. Today we have over 85 premium beauty brands in our physical retail stores and 65% + is the share of the GMV in our retail stores that comes from premium prestige brands. As a result, we have what we believe to be strong productivity and throughput and our GMV per square foot per month is roughly Rs 4,109.

On the bottom left , you'll see a breakdown of our store network. We have about 74 Nykaa On-Trend store s, 67 Nykaa Luxe stores and 33 Nykaa Kiosks . The split between metros and non-metros is about 94 stores in non-metro towns and 80 stores in metro towns.

Q3 is also the quarter in which we host our flagship beauty sale of the year. It is called the Nykaa Pink Friday Sale. This year, the sale has continued to grow from strength to strength . As you can see, we execute the sale now across not only the Nykaa Beauty app, but also the Nykaa Beauty physical stores , as well as both Nykaa Fashion and Nykaa Man platforms. So, this is truly a one Nykaa sale.

This year, we generated over 4 00 million in terms of social and media reach. This is across roughly a 7-day sale, and we had 50 million unique visitors who visited either our stores or our apps across the period and duration of the sale.

To give you a sense of how the sale has scaled over the past five years , you can see on the top right bar chart that the BPC GMV that we generate across the sale, the 7-day sale has increased almost 10 times in the past 5 years. Today, again, as I've said earlier, a key focus of

Nykaa' s is to premium ize the beauty consumption in India and that is reflecting even during key sale moments , such as these . You can see that one-third of the GM V for th is sale came from premium brands , 32% was the growth for premium brands in terms of GMV versus the sale last year at 67% year -on-year growth in offline sales during the period of this Pink Friday.

In terms of Nykaa F ashion , on the bottom right -hand side, you can see that in a matter of two years, the GMV that we're generating from th is sale has scaled almost five times in just the two-year period , so also very healthy growth. There is a 29% jump in order conversion that we see on the Nykaa Fashion platform during th is sale and 120% + growth year -over -year in terms of key categories of women's western we ar GMV versus last year 's sale. Again, women's bags and footwear, another standout category for the Nykaa Fashion platform during this year's Pink Friday sales , showing about 150% + growth year -over -year .

Next slide, please. With that, I'll hand it over to Adwaita to take you through the Fashion slides.

Adwaita Nayar Thanks , Anchit . So, I'll take us through a couple of Fashion slides here. Starting off with some metric s. In terms of GMV, the Quarter 3 ended at about Rs 1,013 crores in terms of GMV. That's a 45% 2-year CAGR. It's up

about 40% year -on-year . From an NS V perspective, you see that we've ended the quarter at Rs 275 crores for Q3 with a 2-year CAGR of 35%.

Moving on to our annual unique transacting customers , on the bottom left, you can see that we're now at 2.9 million customers as of the end of Quarter 3 , demonstrating a 36% 2-year CAGR. Finally, on the right -hand side, orders have grown at about 25% CAGR over the last 2-years, taking us to 2.0 million orders in the quarter itself.

So overall, it's been a very strong performance, I think, for the Fashion business. On the next slide, you' ll see some underlying metrics , which are showing very strong improvement. I think it's also important to note that a lot of this strong top line growth has been in the background of a pretty muted fashion environment for a lot of the other competition.

So here on this chart, we show a couple of metrics, which are demonstrating the improved profitability that's also coming through. So, we start on the left-hand side, and we look at the order to unique visitor conversion, we can see a very strong upward trajectory consistently over the last five to six quarters . We're now at 3.2% as the unique visitor conversion, which is up from 2.3% exactly a year ago.

On the bottom , right below that, you can see that we're now seeing about 49% of our GMV coming from existing customers. This is a good marker of sort of customer love being built and our retention numbers are improving , whichever cohort we look at. These two things combined, that is conversion rate and the increase in repeat is actually allowing us to bring our marketing expenses down, which brings me to the middle chart.

So, in this middle chart, you can see that the marketing expenses are coming down , again, consistently over the last couple of quarters. We're now at 23.9% of NS V being spent on marketing. Finally, on the right -hand side, the improvements in marketing and there are other line items as well that have improved, is really driving a good expansion in the contribution margin. We're now at 6 .0% for Q3, which is up from 0.9% a year ago.

I do think that it is the commitment to our positioning that is to be differentiated , to be created , to believe in the premiumization of India's fashion story, which is allowing us to deliver the improvement in metrics. I'm feeling pretty good about Q3 both from the point of view that the growth has come through, along with improvements in contribution m argin. So , I think it's been a good performance from the team in that regard.

Moving on. The big highlight we want to talk about from the Fashion business perspective is the partnership that we've just struck with Footlocker. I t was in the news a couple of weeks ago.

Footlocker , as you may know, is a US -based company, $8 billion in top line, Fortune 500 company and a very popular multi -brand footwear specialty retailer . They're very well known for th eir sneaker culture positioning and their sports positioning. Their top brands include brands like Nike, The Jordan fran chise within Nike, adidas, Puma and so forth.

It goes without saying on the next slide, that obviously sneakers and sports in this country is exploding and we are see ing that the search trend for sneakers in India are growing at about 5x over the last couple of years. So, Nykaa F ashion definitely wants to play in the sneaker trend that the country is seeing . We think it's a great opportunity, which will likely be about $4.5 billion by 2027. So, it's in the context of finding a great retail partner in Footlocker, as well as in the context of the trend s we're seeing in sneakers both on our site

and more generally .

Then on the next slide, we're really proud and excited to announce our partnership with Footlocker where we are going to serve as the exclusive e -commerce partner. We're going to run their India website , as well as our provider a shop -in-shop format within the Nykaa Fashion and Nykaa Man apps . Our offering will include footwear, apparel , accessories . I think it's a really strong move from the point of view that we will get access to some fantastic assortment, which will strengthen our positioning as being premium , curated and now also a very strong player in the sneaker and sports space.

Adwaita Nayar Moving on. So , I think as a reminder, this is not the first time we're mentioning this, we do have a bouquet of our own brands that we're very proud of. We don't call them private labels. These are truly our own ed brands that we're hoping and aiming to build with a lot of consumer love in the country.

We have 13 brands on the Beauty side , on the left-hand side you can see. Lot of these we've built in house and s ome we've acquired . Three of them have hit actually considerable scale and you can see those starred on top side. So Nykaa Cosmetics is a Rs 400 crore annualized brand . Kay Beauty is a Rs 200 crore annualized brand and Dot & K ey has hit a Rs 500 crore mark. So very proud of sort of the traction we're seeing in a couple of these brands.

On the right -hand side is Fashion. We spoke about this before, but we do believe that own ed brands in Fashion have a particularly important role to play. The customers are starved of brands a nd so if we can create a lot of good assortments , which is what we're trying to do, I think it can be a win -win both for the customer and for the platform.

Transcript

FSN E -Commerce Ventures (Nykaa) Q3 FY24
Earnings Conference Call Tuesday, 06 February 2024

Here , as well , two brands have had breakthrough performance . Twenty D resses has had over Rs 100 crore s run rate , as well as Nykd, which has also crossed Rs 100 crores. I think, particularly in Fashion, the numbers have to be seen in the light that a lot of these brands , which have started in the last two to three years. So, their performance , in terms of scale , is quite commendable. We are really trying to double down on our own ed brand strategy, really strengthening the org and our capabilities from an i nnovation , creativity , marketing perspective , so that we can become a true house of brands and a true consumer brands company and build some wonderful brands through this.

Moving on. Here we talk about the top line in B PC, in particular for these own ed brands. So, you can see in Quarter 3 , this vertical deliver ed Rs 315 crores of GMV, which is a 34% 2-year CAGR and a 40% year -on-year growth. In terms of the contribution to the overall BPC segment, it's 13.3%.

On the right -hand side, you can see similar numbers for the NSV level, which has now hit Rs 194 crores , NSV at a 32% CAGR.

On the bottom , I'll draw your attention to this pie chart, which shows that a significant portion of the sales are obviously coming from Nykaa . Nykaa online is 53% . Nykaa physical stores is 13% , but 34 % is also coming from other third -party channels , predominantly GT /MT. W e do believe that for these brands to stand on their own two feet, they do need external distribution as well.

Moving on . On the Fashion side , again, it's been a good performance over the two years with this vertical hitting about Rs 117 crores from a GM V perspective and Rs 46 crores from NS V perspective for Q3, showing about a 57 % to 60% CAGR , 2-year CAGR for both metrics.

From a channel mix perspective , on the bottom, you can see that 54% is coming from our own channels and 46

% is coming from other parties, whether it's a GT /MT, other e -commerce players and so forth .

We can move on. With that, I'll hand over to Vishal to walk us through the eB2B business Superstore by Nykaa . Thank you.

Vishal Gupta Hi. Thanks, Adwaita . Next Slide , please. So, look, eB2B is a very young business , but every month, every quarter, it is going from strength to strength. As you can see, in the last 2 years, we have grown our GMV by more than 31x, our NSV by more than 40x and all that is coming through expansion of our customer base . We have 35x in crease in transacting retailers and 38x increase in number of orders per quarter. Now we have hit 337,000 orders per quarter. You can see that it's a business , which is growing quarter -on-quarter .

We are improving our importance to the retailers , as well as to th rough brands that we serve, because ultimately, it's a scale business. If you see the next slide, you will see the benefits of scale coming through because while we scale, we are super mindful of improving the profitability and it becomes a virtuous cycle where scale improves profitability and profitability allows you to improve scale.

You can see that between GMV and N SV alone, we have reduced our leakages by 40% through very rigorous operational control and also improving ou r service level to the retailer s, which means that we have much lower damage returns and returns by our customers. There is some improvement also in the conversion because of lesser discounts and lesser schemes , which mean s, which is lower retailer margin, which means better conversion because it's less discounts.

There is a 13% increase year -on-year on the AOV and this tells us that our importance to the retailer is increasing because the retailers are giving more and more of their business to us, which again becomes a virtuous cycle because we get bigger orders and bigger orders are more profitable and we get more loyal customers. Importantly , 42% of our turnover is what we call high margin feature d brand, which helps us improve our profitability. You can see the improvement that we have made in our contribution margin, which is coming from this profitability , as well as reduction in costs.

We have reduced 580 bps year -on-year in overall fulfilment cost through lower warehouse cost, lower fulfilment freight cost, as well as much lower packaging cost, which we have reduced by half. We have also improved our field force productivity and reduced our sales and distribution expenses by 170 bps year -on-year . So, overall significant improvement in our contribution margin.

Next slide. Like I said, this comes a lot by improving our service to the retailers because it is a service business. From 10 warehouses, we have moved to 13 warehouses . You can see three new warehouses, Patna, Chennai and Bengaluru. We are closer to customers, which means lower costs , lower service time and improve the happiness of the retailer and improve margins for us. So , we have total 2.5 lakh square feet, and we are covering 9 50 cities.

Yeah, so month -on-month, very high scaling up of the business, but scaling up with profitability . Over to Ganesh.

P Ganesh Thank you, Vishal a nd good evening, everyone. As you can see, all our business verticals have delivered strong growth in Quarter3 of FY24 despite macro pressures around discretionary sectors. With that context, I would like to take you through the financial highlights for the quarter.

As you can see, our company delivered healthy growth on both revenue at Quarter3 and 9 months level , growing at 22% and 23% , respectively. Our gross margin came in a l

ittle lower
at 42.5% this quarter versus 43.4% in Q3 FY23. The drop is primarily on account of the increased mix in our eB2B business at the consolidated level and also on account of some softness in service income in the BPC business.

Our EBITDA margins have expanded to 5.5% in Q3FY24 led by improvement in our fulfilment expenses, employee expenses and other expenses. This improvement has been achieved in spite of higher ESOP costs and costs pertaining to our omnichannel launch in the GCC region, which cumulatively accounted for 0.6%. We have more details on the flow between EBITDA margin and thi s adjusted EBITDA margin, which I just mentioned about of 0.6% in the later slides.

Our PBT for Q3FY24 stood at Rs 26.5 crores , growing strongly at 109% and our PAT in Q3FY24 stood at Rs 17.5 crore , again with a strong growth of 10 6%.

Going on to the next slide. Here you can see a snapshot of our consolidated P&L for the quarter as well as for the last 9 months. We have achieved improvements in our profitability through improvement in fulfilment expenses, improved scale efficiencies on e mployee costs and optimization on G &A.

Moving ahead on to the next slide, here you can see the vertical reporting , which gives detail of the individual businesses. The operating leverages have helped us to drive efficiencies in our contribution margin . Our F ashion contribution margins, as you can see, have smartly expanded 510 basis points YoY while our Other s verticals have also narrowed down the contribution margin impact and have expanded 344 basis points.

Going to the next slide. This slide highlights how our business verticals have been consistently improving on profitability. As you can see, th ere is a healthy, profitable growth across all the three business verticals. While on an overall basis, the EBITDA margin does not fully reflect this growth, which is seen on account of all the verticals , the primary reason being the eB2B business, as we can see , has been growing significantly in terms of salience and it's upwards of 7% of the overall NSV at this point, as you can see in the bottom right chart.

Moving ahead. T his slide further elaborates the movement between contribution margin and the EBITDA , which is primarily on account of employee expenses and other expenses. These expenses , as we have shared previously, were higher in FY 23 since we were in that stage of investing ahead of the curve . They have started moderating over the last few quarters and those benefits are starting to show up.

Another point to note over here is that almost 40% of our G &A spends are on web & tech investments and with the rest of the G &A spends continu ing to be stable.

Moving ahead. Here you can see the EBITDA to PBT bridge. As you can see , depreciation , amortization expens es at Rs 248 million this quarter at a 45% YoY is on account of expansion of retail stores and expansion of our warehouse capacity over the last year. As a percentage to net revenue , these costs have increased by 22 basis points. Lease costs, both in terms of depreciation and amortization, as well as finance costs , have been relatively stable.

Interest cost have moved broadly in line with expansion and business and resulting increase in working capital and being offset by higher interest on the investments that we hold. This has resulted in EBITDA margins, improved e xpansion and aided by D &A, the overall PBT margins have improved by more than 60 basis points. We just continue to focus on growing top line , as well as in terms of continuing to grow profitably.

Moving ahead. What you can see on this sl

ide is a summary of the proposals, which were
approved by the Board of Directors of FSN E-Commerce at the board meeting held today . A brief summary of the proposals , the first one is infusion of additional equity of Rs 150 crores in Nykaa Fashion . Nykaa Fashion has been scaling up quite nicely and at this point, we feel it's appropriate to capitalize this company , so that's the driver behind this proposal.

The second one is consolidation of the fashion brands business into the parent company. This will happen over the next two quarters and in terms of holding structure to bring it on par with the holding structure for owned brands that we have in the BPC business.

The third one is a demerger of the eB2B business from FSN distribution to Nykaa retail. This again helps in streamlining the hold ing structure , simplifying the structure whereby the online Beauty business gets consolidated into a single entity. So , that's a summary of the proposals , which have been approved by the board today.

With that, I would like to thank everyone for joining this call . I would like to pass on the mic to Sheela to initiate the Q&A session.

Sheela Rathi Thank you , Ganesh . Operator , we can open up the Q&A session.

Moderator We will now begin the question answer session. If you would like to ask a question , please press the raise hand button found on Zoom o r if you've joined us on the phone , please press star followed by one. Before asking your question , please introduce yourself providing your name and your organization name . Please limit yourself to a maximum of two questions , so we can accommodate as many people as possible.

Ladies and gentlemen , we will wait for just a moment while the question queue assembles.

We will take our first question from Zoom . The first question comes from Sachin Dixit. So, please introduce yourself and your company name . Please go ahead.

Please do ensure that you are unmuted locally .

Unfortunately, we are not getting any response. So , we will move on to the next question. If you would like to ask your question, please do re-raise your hand.

The next question comes from the line of Vijit Jain . Your line is open.

Vijit Jain Hi. Thanks for opportunity. My question is on the BPC segment . The presentation shows and suggests that the premium segment within BPC grew ahead of your overall BPC GMV growth. While you did note pressure in masstige segment in your opening remarks and in the press release and trading update as well , I'm j ust wondering on why the BPC gross margins look a tad weak given the premium segment did so well ? And a related question to that , the discounting in your own ed brand go up further in 3Q verses 2Q. Additi onally , did retailer margins in your partner brand see any kind of a change QoQ as the brand partner's kind of combated the weak environment in India?

Thank you. That's my first question.

Falguni Nayar So I'll just answer about the private label brand discounting and then I'll pass it on to Anchit . So yes, I have to say that our private label brand discounting did go up , like every other brand in the environment, especially the masstige brands. To that extent , that is built into that.

I now pass it on to Anchit o n commenting on the retailer.

Anchit Nayar Yes, so maybe I take the question in order, I think a couple of different aspects you touched upon. So,

the first is regarding the increasin g or the faster growth of premium and prestige brands on the platform. So, I think, look, the reality is, is that premium /prestige beauty was a very small percent of the overall BPC markets . It is incredibly under indexed. So, it is growing off of a smaller base, so there is more opportunity for those brands to continue to grow faster than the platform. Tha t's one .

Second is as Nykaa , we strongly believe in continuing to drive awareness for and continue to do business in the premium /prestige space because these are the kinds of brands that drive strong customer repeat and loyalty and as I said in the beginning, it's also just generall y better unit economics for us. So , we're happy with the results that we're seeing with the prestige brands , but again, it's coming off of a very small base. So, generally the whole market needs to grow and that's where we'll start to p otential ly see better or see positive impact from a gross margin perspective.

With regards to mass and masstige brands, I think, as many of you know, the commentary coming from some of the listed names is that the demand has been soft in rural markets. I think, as a result, there was an urgency to get short -term revenue growth, which lead them to spend more money on discounts and promos, then on marketing investments on platform .

So, some of the marketing investment dollars moved from on-site marketing to promo spent. I think that's probably a short -term impact that should revert hopefully, in the medium term.

I think Falguni covered the bit of our own ed brands discounting and finally, o ur retailer margin being impacted by partner brands, I think the short answer is no , in terms of product margin that we receive from our brand partners. These are long -term contracts which t end to be anywhere from three to five years and tend to be renewed at the end of that period of time. So, no impact on retailer margin on that front.

So, I hope I answered all your questions.

Vijit Jain My second question is just looking at the marketing spends for you guys in the BPC segment , I know, this is a seasonally strongest quarter for business activity, everything for you guys. So, there's a seasonal Q oQ uptick to be expected, but it just looks from a YoY perspective also up quite nicely at 45 %, 50%. So , should we read that in conjunction with your comments on how competition was behaving in the own ed brand space or is there more to it?

Anchit Nayar So, discounts are not captured in this line item . So, I don't think it's got anything to do with our own ed brands promo strategy to compete against competition . What I would say is that, as we said in the past, we're very strong believers in category expansion. If Nykaa doesn't continue to invest behind growing the Beauty category in India, the n really , I don't know who will take on that initiative. So , we feel strongly that as a large beneficiary of this category, as a large player, it is important for us to continue to grow the ecosystem and events such as Nykaa land, but many mor e, we just showed you one example of Nykaa land, but there are other such events, which we host throughout the year, which are category building initiatives that of cours e, do carry some amount of cost alongside that and that is showing up in the marketing expense line item. That's one .

The second, and probably the largest share, of course, is our strategic focus on customer acquisition. So, for us, a new customer acquisition is a strategic priority, and we definitely push the pedal on that in Q3 . Given that it was a festive time, given that we were seeing good tracti

on, we wanted to invest in new customer acquisition . As we go into, obviously, a new fiscal year, we want to be aggressive on acquiring those new customers into the Beauty world, which we are helping to create the market. So, we also want to ensure we are capitalizing on those customers and acquiring them early on.

So, I think the increase in marketing expenses is a combination of the two , customer acquisition spends, and as well as category building initiatives. But if there's anything else even Ganesh or Falguni would like to add , please feel free .

Vijit Jain Yeah, and just for my last question, I suppose, as you look forward into the calendar year 2024 or FY25, c an you talk a little bit about where do you want the overall business margins to kind of go ? Is there a target or is there any kind of a guidance you can give on those trends? That will be extremely helpful.

Falguni Nayar I think it's too forward -looking for us to be able to address like that , but I think you can see how we are trying to manage all our elements of both margins , as well as cost developments .

Moderator The next question today comes from the line of Vivek M.

Vivek Maheswari Hi, good evening . This is Vivek Maheswari from Jefferies. C ontinuing with the questions on BPC, Anchit just to get it right [inaudible], the gross profit margin quarter -on-quarter or year - on-year , which are down about 60 basis points . That is essential because of own ed labels . It’s not because of [inaudible]

Anchit Nayar Sorry, Vivek but I think we're l osing you . If you don't mind just restating the question, if you don't mind . I think you're cutting in and out.

Vivek Maheswari I'm sorry. Am I audible now?

Falguni Nayar Yes.

Vivek Maheswari Sorry about that. So , Anchit, my question is this 60-basis points quarter -on-quarter or year -on-year decline in gross margin [inaudible] that's only because of your own b rands and this has nothing to do with the 3P brands on the platform? Is that understanding, correct?

Anchit Nayar So, I didn't catch the entire question , but I understood that it's refers to the roughly 60 basis point decline in the gross margin for the BPC business. What I wo uld say is that, as I mentioned in my answer to the previous question, some of that is coming from large mass and masstige brands moving some of their advertising spend away from advertising and into the promo bucket because generally consumer companies tend to have one large A&P budget and the use of the proceeds, the use of the cas h, is fungible between either advertising or promo spend. As I mentioned, given the other pressures they're facing in other parts of their business and markets, there has been a slightly higher emphasis on promo spend than on advertising in this past quarter.

So, some of the impact is because of that . There is no real impact of the consumer brand. I think you can look at our own ed brands . They have , in fact, gained a little bit of share year -over -year in terms of their contribution to our business. So , that is not really the impact that is playing out here. It's mostly , as I said , just some softness on the marketing income this quarter.

Vivek Maheswari Okay , Anchit because Nykaa is a 1P platform , so [inaudible] buy and sell it or b ecause it's a 1P bid. If brands are discounting more, do they actually adjust it so that it goes out of their pocket and not your pocket, so that you [inaudible]? How does it happen in the [inaudible] real world ?

Anchit Nayar So, again, I think I caught some parts of the question, but yes, we are 1P model , but, as we've said, historically t

hat for Nykaa , retailer funded discounting, we believe , is very short -term approach to doing business and it's not the right thing in the long -term if you're looking to grow the category and to drive, what we call i s the art of retailing, which is our core focus . It's short -term gain , but w e think longer term, it attracts the wrong quality of customer, and it drives the wrong type of customer behaviour .

That being said, of course, if any of our brand partners would like to pass on discounts to the consumers, that is totally their decision, and t hey do . So, if there is a discount that the brand wishes to pass , that is passed directly on to the consumer . There is no role that Nykaa plays on that front.

Vivek Maheswari Last question , 23.8% contribution margins in BPC, which is a [inaudible] quarter low . Do you think the mar gins have bottomed out at this level?

Falguni Nayar We can 't hear your questions. I think maybe we can give chance to others , if they 're in the queue. Maybe we can connect offline.

Anchit Nayar Yeah, if you just type it in the chat box , if you're having some connection issues, we can address it maybe a little bit later.

Moderator The next question today comes from the line off Nihal Jham. We do request that each person introduce themselves and their company name. Thank you.

Nihal Jham Hi, good evening . Am I audible, first of all ?

Falguni Nayar Yes.

Nihal Jham Thank you so much. This is Nihal Jham from Nuvama. My first question was on the BPC bit itself. If I look at the contribution margin for the BPC segment, over the last couple of years, obviously the lever from fulfilment expenses come in. Just wanted to get a sense that where do we see this contribution margin stabilizing in the longer term and what will be the future levers to achieve that?

Anchit Nayar So maybe I'll. Yeah, go ahead.

Falguni Nayar No, I think these are very healthy contribution margin . I think we will continue to work towards improving certain components, if we find the ways to improve it, s ay if there is ability to improve fulfilment expenses . Even from here, we will definitely capture that , but I think one trend is clear that we would also like to invest more in marketing and buildin g and driving the category adaption , as well as all that Anchit has been saying so far. So, like, you saw that marketing expenses have also gone up over the last year .

So, I think there is no desire to keep improving the contribution margin, but to grow the category and improve the prospects of the business . Anchit, a nything you woul d like to add.

Anchit Nayar Yeah, no, I think you summarized it well, which is the priority number one for the B PC segment going forward will be our growth because we feel that we've managed to deliver a pretty healthy contribution margins , but we're incredibly optimistic and excited about the opportunity that exists in Beauty in India today — the kind of focus that India is now receiving from global beauty brands, the kind of customer behaviour , which we are witnessing , the kind of premiumization that the market is underg oing. So , we feel there is no time like the present to continue to reinvest in the business. I think that's priority number one will be on driving more customer acquisition , bringing more customers into the world of beauty and also there is obviously cost associated with retaining our customers and driving more customer delight.

So, investments by us on obviously customer acquisition and retention , but also on customer service, as well as fulfilment . I think it's imperative for us to continue that and you will see more of that to come.

We feel that growth is priority number one, but of course , if there are efficiencies that we could find across fulfilment , across marketing that will 100% be done , but also those proceeds will be reinvested and continue to drive outsize growth and growing the overall Beauty market.

So, we feel that way the contribution margin today is probably a healthy place for us to be in the short to medium term. Of course, longer term is things like generative AI and other tech automation capabilities play out . You could , of course, see meaningful savings across fulfilment and marketing, employee cost , etc.

P Ganesh And, to add is that the contribution margins , which you have been seeing at present, they are in line with the historical trend that we have had. As Anchit mentioned, the fact that we have been able to bring in efficiencies on fulfilment , etc., over the last few quarters is also creating room in terms of our ability to invest behind the business, invest in customer acquisition, etc.

Nihal Jham Understood. Just one last question related to the larger business . I am assuming that based on the discussions that the priority number one across all the three segments remains , I'm assuming, G MV/NSV and margin would be lower in the pecking order , at this point in time . Would that be a right thought in terms of how we are looking at the business ?

Falguni Nayar No, we are not saying that the margins would be lower . We are saying that we are focused on the growth, and we will continue to invest in the business be it for market creation, be it even faster deliveries and delight to the customer s. So, I think what we are trying to say is that the objective right now is not trying to push the contribution margin higher.

Anchit Nayar Also, each business is at a different phase of its growth and its profitability, right? So , we feel that if you look at the contribution margin for the BPC vertical, it ha s increased by almost 300 to 400 basis points over the past 2 years. So , there has been significant improvement there and it's in a very healthy place. So, priority number one is growth.

I think if you ask Fashion , priority number one is also growth , but there , there is, of course, more work to be done on the profitability side . I think Adwaita spoke about the good work they've done in the past quarter.

So, I think obviously, both are important. The weightages between growth and profitability can be different for each of the business segments based on where each business is on its own journey.

Falguni Nayar I think at the consolidated level , based on improvement in other businesses like Fashion and eB2B, we will see that there will be greater coverage of costs, fixed costs and as a result, the EBITDA margin , at the consolidated level, we can be optimistic about , but it's not that we're going to try to maximize it . We're going to try to continue to invest in all the businesses and then try and manage for growth as well as profit ability.

Anchit Nayar I think the best slide to, if you go back to the NS V mix s lide over the past years, you can see that just 2 years ago, if you look at FY 22, I mean, BPC accounted for 8 3% of the total NSV mix and today, that number is 78%. So , despite the Fashion and eB2B verticals, which currently have a lower profitability profile, them gaining and increasing their mix of revenue to the overall business over the past two years, despite that, I think the consolidated profitability has held up. So , I think it goes to show you that Beauty' s profitability continues to remain healthy and Fashion and eB2 are not only ar

e they growing the top line faster, but they are also managing to turn corner on profitability and drive better margins.

Moderator Thank you. The next question today comes from the line of Percy Panthaki. So, please do introduce yourself and your company before asking you a question.

Percy Panthaki Hi, am I audible?

Falguni Nayar Yes.

Percy Panthaki Hello . Yeah, this is Percy Panthaki from IIFL. My first question is on the one of cost , that you mentioned, that is the GCC ramp up and the ESOP costs. They total about 60 basis points. So, one is - can you disaggregate the two?

Secondly, just wanted to understand how much of this will be recurring. Is it that there's a b ig ESOP charge out this quarter and then from next quarter onwards , it's going to be close to zero or will it continue at the same level as what it is this quarter? And a lso, the same question on the GCC investments? What kind of percentage of total revenues do you want to sort of cap the GCC investments at so ? This is my first question.

Falguni Nayar I think , Ganesh, you want to explain the first.

P Ganesh Yeah, so Percy as far as the ESOP costs are concerned, the cost which has come into the P&L this quarter is about a Rs 7 odd crores . While this will be a continuing cost, given the way ESOP reporting happens over the next three years, this will be gradually tapering down. So that's the way this cost will progress . It will be a continuing one, but it will taper down over the next three years.

As far as the GCC costs are concerned, we should bear in mind that there is a store's rollout plan etc. , which is happening , as far as GCC is concerned , so these are the initial costs , about Rs 3.5 crores the amount and this would vary going forward, depending on how these store roll out happens

Percy Panthaki My second question is on the BPC NS V growth, which is over the last 2 or 3 quarters sort of around that 20% mark. Before that, it used to be closer to the 30% mark. Even in our analysts meet, I think the expectation for 5-year CAGR was somewhere in the region of about 27% or so.

So, in light of this, I wanted to understand what is the reason why the growth has dipped by about 10 percentage points and also why basically, it's dragging below our sort of medium - term aspirations. I understand the discounting part, to some extent , but do you think that this goes away in one or two quarters as the discounting under rises? Then if the GMV growth is like 24 , 25, we see the same NSV growth, or do you think that there will still be pressure on NSV for some reason ?

Secondly, just wanted to understand in context of, if we see the consumption space, there is pressure at mass and consumption FMCG products, etc. , but your average ticket price per item is in the region of about 300 rupees, which is like the top decile of the entire FMCG space. That space really, if I look at not only FMCG, but any other premium consumption space, we have not seen any kind of slowdown. So, in light of this also, I wanted to understand how the slowdown has happened over the last two, three qu arters.

Sorry, for the long question . I hope I've been able to try and convey what I'm sort of trying to get an answer to.

Falguni Nayar Sure, I think I'll address it and then I'll ask Anchit to chip in. So, I want to say that, at no point, are we s aying that Nykaa' s premium customer is affected by what is happening in terms of the rural slowdown . I don't think that's what we have said .

I think we are saying three, four things. The first and foremost, what we are saying is that (and I think we said that earlier also) tha

t currently the e-commerce , the Beauty online growth is slightly below the long -term average. That is a post -COVID phenomenon where customers were very happy to be out and about and shop more in physical retail. So , there has been a little bit of a sub optimal growth in online BPC, and we believe that that will correct going forward. So that's first point number one.

Second point is that from the perspective of discounting, yes, the brands have had to discount because they've had channel adversity in other channels. As a result , to chase growth, they are doing higher discounting to deliver on their growth targets as a whole. That is why the difference between GMV and NS V growth is coming. Because if the brands want to pass on the discount to the customer, that's what is reflected in the NSV. You're totally right that the current discounting is at a high level , which cannot sustain in the long run. It is bound to stabilize or go down also in future but definitely cannot keep increasing from here .

With that , if Anchit wants to comment on any additions.

Anchit Nayar No, I think I think you covered it. Look, I think we were coming out of a pandemic when obviously e-commerce had grown very rapidly and taking share from physical retail , so some of the normalization is what's been playing out and there has be en a healthy return to physical retail, which is good for us. It's a benefit to us because Nykaa also has one of the largest networks of physical retail stores in the country.

However, as I showed you earlier in the deck, physical retail business for us is growing very well, but it's still only 9% of our overall GMV to our BPC business, so it's not able to move the needle as much. So, I think there's a little bit of normalization in the mix between online and offline. As a result, maybe the mid to long -term growth at 30% + for online is looking more like 25%, 26%, so there is a slight decline as some of that demand moves back into the offline space. Please remember that Beauty i s a category also that lends itself well to offline retail, as well. So, it's going to be healthy mix and the omni channel retailers like us w ill benefit from that.

But I would also like to stress on my other point, which I made earlier, which is that you mentioned some other discretionary consumer categories that may not be seeing a slowdown . I would also say that Beauty is different in the sense that Beauty is not a category which Indian consumers were historically familiar with. So , the awareness for the consumption of Beauty in India is still, as I said, one of the lowest in the world on a per capita basis. So , a lot of that work needs to be done. It's not an aff ordability issue. It's an awareness issue.

We always s ay the consumption of Beauty in India is a result of three factors. One is affordability , second is availability and third is awareness. I think the affordability issue is being addressed as the GDP per capita improves . Availability in Nykaa is bringing the best brands from all around the world in to the country , so that's being fixed , as well. Finally, the awareness needs to improve. If you look at other economies, the frequency of purchase of beauty products, the number of beauty products bought per customer is much more significant than India. So , it's an awareness issue that , again, we're working on th rough category growing initiatives like Nykaa land and of course, a lot more that we do.

Percy Panthaki One last quick question , if I might be allowed . Any comments on your market share amongst the BPC e-tailing space with some new competition coming up? Over a two-year period , are

your market share in the BPC e-tailing space constant or have they gone down?

Anchit Nayar So as you know, none of the other beauty e-tailers are listed. So, it's difficult for me to say with 100% confidence, but of course, we have enough market intelligence and enough understanding of the business . What I would say is that we don't think our m arket share has declined at all because of the new competition. From our understanding , some of the horizontals have been high single -digits, low double -digit growth for the category. The new entr ants still are very, very small and are not really impacting us from a market share perspective.

So our understanding is we have probably grown in line , if not slightly faster , than the online BPC market growth and so our market share is probably very healthy and in line with previous years, but as I said, also remember that we are also a very large offline retailer of Beauty and there we continue to take market share because we are expanding our stock very rapidly and becoming one of the largest networks of beauty retailers offline as well. So , I think in aggregate, definitely market share has proba bly improved year -over -year .

Percy Panthaki Thanks very much Anchit and Falguni. That's all from me.

Moderator The next question today comes from the line of Abhisek Banerjee . So please go ahead and introduce yourself before asking your question.

Abhisek Banerjee Hi. This is Abhisek from I-Sec. First question goes out to Ganesh . So, this infusion of equity into Nykaa F ashion , this is essentially a non-cash transfer, right. So basically, whatever was given in the form of debt is being converted into equity. Is that correct?

P Ganesh Yeah, that's right. Your understanding is right . While there is a Rs 150 crores equity , which goes into repayment of debt given by the parent company. So, in a sense, it is conversion of loan into equity - we're capitalizing the Fashion business.

Abhisek Banerjee Understood. The slump sale, there w ill be some kind of transfer, right?

P Ganesh That's right. Yeah, based on our valuation, which has been done by Grant Thornton and on that basis, that will be an actual c onsideration , which will get paid.

Abhisek Banerjee So overall, it is correct to think that probably the contribution margin of the Fashion business will slightly improve after these changes .

P Ganesh Yeah. Again, when you look at the Fashion entity in terms of the fact that there will be a cash infusion, which goes into the Fashion entity, the overall profit profile of Fashion entity will improve to the extent of lower interest costs primarily.

Abhisek Banerjee Understood. That's very helpful. Now, Anchit, if I may ask a question on the growth aspect that you were talking to and one of the earlier callers also alluded to . It is with regards to where you see the growth really coming from. Basically, just to say, say this quarter, you saw faster growth in the premium side of Beauty , right? So, do you think that is a more sustainable trend? Do you see the premium side growing faster ?

Also, in terms of customer profiles, I believe you already have an exposure to slightly more premium customers . So, whom do you see really buying more? Are there more premium customers buying more or do you really see growth from the value customers that you have?

Anchit Nayar So maybe I'll start with on the prestige /premium side . As I said, today, prestige /premium is less than 10% of overall BPC spends in India , so it's very under indexed. This will continue to grow, and it will continue to grow at a rate faster than mass and masstige because mass a

nd

[indiscernible] brands are very, very well distributed and are already at a reasonably large scale, if you at least l ook at a few of the large ones across India . So, the premiumization of Beauty is a trend that's happened globally, especially if you look at China over the past 15 years and India has not even begun that trend yet.

So, the premiumization of Beauty will happen and Nykaa is well placed to be a beneficiary of that because, as you mentioned, we do have a large percent of the premium consumers in India today are currently Nykaa shoppers. However, that being said, we also have a very large base of non-premium and non-prestige shoppers. In fact, that is a massive opportunity for us to continue to acquire customers in the country because today's value shopper is tomorrow's prestige shopper.

As I said, it's not really an affordability issue . It's more of an awareness issue. That's the work that Nykaa does . Once we acquire customers, our ability to use CRM and CLM capabilities to improve the unit economics , improve the annual consumption value of our customers , improve the averag e order values of our customers is quite meaningful. We've always said that our repeat buyers tend to have higher average order value than our new buyers. So , that's work that we're able to do once we acquire the custo mer.

But I think the biggest opportunity , again, I'll say it again , even the existing Nykaa customers today, even if they're shopping premium products or the shopping value products, they are still under indexing in terms of their frequency of purchase , their number of items in a cart or their category with their annual consumption value is still compatibly lower than what it could be. So, you will see ACV of existing customers improve if we do the right things as a company and you will see a lot of customers who are currently not shop ping Beauty at all .

You have a lot of Personal Care shoppers in India . India has historically been a Personal Care market , but if you look at other comparable markets, today's Personal Care shopper is tomorrow's Beauty shopper , so there is a large number of consumers who will come into the Beauty funnel. Again, that's Nykaa' s responsibility, ac quire these shoppers and sell them more beauty products. So , bringing Personal Care and no n-Beauty buyers into the Beauty shopping funnel is a massive opportunity. There are millions and millions of customers who currently are either b uying Personal Care or other lifestyle categories who are not consuming Beauty yet. So that is also low hanging fruit for us and that's where a lot of invest ment in terms of new customer acquisition will go.

And a s I said, existing customers will be encouraged to shop more frequently and shop more items per cart. That will be driven by a lot of the repeat customer mechanisms that we have in place.

Abhisek Banerjee So you actually also touched upon the theme of the next question that I wanted to ask you, which you kind of briefly spoke about how awareness is the issue, not affordability. I think that really ties well with the statement that you and Falguni made on the fact that you think that contribution margins for the B PC business are at an opti mal level. So, does that really mean that the additional gains , which you would be getting in the contribution margin due to scale , that will be reinvested into advertising and maybe more events like Nykaa land, which we saw? Is that the thinking ? Just trying to understand .

Anchit Nayar Yeah, I can s ay in the medium to longer term, I don't want to give guidance in terms of will all efficiencies and savings be reinvested in marketing, but we think short -term , definitely there is a massive opportunity for us to do category expansion work and that's where we're spending some of the money. The remainder is, of course, on, as I said, the millions and millions of shoppers in India who are shopping online, who are comfortable with using digital forms of payment, who are shopping large ticket items in other discretionary categories but are still not buying Beaut y. There is tremendous opp ortunity for us to acquire those customers and do a lot of category awareness work on them.

So, I think in the short -term , yes . As we said, we are very early in our journey in terms of total number of transacting customers on our platform . It is still small compared to the opportunity in India. So, there is a lot of investment and a lot of work , which we plan to do to bring more customers onto our platform.

I think the advantage that we have is 10 years of being in this business, we have tremendous, we feel , brand equity in the market . We are recognized as thought leaders and almost be synonymous with Beauty by the consumer s. So really building upon that good momentum a nd work we've done over the past 10 years, as opposed to starting from scratch and trying to build legitimacy from scratch , I think that's something that we have our work cut out for us, but of course there is investment to be made and time to be giv en to this strategic priority.

Falguni Nayar Anchit, I don't know whether you spoke about CSM S, but when we did the education on CSM S as a routine - cleanser, serum, moisturizer, and sunscreen, I think what we found was that the growth in sunscreen , as well as serums on our platform , was in excess of 60 % to 1 00% . Like on serum 60 % - 65% year -on-year growth and sunscreen was 100% year -on-year growth.

So, I think a very wide education needs to be done to create the demand. We are believers that per capita consumption of Beauty can go from $15 to $50 with increasing per capita income. Affordability is not an issue but it's the knowledge and education that is important . Nykaa has done that from day one to grow the market.

Abhisek Banerjee Adwaita, j ust one question to you also. So amazing improvement in the Fashion business as of now. Just one question tha t I have is on the new sneakers business that you seem to be getting in. My understanding is generally globally it is a more male centric kind of product category. Do we really have the kind of customers or consumers on our platform who would really be looking for sneakers or are we trying something different here ?

Adwaita Nayar So couple of thoughts . First is no , I feel that sneaker is a great opportunity for women , as well . We see that it's growing incredibly fast already with the category that we have on our site. So, I wouldn't say that it's just a male dominated category . I would say that there's potential in both genders for this to be a significant play.

Secondly, I do also see it as an initiative that will help us acquire more male customers into our business and that too with the right type of product, which is premium sports and sneakers. So, to answer your question, I think one we will be able to serve our existing customers better . They are most definitely interested in these products. If you look at all the women around you, they are wearing Nike, Puma, Adidas and so forth on their feet , but it also allows us to attract the m ale consumer with a very co mpelling offering and through this we'll

have some assortment , which no one else in the country has . So, we hope to capitalize on both.

Falguni Nayar Also, we have both men on our Nykaa Fashion platform , as well as we have Nykaa Ma n, as a platform, which is also growing nicely.

Abhisek Banerjee So, this could be a hook to get in more men into the platform.

Falguni Nayar Yes, also .

Abhisek Banerjee Just one last final question on the eB2B business. I saw that you have created a warehouse footprint , which is quite spread out , but generally in this kind of a business , the traditional thought process is to g o by a cluster kind of approach — build scale in one cluster through higher density and then s cale up. A ny reason why you are taking this approach?

Falguni Nayar I think we wanted to build a national scale to be relevant to our brand partners. We are achieving that with this network, and w e may go to few more because I think our intra state is what is clearly necessary here , at least minimum and then also certain radius around the warehouses is all very critical to success. These have been carefully chosen from that perspective. There will be few more warehouses , going forward, like at least one per state, but it will also superimpose on already existing warehouse network that we have for our e-commerce business, which also by now is in every state pretty much.

So, for us, it's not so — I mean, we’re not a start -up compan y. So, we have a lot of investments already made, which can plug and play into this to do the section. So, like some brands we may receive inventory in larger warehouses and then send it to the smaller warehouses. So , I think what works for Nykaa is very different than from a total start -up company.

Moderator The next question today comes from the line of Kapil Singh .

Kapil Singh Hi, good evening. This is Kapil from Nomura. Most of my questions have been answered . Just wanted to check — what are the growth trends we are observing currently in the key segments? Is there any i mprovement that you're noticing or are they fairly similar to what you saw in the last quarter ?

Falguni Nayar So I think without sounding too optimistic, I'd like to point out that the global CEO of every beauty company has visited India over the last six to nine months. So , I think Indian market has become a very promising beauty market for global companies, where from earlier ranking, maybe in top seven or eight, it is starting to rank in the top five markets, sometimes top three, from importance perspective. So, I think also Indian customer wants best of what the world has to offer because of socia l media. So, I think now the challenge lies in of course, companies like Nykaa put in place very effective supply chains, very effective network already in place, like our store where store network is only 17 4 stores in 64 cities, and we will take it to 100 cities that before you know it will be at more than 250 store networks . So, I think we've created the networks that it's possible for these global brands to leverage.

That's why we keep harping on education , but I think th e trick lies in more and more education. I think Nykaa land and we do a lot of beauty bars now. We do a lot of in store master

classes for the customers. There's a big, big emphasis on education, so that we can grow the category demand.

Like take a little bit of a far seat and you see the number of people who are trading stocks, if you see the number of people who are flying airlines, domestic airlines, the se are all very large numbers. I think why Beauty consumpt

ion can’t be at that level . It's not a very large ticket item . It is a very small ticket item and it's a very affordable item for most consumers. I think the Indians have not been very enthusiastic about Beauty and Personal Care consumption. I think the Beauty and Personal Care industry is very underdeveloped in India compared to globally , like I keep pointing out every time . Fashion also is five times the entire Beauty and Personal Care market.

So, we think that there is a work to be done and Nykaa will continue to do that work and of course , a lot of beauty and personal care companies will also do the work , like you're aware that Hindustan Unilever have a beauty specific focus rather than just the personal care. So, I think more larger companies in the world are joining the bandwagon. Like L’Oréal Luxury , which was L’Oréal Luxe, which was not present in the country is entering with already Lancôme and more brands, like Urban Decay to us and the y came into CeraVe . So, we do see the big companies investing in India opportunity and together all of us being able to grow the market to its rightful size and scale.

On the Fashion , I think what I would like to point out is that we are just a four -year business , which sometimes people forget. There's a lot of assortment growth at this early stage and with every passing year, we are bringing new assortment that makes a platform more complete and improves conversion and customer stickiness to the platform. That same will continue over the next couple of years. Footlocker is one such effort in that direction, but there will be more. I think through that process also, we feel very excited about what possible future lies ahead. I think marketing costs, if you can bring it under control, then that means we can afford more investment in the business.

Kapil Singh Just one small follow -up on this Adjusted EBITDA margin that we have reported. Could you tell us what was the adjusted EBITDA margin, like -to-like for Q2 of FY24 or Q3 of last year so that we can understand what you're trying to convey here ?

P Ganesh Just to clarify, these are ESOP costs, which have kicked in now. So also, as far as the GCC spends are concerned, they are kicked in now . Since it's coming for the first time , that's the reason we have highlighted. So, while there have been past ESOPs , etc ., there's been a grant , which has come in now and given that it is sizable at around Rs 7-odd cro res and coupled with the GCC spend, which is about Rs 3.5 crores it's a sizable amount. So that's the reason we have flagged it .

Kapil Singh So we will be reporting this adjusted EBITDA margin every quarter from now onward or this was just highlighted for this quarter ?

Falguni Nayar We just highlight just for this quarter, so that you could understand . I don't think we want to create too much of s pecial reporting every quarter. Just to give a colour

Kapil Singh Thank you and wish you all the best .

Moderator Thank you. That was the last question we can take today . You may reach out to Nykaa’s investor relations team for any additional queries. I'd now like to hand the conference over to the management team for closing remarks.

Falguni Nayar Thank you very much, Team Morgan Stanley, for , as usual, doing a brilliant job and facilitating excellent interactions. I hope we’ve satisfied all the participants. Thank you very much for all the participants for being on the call and pretty insightful questions . I hope we've been able to provide answers to most of your questions but otherwise, please reach out to us separately.

Thank you.

Anchit Na

yar Thank you very much.

Moderator Thank you, everyone. On behalf of Morgan Stanley , that concludes this conference. Thank you for joinin g us and you may now disconnect.

Call: Jun 2024

FSN E -Commerce Ventures Limited

Registered Office : 104 Vasan Udyog Bhavan | Sun Mill Compound | S . B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6614 9696 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136

May 27 , 202 4

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir,

Subject: Q 4 FY24 and FY2 4 Earnings Call Transcript

Please find enclosed the transcript of the Analyst / Investor Conference Call held on Wednes day, May 22, 2024 with regard to the Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31 , 202 4.

This intimation is being submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking You,

Yours faithfully,
For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Transcript

FSN E -commerce Ventures Limited (Nykaa) Q4FY24 & FY24
Earnings Conference Call

Garima Mishra: Hi, good evening, everyone. I am Garima Mishra, Internet sector analyst from Kotak institutional equities.
Welcome to F SN E-commerce Ventures Limited ’s Q4 F Y24 earnings call .
From the management at Nykaa we have :
Mrs. Falguni Nayar, Executive Chairperson, M D and CEO,
Mr. Anchi t Nayar , Executive D irector and CEO , Beauty E-Commerce ,
Mrs. Adw aita Nayar , Executive Director and Co-Founder, CEO , Nykaa Fashion,
Mr. Vishal Gupta , CEO Nykaa Distribution ,
Ms. Rozita Noro uzi, CEO Nysaa , and
Mr. P Ganesh , CFO
Before we start, we would like to point out that some of the statements made in today's call may be forward looking in nature, and the disclaimer to this effect has been included in the earnings presentation shared by the company earlier. Please note that this call is meant for investors and analysts only . By participating in this event, you consent to such recording , distribution and publication. All participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation from management concludes . With that , Falguni over to you for opening remarks.

Falguni Nayar: Thank you very much, Garima . It's a true pleasure to be here today and speak to everybody on the call about N ykaa's fourth quarter results. Also it's the end of the financial year and hence also the full year results for financial year 2024. So, I think I'll start with the first page on the performance highlights.

So, the Q4 performance summary for the Consolidated business shows that our GMV has grown at 32% year on year growth and is currently at Rs 3,217 crores for the quarter. That's fantastic growth, considering how the market has been in the fourth quarter. So really, at N ykaa we are very happy about the growth that we've seen in the GMV for the entire business . Revenue from operation is also grown pretty solid, and it's grown at 28 % on a year-on-year basis, and for the quarter it has come out at Rs 1,668 crores. This has resulted in a healthy growth of gross profit to Rs 710 crores for the quarter and the margins have come out at 42.6%. What is very interesting is also below that line , EBITDA at Rs 93.3 crores for the quarter is a 32% year on year growth and the margins are at 5.6% and on an adjusted EBITDA basis , what we'd like to highlight is that adjusted EBITDA has come out to Rs 112.2 crores. That's almost 56% year on year growth with the adjusted EBITDA margin s at 6.7%. I will explain little bit about what we mean by adjusted EBITDA . The difference between

EBITDA and adjusted EBITDA is on three counts, one being the ESOP charge, second, being our investment in GCC throug

h Nysaa , which is a new business that we have started, and third being some amount of corporate restructuring that had taken place during the year in terms of moving some of the assets within the group, and certain amount of stamp duty charge or restructuring charge on that account is included in that. Albeit it's a small amount, but it is indicative that the base business is showing strong growth momentum in margin improvement which has come out at 6.7% , if you were to consider it from an adjusted EBITDA perspective . At the profit before tax level that has come out at Rs 19.6 crores , which is about 126% year on year growth with margin s coming out at 1.2 % and finally PAT at Rs 9.1 crores , is almost a 298% year on year growth . So overall , very happy about a strong quarter that Nykaa has displayed at the Consolidated Level, and all of you will be able to see that each of the businesses have fared also well.

Moving on to the full year performance, Full year’s story is similar albeit fourth quarter is stronger than the full year, which means that our growth has accelerated in the fourth quarter, as well as our profitability improvements have also accelerated in the fourth quarter. So on a full year basis, the GMV has come out at almost Rs 12,446 crores , a 28% year on year growth, revenue from operations at Rs 6,386 crores a healthy 24% year on year growth . Gross Profit for the full year at Rs 2,739 .2 crores, which is 20% year on year growth , margins at 42.9% . EBITDA for the full year at Rs 346 crores , a 35% year on year growth . Adjusted EBITDA at Rs 381 crores 43% year on year growth, the adjusted EBITDA margin s at 6.0% instead of 5.4%, which is the non-adjusted EBITDA means declared EBITDA and PBT at about Rs 69 crores for the full year , again a solid 80% year on y ear growth with margins coming at 1.1 % and PAT at Rs 40 crores which is a 90% year on y ear growth.

Strong growth uptick across all verticals like I said . For the quarter BPC grew at 30% year on year, one of the strongest growths over last 3 -4 quarters. We are happy that we've been able to push the growth at this level through new customer acquisition, and there'll be more , you'll hear from it , when Anchit goes into the details. But full year growth was also healthy at 25% for the BPC vertical .

On the fashion vertical, the growth was at about 27%, both for the full year as well as for the quarter. So, the quarter was in line with the full year number. However, if you recall the first half of fashion growth was not so strong, and third quarter was a strong quarter for fashion growth, followed by a decent growth in the fourth quarter . 27% is a healthy growth, considering where the industry is and we are happy with the growth in the fourth quarter, though seasonally it's not one of the strongest quarter.

Other businesses which primarily include the superstore and Nykaa Man , and few other businesses like LBB. Superstore business has shown almost 81% growth year on year if you were to consider the fourth quarter and on a full year basis, it's about 84% growth. On the other vertical s again, similarly, the growth was 68 % overall for the fourth quarter and 59% for the full year. You can now see that the GMV of these segment s is also becoming quite significant with G MV for the full year at Rs. 835.3 crores which is a solid contribution to overall G MV activities for Nykaa . So, the diversification is

helping Nykaa address a larger TAM and stronger growth. We come to the next slide which is exactly seeing that. So why did we embark on this journey of adding more businesses which was with a clear view to increase the TAM that we were addressing. As you know, the BPC market was in India was 30 billion dollar s market with only 10 billion dollars being online BPC, that is, in 2027. So , in 2021, it

was even smaller. Organize d offline BPC is expected to be about a 9 billion dollars by 2027 and unorganized offline BPC will be 11 billion dollars . We wanted to be present in each of those, and that's why we focused on adding both the retail part of the business as well as Superstore to our mix of the beauty and personal care business. Similarly, fashion, we believe, is a larger TAM at about 147 billion dollars , 5 times larger than beauty in 2027 . We've said many times, and online fashion was as large as 49 billion dollars , and we thought that we had the customer , we had vertical commerce capabilities. We had many things with us to succeed in this business and that's how we decided to enter Fashion . Fashion now contributes about 26% of our GMV and it has been growing at 71% , If you look at 3 year CAGR. Other businesses also have been growing at 178% if you take 3 year CAGR. Latest to this diversification is entering the GCC market, which you can see is a 30 billion dollar market with much smaller population, and hence the per capita BPC consumption in GCC is at $500 per capita, and hence very different and attractive business for someone like Nykaa to enter. So, we remain very excited about entry into GCC along with a partner and the business in G CC is called Nysaa , not Nykaa , similar to Nykaa , but yet a brand of its own called Nysaa . You know, I think with that I would like to hand over to Anchit to talk about the beauty multi brand retail.
Anchit Nayar: Yeah, thank you very much. So , I'll kick it off with the first slide. I think, as FN mentioned, it's been it's been a solid quarter for the BPC multi brand beauty business that we have. If I look at GMV, we close d the quarter at almost Rs. 2,120 crores of GMV of which 79% of that business came from existing customers and 21% from new and this is a 30% growth year over year. So a full year growth of about 25% and Q4 at 30 %. So, both strong performance on a quarterly basis as well as on a full year basis. What's most exciting is to see the trajectory of growth improving as we come out of the year . It should go well. If I look at the 3 -year CAGR for the business, the GMV has grown at roughly 35 %. GMV for the full year is at Rs. 8,341 crores on a full year basis . In terms of visits , we have been investing in driving more traffic to the platform as well as to our physical retail stores, and we get roughly 286 million visits in the Q4 and this is a 24% growth over last year . Overall, we got over a billion visits. So , 1.1 billion visits to the platform which is quite a significant amount for the fiscal year ended March 2024, and that's about an 18% growth on a full year basis. If I look at our Annual U nique Transacting Customers , there has been healthy growth as mentioned. There has been significant investment in new customer acquisition towards the second half of FY24 and that's reflecting in the healthy growth in AUTC and our AUTC now stands at about 11.7 million which is an 18% growth on a full year basis as well as on a quarterly basis. Finally, coming to the number of orders 11.1 million orders were placed on the platform in Q4, which is a 27 % growth and 41 .7 million orders cumulatively placed on the platform for FY24, which is about a 20% growth . So, you know, as

you can see, each of our unique transacting customers are placing multiple orders on an annual basis on the platform, which shows a very high engagement rate and conversion rate as well. Next slide, please.
Anchit Nayar: So just to dive deeper into what were the key levers that enabled us to achieve this growth in Q4, as well as for the full year. As you can see, 30% growth in Q4 has been the highest growth for the BPC segment over the past several quarters , strongest growth actually in the past 6 quarter s. In terms

of what were those key levers? First and foremost, has been investment behind new customer acquisition and also ensuring that the metrics around the customers remains healthy across the funnel. Second is strong growth in our core categories of skin care and hair care and importantly, there has been a revival in the growth of makeup or color cosmetics . This was a category that saw slow growth first half of the year that has recovered nicely and has been a driver of this outsize growth. We're also seeing very promising growth from emerging categories, such as fragrances and bath and body. These categories are growing faster than the platform average, and albeit off a smaller base. But it's a very promising business for us. It is purely incremental business, it is us adding more items and more categories to the consumers cart, and they should go well again for growth as well as for customer metrics going forward .
Anchit Nayar: We had a good quarter in terms of new brand onboarding. There are some marquee brands which we added to the platform this quarter, which we will discuss in subsequent slides, and finally, last, but not least, there has been a healthy performance by Nykaa's owned brands as well. Some of which have grown faster than the platform as well and have taken market share .
Anchit Nayar: So just spending a minute on our Nykaa global store business. It's a business which we've discussed in the past but not in exhaustive details. So just giving you some more understanding

behind this particular business that we run within the BPC segment. So Nykaa global store is a distribution and retail business whereby we provide end to end services for international brands looking to enter the Indian market. These are brands who may or may not have the bandwidth and resources to dedicate to building out an India operation on their own. So , they give us the rights to import and distribute these brands. Today, we have 39 brands who are working with us through the Nykaa global store s through the import and distribution model. These brands are growing at about a 56% CAGR over the past 3 years, which is double the overall growth of the platform.
Anchit Nayar: What has allowed us to become such a n important importer and distributor for these brands in the country has been that we are in many ways a one stop shop for these go global brands. We help them with registration, compliance and logistics, market entry strategy, warehousing and operations , distribution both on platform as well as off platform , post order servicing and retention, and equally importantly localization and brand building through our marketing engines. It really is a 360-degree approach to helping these brands to establish themselves, build brand equity, and deliver revenue to them as they look to enter the India market.

In terms of our distribution strength. I think it is quite unparalleled in India context. Our nykaa .com website and app get over a billion visits as I discussed on a previous slide, and we have 25 million transacting customers till date. And these customers have a much higher annual consumption value than the India BPC average. So , it's a very engaged, sophisticated , premium shopper, which is of immense value to a lot of brands looking to come into India.
Second, not only is the app a very, very strong platform and attractive option for the brands, but couple that with having the largest specialty network of physical retail stores, 187 stores that our company owned and operated across 68 cities is a very large physical network that is of immense value again, to brands as they look to really build an omni -channel presence in India.
We also offer select brands access to our superstore business, which is a Nykaa distribution business. So , for the brands more on the mass and masstige end

of the spectrum , they get immense
value from working with our Nykaa superstore business to get access to over 1.95 lakh retailers across 1,000+ cities. We are also offering brands in Nykaa global store the ability to build EBOs on their behalf. So, build exclusive stores for them on their behalf as well as run, manage , and operate their brand (.com) websites. We're also open and able to distribute brands across third party online retailers if that is a requirement, or if that is the right distribution strategy for the brand.
Anchit Nayar: So, moving on to the next slide. This is just a list of all the brands which we are currently serving as importer and retailer for. So , you can see, it's quite an extensive list. These are some of the most well -known brands in the world. Brands like Charlotte Tilbury, one of the best performing makeup brands globally , ColourP op. Elemis , Fenty Beauty, elf cosmetics, Pat Mcgrath Labs etc. So , it's a very extensive list of very blue-chip brands that are trending in the global context as well. I'll just spend a minute on one of the key brand launches we had this quarter, and that was Fenty Beauty. So , for those of you who may not know , Fenty Beauty is a brand that is developed by a celebrity artist R ihanna in collaboration with the LVMH group. This brand launched in India exclusively with Nykaa in Q4. This is one of the biggest celebrity makeup brands in the world. Now you know what was the thought process behind Fenty choosing to launch with Nykaa in India. I think it's quite simple. We have a very successful track record of launching and growing global luxury brands in the country over the past decade. Second, we have the largest base of premium beauty buyers in the country, as well as the largest assortment of luxury brands. Third, we see ourselves truly as brand custodians. What that means is that we really help the brands to be locally relevant and to grow their business in a sustainable way, and not just based on discounts and price . We really help to build brand equity on behalf of our brand partners, due to a very strong marketing and content platform which we built over the years. And finally, it's the Omni channel distribution strategy which we're able to offer , coupled with being a very vertically specialized platform which beauty brands appreciate. As we are also well -versed in terms of the category in the country . In terms of the launch , the launch was in March of 2024 , it was a very successful launc h. We saw 30 x jump in searches for the brand on the

Nykaa app prior to launch. We worked with over 100 influences to create 100 million reach which is one of the biggest amplification campaigns we've done in a while and on launch day itself the brand became the number one brand on the platform and the number one in certain key subcategories like

Lip Gloss, L iquid Lipstick, Blush, and H ighlighter, etc. So big win and reiterating Nykaa's dominance and importance to global brands as they look to enter the India market.
Anchit Nayar: So, spending a minute on Stepification of Beauty, this is a big campaign which we are running. We believe that there are 3 factors that drive consumption in the category : One is availability , Second is assortment , and sorry , Second is affordability, and the third is awareness, and I think we all believe that the affordability gap is being solved in India as household incomes rise. We believe that availability is also being solved, as platforms like N ykaa make s access to beauty brands a lot more available in smaller towns and smaller cities. But the biggest gap is on awareness. I think the reason why India has low per capita consumption of beauty is because awareness is low, and we've been using Stepification , we've been using education and content as a way to really expand the market t

hrough driving more demand. So , in skin care, I've spoken about this in the past. We launched a 4 -step skin routine which we developed in partnership with dermatologists . It is a skincare routine that is tailored for Indian skin and that has allowed us to actually grow the category with from the India average for skin care consumption , which is only 1.5 items per cart , and ours has reached 3.5 because of this category expansion work we've done in the skincare side, and you can see, as a result of the education and marketing we did , both se rums and sunscreen categories have become very fast-growing categories on our platform as well as in the industry both growing at 35 % and 65 % respectively. We've done similar work on haircare and color cosmetics . In haircare , we're pushing our customers to adopt a 3 -step hair wash routine and not just a one step . We're calling that treat , wash , and nourish . On the color cosmetic side again, to drive a lot more consumption of subcategories within makeup , we have launched a stepification regime called prep, cover and set. And as a result, we're seeing some of the smaller categories that are being included in this certification routine are growing very rapidly, thanks to this education and content work which we're doing and it's reflecting nicely in terms of the consumption patterns which we're seeing from our consumers.
Anchit Nayar: Next slide, please. So , spending a minute on physical retail. You know, today Nykaa is the only truly scaled omni -channel retail er in the country. I've spoken about the size and scale of our online business, and I think it's equally formidable offline as well. Today, we have a 187 stores across 68 cities in India and over 1.7 la kh+ Sq. Ft. of retail space. Our physical retail business is not only growing rapidly and expanding the footprint, but it's also growing profitably. As you can see , this business , the GMV growth has been over 50 % over the past 3 years and at the same time managing to deliver 105 %+ growth on EBITDA, so, a very a good mix of growth and profitability being delivered by our physical retail business as well. One of the new stores we launched , just an example of how our new stores are getting revamped (plays video).

Anchit Nayar: I hope you enjoyed the video. I think the message we're trying to share is as there is an influx of many more global brands into India and choosing Nykaa as the partner of choice. We do need to have slightly larger stores and much more impactful stores. So , linking road this is the first new flagship model which we've launched, and you'll see more of this type of store to launch in the coming months and years. You know, for us our physical stores are not just a platform on which to sell product to consumers. It goes back to our mission of truly educating Indians and driving much more awareness about the category. We believe that awareness is finally the only piece that's missing that once bridge d will help to drive meaningful consumption of the category. And we've done. I spoke about the work we're doing online. This is some of the work which we do to our offline stores as well. So, allowing our brands to truly elevate the brand expression in store by doing shop in shops and also personalizing their own displays. Secondly, a lot of services in store, including a skin analyzer tool as well as a dry bar from Aveda , Dyson hairstyling and very, very well-trained beauty advisors were able to really recommend the right routines and the right products to our consumers. And finally, we do a lot of eventing across the country, especially in smaller towns and cities , where we host master classes and beauty bars where consumers can come and interact and learn a lot more about the category. And you can see from the videos that we get fantastic tur

nout from consumers .
Anchit Nayar: Next slide. Yeah. So , I just wanted to spend a minute on this , you know, I think, what we're seeing is India today is truly becoming a priority market for global beauty companies. They're realizing the potential that India has to deliver to them, not just growth, but also scale. And I think, given everything that happened in China over the past few years , There is a desire to de -risk and to find new avenues of growth. And India , of course, is first and foremost on that list. So , you know, we're very lucky at Nykaa to be seen as the trusted partner for all international brands, as they look to understand the India market, and as they look to set a set of operations in the country and to grow their business over a longer term , they realize that Nykaa is the right partner for them, because we

can truly help these brands to build meaningful equity and to grow the business in a sustainable fashion. And you can just see a couple of examples of some of our partners who've come to visit us over the past few months. We had the Unilever global CEO , Hein Schumacher, who visited us in January the Estee Lauder global CEO , Fabri zio, who was also here in October, Amoria Pacific chairman and CEO in February , Beiersdorf, Unilever prestige as well as L oreal . So, we are seeing that, you know for us we believe that what differentiates us from other retailers is, we see our role truly as a client servicing min d and we are here to serve our brand partners, and here to serve our customers. And I think our brand partners realize that's the approach we take to doing business and as a result, not only are we delivering meaningful business to them in terms of revenue , but we're also helping them to establish their brands the right way, and they see us as truly collaborative partners, and not just a transactional platform. So , this is very difficult to replicate as a dis -intermediate, because this, of course, is relationships and this track record has been built over almost a decade. In

the next slide , you'll just see a few more examples of other key brand partners and CEOs , who visited us over the past few months.
Anchit Nayar: Next slide, please. And with that I'll hand it over to Adwaita to take you through fashion.
Adwaita Nayar: Thanks , Anchit. So, in terms of fashion, quarter four's been very strong, and we've closed the quarter at Rs. 842 crore s GMV , that's a 27 % year on year growth . From an annualized full year perspective, F Y24 has closed at Rs. 3,270 crores and similar growth through the year at about 27%. Similarly, N SV has also grown at, you know, a similar proportion, 25 % for the quarter and 26 % for FY24. I think we've made considerable improvements for the entire financial year on, you know, returns , RTOs, cancellations. So , you do see our N SV to GMV gap narrowing year on year and that's also leading to a lot of goodness through the PnL. The third chart here on the bottom left is the annual unique transacting consumers and here you can see a 20 % growth for the, you know, full year, and FY24 has ended at 3 million annual unique transacting consumers. And from an orders perspective , quarter 4 had 1.7 million orders corresponding to a 20 % growth and the full financial year had a 7 million orders corresponding to 16 % growth. Moving on , the chart on the left shows the trajectory of the last couple of quarters, I think. You know. Q3 was extremely strong. It is also the festive season, and Q4 is generally a little bit slower than that. But in the context of the market, and what we're hearing from what the fashion growth has been in general, we are feeling quite good about 27% growth and we do feel we've taken share in Q4 as well . In terms of the right inside point we're trying to make is that we remain extremely commi

tted to our positioning. I've spoken a lot about in the past, the
positioning of the fashion business, which is very much focused on being premium being very curated, being very differentiated from any of the platforms that are out. Then we continue to lean into that.
Adwaita Nayar: The financial year has been all about focusing in on our strengths, which is women's Western wear, Indian wear , and some of these categories related to women like lingerie and active wear. And so , on the bottom right you can see that for these categories, we've actually outpaced the platform as well. So , we're sort of really focusing on the type of categories and the quality of growth that we want. A lot of these decisions together are leading to much better repeat behavior, conversion rates, and therefore profitability metrics which we'll see on this slide. This slide really tries to make the point that over the last couple of years we've really worked on the quality of the business that we have, and that's finally reflecting in the contribution margin, which is going up quite steadily. So, starting with the charts up top on the left-hand side to the top left you can see that the conversion rate which is ordered to unique visitors has gone up to 2.9 % up from 1.8 % 2 years ago. I think the next chart is the repeat behavior. So , you can see that 48% of our business in F Y24 came from our existing customers and we are generally seeing a lot of improvement in the cohort through this past financial year, and then the next 2 charts show the focus on costs. So , we're working towards bringing

fulfillment costs down and also marketing costs down. I would say the real highlight for us is this chart on the top right, which is marketing expenses so , you can see that there's been a significant decline in marketing expenses as a percentage of NSV and that is leading to a lot of the contribution margin expansion that we see in the chart on the bottom. So quite proud of the team for achieving the results on the bottom, which is the contribution margin expansion. So , year on year , the contribution margin has increased from 2.2 % in FY 23 to 4.9 % FY24 and actually the exit of Q4 is even higher at 5.7 %. So, in general, the trajectory of the contribution margin is upward from here and in the past , I have made statements about how you know, sort of the peak investment phase is obviously behind us, and really, with every quarter we're working to improve and increase contribution margin. You know, greatly on the back of marketing expenses coming down, which is the result of the whole proposition coming together quite well .

Adwaita Nayar: Moving on, we continue to, you know, focus on the proposition which I already spoke about, and as I've spoken in the past, we do have a couple of different initiatives that we work strongly on which is the global store, constantly traveling and bringing the best brands into the country. This business, again, has grown well , grown faster than the platform at 31% year on year growth. We have taken a conscious call over the last 6 months to also start building out our luxury store. So that's even more premium fashion than what we already offer. And we do think that this is a nascent part of India's consumption, and we want to be ahead of that curve. So , we've been onboarding aggressively in this space as well. And it's early days , but we do feel that a lot of future growth can come from this part of portfolio as well. And finally, the hidden gems portfolio, which is about those niche, homegrown Indian designers, and labels. We're creating incredible design s right out of this country, which again last year grew extremely well at 42 %, which was higher than the platform. So , you know, we talk about this, just to give you a little bit of color on how we're building the diffe

rentiation and proposition

through our assortment. On the right -hand side, we talk briefly about active wear . So, as you remember from last quarter, we have signed up the FootLocker deal for India, where we will be their online partner. And as we gear up for that, we're also getting really focused on building out our active wear assortment on the platform. And we're seeing a strong growth in women's active w ear on the back of brands like Under Armour , Alo, New Balance , and so forth.

Adwaita Nayar: Moving on, we'll next talk about our house of brands business. So , you know, I think Nykaa is sitting on some really fantastic assets when it comes to our own brands. So, we have a whole bunch of brands close to 20 across beauty and fashion, and some of them have actually become incredibly sizable over the last couple of years. So , dot and Key, one of the acquisitions we did a couple of years ago has now become a Rs. 500 c rores plus business . Nykaa cosmetics , our sort of flagship , you know, Cosmetics Brand with our name has become a Rs. 300 c rores business . Kay beauty, which is the , you know, B band that we own along with Katrina as a joint venture, that is again also hit over Rs. 150 crores and again in fashion , the brands were really finding great size and scale our brands like Nykd and 20 dresses. So , we're feeling very excited about this portfolio of brands that

we have, and we do feel that we want to lean into some of the ones that have already hit scale and really accelerate over the next couple of quarters. We think there's a lot of value to unlock for the consumers in this strategy and then, of course, we'll also work on our up-and-coming younger brands, which you see, towards the bottom of this page, and you know, by investing smartly, we're hoping to find a couple of winners from these as well.

Adwaita Nayar: Moving on . On this side , we talk about the Beauty owned brand side. So , this has become a Rs 1,000 plus core business, and FY24, with a 47 % 3-year CAGR , and year on year corresponds to a 39% growth. So again, very strong performance there, on the bottom of this first chart, you can see the contribution to the overall BPC GMV . So, over the last 4 years, it's increased from 10% to 13% contribution and Anchit a lso alluded to this that a lot of our own ed brands are growing very fast on the platform. On the right -hand side, we make the point that our own ed brands are not limited to just our platforms. So , you can see what portion comes from Nykaa online, what comes from like stores , but also, a significant portion comes from GT/ MT and other channels which include some other online platforms where we list. And so, you can see that, you know, as part of our overall strategy, we believe these are truly unique brands, and therefore they need to have distribution strategies of their own and some portion of that will be off the Nykaa platform as well, and we're leading into that distribution a little bit more.

Adwaita Nayar: So now, moving to fashion on the left -hand side, we can see that the fashion own brands business has now become a Rs. 400 crore s+ business and I think over the last 4 years a very impressive trajectory of a 100%+ CAGR and you know, that was just we started it from scratch a lot of brands took off and we're feeling very good about where this portfolio is as well, and on the right -hand side you can see similarly , there's a significant portion of this business that comes outside of the Nykaa universe as well. And then about 57% or so , that comes from within the Nykaa universe.

Adwaita Nayar: We now talk about 2 brands in specific as case studies. So , first Dot and Key, I did insinuate this, we do feel as one of the incredible success stories coming out of our own ed brands portfolio, and you can see in Q4 FY24, thi

s business has now hit an annualized GMV of Rs. 580+
crores and as of March, showing even stronger momentum and incredible growth, and likely to annualize it to Rs. 700+ crores . This business has been profitable for a while now since Jan '23, ensuring very, very strong customer retention metrics and we're now starting to lean into offline distribution as well for this brand. But in general , the kind of trajectory we've seen over the last 3 to 4 years is really what we feel, one of a kind where the business has grown 10 x in the last 3 years. Moving on, Nykd a brand we've spoken about in the past is one that we remain ed incredibly excited about. It's been just 3 years since launch, but this business is almost hitting Rs 200 cores annualized turnover in terms of GMV and it's hit this scale in really a very short period of time. We're seeing incredible retention metrics here. It's the number one lingerie brand on Nykaa fashion. It's the top 3 bra category on Amazon, and we're also leaning into EBOs , both, company owned as well as

franchise owned and operated and we are leaning into physical distribution as well, because we think there's a clear play in GT/ MT for this brand. This brand as well is profitable. So , with that, I'll hand - over to Vishal to take us through the superstore business.

Vishal Gupta: Hi! Good evening everyone. We had another great quarter for super store, and I want to land 3 messages. The first point is that we are scaling up really nicely. Second point, we are also very mindful of the quality of scaleup, which means that we are continuously improving the quality of our orders, so that the scale up is profitable. And thirdly, we are very conscious of our costs , and with scale going up, there is a significant improvement in our unit economics. So , coming onto our scale up and growth numbers, you can see from this chart that we had a 84% growth in our GMV , and it's now close to Rs. 600 crores in FY24, but a 120% growth in NSV, which is about Rs. 350 crores, and that is coming on the back of significant improvement in our pre delivery leakages by over 800 basis points, which just means that our quality of service to our retailers is improving, and therefore there are much less cancellations and therefore, we have better conversion between GMV to NSV. We have 75% increase in our transacting retailers. We have close to 2 la khs transacting retailers, and we are now covering greater than 1,000 cities. So , it's a good scale up on plan. We are growing nicely . As you can see from the left box that our order growth was also upwards of 70%. You can see the order numbers , but also, importantly, our quality of the orders has improved as measured by the size of the orders and the mix of the brands in each order. So , our basket size increased by 33%, and our AOV went up by 23% and within that we moved our mix towards our high margin brands so as to improve our margins through mix. Yeah, so the quality of our growth is also quite nice and you can see that as we grow, and as we become big, we are also able to get more ad income because we have more, you know, visits and footfalls in our app. So , you can see that our service income improved by 165 basis points, and now starts contributing significantly to our profitability. Our fulfillment cost comes down by close to 700 bps our S &D cost close to 600 bps and overall, our contribution margin improved by 900 bps, right . So, scaling up nicely, but scaling up in the right way with significant quarter on quarter and year on year improvement in our unit economics. And I just want to remind all of you , I had spoken about it last year that you know we will achieve 3 to 5% EBITDA profitability at scale and what does scale mean for us when I compare it at F Y24. Then if you see bottom left , in terms of qu

ality of orders, we are actually almost there because of the significant
work we did in FY24. And now we have a short journey ahead of us, which is 1.2x in terms of average order value, and then, you know, 9x in terms of GMV which is driven by 3x in terms of onboarded retailers, and 7x in terms of orders and just to remind you that last year these numbers were much more, but because our G MV doubled in FY24. Therefore, you know, we have covered a lot of our journey much more in quality of the orders, and a significant in terms of our physical scale. So , we are well on our path to, you know, profitable scale, which is 3 to 5% EBITDA . Yeah, over to Rozita for Nysaa .

Rozita Rashid Norouzi: Good afternoon, everyone. Hi. So, I start briefly about GCC market , a very promising market. Currently, the market size is at 30 billion dollars and we're expecting on a year growth and throughout the 10 % every year, and in terms of the beauty product per capita , each consumer is spending around $500 in this region, and a female population is around 40% with having 40% population under the age of 25. Perhaps it will, and it's good to mention in here in this region as per the records that we have from previous years, female customers are spending around $300 on a

monthly basis on beauty products. So , it's a very promising market which has a great potential and year on year is growing in this region. Next slide please.
Rozita Rashid Norouzi: Moving to the next slide , we have launched Nysaa in Middle East in in Dubai . Slide before, please , both online and offline in Jan'24 and in Mar '24 we officially launched a Nysaa store which has been an amazing launch, and we had so many viewers, so many reach out s. So basically, the stories already doing the retail business is already doing a really great business, and we have managed to onboard many brands which I will be taking through in the next slide. So , all the brands that we have onboarded for the past few months are all global brands we have partnered with. big brands, such as Coty, Kylie brand, which is an amazing brand in Gen Z. So , we have seen a significant interest among our customers, and the good news is that although the name is Nysaa in this region , everybody knows Nykaa and the customers coming to our stores, to our retail and online, and they all know that this is a Nykaa brand. We have seen a very, very great interest among all our customers, as I said, with 2030 vision in Saudi, and the great vision that we have in GCC, we see a great potential for Nykaa or Nysaa in this region. I pass it to Ganesh.
P Ganesh: Thank you Rozita and good evening to everyone.
P Ganesh: As we look back at the year gone by F Y24, we are continued to focus on profitable sales growth. Our BPC business has continued to grow strongly while newer businesses, which are fashion and eB2B, they h ave been scaling up really well while improving on contribution margins. So, as we can see on this slide , we have reported healthy growth on revenue both for Q4 as well as fully year growth of 28% for the quarter and 24% for the full year. And this has been achieved while also expanding on EBITDA margins, which have improved to 5.6 % versus 5.4 % for the corresponding period the previous year, on a full year basis as well as an expansion of 40 basis points. I'd also like to highlight that if we were to compare a EBITDA on a like for like basis, given the fact that again, as Falguni mentioned earlier in the presentation , we have had ESOP costs sitting in the panel, also the new business G CC costs have come in and also, the corporate restructuring cost. If we were to strip these out and look, look at EBITDA on a like for like basis, then for the quarter the like for like adjusted EBITDA margin s stands at 6.7% versus 5.5 % in the corresponding q

uarter the previous
year, and on a full year basis as well , adjusted EBITDA margin s stand at 6 .0%,
Going to the next slide. This is a snapshot of the P &L and this reinforces the point that on top of strong sales growth , EBITDA margins have continued to grow strongly, and this has also been aided

by leverag ing benefits which have started kicking in both on employee cost as well as on other expenses.
Now here we look at our vertical reporting, and, as we can see all the businesses have continued to perform strongly . In the BPC business, you would see with our focus on customer acquisition , there is an increase d investment in marketing costs and what we would also see that the contribution margin of both fashion as well as the other s vertical, which is primarily the eB2B Business , both have improved smartly during the quarter versus the quarter one year back.
Going to the next slide, Here we have a summary of the vertical performance for the full year FY24, which again reflects a similar position. If you look at fashion on a full year basis as well. The contribution margin has improved to 4.9%. The beauty business continues to perform strongly with contribution margin of 25.5 %, whereas the contribution margin for the others vertical has also improved significantly from -19.9% to -10.6%.
P Ganesh: Moving ahead , while the BPC business continues to grow profitably , the fashion and eB2B business have been scaling up significantly, as we can see in the bottom right chart. The salience of the eB2B business, which was less than 2% couple of years back, is already at about 7%. So, what this is doing for us is that the BPC business continues to grow profitably, and is quite profitable, whereas at the same time, on the back of improving contribution margins, both in fashion as well as eB2B, all of this is actually filtering in into the improved EBITDA margin s, and, as I just said, EBITDA Margin s, we can see there's a continuous upward progression over the last 3 years .
On this slide, we actually bring out the scale efficiency that that have started coming in. So, as we can see, both on employee expenses as well as on other expenses, there is a significant improvement which is contributing to the overall profitability, and after stripping out the cost around ESOP expenses, around the GCC, which is a new business, and on the restructuring. It says expenses on a like for like basis, that's where you see a flow down coming from 5.4% for full year EBITDA margins improving to 6 .0%.
Moving to the next slide, Here I would like to point out one factor, FY22 and FY23 were years of significant Capex investment for us and on the depreciation impact which you are seeing during this year, it's because of the full year impact of the investments in Capex made in the earlier couple of years. As far as net interest cost is concerned, with the IPO proceeds getting fully utilized, that's

where the net income on that front is on the slightly lower side. And that's where from a 5.4% EBITDA margin s, you see a flow down coming to a 1.1% in terms of PBT margins.
And as I was mentioning bulk of the Capex investments have happened between F Y22 and F Y23, as you can see on this slide . While physical retail stores, we continue to expand warehouse as well as office space has been more or less done. Again, the investments in F Y22 and F Y23 was in the back of coming out of Covid, where we had given up a lot of office spaces. So those pieces are largely

done which again you will see in the next slide where we can see that overall Capex is significantly lower in F Y24 versus what we have seen in F Y23. Also, what we can see on this slide is that while the investment in office space an

d warehouses, etc. has come down significantly, we continue to
invest in our retail expansion. Also , we continue to invest in tech capabilities .
To sum up the financials , we have a summary of the balance sheet and cash flow. You would see that the cash flows ; Operating cash has improved significantly in the current year versus the previous year, and that's also resulting in an uptake and improvement in many of the balance sheet ratios. Whether it is fixed as sets turnover ratio, whether it's working capital turnover ratio with improvement in inventory days and resulting in overall working capital days improving, as also ROCE going up on one Nykaa consolidated basis driven by the fact that the beauty business continues to perform strongly, and continues to grow on a large base, while the newer businesses have also been scaling up smartly, while also improving on contribution profit. Here I would like to just give an update in continuation of what we shared in the previous quarter. We had shared about the transition of the owned brand business of Nykd and Atleisure from fashion onto the parent company , which is F SN e-commerce after successful completion of this phase the board has approved the next phase, which is transfer of the Western wear and accessories business o f fashion, by way of slum p sale to Nykaa fashion. What this does is that it integrates the ownership of all own ed brands, eventually into the parent company . In terms of process , this would be similar to the first phase by way of a slum p sale. Also, as part of the overall streamlining activity , LBB, which is a content development company within the Nykaa fold is also being merged into Nykaa fashion so as to be able to draw synergies , whether it's on technology infrastructure as well as collaboration with brand partners. Thank you. With that , back to you, Garima .
Garima Mishra: Thank you, Ganesh. We will now begin the question -and-answer session. If you would like to ask the question, please raise your hand . Before asking the question, please introduce yourself, providing your name and your organization name . If possible , please switch on your video as well. Please limit yourself to a maximum of 2 questions, so we can accommodate as many questions as possible. We will wait for a moment while the question queue assembles .
Alright, we'll take our first question from the line of Kapil Singh. Please introduce yourself and ask your question.
Kapil Singh: Hi! Good evening. I hope you can hear me. Hi! This is Kapil from No mura. Thanks for giving me the opportunity . My first question is on the margins, you know, we talked about adjusted EBITDA margins. If you could just help us understand whether these items that we are talking about ; the ESOP expenses, and G CC business or other ex -corporate restructuring expenses , Are these non - recurring in nature and should we expect, they will not be there from next year, and also, how much is the revenue contribution from GCC right now?

Falguni Nayar: I I'll take the question. What I can say is that GCC , was literally launch ed in this quarter that we are talking about fourth quarter with the you know, website going live just in early January and the store going the official launch happening in March. So , I think the true results and revenue of G CC will start flowing in through this year, and as we progress in the year, we will share the information you know, with the investors. So , it's just you know, the business is just beginning, and we'd like to share that as that goes, we do believe that it can be a very significant business over period of time, because it's a market with a clear possibility and opportunity for a multi brand beauty retailer. And it's a market with high affinity for beauty, high per capita consumption , very rapid growth .

The profile of the consumers is also changing. And also Nysaa’s current launch has appealed to young consumers from all of the segments. So , I think early days to talk about the revenue, and the effort will be to give that information every quarter in a particular vertical called other s vertical, which normally houses new businesses. On the other question that you asked about ESOP, you know, obviously, like you were asking more about adjusted EBITDA . So corporate restructuring is a one - time cost. So , I would say that the difference in margins, which is almost 120 basis point s, about a third is clearly a one -time cost and non -recurring . The second one is ESOP , which is likely to continue at similar levels going forward, but a lot of companies highlight adjusted EBITDA after accounting for ESOP cost. So Nykaa , wanted to throw light on that. And the third one is GCC , which is obviously gonna continue. And we do believe that we can build this business. It's such a unique market that the business can be built in a manner with which there can be revenue and profits can materialize much faster than in other markets. But I think we'll throw more light on it on our annual day.

P Ganesh: Falguni mentioned the primary reason why we have shown this separately. Is that these elements were not there in the base. So just by way of reflection, in terms of the improvement which has come about in the base business. Again, as Falg uni mentioned, some of these elements are non - recurring, some other elements will continue in the future. But there's more to give visibility given that they were not there in the base.

Kapil Singh: That's helpful. And I would assume most of these elements are not there in the gross margin s. Everything is below the gross margin, right ?

Falguni Nayar: Yes.

P Ganesh: Yeah, that's right.

Kapil Singh: Okay , So, I mean, what we have seen for the year is, you know, we've grown at about 25%, and we have seen an 80 bps improvement in adjusted margin. So is that the kind of trajectory we're looking at in profitability every year, or you think it can be much faster as we move ahead.

Falguni Nayar: I think we don't like to predict the future. But what we can say is that we have seen our growth momentum accelerate in the fourth quarter of this year. I think the growth momentum has accelerated, partly due to , you know, strategies that Nykaa is putting into place in terms of more

aggressive customer acquisition, growth in many of the verticals , it is also coming from our businesses, becoming better with every passing year, and we getting better opportunities from the environment, like, we talked about a lot of new launches, a lot of exciting categor y growing initiative s that we are doing. So , it's a combination. Our technology continues to improve our personalization efforts and impact it has on our ability to grow business ahead of just the mere visits that we can deliver. So , I think there's a lot of contribution to that growth and we feel that we should be able to continue growth trajectory at a similar level is what we would aspire for . As far as the improvement and profitability is concerned , we do believe that the main a bit of margin improvement will come as our 2 of our new businesses, fashion and superstore business , they increase the contribution margin, you know, of both the businesses goes up from being small, currently, which we've shared, and it'll be there later but we share every quarter. So , it's quite small . In fashion , it's at about 5 to 6% level. It can gradually go up. And the main item that will where the cost will come down , besides many other elements. But one of the main cost -element would be marketing costs which can slowly and steadily come down over next couple of years and similarly , on eB2B also, which is, we

call, the superstore
business , there is a clear path to profitability and accretive margins.

Kapil Singh: And, just lastly, I wanted to check, you know, growth in fashion from existing customers was much stronger, I believe, than the new customers. And I think beauty also showed very strong growth from existing customers. So , what is driving this? And do you think that growth profile for the business can be similar in next few years, with their existing customers, have a lot more growth too often.

Falguni Nayar: Yes, Anchit , do you want to take this.

Anchit Nayar: Yeah. Yeah. What I can say is that it was a strong performance on both fronts, both new customers as well as existing. I think , we invested behind new customer acquisition this quarter, which is something which we'll also indicate in the past. There are many, many customers out there who are yet not shopping beauty online and Nykaa as their first destination for them to be introduced to the world of beauty. So, there is a lot of opportunity for us to continue to acquire new customers. I think we really accelerated that. And we saw the fruits of that labor play out in Q4 . Existing customers for us, you know, we've always said we have a very, very loyal, sticky consumer base of existing customers. We do a lot of CRM initiatives to ensure that our existing customers continue to interact and engage with the platform. You can see that from the sheer number of visits we get . We get over a billion visits to our platform annually, and that comes from you know. That comes from obviously much fewer visitors. So , the number of visits per visitor on our platform is close to 50 times in a year, so almost 4 and a half times in a month. So very engaged, repeat customer who is also increasing their consumption on the platform. with every subsequent purchase, there is an improvement in the cohort . So existing customers already being a large base, highly engaged we are seeing that they

continue to account for a li on share of the GMV . But that being said growing new customers is equally, if not more, important to us, and we are investing behind that.
Kapil Singh: Thank you.
Adwaita Nayar: Yeah. Similarly in fashion, I think. You know, actually, it was a serious effort we made over the last couple of quarters to improve the repeat rates. So , it's a lot of detailed work that's been going into improving every single part of the cohort. And this increasing share from existing customers corresponds to significant improvements in the cohort. So that was part of the strategy that we wanted to make sure that we were being able to get our repeat engines in place. Because I think at Nykaa we're a big believer that once you acquire the customer you need to make sure that they stick with you and deliver that long term value. So , we're feeling good about the mix actually repeat, and new and we sort of know that we can always pull the lever on accelerating new customer acquisition as well. But for us, we're always , you know, we kind of want all the metrics to move together. We want the repeat rates to go up. We want the new customer acquisition to go up, and we want the marketing expense to put come down. So , it's kind of a math and an equation that we're trying to do every quarter to deliver on the right mix.
Kapil Singh: Thank you very much.
Garima Mishra: The next question is from the line of Amit Sachdeva . Please go ahead.
Amit Sachdeva: Yeah. Hi, good evening, everyone, and thank you for taking my question. So , my first question is on, you know, gross margins, and I see, you know. Obviously , growth has accelerated in the fourth quarter, which is an excellent sort of , you know , basic acceleration, I would say Congratulations for that. But I also see that, you know , there's a gross margin journey for both at th

e
company level as well as I think, at the BPC level it has , I would say, come down YoY. So, my question is that, is it a deliberate strategy? Or there is something which is at the part of the mix, or more discounting, or something else, as going on, that is, either one off or sustainable in nature. If you were to accelerate growth. That's the kind of more normalized gross margins, or how do we see? Because I agree that the growth acceleration is much more respectable. But how do we think about it? But what cost It is coming and how we should think about the next year on that aspect ?
Falguni Nayar: I think I'll go from a marketing answer perspective, and then I'll ask Anchit to add if he'd like to. But what I can say is that you know from I think Nykaa has taken a call to pursue , you know , there was a time when, because the repeat customer behaviors were good, and repeat customer orders were growing , we were optimizing for overall revenue growth and not for new customer addition. I think clearly we've taken a call to pressurize equally for new customer acquisition. And at the moment , you know, we are saying that we will not, try to optimize for marketing costs, but grow both repeat customers and new customers at its individual pace of growth and that means some amount of investment is being made in new custom er acquisition, which is funded from , you know,

under the way the rules are, it's not. We are not able to put some of those expenses in marketing costs, and instead they go out from the gross margin line. So , there is some impact of that which is built into that also. The BPC segment is not just the pure e -commerce, but it is a combination of e -commerce physical retail, and our beauty private label brands. So , I think the number is very difficult to really exactly compare. It has influenced from a number of reasons. You know, new custom er; acquisition can impact it. Private label growth initiatives can impact it. And also similarly, you know , it is a combination of number of things, including advertising income, also.
Amit Sachdeva: Got it.
Falguni Nayar: But I think we do believe that it can. It's at a good, healthy level, and it can definitely sustain. And, in fact, obviously every company will try to improve it.
Anchit Nayar: Maybe to close out the point at the Consolidated Level, Amit , It's predominantly a business mix change as you saw the Other s segment is growing much faster than BPC and fashion segment, purely because it is a very large TAM, and it is coming off of a much smaller base. So as other s segment continues to grow faster than BPC, and obviously that B 2B superstore business has a lower gross margin profile that makes this kind of shaking out this way. But in the in the BPC segment in particular , as FN explained, it's 3 very different businesses online retail, offline retail, and own ed brands. and there is, some impact of that makes within the BPC segment. There is also some impact of, as we mentioned, there is a new customer acquisition. An investment that we need to make that

currently gets accounted for above NSV and not within the marketing expense line item, you know. So that is also playing a role. And third, you know, there is , you know, brands are choosing because of the muted demand environment. They have chosen to accelerate brand funded discounts which does come at the expense of advertising dollars right , because it's fungible for them whether they spend on discount or they spend on advertising. It's difficult for them to do both at scale. So, some money that used to go towards advertising is going has gone towards discount this year. I don't think it's a long-term trend. Brands do not like it at all. They are very keen to stop it, but they do need to see a revival in the overall demand outlook , not just on Nykaa for

that to for that to change.
Falguni Nayar: I just want to remind that the gross profit margin is improved sequentially for the beauty business in the fourth quarter, compared to earlier quarter , third quarter. So , we're seeing some revival. But I think it should be clear to all of you that we are upping the investment in marketing, which is up from 7.9% a year ago in beauty to 9 .0% now and overall , at the Consolidated Level also, it has increased from 1 0.8% to 11.3 %. We would like to see this extremely positively, because our marketing investment pay off quick within a very short term. So , we think this should be taken as indicative of a strength that we see in our ability to recruit right customer with the right profile with the right unit economics for us to feel so confident, to recruit at this level.

Amit Sachdeva: Thanks so much, FN, and I think that's I would agree with that. That's the right strategy. So , my related question, then, is that. Shouldn't we more double down on it, for example, you know, if I were to construct, a bit of simpler sort of analogy here that you are a business who's recruiting customers on behalf of every other branded that sales on the platform. And you do that by way of customer acquisition and marketing spend . In some sense, then brands should partner with you in recruiting those customers because they benefit from that. So , in some sense the advertising income is that a source of that spend indirectly or directly. So , what I was thinking was, is there another way to think about this, where advertising spends can be funded through, maybe co creation or value of some sort with brands that they need to also partner with you in that, and you double down on that investment rather than worrying about that investment. I would agree with that should be perhaps accelerated even more to retrieve, more consumer base. That raises the power of platform. So how do you think about that? You know, in terms of , you know, sourcing that money where the advertising, the , you know , marketing spend dollars comes from? And can it be passed on to brand slightly, more actively.
Falguni Nayar: It is being done. So , I think if you see the individual presentation in the beauty section we talk about talked about 3 big initiatives on CSMS , healthy hair habits as well as prep , you know , the makeup color cosmetic routine on , you know , Prep the skin and all of those had more than 200 million reach of the campaign, and led to pretty accelerated group of individual segments. So , I would say that we are doing exactly what you're suggesting and it's being accelerated clearly . This is the chart I was talking about and you can see the impact of it like sunscreen growing at 65% year on year on our platform, and as a result, a lot of sunscreen brands are also growing well in the ecosystem. You know the ones catering to this. So, I think there's a very big effort that Nykaa is doing, and we remain quite excited overall beauty consumption is so low that I think we could generate multi year growth and we don't see competition. We think that the market has enough play available to continue to grow it and benefit for as Nykaa as a frontrunner, and whether it is like this kind of marketing campaigns ability to have brand partners and brands that can benefit and grow on our platform as well as , you know , the tech platform and customer engagement and customer , you know , databases that we have where we can sell like we've always said that it's not about selling yet , you know, Kajal to the next marginal customer , but it's all about selling more products to the already existing database of customers, and that leads to repeat behavior. And we're trying to match the new customer growth also to that healthy repeat growth. So , I think we are really trying to opt

imize for the best possible
outcomes.
Amit Sachdeva: Great good that's very helpful. Thank you so much. And lastly, if I may. Just advertising , we went to a new model of more tactical, and you know, from more valid based to being more tactical and view based . Has that started to, you know , make a big change in the way advertising was bought, and you were able to monetize it. Is there something that you would like to share.

Falguni Nayar: Yeah. So , I'll ask Anchi t to answer this , but before that , I always like what Anchit says that, you know, if we were to say that advertising income will go up , we are almost saying that the ROA S, for the brands will go down because we won't convert adequately. So , our effort is to keep capturing bigger and bigger marketing income, but deliver high revenues against that. So , I think with that I hand over to Anchit to say this, what do you exactly say at every meeting.
Anchit Nayar: Yeah, I think you summarized it. Well, I think Amit for us, you know, launching the ability for brands to buy more lower funnel ad real estate. So , PLAs and such was really a push towards giving brands more opportunity to serve ads , lower down in the consumer journey, when the intent to convert is higher. So , in a way, it is to try to help our brands to maintain and improve the return on ad spend on Nykaa, because longer term brands will prefer channels where they see a better ROA S. So, we we're not looking to increase the ad dollars and not see the same incremental growth in revenue. The real goal for us is to have revenue growth and ad dollar growth in line, and some of the features like PLAs that launched as well as some of the personalization work we're doing, and some more initiatives that you'll see soon are all in order to help brands realize better ROA S so that they are able to spend more absolute dollars on the platform and you know it is journey building an ad platform in houses is a tremendous amount of tech work and development, and I think a lot of the heavy lifting is done , features are now out and available to brands. There is a bit of change management to do for brands, to understand the value, and to really come up with the right marketing constructs for them. But there is very good early adoption, and we'll continue to focus on really moving ad dollars into these new ad opportunities and not being so heavily dependent just on selling banners on the homepage, as you said. So that is a process it takes time , but brands have appreciated that we're doing this for their benefit. And I think, as this price intensity that brands are facing amongst each other as that subdues, as that resides, then you'll start to see those dollars moving back into the ad income bucket.
Amit Sachdeva: Got it. Thank you so much, Anchit . Thank you , FN. Congratulations once again for great set of numbers. Thank you.
Garima Mishra: Alright next in line is Percy Panth aki. Please go ahead.
Percy Panthaki: Hi! Am I audible?
Garima Mishra: Yes.
Percy Panthaki: Yeah. Hi, this is Percy Panthaki from IIFL. So , firstly, I have to congratulate you on your category building efforts and your growth in the private brands. However, we are an audience of investors and analysts and profits do matter a lot in our evaluation framework. So , the FY24 EBITDA, I was just looking at the model I had 2 years ago. The actual FY24 EBITDA has come about 40% below the estimate I had 2 years ago. I don't think this would be too different versus what the consensus would have expected at that time, either. Apart from the losses in the other businesses.

Even the BPC EBITDA margin s seem to have peaked out at low double -digit levels versus earlier expectations of

mid to high teens in the medium to long term . The overall company EBITDA margin s
has increased 100 basis points over 2 years. So , my question here is, are we, as analysts and investors , quite disconnected from reality on the profitability part of the business, or have your own EBITDA estimates to o reduce d versus your original expectations and in case it is the former , I think the IR function of the company should make some effort to not keep estimates completely divorced from reality. I can understand that you may not want to give a guidance, but if the consensus estimates are nowhere near achievable , maybe sharing your thought process on profitability will help. So, for example, consensus estimates for the company overall build 450 basis points EBITDA margin expansion over 3 years versus a hundred basis points over the past 2 years. Is this within a likely range of outcomes? Your thoughts on this, please.
Falguni Nayar: I think you are going back too far . I think , you know, during Covid times what the outcome and outlook was for e -commerce was very different, I think. We have said that e -commerce growth last year especially, you know, for this year ended March was little bit below long -term trajectory, and we expected to revive, and some more of work needed to be done. But I think, as we look at the near -term expectation of all the analysts for FY24. I think we are pretty much in line with what the analyst expectation. So , if you want, I think we can connect with our IR team, and we can show you what we see in terms of expectation and where we've come out at. So , I think, of course, you know, it's businesses are managed for long term growth and long term value creation, and sometimes a short term expectation of every analyst may be slightly, but I think overall , if you look at the consensus estimates, we are quite a bit in line from a near term perspective. For 2 years trajectory , it's difficult to say. I think what probably was not very well built in was you know, definitely in

fashion where we thought that during the Covid time the growth came in very easily and post Covid , I think the physical fashion market was quite strong, and as a result, you know, the ability for fashion portals to grow and , you know, get to the right size, of course, slow down, and I think it's a very large business, and lot of it is marketin g optimization. I keep seeing again and again, that marketing optimization to achieve the right results. And then the markets are larger. It takes time to get to those optimizations. And in the bargain , what very often happens is that you discover certain wrong categories, wrong customer segments that you may have betted on, and you choose to , you know, not focus on those and choose to focus on the right segments. So , in the market it looks like a noise, but underlying right segments are always growing the way we look at it. Sometimes , you know, entry and exit out of a segment that we reject ends up creating a noise of not adequate growth. So , quarter to quarter growth has seen from outside from an investor perspective tends to be slightly different than how we look at it internally where we look at it by category segments, and of course, you know, we obviously look at all of these, even versus android , IOS app versus mobile and versus mobile web. So, it's a combination of so many things that it's not a number, you know. It's a consolidation of a lot of numbers, and many things impacted.

Percy Panthaki: Sure, Falguni. The only reason that I'm asking this and belaboring this point is that the consensus expectations is really a 450 basis points on the overall company level over a 3 year. I can understand quarterly estimates, etc. I'm looking at medium term, a 3 year basis of around 450 basis points versus the history of about a hundred b

asis points over a 2 year. So that's like, on a per
year basis. What you've achieved is approximately 50 , expectation is 150
Falguni Nayar: No. But why are we looking at the past? I can't go back to understanding what consumers understood then. Also, like I said, there is a private label brand component in there. There is a dot com component in there. There's a physical retail component in there. So , there is a lot of combinations there. So , it is not a very simplistic way to assume . I don't know from IPO time but definitely, if I look at the near term expectation of what were the expectation this year which we have looked at, we think that the investor understanding of our business model has improved over last one year, and we are trying to make sure that happens.
Percy Panthaki: Fair point. The only reason to bring up the past is that do we see an acceleration in the margin expansion versus what do we delivered? Or is that something that we should align with a historical number.
Falguni Nayar: It's very difficult to answerover this thing. If you want, we can meet for few minutes that we can commit.
Anchit Nayar: Maybe I can add, Percy, if I look at what was the BPC Segments margin , gross margin in Q4FY21 or even FY22, say 2 years ago, it was at 44.1%. That number is now at 46.8%. Right? So you're seeing almost a 270 basis point improvement and if we disclose contribution margin, if whoever's controlling the slides can show the contribution margins over the past 2 years the number was for BPC segment 2 years ago was, I think, yeah, so FY22, 2 years ago , the BPC Contribution margins is 21.7%, right? So even there, not only a t gross margin, but even at the contribution margin level. The contribution margin for BPC has increased by almost 400 , you know, 380 basis points. So more in line with what you had mentioned. And these are very, very healthy margins contribution margins for a retail business . Well, for a retailer plus their own ed brands business that's still small, but growing within that. So , we feel that BPC segment margins are quite healthy in this range and you know, maintaining margins in this range, while also investing heavily behind new customer acquisition and you know, remember customers who are being acquired for the first time in Nykaa, generally tend to be new to the categories, so there is a lot of work to be done on them to improve their average order values over time, because, you know, they're new , they are shopping limited assortment there. They need a lot of work to get them to hi gher AOVs and hi gher ACV over time, and I think, the fact that we've managed to keep still deliver growth on margins, despite accelerating and acquiring many more millions of customers and continue to expand physical retail stores and take more and more brands shows you that. You know, it is clearly a focus area for us, and it has moved considerably at the Consolidated level. If the Delta is appearing less, it is in part, because eB2B has grown faster and

has grown to a size and scale that, whereby now it is having an impact on the consol . margins , Right? So, some of it is business mix, some of it is also investment in customer acquisition, but still a very

healthy growth over 2-year period.
Percy Panthaki: Very, very helpful. I'll just take this offline more with Namrata. Thank you. Thank you very much.
Garima Mishra: Next in the queue is Sachin Dixit . Please go ahead.
Sachin Dixit: Hi, so congrats on decent set of results . My first question was, largely on fashion. So , if we try to see where is a fashion segment headed? Right? Obviously, we are currently around 3 odd million customers. And I do understand our positioning, which is slightly premium more focus on having a curated assortment and all, where do you think like if let's say, pote

ntial customer base is X,
what percentage of X have we captured. And where do we see reaching like? Maybe not in exact numbers, but more like vaguely, how do we see that.
Adwaita Nayar: Yeah, I think. You know, the kind of the kind of way we look at it is that we believe that we've captured about 15 to 20% of the premium fashion market in the country. So , we do feel that there's a lot of scope to continue growing within the premium segment. So, you know, for us, AOVs and so forth, are a good indicator of, you know, being focused on our positioning. And we feel that there's easily room to grow the new customer acquisition at least for the foreseeable future. While remaining focused on this positioning.
Sachin Dixit: And do you believe your marketing expenses can still continue to maybe see a show leverage while you do that?
Adwaita Nayar: 100%. I think today, like what we know about marketing and what we know about where to acquire customers, how to acquire the quality of customers , the quality of brands. How to bring down returns is all of that is now knowledge that we have. And we feel that, you know, using a lot of that, there's still loads of scope going into FY25 to reduce marketing in particular. And so , when we think a lot of our contribution margin expansion for F Y25. There's a little bit of gross margin expansion on the back of ad income and so forth. But there's a lot of contribution margin expansion on the back of marketing expenses that we'll strive for.
Sachin Dixit: Understood. Thank you. My second question is on beauty global brands, basically. So , we did highlight a bunch of brands that work with us that we have imported and brought to India. On this right. Is there any sort of specific effort that you put in place to make these brands exclusive to Nykaa ? Or are there any brands which are exclusive to N ykaa yet.
Anchit Nayar: Yeah. So , we have a very strong team that does a lot of business development and traveling around the world to identify very popular global brands, trending brands and convince them about the India opportunity and coming into the country. Out of these brands there are a significant

number which are exclusively retail on Nykaa like Charlotte Tilbury, and Fenty Beauty and Dr. Barb ara S trum, and Elemis , and so on. Here. So there are. Many of them are exclusive. Some of them used to be exclusive, like Huda Beauty , which is no longer exclusive, but it was with us exclusively for 3 years before they expanded their distribution beyond Nykaa . It's a mix. What I would also say is, there are some brands which we are importing through like a global store, which are more mass, masstige in nature, whereby it's actually in the best interest of the brand to have much wider distribution than Nykaa especially through what we call general trade and modern trade, and we would never look to stifle a brand's growth by not ensuring that they are available in the right channels, basis the brands, you know, mix or basis the brands positioning. So , sometimes we proactively guide the brand that they should have distribution through GTM or even through horizontal platforms, if it's relevant. To answer your question, it's a mix. Many of them are still exclusive. Some of them are no longer exclusive, and some from day one we recommend that they don't be exclusive, because that's the best way to maximize the potential.
Sachin Dixit: But do you proactively try to make some of them exclusive like? Do you push them.
Adwaita Nayar: Yes, yes, of course, especially for prestige and premium brands and for brands within color cosmetics or skin care , We are able to deliver a li on share of the revenue for the brand in the country, and we do recommend that they come exclusive, and they do obviously listen. And, as I said, most of the brands I just men

tioned, a large number of them continue to remain exclusive with
us.
Sachin Dixit: Just one.
Adwaita Nayar: Go ahead!
Sachin Dixit: Yeah, sure. Just one housekeeping question. Why do we have a customer acquisition expense that's above NSV, can you explain the nature of it?
Falguni Nayar: To do with the new customer acquisition coupons that can be given through company funded which is seen as a discount on the revenue rather than marketing costs.

Sachin Dixit: Got it. Got it.
Anchit Nayar: Customer acquisition coupon. So, coupon indicates that we're passing a certain, in a way, it's almost a discount at the cart level. So that's why it's been asked by the auditors to be booked as a discount and not as a marketing expense.
P Ganesh: It’s an accounting requirement.
Sachin Dixit: Sure Sure, fair enough. Thank you.
Garima Mishra: Next question is from Vijit Jain . Please go ahead.

Vijit Jain: Hello!
Garima Mishra: Yeah, we can hear you now.
Vijit Jain: Yeah. Sorry about that. Yeah. Just 2 questions. One you know, just looking at BPC and fashion business. And in terms of you know. The number of orders you get per annual transacting users in general fair to assume right that fashion should see more engagement over time . more orders per actual transacting customer per year for you guys right now, it's about maybe 2 -2.5 for fashion, for beauty is about 4, 3 to 4. Now, I'm wondering. Because in fashion, you focus a lot on, you know right mixing your customer site, etc. Shouldn't we expect that order volume per transacting customer to go up? Your thoughts on that one, please.
Adwaita Nayar: Yeah. You know, I think broadly that, you know the math of how many transactions every customer does. We tend to look at it a little bit more in detail through the cohort view. But even, you know, just answering your question, do we in general see th e transactions per customer will go up. That is definitely part of the whole repeat exercises that we're doing. So , we are pushing the average transaction per customer per year to go up, and I think by adding more categories, by being able to service more of their needs. I mean States are different points of time in the year and in their life is the way to do it. So , I definitely feel the platform is still young , the categories in so many ways still developing. So , there is 100 % expansion on transactions per customer that can be expected.
Anchit Nayar: Yeah, maybe I can add, it's also a couple of things on the beauty side. As I said, we're doing a lot of work in terms of category expansion through what we're calling driving awareness for the stepification and regimentation of beauty so that can help orders per visit, orders per transacting customer. But 2 things; one is, please remember, this is not a grocery category where these products need to be repl enished very frequently. In fact, if you've ever bought a perfume, or you ever bought eyeshadow palette , these are categories which these are SKUs that take time to finish and therefore replenish. So , it's not like a food category or a grocery category slightly different. So , number of orders per transacting customer would never have that same frequency and categories, like personal care, like shampoos and soaps and oral care, which would have a higher replenishment rate. Those are not our core, because those are not what we see as beauty. We see that more as personal care. And it's not something which we're overly focused on. It's important as cart fillers and other things. But it's not where our core lies. So that's another thing. And finally, it's about how low the per capita consumption of beauty is right. Average Indian spends less than 15 $ per annum. So, a lot of work for us to do to increase the per capita consumption which should reflect in orders. And the

other thing is, you know,
we also try to push consumers to increase the size of the order. So, the average order value for us is much higher than that of competitor platforms, both in fashion and beauty. we think that's a better model that, could we try to push consumers to do more orders for a customer, but a lower AOV we could. But that, then, doesn't make sense on the unit economics of the order. You know because there is a fixed cost of fulfillment as a fixed cost of acquisition. We'd rather try to maximize the return

on that investment through trying to maximize the AOV , and not necessarily the sheer quantum of all those.
Vijit Jain: Got it . My last question , this is basically, if I just look at the store addition that you've done this year, right? You've mentioned some details around where you've opened them. Just looking at FY25 and onwards. If you can give a color on where your store additions is going to be, and with your owned brand do you have plans to go on to some of those quick commerce platforms? Thank you.
Anchit Nayar: Yeah, on store expansion. What I'll say is that , you know, we we've learned physical retail quite well over the past decade that we've been in the business of physical retail. And it's not always very easy for e -commerce companies to develop that physical retail muscle. And you know, I can ask you to, maybe let me know if some other online retailers who manage the transition well. But

we have managed it quite well, and as a result , you know, we're delivering profitable growth in our physical retail segment. So , it's working very well for us. We think physical retail is a huge opportunity, so much of beauty retail in India still being done offline and so the potential for store additions is huge. What we've said publicly in the past that basis, our e -commerce data and our consumer data. We believe there's an opportunity for about 350 to 400 stores in the country. We're not even halfway there yet. You will see a similar pace, if not a slightly accelerated pace , of store addition over the next several years . In terms of cities , today, we have stores across 68 cities and 106 out of our 187 stores come from non -metros. So , we are very well diversified. We've penetrated quite deep into tier 2 markets and in terms of new store openings and FY25, I think you again see a similar mix of non - metro, and metros.

Vijit Jain: Got it . Thanks, Anchit , and just wondering also. Sorry I missed the part. I don't know if you reply to the quick commerce bit, and also on besides tier 2 , tier 3 cities are there other kinds of retail so that you could open like travel retail in airports and those kinds of things . Thoughts on that segment of the business. Thank you.

Anchit Nayar: Yeah. So , it's a good question. What I will say is, we're always we're always thinking about , can we try a different format that could be more scalable because our existing format is very specialty. It's a relatively premium. And as a result, it's important to be in premium destinations. Could we do a slightly more drug store like format for beauty products? We could. And it's something which we will evaluate, and we are evaluating that could, of course, increase the expansion of our network. But we will obviously disclose that as and when it's the right time , if we are going ahead with that . In terms of quick commerce, what I would say is quick commerce, the assortment. See? We see that quick commerce is not a demand generation channel. It just needs existing demand. It doesn't create new demand because customers don't discover products. They don't learn about brands. They kind of just replenish SKUs that they're already aware of. So the demand generation work, we will have to continue to do . In terms of yeah, for very limited assortment of very basic SKUs quick commer

ce
could be a channel for certain brands of ours. I think one of our brands Dot and Key is already

retailing a limited assortment through quick commerce. So , it's something that again, we're evaluating, and we will, you know, as in when that happens, we can disclose more.

Vijit Jain: Great. Thank you so much.

Garima Mishra: Thank you. That was the last question we can take today. There were a few questions on the chat box. These may be taken up separately with Nykaa's investor relations team. I would now like to hand the conference over to the management for closing comments.

Falguni Nayar: Thank you. Thank you, Garima and thank you everyone for being with us today, I just also wanted to mention about one more announcement that you'll see in our filings with exchange. There is a board member who has come onto the board. His name is Santosh Desai. He brings with him immense marketing experience and can add a value to and contribute to Nykaa . So, you'll hear about that. We are quite happy and proud to have him as part of our board members, and yes, some of the restructuring announcement that we talked about again have been intimated to the Exchange, and we do see that at the parent level, you know, getting FSN E-commerce, which is the stand -alone company of the listed entity. We want to make it stronger. It needs to be under the structure of Indian own and manage company needs to be a manufacturing and a brand company rather than a retailer. And as a result , when the brand show promise of being quite sizable and having a journey of its own. We are restructuring it all under at the top level, and we are really happy to say that in this house of brand , is the word we don't like, but because it is a collection of beauty and fashion brands , you're not able to say like a consumer company, but we are really proud to say that close to Rs 1,500 crores of GMV can be now reported amongst our brands that we manage in our building for the long term. We remain excited about the future promise that these hold. So, if I may say that at this juncture, with a pretty recent performance in third quarter against market expectation, and a stronger performance in fourth quarter for all our businesses, and a lot of work towards having a cost structure for new businesses like fashion and eB2B, which tells us that we are able to get scale with right unit economics. We remain very excited about what the future holds for Nykaa . And as part of that we are investing clearly in customer acquisition. We've always strongly supported customer acquisition in post covid, but if I may say so, it is accelerating a bit. Our physical retail also is a very exciting opportunity, thanks to the market creation, that Nykaa has done so far. So , when we entered the market it was per capita consumption of beauty in 2012 was only $6 per capita. Today it stands at $15 per capita and with that I do believe that today it surprises us when we go to smaller states smaller cities like Bareilly or other smaller cities Jamshedpur or others, we are quite surprised to see the kind of revenue momentum we see . So we do feel that since we already had a well laid out part on what we wanted to do towards 350 stores , we're accelerating that and you'll see a good growth in the coming year. You can see that the 5-year GMV of physical retail business, also 50% plus. And we think we will continue to accelerate that. And obviously, we are premi umizing certain high end stores with largest store footprint again shows our confidence. And then beyond that also, we are obviously

putting our thinking hat on to see whether we would like to do more services. You know we already have some salons in Aveda . We may do more some service

s. Not, I mean, I'm not making big
announcement about what we do. But I think, as a beauty retailer, whatever opportunities lie in the industry. I think we remain ready to capture, be it in form of additional stores. You know, be it investment and technology that we will make towards greater , you know, investment in our platform or in personalization , Gen AI, Chat GPT, all of those can be very interestingly leverage d. So I'm just back from the US and I feel that India is a big in a beneficiary of a tech revolution, that we are seeing India and US a big beneficiary, and I remain very excited about what future hold s for us. With that I thank everyone.
Garima Mishra: We'll end the webinar now.
Falguni Nayar: Thank you.

Call: Sep 2024

FSN E -Commerce Ventures Limited

Registered Office : 104 Vasan Udyog Bhavan | Sun Mill Compound | S . B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6 838 9616 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136

August 21, 2024

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sirs,
Subject: Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2024

Please find enclosed the transcript of the Analyst / Investor Conference Call held on Tuesday, August 13, 2024 with regard to the Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2024.

This intimation is being submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You,

Yours faithfully,
For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

"FSN E -Commerce Ventures Limited (Nykaa)
Q1 FY '25 Results Conference Call"
August 13 , 202 4

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON – MD AND CHIEF EXECUTIVE OFFICER – FSN E-COMMERCE VENTURES LIMITED (NYKAA)

MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY E-COMMERCE – FSN E-COMMERCE VENTURES LIMITED (NYKAA)

MR. NIHIR PARIKH – CHIEF EXECUTIVE OFFICER , NYKAA FASHION .COM – FSN E-COMMERCE VENTURES

LIMITED (NYKAA)

MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER ,
NYKAA DISTRIBUTION – FSN E-COMMERCE
VENTURES LIMITED (NYKAA)

MR. P. GANESH – CHIEF FINANCIAL OFFICER – FSN
E-COMMERCE VENTURES LIMITED (NYKAA)

Moderator: Good evening, everyone. This is Michelle from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q1 FY '25 Earnings Call. From the management at Nykaa, we have
1. Mrs. Falguni Nayar, Executive Chairperson, MD and CEO
2. Mr. Anchit Nayar, Executive Director and CEO, Beauty E -Commerce
3. Mr. Nihir Parikh, CEO, NykaaFashion.com
4. Mr. Vishal Gupta, CEO , Nykaa Distribution
5. Mr. P. Ganesh, Chief Financial Officer

Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

Kindly note that this call is meant for investors and analysts only. By participating in this event, you consent to such recording, distribution and publication. All participant lines will be in the listen -only mode, and there will be an opportunity for yo u to ask questions after the presentation from management concludes.

With that, over to you, M rs. Falguni Nayar for opening remarks. Thank you.

Falguni Nayar: Thank you very much, Michelle. And I'm delighted to be here amongst all of the investors who are joining us on the call today, and happy to be presenting the investor results quarter ended June 2024.

I'll start with the performance highlights for the consolidated business. Really happy to say that the GMV has come out at INR 3,321 crores, which is a 25% year -on-year growth followed by revenue from operations growing at a similar percentage of 23% year -on-year and represented at INR 1,746 crores. Gross profit has come out at INR 756 crores, similar year -on-year growth and EBITDA stands at INR 96 crores, which represents about 5.5% EBITDA margins. It's an improvement over previous year with 31% growth in EBITDA.

And we have been pointing out the adjusted EBITDA in more recent quarters only because on a year-on-year comparison, we did not have the GCC business a year ago. And also there were some organizational restructuring expenses. So corrected for that, the adj usted EBITDA stands at INR 109 crores, which is a 44% year -on-year growth and adjusted EBITDA margin would be at 6.2%, which would be a 90-basis point improvement over the previous year.

On the PBT, thanks to the restructuring and the risk measures taken, the PBT is at about INR 22 crores, which is a 127% year -on-year growth an d PBT margin of 1.3%, and the PAT is at INR 13.6 crores, which is 150% year -on-year improvement.

Next . Diving deeper, the Beauty business for the quarter grew at 28% year -on-year. And this is on the GMV basis. And even on the net revenue basis, the growth has come out at 23% year -on-year. Throughout the year, most of you have been observing that the industry has s een higher discounts from various brands that are traded on our platform. And hence, there's been a little bit of a gap between the GMV and the Net Revenue growth. However, this trend started about a year ago and we are now at the end of the cycle where hopefully from here the GMV and the Net Revenue growth will be similar.

On the Fashion side, similarly, the GMV growth was at 15% year -on-year. However, the Net Revenue growth was stronger at 21% year -on-year with the Net Revenue at INR 149 crores, and that represents improvement in some of the shrinkages and other factors that will be shared with you as we dive deeper into the presentation.

Next. So I think the key highlight for the quarter is that Nykaa continues to build its customer base. Now our cumulative customer base stands at 35 million, which is a 33% year -on-year growth. And brand partners on all our platforms, if you were to see , we deal now with 6,700 plus brands, both global and domestic brands.

And we have added more than 1,500 brands in the last one year alone.

The beauty store network now stands at 200 strong, and this is an important milestone at 200 stores in our network. And this is one of the largest network of beauty stores in the country. On the fulfillment side, we now have 44 warehouses, servicing 98% of pincodes , and we are investing in faster delivery in top cities, as you will see in later part of our presentation.

On the content, we continue to drive harder with 1 billion reach for our content created through multiple IPs, which we've been adding to our library. On the category creation through Nykaa Play and Stepification have also taken center stage this year with a lot of work being done in that area.

We are happy that now our consolidated GMV is a solid $400 million in this first quarter alone. And obviously, you are aware that it comes through four platforms that we have, which is Nykaa .com, Nykaa Fashion, Nykaa Man, Superstore on the digital side, and then, of course, physical stores on the Beauty side.

Next, I'll now pass on to Beauty Multi Brand Retail , and I would request Anchit to take us through that.

Anchit Nayar: Yes. Thank you so much. So moving on to the first slide. I think we covered the revenue growth as well as the total revenue for the business in previous slides. So, I'll spend a few minutes on some of the key achievements for the Beauty Multi Brand Retail business this quarter.

First and foremost was the significant growth in new customer acquisition. We delivered a 27% growth year -over-year. In terms of annual unique transacting customers, this grew at 21% taking us to 13.1 million unique transacting customers for the year. And the number of orders that w ere placed on the platform for the quarter was about 12.4 million orders, which is a 26% growth year-over-year.

So in the first part of the business, I'll spend a minute on has been the continued focus on improving and growing the assortment of brands which we have on the platform. And as you can see, in a period of just three months [AMJ'24] , we managed to add a significant number of brands, both global and domestic to the Beauty platform. And these brands are across categories, whether it'd be colour cosmetics, skincare or haircare. And this goes to show you that Nykaa continues to be the retailer of choice for bo th domestic and international brands.

So despite our scale and already having a significant number of brands in the platform, we continue to identify new opportunities, both in India and abroad to continue to strengthen the assortment of the platform.

Next slide, please. One of the key initiatives that I've spoken about in the past has been the focus of Nykaa to increase the number of categories within the beauty and personal care space that we are addressing and that we are taking meaningful market sha re in. So as you may know, makeup and skincare are two of the core categories to our beauty play historically, and they have served us well in terms of growth and they continue to do so.

However, we believe that fragrance is the third pillar in any specialty beauty play globally, and this has been a big focus of ours over the past 12 months. And you can see that it's paying rich dividends. Our prestige fragrance category has grown at over 74% year -over-year in Q1FY '25
In terms of the types of brands which we are retailing on the platform, it's the luxury fragrance brands, including Burberry, Dior, Estee Lauder, Jo Malone, Tom Ford, etcetera, and many more in the pipeline. With regards to our market share in the fragranc e category in the country, we believe that our market share on the prestige side is roughly 13% in FY '24 , and this has been a 300 basis point improvement over FY '23, and that will continue to improve in FY '25 as we enter as we have jus

t begun in the fi rst quarter of the year. We believe this will continue to increase. So we're managing to sell more categories to our existing customers, which increases the basket size as well as the annual consumption value of our existing customers.

Next slide, please. So I spoke a little bit about how we are working on increasing our category with and selling more categories within beauty. Another big focus of ours has been going deeper within existing categories and selling a wider basket from withi n existing core categories. And I have highlighted in the past, Nykaa's initiatives around skincare, which was our CSMS program, where we created India's first skincare routine called I -Beauty, and it was a first step routine, cleanser, serum , moisturizer and sunscreen.

We did a lot of commercial activations around a lot of education and awareness across content channels as well. And we've seen that it has played rich dividends. So in skincare, we have CSMS, in makeup, we have something called Prep Cover Set. And in hairc are, we have Healthy Hair Habits which consists of treat, wash and nourish.

So by driving a focus on specification of beauty, we are managing to increase customer awareness for the depth of each of these core categories and resulting in significant growth for these subcategories that are now at the forefront of our educational and commercial initiatives.

So, you can see some early results. Sunscreen, which is a subcategory that is part of our CSMS routine has grown at 1.3x, the category growth of skincare, setting spray, which is part of our makeup routine that we've been pushing has also grown 70% faster than the rest of the colour cosmetics category and hair serum, which is an important part of the treat, wash, nourish routine has grown at 2.6x the category growth. So we are seeing that our ability to actually drive meaningful revenue growth in subcategor ies, which we take up as a major focus area for the business has now been proven out.

Next slide, please. So as I said last quarter, we spoke about CSMS. So this quarter, we're just giving you some colour on the Healthy Hair Habits campaign, which we kicked off in a very big way across on platform as well as off -platform. The objective of Healthy Hair Habits was to drive the Stepification by empowering consumers with a haircare routine, and to really drive education about highly efficacious solutions that can help solve specific hair concerns.

So you can see some of the work that we did on platform and off platform, content -heavy education -led, delivering almost 290 million impressions, which is quite significant. And as I alluded to earlier, this has resulted in commercial impact as well. Both hair serum and hair masks are growing at 60% and 32%, respectively, which is faster than the hair category growth. We're also seeing customer growth in our hair category of about 24% versus BAU.

Next slide, please. So now coming to our content play because we've always spoken about the importance of content to commerce. We have a feature that we have relaunched that is called Nykaa Play, and this is an incredibly immersive gamified shoppable conte nt feed that exists on our app and consumers can watch live streams, they can play games, they can interact with influencers. And of course, they can shop. So this is what we call as live commerce, and this is content -led commerce, and this has been a ver y strong initiative from our side this past quarter. Two big impacts it has. One is, of course, it leads to improved product discovery and consideration, especially for more sophisticated products. Secondly, it's a big driver for building engagement and to increase the number of visits per visitor as well as the time spent on the app. And you can see that Nykaa Play 's relaunch has led to a 35% higher cart addition by thos

e who
are actually actively using the Nykaa Play feature on the app versus those who are not, and also 30% higher visits per visitor of tho se who are actively using and engaging with Nykaa Play. So we're really leveraging Nykaa Play to drive customer engagement, improving the purchase frequency and also improving the retention o n the platform.

Now coming to our physical retail business. As you can see and as was mentioned earlier in the call, we have now achieved an important milestone in our store expansion plan. We currently have 200 stores across the country. Today, we have 200 stores across 72 cities, and we covered a total retail l area of about 1.9 lakh square feet , which has double d what it was just 2 years ago. If you look at the bar chart on the top right, you see that it took us about 8 years to build our first 100 stores. And we've managed to build the next 100 stores in just about 2 years. So massive acceleration in our physical store rollout. That business is definitely proving to be incredibly

valuable, not just in terms of the revenue that it's driving, but also in terms of the network effects that it's having on our e -commerce business and the positive flywheel that it is creating.

So this business has grown in terms of footprint, it's doubled in a matter of 2 years, but even in terms of revenue growth, this business has grown at about 70% over the last 3 years. And today, it contributes to roughly 8% of our omnichannel beauty GMV. A s I've said in the past, the reality is that, in physical retail, we can have maximum 80 to 100 brands, whereas online, we've got 3,600 plus brands.

So it's not really apples -to-apples. But for the brands who are present across both online and off -line, the physical retail channel is a very large and meaningful part of their total business on Nykaa.

So just a few examples of some of the stores we've opened this past quarter. One store was opened in Dehradun, the other one in Jaipur and these are images of those stores for Nykaa Luxe. The Nykaa On Trend, we opened a store in Amritsar as well as Rourkel a. Again, these are just a few examples.

We see our physical retail stores play a very important role in what we call as services and customer engagement. So our stores serve as a hub for a lot of brands to actually engage and interact with our consumers through experiences and events. As you can see in Q1, FY '25, we hosted 10 prestige brand events in our stores as well as 60 master classes that were held across our stores as well as in the atriums of the malls where we are present. So we managed to host over 70 events across 30 cities in the la st 3 months. and we have over 7,000 customers who register to attend these events in -person across the last 3 months.

So moving on from physical retail and coming to the technology part of our e -commerce business. We have invested heavily in what we call as personalization. It's been something, again, that we've spoken about in the past, and you can see that it is now act ive on the platform, and it is bearing fruit. Just a couple of examples of how we're using personalization to deliver a very specific and relevant experience to our consumers.

On the left side, you'll see we have now something called cohort -based discovery live, whereby customers who showed a propensity to buy luxury products, get shown a higher share of luxury brands on their home feed and vice versa, those who have less propen sity luxury, see more mass and masstige brands and curations. What we're seeing is that from even this very, very basic high-level personalization work that we've done, we've already absorbed higher click -through rates impressions and an increase in our s hare of business coming from luxury brands.

Second, we've also launched a hyper personalized collection widget that's called explore you fav

ourite brands. And this is hyper personalized using the user's brand as well as category affinity. Affinity is derived from the user's past interactions with the site. So the kind of products that they viewed in the past, the cart additions that they've done, the searches they've made on our platform all gets fit into an algorithm that helps us to really surface the relevant SKUs to the

relevant consumers. This, of course, already has proven to be a big driver for both product discovery as well as conversion.

Finally, I spoke about Stepification of beauty in the previous slides, how we're using content to really improve the education and the awareness for Stepification of beauty that will help us drive deeper penetration within existing categories. We've also paired this with technologi cal improvements that have allowed us to drive our Stepification objective on the site as well through recommendation widget.

So again, basis, the kind of products you're adding to cart, we're able to recommend similar adjacent products that would help you complete that particular routine, which we're trying to build. So this, of course, should drive higher ABS, average basket si ze, as well as higher average order values over time. So those are just a couple of the examples of some of the early personalization campaigns, which we've got on the platform, and I think you'll see many more to come.

Next, please. Now spending a minute on our supply chain and warehouse capabilities. We've increased the number of our warehouses by almost 2.4x in the last three years. So from 18 warehouses in FY '21 to 44 warehouses in Q1 of this year. Capacity has also increased in a very similar amount, 2.5x. And today, we have over 1.5 million square feet of warehouse capacity. And this regionalization strategy of getting our warehouses closer to the consumer has allowed us to significantly improve our order to delive ry time lines.

So in FY '21, on average, our order to delivery time lines are close to four days. Today, we have reduced that drastically, whereby the average order to delivery time line on our platform across all 19,000 pincodes across the length and breadth of India is now 2.2 days. So a 45% red uction in our O2Ds in the past three years, and large part driven by this investment in warehouse regionalization that we've done over the past few years.

Yes. So in continuation with our objective, our key objective to deliver a better consumer experience through reducing our order to delivery time lines and getting the product into the consumers' hands faster. I wanted to just share with you that as of tod ay, as of the end of Q1 FY '25, 50% of all orders that are placed on the Nykaa app from the 12 major metro cities are being delivered either same day or next day. For us, 50% of our total orders comes from these top 12 metros and therefore, 25% of total o rders placed on Nykaa are being delivered already same day or next day.

Now given a lot of the investments we've made behind improving this even more than where it has improved to today. We are happy to also share with you that we expect by September of this year, that close to 70% to 80% of all orders from the top 12 metros a nd cities in India will be fulfilled same day or next day, and about 50% of the orders from the next 110, 112 cities in the country will be 50% of those orders will be fulfilled same day or next day. So 65% of our order volume comes from these top 120 cit ies and the weighted average will take us to about 50% of all orders placed anywhere in India will be delivered same day or next day by September 2024.

Next slide, please. And with that, I'll hand it over to Nihir to take you through the Fashion segment.

Nihir Parikh: Yes, thanks. So on Fashion, we s

ee the market has been a little subdued in terms of this particular quarter in general retail. The other key thing which happens in this quarter is Indian wear as a category has no festivals and Indian wear is an anchor cate gory for us. So this quarter tends to have slightly lower growth than what we end up seeing in all other quarters with respect to Indian wear.

So with that backdrop, we had a 15% growth in GMV as well as a 21% growth in revenue. The higher revenue growth compared to GMV is a function of better quality of business, which basically means we have lesser RTOs and leakages. So the leakage is improved, allowing us to convert to revenue in a better way. Additionally, our service -related incomes and fees have gone up.

The categories which have grown is something we've been talking about the last few quarters, our anchor categories around women's western wear, which has beaten platform growth and has grown at 34% year -on-year. Lingerie and other anchor categories have grow n at 54% for us. And women's athleisure, which is an international trend , is really tracking well for us and has grown by about 100% plus. This is supported by amazing new innovation from the many brands we work with and their brand partners as well as a conservative strategy at our end to build this category with consumers.

Next slide. So again, within a positioning perspective, we've spoken about key properties that we have built. One of the newer ones is the Luxe store. We realize there's an opportunity for us to extend into Indian wear Luxe and double down on that. So what we've done is over the last 6 months, we've onboarded 200 -plus brands in this category alone. And we've accelerated our consumer conversations, accelerated targeting of consumers within this category.

So this is early days in terms of where this business is going to go and the Luxe edit, as we call it on our site, is going to grow, but it's a promising new vertical that's been added to our key conversations that we have with our consumers.

Hidden gems have grown 2 1% YoY . This again where we travel the country. We pick amazing brands in India, handpick them and bring them to our site and put them under hidden gems portfolio. We've got now a total of 300 -plus brands, and that's grown about 21% year -on-year.

Our First in Fashion newness and being First in Fashion is something which has been extremely core to our USP and our ethos. We've seen a 37% GMV growth year -on-year of these new launches that all the brands in the country have done and its contribution to our total GMV was 24% in this quarter. Again, this is higher than it was last year. Last year, again, cementing our belief in creating newness conversation and excitement in fashion as a category.

And as we grew this business this quarter, the quality of business overall has continued to improve, and these are some super quality metrics. We look at the GMV share from Tier 1, we've

increased that by a couple of percentage. We get GMV share from premium shoppers that has increased significantly from 36% to 44% last year to this year.

On leakages, which we spoke a little bit about, which is cancellations, RTOs have improved by about 10% year -on-year, allowing us to drive better quality business. And our order to visitor conversions has increased from 2.5% to 3%. So again, a strong focus on doing good quality business and bringing in amazing customers to our platform has been a concerted effort, and we continue doubling down on that strategy.

We spoke a little bit about in the Investor Annual Day about our four Stay Stylish campaigns. So this is again, taking our First in Fashion and style as an anchor. Stay Stylish is our tagline, Nykaa Fashion's tagline. And we created four films along with Janhvi Kapo or and a few other very, very strong and well known influenc

ers. And this went live last month, and we had about 1.5 months ago, with amazing traction, amazing feedback from our consumers and amazing

reach. Our view through rates were also very high.
We also translated this same conversation from a marketing or a branding perspective all the way through to revenue, which you can see as an effect, which I showed you earlier, our First in Fashion percentage of revenue this quarter was higher than we've s een last year. And this is also one of the reasons we've driven this growth for First in Fashion and the branding and the love for Nykaa Fashion and Stay Stylish positioning.
Next please. So from a financial perspective, we've had overall a significant improvement in EBITDA margin. We've had overall about ~500 bps improvement in EBITDA. I will walk you through the key drivers of that. One is gross margin. Over the last year, every quarter, we've been pushing our gross margin up. Very strong support from our brand partners and the value our platform brings fr om a marketing income perspective and other service -related income from partners.
Additionally, we've also had a few platform fees which we charge consumers at checkout. So some of all of these have led to a good solid gross margin improvement, which has really helped us. Our fulfillment expenses have reduced by about 167 bps, this is a gain a concerted effort where we've been working on optimizing delivery from certain legs from air to land, faster deliveries, which has also reduced leakages, which we spoke about earlier, reduce RTO, has also reduced fulfillment expenses. So all moving again in the right direction.
The marketing expenses improved by about 101 bps. Again, this is based on the better or repeat customer ratio and better quality of business that we are doing and reducing some traffic, which we believe we were spending on earlier, which we don't need to. And the conversions have gone up, which has really helped marketing improvement.
The overall contribution margin improvement to 10 .1% or 587 bps improvement. We also took this opportunity to invest in people and technology, which has been done. And as we scale through the rest of the year, this investment is going to play out in a nice way for us. But still with a very healthy ~500 bps improvement overall for the quarter at EBITDA level.

I'm handing over to Vishal.
Vishal Gupta: Thanks, Nihir. Hello, everyone. Very happy to share with you that we had another outstanding quarter for the eB2B business, where we continue to scale up our business with top line growth as well as improvement in the unit economics of the business. As you can see from this chart, year-on-year, we have grown 72% in Q1 this year and which is actually a 4x growth in just 2 years if you compare the same quarter 2 years ago.
And this has come through our increase in scale. You can see that transacting retailers have gone up by 5x in 2 years and a 65% growth year -on-year. We now have 210,000 transacting retailers and we serve now 1,000 -plus cities, so we are really scaling up t his business very well.
Next slide. And you can see that we are not only growing by scaling up, but we are also very mindful of the quality of the orders. So in terms of absolute orders, we did almost 400,000, 383,000 which is a 45% growth year -on-year. But we also increased the average order value of each order because that has a significant impact on our unit economics with more products being sold per order.
Also, we are very mindful of the quality of each order. So consistently, we are increasing the share of premium brands and what we call featured brands, which are high -margin brands so that we drive our gross margin via mix. Yes, and you can see that from the next slide.
Yes. Next slide. Yes. So you can see here, right, that our gross margin improved by 274 bps, wh

ich is driven by a couple of things. As we get more scale with more transacting retailers, we actually become more and more important to our brand partners, and we get more ad income, right, so which has gone up quite a bit, and we get a lot of improvement in gross margin via brand mix because those ad incomes and our recommendation engine actually helps the retailers discover new D2C brands, which are more profi table for us and higher margin categories.
So very good improvement in gross margin via mix as well as very high improvement in fulfillment cost and logistics cost as we move away from 3P to own warehouses, we are very careful in terms of opening new warehouses so that every warehouse , in overall, we are about 80% plus kind of utilization of warehouse space, so and a constant focus on reducing our packaging costs.
So overall, you can see that our contribution margin improved by 520 bps year -on-year. So net - net, a great quarter for Superstore with continuous increase in scale and unit economics improvement. We are well on our journey of breakeven in terms of long -term plan. Thanks.
Falguni Nayar: Thank you, Vishal. I'll now go and take this on behalf of Adwaita, our Nykaa's House of Brands. So just really happy to share that many of our high -growth brands continue to scale well, and we try to show a 2 -year trend here so that you can see that it's done very well over a 2 -year

period also. So , Dot & Key, which was just about INR 90 crore s revenue run rate, GMV run rate brand in first quarter of '23 has ended first quarter of '25 at INR 750 crores, and that's 8.3x over 2-year journey.

Kay Beauty, which was around INR 100 crores, about first quarter of '23 has grown 1.6x to end at around INR 160 crore s plus. And NYKD, which was at about INR 65 crores in quarter 1 of '23 has grown 2.5x to end at INR 160 crores. Another emerging brand, KICA also seeing a lot of momentum, and it has grown 6.6x to end the first quarter revenue at INR 20 crores. Just to remind you that KICA was acquired in April '22.

Moving on, trying to explain on the composition of our various brands, and this slide doesn't reflect all our brands. But we have a bunch of high growth brands in our portfolio where we are trying to maintain the momentum and investing in marketing and off line expansion to continue to grow these brands.

Then we have mature brands in our portfolio, Nykaa Cosmetics, Twenty Dresses and RSVP on the fashion side. They are very large brands on our platform and outside the platform and we are trying to accelerate growth and revamp the innovation funnel of these brands so that we can push for higher growth in these mature brands.

And finally, there are many small brands with high potential. On the beauty side, it's the Wanderlust, which is our Bath & Body range. You've heard many times about it. Nykaa Perfumery is growing very well at the moment, albeit on a medium base. And Nykaa Naturals where, again, a lot of innovation being brought in.

Similarly, on the fashion side, it's Likha and Gajra Gang, the entire Indian wear category, ethnic wear category. And also MIXT, which is our Gen Z brand. We are driving awareness and brand building and category and assortment depth to further fuel the gro wth in these brands.

Next, this quarter also saw a lot of innovation, I think, for brands to do well. Innovation is key, and the quarter saw a lot of innovation with our Nykaa Cosmetics launching lip glaze, a new lip formulation driving 2x the category for the brand. Similarly, Kay Beauty introduced liquid highlighter, which ranked fourth on the highlighters as the top variant. And this liquid highlighter collection was a blockbuster success.

Dot & Key introduced their sunscreens, innovative product formats to increase category depth. And Dot & Key enjoys the top 3 sunscreen brand across all the marketplaces.

On the Wanderlust side, we've introduced new dreaming of Paris range, an exciting range introduced at the right time Paris Olympics, and this was a new Bath & Body range that is really getting a lot of momentum and innovative packaging and design.

On the Kay Beauty, just to talk a little bit about the case study on foundation marketing. At any launch, we do a lot of marketing, almost 40 million impressions were generated. And this particular product achieved 2x faster growth than the category. And in fact, ended up being 10% contribution to Kay Beauty GMV for the first quarter and a lot of very interesting content delivered through Katri na and then also the influencers.

Next. So I think overall, we are really pleased that our Beauty House of Brands, which is the entire bunch of beauty brands that we own , are growing at 47% year -on-year growth. And this

has been fantastic, and it's also come in a very balanced way where the growth is coming, not just on Nykaa's online and store platform, but also beyond that, the growth is coming through GT/MT as well as other platforms. Other platforms don't contribute m eaningfully, but many of these brands are also listed on other platforms sometimes.

Next. On the Fashion, it's a similar story. I think though the growth has been subdued and fashion brands have been subdued. However, this is due to channel degrowth in 3P channels where we're degrown at 14% year -on-year. However, this is compensated by th e GMV growth and Nykaa Fashion platform where they grew 10%. Again, I think this performance is a bit disappointing. I wouldn't read into it as a long -term trend and efforts are on to increase the innovation and performance of the fashion owned brands.

Next. I think we also today announced that we have expanded our stake in Dot & Key now to 90%. Just to remind all of you that Dot & Key is a differentiated skincare solution brand that is effective, safe and fun to use. It was established in June 2018 and has been profitable since fourth quarter of 2023. Nykaa acquired 51% stake in Dot & Key in September '21.

And since then, we have been together both the founders and Nykaa have been growing the

brand at a fantastic pace where, in fact, by financial year '24, it had grown 9x from 3 years earlier. So 9x growth over 3 years. And this growth continues to accelerat e.
And if you were to look at quarter 1 of financial '25, the GMV is now at annualized run rate of INR 750 crores. So, this has been a fantastic investment by Nykaa, and Nykaa has decided to go ahead and acquire additional 39% stake at a cost of INR 265 crores for 39% stake.
Next. So what we like about Dot & Key, it has differentiated assortment, like water light vitamin C sunscreen, SPF -based lip balm, cooling watermelon sunscreen. It also has clutter -breaking packaging, unique and patented, hat -capped packaging has become a standout feature in the market, drawing attention and fostering brand loyalty.
And finally, we also tend to focus on four categories like sunscreen and moisturizers, which considered a very large part of the skincare category. So this gives presence to Nykaa in some very important categories.
Next. And Dot & Key has also invested in innovation and R&D capability of their own, 28 new SKUs were created by this team in the financial year '24 alone, and they count for 30% of NSV for the brand. And this is a rigorous and agile NPD process, very well defined and structured process. In fact, just to give an example, 62 trials of sunstick were done before a final product was delivered. There is that type of passion that the team has shown in trying to get the product right. And also a lot of agility an d innovation. They were the first to launch barrier repair range. And this, as a result, we enjoy a lot o

f brand love average rating of 4.4 to 5 on Nykaa platforms
with 35,000 reviews and 85% of reviews are positive. Most of our reviews are on product quality and innovative packaging, and most reviewed products are moist urizer, sunscreen and face wash.

On the customer perception, we are aware that this brand retains 45% to 50% of their customer. This is based on their own website data as well as Nykaa platform, and it's a very exciting number from a customer retention perspective. And also, a lot of social engagement through Instagram followers of 372,000 and very high engagement rate and organic traffic to the website is almost 70%. Proof of the pudding that it's a well -loved customer brand.
Next. Nykaa is also acquiring majority stake in Earth Rhythm as announced today. Earth Rhythm is a D2C new age brand specializing in skincare, makeup, haircare, and bath and body products. Quite a wide range. They were established in 2019, and they have about 250 SKU. But this comes from a philosophy that they want to be a sustainable clean brand, and I'll talk more about it later.
Nykaa took a minority stake in Earth Rhythm of 18.57% in April of 2022. And today, we've announced acquiring a majority stake in the company. The GMV of this brand has, of course, grown 8x over the last 3 years, but albeit from a very small base. So, it's not as meaningful as when you grow similarly when you are larger. But hopefully, the same growth momentum continues. In the quarter 1 of FY25, if you were to analyze the GMV comes out at INR 55 crores.
Next. So what we like about this brand is it has a very differentiated positioning. It's sustainable and inclusive. It's certified organic plant -based, 99% plastic free. It's good for you and good for the Earth. Earth Rhythm isn't just their name, but it's a commitment to producing the purest healthiest products and educating everyone on why being Earth conscious is so important. And that's what we like about the positioning of this brand. They have innovative shampoo and conditioner bar solution, which is eco-friendly packaging, design using recyclable materials. But what is more important is that lower water consumption because of the production and application format that it uses.
Similarly, they have a lot of reusable accessories, including reusable makeup accessory so that we can reduce wastages. It's also inclusive and gender -neutral brand ethos across all skin tone, age and gender. This gender -neutral and highly inclusive and di verse communication. You can see all of the certified, cruelty free, all of the advantages it offers to the planet conscious customer.
On the R&D side, again, this is a fantastic company from an R&D perspective, 50% plus innovation in financial year '24 through 15 new SKUs that were brought out by the team. And in-house testing and stability studies enable to save costs and give high -quality formulation. They also have many first in their repertoire. It's India's first water -free sunspray, also first to launch breakthrough products such as gel to milk series as well as phyto series. So very innovative products the brand is able to bring a bout. But yes, I think the brand ’s true mi ght in terms of distribution performance and marketing is not yet into the brand. And I think with the ownership by Nykaa, I think many of these will follow .
Next. On the financial performance s lide, I now request Ganesh to come in.

P. Ganesh: Thank you, Falguni, and good evening, everyone. I'd like to walk you through the financial highlights for the quarter. So as we can see for the quarter, GMV grew well at 25% with Beauty growing at 28% and Fashion growing 15%. In terms of revenue growth, it came in at 23%, which is in line with the 2 -year CAGR.
As far

as EBITDA is concerned, EBITDA margins expanded by 30 basis points during the quarter with a higher than revenue growth of 31%. And as Falguni mentioned, we do have the GCC expenses and a few restructuring expenses, which are not there in the base. So if we were to normalize for the same, then the EBITDA expansion is much higher at 90 basis points.
Going to the next slide. This is a summary of the P&L. And as we can see, there is a reflection of the strong growth, both in terms of top line as well as in terms of bottom line. Going ahead.
Now let's turn to the vertical performance. Starting this quarter, as you are aware, we are commencing vertical -wise segment reporting.
So the Beauty vertical now additionally includes our eB2B distribution business, which Vishal covered, as also the Grooming business of Nykaa Man. The fashion vertical now additionally includes the Lifestyle business of Nykaa Man and also our content platform, LBB. The others vertical is mainly compr ised of our newer businesses, which is our GCC business at this point in time.
We have also shown the data for FY '24 on this revised segmental reporting basis at our Investor Day as well. So we have also provided the last 4 quarters vertical reporting as per this new definition as part of the annexure to the investor deck so that th e comparability of numbers and how the quarterly numbers as per the new definition would have been last year is readily available.
Yes. We'll now spend some time looking at some of the key highlights of the vertical reporting. We can go to the next slide for that. So as we can see on an overall basis, our gross margins improved by 48 basis points Y -o-Y. While gross margins in BPC rema ined largely steady. Our fashion gross margins in Q1 improved by 360 basis points on a Y -o-Y basis, primarily driven by higher marketing and servicing income.
On the expense front, our marketing expenses were up by 31 basis points, primarily in BPC as we continue to focus on new customer acquisition through strong marketing campaigns. Fashion marketing expenses improved Y -o-Y due to better customer mix and conve rsion.
Selling and distribution expenses were up by 44 basis points with increased share of eB2B business as well as own brands expansion on third -party channels. This led to a marginal increase in S&D expenses in BPC. And as far as fashion S&D expenses are conce rned, this showed a marginal increase due to NYKD EBO expansion.
Fulfillment expenses for fashion came in lower with a 160-basis points improvement Y -o-Y on account of better control on leakages, reduced air shipments, etcetera. As a result of scale efficiencies and cost optimization, we have seen improvement in other expenses to the tune of

86 basis points, mostly driven by BPC. While in Fashion, we continue to invest both in tech as well as in terms of employees.
Moving to the next slide. What we can see over here is our sustained focus on efficient capital utilization. It continues to deliver strong results. So as we can see, whether it is in terms of fixed assets turnover ratio, which has improved from 9.1x last year to 10.3x in the first quarter this year.
Similarly, working capital days have continued to steadily improve over time. Similar ly, we can also see improvement in ROCE, which has also started coming in on a consistent basis. I'd like to just highlight that as far as fixed assets turnover or ROCE for the quarter 1 are concerned, these are annualized numbers.
Moving ahead. This slide gives you a snapshot of the restructuring initiatives as well as the recent acquisitions that Falguni spoke about. So to streamline and consolidate own ed brands business in a single entity, FSN E -Commerce Ventures Limited, which is the parent company, the listed entity, completed the acquisition of western wear and accessories

business from Nykaa
Fashion by a slump sale in quarter 1 FY '25.
And the Board of Directors at its meeting held today has also approved acquisition of further stake in Dot & Key, which will take our stake to 90% as well as in Earth Rhythm, which will

make it a subsidiary of the company, both of which were covered by Fal guni in her address.
With that, yes, the floor is open for questions.
Moderator: Thank you, Mr. Ganesh. We will now begin the question -and-answer session. If you would like to ask a video question, please click on the ask a question tab and separately you can also type in your questions in the textbox mentioned below the video player. Before asking the question to the management, please introduce yourself, providing your name and your organization. If possible, you may switch on your video as well. Please limit yourself to a maximum of two questions, so that we can accommodat e as many as possible. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
Falguni Nayar: So, Michelle, are you seeing any questions.
Moderator: Yes, ma'am. T he first question is from Sachin Dixit. Please accept the prompt and introduce yourself and proceed with your questions sir.
Sachin Dixit: Great. So Falguni and team congrats on a decent set of results. I think we are on track to a bunch of things that we did highlight in the investor day that we conducted in June . Just one thing that I wanted to understand, particularly on Fashion side. I do understand that this was a really tough quarter for fashion businesses as such, especially online businesses in particular.
But the 20% odd growth that we have achieved compared to the ambition that we guided just like 20 days back before we published the quarterly update. Those numbers are quite off, right?

If you look at the 2 x to 3x NSV growth in 3 years implies close to 30%, 35% odd growth, while we deliver 20%.
Falguni Nayar: So I think I had pointed out at that time also, and I would like to point out that very often, the growth also happens in step function rather than it's still early days of the business and the growth sometimes happens in step function. So you are aware th at we've announced a Foot Locker Association, where we are going to represent all the Foot Locker's e -commerce demand in the country, and that launch is going to happen in October of this year.
So at this early stage of business, we had cautioned that there is seasonality to the business. And also, there is a step function improvement in business that happens due to initiatives that are being taken periodically. So I mean I had caution that this business is not mature enough to assume that, that is what it will translate to as heavy quarter growth.
Nihir Parikh: Yes, I think just to add one statement I think this quarter, even last year, we have noticed a lower growth, basically Indian wear like it is a big category. So there was an expectation that this quarter might be a little lower, but the other quarters as I ndian wear picks up, even last year, as you'll go back to the last 4 quarters, had good growth.
Sachin Dixit: My second question is quickly on Nykaa Man. I do understand that we have merged the pieces of it within Fashion and Beauty . Is it really gaining any traction? Are we seeing sustainable business being achieved there?
Falguni Nayar: Sorry, can you repeat your question?
Sachin Dixit: On Nykaa Man, because we have a separate platform , can you talk about what traction we are getting there? I mean, we haven't heard anything happening in particular on that piece.
Falguni Nayar: So we are happy with the progress on Nykaa Man. We always wanted to grow it in the right manner in terms of , we do believe that if platforms are patient about the growth, you get the right customer acquisition and continue to grow. B

ut yes, we've seen good traction in the Nykaa Man growth.
Moderator: The next question is from Kapil. Please accept the prompt, introduce yourself and proceed with the questions.
Kapil Singh : This is Kapil from Nomura. I was just noticing the trend of margins, and we are seeing good improvement in margins across verticals like Fashion and also the Superstore segment. And the Beauty segment has been operating more in a range. So how should we th ink about it going forward? Will it be that Beauty will operate more in a range with modest improvements and bulk of the margin improvement has to come from Fashion and other segments starting to turn around? Is that the way to think about it? What will be the drivers for Beauty business margins? These are the questions.
Falguni Nayar: I think because it's a new way of reporting , I think one of the expectations everybody had was on EBITDA and we can't gave a lot of segments in the EBITDA reporting. So I think it's a new

way of reporting, so let it settle down and rather than read too much into what the margin

improvement is. I would just like to caution that, yes, Fashion gross profit margin looked very good, but there are quarter -on-quarter differences. And I would say t hat some of it is definitely noncore. So I won't read too much into it.
Similarly, on the Beauty side also, it's been at a good level. And I think in the presentation, you saw that in Nykaa D, I think they are consciously trying to improve the gross profit margin based on selection of the right brands and right choices being made with a clear conscious to improve the net retention margin.
So I wouldn't read too much into it. I think margins are not a problem, but I won't also read into a huge amount of improvement. But yes, there's some improvement in Fashion margins were this improvement reflects both some core and some noncore. I mean, ma rgins are not noncore, but the comparison is noncore because there could be some adversity in the base also.
Kapil: Sure. So can you talk about what can be the margin drivers for particularly Beauty business from here?
Anchit Nayar: Yes. Maybe would you like me to comment.
Falguni Nayar: Yes, Anchit.
Anchit Nayar: Yes. So I think as we have mentioned earlier, the Beauty business now from a vertical reporting perspective consists of four different types of businesses. One is beauty.com, the second is beauty retail. The third is Nykaa's B2B superstore business and the fourth is own ed brands, r ight.
So each business has its own respective drivers for improvement in margins. If I look at the beauty.com business, which is at least in terms of share of revenue mix to this vertical is the most significant. That business, as we've said in the past, is alre ady in a very, very healthy place from a margin profile perspective, both at the gross margin level but even all the way down to contribution margin and EBITDA margin.
So that business is in a very healthy place. That what are some potential levers to improve the margin profile on that side is as we've said in the past, if our own ed brands continue to do well and if they grow faster than the growth of the platform and they take a larger share of total business, then that should have a positive impact on the gross margin profile.
Secondly, we've been working on a lot of ad formats for our ad platform. As you know, we collect services income, and we're working on multiple new ad format initiatives. So there is a potential for them also to improve the services income and therefore th e gross margin.
Finally, there is operating leverage that will kick in because a lot of the costs, especially on employees is fixed, and also, we feel our marketing expenses are in a good place. So I think depends on the business within the vertical. So beauty.com I spoke about. If I look at own ed

brands, of course, that business is a strong business from a gross margin perspective.

So it just needs to keep growing and growing faster than the overall platform. And finally, the biggest lever, of course, will be now Nykaa has Superstore business like, Nykaa D which now sits within the beauty vertical. And that's where we see the potential for the largest improvement in margins, which Vishal covered in his presentation.
Yes, so the most meaningful improvement in margins is most likely to come from the youngest business, which is still in growth phase, which is the B2B business. However, since currently, it's a small percentage of total revenue to the beauty vertical, the most outsized impact on the beauty vertical in terms of margin will continue to come from the beauty.com and beauty retail businesses.
Moderator: The next question is from Vijit Jain. Please accept the prompt on your screen, introduce yourself and proceed with your questions.
Vijit Jain: My first question is just for comparison, so just wondering in the Beauty business, what the contribution margins would have been like in the earlier reporting. I mean, there's a 20-bps odd Y-o-Y decline in EBITDA margins and contribution margins also down 150, I imagine most of it has to do with B2B, right, because B2B is obviously growing faster than B2C. That's my first question. Just for comparison's sake, what would it have been?
Falguni Nayar: No, I think we gave all of the past comparison, and I think we can't keep giving this , but you should also know that we have consciously improved the marketing expenses for Beauty business as evident in the new customer acquisition and growth. And yes, there are some elements like fulfillment expenses going up is partly due to B2B, but becau se see, it's already in the base, right?
So even the quarter 1 FY24 is restated. So, it's the weightage that is going up . So, the weightage of B2B business is not that significant yet. But also, we talked about express delivery that we are now focusing on a same -day, next -day delivery. It doesn't increase the cost massively, but yes, some choices are being made about how we send our parcels in a way that the delivery is faster. So I think I would say it's a mix. I wouldn't read too much into it. But overall everything

individually is improving.
Anchit Nayar: Vijit, if you just look at our core results from last quarter, I mean, that will tell you what the contribution margin was for the Beauty business, excluding the B2B business. So what I can tell you directionally is that it hasn't changed. The contribution margin for the vertical, excluding the B2B business hasn't changed meaningfully since last quarter at all. So what you're seeing here is because of what we've now added to this vertical.
P. Ganesh: Also, I'd like to add that we have shared the comparative numbers as per the new definition for the last 4 quarters in the investor deck in the annexure. So when you look at that, that will give you a good idea.
Vijit Jain: And my next question is just looking at the house of brands slide, right, on both beauty and fashion. So beauty is obviously growing very well on the house of brand s side, 47% Y -o-Y, whereas fashion is down a little bit. So, a, my question is, is fashion down mainly because of the

Indian wear the point you mentioned earlier on and the innerwear is doing relatively better. So we should read into it in that context.
And within the beauty, the 47% Y -o-Y and the channel mix overall for the BPC business, just looking at the Y -o-Y chart looks a little interesting. So if you could explain what is happening there ? I mean, I can see the Nykaa stores, for example, is down meaningfully in terms of channel mix for owned brands. and others

is meaningfully up. So, I'm just trying to get a sense of really what is happening there for the own ed brand part.
Falguni Nayar: So, on Nykaa is a complex company now, and you can't read so much into it because, honestly, like there's a lot of weightage of Dot & Key, which doesn't have a larger presentation in our stores. We are just starting to roll out Dot & Key in our store in a meaningful way. So some of the mix is affected by that. I think on the Beauty consciously, like Dot & Key also sold on other platforms and some weightage of other platform comes through that.
GT/MT clearly is a conscious strategy to continue to grow it because we believe that once brand reaches a certain size and scale, they need to grow beyond Nykaa's own platform. And we now have three brands that have reached a certain size and scale.
So say Kay Beauty is now increasingly going into GT/MT. So I think it's a mix of many things.
So I think reading the relative importance of channels from the slide is not what can tell you what exactly is going on and because there are quite a few brands.
Talking about the fashion brand, definitely, you're right, the lingerie brand is doing well on most of the channels.
But besides Indian wear , I mean, ethnic wear brands, I think the western wear brand in Fashion has had a tough quarter, but we do believe that it will be revised, and it will grow from there.
And the quarter was tough due to two elements, mainly on third -party platform where it has been listed on Myntra few other platforms. We didn't perform as well. But on Nykaa platform, it did well.
Anchit Nayar: And just I wanted to add, sorry, on the Beauty brand side is we have to just sort of keep in mind that this is a mix and it's not indicative that any particular channel is degrowing, right? So let's make sure we understand that all the beauty on brands are growing across all the channels. It just might happen to be that, for example, others, it's coming off of a smaller base, right?
So maybe the growth is higher relative to the growth for our own ed brands on Nykaa's own platform where their share is already high. So it's also a factor of coming off of a small base, and therefore, showing a much higher growth relative to some of the more established channels. But all the channels are growing for the owned brands.
Vijit Jain: And just one last housekeeping question. Adjusted EBITDA metric , so you highlighted that it includes GCC, ESOP expenses and restructuring expenses. I just needed to know what the quantum of the restructuring expenses would be within that adjustment?

Falguni Nayar: It's difficult to give the details here, but I think maybe you can contact our team.
Vijit Jain: Thanks, Falguni. Those were my questions.
Moderator: The next question is from the line of Latika Chopra. Please accept the prompt on your screen, introduce yourself and proceed with the questions.
Latika Chopra: I'm Latika from JP Morgan. Two questions from my side. The first one was on your initiative to cut down the delivery time and around the express delivery. I wanted to understand what is driving this push? Are you sensing any changes in the Beauty retail landscape, which is

motivating you to go for faster delivery ? And the second part is, is there any considerable cost
that is going to be associated with the same?
The second question was on your eB2B business. If you could give us some colour on what are
the top product categories that are selling under this business. And there was also a packaging
cost reduction that you mentioned on one of the slides. What is exactly driving that?
Falguni Nayar: Yes, you want to go Anchit.
Anchit Nayar: Maybe I'll kick it off. If you bought the previous slide on O2D, so I think Latika, the reality is
that when we build a business in the e -commerce space,

there are only three things that matter.
One is at least in our mind, that's curation, its convenience, and its content, and a big part of
convenience is the speed with which we can deliver to our consumers.
So it's always been a priority to us. And as you know, we've spoken many times over the past 2
years that we took this up as a bigger project coming out of the pandemic because, of course,
there was an accelerated adoption of e -commerce during COVID, and c oming out of that, we
wanted to capitalize on that demand. And so we realized that it was very important to be very
competitive from a speed, and therefore, convenience point of view. And that's the investment
which we've now made over the past 3 years.
So it's not a new investment. It's not something which we're picking up now. We're kind of
sharing with you the culmination of the past 3 years of work, which you've done in terms of
expanding our warehouse capabilities and capacity, but also equally impor tantly improving our
supply chain, both from a forecasting as well as from a hygiene perspective.
So I think a lot of work has been done over the past 3 years. And because we now have something
which we feel is very much worth sharing. That's why we shared the results of it today, but this
is not something that has happened overnight. It's been somethi ng we've worked out for many
years. So to answer your question, no near -term figure. It's been something we've worked on for
a long time and you're now seeing the results. I hope that answers your question.
Latika Chopra: Any cost that could come incrementally on account of that or not really because this has been in
the works for a lot?

Anchit Nayar: Yes. I think you've seen, I mean, over the past 2, 3 years, you've seen the amount we've invested
behind expansion of warehouse capacity, right? So that was probably a decent amount of the
cost, at least from a capex point of view.
Going forward, I mean, as we continue to expand on this commitment to deliver same -day and
next-day within the major metros and the top 100 plus cities. I think there is some amount of
cost that might come into the picture on the last -mile fulfillment, but I don't think it should be
very meaningful. So I do believe a lot of the heavy lifting is now behind us.
Falguni Nayar: Yes. No. What I'd like to add is that, honestly, while there were investments and costs, but I
think on unit economics, the whole project is self -supporting because what gets added as a cost
gets saved through last -mile delivery in certain cases, it gives savings to some other areas. So
net-net, it's not expensive to do this from a unit economics perspective.
Vishal Gupta: Coming to eB2B. I think your first question on packaging cost. See, we have a very, I must admit
frugal mindset when it comes to costs. So , what we have been driving for last, I think, 6 - 7
quarters is that a lot of our outer packaging, we are reusing recycling materials for the brand
boxes. So that really reduces our cost quite a bit.
Latika Chopra: And any flavour on what are the top products or categories for this business?
Vishal Gupta: Yes. So see, we obviously play in the BPC category. And more or less, it's in line with the kind
of the market which is there in the GT environment. So categories like hair, personal wash are
bigger than some other categories. But equally, because of the n ature of our service categories
like makeup, all the smaller in size but are bigger relative to the market size. So bigger with us
relative to the market.
Falguni Nayar: So, we have quite a well , fragrances also, so you have a well -distributed business.
Vishal Gupta: That's right. And fragrances are one of the fastest -growing category.
Falguni Nayar: Skin also. So it's pretty balanced.
Moderator: The next question is from Harit Kapoor. Please accept

the prompt, introduce yourself and please
proceed with the questions.
Harit Kapoor: I just had two questions. One was on the BPC side. Yes. So my question was on the BPC side.
So, if I just do a revenue minus NSV kind of quick calculation, it seems like the advertising
income seems to have picked up in BPC this quarter. I might be wrong, but that's my assumption
basis that calculation.
And given that from here on some of the discounting -led issues, which we were speaking about

last year starts to come in the base. I was just wondering, are these two likely gross margin triggers for the online BPC piece going forward over the next few quarter s?

Anchit Nayar: Yes. I think you're right. Although there's more than just sorry, more than just services income that sits between NSV and revenue. But yes, I mean, as we said in the past, there was definitely some softness in services income over the past couple of quart ers because of external challenges, especially the D2C brands we re having a difficult time with funding, and there was a big focus on profitability.
But I think all of the brands have realized that if you do not spend on advertising on a platform like Nykaa, the growth becomes very hard to come by. So that's where we're seeing a re - emergence of a lot of these D2C and younger brands who are now back to becoming more active in terms of marketing on the platform.
And so that's a positive trend, which we think should strengthen as we get into the second half of the year, which tends to be where most of the festive occasions are and a lot of the seasonal, and festive shopping for this category will occur. So, I would say we're optimistic for the second half of the year on the services income piece. And that should be a driver of improvement in gross margins as well.
And to your point, the discounting has been there because of the soft consumer demand across discretionary categories. So again, it's a lot of that moderation in discounting will happen if the demand does revive as people are expecting it to in the second half of the year.
So, as you know, it's meant to be a busy Q3, Q4 with lots of auspicious dates and lots of festivals.
And I think a lot of retailers and consumer companies are bidding on a revival in demand and so are we. And I think if that happens, you will see the discount ing should moderate, and that should, again, help reduce the build up.
Harit Kapoor: Thanks for that. I just had one more on the marketing and advertising side. So you have explained the increase in the marketing spend being driven by the intent to kind of drive new customer acquisition. Shouldn't we expect this kind of uptick to sustain on your expenses given the fact that the medium - to long -term strategy is to kind of driv e revenue growth at a faster basis. Is that the right way to think about it?
Anchit Nayar: You're referring to the Beauty segment marketing .
Harit Kapoor: Yes, just Beauty.
Falguni Nayar: Beauty marketing expense also is a combination of beauty.com as well as beauty private label brands. Marketing doesn't include anything for Nykaa D because they don't spend on marketing.
So it's a combination of two thing s. We clearly do see ability to continue to grow our beauty private label brands and some more marketing investment will go there consciously not because we have to do it. We just feel it's the right thing to do. Similarly, on the e -commerce side, also, we definitely want to increase the acquisition in terms of new customer acquisition.
Anchit Nayar: Yes. But I think that being said, because we're offering at such a large scale here that even if we were to meaningfully increase the ad, the marketing spend in dollar terms. It wouldn't be a commensurate increase in terms of as a percent of sales.

So even this past quarter, where we had the highest customer acquisition quarter we've had in a long, maybe ever, yet you see that the increase in marketing spend is about 60 basis points.
So I think you'll see it be range bound. Yes, we want to continue to acquire new customers, and we want to continue to build own ed brands. So there is some amount of marketing that will continue to be done, but I don't think you'll see it move in a very volatile fashion or by a large magnitude of it will be pretty much range bound. I think somewhere around the 8.5% to 9 .0%.
Moderator: The next question is from Karan Taurani. Please accept the prompt on your screen, introduce yourself and proceed with the questions.
Karan Taurani : Yes. So my question was on the margin side. You mentioned that 8.5% - 9.0% is what you should see in terms of sustenance for the BPC business. Now the major levers, right? And one is in terms of ad revenue, seeing traction. Second is in terms of going you going for lower lead times and they're probably improving in terms of cus tomer experience. And third, of course, lower losses in the B2B business side and also private label.
So despite having so many levers and also discounts moderating from year on going year, as we indicated. So despite having so many levers, what makes it that you are confident of improvement in terms of margins for the BPC segment?

Anchit Nayar: No. So, I don't think I guided to 8.5% - 9.0% EBITDA margins. I said that marketing expense will most likely be range bound at around 8.5% - 9.0%.

In terms of EBITDA margin, I think you summarized it well. There are many opportunities for us to continue to improve the margin. But again, I just want to go back to what I said earlier, which is the B eauty segment here from a vertical reporting perspective, consists of four different businesses. The e -commerce business, yes, it does have some levers for us to improve the margins, but we already feel like it's operating in a very, very healthy EBITDA margin. And whatever improvements we do manage to get, we want to continue t o invest behind customer acquisition as well as customer retention. So that's on the beauty.com side.

Obviously, on the B2B side, where there is the largest magnitude of improvement in margins possible. However, because its revenue is still very small compared to the multi -brand retail channel. Whatever improvement happens in profitability will not be able to move the needle meaningfully at the segment level. But at an individual business unit level, B2B will have meaningful improvements in profitability.

And even though beauty.com has a potential to improve from here, it's just already in such a healthy place that we want to reinvest those savings into continued growth. And I think it's reflecting the fact that we're delivering 28% growth on GMV for beauty and personal care off a very large base in a discretionary category that has had a very muted quarter in the past 3 months. And I'm sure you follow results from all the various FMCG and retailer names. So it should not come as a surprise to you.

So I think in a difficult environment, we delivered market meeting growth in large part because we continue to invest behind that growth. And that will continue to be the focus for the beauty.com business in the coming quarters.

Karan Taurani : Right. So the second is a follow -up on the same thing. So let's say, if the beauty.com margins are similar and you plan to invest behind customer acquisition, can growth rates accelerate beyond 25% - 28% in the BPC business?

Falguni Nayar: See, I think Karan , I think most of your hunches are correct. All we saying is we don't want to guide for anything very incremental. But I think we are very sure that each of our business margins are great or they are improving.

The mix obviously determines the one Nykaa numbers.

And yes, the B2B business, which is a very fast -growing business with improving margin structure, but overall EBITDA margin of their business is negative, right now. But I think it's not going to usually pull it down because the bigger businesses are all t urning better on EBITDA margin, including the private label beauty business.

So Beauty's private label business, Beauty's dot -com business is in a good place with tendency towards improvement in margins with B2B as a mix pulling down the margin, and it will settle somewhere. And also, in terms of customer acquisition, the venue actually go for an accelerated customer acquisition, obviously, the benefit of that because all our customers b uy 3.5x in a year, that's the average, right?

So it does give you long -term benefits. So it gives you benefit not just in that quarter, but also in quarters ahead. So overall, I think we do feel the business is in a good place now. And a lot of correction we needed to do are behind us.

Karan Taurani : So basically, in terms of cost moderation, one could either see a margin expansion or the growth acceleration over the medium term as a part of s upply chain . Is that a fair understanding?

Falguni Nayar: Yes. And also the benefit of other expenses going down also comes because of scale, allowing us a little bit of more leeway to improve some other areas that we may not have done. Like we've not done any kind of large brand building activity for a long time . So we may periodically do something. I'm not guiding towards any large spend. But I'm just saying that the way things are in, it gives us ability to invest for the future.

Moderator: Ladies and gentlemen, that was the last question we can take today. You may reach out to Nykaa's Investor Relations team for any additional queries.

I would now like to hand the conference over to Ms. Falguni Nayar for closing comments. Over to you, ma'am.

Falguni Nayar: Thank you very much, everyone, for being here with us, and thank you to my management team also to always be available, and thanks, everybody, and I hope we've answered all your questions. And if there's anything more do reach out to our IR team. Thank you .

Moderator: Thank you, ma'am.

Call: Nov 2024

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 66 38 9616 | Email – companysecretary@nykaa .com
CIN: L52600MH2012PLC230136
November 15 , 2024

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sirs,

Subject: Transcript of the Conference Call for analyst/institutional investors for discussing Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2024

Please find enclosed the transcript of the Analyst / Investor Conference Call held on Tuesday, November 12, 2024 with regard to the Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2024.

This intimation is being submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You.
Yours faithfully,
For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Call: Feb 2025

FSN E -Commer ce Ventures Limited
R
egistered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website: www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa. com
CIN: L52600MH2012PLC230136
F
ebruary 13, 2025
National Stock Exchange of India Limited
Symbol: NYKAA BSE Limited
Scrip Code: 543384
D
ear Sirs,
Subject: Transcript of the Conference Call for Analyst / Investors for discussing Unaudited Standalone and Consolidated Financial Results for the quarter ended December 31, 2024
P
lease find enclosed the transcript of the Analyst / Investor Conference Call held on Monday, February 10, 2025 with regard to the Unaudited Standalone and Consolidated Financial Results for the quarter ended December 31, 2024.
T
his intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
W
e request you to take the above information on records.
T
hanking You,
Y
ours faithfully,
For FSN E -Commerce Ventures Limited
N
eelabja Chakrabarty
Company Secretary & Compliance Officer
E
ncl.: As Above
FSN E -Commerce Ventures Limited (Nykaa)
Q3 FY25 Earnings Conference Call
February 10 , 202 5

Moderator: Good evening, everyone. This is Yashashri from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q3 FY25 Earnings Call. From the management at Nykaa, we have Ms. Falguni Nayar, Executive Chairperson, MD and CEO; Mr. Anchit Nayar, Executive Director a nd CEO, Beauty; Ms. Adwaita Nayar, Executive Director, CEO, Nykaa Fashion and Head of O wned Brands; Mr. Vishal Gupta, CEO, Nykaa Distribution; Mr. Abhijeet Dabas, EVP, Nykaafashion .com; Mr. P. Ganesh, Chief Financial Officer.
Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this cal l is meant for investors and analysts only. By participating in this event, you consent to such recording, distribution and publication.
All participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after th e presentation from management concludes.
With that, over to you Falguni ma'am for opening remarks.
Falguni Nayar: Thank you. I'll start with the performance highlights. Welcome to all of the investors and shareholders and analysts and really happy to say that we are delighted to have a pretty good growth momentum at the GMV level where for the quarter, our GMV is at INR 4,528 crores, which is 25% year -on-year growth. This is for consolidated One Nykaa performance.
And from a revenue from operations perspective, we have witnessed INR 2,267 crores in the Q3 , which is a 27% year -on-year growth. As you can see, the revenue from operations is growing

faster than GMV. And I think for the first time, we are seeing some rei gning in of the discounting that happens in the industry.
I think from a gross profit perspective, it's been a fantastic quarter with gross profit at INR 991 crores, which is a 30% year -on-year increase. And the EBITDA has also come out at a pretty healthy level of INR 140.8 crores, which is a 42% year -on-year growth. There has been an improvement in EBITDA margin as well as PAT margin, with PAT coming out at INR 26.4 crores for the quarter, which is a 51% year -on-year. So all -in-all, excellent performance at Nykaa with a strong momentum in most of its businesses.
In the Beauty business, and I just want to remind all of you that this is the vertical definition of beauty and fashion that we now follow with a number of underlying businesses under those. So, the Beauty growth has come out at 32% year -on-year growth at INR 3,389 crores. And when you look at it from a 9 -month perspective, it's been a 30% year -on-year growth at INR 8,716 crores. This was at the GMV level.
On the revenue also, the Beauty growth has been strong at 27% year -on-year from a Q3 perspective, where the Q3 Beauty net revenue has come out at INR 2,060 crores. And on a 9-month perspective, also, it's been a healthy growth at 25% year -on-year growth, and the number

stands at INR 5,356 crores. So strong performance across e -commerce, physical stores, own ed brands and eB2B business.
From a Fashion perspective, while the GMV growth for the quarter is at 8% year -on-year, and the GMV number is INR 1,130 crores for the quarter, it needs to be seen in light of generally a subdued fashion industry business for this quarter as well as for most of the year. On a 9-month basis, the Fashion GMV has grown at 10% year -on-year, and it now stands at INR 2,767 crores.
So, from the revenue perspective, yes, while the overall growth in the GMV has been subdued, I think company has worked very hard to do a number of initiatives. You can also see that our revenue growth has come out strong at 21% year -on-year. And the revenu

e for the quarter is at
INR199 crores. And for the 9 months, this number is INR 513 crores, which is again a strong 21% year -on-year growth.
I think some of the stronger revenues in terms of both LBB, which is a business this vertical has acquired as well as services business make up for this growth in revenue and also the shrinkage of leakages between GMV to net revenue line item.
Next, One Nykaa level, really happy to say that we now have a cumulative customer base of about 40 million, which is a 29% year -on-year growth. In terms of the physical retail also, the expansion continues. We are today at 221 stores, largest beauty retail network in the country. And of these, about 12 stores were launched during the quarter.
We have focused a lot on quick delivery. I think we've been sharing with all of you that 70% of our beauty orders are delivered within the same or next day in top 110 cities. And overall, also, there has been huge improvement in order to delivery timelines for Beauty business.
The highest brands were launched in the Beauty business this year as well as in Fashion business. I think in the Beauty business, if we talk about like we've seen some of the most accelerated
brand launches at 200 in Beauty business and 217 Fashion brands. But in Beauty business, we saw some of the launches like NARS, Eucerin, ghd, all of you know that these are really big brands globally. So, a lot of great global brands are choosing to come into India and launching with Nykaa.
Story similar on Fashion where you're aware that we earlier launched Foot Locker. And now this quarter, we've also been able to launch Snitch as well as Victoria's Secret more recently. Of
course, it is after the quarter end. But a lot of exciting brands have been launched on both the platforms.
And finally, on the content -led education, we continue to do a lot. You're all aware that this quarter saw Nykaaland execution, as well as Nykaa Wali Shaadi, which is Shaadi, as all of you are aware, is a very big business in the country, and Nykaa clearly wanted to be that go-to platform for all the shaadis. And this was solidified through our Nykaa Wali Shaadi, where we have a 4 -part OTT programming series along with Tiger Tellys, which has been a huge success, ranking as top 10 within the week of launch.

So, I think all of these properties have given us more than 1 billion plus reach, continuing our journey about educating and recruiting customers in the top funnel. All this has led to about 530

million consolidated GMV for our businesses for this quarter.
With that, I'll move on to Beauty multi-brand retail, where I 'll request Anchit to take this forward.
Anchit Nayar: Yes. Great. Thank you. So, I think as Falguni said, it's been a very strong quarter for the Beauty vertical as well. And you can see that the Beauty vertical has delivered a 32% growth year -on-year and a GMV of INR 3,389 crores. This is some of the highest growth we've seen over the past several quarters, as you can see from the table above.
Next slide, please. A lot of the growth has been driven by a big investment which we've made over the past several quarters, something which we've discussed with the community as well around customer acquisition. And this is really bearing fruit now in terms of the financial performance of the Beauty business. As you ca n see, our annual unique transacting customer count has grown by 26% year -over -year, which is the highest growth in AUTC over the past 6 to 7 quarters. And today, our AUTC for Q3 FY '25 stands at 14.8 million, the highest we've ever had.
As you know, Q3 is the festive season for the retail industry. And in light of that, we do host our Flagship Pink Friday sale in November. And this year as well, we hosted the sale towards the end of November, early December, and the results were very stro ng

. The sale delivered a growth of 36% year -over -year GMV terms. And we got over 86 million visits to the app across the 10-day period of the sale. Customer growth was strong at 55%. And we had a very strong conversion in terms of order conversion at over 4%. So, this is a fantastic opportunity for us to acquire customers and to do a lot of top- of-mind awareness building for the brand Nykaa as well.
In terms of the initiatives, we took that were unique to the sale, there were some tech developments. As you can see on the top right, for the first time on the app, we were able to show the best price on PLPs. We also enabled express checkout as well as personalized recommendation w idgets so that we're able to show the right and the relevant products to the relevant consumers. Off platform, we did a lot of top -of-mind awareness building across outdoor advertising, print, Spotify and Zomato as well.
And I think all of this has led to a very strong performance on sale, which is a good outcome for us as well as our brand partners and ultimately the consumers as well. Speaking about new launches, I think it goes without saying that Nykaa continues to rem ain the partner of choice for global brands who are looking to enter the India market. As India continues to improve in terms of its importance to global brands as they look for growth for the coming years, we are seeing an influx of some of the best bran ds globally.
In this past quarter alone, we have launched Kérastase, which is a hair care brand owned by the L'Oreal Group. This was launched on Nykaa. And this has historically been a brand that's been available only in salons, and it has come to specialty retail plat forms like Nykaa for the first time. Next, we also launched ghd. ghd is a hair care brand, again, that was launched exclusively

on our platform. And then finally, NARS and Eucerin. Eucerin, again, a derma -cosmetics skin care brand, one of the best brands globally in the space, launched exclusively on Nykaa this quarter as the NARS, which is in the color cosmetics space. Some other brands that have also launched include some Korean brands, such as TIRTIR, Numbuzin, and AXIS -Y as well as color -- premium color cosmetics brand, Laura Mercier and hair care brand OUAI.
So, you're seeing a massive influx of brands and again, choosing Nykaa as the primary destination to enter the India market. Talking a little bit about Nykaa Wali Shaadi. As you've seen in previous presentations, Nykaa is very focused on creating proprietary IP that can help us to create a lot more awareness for Beauty as a category in the country and leveraging content very effectively to achieve that goal. And this was no different.
We believe that India has the second largest wedding market in the world after China, and it's almost $130 billion market. This is the second largest consumption category after food and grocery. And upper mid and high -income households, which is a large part of our consumer base, contributes to 50% of the total market. So, for us, it was a no -brainer that we should make the connection between beauty and weddings.
It is a very synergistic category, and we wanted to cement our position as the go -to destination for beauty as it relates to the wedding season, which was also in Q3 of this year and parts of Q4.
In terms of what we did, we actually created an OTT TV show that is now live on JioCinema. It was produced by Zoya Akhtar and her production company, Tiger Telly. And it featured 4 real brides who are getting married over the past several months and behind the scenes look at what the wedding process means to them and the role that beauty plays. This show is now amongst the top 10 shows across all OTT platforms based on viewership and this is as per third- party sources.
The reach we've got on social itself has been over 250 mi

llion, and we worked with 70- plus
experts to create additional content around the TV -- around this OTT show, which we created.
And of course, for us, we believe strongly in the flywheel of content t o commerce. So along with the content, we also drove a number of on- platform initiatives, including a sale event to capitalize on the reach and the awareness, which we were driving through the Nykaa Wali Shaadi show, and that has resulted in a positive out come in terms of commercial actionables, and that is also something which we're very happy about.
Moving on to the next slide. And this is just the trailer of the show, and I encourage you all to watch this on JioCinema when you get a chance.
[Video Presentation]
Yes. I think just to add a few words about Nykaa Wali Shaadi. Again, as we always say, I think category creation is incredibly important in a very nascent beauty market like India. And these are the kind of activities that go a long way. We had many brands; third -party brands as well participate as part of Nykaa Wali Shaadi. And again, it reiterates that Nykaa continues to be

partner of choice, not just for its distribution and retail capabilities, but also importantly, for its marketing capabilities, which we are quite uniquely positioned in.
Next slide, please. Coming to our our brick-and -mortar retail business. As you know, today, we are, of course, the largest specialty beauty retailer, both online and offline with 221 stores, 47 of which were added this year and 12 have been added in Q3 FY25 alone. The contribution to our omni -channel Beauty GMV from physical retailers at 9%. So that stayed constant over the past several quarters. And in terms of total retail space, today, it's at about 2.1 lakh square feet across 73 cities.
For us, physical retail is also a great way to premiumize the beauty market. And today , we have over 90 prestige beauty brands in our stores. 2/3 of our stores GMV comes from prestige beauty brands. And as a result, we have, I would say, best -in-class productivity at about INR 4,250 a square foot on a monthly basis in terms of GMV.
Financial performance for the physical retail business, strong GMV growth, again at 34% year -over-year, so slightly higher than the overall beauty vertical. But I think most importantly, we've seen very healthy growth on same -store sales growth, like -for-like growth at 19%. And despite the investment we're making behind retail, we continue to see the network profitable at the PAT level. And on the right, you'll just see some images of the kind of stores which we've been opening over the past several quarte rs.
Next slide, please. Again, just some more images of the stores we've opened in Q3 FY25. As I said, 12 new stores launched and importantly, also across 3 new cities. So Agartala, Mohali and Belgaum are the 3 new cities where we have stores. And these are so me images of our stores.
You can see very high- quality, world-class execution in Tier 2, Tier 3 towns as well, such as Raipur, Mohali and Thrissur.
A big focus for us in the past several quarters and something we've spoken about before is Nykaa wants to continue to invest behind the premiumization of the beauty category. And as we see more consumers entering the world of prestige beauty as the Indian consumers tend to have better affordability in the coming years, we want to be well positioned to take advantage of the growth of luxury beauty in India.
Currently, luxury beauty is very underpenetrated in India. And we believe that physical retail is a great way to continue to drive penetration and growth of this segment of the overall BPC landscape. As a result, we have launched 6 flagship stores across I ndia. These are large format stores, 3,000 square feet plus and many more to come. Currently, they are in the major metros of Mumbai, Delhi and Bangalore, but

you'll see some more from us in the coming months.
In terms of the brand mix, you can see from the right side, it's a good mix of premium as well as luxury brands. And we are offering our brands a lot more space to do the relevant storytelling.
We are also focusing on services in our stores. So, you're seeing a lot more focus on gifting and experiences, skin consultations as well as makeovers in store, which we call beauty services as

well as leveraging AI and virtual tools better to help our consumers make better purchase decisions in store.
And with that, I will hand the presentation over to Adwaita to take you through the Beauty owned brands.
Adwaita Nayar: So, we're excited about this opportunity we have to build a house of brands at Nykaa. Until now,

we've obviously been a strong retailer, and we have now set our eyes on an ambition of being a very strong house of brands as well. So first to kick off on the Be auty side, our House of Brands portfolio now is, as of Q3, INR 468 crores of top line. It has tripled in the last 3 years. And so, we're seeing great momentum here spread across about 7 brands.
On the right -hand side, you can see the channel split. So as of Q3 FY25, about 50% is from our own Nykaa online channels, 13% is from Nykaa stores. And then about 35% is spread across GT/MT and other platforms, including other e -commerce platforms.
Moving on. I'll now talk about 3 of our biggest brands. So, the first is Nykaa Cosmetics. This is a cosmetics brand that we've been building over the last 5 to 6 years. We've just taken Rasha Thadani on as our ambassador, which is a move that we're excited about given she represents everything the brand represents , which is all about youthfulness and trend. This brand is now a top 5 color cosmetics brand on the website.
As of Q3, it has crossed over INR 440 crores of GMV from a run rate perspective annualized. And we've also been focused on increasing the physical footprint of this brand. So, it now is listed across 11,000 GT/MT doors across 200 cities and is, of course, present in all the Nykaa stores as well.
Moving on. Another brand that we're incredibly excited about is Dot & key. This is an acquisition we did back in 2021, and we're happy to say that today it's one of the largest skincare brands in the country. It is, as of Q3, an annualized GMV run rate of INR 900 crores, so it has grown absolutely exponentially.
And on the right -hand side, you can just get a taste of what this exponential growth has been. So, in FY '22 and Q3, it was INR 35 crores brand, which is approximately around the time when we acquired it. And now in the quarter that we're just wrapping up, it's over INR 500 crores, and this is at an NSV level, from an annualized run rate perspective.
So obviously, like massive acceleration, 15x in 3 years. From the perspective of how much we paid for it, we do believe that it was a good deal. Back in 2021, we acquired 51% for INR 97 crores. And just recently, we completed another 40% or so for INR 265 crores. And yes, and so we're feeling quite good about where this brand is, and we continue to be really focused on leaning into this brand along with Nykaa Cosmetics in a big way going into next year.
The next part we'll talk about is Kay Beauty. So, this is a brand that we started building 4 to 5 years ago. Again, it's been growing extremely well. So again, you can see in Q3FY22, it was just about INR 100 crore brand, and now it is crossing INR 330 crores. So again, 4x growth in

just a matter of a couple of years. This brand is actually one of the fastest -growing brands on the platform, and we feel excited about having built this brand completely from scratch. And so, we're really honing our skills as brand builders within,

obviously, the larger ecosystem of Nykaa.
Moving on. So that wraps up our Beauty owned brands section. Moving on to our Fashion owned brands and the brands that we're building there. So, you can see in Q3FY25, we've delivered about INR120 crores of GMV. This is pretty flat from last year. It has been a year of just sort of focusing and consolidating our efforts on fashion. We had a handful more brands, but we've actually now decided to just focus on five and those five are listed here. We feel that the tail was not adding enough value and also obvi ously drawing attention and investment, whereas we feel that we want to just double down on what really are the big brands in our portfolio. And so, you will see us being a lot more focused on our assortment going forward.
And within these, of course, we're extremely excited. Nykd, Kica is our lingerie and our leisure brand, respectively, and we think those are absolutely incredible spaces to play in. And then Twenty Dresses, RSVP and Gajra Gang are our plays in Western wear and Indian wear, again, a space that Nykaa has a huge set of customers who like us for that category. So, it's a place that we obviously want to play.
On the right -hand side, you can see how the shift of channels has actually changed. So, in Q3 FY25, the quarter that's gone by, you can see that we're now actually focusing more on our online -- our own channel of distribution, which is the hot pink. And we're sort of decelerating on selling in GT/MT offline, basically non-Nykaa channels. We feel that fashion owned brands have to really be built on our own channels and not really go far and wide.
So obviously, like the channel strategy differs from category to category. But in fashion, we're clear that we want to be more focused on the Nykaa platforms. So, with that, I'll hand over -- sorry, this is just a quick glimpse of, again, what our product sort of looks like. You guys have seen this in prior meetings. We are definitely remaining focused on being very trend-led and really meeting the customer where t hey're at.
So, with that, I'll hand over to Vishal, who will walk us through our eB2B business.
Vishal Gupta: Thanks, Adwaita. So dear friends, we had another great quarter on our path to profitable scale. You can see that we grew GMV by 53%. And by delivering about INR 260 crores, we now are

at a run rate of INR 1,000 crore GMV. And you can see that it's 12x growth in 3 years, and a lot of the growth is driven as we continue to drive scale and reach. And we now have reached 2 .6 lakh retailers and 1,100 cities. So, we are national. We are deep in India’s Tier 3, Tier 4 and very high retailer base.

Next. And this really helps us to improve our profitability, where you can see that in gross margin alone, we have improved by almost 250 bps, which is driven a lot by ad income. So, as we grow more scale and more retailer visits to our app, we get more ad income. And consciously, we are driving positive mix by selling higher -margin brands on our platform, which drives our gross margin. And with scale, obviously, our costs also come d own. We had a few third -party

warehouses in a few geographies. And as we got scale in those geographies, we moved away from 3P to our own warehouse, because that is more efficient and reduction in freight as w e improve our order density, et c. Even the sales and distribution cost, you see is coming down, overall contribution margin improved by more than 500 bps. So, I think we are well on our way to profitable scale, and we will continue to keep scaling until we reach profitability.

Thanks. Now I hand over to Abhijeet for Fashion.

Abhijeet Dabas: So, on Fashion, like Falguni ma'am mentioned a while ago, I think in the midst of a tough quarter in general for online fashion as a space, the business has been resilient. GMV has grown 8%

, as you can see on the left side, reaching INR 1,130- odd crores. And more importantly, putting into perspective that Fashion in the scheme of things for Nykaa is still a young business. We only launched the business around 6 years ago. But in the last 3 years, we have seen still more than a 2x growth o n GM V as well as on revenue.

On revenue, as you can see on the right side of the slide, there has been a more healthy 21% year-on-year growth in revenue to close to INR 200 crores, largely driven by strong traction seen on the content business of LBB through events such as Nykaaland and Nykaa Wali Shaadi as well as higher services related income. So overall, tough macro environment, but still in the middle of that, we've been able to continue to grow.

Next slide. I think this just puts into perspective what Nykaa Fashion as a platform brings to customers as well as to brands. So again, over the last 3 years, we have continuously augmented our assortment by adding relevant brands across categories. The n umber of brands that we now offer to customers is more than 4,000, and that's a 3x increase over the last 3 years.

Across all categories, there's been relevant brand additions throughout the last year itself. We spoke about Foot Locker when we gave the last quarterly update. But along with that, over the last quarter, we've continued to add further brands. We've added the likes of a Tommy Hilfiger, Victoria's Secret more recently, Snitch in the men's category.

And I think for customers, Nykaa Fashion has established itself as a platform, which is curated, yet offers a complete assortment of all the relevant brands across all the categories and differentiated offerings from those brands. At the same time, for brand partners, we have continued to be the platform, which also brings great quality customers and allows selling fashion in the way that they would like to sell fashion and that reflects in many underlying indicators that we are able to further see in our P&L in the further slides.

Next slide. So just a glimpse of the kind of events that LBB has been able to execute over the last year. So just again, to put it in perspective, since acquisition a few years ago, LBB has scaled 9x in revenue. We spoke about Nykaa Wali Shaadi a bit earli er in the presentation today, but Nykaanland and many other such campaigns which have been driven by LBB have delivered great value.

Next slide. Most importantly, in the midst of even a difficult year, while continuing to grow the business, I think the bottom line has seen significant improvement through the year. We have

seen a more than 700 basis points improvement in gross margin, which is a significant move from 44% last year, same quarter to 51% this year. This is largely on the back of marketing and services income, working with brands. Our fulfillment expenses have c ome down by close to 100 basis points as we have optimized our route planning and become better at saving packaging costs.

Marketing expenses are higher on account of 2 things. Firstly, we have invested ahead of the curve in campaigns and events as well as in customer acquisition, and this reflects in the middle of a tough quarter. We have still continued to acquire customers. Just to share our visits and our unique visitors have both been at all -time highs in the last quarter, and that augurs well for

quarters going forward because that just creates a base of customers, which will continue to serve us well as our retention and underlying metrics remain healthy.
All of that has resulted in still a contribution margin of 184 basis points better year -on-year and also continuous improvement in EBITDA. So overall, while growth has been steady, we have made giant strides on bottom line, and that shows in this slide.
P. Ganesh: Thanks, Abhijeet. So, we'll take a quick snapshot o

n the financial performance. As Falguni
mentioned at the beginning of this call, our top line and bottom line, both delivered a healthy growth this quarter. As we can see, revenue grew 27% Y -o-Y and has been in line with the l ast
3 years CAGR. EBITDA growth was higher at 42% Y -o-Y in Q3, led by healthy gross profit growth, while we continue to invest in marketing to drive growth.
Moving on. What we see in this slide is a snapshot of our consolidated profit and loss account for quarter 3 as well as 9 months FY '25. As can be seen, gross profit grew 30% Y -o-Y, outpacing
revenue growth of 27% during the quarter and similar trend has been seen in the 9 -month period as well. Further, there has been an improvement across most of the cost line items. And this is one of the factors which has led to a healthy EBITDA margin expansion of 69 basis points during the quarter and 42 basis points for the 9-month period.
Moving ahead. Yes, this is a quick snapshot of our vertical reporting. We have seen healthy improvement in gross margins across both Beauty as well as Fashion verticals, and this has contributed to improved EBITDA margins in both the verticals. We'll see t he details of this in the next slide.
Moving on. Yes, here, you can actually see the snapshot in terms of the EBITDA expansion from 5.5% to 6.2%. And as you can see, this has been across both the verticals and across most of the cost elements as well as gross margins. You can see that leverage in fulfillment and employee expenses, that's also driven expansion. The gross margin is something which has expanded.
And the leverage benefit in terms of other expenses is also starting to show through. So overall, across multiple parameters, there has been efficiency kicking in. So, in spite of the higher
investments in marketing, which has also resulted in accelerated customer acquisition. In spite

of the higher investments we have seen in marketing, the overall EBITDA margins have expanded.
Moving ahead. Yes, here, as you can see, Nykaa continues to focus on prudent capital utilization. Our balance sheet is seeing healthy improvement across key ratios. You can see that fixed assets turnover has reached 9.4%. Working capital days have been con sistently reducing and have come down to 36 days. And this has resulted in the ROCE of the overall One Nykaa business coming in at upwards of 10%.
And we need to bear in mind that the Beauty business is highly profitable with a much higher ROCE percentage. And the Beauty business is funding the growth of the newer businesses, which is Fashion and Nykaa D. So, all in all, through internal accruals, we have been able to manage to fund the new businesses and still deliver a higher ROCE on a consistent basis.
Yes, with that, I'll open the floor for Q&A.
Moderator: I now request Aditya Vikhram to please accept the prompt on the screen. Aditya, please turn on your webcam, unmute yourself, introduce your organization name and go ahead with your questions, please.
Aditya Vikhram : Good numbers overall. But just a quick question. With Shein coming in, what would be the impact on the fashion brand considering it seems like there would be very high competition?
Falguni Nayar: I think I'll just take the question and then I'll pass it on to Abhijeet. I think we must understand that fashion is a very wide business with women's western wear, women's Indian wear, menswear, sportswear as well as kids and home. And Shein is only in on e category. And I think one has to see we have 4,000 + brands and more and more international brands also coming into the country , We've always had revolve and others. So, I think the market is very wide, and no one brand can dominate it. So, I think that's what I do believe that it should not have a much of an impact. With that, I would like Abhijeet to comment.
Abhije

et Dabas: Thanks, Falguni ma'am. So, I'll just add on to that. I think women's western wear, which is the category where a brand like Shein typically plays is one of the fastest evolving. I think these are also categories which are style first and maybe not as much brand first as a category like sports, where you find very few brands for many years taking lion's share of the business of that category. The reason is that trend changes very quickly, fashion changes very quickly. On our side, we've also seen a proliferation of what we call D2C brands come to the fore in specifically

categories like women's western wear.
So, I think as a platform, we will continue to be at the forefront of bringing the best fashion to customers. The category will still continue to be very fragmented. And in saying that, there will still be a multitude of brands. And again, demand is very wide . The number of brands supplying that demand is also very wide. So, I think it's still a very large playing ground. So, we don't see such a massive impact.

Aditya Vikhram: Then a follow -up question. Your Beauty business is clearly doing well. You have high gross margins, and you are making good profit. It seems like the EBITDA as well as the bottom line is not growing as fast, right? Or it is growing fast in comparison to your Y -o-Y numbers. And this primarily looks like that most of the expense are going on the marketing side to grow the other business, right? When do you see normalized marketing expense? Or do you see marketing expense continue to go up as y ou ramp up other businesses? And that would be all.
Falguni Nayar: I think if I just wanted to highlight is that if you look at the Beauty marketing and ad expense, it's come out at 10.1% for this quarter against 9.5% a year ago. And this is for a Beauty vertical and consists of all the businesses together. So yes, there is some additional marketing money being spent, and we highlighted most of that as new customer acquisition has been at its fastest pace over last year, and we think that it's a worthwhile investment to make.
And similarly, we've done a lot of upper funnel what you call is educating and bringing consumers interest into the category through events like Nykaaland and Nykaa Wali Shaadi, many of those are also part of this spend. And we do believe that our marketing spend has been accelerated because we believe in the category, we believe in our domination of the category and want to continue to maintain that.
But yes, I think it is something that can easily be controlled. It's a marketing expenses considered available expense and totally controllable. So, it's more in line with -- for that year, what strategy we would like to follow. With that, I'd also like to request Anchit, if he wants to come in and add something to this.
Anchit Nayar: No, I think you covered most of it. Again, as we've said in the past few quarters, the Beauty businesses has quite a healthy profitability, but because the penetration of the category and the per capita consumption for the category is so low, there is a lot of category expansion work that needs to be done. And ultimately, the benefit of a larger TAM will accrue to us because ultimately, we are the largest player in the space. So, we see it as an investment for the future and investment in customer acquisiti on is one of the larger buckets of our marketing expense.
And you're seeing the benefits of that play out, right?
The investment in customer acquisition over the past few quarters has been one of the major drivers for the the revenue growth, which we've seen in the Beauty business in this Q3 numbers.
So, our hypothesis seems to have been correct that there is a lot of growth yet to be had, and we continue to want that growth. So, I think we'll continue to invest in the Beauty business. It's a business that

has the profitability to support its customer growth plans. And in terms of supporting other businesses within Ny kaa, as Ganesh said, we continue to fund all of our expansion in new businesses through the cash accruals of the Beauty business. So that will continue.
But I think the good news is, as we've said before, we believe that -- and as you can see from our numbers, the losses in B2B are reducing significantly as that business starts to reach -- as it starts to mature a bit. It's still a very, very young busines s. And Fashion as well, you're seeing significant improvements in profitability despite there being subdued growth. So, if I look at

B2B, the numbers here are quite self -explanatory, but contribution margin improvement of 500 basis points. So, we believe that trend will continue. So, losses will reduce in B2B. And in Fashion, I think as growth picks up once again for the overall Fashion industry, you'll see a lot of operating leverage in that business, too. So, we're quite optimistic that we'll continue to fund growth for all of our businesses, new and old, but that the losses should be reducing even more from here for both fashion and B 2B, which should be good news for the overall profitability as well.
P. Ganesh: Just to add to what Anchit mentioned, as we can see from the numbers, while given the focus on new customer acquisition, et c, there is higher investment in marketing, in spite of that, the EBITDA margin for the Beauty vertical has actually gone up.
Moderator: We'll take our next question from Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question was just to understand wha t is the revenue profile of LBB? I mean, I wanted to understand, I believe it's supporting the Fashion revenues also. And at the same time, it's enabling marketing income for us, supporting the Beauty business also. So just wanted to get more details about how LBB is driving the growth f or us?

Falguni Nayar: I think LBB business when we acquired it about a year ago was a content business that creates content for a lot of brands, including non- beauty brands that they always had in their portfolio. And obviously, their skill set lies in creating events and activities and content at scale. And that is what we are leveraging LBB for Nykaaland, Nykaa Wali S haadi. We used to do Nykaa Femina Beauty Awards that has been now taken in-house.

It's called Nykaa Beauty Awards, which was again an in -house event. So, acquisition of LBB has allowed us to do a lot of content and event activity all in- house. We've accelerated the number of events that we do, be it Beauty Bars or be it we do a lot of fashion events where we take -- it's like a trunk show, which we take it to various events where customers come in and experience that.

We recently did an event which was called the New at Nykaa, which was new launches of the Beauty private labels, obviously, Foot Locker events. So many such events have all been done by the team, and that is what this team was in -sourced. And obviously, wi th the kind of focus that they get in terms of accessing all of the Nykaa's Beauty and Fashion brand partners has led to acceleration in their ability to earn revenues, and that is what is reflected in the numbers.

Sheela Rathi: Falguni, what would be the revenue profile of LBB today?

Falguni Nayar: Profile is all event activity. They charge clients for various event activity, which is all costed individual event based on estimation of the costs.

Sheela Rathi: So, this will get captured in the Fashion revenues? Or does it get captured anywhere else?

Falguni Nayar: Captured in Fashion revenues as well as we also have out -of-pocket expenses against those events. So, they spend it. So, it is obviously captured both on revenue as well as expense items.

Sheela Rathi: Understood. So just to understand the 21% revenues growth, which we have seen for Fashion, what -- if we ex out LBB, how would be the fashion revenue growth for us?

Falguni Nayar: It's very difficult for us to say because we also have had a huge improvement in GMV to NSV ratio by controlling what we call as leakages and it's a combination. So, revenue growth momentum has been higher than the GMV growth momentum. And what we disclose is basically vertical level reporting, and this is what the number is at the vertical level.

Sheela Rathi: Understood. And my second and final question is with respect to the gross margins for the Beauty business. Just want to understand how are the marketing income doing for us on a year - on-year basis? And if there are any trends in terms of brands enabling more marketing spends in this quarter will be helpful?

Falguni Nayar: In this quarter, it has done well, but I'll ask Anchit to answer it.

Anchit Nayar: Yes. I think headline, it's done well. There were a couple of quarters of softness in marketing as brands were deploying more of their A&P budgets towards promos versus advertising. I think it's something we've discussed in the past as well, Sheela. But th at trend has finally seems to be reversing and brands realize that they cannot -- there is significant brand awareness work to be done in a market -- in a nascent market like India. So, a lot of the money that was being deployed for promo is now being redeployed into advertising, and that's a plus for us.

So, we're optimistic. We're seeing early shoots of it improving, and we don't think it's a Q3 phenomenon. We think it should continue into coming quarters as well. Also, we at Nykaa are also offering a lot more advertising opportunities for brand partners and something we've spoken about in the past is allowing brands to now advertise not only top of funnel in terms of on our homepage, but also allowing lower funnel advertising opportunities like PLAs and other such ad capabilities have been built and are now quite widely used by our brand partners. So that is also a net positive for the services income that we generate.

And finally, also, of course, we've created quite significant capabilities in terms of events and experiences and content creation, some of which we covered in terms of what LBB is contributing to our brand partners. And that is also an additional revenue stream for us, which was not as monetized in the past that I think will be a net positive in the future. So, I think we're quite optimistic. But again, I think no one has a crystal ball. No one knows what's going to happen with discounts in coming quarter s. But at this point in time, it looks like things are improving and brands are looking to invest a lot more into marketing than they have in the past few quarters.

Sheela Rathi: And sorry, just one follow -up here, Anchit. Will it be across the board or just the large brands? Or will it include the D2C brands also?

Anchit Nayar: You can't paint all the D2C brands with one brush stroke, right? So even within D2C brands there are different types. And so, I think even the D2C brands, especially the ones that are doing well, continue to want to reinforce that leadership position. A lot of the D2C brands want to break out - get the velocity that they need to become a critical brand. And so, they're investing

behind that. So yes, there are some D2C brands that are struggling, and I think there's an opportunity for consolidation on that front. But I think they're not all the same. There are some which are doing really well, and those continue to want to invest behind building brand because that's ultimately what leads to sustainable revenue growth for them in the long term.
Moderator: I now request Sachin Dixit from JM Financ

ial to please accept the prompt on the screen.
Sachin Dixit : This is Sachin from JM. My first question is largely a comparison between what is happening for Nykaa between BPC and Fashion. Largely, BPC is growing well. Fashion has been muted, while obviously, it's gaining market share compared to other online fashion players, but still muted. However, I mean, my understanding is the customer base would roughly be similar strata in terms of income bracket and all. So how do you see the differentiated customer behavior on your two different platforms? Can you break down that for us?
Falguni Nayar: I think we have always said that we have a more premium customer in fashion. And we do not think that the fashion customer had issues about spending. I think I've repeatedly said that our Fashion business is young. People forget that. It's just a 5- year-old business, and we continue to do assortment expansion that makes the assortment more complete and that will allow us to grow the platform faster going forward. So, it's a work in process.
Over the last 2 years, we've done a lot of focus on assortment building, completing certain L3 assortment that we used to not have in the past, bringing certain exciting brands onto our platform, which again, we didn't have in the past. Like Libas was a ne w brand that came in last year. Obviously, Foot Locker is very interesting. They're seeing a lot of new D2C brands in fashion are coming up who are doing extremely well, like The So uled Store, The Pant Project, Snitch, Fablestreet, Freakins. They're all choosing to do business with Nykaa.
So, I think there is a lot going on. It's in such a wide space. And we do believe that we have one of the top 3 platforms of choice like Myntra, Nykaa, A jio are the 3 big platforms of choice. We are a very large platform. And we remain in customer consideration. So, I think we remain very positive about the business. I think some of the growth near term got affected due to a marketing strategy that was followed, which was a little bit narrower. And I think some of those tend to be experiments in early days that set you back by a quarter or so, but we don't think this is a long-term issue.
Yes, it does have to be seen in the light of our overall industry, Fashion industry not being at its strongest over last one year, and it needs to be seen in that light. But I think it can't be long-term issue. And we do believe that consumer is going to c ontinue to spend on the base of certain exciting brands that we and we will be bringing into the country or exciting brands that will get created in the country that will be available on Nykaa platform. I think with this, I would also like Adwaita to add if she'd like to add something.
Adwaita Nayar: No, I think you covered it.
Falguni Nayar: Okay. Anything from you, Abhijeet?

Abhijeet Dabas: Yes. Maybe just one additional thing. I think it's a huge strength for the Nykaa ecosystem to actually have Beauty and Fashion offered as, in a way, complementary categories. And I think given that Fashion is a much newer business like has been mentioned s everal times, we are also incrementally getting better every year and every quarter at how to cross -leverage both categories and how to understand our customers better. So, if anything, we have seen a lot of positive goodness because of tha t across both businesses and more Fashion because it's the newer business. And we'll continue to keep getting better at it. But yes, that's the only thing I will add.
Sachin Dixit : Understood. My second question would be a follow -up on the part that Abhijeet mentioned. Do you see a lot of cross -sell that is happening between the 2 platforms? Are you seeing -- because I remember when -- at the time of IPO, a few quarters post IPO, we did talk about that the Fashion user base is slightly different t

o the Beauty user base that we have on the platform. Are we seeing that change? Is there more cross -sell that we are seeing?
Falguni Nayar: I think we had given in the past that about 50% of our new customer acquisition has been part of Nykaa

ecosystem earlier, but 50% is new to Nykaa. And the fact that Fashion e -commerce was 5x larger than BPC e -commerce made us believe that there would be cu stomers who would be Fashion first. But over time, beauty and fashion are lifestyle choices and customers tend to have overlap. So, I think overall beauty consumption in the country is on the rise, and many fashion first customers also are b ecoming beauty customers. Nykaa's own customer acquisition is far accelerated in Beauty now. And also, in Fashion to a certain extent, but a lot more accelerated in Beauty.

So finally, it's the same kind of consumer, but they either approach through their fashion first outlook or their beauty first outlook. And we benefit in either scenario. But we do believe in vertical commerce, and the consumers' choice and journey being very vertical -oriented. But with today's digital possibilities that everything is one click away, that according to us, it's not a deterrent. And in fact, having 2 separate vertical focus asset allows us to do more for both sets of customers.

Sachin Dixit : Which is fair. I was just asking on the 50% number that you mentioned, right? Have you seen that trend upwards or downwards?

Falguni Nayar: It's gone. I mean we have a lot more cross pollination going on through better digital frameworks and the number has slightly gone up.

Anchit Nayar: Yes. But just to add, I think it's not something which we have done very aggressively, proactively. So that opportunity always remains. Cross -sell is one, but I think as was just mentioned, cross -pollination. So, getting existing beauty consumers on the nykaa.com app to download and to buy on the Nykaa Fashion app, that hasn't been done at scale, but that is something which we can always do. I think we're just waiting to, as Abhijeet said, continue to strengthen t he assortment and then we'll s tart to do a lot more work there.

Moderator: I now request Harit Kapoor from Investec to please a ccept the prompt on the screen.

Harit Kapoor: Am I audible?

Moderator: Yes, please go ahead.

Harit Kapoor: So, I just had 2 questions. One was on Fashion. So, this increase in the marketing spend, how do we read this? Do we read this has increase in customer acquisition cost because the transacting customer and visits haven't increased to that extent? Or is it just an accounting adjustment because LBB is in rev enue as well as an expense. So just wanted a little bit of clarification on that.

Falguni Nayar: It's a bit of both. So LBB has a higher percentage of marketing expense because that's the only expense they have in their revenue. And also, there is a certain small amount of adversity in customer acquisition costs for the Fashion business.

Harit Kapoor: Got it. And the second was just two number related.

Falguni Nayar: I'm sorry, this adversity was also for only 1 to 2 quarters and since corrected. So, it's a mixed number. Sorry, go ahead.

Harit Kapoor: My second was on just number related questions. One was on working capital. Ganesh, do we expect that this reduction in working capital days is representative of full year? Or do we see some adjustments happening at the end of the year, et cetera?

P. Ganesh: So directionally, as you would see over the last few quarters, the working capital days have been consistently coming down. So, in that sense, the reduction which you are seeing, you can take it as a representative of an ongoing basis.

Harit Kapoor: And also, just one last thing on the margins. Is there anything to call out in terms of Y -o-Y impact in GCC in terms of basis points? Beca

use I remember, the same time last year, you had called it out, but if it's not -- is it relevant to call out this time around?

P. Ganesh: We have not specifically called it out this time because last year was the first time that had come in and it was not really there in the base, whereas now consistently 4 quarters, we have had GCC come into the base, although the current quarter would be a little higher given that we have now opened the second store, et cetera. But given that GCC is in the base, that's the reason we are not calling it out anyway.

Falguni Nayar: I think on GCC, we remain quite optimistic about the market and the fact that it's a high consumption market with a lot of opportunity to do profitable business. However, the rollout of the stores has been slower than expected and e -com rollout is also pen ding adoption of the technology stack over time. So, I think in that sense, in the GCC right now, the level of activity is not very high to be needing to call it out. But yes, there's been some investment in GCC over last 1 year.

Moderator: I now request Sachin Salgaonkar from Bank of America to please accept the prompt on his screen.

Sachin Salgaonkar: Just a couple of questions. One Falguni, I just wanted to understand how one should think about the steady state EBITDA margin on the BPC business? For last few quarters, we have seen the margin hovering in the range of, let's say, 7.5% at the low end to 9% at the high end. Are we actually at that level? Or do we see room to improve? And how far are we from a steady -state margin? That's question number one.

Falguni Nayar: I think the Beauty EBITDA is a combination of beauty.com, which enjoys a very good EBITDA number. There is a certain percentage now we have been disclosing that about 8% of the business comes from retail, which is also a profitable business for us, but low er profitability than dot com. It can be positively impacted by the profitability of the Beauty private label, which is on the uptick. And we talked about it that we've seen very good growth in our private label business, both in terms of le vel of revenue and profitability improvements have happened, some profitability improvement and there could be more going forward.

And lastly, it also is a combination of the weight of the superstore business, which tends to have a negative profitability. So, I think we have given some idea of how each of those change every quarter. So, we tend to report retail as a percentage of omni -channel revenue every quarter and Beauty owned brand also, we are getting the -- at least the GMV and how it is changing every quarter.

And finally, on the eB2B business, also similarly, I think some investors have been asking, and we said that we can give the composition of the eB2B GMV as a percentage of our total Beauty GMV. And I think that has been reasonably constant over the last 1 year. So, it's not really breaking out of the weightage zone. But yes, I think there is some amount of adverse effect on EBITDA margin coming from the investment that we make in eB2B business.

Sachin Salgaonkar: Got it. Clear on that.

Falguni Nayar: We have a positive momentum because we think that the EBITDA loss in eB2B will go down over time.

Sachin Salgaonkar: Second question is on Fashion. Clearly, we are seeing slowdown in the industry slightly at more on the prolonged basis versus the original expectations. And of late, we are seeing some increase in marketing expense and plus a sort of a Shein launch, which directionally might keep at least in certain pockets, competitive intensity higher. Any general thoughts of breakeven in the Fashion business potentially getting pushed back? Or you're comfortable with the breakeven next year?

Falguni Nayar: Well, we remain comfortable because if you look at it, like if our marketing expense, which b

ecame adverse from 24.6% to 30.5%, if that had stayed under control, we could have possibly had EBITDA margin breakeven this quarter. So, I think the main thing here to balance, and that is what it is for all e -commerce businesses is to balance between growth and profitability and all customer acquisition costs us and typically, the customer that you acquire breaks even on second or third o rder. So th at's the investment we make ahead of becoming profitable on that customer.

So, I think we remain reasonably confident that as the ratio of new to repeat customer keeps improving in the Fashion business, we should be in a better place.

So, I think today, Fashion businesses where we have acquired about 7 million customers, I'm giving rough numbers, ever acquired 7 million, of which about 3 million are annual transacting users. So, I think we continue to want to create engagement level in fashion customers. And I think I'm a big believer that e -commerce is all about assortment first, and we are really working very hard to continue to improve our assortment. And I think because fifth year of a business is not too long a life, but because most of it has happened since being publicly listed, there's a lot of attention on to it.

But I think as our assortment keeps improving and we are really excited about what we've been able to do so far and what lies ahead. And I think the long and short of it is the way the industry is emerging with so many players, such a large market, I think e-commerce has a role to play. So, we remain confident, and we will try to keep working on marketing expenses in a zone that we feel long term comfortable.

Sachin Salgaonkar: And last question, I just wanted to understand directionally on eB2B. How many cities do you further want to expand, i.e. how many more years could we see further expansion in the eB2B business before it comes at a meaningful scale and the incremental investment should not be as high?

Falguni Nayar: I think we are not focusing from a city perspective level. I think the way we are looking at it is that we have a certain revenue growth target and certain amount of revenue growth happens through improvement in productivity of the existing network and som e amount happens through investment in newer geographies. I don't think we are covering all over the country.

So, I think the new geography is not like going to a totally new geography. I think like we already

cover 1,100 cities, which is very wide. And like you saw last year, we increased by 250 cities. So, I don't think overnight is going to change to like covering 3,000 cities or anything like that.
So, I think we'll keep adding to the coverage in a way that the overall unit economics of the business doesn't get worse.
Moderator: I now request Videesha from Ambit to please accept the prompt on the screen. Since there is no response, I'll now request Vijit Jain from Citi to please accept the prompt on the screen.
Vijit Jain: My first question is now you have had same -day, next -day delivery for about a little more than 2 quarters, I believe, now. Could you talk a little bit about what kind of customer behavior changes are you seeing in the cohorts where you've been able to deli ver within that time frame?
Has it led to better retention metrics in a quantifiable way? And if you can talk a little bit about whether other metrics in the business like RTOs and returns metrics are different meaningfully when you and where you offer SDD, NDD versus the existing offerings? That's my first question.
Falguni Nayar: Yes, Anchit, would you like to take this?

Anchit Nayar: Yes, sure. So, I think, look, on as we say for us, as for any e-commerce or any retail business, convenience is one of the 3 main pillars of really bu

ilding a consumer value proposition. And we've always worked on improving our speed, and that reflects in the fact that our, O2D, order to delivery timelines have reduced from over 4 days to less than 2 days over the past 2- 3 years.
And today, as we've said before, 70% plus of orders across 110 cities are sitting at same day or next day delivery. So, our speed is getting a lot better. But it's not that we are doing this at the platform level. We're doing this across the assortment and across a majority of our demand in terms of, as I said, top 110 cities are 70%, SDD, NDD.
So, there is no real difference in the KPIs for consumers who are receiving orders same day or next day versus those for whom it is taking slightly longer, whether it be on average order value or anything like that. So again, it's because we're trying to solve for pan -India rollout here of SDD, NDD, and it's available on the entire assortment. So, it's not like there's some limited assortment, etcetera. So, anything that we can, if you live in a particular pin code in a particular city, then a large part of that assortment is now available. So, I would say there's not too much of a difference in some of the KPIs we track.
Vijit Jain: Got it, Anchit. Because I asked in general, for a lot of e -commerce platforms, generally, when you've seen spread up fulfillment for whatever reasons, RTOs, tend to move down and those kind of metrics we. So, I was wondering. But your answers were helpful. My second question is on Fashion business. I just wanted to get a broad sense on about a year or so back at one point of time, you guys had mentioned that when you're launching new products, either through y our own brand or through others, the journey from concept to retail is like 6 months to 1 year for most of the goods on the platform, right? Has that shrunk meaningfully since? Do you think that is one of the major vectors of competition that you will see as Shein comes on board into India?
That's my second question.
Falguni Nayar: We think our own brands on our platform is not a very large contributor. I mean we've always announced it that it's about 10% to 12%, but that was always -- we had said the GMV of our own brands to a GMV of our fashion omni -channel business. And within that, it had also the fashion private label that we sell on third-party platform. So, I think I just want to remind you that really, yes, I do understand that fast fashion is what Shein will bring in and fast fashion is what is prevailing in th e industry now. So, to that extent, own labels would have to do that.
But I think if you are asking for a rol e of dot com. Dot com is going to get that kind of speed of new launches through a lot of D 2C and other brands that are also coming on to our platform, international brands, D2C brands like Cider is a very similar model to Shein. So, there are other players from China, which have a similar model that are operating. So, there are a number of players who will cater to that need for speed of launch. And our own labels may also participate in that. With that, I think if A dwaita wants to come in.
Adwaita Nayar: Yes. No, I think we are not trying to launch at an interval quicker than 6 months. We don't really think that is the problem to be solved with the need of the consumer. I think the consumer does want constant freshness with new drops every month. So, our own brands are obviously dropping product every single month to provide them the newness. But yes, that cycle does begin 6 months

in advance. That being said, we do retail a lot of other fast fashion brands and folks who are able to bring trends to the market very, very quickly. And so, we're being able to leverage that sort of fast fashion trendy behavior via our third-party brands, of which we struck a couple of very interesting arrangements w

here we have a lot of exclusive merchandise coming from those brands and players.
Falguni Nayar: I think at a strategic level, if I may s ay at this point, we want our fashion labels to be enablers to our dot -com business and, they are being built as brands with the journey, which is independent of just our platform and beyond that also. But I don't think the ambition is to build a very big fashion brand with the aggression of trying to match some of the fastest, largest fashion brands in the country. So, we are not coming from that. We really are retailers - I always s ay that for even Beauty that we are a retailer first, and we want to continu e to build strong retail platforms. I think on beauty.com, now we are so large that, that is also giving us opportunity to build our beauty brands in a much stronger way because we are a very large distributor. But again, when we are building those brands, we are building them both on platform and off platform. So, we have a brand approach to building brands, but distribution strength is also important, and that is what is the unique source that Nykaa has.
Moderator: I now request that Siddhartha Bera from Nomura to please accept the prompt on the screen.
Siddhartha Bera : The first question is on this growth on the BPC side in the NSV. So, we have seen now for quite some time that the NSV growth has lagged the GMV growth in the BPC segment. So, what is really driving this? Will this converge at some point or? There are some fundamental changes in the business, which will continue to drive this? Some thoughts here?
Falguni Nayar: It has converted this time. This time, the NSV growth is slightly faster than the GMV growth.
Siddhartha Bera: Okay. Okay.
Falguni Nayar: Sorry, I think NSV and revenue from operation is similar. I think, yes, the GMV is still slightly higher at 32%.
Siddhartha Bera: Yes. So, anything particular which we should look at, which has changed because it's like for the last few quarters, we have seen consistently NSV underperforming the GMV. So, any thoughts here will be helpful.
Falguni Nayar: No. I think what we were telling you earlier was that basically, this is reflective of all the brands who sell on our platform. And discounts in the industry had been going up over the last 5- 6 quarters because of competitiveness amongst all the brands. A lot of international brands are coming into the country, a lot of domestic brands, which already have been there for a long time are competing with each other and a lot of D2C brands are also jumping into the picture. So that had led to addi tional competition. And as a result, the brands were discounting to compete with each other. So, there is some amount of that reflection in there.

Siddhartha Bera: Understood. And second is on this BPC business. Again, I mean, if I look at the profitability, at least at the EBITDA level, it's been stuck at a certain range for quite some time now with offsetting factors always coming from a bigger push towards growth. Do you think at some point or at a certain scale, we should start touching that double -digit type of profitability in the near -
- next few years?
Falguni Nayar: Yes. I think like what I've been trying to say is that most of the investment, we have done a lot of improvement in many of the direct cost items. And I think marketing, which is also a direct cost item, we have chosen to invest a little bit more than, say , a year ago when it was at 9.5% for Beauty and now it's at 10.1%. We don't see this as something getting adverse. We see a conscious strategy and decision to invest more in marketing to accelerate our growth and that you can see in terms of acceleration in our customer acquisition and in our growth, and we do believe that, that's been very valuable.
I think the next line that we need to really work on is ot

her expenses, which have been 12.6% a year ago and only 12.5% now. There could be some improvement in controlling those expenses and we would like to do that. And yes, so I think net -net, we do beli eve that over time, we'd like to control both marketing expenses, bring them down and control other expenses, bring them down, and those 2 can lead to improvement in EBITDA margin for Beauty vertical.
Siddhartha Bera: Got it. Lastly, on the gross profitability side for the BPC. Do you think there are further levers where we can look to sort of improve that from where we are already like higher growth in the house of brands or some other areas where you can think that we 'll continue to improve our gross profitability? Or this is largely probably at a level where you need to look at more other costs to sort of improve the overall profitability?
Falguni Nayar: No. I think while gross profit margin is quite healthy, yes, I think -- I wouldn't say that there are no drivers at all available to e-commerce businesses. I mean, advertising is one such driver, charging for maybe faster delivery in some at a future date or a whole bunch of stuff.
But I think we have a very large business. So, what all will move the needle is a key question

mark rather than are there ways in which we are improving our gross profit margin. We are, of course, improving. We showed earlier that even in B2B business, we've had improvement in gross profit margin. We have had some improvement in gross profit margin in overall in Beauty business, like it's moved up from 42.2% a year ago to 43.4% now.
So, I wouldn't say that it's a very healthy number, and I don't want you to believe that, oh, it's going to go up soon, but I also would not like to admit that there is no ability to improve that. And yes, as a company, we keep trying to improve our gross profit margin. But because it's a very large number on a large business, you have to do a lot of initiatives so that it can move the needle.
Anchit Nayar: Yes. Maybe I can add. I would say that each of the individual businesses that sit within the Beauty vertical have certain opportunities to improve gross margin. For example, for the multi - brand retail business, if the premiumization of the category plays o ut nicely, then that is also

margin accretive. If ad income, as I spoke about earlier, if that revives it continues to revive and if we continue to create more opportunities for brands to advertise on our platform, that could be gross margin positive. And for B2B as well, there are things the team is working on to improve gross margin, as you said, house of brands.
But I think where it gets very complex is that this vertical is a combination of those businesses.
So sometimes even if each business is independently improving their cost structure, improving their margins, if one business that is smaller than the other grows faster, naturally off of a smaller base and becomes a larger percentage of the total mix, at a consolidated level, that can look like it's staying flat. So, I hope you understand that complexity also. But what I can assure you is that each of the unde rlying businesses have improved their respective margin profiles over the past several quarters and years for that matter.
Moderator: That was the last question we can take today. You may reach out to Nykaa's Investor Relations team for any additional queries. I would now like to hand the conference over to management for closing comments.
Falguni Nayar: Thank you very much. We've really enjoyed this participation from all of you. I hope we've been able to answer most of your questions. And I also want to thank my team on this side who have participated in this call and provided you access to that thought process. So, thank you very much, everyone, who have participated in this call. And with that, I look forw

ard to connecting with you in the future.
Moderator: Thank you.
P. Ganesh: Thank you.
Anchit Nayar: Thank you.
Adwaita Nayar: Thank you.

Call: Jun 2025

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa. com
CIN: L52600MH2012PLC230136

June 0 4, 2025

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir / Madam ,
Subject: Transcript of the Conference Call for Analyst / Investors for discussing Audited Standalone and Consolidated Financial Results for the quarter and financial year ended March 31, 2025

Please find enclosed the transcript of the Analyst / Investor Conference Call held on Friday , May 30, 2025 with regard to the A udited Standalone and Consolidated Financial Results for the quarter and financial year ended March 31, 2025.

This intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You,

Yours faithfully,
For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Encl.: As Above

"FSN E -Commerce Ventures Limited (Nykaa)
Q4 FY '25 Earnings Conference Call"
May 3 0, 202 5

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MS. ADWAITA NAYAR – EXECUTIVE DIRECTOR , CHIEF EXECUTIVE OFFICER , NYKAA FASHION – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER , NYKAA DISTRIBUTION – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ABHIJEET DABAS – EXECUTIVE VICE PRESIDENT

– NYKAAFASHION .COM – FSN E-COMMERCE
VENTURES LIMITED (NYKAA)
MR. P. GANESH – CHIEF FINANCIAL OFFICER – FSN
E-COMMERCE VENTURES LIMITED (NYKAA)

Moderator: Hi. Good evening, everyone. This is Michelle from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q4 FY '25 Earnings Call.

From the management at Nykaa, we have Ms. Falguni Nayar, Executive Chairperson, MD and CEO; Mr. Anchit Nayar, Executive Director and CEO, Beauty; Ms. Adwaita Nayar, Executive Director and CEO, Nykaa Fashion; Mr. Vishal Gupta, CEO, Nykaa Dis tribution; Abhijeet Dabas, Executive Vice President, Nykaafashion.com; Mr. P. Ganesh, Chief Financial Officer.

Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature, and the disclaime r to this effect has been included in the earnings presentation shared with you earlier , kindly note that this call is meant for investors and analysts only. By participating in this event, you consent to such recording, distribution and publication.

A ll participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation from management concludes. With that, over to you, Falguni, for opening remarks.

Falguni Nayar: Thank you. Good afternoon, everyone, in Europe where I am, but it's a pleasure to see all of you. Good evening to all of you and really happy to present the quarter and the full year results for March 31, 2025.

Starting with One Nykaa highlights , happy to say that the GMV for the fourth quarter continued to grow at a fast pace of 27% year -on-year growth and the GMV for the quarter was INR4,102 crores.

Net revenue similarly showed a 24% year -on-year growth coming out at INR2,062 crores. Gross margins were healthy at 44.1% for the One Nykaa. And this reflects an improvement of 151 basis points on a year -on-year basis. EBITDA has come out at INR133 crores for the quarter. That's a 6.5% EBITDA on a percentage to revenue basis, and that's about a 43% year -on-year growth, improving profit margins compared to the revenue growth.

And finally, on the PAT at INR19 crores PAT with 0.9% of net revenue and a year -on-year growth of 110%. Next, the results for the full year are similar with a 25% growth in GMV with the GMV of One Nykaa at INR15,604 crores.

Net revenue came out at INR7,950 crores, almost $1 billion revenues, and that showed a 24% year-on-year growth on a full year basis. Gross margin came out at 43.7%, an 84 basis point improvement on an annual basis.

And EBITDA for the full year at INR474 crores, that's a 6 percentage of net revenue and 37% year-on-year growth. On the PAT, the PAT is at INR72 crores, again, 0.9% of net revenue and a 81% year -on-year growth on a full year basis.

Next, moving on , giving some color on Beauty and Fashion. Beauty has had a strong year, growing at 31% in the fourth quarter to result in a GMV of INR3,058 crores. And similarly, the full year growth has come out at 30%, and that's about INR11,775 crores GMV.

On a net re venue basis also, the Beauty business has grown at 25% on a year -on-year basis with a net revenue at INR1,895 crores for the quarter and INR7,251 crores for the full year, which is a similar 25% year -on-year growth. This reflects a strong performance acros s all of the beauty verticals, which includes e -commerce, physical retail, our house of brands as well as eB2B business, which provides for the distribution to retailers.

On the fashion front, the picture was slightly subdued with 18%; however, you can se e a clear improvement for this quarter. The fourth quarter GMV improvement in fashion is 18% year -on-year growth, a revival from the previous quarter. And similarly, for the full year, the fashion growth has come out at 12% on a year -on-year basis -- on a GMV basis at INR3,804 crores of GMV, total GMV.

And if we were to look at it on a net r

evenue basis, again, the improvement was 11% for the quarter and almost 19% on a year -on-year basis with the full year fashion GMV at INR675 crores. The fashion growth r evival is against a muted performance still in the industry; however, it is reflected through both growth in fashion.com vertical as well as the LBB, which is part of

now the fashion vertical, and that momentum is likely to continue.
2025 was -- for Nykaa was truly a transformative year for success. We now have 42 million cumulative customer base, which is a 28% growth. So we have clearly accelerated customer acquisition in more recent quarters, and you can see the impact of that. Similarly, the stor e rollout, now we have 237 stores, largest beauty retail network in the country, and almost 50 stores were added in the financial year '25, which is again the highest ever number of store rollout in a year.
We now have 8,600 brands across beauty and fashio n, the largest beauty assortment in India and highest ever brands launched in 2025. 2025 was a very successful year from brand launches where a lot of global brands now see India as an important market. And through the year, we saw launches of iconic brand s like NARS, Kérastase, YSL and more recently, Chanel on Nykaa platform.
In fashion, the story is similar with many iconic brands like Victoria's Secret and others choosing to launch on Nykaa, including domestic D2C brands, which are also coming up in fas hion, brands like Stitch, Hopscotch and many others, which are doing well, have also chosen to list on Nykaa.
Consumer immersion initiatives continued. Nykaa Land was the biggest beauty festival. You heard about it earlier. Nykaa Wali Shaadi also did reall y, really well. It was our effort to -- I think beauty consumption and weddings in India go well together. And this show allowed that to be told as a story. And this was among the top 10 OTT shows for several weeks on OTT platform. So that was a clear succ ess from a positioning perspective.
From a makeover perspective, also, we've been accelerating the amount of makeovers we do in our store, where all across our physical store network, we are engaging customers more with makeovers that results in further e ducation and growth of beauty consumption. With this, we

have almost $1.8 billion of GMV across all our platforms from Nykaa Beauty to Nykaa Fashion to Nykaa Man and also the Superstore, which services the retailers.
Next. With that, I hand over to Anchit to talk about Beauty Multi Brand Retail.
Anchit Nayar: Okay. Thank you very much. So I'll walk everyone through the results for the beauty vertical relatively quickly. I think as Falguni mentioned, it was a very strong year for the Beauty business, and th e business delivered 30% -- roughly 30% growth in all 4 quarters, as you can see from the bar chart on this slide.
For Q4, the growth was at 31% year -over-year at INR3,058 crores of GMV. On an annual -- on a full year basis, it's INR11,775 crores at a 30% growth year -over-year. We believe this is significantly ahead of the rest of the industry, the rest of the India online BPC ecosystem, which we believe is growing roughly mid 23% to 25% CAGR over the past several years. In terms of the key growth drivers f or this growth momentum, which we have seen this year and in the past several quarters, the first has been accelerated customer acquisition.
Nykaa has invested behind acquiring new customers into the beauty funnel and bringing more shoppers into online sh opping for beauty products. Second, we continue to be the partner of choice for both global and domestic beauty brands, and we continue to strengthen this partnership, and that has resulted in several very exciting brand launches, which we will discuss with you in subsequent slides.
Third, our retail network continues to expand at a healthy clip. Almost

50 stores were added in
this year alone, which is the largest number of store additions we've done in our history. And at the same time, we continue to deli ver very healthy same -store sales growth which will be again expanded on in subsequent slides.
And lastly, but I think equally importantly, we have managed to deliver a very strong performance for our key brand partners that is ultimately resulting in this strong growth momentum that the Beauty business has seen , just double -clicking on the customer acquisition piece.
As you can see, in Q4 and at the exit of FY '25, we've ended with 15.8 million annual unique transacting customers. This is a 27% growth year -over-year. So I think significant growth in transacting customer base while managing to moderate and keep marketing expenses relatively in line.
You can see we've ended the year at 9.3% of NSV and 9% for Q4. So just expanding a bit more on the fact that N ykaa remains the #1 partner of choice for global beauty brands. You can see on this slide, some of the biggest and best -known global brands have chosen to partner with Nykaa for their India market launch. You can see brands such as NARS, Kérastase, which i s a leading hair care -- a luxury hair care brand that is owned by the L'Oreal Group, did launch on Nykaa in this past year. YSL, again, owned by the L'Oreal Group, launched exclusively on

Nykaa.

Eucerin is a derma skincare brand owned by the Beiersdorf G roup. This was launched exclusively on Nykaa and is an incredibly strong brand in the skincare space. And you can see ghd, OBAGI, Dr. Jart, et cetera. So the list is long. I won't go through all of them.

But just to give you a sense that global brands are looking at India -- continue to look at India now more than ever as a priority market. And within India, they see Nykaa as the partner of choice given the kind of scale of distribution, the quality of customers as well as the bespoke marketing and brand eq uity building that we help our brands to do in the market.

Next slide, please -- next slide, please, yes. So this is now just quickly touching upon FY '26 because it's fresh off the press, and we thought we'll share it with you as well. FY '26 in Q1, we've continued with this strong performance of global iconic brands being launched on Nykaa. Some of them are mentioned here such as Chanel, which is one of the most iconic luxury beauty brands in the world, Armani Beauty as well, Aestura, Supergoop, Nexus an d Love tc etc. Many of these brands have come again, as I mentioned earlier on the call, exclusively to Nykaa despite there being many retail options available in the country today.

Just spending a minute on the Chanel launch because I think it' s important to mention. I would say this is a milestone for Nykaa in its journey as a beauty retail platform. It is a -- as I mentioned earlier, Chanel is one of the most iconic global luxury brands in the world. And they have chosen to partner with Nykaa to launch their beauty and fragrance portfolio in the market.

What we're showing you here is the kind of bespoke work which we did in partnership with Chanel to make sure that we were representing the brand in the way that they like to be represented globa lly and making that possible in India. These are just examples of how the brand is represented on our app, but you can also please go see our physical stores and see how the brand is being displayed in stores.

So this was something which we worked on with the Chanel Group for many years to get them comfort with India, get them comfort with Nykaa and ultimately launch in the market with us exclusively.

Next slide. Just giving another example of a brand. Supergoop is a brand which we are not only retailing e xclusively in India, but it's also a brand which we are serving as the importer and distributor for. And this is thr

ough our Nykaa Global store business, which we've spoken about in the past. So this is a brand which we import and we manage end -to-end serv ices for the brand in the country. It is a highly popular trending sun protection brand from the U.S.

And for us, sun care has been a big priority, especially in the summer months in India and how do we continue to encourage more Indians to adopt sun care as part of their everyday routine. And this brand goes a long way in continuing to help us to achieve that mission. And today, skin -- today for us, sun care is one of the -- is the third largest category within skincare on Nykaa. So it has grown in popula rity immensely. And it's one of the top 3 search terms on Nykaa.

And this brand, which we are importing and retailing has quickly gone on to become the #1 premium sun care brand on the platform as well. Spending a minute on physical retail. As you can see , we are today at 237 stores across 79 cities. In FY '25, we added 50 new stores across 11 new cities, so really taking our retail penetration deeper into the country.

Today, we have 2.5 lakh square feet of retail space, and this is a 45% increase year -over-year. GMV growth, very healthy in physical retail as well at 31%. Same -store sales growth, I think this is the metric which we are very happy about, which is 15% same -store sales growth in what I think has been a volatile and slightly tepid market on the physical retail side for most of the country, but I think delivering very strong like -for-like growth shows that there is clear product market fit for Nykaa's retail network as well.

And as you know, our store network is profitable. And as we've mentione d in the past, our stores tend to break even usually within the first year or less than that even. And now you can see from the map on the left, we are very well distributed across the country. We continue to have the largest store count in the North, but very quickly, we are expanding in the South and in the East as well.

This is just some quick photos of how our stores are looking. They have -- clearly, we are upgrading both the design as well as the experiences in our store to reflect the new reality of the market, which is consumers want more engagement, more experiences and Nykaa wants to lead

the way in really how we innovate in terms of beauty retailing in the country. This is images of our stores.
As you can see, there is a lot of experiential zones, a lot of areas for consumers to come and engage with products to -- as we say, come and play, come and play with makeup, come and play with skin care and to educate themselves because we believe that education is ultimately the best enabler for consumptio n.
In terms of the kind of brands, you can see the names mentioned on the slide. We are also in a big push to become the destination for experiences. We are pushing services a lot in our stores. So a big focus on gifting and experiences, a lot of work we' re doing with beauty tech around skin consultations and AI and virtual tools.
But I think most importantly has been a strong emphasis on providing both free and paid makeovers as well as skin diagnostics in our stores to our consumers. And now we have done , I think this year itself, hundreds of thousands of makeovers have been given to our consumers.
Finally, we also had our Pink Love sale in this -- in Q4 of FY '25. And this sale, as you know, it's a flagship sale of ours. We do it once a quarter. The Pin k Love sale was done in FY -- in Q4 and had a phenomenal result. You can see massive reach as well as massive unique visitor count. So clearly, our sales are becoming flagship occasions for the Indian shopper to come and to really experience and to engage with the category. Lastly, I'll just spend a minute to talk about our content to commerce flywheel. It's something which we've

mentioned in the past, but I did

want to spend a minute today walking through all of the levers which we have. And I think Nykaa is quite unique in having built a very strong content to commerce flywheel.
And as you can see from this slide, we have multiple platforms through which we are able to create this content. The first is, of course, the Nykaa affiliate program. This is our influencer and content creator program.
Today, there's over 28,000 affiliates and influencers who are registered and are creating content on behalf of the platform. They are creating over 500,000 pieces of content in the year alone. And this goes a long wa y in driving a lot of amplification for the platform.
Secondly is Nykaa Play. This is our on -app beauty discovery platform where consumers can come and watch live streams and short -form video content. So very much in the same vein as live and social commerce that we're seeing in other markets. This has now gained a considerable scale, over 4 million views to our live streams and 15,000 shoppable videos have now been uploaded to Nykaa Play.
Third, of course, as you know, we are a large influencer on so cial media platforms across Instagram, YouTube and Facebook. With over 17 million followers, we have one of the largest social media followings for any retail company in the country and 130,000 posts on our Instagram.
Finally, on thought leadership, we bel ieve strongly in Nykaa's responsibility towards growing the beauty market and to grow the beauty market to drive heightened demand, we need to drive heightened awareness and education. And that is best done through these proprietary IPs we've created that have been shown on the page here.
This goes, again, to reiterate both with our brand partners as well as our consumers like us , position as the leader and the thought leader as well as the trend creator in the industry. And here are just some images of so me of the kind of on -ground experiential events, which we do as part of our overall content to commerce fly.
And with that, I'll pass it over to Adwaita who'll walk you through Nykaa's House of Brands.
Adwaita Nayar: Hi, everyone. So today, I'm looking fo rward to talking about our own brands business. We've been building a portfolio of brands over the last couple of years, and we're really starting to focus on it, building the right org chart and the right capabilities internally.
On this slide, you can see that we have 12 brands today in our portfolio. About 7 of them are on the beauty side and the rest are on fashion. And these are split across what we call high -growth and mature brands, which are now significant in size and scale , and we'll talk about that shortly and then emerging as well. The brands span across categories from makeup to skin care to lingerie to bath and body. And today, this entire portfolio of the House of Nykaa brands portfolio, as we're calling it, is about INR2,100 crore GMV business.

We can move on. Just double -clicking just on the beauty side of the own brands portfolio. In FY

'25, this portfolio has now achieved about INR1,700 crores of GMV, showing a 55% year -on-year growth. In quarter 4 itself, there wa s an acceleration further, and there's been a 72% year -on-year growth, taking the GMV for Q4 to INR526 crores.
On the right -hand side, you can see how this GMV is split across our own channels. So the pinks are the Nykaa online and the Nykaa stores. But al so there is about 40% of this business, which comes from other channels. And on the beauty side, that predominantly is GT as well as a little bit of DTC and Amazon business as well.
Moving on. I'm going to now double -click on our 3 largest brands on the be auty side. First, we have Dot & Key. This is today one of the largest D2C sk

in care brands in the country. We bought
this brand. We acquired this brand about 4 years ago when it was just INR38 crores in top line. And today, it's about INR530 crores of top line. It's been a tremendous 14x growth over 4 years. And I think importantly, they've built a brand with a lot of brand love and brand resonance with consumers.
Today, they are often the Number one skin care brand on Nykaa. And even on other channels, their products are often top ranked with incredible ratings and reviews. So this brand is completely on an upswing, and we're really leaning into the growth that the brand is achieving here. Some fantastic entrepreneurs run this brand, and it's doing very wel l.
We can move on. The second brand I'm going to talk about is Nykaa Cosmetics. So obviously, this is our flagship brand. It has the word Nykaa in it. This is a brand that we're feeling great about. The growth has been really strong this past year. It's n ow over INR350 crores in terms of GMV.
It's a brand that's known for trendiness for newness. It's had over 120 launches this past year. It's a very big part of the Nykaa platform business and also the Nykaa stores business. And we feel that it adds value t o both the platform and the stores and simultaneously also benefits from the distribution that Nykaa has.
Today, it also has about 38,000 doors in GT and in the market. But yes, predominantly, it's a Nykaa Online, Nykaa stores and a GT distributed business . There have been some really good launches this year. We've been really trying to uplift the brand in terms of premiumization, in terms of leaning into trends, in terms of upgrading the packaging, really trying to hit the innovation on its head. And I fe el that we've been successful this year on that as well. And a lot of the new launches have delivered outsized returns.
Moving on. I'm going to show you a video now of Nykaa Cosmetics just to give you a sense of what the brand is like. We've recently signe d Rasha Thadani as our ambassador, and we feel that she really embodies that young fun spirit that the brand is really looking to kind of capture. And so I'll let you watch this video.
[Video Presentation]

The third brand I'm going to talk about is Kay Beauty. This is a brand that we've been building along with Katrina Kaif. I feel that it's really come into its -- it's really exploding this year, and it's one of the fastest -growing brands on the platform. I t's hit about INR240 crores of GMV Again, the innovations have been fantastic this year. The Hydra Crème lipstick was often the top-performing lipstick on the site. The Jelly Blush and the Soft Mat full coverage Foundation have all been complete blockbust ers that have sort of shaken up the category. I think this brand really stands out for one being quite premium. So it is quite a premium brand, and I think the consumers are accepting it even at that price point. It's got great gross margins.
And also, I think the innovation is truly world -class, and we're working with some of the best formulators globally on this brand. Moving on. Here, we'll show you a quick video of this brand to give you a flavor of the positioning.
[Video Presentation]
Another brand t hat we're incubating. It's not as large as the previous 3 brands, but it's a brand that we're really starting to lean into this year is a brand called Wanderlust. It's a bath and body brand. We feel like it's a massive opportunity in India today. There are n't enough brands playing in the sensorial bath and body space.
And we really want to lean into it. It's hit about INR50 crores of GMV. We've redone the packaging, the branding. It's going to be a brand that's a lot about gifting and the gift sets are also doing extremely well on the platform today. We can move on.
Moving on to the fashion side, our own brands portfolio in fashion. Ther

e are 2 major brands
that we're supporting here. One is Nykd , which is our lingerie brand and one is Twenty Dresses. On the left -hand side, you can see that today, this portfolio has about INR430 crores of GMV in

FY '25. While overall, the growth has been a bit muted year -on-year at 4%, if you see right below that, the growth on our own platforms, which is our dot -com, N ykafashion.com has been 21%.
So I think it's been a sort of deliberate strategy to focus on Nykaa platforms and deemphasize third -party platforms for fashion specifically. And we felt that the quality of the business was just much better on our own platfor ms than on others. And so that's the shift that you're seeing, and that's sort of the reason why growth has been much stronger on our own platforms versus overall.
And I think that same messaging you can see on the right -hand side, and you can see how the GMV mix is changing where Nykaa itself is contributing a lot more to the sales of these brands, and we're deemphasizing some of the other channels.
We can move on. So as I mentioned, 2 major brands that we're focusing on fashion. One is the lingerie brand . I think there's fantastic product market fit here. It's the #1 lingerie brand on

Nykaa, and it's often one of the top 3 lingerie products on Amazon. The customer retention rates are great.
The reviews and ratings are great. And we do feel that we've got a very exceptional product team here, which comes with a lot of experience. It's a really tough product to make. And I think we have a bit of a moat in terms of our capability set here.
On the right -hand side, Twenty D resses, which is our Western wear bran d, again, has crossed INR100 crores in GMV, and it's a top 5 brand on Nykaa fashion in the Western wear category.
So with that, I'm going to hand over to Vishal to talk about eB2B. But just wanted to put in a note that we're feeling very bullish about our own brand strategy. We feel it's really coming together, and we're incubating these incredibly strong brands that are really starting to take over -- really take off.
And I think later this year, when we have the Investor Day, we're going to lean into the story and tell you a lot more about our own brand strategy. But feeling very excited that Nykaa is transitioning from being both a retailer, but now also we have our ambition on building this house of brands, and we're really developing our capabilities t o do the same.
And with that, I'll hand over to Vishal to talk about the Superstore business. Thank you.
Vishal Gupta: Thanks, Adwaita. So moving on to the Superstore eB2B business. We continue on our momentum to build profitable scale. And you can see that in 2 years, we have roughly tripled our business to now almost INR950 crores GMV with a 57% year -on-year growth. And we now contribute to about 8% of the beauty GMV.
I think what is important is not just growth, but also the quality of the growth. And it's a very nice balance between expansion to new retailers, which is very important as we become important to our brand partners.
So scal e becomes very important. But equally, we are also getting more business from our transacting retailers, which is sort of repeat behavior. So very -- because from 57% growth, 42% came from transacting retailers, rest from repeat business, yes. And we are c overing now 276,000 retailers, 1,100 cities. So we are actually building meaningful scale, which is important to our brand partners.
Next. Yes, you can see from this slide as well, a very healthy order growth of 44%, driven by retailer expansion. And also in quality of growth, what we sell is also important. So we are also premiumizing because that is also one of our levers to path to profitability to get more money from same orders.
Yes. Next. And no wonder, you will see across all the different metri

cs o f operating margin, we
are actually improving quite significantly. We improved gross margin by almost 200 bps on the back of mix and higher ad income.

You can see fulfillment costs coming down, leveraging scale and also move from third -party to owned wareh ouses because we have now scaled for operating owned warehouses, everywhere. And selling and distribution cost also comes down. So overall, contribution margin improved by almost 500 bps.
Now double -clicking on gross margin next slide. As Adwaita mentione d that she showed our good brands in beauty owned brands. And you can see that even in our eB2B retailer network, we are able to leverage that. And in a short period, we have grown almost 9x in terms of GMV,

and it's now contributing to a healthy high sing le digit in our business overall. So it's a nice pace. And you can see our featured brands also growing, which is our profitable brands, and this drives our profitability by mix. Apart from this, because of scale and trust that our brand partners have on our platform, we are able to leverage that into more ad income and almost 52% growth in ad income.

So all in all, I would like to again say that we are well on our way to profitable scale with another good quarter and another year on that journey. Thanks. Handing over to Abhijeet.

Abhijeet Dabas: Yes. Hi. Good evening, everyone. So I'll keep this very quick because some of the messages were already covered. So in Q4, as you see sequentially how the fashion business has performed through the year.

Finally, i n Q4, we are starting to see a turnaround, and we are entering the next year with strong positive momentum behind us. Q4 was INR1,000 -plus crores in GMV and more importantly, 18% year -on-year growth. Our estimates are that the industry growth has been much lower, around 10%, 11% by comparison.

So we have grown much faster than that. And more importantly, as we head into the next year, we are entering on the back of very strong momentum. What this translates to in terms of the year-on-year numbers, we are -- we closed the year at INR3,800 crores GMV, which was a 12% year-on-year growth. But also at the same time, we continue to improve our profitability. We have delivered close to 200 basis points improvement in EBITDA, which is structural improvement, and I' ll talk more about that as we go later.

Next slide. So one of the cornerstones of our strategy always has been to bring the best brands, both from India as well as internationally to our customers, both across beauty and fashion. And we have continued th at plank of our strategy during this year. More than 800 marquee brands have been added across categories with some salient names which have been added in Q4 itself.

I'll just point out from this slide what those brand names are. So the likes of Victoria's Secret in women's lingerie, on the men's side, multiple additions, Rare Rabbit, Snitch, the Indian Garage Company, Hopscotch, which is one of the largest brands in the country for kids wear and Le Creuset on home -- on the home furnishing side. So these are brands which we have added just

in Q4. And overall, a very large number of brands added and all doing meaningfully large business with us through the year.

Next slide. So along with the growth that is now back as of the last quarter, through the entire year, one thing which we have consistently moved very rapidly towards is becoming more profitable. And we have delivered 200 basis points EBITDA margin improvement for the full year; a large part of that has come through by consistent efforts to improve gross margin. So there is a 419, 420 bps improvement in gross margin over last year on the back of more content income, but also structural improvement in gross margins for the

underlying fashion
business i tself. We have improved fulfillment expenses by 136 bps in large measure because of lower leakages. Leakages are a structural problem in the online fashion industry, but the team has taken multiple initiatives to reduce leakages in the fashion business.

We have continued to invest on the other side ahead of the curve on marketing because this is still a very young business, and we have not slowed down on customer acquisition. So marketing investments have continued, which will hold us in good stead as we e nter the next year as well. And we have also continued to invest ahead of the curve in content, campaigns and events. As a result of which marketing expenses have been higher by 350 bps. But in spite of that, overall, on the contribution margin front, we h ave been better compared to last year by 160 bps. We have managed great control over our fixed expenses, which means that on SG&A and other expenses, we have delivered close to 40 bps improvement.

And hence, overall, on EBITDA, we have delivered close to 2 00 basis points improvement. So the key message on the Fashion business is that we are entering next year on the back of great momentum, and we'll be very happy to share during the Investor Day more color on what is the plan for the years to come.

Padmanab han Ganesh: Thanks, Abhijeet. So we'll now focus on the financial performance for the quarter ended March '25 as well as the full year FY '25. We maintained our strong growth momentum in Q4 with top line growing by 24% and with EBITDA growing even faster a t 43%, resulting in an EBITDA margin expansion and with EBITDA coming in at 6.5% for the quarter. This improvement has been driven by healthy gross profit growth, while we have continued to invest in marketing to drive future growth. Building on a strong q uarter, we closed FY '25 with a 24% growth in top line and a 37% growth in EBITDA, leading to a full year EBITDA margin of 6%.

Next slide. Yes, this is a snapshot of the P&L for the quarter as well as the full year. As we can

see, our consolidated profit for Q4 as well as FY '25 have grown handsomely. Gross profit grew 28% Y -o-Y, outpacing revenue growth of 24% during the quarter and a similar trend is seen in the full year as well.
Further, there is an improvement across most cost line items, which has led to an EBITDA margin expansion by 88 basis points during the quarter and 54 basis points for the full year. PAT has also -- just stay on the previous slide. Thank you.

PAT has also surged by 110% to deliver a margin of 0.9% for the quarter and 0.5% for the full year versus 0.5% in the corresponding quarter of the previous year. The key point to note over here is that gross margin -- the EBITDA margins have continued to grow strongly and leverage benefits have started kicking in, both on employee cost as well as on other expenses.
Now we can move to the next slide. Here is a quick snapshot of our annual vertical performance. As we can see, there's robust GMV and NSV growth in Beauty. And when it comes to gross margin, there is improvement which is seen ac ross beauty as well as fashion verticals, and this has contributed to improved EBITDA margins across verticals.
Going ahead. Here, we can see the gross margin expansion of 134 basis points, which has been delivered in FY '25. In the Beauty business, the im provement stands at 90 basis points, and this is also aided by strong performance of our own brands. In Fashion, higher service and marketing income contributed to gross margin expansion of 419 basis points.
Moving ahead. Continuing with some of the other cost line items. Here, we see a trend in fulfillment expenses. As a percentage of NSV, these costs have remained largely flat while we are focused on improving our order to delivery time lines.
So this has led to overall efficien

cy gain at One Nykaa level with fulfillment expenses standing
at 9.5% of NSV. Yes, we can move to the next slide. As we have seen in some of the earlier presentations, Abhijeet mentioned about that, Adwaita mentioned, so also Anchit, we have been focusing on investing behind accele rated customer acquisition, and this is reflected in the increased marketing investments during the year.
I mentioned a while back about leverage benefits starting to show up, and this is something which is very clearly reflected in this slide, where lever age benefits started to kick in with a 37 basis points improvement when it comes to employee expenses, while other expenses are also showing improvements from here. That brings us to the quarterly vertical reporting.
Here again, we can see scale efficienc ies being seen across cost line items and margin expansions are being seen while marketing investments have continued to move up. So overall, this is a picture where cost efficiencies across multiple lines are coming through, and this is helping us to inve st further in marketing.
And that's a reflection of the full year vertical, which shows a similar trend. Coming to some of the balance sheet items. We had mentioned in the past that our peak capex was in the year FY '22 and FY '23, where coming out of COVI D, we had invested in office space, warehousing capacity on the back of our regionalization strategy, we had increased significantly, in fact, by 70% in FY '23.
From there, as we had indicated, there's a moderation in the overall capex . So FY '24, it was at INR115 crores, which is now at INR128 crores in FY '25. What this has done for us, and we can see in the chart on the right -hand side is bulk of it is coming through our investment in tech as well as in the expansion of stores. Anchit mentioned about 50 stores being rolled out during the year, and that is getting reflected over here.

Next one. Focusing on balance sheet and efficiency in terms of capex, f ixed asset turnover is steady at 9.1%. There's a significant improvement in working capital with reduc tion in both inventory days, receivable days as well as improvement in payable days. So this is reflected in the form of working capital days coming down to 34 from 42 a year back and with ROCE now in double digits and going up to 11.3%.
Next slide. This is a summary of our balance sheet. So as you can see, what stands out over here is the working capital reduction with working capital days coming down from 42 to 34 days. What this is also reflecting is an improved cash flow position, which you will see in the subsequent slide.
So the operating cash flow now stands at INR467 crores. And what I would like to also point out is after lease payments as well as capex , there is still a significant amount of surplus cash.

So this is a reflection of the strong cash flows that we have started to generate over time. Yes. And just to round up, this is a summary of the business restructuring for streamlining operations, which we had announced earlier. We would like to update all of you that in May 2025, we received NCL T approval for both the schemes, which is a merger of LBB into Fashion. LBB was already 100% subsidiary of the Fashion business. The other one is a demerger of our Superstore business into Nykaa E-Retail. Both of these have received NCLT approvals and the financials now factor that in. Needless to mention, there is no impact as far as consolidated financials are concerned. What this will do for us is it will unlock synergies and lead to greater operational efficiencies going forward.

Yes. With that, I wou ld like to open the floor for Q&A.

Moderator: The first question is from Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar: Hi, thankyou for the opportunity. I have 2 questions, one on the BPC business, one on fashion.

On BPC business, the question is, how should one think about steady -state margins? For the last couple of years, the margins are hovering in the range of 8.7% to 8.9% and would love to understand some of the levers in this direction ?

And separately, I also wanted to understand how is the traction for the fast delivery what Nykaa has introduced in terms of 10 -minute to our same -day, next -day delivery? And is there an intent of expanding that into other cities?

And second question is on fashion. Again, similar question, what could be the steady -state growth one could think about from a fashion industry perspective? The industry was clearly going through a slowdown last year. Are we out of that slowdown? And should we start the growth accelerating? And any changes to your EBITDA breakeven guidance out here?

Anchit Nayar: Maybe I can kick off with the beauty questions, then we'll come to fashion. So I think, Sachin, on your first question around the margin outlook for the beauty vertical, I would, again, just

encourage you to remember that the beauty vertical consists of 3 different businesses with very different margin profiles.

So of course, you've got the beauty multi -brand retail business, then you've got the own brands business and you've now got eB2B as well. And as we've shared in the past, all 3 have considerably different margin profile.

So I think each business individually, especially on eB2B as well as own brands, definitely has shown improvement in their margins and we will continue to do so. The beauty multi -brand retail busines s, I would say, is in a very, very healthy place in terms of its margin profile, and we are focused on continuing to reinvest in customer acquisition on that front.

So the outlook for the margin profile for the entire vertical is, in a way, also an outcom e of the way that the mix evolves. Some of -- in a way, the mix is really at play here. Its own brands and eB2B, which currently have a lower margin profile than the multi -brand retail business. If they continue to grow faster than the retail business, tha t could put some downward pressure on margins at the consolidated beauty level.

But as I mentioned, and I'll emphasize again, all 3 businesses individually are improving their margins. Just -- there's probably just a bit less scope to do so on the more est ablished mature beauty retail -- multi -brand retail omnichannel business. So that's the answer to the first question.

Regarding our Nykaa Now, which is our rapid delivery that we've rolled out. Today, that is live in multiple cities, majorly the metros. A nd we have seen relatively good traction. And a good percentage of our orders are now being fulfilled in those metros which are being serviced through Nykaa Now through this rapid delivery framework, which is ensuring delivery within 60 minutes. So that is now very, very convenient for the consumer.

So that is live and it's now well beyond the test stage in a few key metros. There is a plan to expand it to several other metros in the coming months. But again, we will probably update you more in detail on Ny kaa Now at the Annual Day, which we will do later in the year -- in the coming months, actually. But we are seeing very promising traction on that front.

One thing I'll mention there is the key differentiator for us is we will have -- we have the largest assortment of beauty products available through our rapid delivery network. We've made a lot of our assortment available for Nykaa Now, and that's really been a big differentiator to the consumer to have that power of choice, which is still, I would say, n ot as well developed on some of the other rapid delivery platforms that are out there.

I'll pause there, see if there's anything FN would like to add. Otherwise, Abhijeet can go ahead on the fashion piece.

Falguni Nayar: No, I

just wanted to say we are al so building it in a way with a promise of within 2 -hour delivery with most likely delivery time lines of 60 minutes, which is a better way to build a beauty quick commerce business.

Sachin Salgaonkar: Falguni, just a quick follow -up out here. When we talk about steady -state margins, any number in mind? I do understand the margins are improving and the mix matters a lot.
Falguni Nayar: It's difficult to guide towards that. But the reality is that every -- I mean, the way to improve margins would be higher ow n brand mix, higher service income, including marketing and better quality brands that give us -- they value what Nykaa brings to the table and hence, are ready to give better margins. We see that even in eB2B business and also in Beauty business and in fashion business. So I think there are just so many drivers that it's hard to distinct. But I think Nykaa likes to work on all of that to try to improve margins over a period of time.
Abhijeet Dabas: Yes. So I'll quickly also answer the 2 questions on fashio n. So Sachin, your first question was, are we now finally coming out of the rather stagnant period of growth for the industry as a whole. So look, I think long term, the view on fashion as an online business still remains that we are -- as a country, we ar e just very underpenetrated still on online penetration in terms of the overall fashion category, which still remains true, particularly coming out of COVID for a few years. During COVID, many online businesses grew very fast, only then to be corrected a l ittle bit because many shoppers who bought online were maybe pre -COVID more accustomed to buying online and offline. Some of those who are purely buying online during COVID may have gone back to buying offline again. And hence, some correction in the indus try numbers was due to happen in the years coming out after COVID.
As far as our business goes, like we mentioned before, it's a business which is very fashion first, which is very trend first, and we anchor on working with key brands, with marquee brands -- as a challenge, actually, most brands are also facing, brands today are also moving -- trying to move to a world where online selling for them can also move away from discounts and more towards fashion -based selling, storytelling, things like that.
And in that sense, a platform like Nykaa becomes a natural choice for most brands of any salience. And we are seeing a lot of traction in being able to partner with brands on those fronts. So irrespective of how soon the industry overall recovers, I have conf idence that we will continue to build on the momentum we have hit in Q4 and continue to build from there because directionally, we are headed in the right direction. We are playing to our strengths. So fairly confident that numbers will continue to look up .
On the second question that you asked, which is any guidance on margins, again, same point that Anchit made. We'll talk more about this and for longer duration during the upcoming Investor Day. But structurally, even during this year, we have made struc tural improvements towards profitability. The 200 basis points I spoke about are not one -off improvements. These are structural improvements, which even as scale comes back, they will stay because we are trying to address challenges to profitability with a long-term nature in mind, things like leakages, which sooner or later, we have to solve. So improvements which are coming in because we have chanced upon solutions which help us reduce or control leakages, those are structural

in nature. Similarly, being selective about which brands we work with and keeping our unit economics healthy from the get -go are structural ways of building the business, right?
So

I think structurally, we are making improvements. Actual guidance, maybe this is -- the Investor Day w ill be a better time to talk about it.
Sachin Salgaonkar: Got it. But you guys are reiterating your guidance of breakeven of fashion by FY '26, right?
Abhijeet Dabas: We'll share more in the -- during the Investor Day, which is just in a few weeks from now .
Moderator: The next question is from Kapil Singh from Nomura.
Kapil Singh: Hi Goodevening, Congratulations on a good performance for the quarter. My question is on the fashion business. Just wanted to understand whether you feel that looking at what's be en happening in the Beauty business on offline retail, do you think this is a business which requires a stronger presence in the off line given the category might require more touch and feel from the consumers , so just some thoughts around that ? And second ly, are there any new categories, for example, things like wellness, et cetera, which could be relevant for...
Falguni Nayar: Yes. I'll answer both. So I think on physical retail, we must remember that most physical retail, multi -brand retail stores have a t best 60 to 80 brands and what sells online is so many number of brands. And as a result, the role that the physical retail has in a large geographically diverse market like India is meaningful but limited and both will have to go hand in hand.

So -- and Nykaa is definitely going for representation in top 100 cities of what we call as destination stores in top cities. And also, we are trying to do more through kiosks for Nykaa's own brands. So I think there's a fair amount of physical retail representation . But I think India will have a very reasonably large importance of e -commerce because of the number of brands and the reach that they can provide to cities beyond top 100.
So I think the structure of Indian economy and consumption is such that e -commerce will remain very, very relevant. But Nykaa is doing a lot of investment in physical retail, and we think we are far ahead of anybody else on this kind of network rollout. On your question about the wellness, yes, that remains an interesting category, whic h has in the past overall not taken a consumer fancy.
But I think globally and also in India, we do believe that increasingly wellness and wellness, both through products and also sometimes through services will be something that the beauty consumers also will embrace. And clearly, Nykaa would -- Nykaa is watching and would have a meaningful role.
We already retail wellness on our platform, and it's growing rapidly, and we will continue to grow that rapidly. We have a social media and a focus on wellness, and we support a number of brands, and there will be further increase in that. But yes, not -- I don't mean health, but wellness, which is more like long -term sustainable beauty is what remains interesting area for Nykaa. Like you can see Wellness Week her e that we have done.

Moderator: We'll take the next question from Sachin Dixit from JM Financial.
Sachin Dixit: Congrats on a great set of results. My first question is with regards to Beauty business largely. So considering we have now decently broad base of offline distribution in beauty, right? Is there any color that you're able to share on the customer overlap or consumer behavior between online and offline that you have seen so far?
Anchit Nayar: Yes, sure. Maybe I'll kick it off. Yes, we've always sa id that in India, there is nothing like an exclusively online consumer nor an exclusively offline consumer. I think especially in this millennial generation and beyond, consumers have different use cases for different -- based on the journey, right?
So onl ine lends itself very well to replenishment and convenience and things like that, whereas in-store experiences lend themselves well to education and

learning more about products and
how to apply them and how to incorporate beauty into your everyday routine . So there are different use cases for different channels, and we see a lot of overlap between our consumers where consumers who shop in our stores then tend to come and purchase online and vice versa. Consumers are shopping online. We also do actively se nd them into stores where they can possibly premiumize themselves in terms of the kind of products they're buying and also the ASP at which they're buying. So we see a lot of overlap. We think consumer is actually one and the same, by and large, for the mo st -- a majority of consumer is very, I would say, channel agnostic or open to experimenting and transacting in both channels.
And that's why I think it's so important actually for every retail -- for most retailers to have, especially in the beauty indust ry to have -- give consumers the opportunity to transact in either channel and not just be e -com only or offline only. And that's something -- that's a call we took, as you know, many, many years ago, almost 10 years ago. And we have steadily continued to expand that offline footprint.
So we see a lot of synergies and a lot of benefits to our business because of the fact that we are able to offer both online and offline at scale which is something that currently doesn't -- we don't see anybody doing it at the scale which we are in India.
Sachin Dixit: Anything on number overlap, Anchit, like how many customers are projecting in both channels?
Anchit Nayar: I don't know if we've disclosed it in the past, so I don't want to say anything right now. But what I can say is that it's a very, very significant percentage of our customer base. It's a meaningful percentage of our customer base is transacting across both online and offline.
Falguni Nayar: I think -- no, no, I think the one has to understand it. So I thi nk there are -- basically, it all depends on the pin code also. So a lot of our customers are from pin codes where there is no store. So obviously, those are only e -commerce customers. So the weight of physical retail in the total customers and total custo mer engagement is to be seen in that light. So there are many brands also on a similar basis. But yes, for the brands that do omnichannel, both channels are very important.

Anchit Nayar: Yes. I think that's a very, very important caveat, which is for the P IN codes and for the brands where both is an option, then you see a very strong overlap. But again, as we say, e -commerce, we're able to ship to over 20,000 PIN codes in India across the length and breadth of the country, whereas our stores, even at 237 st ores, we're only touching 79 -80 cities.
And it seems it's obviously a very large number. But if you look at it in a country like India, it's still -- there's still a lot of space that is unaddressed, and that's better addressed through e - commerce because just reminding you, we are not a local Kirana store type format. We're not a local pharmacy type format. Our stores are destination stores.
They are large format -- they're large -- played large -format experiential stores, right? And that's because we be lieve this category is high on experience, high on aspiration. And so we have tried to maintain that positioning for our stores, as you can see from this imagery. So yes, I think as FN mentioned, I think for the relevant PIN codes and the relevant brands, it's a very meaningful mix.
Falguni Nayar: I think I want to just say that having stores is an asset for a strong e -commerce player, but only store network cannot replace the e -commerce. I think global data also supports, and I think it's similar in India that the number of times the customers buy on e -commerce is far more en gaging than in physical retail.
So I think the 2 used together is the best way

to build rather than the only reliance on physical
retail will not get you to the right dominance in beau ty. And I think e -commerce is the first step along with physical retail, which ends up being valuable only for the premium brands.
Sachin Dixit: Fair enough. My second question is for Ganesh. On the operating cash flow side, Ganesh, obviously, we see a ver y, very sharp improvement Y -o-Y and looks like there was very strong control on receivables as well as improvement on payables. Can you qualify what has gone through? What have you really done to ensure that these improvements happen because there's a very remarkable improvement there.
Padmanabhan Ganesh: Thanks for the question. So needless to mention, it's a greater focus, greater cross -functional alignment, which has actually resulted in we being able to manage working capital far more tightly than we ha ve done in the past, not that it was not happening in the past. What has really changed is that there is far greater focus, which has come through and which is why you're seeing the benefit flowing through across inventory, across receivables, across payab les. It's actually tightly controlling that. That's really what's happened.
Moderator: We'll take the next question from Videesha from AMBIT Capital.
Videesha: So my first question -- actually, both of my questions were on the fashion business. The first o ne was what explains the improved GMV growth momentum in this segment because even the order growth has been ahead of the AUTC growth for the quarter.

So if you could elaborate on the initiatives undertaken, which have gone right because the proposition ha s not really changed. Even earlier, the focus was on differentiated and premium assortment ? So that would be my first question.
Abhijeet Dabas: So I'll take that. I think -- you're right, the proposition has not fundamentally changed, but I think it's just a function of onboarding, first of all, the right set of brands and just continuing to do deeper engagement with the brands. And we spoke a little bit about what new brands we have onboarded during the quarter. So the likes of Victoria's Secret or a Rare Rabbit or a Hopscotch, always on online platforms, our experience has been that when we add strong brands, business tend to be incremental in nature.
It doesn't cannibalize existing business because we are always able to unlock new use cases from sometimes the same customers as well as acquire new customers on the back of great brands. So that's one.
And secondly, this is the reason why I mentioned that this being a young business, what we have not slowed down during the year is new customer acquis ition, including in this quarter. And all the new customers acquired in previous quarters in more recent quarters actually lead to the tailwinds as we head into subsequent quarters.
So it's a combination of continuing to acquire new customers and just cont inuing to build better assortment and just strengthening the assortment, which has led to better growth during the last quarter.
Videesha: Got it. And the second question was when I look at your segment -wise performance in the filing, I see that the capita l employed for the fashion segment has decreased -- sorry, the asset for the fashion segment has decreased to INR320 crores. So any particular reason for the same?
Falguni Nayar: Fashion business is not very asset heavy because -- yes, we are focusing on building more and more brands through marketplace than inventory -led. And the inventory -led business is mostly

restricted to fashion own labels.
Videesha: So that's why we've seen a decrease in capital.
Moderator: The next question is from Abhisek Banerjee from ICICI Securities.
Abhisek Banerjee: My first question is to Ganesh. Sir, on the working capital bit, right, is there any impact of mix improve

ment given the mix has changed from fashion to beauty in the last 1 year?
Padmanabhan Ganesh: Overall, if yo u look at it, the change which has come about, which is not very pronounced, but a change all the same is the increased salience in the superstore business, which is within the beauty vertical. But overall, as I mentioned a while back, it's far greater and tighter control, which has resulted in reduction in working capital.
Abhisek Banerjee: So any guidance on where this number can go to over the next couple of years?

Padmanabhan Ganesh: Yes. So we are currently very close to a month in terms of net working capital. So I would say from here, yes, obviously, there would be more and more improvement opportunities, but unlikely to be as steep as what you have seen in the current year.
Abhisek Banerjee: Understood. And one more question to Anchit. So when we are asking about margin improvement in Beauty business, you are actually kind of indicating that we are at a high margin already, which I'm not denying. But given the kind of value add you give for the brand, do you not think that you are probably leaving som e margin on the table now?
Anchit Nayar: I think it's like an age -old debate between retailers and brands. So yes, of course, there's always scope for more. No, look, I think again, I'll just reiterate, I think each of the 3 businesses that sit within the beauty vertical have scope to improve their margin profile, right?
So even if I look at the main business, which is the beauty multi -brand retailing business, there is scope to continue to improve marketing income by creating more advertising opportunitie s on our platform, which we have been doing over the past several quarters. And I think we might have spoken about it in the past, but we are creating a lot more advertising opportunities, middle of funnel as well as lower funnel on a platform that histori cally used to be a top -of-funnel advertising platform.
So now we're creating across the funnel opportunities. We've built a campaign manager that now allows brands to bid for and manage their own ad inventory on our platform, and they are, therefore, able to take real -time decisions and invest much more frequently in advertising.
So there is -- and also, we are now -- with personalization, we're also enabling for smaller brands who earlier were not able to afford to advertise on our platform to be able to now advertise on the platform. So I think there is a lot of initiatives behind our ads business that I think can have a positive impact on advertising income or services income, as we call it. That's one opportunity.
Second is, as FN mentioned, if our ow n brands continue to outperform the way they have done over the past several quarters, that can also be margin accretive. Thirdly, there is obviously operating leverage and benefits of scale. If we continue to grow GMV at the clip at which we are, a lot of the costs like employee and G&A, that will obviously not scale at the same level.
So there is room for improvement there. So even in an established business like the beauty retailing business, which is already at very healthy margins, there is scope for improvement.
And then when I look at our own brands as well as our B2B, eB2B business there, as we've said in the past, we're still not where we want to be in terms of margin .
And that will come as those businesses get a bit more mature and as they get t o a better mix in terms of repeat versus new customers, and they continue to bring, as you can see on this slide, eB2B is continuing every year to bring its fulfillment cost down, its S&D cost down and improving its gross margin as well.

So again, as I sa id, all 3 businesses will improve their margin profiles. And ul

timately, how much of that is seen at the consolidated level is going to be an impact of mix, right? So that's the best I can really explain it to you. I hope that's helpful.
Moderator: . We take the next question from Avi Mehta from Macquarie.
Avi Mehta: I just wanted to kind of a sk on the fashion bit. We've -- for the last few quarters, we've gone on this journey to reduce losses, and that has been in the period of a weaker growth environment as well.You pointed towards expectations of a recovery or some sort of a change in that momentum.
Does that in any way require us to start putting investments back in the front versus margins?

How should I kind of look at that play is something that I would love to understand from you.
Second bit, if I may just kind of conclude is on the gross margin side. We've seen in the beauty side, a very good improvement in the gross margin profile, and congratulations on that. Would it be possible for you to give us some qualitative understanding of how does this flow through in each of the subsegme nts? Is this more a mix thing? Or is that the MBO or multi -brand retail is also seeing -- or each of the segments are seeing a diverse gross margin performance? Those are the 2 questions.
Abhijeet Dabas: So I'll take the fashion question first. So like you rightly observed, we are seeing the growth momentum coming back. I think by our estimates, industry growth is still slower or has not recovered back to the same levels as it was a year ago. It is still in the 10%, 11% range. But we know as a combination o f various initiatives, we have taken growth in our case is definitely coming back, and we are also seeing green shoots as we head -- as we are in the first few months of this new financial year.
So that we think is sustainably going to be there. And if you recall the margin numbers that we shared a while ago, unit economics even for the fashion business has significantly improved over the last year.
So with higher scale, I think we are looking at overall just more controlled burn. So we'll just continue to move faster towards profitability with better growth coming on board. On the gross margin side, flowing down to the contribution margin side, you've s een significant improvement. Marketing expenses also will get better because the way this works is that the more new customers we acquire today, the more within the repeat customer base, we have more recently acquired customers, which in general, tend to get activated with a lot better marketing efficiencies.
So this just becomes a virtuous cycle where new customer acquisition cannot be slowed down for a new business because that feeds into the customer base that we target tomorrow and the ROI on targeting those customers is significantly better.
So you will also see in the quarters to come, marketing effic iency improved significantly because we kept on investing into new customer acquisition throughout a year when acquisition or

business in general was slow. So healthy unit economics, in summary, will mean that we will continue to get better on EBITDA succe ssively for the fashion business.
Avi Mehta: Okay. Abhijeet, just a follow -up. I mean, the reason why I was asking is if I look at fourth quarter versus the last few quarters, while I do acknowledge the full year picture and it is encouraging to see, the f ourth quarter versus the last few quarters, there has been a change in the profitability profile. So I was just trying to appreciate this better or how should we kind of build it going forward between growth. So is the fourth quarter having some one -off, w hich is why there was a loss there?
Abhijeet Dabas: No. So I think the fourth quarter, if you look at the overall fashion vertical, like we mentioned before, the private label portfolio grew slower than the platform business overall. Th

e largest
part of th e business is still the fashion platform on which structurally as well as sequentially have been -- it has been very healthy on the gross margin front.
But when we include everything else, including the private label portfolio, particularly where we have c hosen to go, as Adwaita mentioned in the House of Brands section, we've chosen to go much slower on certain third -party channels consciously in this year. Including that, it may seem like the margin growth is not as much as you would expect on a sequential basis.
Avi Mehta: And the other part on the Beauty side?
Anchit Nayar: Sorry, would you mind repeating the question on Beauty?
Avi Mehta: Sure, Anchit. So if I look at the Beauty performance, whether it's on a fourth quarter basis or even for a full year basis, we've seen gross margins continue to perform well. Just wanted to appreciate whether this is -- how much of it would you kind of -- if you would give us some qualitative comments on whether each of the individual segments, how is this behaving and whether the competitive concerns that we had on the private side -- private -- our own brand side is now behind us?
Anchit Nayar: Yes. So I think qualitatively, obviously, as I said to the previous questions around the margin profile is that each business c ontinues to improve the gross margin. They just have different degrees of improvement that are possible given the stage of the business, right? So eB2B probably has meaningful scope to improve relative to where it is today.
Own brands definitely has a hea lthier gross margin because like any consumer brands business, the gross margin does tend to be -- can be -- is higher relatively than the retailers, but there's still room for them to improve there, and they have made some improvement.
And as I mentioned in my remarks regarding the ad income, there is also opportunity for gross

margin improvement in the multi -brand beauty retail business, not only through ad income, but also through mix of what we sell on the platform. So if premiumization and the sale of more prestige and luxury goods continues to play out the way it has, then that should also be a net positive.

Avi Mehta: Okay. So across -- and competition is no longer an issue, right? The price -based competition that you had earlier alluded to, that's no w no longer a concern.

Anchit Nayar: I think that comes and goes. It's very difficult to understand the thinking sometimes. For us, we are -- we really think long term, we think about we need to build this category the right way for ourselves, for our bran d partners and for our consumers to really engage with beauty in the right way, which means making the decisions for the right reasons, right, buying for the right reasons, which is not necessarily price.

We do want to offer value and we want to offer the right price for the right product, but we think well beyond that. And I think there are some players in the market who are maybe a bit more short -term thinking in their approach to how they play this segment. And so maybe at times when other categories are weaker, they tend to try to generate some acceleration in beauty to offset that weakness in other categories.

So it's difficult to give you a definitive answer whether this is behind us. It seems to be for now, but you never know. It can come up at any t ime. It's not the right way to do -- to build this category and our brand partners generally do not like it because it dilutes their equity. And hopefully, this is not going to be a big issue in the coming months and quarters, but I can't give you any guar antee on that.

Moderator: The next question is from Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question was actually on the eB2B business. Just wanted to get a sense on what is really driving the growth and profitabilit

y for this business? Is it expansion into new markets? Is it a result of repeat behavior? And is it the expansion of the portfolio which we are distributing? And also some sense on what is the mix of own brands in this distribution? So that was my first question.

Falguni Nayar: May I just say that all of that answer is yes, but it's -- at this call, it's now towards the end of the questions. It's going to be very hard. If you can just wait for the annual meeting that we're going to have very soon, you will get answers to it all b ecause what the way we are growing is all. It's not just expansion of geography, true Nykaa Style, it's trying to improve margins. It's trying to get more brands. It's trying to get high -quality retailers, repeat customer behavior, all of that. So I think it's better we discuss it in the Annual Day.

Sheela Rathi: Any sense Falguni, if I could get on how we should think about the F '26 outlook for that business? Any broad...

Falguni Nayar: We have to invest for a few more years before it gets to profitabilit y. We've given that long -term guidance last year, and we'll update that again this year. We also do a lot of work on longer -term guidance before the annual meeting, so it's better answered then rather than off the cuff, but I just wanted you to know that i t's all going in the right direction, but we share them.

But nothing -- it's all -- you're building a solid business for the long term, not that long term, but it needs work. It's not -- nothing is going to change overnight. But it's still solid capability that

we are building, and I already see a lot of our great -- I mean, large brand partners recognize and value this capability. But still one is path to profitability and other is margin improvement eventually in this business.

It's a business that is unique and it will need work on to get to the right levels. But as Nykaa does more for the brand partners and beauty is a large business with a lot of brands, I think one can get to better margin structures so that pays for the business.

Sheela Rat hi: Got it. And a quick one on Nykaa Now. Are we really using any of our physical store network for the fulfillment?

Falguni Nayar: No, we are not. No, that's not the model.

Anchit Nayar: No, no. I think maybe I'll just caveat that. So yes, I think to FN' s point, Nykaa Now is being done in a more traditional rapid delivery quick commerce type model, which is to leverage the dark store concept or as we call it the micro fulfillment centers. But that being said, we have the capability, which we have built ac tually during the pandemic, during COVID, which is to service what we call as hyperlocal delivery.

So using our physical stores to service e -commerce orders in that relevant pin code. So that
capability exists. We do use it, and it is used predominantly f or luxury products. But as we've
always said, our stores are destination stores. They are in relatively expensive real estate because
we like to be a destination aspirational store. And so it's not -- it doesn't make the most fiscal
sense to use them as wa rehouses. But yes, we do have -- the technology is built, and we do use
it to dispatch certain products and certain assortment to consumers from the stores.
Sheela Rathi: Understood. Hope to hear more details about Nykaa Now at the analyst meeting. Thank y ou.
Moderator: Thank you. Ladies and gentlemen, that was the last question we can take today. You may reach
out to Nykaa's Investor Relations team for any additional queries. I would now like to hand the
conference over to the management for closing comments. Thank you, and over to you.
Falguni Nayar: Okay. Thank you. Thank you, everybody. Thank you for being with us, and we really appreciate
your time you spend with us.
Padmanabhan Ganesh: Thank you. Thanks, everyone.
Anchit Nayar: Thank

you. Bye -bye.
Moderator: Thank you, members of the management. On behalf of FSN E -Commerce Ventures Limited, we
conclude the conference now. Thank you for your participation and you may exit the meeting.
Thank you.

Call: Aug 2025

FSN E -Commerce Ventures Limited

Registered Office : 104 Vasan Udyog Bhavan | Sun Mill Compound | S . B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa .com
CIN: L52600MH2012PLC230136

August 14, 2025

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir / Madam ,
Subject: Transcript of the Conference Call for Analyst / Investors

Please find enclosed herewith transcript of the Analyst / Investor Conference Call held on August 12, 2025, with regard s to the Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 202 5.

This intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
We request you to take the above information on records.

Thanking You,

Yours faithfully,
For FSN E -Commerce Ventures Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Encl.: As Above

"FSN E-Commerce Ventures Limited (Nykaa)
Q1 FY '2 6 Earnings Conference Call"
August 12 , 202 5

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY
MS. ADWAITA NAYAR – CO-FOUNDER , EXECUTIVE DIRECTOR , CHIEF EXECUTIVE OFFICER , NYKAA FASHION AND HEAD OF OWNED BRANDS
MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER , NYKAA DISTRIBUTION
MR. ABHIJEET DABAS – EXECUTIVE VICE PRESIDENT AND BUSINESS HEAD, NYKAA FASHION
MR. P. GANESH – CHIEF FINANCIAL OFFICER

Moderator: Hi. Good evening, everyone. This is Michelle from Chorus Call. Welcome to FSN E -Commerce

Ventures Limited Q1 FY '26 Earnings Call. From the management at Nykaa, we have
Ms. Falguni Nayar, Executive Chairperson, MD and CEO;
Mr. Anchit Nayar, Executive Director and CEO, Beauty;

Ms. Adwaita Nayar , Co-Founder of Nykaa , ED and CEO , Nykaa Fashion and Head of Owned Brands
Mr. Vishal Gupta, CEO, Nykaa Distribution
Mr. Abhijeet Dabas, Executive Vice President and Business Head for Nykaa Fashion
Mr. P. Ganesh, Chief Financial Officer

Before we start, we would like to point out that some of the statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this cal l is meant for investors and analysts only. By participating in this event, you consent to such recording, distribution and publication.

All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation from management concludes.

With that, over to you Falguni ma'am for opening remarks.

Falguni Nayar: Welcome, everyone, to Nykaa's quarterly results highlights. Just really happy to report that the strong growth momentum continues with this quarter GMV coming at 26% year-on -year growth and the GMV being INR 4,182 crores for the quarter. On a net revenue basis, also, the number is at INR 2,155 crores, which is stacking up as a 23% year -on-year growth in net revenue.

On the gross profit, I am happy to report that as a percentage of net revenue, gross profit has come out at 44.6%, which is about 27% growth year-on-year with gross profit stands at INR 962 crores.

Also, EBITDA continues to be at 6.5% of net revenue. And in absolute, it's coming out at INR 141 crores. That is 46% year-on- year growth. PAT has been reported for this quarter at INR 24 crores, which is a 1.1% of net revenue and a 79% year -on-year growth.

I think the momentum has been strong across both Beauty and Fashion with the GMV growth for the quarter being at 26% year -on-year for the Beauty business, and the number is INR 3,208 crores for the quarter.

Just want to remind everyone that this is based on a vertical reporting where our Beauty vertical is omni -channel beauty, e-com m, physical retail, House of Nykaa brands in Beauty as well as the Nykaa Superstore is all under this vertical.

And on the Fashion business, we have again seen a GMV growth of 25% on a year-on-year basis. The number is INR 964 crores for the quarter. And the Fashion is also reported on what we call as a vertical basis, where it includes fashion.com, fashion private brands as well as it includes the Nykaa Man platform, the lifestyle part of Nykaa Man and the LBB business that was acquired by Nykaa Fashion.

On the NSV basis, the growth in Beauty was at 25% year-on-year. And for Fashion, the NSV growth was slightly lower at 20% on a year-on- year basis. It was due to composition of the growth that it has led to 20% year-on-year growth at the NSV level.

On the EBITDA margin front, I think we are happy to report that the Beauty business EBITDA has improved from 8.5% a year ago to 9% this quarter. So 9% EBITDA for the Beauty business this quarter, which is an improvement of 0.5% over the similar quarter a y ear ago. And in the Fashion also, while EBITDA, albeit is still negative at minus 6.2%, it's a huge improvement from about a year ago where about 300 basis points has been a reduction in the EBITDA losses. And currently, the EBITDA margin stands at minus 6.2%.

So strong performance across all of the verticals, except Nykaa Fashion owned brands, where we are right now taking a little bit slower, consolidating our position and then grow faster from there. But there will be more information going forward.

In terms of Nykaa at one glance, we now have 45 million customers who have ever bought on Nykaa. That's a 30% year-on-year growth and a pretty healthy growth of customer acquisition across the board. On Beauty stores, we are now at 250 beauty stores across 82 cities. It is the largest specialized beauty store network in the country, of course, well beyond any other network that exists, much smaller networks.

On the brands front, we now have about 9,000 -plus brands across Beauty and Fashion. Almost 400 new brands were launched in the first quarter. Beauty launched about 100 brands and Fashion had a strong quarter with about 300 new brands being launched.

As you are all aware, we have launched a quick delivery service called Nykaa Now. It promises to be best in beauty products are being delivered between 30 to 120 minutes. It's an offering that our customers have liked. You'll hear more about it when Anchit speaks about it. We have rolled it out in 7 cities with 50 -plus rapid stores and almost 1.3 million orders have been served till date on this network.

With all of this, the annualized GMV across all the platforms of Nykaa is about $2 billion, a pretty healthy number, and we are really proud of what we've been able to build and create. We also decided to continue the brand building at Nykaa. And with this , we have brought on board a number of brand icons that champion the Nykaa values.

Sharvari Wagh has come in as an ambassador for Nykaa retail business. And you would have seen her films, I'm sure if you're a passionate buyer of Nykaa, a consumer of Nykaa, you would have seen these ads that we've done with her.

Lisa Haydon has come in as a brand ambassador, she's a global icon, and we've taken her as a brand ambassador for Nykaa Luxe. Again, a lot of experiential events are being rolled out for the Luxe business that you'll see later.

Rasha Thadani is our brand ambassador for Nykaa Cosmetics business. Rasha is full of energy style and bold approach to beauty and the young customers really relate to her. So it's been an

excellent choice for Nykaa Cosmetics. And Shanaya Kapoor and Ishaan Khatter have come on board to be the brand ambassador for Nykaa Fashion.

And with great style that they both have and upcoming rising stars of Bollywood. I think we're really happy to have iconic team of both Ishaan and Shanaya to represent our Nykaa Fashion business. With that, we move on further.

With that, I hand over to Anchit to talk about the beauty multi -brand retail business. Thank you.

Anchit Nayar: Okay. Thank you very much for that introduction. So for the multi -brand beauty retail business, I think, again, it's been a good quarter, good start to the year. GMV was at INR 3,208 crores, about 26% growth year-over-year. Annual unique transacting customers at 16.5 million as of Q1 FY '26 and again, 26% growth year-over-year.

The third metric we want to call out has been our average order values have grown at 4% to just over INR 2,000 and I'll just make a note that you can see that both our core objectives as a platform, which is penetration and premiumization, seem to be playing out well.

You can see the penetration objective being achieved through the growth in AUTC, and you can see the premiumization objective of ours now starting to play out nicely on average order value as well. And both combined are driving healthy GMV growth of 26%, w hich we believe is ahead of the market growth.

So every quarter, we talk about the growing relevance and the growing importance of India on the global stage when it comes to Beauty and Nykaa continues to spearhead to be the partner of choice for global brands as they look to enter the India market. This quarter was no different. We had some of the most iconic global brands launch w ith Nykaa.

As you can see, first and foremost, Chanel Beauty & Fragrance, which is one of the world's most marquee luxury beauty brands, has launched in India in a partnership with Nykaa . We are the only multi -brand retail platform to be retai

ling Chanel in India at this point in time.

We've also launched Armani Beauty, Supergoop , Anua, Aestura and a few more brands that are listed on the page. So we continue to see a lot of demand of brands wanting to enter India. And given the kind of consumer base, the kind of scale, our specialization and our O+O strategy, we continue to remain and continue t o be seen as the partner of choice for India for global brands.

Just double -clicking on why we are seen as partner of choice beyond just the size and scale of our platform and consumer base, it's also the fact that we have a full stack marketing capabilities, which we are able to provide to our brand partners. And here, you can see a couple of examples of some of the marketing we do on behalf of our brand partners.

One is, of course, digital and non -digital marketing, both on-platform and off-platform. And on the middle of the screen, you can see the kind of on-app brand storytelling and brand experiences, which we have built for our brand partners, which is considerably more immersive and experientia l that you see on most other platforms in India at this point in time.

And lastly, on the right -hand side of the page, you'll see that in addition to on-platform and off-platform marketing, we also have the ability to target our consumers across WhatsApp, App

Push , Emailer . So the fact that we can use all of these tools and use all these tools for a very large consumer base makes us a very, very strong marketeer, and that is a very important skill set for brands as they look to find a partner for India. Now just spending a minute on premiumization. As I said, both premiumizat ion and penetration are 2 core objectives for Nykaa.
On the premiumization front, we have doubled down our efforts this year and this quarter, especially with something we're calling the Nykaa Luxe Weekender. As part of that, we launched
Lisa Hayd on as the face of Nykaa Luxe. Nykaa Luxe is our assortment of all luxury and prestige beauty brands, which is also the largest assortment of luxury and prestige beauty brands in the country.
We support the launch of the new face with very robust on-platform and off-platform marketing,
including CRM as well as experiences both in our physical retail stores as well as in other physical points of sale, whereby consumers can come and educate thems elves and experience
luxury beauty at its finest.
And this, of course, is a large content and education play that gets combined very seamlessly with a very strong commercial strategy. And on the right -hand side, you can see that all of these
content campaigns are being commercialized very effectively thro ugh on-site curations and commercial offers.
This quarter, we again have had a very interesting and a very marquee I would say, campaign along with L'Oreal Paris. So as many of you know, L'Oreal is the largest beauty company in the world. We have a very deep relationship with L'Oreal over the past many years and we continue
to strengthen that relationship.
And in Q1, L'Oreal Paris chose Nykaa as its official partner for their Cannes Film Festival in France. And as you can see, again, a perfect example of how Nykaa ties content and commerce together. We live streamed this event directly from Cannes to the doorstep of all the Indian consumers who are watching on the Nykaa app. We also streamed and all the content on our social media platforms for all of our social media followers.
We also got access to exclusive content, which we created along with L'Oreal, leveraging Alia Bhatt, the brand ambassador to be, again, available on Nykaa platforms as well as offline in -store activations, including this beautiful L'Oreal Paris pop-ups, which we did across multiple stores, across multiple cities.
And finally, capitalizing on all of this great amplification and unique content creati

on by creating
a commercial peg, which is on the right -hand side of the screen, again, you can see, which included very strong commercial offers as well as exclusive launches during this 10 -day period of the partnership.

And this is just an example that shows how Nykaa is much more than just a point of sale or just a transactional relationship with brands. It truly is a very deep consumer-first 360-degree content to commerce relationship we have with all of our key partners.
Spending a minute on retail. This quarter was important because we have managed to cross the 250-store milestone. So today, we are and have been for the past few quarters, India's largest beauty specialist network in terms of offline. We are now present in 82 cities.
This quarter, we launched in 3 new cities and 2 new airports. And our retail space grew by about 36% year-over-year to 2.5 lakh plus square feet. In terms of some of the financial metrics, retail continues to put up strong growth numbers at 33% growth on G MV year - over-year. Like -for-like growth is again double digit.
So a lot of the growth is, yes, coming from new store openings, but very, very healthy like -for-like growth, which is a good sign of the health of the business. And finally, the entire store network is profitable and has been for the past several quarters. Just to again recap for the
listeners on this call, the different formats which we currently have.
We have obviously Nykaa Luxe store format, which are at about 85 stores, 10 of which are what we call flagship stores. So these are much larger floor plates at about 2,500 square feet plus. These are very experience-led stores with giving brands a lot of s pace to do their storytelling, a lot of in -store experiences like skin consultations and beauty services.
This is a store which is now present in several key metros. The Luxe, the Nykaa Luxe store, we
have 75 of those across Tier 1, Tier 2 cities as well. And finally, Nykaa On Trend and Nykaa Kiosk, which are our slightly smaller store formats. They lend thems elves very well to Tier 2,
Tier 3 expansion, and they have more affordable brands and products in these stores, which make them perfect for a younger consumer. So as you can see, we have Nykaa Luxe stores, which again help us to premiumize the consumer.
And then we have Nykaa On Trend and Nykaa Kiosk stores, which help us to drive further penetration of beauty into smaller cities. So both our premiumization and penetration objectives

also playing out nicely and being helped by physical retail.
Just spending a minute on experiential retail. We believe that retail is all about experience and young consumers are looking not just for a point of sale, but a space where they can educate themselves and entertain themselves, something which we call as edutainment.
And these are some of the services which we're now offering across a vast majority of our stores.
In Q1 alone, we hosted over 50 events across various cities in India in our stores. Our stores also today now offer free makeovers as well as paid makeovers, and we did about 63,000 makeovers in Q1 alone. We also offer skin consultations and facials, nail spa services and hair styling services. So very unique, Nykaa is leading the way in terms of driving experiential retail as the future of retail in India.

Spending a minute on Nykaa Now, something which we spoke about on the Annual Day as well as in the last quarter earnings. We have made significant progress in terms of the rollout and expansion of Nykaa Now. Today, we are present in across 7 cities, and we have over 50 rapid stores and almost 1.3 million plus orders have been delivered through Nykaa Now over the past several months since we launched Nykaa Now.
So Nykaa Now, again, is par

t of our broader strategy of improving speed and convenience while not compromising on the quality of the product, the quality of the experience that we are providing to our consumers.
And so you can see that today, Nykaa Now is actually the largest assortment of beauty products in India are provided through Nykaa Now. So we have the largest assortment of beauty products available within 30 minutes to 2 hours ' worth of delivery. And you can see that this business is scaling sustainably, and it is also getting a lot of consumer traction in the 7 cities in which we are currently present.
Finally, in Q1, we also host the Nykaa Pink Summer sale. And this year, the sale was again a successful sale. We grew at about 33%. And it is India's largest beauty sale with 2.9 million orders being delivered during that 10-day period across 19,000 pin codes. We had orders come from 99% of all Indian pin codes placed an order on the Nykaa app during the sale. We sold 1 lipstick every 2 seconds ; 16 fragrances were sold every 1 minute and over 400,000 luxury products were bought during the sale on our platform, and we drove a reach of almost 0.5 billion.
And you can see, as I said, again, this resulted in a 33% growth on GMV, 42% growth on GMV for prestige and premium beauty brands on our platform and 51% growth on customer acquisition. So again, the sale is a good example of how again, both the objectives of premiumization and penetration are being achieved through these metrics on the bottom of your screen.
And with that, I'll pass it over to Adwaita to take you through the House of Nykaa Brands business. Thank you.
Adwaita Nayar: Thank you, Anchit. So Q1 has been quite strong for the House of Nykaa brands. These are the brands that we build ourselves. And you can see that the Q1 annualized GMV number is about INR 2,700 crores. It's grown 57% year-on-year. And if we look at this over the last 5 years, the entire business has scaled 7x.
There's been a host of brands that we built internally and a couple of acquisitions along the way. If I had to talk about Q1's highlights, I would say that Dot & Key, one of the brands that we acquired about 4 years ago, has now crossed INR 1,500 crores in GMV on an annualized basis, and it's the number 1 skin care brand on Nykaa today with a strong distribution strategy outside of Nykaa as well.
And the second big highlight of Q1 is that Kay Beauty, which is our brand in partnership with Katrina Kaif is going global in the next couple of weeks, launching with Space NK in the U.K.
and I think that will open more doors globally speaking as well. Wit h that,

we can move on. Double -clicking on just the beauty side of our own brands portfolio. So in Q1, our beauty brands delivered about INR 578 crores of GMV. And on the right -hand side, you can see the split across various channel s. And you can see how year-on -year, there are slight shif ts.
But in a nutshell, in Q1 FY '26, about 46% of the business came from Nykaa online, 8% came from Nykaa stores and 46% from others, which is a mix of third -party e -commerce platforms, but also GT, MT and Nykaa's distribution business, so Nykaa Superstore bus iness.
So there is a diversification of distribution going on, and these brands are being built holistically across various platforms. We can move on. Double -clicking on Dot & Key, which is, like I said, a brand that we're really proud of this quarter. It is the number 1 skin care brand on Nykaa and

by many metrics, amongst the largest D2C skin care brands out there in India today.
It had a very big new launch this season, which was the Niacinamide Pink Strawberry serum that the brand launched. In terms of highlights, like I said, it's INR 1,500 crores of top line. But
I think importantly, the EBITDA margins on this business are in the high teens.
So there is a lot

of profitability in this side of the business. It has a very strong distribution strategy across Nykaa and other platforms as well, 250 Nykaa beauty stores, 30,000 selective doors via the Supers tore business, and it is strengthening its presence across categories, whether that's being number 1 in skin care, moisturizer and sunscreen, all very large skin categories that are very hard to disrupt and very competitive. So I think it is an owe to the strength of the brand and the strength of the product that they have.
Moving on. Nykaa Cosmetics, which is sort of our namesake brand. It's a brand that we've been building over the last 6 to 7 years in a very serious manner. It has now crossed INR 350 crores of GMV run rate. It's had some very strong launches this quarter, whether that's the Matte To Last Bullet lipstick or the 9 in 1 eyeshadow pallet e.
Both those launches have actually propelled the brand to being number 1 in lipstick as a category and eye shadow as a category, which are again massive categories on Nykaa.com. But again, this brand as well has distribution outside of Nykaa, including a very large GT presence for this brand.
I think what I'm really proud of for this brand is now 20% of revenue comes from new launches. And I think that's a marker of a lot of our innovations really hitting well. Moving on. I'll just show you a quick video about one of the recent launches in Nyka a Cosmetics. And these videos are really to give you a sense and flavor of how we're trying to build these brands in a very holistic manner.
A couple of other quick updates on some of our smaller brands that are now gaining momentum. Three of them in particular, Wanderlust, which is our Bath & Body brand. It is now the fifth largest brand on the site from a bath and body perspective. Then we've got Nykaa Skin, which is the number 1 sheet mask and face oil brand. It's also had a very st rong face wash launch recently.

And the third is Earth Rhythm, an acquisition. A company in which we have 70% plus share at the moment, which again is a brand that we're really focused on growing where we're trying to bring the goodness of the earth to meet the science of skin care and trying to build a proposition there. So all these brands are now picking up, and I think there will be very big growth engines for the future.
Moving on. Just briefly touching on our fashion brands. This is a smaller part of the portfolio. So it is about INR 97 crores of GMV in Q1. The growth is particularly focused on Nykaa platforms. I think there's been like sort of a strategy to focus more on our internal platforms and less on external.
And that's what you see here with the overall year-on-year growth being 7%, but the growth on Nykaa platforms being 26%. There's been a lot of just sort of reenergizing the brands on the platform and making it much more focused on what gaps they can fill on the platform and what value they can add there.
And so you can see that also reflected in the pie charts on the right, where you see that the Nykaa share of business is going up and channels like GT for at least fashion are being deprioritized. That's definitely not the story in beauty. But in fashion, we do feel that a more focused strategy, a more focused distribution strategy is the way to go.
I'll double -click quickly on just one fashion brand, which is Nykd, which is our lingerie brand. This is one brand where we feel we have excellent product market fit. And in 3 years, it is now an INR 170 crore s brand. This is focused on lingerie, very much focused on comfort and innovation. It is amongst the top-selling lingerie brands even on Amazon and of course, on Nykaa Fashion, it's number 1.
But again, this is a brand where we're going for 360-degree distribution, and we'll try to make it a brand that really stands on its own 2 fee

t, and we feel that we have a lot of customer love for this brand.
So with that, I'll hand over to Vishal, who will be speaking about the Superstore business.
Vishal Gupta: Thanks, Adwaita. Good evening, friends. We had yet another quarter of good performance on our path to profitable scale. We have increased our customer base by 45% with a little bit more than 3 lakh transacting retailers. We have added about 1 lakh retailers across 100 cities in 1 year, and we are now in 1,100-plus cities, which resulted in a 40% growth in GMV, almost touching

INR 300 crores for the quarter and which takes us to about 9% contribution to the beauty GMV. Next. And we have reached such a size and scale, which is quite meaningful to our brand partners, and we continue to attract and refresh our brand partners. And you can see on the slide, we added 14% more brands, and you can see some of the popular names t hat we have added. And our scale also meaningful enough to actually do justice to distribution of our own brands like Adwaita spoke about in beauty, and we have increased that by 8x in last 1 year.

Not only that, we are also on a path to profitability, we are driving premiumization with 11% growth in ASP and almost half of our portfolio is the much more profitable part, premium part of our portfolio.

We are also leveraging a lot of technology and digital to drive our field force productivity with a lot of gamification and also a shift in how the sales force engages the retailers from only physical to physical and digital in terms of how they interact w ith the retailers, while orders are obviously always placed on the app.

Next. And this is resulting in continuous improvement in our profitability with 139 bps improvement in gross margins, which is contributed by increase in contribution of our owned brands and 23% higher visibility income because of our size and scale. Our contribut ion margin improved by 309 bps.

Again, scale benefit and field force productivity through digital channels contributing to that and overall operating leverage, resulting in a 515 bps improvement in EBITDA margins. So overall, a good quarter on track with our expectations.

And with that, I will hand over to Abhijeet for the fashion piece.

Abhijeet Dabas: Thanks, Vishal. Next slide. So good evening, everyone. On the fashion side, again, we are very happy to share with you that we continue to bring back growth to the fashion business. Some of you will recall that quarter 4 of the last financial year was already an upswing in grow th for fashion, and we have continued to see that same trajectory continue.

Fashion grew 25% year-on-year in terms of GMV, reaching just north of INR 960 crores. From our estimates, this is significantly higher than the rate at which the market grew in the first quarter of this year.

And we believe that this is now sustainably going to be the case going forward. Along with that, also very happy to share that we improved on our bottom line from minus 9.2 % EBITDA in the same quarter last year to minus 6 .2%, which is a significant 304 bps improvement year-on-year. So both on growth and profitability, we believe we are headed exactly in the right direction.

Going forward. A large part of that growth came from our continuing efforts to acquire new customers. New customer acquisition grew north of 30% year-on-year, which reflected in traffic, but more importantly, also the active user base that we have because that's the more important number that we track in our business, which is what percentage of our user base is active over a more recent time period.

So across the funnel, we saw the goodness of new customer acquisition play out right from the total visits to the number of active users to overall also the cumulative customer base. And as a result, marketing cost also as a percentage of NSV improved year-on - year from 27.4% to 26.4%.

Next slide. Another big plank of our strategy has been much like on the Beauty and Personal Care side, to bring in marquee international brands into the country. And very happy to share

that this portfolio of brands outstripped even the pace of growth for the platform overall. Our portfolio of international brands, which is what we call the global store in our w ord, grew by 70% year -on-year.

And as a result, their contribution to the business grew by more than 500 bps. You see some of the names of these brands on the slide. Partnerships like Revolve, partnerships like Foot Locker and some of the others that you see on the slide are the ones which significantly grew over the last quarter.

Next slide. In the Investor Day, we had spoken about how we are not just a platform which sells a product at a price, but we are a platform which is differentiated by the way in which we sell fashion. We talk about t rends, we talk about occasions.

And towards that end, we created a property called the Nykaa Fashion Edit in this last quarter. Still early days, but we are seeing very, very strong traction from our consumers in how they engage and shop from the NF Edit stores. These are stores which are occasion -based, influencer -led, festive -led.

We use a combination of manually curated trends as well as now tech-enabled ways of scraping
the Internet for various kinds of trends that we can find and try to curate assortment real time for
those trends. It is just one attempt, and you will see many more like these in the months to come,
one attempt to become a trend -first platform and not just a platform which sells fashion
merchandise.
Next slide. Two sub-categories within the fashion portfolio again outstripped the overall platform growth. We grew the men business by 74% year-on -year, and that meant the
contribution of the men business in the overall pie went from 12% to 16%. Women still
contributes the li on's share of business to our overall size of business. But within that, men's
significantly increased in salience over the last year.
And also kids continues to grow. Just like last year, we saw good growth in spite of a tough year
in the kids business. This year, again, we are seeing very healthy 67% year-on-year growth on
the kids side. We have continued to add marquee brands across al l categories. You see some
names towards the bottom half of this slide. Many of these brands have come on to the platform
only in the last 3 to 6 months.
And within a short span of time, they are contributing to the top 5 or 10 brands in their respective categories, names like Snitch, Rare Rabbit, Hopscotch and so on. All of these are recent additions, but very quickly have grown to prominence in the last 6 months in their respective
categories.
Next slide. To summarize, and this is the last slide, again, we've had a quarter where we have
been able to grow at a significantly higher pace than the market overall, which has reflected in
also efficiencies flowing in. And we believe that this is a structural improvement and confident that this same performance will reflect i n the quarters to come as well.

So that's all from the fashion section. Thank you.
P. Ganesh: Thank you, Abhijeet. Yes. So we'll start with a quick look at the financial performance, and I'm
happy to share with all of you that continuing from the momentum of last year, we have started
financial yea r FY '26 on a very strong note.
Our revenue from operations grew by 23% during the quarter to INR 2,155 crores. We have seen
robust top line growth of mid-20s consistently now for several quarters with both of our core
business verticals outperforming the industry. Profitability has also seen a meaningful
im

provement.
Our EBITDA margin in Q1 also expanded by more than 100 basis points on a Y -o-Y basis and
stood at 6.5% for the quarter, driven by a strong focus on driving efficiencies across the P&L.
Our PAT grew 79% on a Y -o-Y basis, which is 3x of Y -o-Y revenue growth, delivering a 1.1%
PAT margin during the quarter.
Going to the next slide. Yes, this slide provides a snapshot of our profit and loss statement. I'd
like to highlight and discuss a few of the elements in greater detail. Gross margin saw a healthy
132 basis points improvement Y -o-Y during the quarter, standing at 44.6%, which is the highest
since Q3 FY '23. This margin expansion was supported by strong performance from House of
Nykaa Beauty brands and improving marketing and service income.
Our fulfillment expenses remained relatively steady at 9.4% despite increased order volume and
rollout of our faster delivery propositions. Our fulfillment expenses, therefore, in spite of rolling
out our rapid stores, which Anchit also covered, h ave continued to remain steady.
And when we come to our marketing and S&D expenses, these are coming higher at 15.2% for
the quarter versus 14.2% in the same quarter last year, which is a 101 basis points increase.
Marketing expense is higher as we continue to invest in customer acquisit ion across both beauty
and fashion businesses, which will help drive long-term growth for these verticals. S&D has
increased with strong performance of a few of our House of Nykaa brands such as Dot & Key across third-party channels, which has also led to higher commission costs.
Our employee and other expenses, as you can see, have seen a marked improvement with
leverage benefits starting to kick in. So let's now move to the next slide. This slide gives a
snapshot of our vertical results. As we can see from this slide, we have see n strong growth in
both businesses at NSV and both businesses have delivered healthy EBITDA margin improvement. Beauty business witnessed about 50 basis points Y -o-Y expansion, while fashion
expanded by about 300 basis points.
The next slide gives a more detailed view of the vertical reporting across the business verticals.
And we can see cost efficiencies is delivering a blended EBITDA improvement of about 100
basis points. Going ahead, if we can move to the next. That's right. Now let's spend some time
looki ng at our balance sheet ratios.

Our continued and relentless focus on driving efficiency on the balance sheet side, that's evident from the ratios that are on this slide. Our fixed asset turnover stood at 9.5x for the quarter vs 9.1x in FY25. Our working capital efficiency had improved further, with w orking capital days now coming in at 32 versus 34 in FY '25 and 42 in FY '24. ROCE also has been consistently improving over the years and now stands at 12.7% at One Nykaa level.
Going to the next slide. So this is an update I would like to share. Our Board has approved the acquisition of the remaining 40% stake in Nudge, a Nutricosmetics beauty supplement brand for a consideration of INR 14.2 lakhs. We initially incorporated Nudge in April 2022 with Onesto Labs Private Limited, which was responsible for business operations, whereas Nykaa held a 60% stake in t his company.
The company reached a peak revenue of INR 1.7 crores in FY '24, whereas FY '25 numbers came in at about INR 35 lakhs. With this acquisition taking our stake to 100%, we expect a sharper strategic focus, accelerated decision -making under health and wellness.
We see a significant opportunity in this category, and we believe with N udge, we have the right infrastructure and capabilities to capitalize on this opportunity. With that, I would like to now hand it back to the Moderator for Q&A. Thank you.
Moderator: Thank you very much, Sir. We will now begin the Q&A session. If

you would like to ask a
question, please click on the ask a question tab and separately you can also type in your questions in the text box provided. Before asking the questions to the managem ent, please introduce yourself, providing your name and your organization name. If possible, you may switch on your video as well. Please limit yourself to maximum of two questions so we can accommodate as many as possible. Ladies and Gentlemen, while the question queue assembles.
Moderator: We'll take the first question from Aditya. Please accept the prompt. Unmute yourself, and introduce yourself and proceed with your questions. As the current participant is not answering, we will move on to our next questionnaire. And the question is from the line of Sachin Dixit .
Moderator: As the current participant is not answering, we will move on to our next questionnaire. And the question is from the line of Sachin Dixit .
Sachin Dixit: This is Sachin Dixit from JM Financial. So I had a couple of questions. My first question was regards to the mix of beauty business, right? So while I do understand that there is sensitivity with regards to sharing the exit margins of different channels of BPC, but can you share some directional color on where we stand on margins for our physical stores as well as House of Nykaa brands? And where do you see them moving as you proceed ahead?
Anchit Nayar: Okay. Maybe I can kick that off. So thank you for the question. So look, as you rightly said, the Beauty segment is composed of 4 very different businesses, one being beauty.com, which is the e-commerce platform. Second is the physical retail stores. Third is the House of Brands and the fourth is e B2B. So, all 4 actually have relatively very different types of margin profiles. We are obviously, we've not given the breakout in terms of what the exact margin profile is of each business.

But what I can say is that the dot -com business being more mature, more established, has a stronger profitability than what the weighted average is. And the retail stores also, as I mentioned on my slide, it's a profitable store network. So that business is also profitable. And the owned brands business, as you know, consumer brand space, they have the kind of gross margins are what they are. They're healthy. So even that business has a decent margin profile and an improving one.
Finally, the last business is the Superstore business, which is also part of the Beauty segment, and that has a very different profile, as we've mentioned in the past. T hat's a volume, that's a scale business, but the margins are lower. And I think we've also shared with you that currently, that business is still loss -making, but is on the path to profitability.
So those are the 4 very different businesses. As I said, 3 out of 4 of them are profitable today and some more than others in terms of overall profitability. But all, I would say, in a good place. And most importantly, all 4 businesses that make up the bea uty vertical have room to improve their profitability from here on out as well through different levers.
Sachin Dixit: Sure, Anchit. So my question was largely focused on the House of Brands and the physical stores piece. So directionally, do you see the margins improving, I don't know, maybe 300 basis points Y-o-Y or like how much margin improvement .
Falguni Nayar: Because these are consolidated, difficult to predict, but definitely, House of Brands has

additional margins at One Nykaa level compared to just the retailer margins that are given to retailers. So I think it is a mix like Anchit said.
Sachin Dixit: I just wanted to understand the mix. I'll move on. So my second question is trying to...
Falguni Nayar: The mix also changes quarter -to-quarter. So it's very difficult to give it's a composition.
Sachin Dixit: That's okay. That's

okay. I understand. So moving on to the second question. This is largely to understand where the investment is going when I look at the beauty vertical, right? So we do see that marketing expenses have risen Q -o-Q, Y -o-Y as well, and th ey were already inching upwards in the previous year. So some color on like is this investment going into acquiring more aggressively or incremental customer acquisition is becoming costlier?
What is happening there? Secondly, on the other expenses piece, right, I see that piece has grown by almost similar growth rate, if not roughly exactly same to revenue growth rate as well for Beauty business. So where is that investment going, if you can break that down for me?
Falguni Nayar: I'll answer that. I think on marketing, we are clearly acquiring new customers. We don't think marketing is getting more expensive. I think the opportunity for accelerating acquisition is there and our own corporate profitability supports a more aggressive acquisition on the beauty front.
And in all of the beauty businesses, so there's a store rollout on an aggressive basis.
There's new customer acquisition on an aggressive basis. Owned brands, we are accelerating our growth, which we reported earlier in the presentation and eB2B is growing as per plan. So I

think there is a significant marketing investment. And also, we are doing more brand building investment also a little bit more.
Anchit Nayar: Yes. But just to add to that, one piece, of course, is that it's not that it's getting more expensive. It's just that we are seeing opportunity to increase our investment because there is more growth to be had. So that's a positive. I think the other aspec t of why the marketing investment is looking higher is, again, back to the mix, right?
And the House of Brands, Nykaa House of Brands has had a superlative growth this quarter. And so it is starting to play a bigger role in terms of the overall mix to business. And given the margin profile they have, given the gross margin that business has, it can also afford higher marketing spend as a percent.
So it does have slightly higher marketing spend as a percent of sales versus the dot -com and the retailer businesses. And as they continue to grow faster than the platform business and they continue to become a larger percent of the overall revenue mix, it 's also reflecting in the marketing as a percent of sales at the segment level. I hope that helps to answer your question on the marketing piece.
P. Ganesh: Yes. Just to add on the other expenses question, which you had. Number one, when you look at the beauty vertical, other expenses have remained in the same range versus a year ago as well as versus the immediate preceding quarter. What I'd like to add over here is that this is a combination of G&A, employee expenses as well as our web and tech expenses. And I would like to add over here that we continue to invest in terms of web and tech. But in terms of percentage, this has remained range bound.
Sachin Dixit: Sure, Ganesh. So largely, I mean, the general assumption would have been we could see more operating leverage on that piece, so which is why the question. So if you can give slightly more color on how it's rising, what is the investment exactly?
Falguni Nayar: On G&A or marketing?
Sachin Dixit: On the other expenses piece.
Falguni Nayar: Other expense. No, I think on other expenses, there is a slight investment going on in the various areas of technology where we are doing upfront investment and then plan to recover it as Software -as-a-Service over a period of time for a couple of clients now, and that is what we intend to do going forward. And I think that's on the tech side. And I think on the other one, I think overall expenses are under control.
Anchit Nayar: There's also depreciation, amortization of the s

tores, right, which we're rolling out as well as employee expenses, right? So there's a couple of different things in there.
P. Ganesh: Yes, Sachin, so just to add over here, when you look at employee cost, G&A, et c., there is some amount of optimization, which is coming in. But given that from time to time, we do invest in our web and tech expenses, which is why on an overall, it's at the same level.

Sachin Dixit : Thank you and congrats on a decent set of results .
Moderator: We'll take the next question from Kapil.
Kapil Singh: Hi, Good evening. This is Kapil from Nomura. Thanks for taking my questions. My question is more general on the demand conditions for both BPC and Fashion segments. What are you observing currently? Do you see improving trajectory for next year for the market in general and for yourself as well? So it would be helpful if you can share some color over there.
The second question is on price inflation and AOVs rising. So I want to understand what is the general price increase we are seeing for both the segments, BPC and Fashion. Just trying to understand how much of the AOV increase is coming from pricing and how much of it would be coming from premiumization.
Anchit Nayar: Okay. I can kick it off on the BPC side. So I think it's clearly, we're living in very strange times, I think, to say the least. And there is clearly uncertainty. And I think there is some amount of pressure that remains on urban. Again, I'll only talk urban because, as you know, our business is less weighted to wards rural. But on the urban side, clearly, there is some pressure. So there are areas where the pressure is easing, but there are areas where the pressure remains there.
So I think as you look at other names who also reported, I think it's a mixed bag. So I think there has been improvement in some areas, but in other areas, there seems to be uncertainty. But I think what's important is despite an uncertain environment, I think Nykaa has delivered very, very, I would say, commendable results on the BPC side at mid -20s growth.
And coupled with the macro environment also, it has been a very competitive set of players focusing their energies and efforts on the BPC space over the past several quarters, as I'm sure you're aware, quick commerce players, horizontal players, specialist beauty players. So despite a very, very, I would say, a lot of attention and a lot of focus on this category, Nykaa continues to deliver market -beating growth despite already being the largest player in the space, right?
So I think with the uncertain and a mixed bag of macro indicators and a highly elevated state of competition over the past several quarters, in light of that, I think the growth we've put up is commendable and that bodes well, I think, for us for the coming quarters as well because we do think that certain pressures will ease in terms of competition and also certain pressures should ease and as we get more clarity on the way things shake out with some of the macro and the trade concerns which we are facing .
I think as some of those things shake out to the positive, I think that will only be a positive for our business and for the category. And if somebody would like to add on fashion, I'll pass it over to them.
Abhijeet Dabas: I'll keep it brief because I think Anchit covered the macro picture quite well. Last year was, I think, after many years of very strong growth in online fashion overall coming out of COVID, last year was a year which saw slower growth for the industry at l arge. We feel like things are

improving. And there is uncertainty, as we all know. As Anchit rightly said, we live in strange times.
But again, on the fashion side, irrespective of short -term uncertainties, we believe that w

ith some of the fundamental resets we have done to the business and strategically just investing behind the right pillars, which is customer acquisition, working mor e closely with brand partners and so on and so forth, we believe that us coming from the place where we are , we are a much younger business on the fashion side, we will continue to outstrip market growth in the coming quarters.
When we spoke about a similar question a few months ago, we did say that things should get better this year compared to last year. But again, from the Nykaa perspective, the fashion business should very comfortably outstrip market growth whichever way it goes in the coming quarters.
Falguni Nayar: I think what I'd like to say is that the growth is very deliberate. It's not coming easily because of the environment. And Nykaa is doing a lot of optimization strategies, and we are not seeing the marketing cost per view or cost per impression going up, but that's for ours, the way we are doing it. So I can't comment on the whole industry.
So I think overall, we do feel that there is opportunity available for Nykaa to grow rapidly, both for its platforms and also for its owned brands. And similarly, we are feeling for the Superstore, and we are grabbing all of the growth that we are able to garner in a deliberate manner, and we are able to do it in the guardrail that we always set for ourselves.
Kapil Singh: The second question was on AOV, inflation and premiumization. If you could break it down, whatever are your thoughts?
Falguni Nayar: I think the inflationary AOV growth was some time ago, 6 quarters ago, I think inflation has been held down now for a while. So I think most of the AOV growth is due to premiumization.

It's a very small growth because it's on a very large base. And at certain level, new customers are being added from far off markets like Tier 2 and 3 markets. So I think in light of that, all of the AOV growth is based on personalization journeys, which are so much more possible now with improved AI and abili ty to use all of that into our platforms.
Moderator: We'll take the next question from Vijit Jain.
Vijit Jain: Hi, thank you. This is Vijit Jain from Citi. My first question is great performance on Dot & Key as well this quarter again. I can see that the GMV is now double digit of the total GMV there, and it's still the run rate growth rate is 100% Y -o-Y. If you can talk a little bit about where Dot & Key could go in the next 2 to 3 years in terms of run rate it could hit?
And secondly, the margins as well, you already have highlighted that currently, this is high teens EBITDA margins. With this kind of a growth rate with high teens margins currently, where could it go , that you would like to call out? That's my first question.

Adwaita Nayar: Yes. So I can take that. So I think it's been a really good sort of couple of months and a couple of quarters for Dot & Key. I do see that the growth is continuing in a very strong manner. I think they've got very strong categories that they're playing in, whether it's sunscreen, moisturizer, both where they have market leadership position and they continue to take share. But also the serum play that they're trying to get into, this is a new category where there's a lot of growth possible whe re they have relatively less share compared to those other 2 categories.
So I think there's a lot of acceleration possible there. So yes, I see the growth continuing in a strong manner, probably not 100% year- on-year for many more quarters, but there is very significant growth that we're seeing here. I think what we have more certainty on though is on the margin side. I do feel that there is a clear path to even higher margins here.
And I think here, we're looking at all the strong FMCG brand companies, both in India and globally,

where 20% is what most companies strive for with these types of brands, and we will work towards that. So both , we do see growth continuing in a very strong way, and there's further margin expansion possible as well.
Falguni Nayar: And just the last thing I can add to what Adwaita said is that the brand has grown quite wide in terms of its distribution and is doing GT/MT distribution along with being on 3P platforms. And basically, all areas of distribution are being done well. And I think as you're aware we are taking a couple of owned brands international, like we've begun with Kay Beauty, and I think Dot & Key also may have an opportunity in future to go global.
Vijit Jain: Got it. And just double -clicking on that margins comment, right? So I mean, in this, you are both the manufacturers as well as retailers, right? So the 20% plus margins, I know on your own platform as retailer, you're making close to 10%. So is that how I should think about the breakup there? I know you distribute it through third party as well. But 10% as you a retailer on that brand and 10% you as a manufacturer. Is that how one should think about it?
Adwaita Nayar: So actually, that sort of high teens EBITDA margin as mentioned on that slide is all sort of accounted for all type transactions with Nykaa platform. So they are paying sort of platform standard margins to Nykaa, both on e -commerce and on retail.
Vijit Jain: Yes. Okay. Yes. My second question and my last question here. Is there any tangible benefit that you guys will have from the U.K., India deal? I know that includes cosmetics. And I know some of your partners that you've called out in the past are U.K. -base d. So I'm just wondering what impact that has on everything from what you can sell on the platform at what prices as well as your margins there?
Falguni Nayar: It could have some positive this thing Anchit, do you want to go? But I think it depends on the supply chai n.
Anchit Nayar: Yes, yes. I think you covered it. I mean, yes, there are brands of ours, which are U.K., I mean, founded by U.K. founders , but I think a lot of it depends on where the manufacturing is being done. So we're looking into it. And yes, there are some brands where it could be a net positive.

And any benefit that's there, we will take a call on whether that gets passed along to the consumer in the form of pricing or we try to keep that as a margin benefit.
So I think it's all being evaluated. It's yet to be seen. But I wouldn't expect it to be meaningful because, as you know, most global beauty brands of size and scale are either U.S. or Europe or Asia-based. So the U.K. is a few high-quality brands, but the scale is still small.
Moderator: The next question is from Anand GC. Please accept the prompt, unmute your audio and video.

Introduce yourself and proceed with the question. As the current participant is not answering, we'll take the next text question, which is from Latika Chopra from JP Morgan. And the question is marketing expenses as a percent of NS V for Beauty vertical have risen quarter-to - quarter and year-to-year. Which subsegment has driven this? Where are you this trending over the coming quarters?

Anchit Nayar: Okay. Maybe I'll take that. So Latika, as we mentioned earlier, some of this increase in marketing spend as a percent of sales can be attributed, as I said, to mix impact, the fact that certain brands within our House of Brands portfolio have seen signific ant growth and are now accounting for a larger percent of our overall revenue mix within the Beauty segment. And some of them do have a higher spend in terms of marketing as a percent of sales than the retailer businesses. So as they continue to grow faster than the retail than the platform business, albeit off of a smaller base, and they have a slightly higher marketing spend in perc

entage terms. That is why the Beauty segment is showing higher spend in percentage terms. That's one major reason. And the second, as we also mentioned earlier, is there is a tremendous amount of opportunity to continue to go behind quality custome r acquisition.

It's a strategy which we've been following for the past several quarters, which we've discussed openly with you as well in the past about India, there is a huge room for penetration of this category. There is a huge room for digitization of beauty in India, and there's a huge room for premiumization. And we want to continue to lead that growth. We want to continue to be category creators, and we are continuing to invest behind customer acquisition as part of that plan. So I think it's a combination of both, but we are seeing meaningful outcomes in term s of new customers acquired and strong GMV growth as well basis that investment which we're making.

Moderator: The next question is from Gaurav Singhal. And the question is, are you on track to meet your Investor Day guidance of breaking even in fashion at EBITDA level sometime this year?

Abhijeet Dabas: Yes. So the short answer to that is that, yes, we retain that guidance, and we are seeing positive movement in the bottom line, as we've already shared. So we are on track to breaking even during this year.

Moderator: And the next question is, how is new versus repeat ratio in BPC this quarter? Are higher marketing spends leading to more GMV from new customers?

Anchit Nayar: Share of GMV coming from new customers. So I don't think we are disclosing the mix of business between new and repeat. But as we've said in the past, we are very lucky to have a very, I would say, very sticky, very loyal base of consumers, and we do a lot to continue to drive existing shoppers to shop more frequently and to shop for more items on the platform. So what we call as repeat customer annual consumption value is a priority of ours.

And repeat buyers contribute a majority of the business on our platform. That being said, new customer acquisition is also an important driver of growth, but it's also more than a driver of growth in the quarter in which those customers are acquired. It is a driver of future growth, and it's an investment for future business and products , future premiumization opportunity on that customer base. So it is a priority of ours.

It's, in fact, increased in terms of prioritization over the past several quarters, new customer acquisition, and it continues to grow very, very well. But in terms of mix, it's not something we are disclosing. But as we've said in the past, majority of our business does still come from repeat buyers.

Moderator: Ladies and gentlemen, that was the last question we can take today. You may reach out to Nykaa's Investor Relations team for any additional queries. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you.

Falguni Nayar: Thank you very much, everyone, for being on the call with us, and I hope we've given adequate direction to all your questions, but thank you very much for being with us again today. And thank you very much to my team for being here again today.

Anchit Nayar: Thank you.

P. Ganesh: Thank you. Thanks, everyone.

Moderator: Thank you, members of the management. On behalf of FSN E -Commerce Ventures Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting. Thank you.

Call: Nov 2025

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa. com
CIN: L52600MH2012PLC230136

November 12 , 2025

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir / Madam ,
Subject: Transcript of the Conference Call for Analyst / Investors

Please find enclosed the transcript of the Analyst / Investor Conference Call held on November 07, 2025, with regard s to the Una udited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2025.

This intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You,

Yours faithfully,

For FSN E -Commerce Ventures Limited

P Ganesh
Chief Financial Officer

Encl.: As Above

"FSN E -Commerce Ventures Limited (Nykaa)
Q2 FY '2 6 Earnings Conference Call"
November 07, 202 5

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER , BEAUTY – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MS. ADWAITA NAYAR – EXECUTIVE DIRECTOR , CHIEF EXECUTIVE OFFICER , NYKAA FASHION AND HEAD OF OLD BRANDS – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER , NYKAA DISTRIBUTION – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ABHIJEET DABAS – EXECUTIVE VICE PRESIDENT

– NYKAAFASHION .COM – FSN E-COMMERCE
VENTURES LIMITED (NYKAA)
MR. P. GANESH – CHIEF FINANCIAL OFFICER – FSN
E-COMMERCE VENTURES LIMITED (NYKAA)

Moderator: Hi, Good evening, everyone. This is Michelle from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q2 FY '26 Earnings Call. From the management at Nykaa, we have
Ms. Falguni Na yar, Executive Chairperson, MD and CEO;
Mr. Anchit Nayar, Executive Director and CEO, Beauty;
Ms. Adwaita Nayar, Executive Director and CEO, Nykaa Fashion;
Mr. Vishal Gupta, CEO, Nykaa Distribution;
Mr. Abhijeet Dabas , Executive Vice President, Nykaafashion.com;
Mr. P. Ganesh , Chief Financial Officer.
Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this cal l is meant for investors and analysts only.
By participating in this event, you consent to such recording, distribution and publication. All participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation from management concludes.
With that, over to you, Falguni, for opening remarks. Thank you, ma'am.
Falguni Nayar: Thank you very much for being on the call with us today. As you are aware, Nykaa just finished the Board meeting and have reported our results to the exchange, and it's a delight to present these to you today. So starting with our Q2FY26 performance snapshot. Just happy to say that the GMV for the quarter was at INR 4,744 crores, which is about 30% year -on-year growth.
Also, please note that this is the highest year -on-year growth in the last 6 quarters. So happy to report a little bit of a growth momentum. On the net revenue basis also, the quarter ended at INR 2,346 crores of net revenue, which is a 25% year -on-year growth.
Again, Nykaa has delivered consistent mid -20s growth since last 12 quarters, and this journey continues. On the gross profit side, happy to say that the gross profit has come out at INR 1,054 crores, which is about 44.9% of net revenue and about 28% increase on a year -on-year basis.
Again, similarly, the highest gross margin over the last 12 quarters.
On the EBITDA front, the EBITDA has come out at INR 159 crores, which is 6.8% of net revenue, a 53% year -on-year increase and highest EBITDA margin since IPO. And also on the PAT, it's come out at INR 33 crores, which is about 1.4% of NR and 154% year -on-year growth.
Next within this, the beauty growth has been robust and the fashion has also seen revival, helping aid this overall growth. 27% NSV growth across both the verticals in quarter 2. So looking at it from a Beauty perspective, one can see that the Beauty growth has come out at 28% on a year -

on-year basis. And on a first half basis, the growth is coming out at 27%. These are all numbers on the GMV.
When you look at it from an NSV perspective also in Beauty, the Beauty NSV came out at INR 1,981 crores for the quarter and for the half year at INR 3,815 crores. And that is 27% growth on the quarter basis. And the EBITDA margin for the Beauty for this quarter, it comes out at 9.0%, which is about 40 basis points higher compared to a year ago when the EBITDA margin for the Beauty business was at 8.6%.
On the Fashion front, what you can see is that the Fashion has come out with the GMV at INR 1,180 crores, which is almost a 37% year -on-year growth. But on an NSV basis, the Fashion growth is at 27% which is about INR 346 crores of net sales value of Fashion , and that is 27% year-on-year growth.
Fashion vertical EBITDA has improved to only minus 3.5%. This has come down from minus 9.0% a year ago, which is a huge improvement on a year -on-year basis. On a half year basis also, the numbers are similar. So renewed growth

in Fashion has helped us spread our costs over
larger sales, and that has helped in this improvement in overall margin structure.
Today, One Nykaa cumulative customer base is at 49 million, and this is about 32% year -on-year growth. So we are continuing to accelerate our customer acquisition. We have also continued to accelerate our Beauty

store network rollout. 19 stores were opened in this quarter,
and the total number of stores now stands at 265. And this is in 90 cities, addition of about eight new cities in this quarter alone.
And the best of global and domestic brands , we offer both on beauty and fashion. So, on beauty, we offer about 4,200 beauty brands and on fashion, the number is now at 5,000 brands.
And as you are all aware, we have launched Nykaa Now, which now has 53 stores across seven cities. We are also doing hyperlocal delivery from our stores now that allows us to offer a differentiated range of larger luxury goods in and around our stores. So both these are now live. And the annualized GMV across all the platform is now running at $2.2 bill ion.
Next, Nykaa welcomes Global icon Deepaka Padukone as our brand ambassador. Deepika reflects a modern Indian consumer, self -assured, authentic and global in her outlook, aligning seamlessly with Nykaa values. I'll just play a small video which shows you our brand ambassador.
Thank you. With that, I now hand over to Anchit to talk about Beauty multi -brand retail business.
Anchit Nayar: Okay. Great. And I hope I'm audible. We are traveling on the road. So the Internet connectivity might be a bit weak. So please moderator, let me know in case I'm a bit choppy. So in terms of , as was mentioned earlier, Nykaa Beauty has had another good quarter of growth, delivering 28% growth on GMV and in absolute terms, the highest GMV we've delivered in the last multiple quarters.

So a very strong quarter in what is seasonally not the strongest period of the year. A lot of this is driven by the continued focus Nykaa Beauty showing on penetration in terms of annual unique transacting customer acquisition and growth as well as certain premiumization initiatives that are playing out nicely.
Next slide, please. I've said before, Nykaa's dual objectives are that of penetration and premiumization. On the penetration front, we continue to make investments that are paying off. We believe that India has some of the lowest penetration of beauty consumption in the world and investment needs to be made to continue to drive that.
So, we have invested behind customer acquisition, and that reflects in the M arketing and S&D expenses as a percent of NSV being at about 13.1% this quarter, but it has resulted in very strong annual transacting customer growth of 27%, taking our AUTC number up to 17.5 million for the quarter.
Quarter 2 was also a standout quarter in terms of the number and the quality of international brand tie -ups, which Nykaa managed to achieve. On the left side, you will see a mix of some of the luxury and prestige brands such as Prada Beauty, IT Cosmetics, which is owned by the L'Oreal Group and was launched exclusively with Nykaa in India. We are also the importer and distributor for that brand.
La Prairie, which is an ultra-luxury skincare brand owned by Beiersdorf was also launched exclusively on Nykaa this quarter as w ell as the fragrance brand, Maison Margiela. Korean brands, which are trending globally as well as in India. Nykaa continues to lead the efforts there in bringing the best the world has to offer into India. And as you can see, brands like RYO, Mise En Scène, Torriden , Dr. Althea some of the best -known brands globally out of Korea are being launched in India through Nykaa.
So just double -clicking and spending a minute about on the Korean beauty initiatives that Nykaa is taking. We believe that

Korean Beauty is a strong growth driver for skin care adoption amongst Gen Z as well as young millennials. And as I mentioned earlier , it is also trending
globally in many markets, including North America.
Why do we believe that Korean brands are going to spearhead the adoption of skin care and makeup in the coming years in India is because of the affordable pricing, highly efficacious
products and good quality R&D as well as very fun, playful packaging.
So this makes Korean brands favorites in India as well. And you can see today, Nykaa has the largest assortment of Korean brands in India and this portfolio continues to grow at a very healthy clip at about 60% growth year -over -year. We are driving awareness and building education around Korean Beauty through our digital as well as our offline channels and events and experiences. And we have launched now a K -Beauty store on the app to allow consumers to experience Korean beauty brands that are exclusively available on Nykaa.
Next slide, please. The next big focus for Nykaa as we have also outlined in our Analyst Day earlier this year is the focus on Gen Z. We believe that Nykaa has a right to win amongst Gen Z, who we see as the next frontier for growth in beauty. As I'm sure many of you are aware, Gen

Z accounts for 26% of India's population today and almost 50% of its consumption. So what is Nykaa doing to build brand equity with Gen Z.

As you can see here are a couple of initiatives we've taken. The first is the Gen Z Campus Ambassador Program me. Today, college student s can become ambassadors for Nykaa on social media and create a tremendous amount of content. Already this program me having launched this quarter already 7,000 -plus pieces of content have already been created. which have generated over 45 million in terms of reach. So this program is something that we are very, very proud of and a lot of the college going students have taken a big interest in.

The second is creating immersive on -ground events. We have started to go to college campuses, where we are doing a lot of education and beauty bars and other fun engaging activities with college students, who we believe will be the next group of consumers as they get into the job, as they get into the workforce, their requirements on the beauty side will also increase. So we're preparing them for that next stage in their life.

Third is the on -site on our app, the Gen Z store. So content, as Nykaa has always said, content and commerce need to go hand -in-hand. So in addition to the content and the events and experiences we're creating, we're also looking to commercialize those out comes through building Gen Z -specific stores that are hyper -personalized based on our understanding of the kind of brands Gen Z shoppers are looking for as well as very robust recommendation engines that help to recommend the relevant products to our cons umers to make the introduction to the world of beauty easier for this younger demographic.

And last but not least, we have partnered with Snapchat to launch India's first Gen Z beauty creator incubator program. And that is something, again, as we look to continue to grow the addressable market for beauty, this is how one does that, which is thro ugh investing in the community and building the ecosystem around it. So these are just a couple of examples of how we are building a salience and a right to win amongst the Gen Z population in India.

Coming to physical retail. Today, we have 265 stores across 90 cities. So we've added 8 new cities this quarter and 19 new stores. In terms of total retail space that we occupy, it's about 2.7 lakhs sq.ft. plus, and it's been about a 37% growth year -over -year. 2/3 of our GMV in store comes from premium brands. You can see that our retail stores serve as an excellent point of premiumization for u

s, for customers to discover more premium, more prestige brands and for our brand partners as well. So now we do have the largest specialized beauty store network in India.

So very much a truly omnichannel retail platform and really moving well, well beyond the top 10-15 cities now with us now, almost reaching our target of being in the top 100 cities in the near term.

For us, retail stores are not just points of sale, but truly experience centers as we call them. So we believe the future of retail is experiential and Gen Z and young millennials are looking for places to engage, educate themselves and also have an experi ence in store. So to that extent, this quarter, we are happy to announce that currently almost 1 in 3 of our customers who go to our

retail stores are now actively getting a makeover in our store. And that is a great way to educate consumers and also to deliver a very superlative experience.

Second, we've elevated the skin care and fragrance experiences in our store with skin care diagnostics as well as fragrance finder bars that allows customers to discover the world of fragrances and should drive penetration for that category.

Last but not least, we are working with many brand partners to create exclusive and bespoke brand experiences in store. One example on this slide is what we did for Kay Beauty, one of our owned brands, where we've created a very innovative Kay Cafe concept to bring both coffee and beauty together to again further the experiential element of beauty retailing in the country. So these are just a few examples of how we continue to innovate and drive experiential retail.

Now coming to convenience and speed, something again, we've spoken about with you in the past few quarters. Just to reiterate, we have 265 stores, 44 warehouses and 53 rapid stores today. And all of our 265 stores are tech -enabled to deliver what we call as hyperlocal delivery, so service online orders through our retail store network.

In terms of what does that result in, that has resulted in 70% of our order volume being fulfilled within the next day in the top 110 cities. And now Nykaa Now, of course, is live in all top seven metros. We've got 53 stores servicing 2 million orders till date over the past several months.

What's really unique about Nykaa Now, is that we have the largest assortment of beauty products and brands compared to any of the other platforms currently available with within 30-minute to 120-minute delivery. So a ver y large assortment spanning all the way from FMCG and mass to

premium and luxury brands available through Nykaa Now.
Next slide, please. Finally, we've also spent a good amount of time this year on developing cutting -edge beauty technology that can help us to replicate the offline experience online as closely as possible now that's made possible through technology. So this quarter itself, we launched the skin analyzer tool where you can take a selfie on the app and then it can let you know your skin type, your skin concerns and recommend products accordingly.
Second is the beauty portfolio. So now we are also able to collect from our customers information about what their concerns and their skin type is, etcetera, that will allow us to hyper - personalize our recommendations.
So we see this as incredibly powerful because we'll be able to make much more relevant recommendations and help the customer to make the right choices for themselves on the platform, which, of course, is in and of itself a fantastic outcome for us, but it also has the impact of improving conversion on the platform and also driving further penetration of new categories and new products through the personalized experience, which we're now able to provide the customer.
Finally, the last slide, just to share some very interesting statistics for you. This quarter itself, 70 million

beauty products were sold on Nykaa. One in every three retail customers got a makeover in our stores, 450 million visits to the app this quarte r itself, which is a very large number. We

sold six perfumes every minute, so almost one perfume every 10 seconds. The fastest delivery we did through Nykaa Now this quarter was done in 7 minutes.
And finally, we sold 15 sunscreens every minute - So, 1 in every 4 seconds. So I think, again, showing you how building awareness and education for sunscreen usage in India has allowed us to ultimately commercialize that through very deep customer penetration of this category. So with that, I will hand it over to Adwaita to take you through the House of Nykaa slides.
Adwaita Nayar: Hi, everyone. It's great to be here today and get to present this section. Speaking about the House of Nykaa, we've spoken about this before. Nykaa is transitioning from being just a retailer to also being a brands business and having this House of Brands. We've been working on this strategy in a very concerted manner over the last couple of years. And today, this House of Nykaa business has reached INR 2,900 crores of annualized GMV run rate. It's growing very well at 54% year -on-year.
We're building about 10 brands. I would say four of them are sort of established and have had breakthrough velocity, and we'll double click on those. I would say another handful, three, four are emerging. There is good product market fit. And I think next year onwards, we'll start scaling those up further. And then there are a couple which are still being incubated.
Moving on. Within that INR 2,900 crores GMV, 75 %+ comes from our beauty brands. And on this slide, you can see that in Q2, our beauty brands delivered INR 627 crores of GMV in the quarter. This is a 74% year -on-year growth. So this particular segment has grown really well.
On the right -hand side, you can see how this revenue splits across Nykaa online, which is highlighted in pink , Nykaa stores, which is at 9% in Q2 and other channels, which is at about 44%. So other channels include GT, MT, it includes other online marketplaces.
And as we've mentioned before, we're not building private labels. We're genuinely building brands. And for that, having a logical distribution strategy brand by brand, which extends outside of Nykaa as well is a priority for us. Today, this whole portfolio is the second largest homegrown brands business within the country.
Moving on. I'll double -click on three brands, which have hit a particular size and scale that's critical size and scale and have had a very strong trajectory over the last couple of quarters. The first is Dot & Key. This is a brand which has now crossed IN R 1,500 crores from a GMV perspective. It's grown 110% year -on-year.
It's a very profitable brand for us with high teens EBITDA margins and it's doing extremely well in terms of customer love and retention. It's amongst the top five skin care brands on Nykaa.
And in many categories, it's number one. Retention numbers are al so extremely strong for this brand with 50% retention with Nykaa consumers who try it.
On the right -hand side, you can see some launches for this brand, which have done very well, whether it's the lip palm or it's the oil-free hydration and moisture control moisturizer, which has also been a big success.

We can move on. The second brand I'll talk about is Nykaa Cosmetics. This brand has crossed INR 400 crores of GMV annualized. The new launches have been a big part of bringing a lot more energy to this brand and driving serious growth. And I think those new launches have hit well. Today, 20% of this business comes from new launches, which is a good number to drive that energy and excitement back into the brand. And aga

in, there have been some really strong
launches this year, whether it's the jelly brush or the eye pencils that we've launched.
Moving on. We'll quickly show you this video. This is an example of how we're trying to build
a brand for each of our brands. And like this, we're creating content for all the brands, but we'll
quickly show you this one, which is a pretty strong festive as set that we've come up with.
All right. So , moving on, we'll talk about Kay Beauty. So, this is a brand that we've built with
Katrina Kaif and it's a joint venture that we have with her. This brand has crossed INR 350 crores
in GMV. It's growing extremely well, again, making great strides in terms of rank within the makeup category. And today, it's amongst the top five makeup brands on the site. One of the
most recent exciting launches has been the Cushion Foundation, which has brought fantastic
Korean technology, very suitable for Indian skin tones and colors.
We can move on. I'll quickly again show this video. Another big highlight for the Kay Beauty
brand has been the launch in Space in the UK earlier this year. I think it was actually in
September. And it's had a very strong response in the UK market. It's be en launched in 13 stores.
And in many of those stores, it's a top five brand. It's also doing very well on their online website.
In general, we're seeing an amazing response from the UK audience, and it is making us think
harder and deeper about the international expansion for this brand, which I believe there's a lot
of potential here.
We can move on. A lot of the other brands, which I mentioned, which are either emerging or being incubated are also finding good success. We're building things in bath & body. We're
building things in fragrance. We're building things in clean beauty and brands in skin.
We can move on. L ike I mentioned, of that INR 2,900 crores GMV for the House of Brands
business, about 75% + is coming from beauty and the rest is coming from fashion. In fashion,
we're focusing mainly on our lingerie brand now. And here, you can see the year -on-year
degrowth. What I think is important to say here, and I've mentioned this in the last couple of
analyst calls as well i s that there's been a concerted strategy to actually shut down some of the
non-Nykaa channels in fashion.
So, we've been shutting down a lot of the GT/MT, large -format store, third -party distribution.
We feel it's better and higher quality business to focus on Nykaa as a channel and fashion in
particular. So , there's been sort of a reorientation of strategy here. And I think for me, what's
really important is across both businesses, and across both sets of brands to pick the right brands
that play in the right categories. And generally, at this point, there's more focus for us on our
beauty brands portfolio.
Within fashion, the one particular brand that we're really excited about is Nykd, which is our
lingerie brand. I think structurally, lingerie is a really, really great space for us to be building in,

very good gross margins and very high moats, and it's hard to build lingerie. So that's a brand
that we're going to continue doubling down on.
And on the next slide, you can see how that brand is doing. So that brand has crossed INR 175
crores GMV. It continues to grow 30% year -on-year on Nykaa channels, and it's the number one
lingerie brand on Nykaa Fashion. Clearly, it has strong product market fit, and we'll continue to
accelerate and double down on this business continuing into next year as well.
We can move on. And with that, I'll hand over to Vishal to walk us through the Superstore
business.
Vishal Gupta: Thanks, Adwaita. Good afternoon, everyone. I'm happy to report that we continue on our path
to profitable scale. And even in this quarter, we have grown our transacting retailers by 41%,
adding 1 l

akh new retailers over last year with 42% year -on-year orde r growth.
Our GMV was slightly lower at 25% growth. That was mostly on account of, as you all know,
there were GST changes and 40% of our portfolio had GST cut to 5%. So, there was some short -
term transitory business loss due to retailer buying behaviour and postponing of retailer buying,
but we are quite confident that the impact will be quite positive in the coming weeks and months in terms of offtakes, and therefore, ov erall retailer need for more stocks. So , we'll get back to
that growth, but our expansion contin ues at a good pace.
And our scale and reach is very exciting to our brand partners, and you can see that we have all
kinds of great brands, whether national, regional or D2C brands, and we continue to add brands.
Like recently, we have added Colgate -Palmolive, we have added Cetaphil in regional D2C
brands, we have added Pilgrim, P lix. So , we continue to attract, and we are a trusted partner to

our brand partners.
Next. And like I keep saying that this is a scale business, and as we improve scale, we definitely improve our profitability. You can see that our EBITDA margin has improved by 422 bps driven
by a lot by the operating leverage, while gross margin improved by 134 bps on account of better brand mix.
The only thing is our contribution margin had a short -term dip of 62 bps, but that is only because we have invested in field force in quarter two, and they take about one month or two months to become productive, but we have done the hiring that we have to do till Q2, and then they will get results in Q3 and Q4. So , we'll continue to keep going up as we build scale on our path to profitable scale.
Abhijeet Dabas: Thanks, Vishal. So again, very happy to be here with you all today and also very happy to continue to share the upward trajectory that the fashion business is on over the last few quarters.
As Falguni ma'am covered a little while ago, this has been a stron g quarter for the fashion business. We clocked 37% growth in GMV year -on-year. Also, for fashion, similar to beauty, the GMV that we clocked for this quarter was the highest ever GMV in a quarter which is typically not the highest for the b usiness during the year, INR 1,180 crores and a 37% growth.

Equally significantly, we saw a massive improvement in EBITDA, 550 basis points improvement in EBITDA from minus 9.0 % to minus 3.5%. And we believe that with the structural changes, structural interventions that we have made in the business over the last year or so, we are well on our path towards profitability.
Next slide. Underlying the business improvement has been a much healthier customer funnel, right from how many customers we are acquiring to how many we are retaining through their life cycle.
As you can see starting from the top, we have seen significant growth, 30% growth in the visits, similar growth in the monthly active users on the platform, close to 50% growth in the new customers acquired year -on-year, which is something which augurs wel l for quarters to come because always customers acquired in recent months form the core of revenue in future months.
So very healthy signs for the business.
And as a result of all of this, we have seen also significant improvement in marketing expenses.
So, towards the end of the slide, you will see that there's been a marked reduction in marketing spend, which is a large item in the P&L. That has contributed also in a meaningful way towards the EBITDA improvement that I spoke about on the previous slide. So overall, structurally, the user funnel looks healthy, which is a positive sign for quarters to come.
Next slide. Another very core underlying tenet of this has been the addition of marquee brands across all categories. We have some logos on this slide, which gives a snapshot of the ki

nd of
brands that we've been onboarding.
One of the key pillars of our strategy is to bring the right brands to customers to bring authentic products to customers across the country and across categories, just some names on this slide are self -explanatory.
They don't need any introduction, the likes of GAP, GUESS, MEENA BAZAAR, MUFTI, newer brands such as a RARE RABBIT or The Souled Store. Overall, just the addition of a very strong portfolio of brands and immediate growth for those brands has augur ed well for the business.
Next slide. Also very excited to share with you that in a few days from now, H&M debuts on Nykaa Fashion. As we all know, H&M has been one of the most successful international brands
to enter the country in the last few years. H&M also just completed a decade in India.
And I think it just continues to surprise us just how real the appetite for consumption of global brands is by Indian audiences across the length and breadth of the country. So very excited to partner with H&M and complement their portfolio of channels in the country. And again, a very strong addition to the portfolio of brands that we are able to offer to our customers.
Next slide. So , on one side, while we have continued to add and partner with the marquee brands in every category, equally important in a category like fashion, which is long tail is to also bring forth to our customers brands which they may not be so aware of or to sell trends and what is trending in the market.

I mentioned in the Investor Day earlier in the year as well as in our previous presentation , that the N ykaa Fashion Edit is a property that we have created recently with the use of a lot of technology in the back end to be able to understand trends in the market and then to be able to curate different kinds of assortment, different kinds of stores , which our customers fancy. And that has seen significant traction.

We are almost seeing more than a 50 % increase quarter -on-quarter in the salience of merchandise through these stores. And this is something that we want to continue to invest in .

So, we are both continuing to work with big brands as well as create opportunities for smaller brands and for trend-based shopping to happen for customers in a tech-enabled kind of way.

So overall, like I said, very happy to share that a very strong quarter again for fashion, and we seem to be on the right track in fixing the fundamentals of the business and very optimistic for the future. With that, I will hand over to Ganesh.

P. Ganesh: Thank you, Abhijeet. Good evening, everyone. I'll now share a detailed overview of our quarterly performance. So , as you have seen in the earlier sections, Nykaa has had a good quarter 2 performance and has been consistently delivering strong top line growth for the last many quarters while improving its profitability too.

Our revenue from operations grew by 25% during the quarter to INR 2,346 crores, sustaining our momentum of delivering mid-20s growth consistently for several quarters with both our business verticals outperforming the industry during the quarter. Profitability also saw a meaningful improvement with our EBITDA margin in quarter 2 at 6.8%, an improvement of 125 basis points, driven by strong focus on driving efficiencies across the P&L.

I would like to highlight that in quarter 2, we have achieved the highest profitability margin since our IPO. Our PAT grew 154% Y -o-Y, which is 6x of revenue Y -o-Y growth and 3x EBITDA Y-o -Y growth, delivering a 1.4% PAT margin during the quarter, again, t he highest since IPO.

Going to the next slide. Here, we have a snapshot of our profit and loss statement. Gross margins saw a healthy 111 basis points improvement during the quarter, coming in at 44.9%, once again the highest in the last 12 quarters.

Our ful

filment expenses increased by 34 basis points during the quarter and coming in at 9.7% due to focus on faster delivery in our fashion vertical, which resulted in some level of increase in air shipments, while fulfilment expenses in Beauty remained largely flat in spite of investment in rapid delivery.

We have stepped up investments in performance marketing , brand and category building initiatives, leading to a 44 basis points increase in our marketing and S&D, which came in at 15.7% during the quarter.

We are already seeing a healthy return on this investment with accelerated new customer acquisition in both Beauty and Fashion verticals reflected in the strong AU TC growth. Our brand

and category building activities are driving strong growth in House of Nykaa brands and enhancing the premiumization journey for the consumer in the beauty ecosystem.

Moving ahead, as evident from the slide, we have seen strong industry-leading growth in both businesses with NSV growth of 27% Y-o -Y, while delivering healthy EBITDA margin improvement in both businesses. Beauty witnessed almost 40 basis points Y -o-Y expansion and Fashi on showed a significant 550 basis points improvement, led by unlocking of marketing and S&D as well as lower overheads.

Next slide. Yes, here, we have a detailed vertical reporting, which again reflects the strong performance both on top line as well as on margins.

Moving ahead, we continue to invest in beauty stores rollout, fulfilment capabilities and tech while driving efficiencies in our capex utilization, which currently has come down to 1% of revenue during H1 FY '26. We have invested INR 58 crores in capex, most of it in the form of investments on our beauty store network as well as in our tech capabilities.

Going to the next slide. Yes, here, we can see that our continued and relentless focus on driving efficiency on our balance sheet . This has resulted in ongoing improvement in our fixed asset turnover ratio, which is now at 9.7%.

Our working capital efficiencies have continued to pan out, and now it's close to 1 month in terms of net working capital days. So strong profitability as well as tight control on the balance sheet in terms of capital employed has resulted in a smart increase in ROCE, which has nearly doubled over the last 3-year period, coming in at 14.1%.

Yes. With that, I would like to hand the call back to the operator to start the Q&A.

Moderator: Thank you very much, Ganesh. The first question is from Sachin Dixit from JM Financial. Please accept the prompt, unmute yourself and proceed with your question.

Sachin Dixit: Congrats on a great set of results again. My first question was on Fashion. So, on Fashion side,

basically, when we were doing Investor Day, it was tough to envisage such a recovery in terms
of top line as well as improvement in the losses that we are delivering on. So, congratulations,
first of all.
Secondly, the question being, first is how sustainable is this trajectory, both on bottom line and top line? And on the same piece, how much of the delivery that we have seen in H1, will you
give credit to Nykaa specific or Nykaa Fashion -specific initiatives that the company has taken?
Or if there is any improvement in market environment as well that is helping?
Abhijeet Dabas: Thanks for the question. On the first part, like I said, I think we look at the intrinsics of the
business from our side and try to keep improving the underlying intrinsics which determine the
success of the business or not.

And for a marketplace business, I think the core is the assortment that we have and the user
funnel that we have. Are we able to add the right assortment? Are we able to work with brand
partners to deliver growth both for them as wel

l as for us?
And then are we able to attract the right quality of customers and provide them an experience
with which they decide to come back to the platform. So, on both aspects, I think the intrinsics
give us confidence that structurally, we are on the right path as far as the future also goes. I hope that answers the first part of the question.
On the second one, it is indeed true that there seems to be in the broader market also more
positive signs compared to last year in the first half of this year. And that obviously plays a role
in how our business is also performing.
But I feel confident that we have delivered faster than or rather significantly faster than market
growth in the first half of the year. And with significantly better and continuously better
intrinsics, I think that should continue to be the case going forward also. So, I don't think it's a
first half phenomenon alone. With the right intrinsics, we are optimistic about what is to come as well.
Sachin Dixit: Sounds good, Abhijeet. My second question is for Anchit. On Nykaa Now basically, right , so
the plan earlier used to be that we'll focus more on personal care side while also looking to deliver in 30 minutes to 2 hours.
Over the call today, I think it was mentioned that luxury SKUs are also being distributed and the
fastest delivery was in 7 minutes. So just to understand, is there any change in the strategy there? Are we thinking of becoming faster or trying to do more than what was earlier planned? Thank
you.
Anchit Nayar: Yes. So , thanks, Sachin, for the question. No, I think just to clarify doubts, we believe that Nykaa
Now will allow Nykaa to have a bigger share of the pie within personal care, which has
historically been a lot more fragmented amongst ourselves as well as the other horizontal platforms and quick commerce players, whereas Beauty was always an area where we had very
dominant market share.
So Nykaa Now was one of the aftereffects of Nykaa Now was that we would build share in
personal care as well, which is happening. We are seeing customer penetration of certain
products, which are personal care products like shampoos and conditioners and body wash
increasing on our platform and growing very healthily, which means that people are now looking at Nykaa not only as a beauty destination, but also as a personal care destination.
But that was not the only objective. The other objective was also to allow customers to have
access to the beauty assortment with quicker delivery. And that's really what Nykaa Now has
enabled. I think one thing we did not foresee in the early days was that we would have the ability
to even sell luxury products by enabling our retail stores to become hyperlocal delivery hubs for
luxury.

But if we realize that we can do it and we can do it in a cost -effective manner , so why should
we not allow customers to also get access to the best luxury products with quick delivery speeds.
So, both are working well.
We're seeing Nykaa Now working well for both our expansion of market share and our customer
penetration in personal care categories as well as the ability to deliver in the top 7 cities with 1
or 2-hour delivery speeds, even beauty products all the way from mass to luxury.
Sachin Dixit: A quick follow -up on this. This 7 minute s, I think, seems like a pick and drop delivery properly.
So, are you getting into a pure -play pick and drop model as well? Or all the plan is to stick to
what we plan ned earlier?
Anchit Nayar: I'm not sure what you mean by, our quick commerce is very much , we have 53 Rapid stores

across 7 cities. So if you live within a certain vicinity of one of our Rapid stores, the order is dispatched quite with speed. And so, 7 minutes is an example of how quickly we are able to do it. But I think most of the Nykaa Now orders are being processed and be

ing delivered anywhere
from 30 minutes to 70 or 75 minutes.
Sachin Dixit: Fair enough. Thank you and all the best.
Moderator: Thank you. T he next question is from Kapil Singh from Nomura. Please go ahead. Please accept the prompt, unmute yourself and proceed.
Kapil Singh: So, thanks for the opportunity and congratulations on a very good performance for the quarter. This quarter had a couple of disruptions or I would say, on account of GST, firstly, we saw there were certain changes. So, I would like you to just call out the impact across businesses that you see on account of the GST changes, if at all. Second is that the festive season came in a bit earlier. So just your thoughts if that had any significant impact on the performance for the quarter.
And then secondly, just on the operating leverage for your beauty business, we see that fulfilment costs, marketing costs, etcetera, have been ballpark, I would say, in the same range, but not see much operating leverage. So how to think about the operatin g leverage in both the businesses going ahead?
Falguni Nayar: Sorry, I think there will be confusion in such a mixed question. So, I think I'll take some parts of it. I think from the operating leverage perspective, you are seeing a fair amount of operating leverage come in on both beauty as well as fashion vertical. I think on Beauty, clearly, there are, beauty vertical is a mix of combination of omnichannel beauty business along with our owned beauty brands, which are now contributing a reasonable amount and eB2B business.
So, there is also a mix impact. But overall trend that each of the businesses are increasing their EBITDA margins and working on a path to improve the EBITDA margin and then the final numbers here reflect a combination of those. Within that, I think in fashion, own brands, clearly, there was a little bit of a drag over the last couple of quarters.

And as said, it was not very heavy this quarter, but in some of the earlier quarters, but even this quarter is deprived of growth of fashion owned brands as well as their profitability. So, there are improvements clearly visible on the fashion journey, both on fashion.com as well as fashion owned brands. And on Beauty, also, like we do believe that a little bit of improvement can come through leverage.
Anchit Nayar: Maybe I can add, if helpful. But I think, again, let's remember the beauty vertical is a combination of 3 or 4 very different businesses. And sometimes what you're saying in terms of the margins, I think in each of the individual businesses that make up the beauty vertical, you are seeing , you are seeing some operating leverage.
You are seeing an improvement in margins. But again, because some of the younger businesses like eB2B continue to grow faster than the core retailer business that we have, they start to account for a larger percent of the overall mix. So , I think some of it is mix. But also, as we said in our opening remarks, we are investing.
We continue to believe in the opportunity to drive further penetration of beauty in India given it's globally some of the lowest penetration rates in the world. So that journey continues, and we continue to invest behind growth. We continue to invest behind customer acquisition. So even the efficiencies we are able to derive from fulfilment and marketing, we are reinvesting that.
So, I think a quarter in which we have taken on a new brand ambassador, which is Deepika Padukone and we have spent behind brand building and we have spent behind marketing in terms of customer acquisition.
And we have also invested behind rapid stores and quicker delivery to keep fulfilment and marketing in the similar ballpark, I think, still is a very positive outcome. So that's the question on operating leverage. And I think fashion has definitely seen meaningful operat

ing leverage, as
you can see from the improvement in EBITDA margin.
In terms of GST, what I'll say is the GST impact, I think the GST changes were more around personal care products than beauty. There wasn't too much impact on beauty categories and
beauty SKUs. So , Personal Care did see some relief on GST, and that has translated in some better Personal Care sales. But otherwise, I would say that it hasn't really affected the core of our business, which is beauty.
P Ganesh : Just to add to what Anchit said, when we look at the overall business, the impact on GMV is less than 1%. And because taxes are netted off by the time you get to NSV, there is no impact beyond that. And there is no impact again on profitability because it is pass-through .
Kapil Singh: Yes. No, I understand that. I mean my question was more also on the growth.

Falguni Nayar: I think you're asking about deflationary impact of GST. It is small in our business. But yes, on eB2B business, there was some amount of deflationary impact on their ASP and AOV but
because in our beauty.com business, a lot more weightage for premium products and a lot more
weightage for beauty products, I don't think it was very significant.

And in fashion, some adversity at high end, but some benefit at the low end on demand pickup.
P Ganesh : Plus as well as minus. And as Vishal mentioned, in superstore, yes, about 40% to 50% of the volumes were impacted. Because Superstore is a relatively small portion of the business, when you look at a one Nykaa , the volumes which are impacted was about 8%.
Kapil Singh: Yes. No, what I was trying to understand is, is there a longer -term impact of this on the growth of particularly any of these businesses or not really, particularly fashion business, for example, do you see any impact ?
Falguni Nayar: We don't see a major long -term impact. Some minor benefits, some minor near -term adversity. So that's what it was.
Kapil Singh: And on the early festive, if there was anything to call out there in terms of , is it significant? D o you think or -- because usually, our second half is stronger, particularly the third quarter. Can we expect the same trajectory this time as well?
Falguni Nayar: Definitely for Beauty, we think our third quarter will be strong because of Nykaa, Pink Friday sale and also Nykaaland that's happening now. I think on fashion, we did see some benefit of Diwali because Diwali is more of a fashion purchase. So, we did see that benefit. But we think the momentum will continue this quarter, hopefully.
Kapil Singh: Thank you, so much and best wishes.
Moderator: Thank you. The next question is from Aditya Soman from CLSA. Please accept the prompt on your screen and proceed with your question.
Aditya Soman: So, two questions. Firstly, you indicated that Kay Beauty has done well overseas in London, you indicated that. So, can you explain a little bit more about the opportunity for Nykaa owned brands overseas and how you're looking to expand that?
And second question on the sort of arrangement with H&M, will this also include sort of sales in physical stores or it's purely a sort of online arrangement? And how , if there will be a difference in pricing between what's available in their stores and what's available online and a difference in assortment?
Adwaita Nayar: Alright. So, I'll comment first on the U.K. opportunity. So, we're definitely going to double down on the U.K. and within that the Space NK partnership. And I feel that every geography requires a lot of attention and focus and bringing the right level of passion and energy to build that brand in that region.
So, I think while the response has shown us that there is a lot of potential internationally for Kay and possibly even for a couple of our other brands, we'll sort of be doing it in a measured manner an

d picking geographies one by one and picking the right retailer partners within it , rather than going for a very wide distribution.
Aditya Soman: Understand. And just a follow up on that. I mean, is there any plan then to also have the platform also extend overseas? Or this is just for the brands and nothing to do with the platform?

Adwaita Nayar: This is just for the brands. It has nothing to do with the platform.
Aditya Soman: Understand. And then maybe one more follow -up on this. In terms of the salience, what proportion of the owned brand products is now coming from outside of the platform?
Adwaita Nayar: So, at a consolidated level across the beauty brands, about 44% is coming from outside of the Nykaa ecosystem.
Falguni Nayar: But I think this includes GT, MT also. It's not all just offline. It's not just third -party e -com. It's a combination of GT , MT distribution. It's a combination of other stores, if at all, and then also other platforms.
Adwaita Nayar: Yes. And a large part of that 44% is actually GT , MT.
Aditya Soman: Clear. Thanks.
Abhijeet Dabas: So, I'll take the second question on H&M. So, it is an online partnership across their fashion portfolio and the recently launched H&M Beauty portfolio. It will not be retailing in our offline stores, if that was the question, Aditya. I'm not sure if that was the question. So the scope is online. Was that your question? Hope I got that right.
Aditya Soman: Yes, yes. That was the question. And the other bit was just in terms of pricing and assortment, if that differs from what they have in their stores.

Abhijeet Dabas: Yes. So, the assortment will be the entire assortment that H&M has for India across categories, across fashion, beauty, kids, home, the entire assortment. Generally, for brands of that size, we work very closely with brands to ensure that not just availability, pr icing is also on parity with whatever it is on their own D2C platforms or offline. So, we'll be working very closely with H&M on that piece. So, pricing will also be by and large on parity.
Aditya Soman: Thank you. That's very clear. Thanks.
Moderator: Thank you. The next question is from Vijit Jain from Citi. Please accept the prompt on your screen and proceed with your question.
Vijit Jain: Thank you for the opportunity. I have just one question. Could you give a broad sense of what is fragrance now in your overall mix? And I see that you've added 19 stores in 2Q. This is in the beauty side faster than you've done in the last few quarters and 8 new cities as well. So, I'm just wondering, specifically on the fragrance side, is that sizable enough of a category in its own right for you, especially also on the store expansion plan side? Yes, that's my question.
Anchit Nayar: Yes. So, fragrance, and I think I mentioned in the past is one of our fastest -growing categories consistently every quarter. globally, you're seeing fragrance as being the category which Gen Z is really, really adopting. And you're seeing the same thing in India. So, I think fragrance is going to be a big driver of growth for beauty globally as well as in India and same applies to us. So, we are focused on it.

In the past, we've spoken with you about all the initiatives we're taking around building awareness and driving education for fragrance usage amongst consumers in India, which historically fragrance has not been part of daily life for Indian consumers. So really bringing about that habit forming change is something which we're working on leveraging all of our digital and non- digital channels.
Fragrance is also a big part of our retail stores because really the ability to test and smell a fragrance can only be done in physical retail. And so that fra

grance is one of the three main pillars in our retail stores as well. So, fragrance is one of, if not the fastest -growing category on the platform, a big part of our retail store network, a high ASP item, very, very good for average order values and ticket sizes.
So, it's a great category. We're definitely very behind it. And it continues to grow from strength to strength. And we're not talking about it in this particular analyst call, but we are about to open a fragrance-only store called Nykaa Perfumery . So, you will start to see some of those stores popping up across several key metros in the coming months.
Vijit Jain: Thanks Anchit and best of luck with that new initiative. Any broad sense on where you think fragrance could be in your overall GMV mix, right now or if you prefer where you want it to be in a few years' time?
Anchit Nayar: So, the great thing about selling fragrance is that it doesn't cannibalize existing makeup and skin care sales, right? It's not either/or, it's very much additive. So, our ambition is just to continue to drive penetration of basket through fragrance, so making sure people are already shopping makeup and skin care , start buying fragrances as well. But the reality is we want each of our categories to grow as fast as they possibly can.
And so how the mix shakes out in the near term, we're not really focused on it from a mix perspective because that would mean artificially trying to grow it faster than other categories.
We want all the categories to grow as fast as they can. So, we'll see where it shakes out. It's more an output than an input.
But I think longer term, if you look at global retailers in more developed markets, fragrance is usually anywhere from 15% to 25% of their total business. And in some markets like the Gulf, it's even more than that. So, India is still far away from the Gulf when it comes to affordability and consumer behaviour.
But I think we're definitely on our way to getting closer to where it's really an equal representation in our overall revenue mix, but we're not committing to any timelines . We're not , as I said, we're not artificially solving for it. But I think the way the customers are evolving, you will see fragrance starting to become clearly a very meaningful part of the overall pie.
Moderator: The next question is from Harit Kapoor from Investec.
Harit Kapoor: Hi, guys. Am I audible.
Moderator: Yes.

Harit Kapoor: So, I just had two questions, both on fashion. The first one was if you look at the new brands that you also onboarded, as well as with H&M coming in, just wanted to know whether you

expect a little bit of an AOV dilution going forward. First half has seen ve ry strong AOV growth
also in the fashion business in mid -single -digit. So, the kind of brands you're onboarding, as well
as with H&M coming in, do you expect a little bit of AOV dilution going forward as well on the fashion business? That' s my first question.
And the second one was , again on fashion. So, the first half has seen exceptionally strong growth
in terms of whether monthly average unique visitors, number of visits. And this has come despite
an early double -digit growth in Marketing and S&D . So just wanted to get your sense on whether
it's been really driven by the significant expansion in onboarding new brand partners, which is
the key driver of getting more people on site or is it just better utilization of m arketing ad spend?
If you could just spend some time on what's driven this despite marketing, going up?
Management: So, on the first one, we don't see a dilution of AOV per se. It could be a little bit here or there.
But generally speaking, for the same brand, which is live on Nykaa, as well as on other platforms,
the AOV for the same brand is also consistently higher on N ykaa, because the day and age that

we live in is one where the same consumer has access to multiple apps, but it's different kinds
of use cases, which bring customers to different apps.
Nykaa Fashion is positioned as a slightly more premium platform. It's a platform where customers come in to buy more high fashion product. And that has consistently been also, when
we do consumer d ecrypt , it's consistent feedback that we have received. So, the positioning of
Nykaa Fashion as a platform under the Nykaa umbrella is such that the use cases that bring
customers to us even for the same brand are different from the use cases of the same brand,
which take them to other platforms.
So, for that reason, we don't see there being any meaningful dilution to AOV on the first point.
And even in the first quarter and quarter four of last year and even before that, we've always onboarded different ranges of brands. But in spite of that, our AOV has remained where it has
remained. So don't foresee any significant dilution.
On the second part, I think, like I mentioned, intrinsically, what has led to an improvement in
the new customer acquisition rate has been a revival on all of the fronts. So below under the
hood, there is, of course, a very large percentage of our business , which comes from female
customers, but there's also a kid’s business. There is also a men's business, which are smaller in
share, but which are very fast growing. There is a smaller but very fast -growing home business.
And these are interesting categories which are growing almost at the clip of close to 70%, 80%
even year -on-year.
So, we are seeing a very healthy customer acquisition across the board on all four of them, not
just women, but women, kids, men, as well as home. And that is what is driving this new customer acquisition. And once new customer acquisition is healthy, that leads to obviously much healthier funnels in the months to come.

What I will also add is that now with the addition of brands such as H&M, which have portfolios
across both beauty and fashion, that also leads to a lot of cross -pollination across both platforms.
Once we have brands like these, customers who may be acquir ed through one portfolio will also
end up transacting with us within the universe of Nykaa and other portfolio. And there's more like these, which are lined up.
So, overall, I think the flywheel will continue. We are hoping and
we are quite optimistic that it will continue to look the same or better.
Moderator: The next question is from Prateek Pareek from ICICI Prudential. As the current participant is
not answering, we move on to the next question, which is from the line of Pankil Shah from
Narotam Sekhsaria.
Pankil Shah Can you hear me now?
Moderator: Yes. Please proceed.
Pankil Shah: Hi. Just a quick question regarding the spend by brands in terms of advertisement on quarter -
on-quarter basis, are we seeing increase in that on the platform?
Anchit Nayar: So, maybe I'll kick it off with beauty. So, I think the short answer is yes, there has been , I think
a couple of things have happened. One is, as I've spoken to you in the past about is a lot of investments, we've made towards creating more advertising opportunities for brand partners. So
now we've got ability for brands to advertise across the funnel, so not just top of funnel, but even mid and lower funnel through PLAs and in-line widgets and other in-line banners and other such
opportunitie s for advertising. So just creating a lot more real estate.
Second is we've also started to personalize, which means now brands can really be a lot more targeted about whom they target when it comes to advertising. And third, we've launched self -
serve dashboards and real -time data sharing. So also gives brands the ability to manage their ad
campaigns more in real time, that is a big benefit to them and makes the pl

atform a lot more attractive. So, I think a lot of investments beyond what we call as ad tech have been made over
the past several quarters. And those are resulting in a lot of interest from advertisers.

Secondly, I think for any brand who is retailing beauty products or any brand that's selling beauty products, there is no platform with this size and scale of relevant shoppers in a very relevant demographic with the kind of affordability and behaviour tha t they see on Nykaa. So, and as we continue to invest behind customer acquisition that we do for penetration purposes, the brands get the benefit in terms of having a larger audience with which to engage.

So, as we continue to invest and spend on marketing to acquire customers, we're then able to also get more ad dollars from our brand partners to advertise to a larger base of consumers and a relevant base of consumers. So, there has been good progress on that front and continues to be an area of focus for us. And also, as I mentioned in my presentation, a lot of new brand launches and brand launches are a good time for brands to overinvest in marketing and we do see that play out on the platform.

Abhijeet Dabas : Yes. I'll just add a very short 2 cents on top of that for fashion. So, yes, we are seeing significantly higher interest from brands and marketing income as a more and more meaningful line item in

the P&L. But also, the fashion business compared to where beauty is in terms of its evolution of the sophistication of our tech platform to provide opportunities to brands to invest and to see ROI on their investment is , we are in the more early stages.

I think fashion is also a much younger business compared to beauty on the Nykaa side. But there is significant upside in this, because there is a lot of interest from brands to want to invest to attract and retain the right kind of customer. So, a lot more to come in the quarters to come.

Moderator: The next question is from Devanshu from Quantum Advisors. Ladies and gentlemen, as the current participant is not answering, we will conclude the question-and -answer session. You may reach out to Nykaa's Investor Relations team for any additional queries. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, ma'am.

Falguni Nayar: Thank you, everyone, for being on the call with us. And I hope we've answered all the questions and do get in touch with us if there are any clarifications needed. With that, have a good evening and thank you for being with us again today.

Moderator: Thank you, members of the management. On behalf of FSN E -Commerce Ventures Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting. Thank you.

Call: Feb 2026

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa. com
CIN: L52600MH2012PLC230136

February 9, 2026

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir / Madam ,
Subject: Transcript of the Conference Call for Analyst / Investors

Please find enclosed the transcript of the Analyst / Investor Conference Call held on February 05, 2026 , with regard s to the Una udited Standalone and Consolidated Financial Results for the quarter and nine months ended December 31 , 2025.

This intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You,

Yours faithfully,

For FSN E -Commerce Ventures Limited

Chetan Sharma
Company Secretary & Compliance Officer

Encl.: As Above

"FSN E -Commerce Ventures Limited (Nykaa)
Q3 FY26 Earnings Conference Call"
February 05 , 202 6

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON ,
MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BEAUTY
MS. ADWAITA NAYAR – EXECUTIVE DIRECTO R AND CO-
FOUNDER , CHIEF EXECUTIVE OFFICER OF HOUSE OF
NYKAA BRANDS
MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER ,
NYKAA DISTRIBUTION
MR. ABHIJEET DABAS – EXECUTIVE VICE PRESIDENT ,
NYKAA FASHION .COM
MR. P. GANESH – CHIEF FINANCIAL OFFICER

Moderator: Hi. Good evening, everyone. This is Michelle from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q3FY26 Earnings Call. From the management at Nykaa, we have
Ms. Falguni Nayar, Executive Chairperson, MD and CEO;
Mr. Anchit Nayar, Executive Director and CEO, Beauty;

Ms. Adwaita Nayar, Executive Director and Co -Founder , and CEO of House of Nykaa Brands;
Mr. Vishal Gupta, CEO, Nykaa Distribution;
Mr. Abhijeet Dabas, Executive Vice President, Nykafashion.com;
Mr. P. Ganesh, Chief Financial Officer.

Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this cal l is meant for investors and analysts only.

By participating in this event, you can consent to such recording, distribution, and publication. All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation from management concludes. With that, over to you, Falguni Ma'am, for opening remarks. Thank you.

Falguni Nayar: Thank you. Good afternoon, everyone. It's a pleasure to talk to all of you about yet another quarter. I just wanted to begin with saying that it's been a good quarter. As you are all aware that quarter 3 December is a seasonally strong quarter. And we are happy to say that the GMV growth has come out at around 28% year -on-year growth at INR 5,795 crores. And at the net revenue level also, the net revenue is at about INR 2,873 crores, which is a 27% year -on-year.

So with that, we are happy to say that Nykaa has delivered for a long period, almost 13, 14 quarters of mid -20s growth on a sustainable basis. So happy for that. On the gross profit line, I think the gross profit has come out at INR 1,297 crores, which is a 45.2% of net revenue, and this is a 31% year -on-year growth. So slight improvement at the gross profit level on a consolidated basis.

On the EBITDA, too, we are happy to say that the EBITDA is at about INR 230 crores for the quarter, which is 8 .0% of net revenue and a 63% year -on-year growth. This is the highest EBITDA margin ever and happy to deliver that to all the stakeholders.

On the PAT, we are at about INR 68 crores, which is 2.4% of net revenue and about 156% growth year -on-year. This PAT number is after adjusting for onetime impact of a new labor code which is taken away. So, if you were to adjust for that, the number would have been at INR 78 crores, which would have been 2.7% of net revenue instead of 2.4%.

With that, I move on to the next slide. I think on a vertical basis, if you look at Beauty, Beauty growth has continued at 27% on a year -on-year basis on a very strong seasonal quarter. That's at GMV level. And on NSV , it is at 29%. And in fact, on a NSV basis, it's an acceleration from a year earlier when we had grown at about 26%.

One can also say that on a 9 -month basis, the growth has come out at 27%, both at GMV and the NSV level. And what is really interesting is that the EBITDA of the Beauty business now stands at 10.1% of net revenue. That's for the quarter. And for the 9 months, it stands at 9.4%.

For the fashion business, too, I think the GMV growth for the quarter was 31% year -on-year. However, at the NSV level, the growth was 25% on a year -on-year basis. And for the 9-month period, similarly, the GMV growth was at 31%, but the NSV growth has come out a little lower at 24%. There are reasons for that.

We can deep dive later into that. But overall, very healthy growth in both the numbers. And from an EBITDA margin perspective, happy to say that this quarter, the fashion business EBITDA margin is minus 2 .0%. It's come down from minus 5.4% a year ago. And even on a 9-month basis, the losses for the fashion business now stand at minus 3.7% of net revenue.

This I want to point out that this quarter saw marquee brand wins like H&M, and also robust customer acquisition

and strong festive sales, which all led to delivery of a sharp improvement in profitability in the fashion business. On the Beauty business, I' ll just point out for a minute that the performance is overall good.

There's a strong omnichannel performance in Beauty, also improving unit economics in eB2B has come to play in the EBITDA margin of the business as well as growth outperformance in House of Nykaa with both strong growth as well as

strong margin expansion. S o in the Beauty
business, pretty much all the cylinders have fired very nicely this quarter.
With that, we move on to the next slide. This is just taking stock of where we are with all our businesses that we are building. So, like in terms of Nykaa has 4 platforms: Nykaa Beauty,
Nykaa Fashion, Nykaa Man, and Nysaa, which is our GCC platform with growing presence in the GCC. We now have 52 million customers who we have served till date through all our
platforms.
And on a B2C basis, if you look at it from a retail perspective, you are aware that we have, again,
multiple formats, Nykaa Luxe, Nykaa On Trend, and Nykaa Kiosk, which is for our owned
labels. And to that, we've now added Nykaa Perfumery, which are our Perfume only stores, and
there is a strategic reason to build those. And now the total number of store count stands at 276 stores in 94 cities.
On the consumer brand also, we own more than 12 consumer brands of significance. There are smaller brands too. Amongst these 12 brands, the top 5 are Dot & Key, Kay Beauty, Nykaa Cosmetics, Nykd, and Twenty Dresses. And these brands, all the brands put together account
now for $400 million annual ized GMV and have serviced more than 16 million customers.
We are increasingly also getting involved with B2B2C business, where we have deep partnership
and full stack offering to players like Nike. You must have heard the announcement, it came
post the quarter end, where we have partnered with Nike to run their D2C business. In India
Kiehl's has similarly trusted us to run their entire India business, be it their D2C website, their

stores as well as exclusively e-commerce and sell it on other platforms. There was a similar
business we had started doing with Foot Locker earlier, which has been growing.
And we also are exclusive import and distribution partner for many of the international brands.
In fact, more than 40 international brands have trusted us with their brands in the country to
grow these in the country. From a B2B business perspective, we have the Superstore, which
serves retailers across general trade, small format beauty outlets, pharmacies, and salons. And
obviously, on a multi -brand portfolio basis, we offer this to a whole bunch of brands. So, it's a
platform. And this has been growing very nicely. We reach out to more than 485,000 retailers
throughout the country across 1,100 cities. Within that, there is a smaller dedicated GT /MT
distribution business for our own brands that focuses on mostly like these are the BA service
outlets. And the number of those is also now reaches to more than 10,000-15,000. So overall, a
very good distribution footprint has been built with $2.6 billion annualized GMV across all the
platforms. Talking about beauty multi-brand retail, I'd like to hand it over to Anchit.
Anchit Nayar: Yes. Thank you, and good evening, everybody. So I think as was said earlier on the call, it's been
a good quarter for the beauty vertical as well. We have delivered the highest GMV in our history
at INR 4,302 crores, and this was at a 27% growth year -over -year. It has also resulted in a 10.1%
EBITDA margin which is a significant improvement over Q3 of last year. I think major reasons
behind the strong performance have been our investments in customer acquisition are clearly
paying off .
And we had a successful flagship Friday sale, which usually occurs

in the O ND quarter in the
month of November, end November, early December as well as a strong overall performance across the board from beauty.com, our beauty retail stores as well as our Nykaa House of Brands,
which we will speak about in subsequent slides.
Next slide, please. So just speaking a bit more about the customer acquisition, something we have discussed with all of you in the past. It is an area of investment for us. We do feel that India is underpenetrated in terms of its beauty consumption, and we want to be drivers of that
penetration and that growth. And so we have been investing behind customer acquisition. As
you can see, we are now at about 18.7 million annual unique transacting customers, which is a
26% growth year -over -year and almost 4 mill ion customers, larger than this time last year.
We want to spend a minute to talk about an interesting partnership of ours, and that is our decade -
long partnership with L'Oreal. As many of you know, L'Oreal is the world's largest beauty company and truly an inspirational institution in its own right. They have an incredible portfolio
of brands, and I think they have been a partner to us since the very beginning.
As you can see, we launched some of their consumer product division brands in 2012. But every
year since, we have continued to add more brands from their portfolio to N ykaa.com as well as
Nykaa stores as L'Oreal does see India as a priority market.
Some key highlights to mention is for brands like Redken, Kerastase, YSL, Lancome, CeraVe, Kiehl's, Nykaa was the first India partner. And there are certain brands from their portfolio like

Urban Decay , NYX and IT cosmetics, where not only are we the retailer for them, but we are also the importer and distributor on record for these brands. And certain brands that are highlighted that are on that slide were also exclusive to Nykaa.

Now the reason why we wanted to talk about this relationship this quarter is because we have further strengthened our relationship with L'Oreal this quarter with 3 incredible brands that they are bringing into India in partnership with us. The first is La Roche -Posay, which is one of L'Oreal's most prominent derma cosmetic skin care brands globally, and that is an exclusive launch, which we did for them. And this is the world's #1 dermatologist recommended skin care brand. It was launched exclusively with Nykaa in this quarter.

Second is we have secured the rights for the exclusive distribution of NYX Makeup, which is a very trendy Gen Z favourite makeup brand , that has launched exclusively with Nykaa through our Nykaa Global store, which is our distribution business.

Third, definitely not last is our Kiehl's partnership. Kiehl's is over 100 -year-old skin care brand. Again, a very popular brand from the L'Oreal ’s luxury portfolio. So it's a prestige skin care brand. And we are happy to say that we're taking over the Kiehl's operations in India, and we will provide end-to -end full stack services for Kiehl's in India. This includes operating their direct -to-consumer website, their freestanding stores as well as retailing the brand on Nyka.com and Nykaa stores.

Next slide, please. Beyond the L'Oreal Group, of course, there have been other launches that we are quite happy with this quarter. As you can see, the number of brands, number of global brands launched on the platform is only increasing with time. Just a c ouple to mention this quarter has been Milk Makeup, which is a very popular makeup brand from the U.S., Kylie Cosmetics, and Dolce Gabbana as well as H&M Beauty. And then some brands were also very trendy Korean brands as well as some Indian local D2C brands launched exclusively on Nykaa in this past quarter as well.

Spending a few minutes on our physical retail business. So today, just to give you an update, we have opened 11 new stores in Q3, and that takes our total retail store count to 276. We've expanded into 4 new cities. So today, we have stores across 94 citie s. So, getting close to that 100 city mark, which we've discussed in the past. Today, about 2.8 lakh square feet of retail space. And I think most importantly, delivering healthy double -digit like -for-like growth in the quarter. Beyond the core retail business, we are also expanding with new innovative experiential formats. We believe that this is an important way to engage with younger audiences and to bring more customers into the beauty funnel.

So of course, on the left -hand side, you can see we've got our multi -brand specialty store formats like Nykaa Luxury as well as Nykaa On Trend. And now we've recently this quarter launched a new fragrance-only store concept called Nykaa Perfumery. We also have curated, I would say, more engagement -driven formats like Nykaa Kiosks, which are short -term lease pop -up type formats where we exclusively retail our own brands. And these tend to be in very high-traffic zones within Grade A and Grade B malls.

The Nykaa Wanderlust card is a great way to expose consumers to our Bath & Body offering. And this is also something that is, I would say, it can be quickly expanded given its low CapEx and low fixed cost model.

Next is some exclusive brand experiential formats. As I mentioned, we will now be operating freestanding stores for Kiehl's in India. And similarly, we've opened a very interesting lifestyle cafe concept for K ay Beauty, that's called Kay Kafe, and that's where we're blending beauty with coffee and community. And I think these are formats that really resonates with the younger audiences as they look to build relationships with brands for the long term.

Here, you can see the images of our new Nykaa Perfumery retail concept, which we've opened up. Currently, we have 2 stores already opened in the past 3 months and more to come. This is really to drive the adoption of fragranc e by the Indian consumer. We think it's an underpenetrated category. But to improve the penetration we need to increase the education and awareness for fragrance, and especially for luxury fragrances. And we're doing that through this type of store concept. So through immersive experie nces and through technology, through a very curated set of brands and very high-quality service in the store, we are hoping to drive further adoption of this premium segment of fragrances in India.

So far, the signs have been quite promising. The average order values in these fragrance stores are already at 3x the average order value of our multi -brand specialty stores. Interestingly, 45% plus of the business from these stores is coming from men's fr agrance. So , this store format is definitely playing out the way we expected, which is to have a much wider appeal than just our target female audiences. It's also appealing to men in India.

Next slide. So we've spoken to you again in the past about Nykaa Now. I'm happy to say that Nykaa Now has stabilized quite nicely, and it has picked up in terms of the demand and the awareness for the Nykaa Now offering. Today, we have the largest beauty a nd personal care assortment across luxury, D2C, FMCG brands compared to any other platform that is offering quick delivery.

And our delivery promise is 30 minutes to 2 hours, and we think that is suitable given the kind of access to the kind of brands and products which we are giving the customer. On top of the fact that we are now live in all seven Tier 1 cities with Nykaa Now . Also, all of our retail stores are now enabled with hyperlocal delivery capabilities across the country.

And this is what's allowing us to sell a lot of our luxury beauty brands through this quicker delivery model. And on the right -hand side, you can see the UI/UX for our N

ykaa Now store within the app and some early marketing, which we've done. But there is a plan to do obviously a lot more marketing behind Nykaa Now, now that the network is robust and stabilized.

Next slide, please. So I think recently, there's been a lot of noise around the creator economy in India and how content and commerce are really driving the flywheel. But as many of you know, we've been speaking about the content to commerce playbook since the very beginning of the journey as a company.

And we're only seeing it pick up over the past several quarters as Gen Z as an audience is one that is heavily influenced by content and social media. So as you can see today that 76% of content consumed on social media was creator content and 70% of spends done by Gen Z customers was based on that content that they saw.

And Nykaa has actually India's largest network of influencers and content creators today. This is the affiliate network we have, we have been building over the past 10 years. And today, we're proud to say we have over 100,000 influencers plus affiliates and over 2 million pieces of content was created by us in terms of post, videos, and reels.

On the right -hand side, you can see two , I would say, disruptive partnerships that we have just signed. One is with YouTube. So Nykaa is partnering with YouTube to integrate shopping within the videos on the YouTube platform. And the second is our partnership with Snapchat to nurture and create the next generation of Gen Z beauty creators in India.

Next, please. Finally, we did host Nykaaland, the third addition of Nykaaland this quarter in November. And this was in Delhi, for the first time in Delhi, and we had 30,000 customers who actually bought tickets to attend the event, which was almost 20% mo re than the number of tickets we sold last year for our Bombay edition.

There were 12 -plus master classes from renowned celebrity makeup artists, 10,000 pieces of content were created by 3,000 -plus content creators who attended, and this drove almost 190 million reach over 2, 2.5-day s festival.

We had 60 global and domestic brands participate. And we were also very happy to actually partner with the H&M Group. H&M Group also launched both their beauty and their fashion on Nykaa, but I'll let Abhijeet talk more about that in the fashion section. A nd as part of their launch with Nykaa, they also helped to co-sponsor the event. And we had a lot of live entertainment and music and F&B at the event as well. It was very well received by consumers.

Finally, since it was the end of the calendar year, we also did a Nykaa Beauty Rewind to share with customers based on all the data points we have that what was India shopping behaviour when it came to beauty in 2025. So we did a lot of advertising across cities in terms of outdoor, digital, non -digital. But more importantly, we also created a commercial event out of this where all of the best sellers from the year were shoppable on our platform. And I think it was a very interesting commercial activation that had a lot of success.

I won't read through some of these data points, but as you can see on the next slide, some very interesting data points. We sell one fragrance every 5 seconds. We sell close to 2,000 lipsticks every hour and 1 moisturizer every 2 seconds. So it's showing y ou just the sheer scale we are now operating at as a beauty business.

So despite India being a market that still is highly underpenetrated when it comes to beauty consumption, you can see the scale of the market at play here. So we're very, very happy and excited with where we are, but it's also equally exciting to know how much headroom we have

to grow. With that, I think that's the end of my section. So I'll hand it over t

o Adwaita to take
you through the House of Nykaa section.
Adwaita Nayar: Hi, everyone. Today, I'll talk about the House of Nykaa business. For Q3, we've ended the quarter with INR 872 crores. That's an annualized GMV run rate of INR 3,500 crores. It's a 48% year-on-year growth. And as a reminder, this includes both our beauty and fashion brands. And if we just look at the bottom half of this slide, you can see how that split is.
So, of the INR 3,500 crores annualized number, INR 3,100 crores is in beauty. So bulk of it really is on the beauty side, and there's a INR 400 crore own brands business in fashion. The logos you see below are the brands that we're focusing on in both these sections. And I'll talk about some of these larger brands in the following slides.
The trajectory of the business has been quite impressive over the last couple of quarters. On the left-hand side, you can see the last 7 quarters. In Q3, on the beauty side of the business, the GMV is INR 775 crores. It is a 65% year -on-year growth. So the beauty side of the business has been growing quite rapidly. And the last couple of quarters have been 70% up and up. On the right - hand side, you can see how the split is across various channels.
So Nykaa Online is about 45% of the business and the rest is split between Nykaa Stores, Nykaa Distribution, whether that's eB2B or our GT/MT business. And then other third- party channels is about 24%. So that's other marketplaces and so forth. So it is a well-distributed business. As we've always said, we're not building private label, so we're building brands. And therefore, of course, we will focus on Nykaa Distribution, but some amount of outside Nykaa Distribution is
also important for this business.
Moving on. Double -clicking on one of the most promising brands in our portfolio is Dot & Key.
So, Dot & Key today is running at about INR 1,900 crores of annualized GMV. It's grown 100% plus and it grew that much last year as well. So there's been a very astounding trajectory for this brand.
It's a very profitable business with high-teens EBITDA margins and it's often amongst the top couple of skin care brands on Nykaa, but also on most other large platforms as well. The business has been built with a very strong focus in sunscreen, facewash, moisturizer. And this quarter, we also launched a very strong lip balm, which has been doing very well.
Moving on. Kay Beauty, another brand of ours, which has now crossed INR 500 crores of annualized GMV, again, is growing exceptionally well. It's sort of a breakout brand for us with 60% plus growth. The new launches have been firing very well. On the right -hand side, you can
see a little bit of a glimpse of a collaboration we did with the designers, Falguni Shane Peacock.
And again, this collaboration has been received super well and is allowing us to premiumize the brand as well. Last year, we also spoke about how we've taken this brand international. So the U.K. and the Middle East continue to be a very high potential mar kets for us and we're continuing to really focus on that as well.

Moving on. We've got Nykaa Cosmetics next , which is approaching a INR 500 crore annualized GMV run rate. Again, new launches have been quite strong for it. And this is a brand where we actually have a pretty large physical distribution as well beyond Nykaa Online and Nykaa Stores. We have over 14,000 dedicated GT/MT doors, a nd this is also a really great way for us to build
brand Nykaa as all these products have the name Nykaa on it and then go and live in the homes of consumers.
Moving on. Nykaa Perfumes, that's been another focus for us. So under the brand name Moi, we've been launching perfumes. And again, this has been doing exceptionally well. It's the #1 brand now in non -luxury perfumes on Nykaa. And we think fragrance is a ve

ry high potential
category, and we'll continue to focus on it.
Moving on. Nykd, this is probably the most important brand on our fashion owned brand side of the portfolio. So this business is growing very well within fashion, and it is now in its fifth
year, and it's been a pretty strong business across lingerie, athl eisure, sleepwear, shapewear. It's also a business where we've been opening stores. So today, we have 30 exclusive brand outlets, and we have a considerable presence in GT as well. Today, this business is about INR 150 crores of annualized GMV.
So net -net, before I hand over to Vishal, I think we're feeling very strong. We're feeling like the business is in a very strong place at the moment. And we're feeling pretty confident with the way in which the brands are coming about, the teams that we're building to be able to execute this.
This is obviously a very different DNA from the retailer DNA that we've had so far.
But we do believe that we're sitting on some really, really powerful brands, many of which are now becoming market leaders, not just on our platform but on other platforms as well. So we'll
continue to be very bullish and focus on this part of the business . And with that, I'll hand over to Vishal to talk about eB2B.
Vishal Gupta: Thanks, Adwaita. Good evening to everyone. I'm happy to share yet another quarter of very good results as we

continue to scale with widening reach and improved profitability. You can
see in the rightmost chart that we have grown our transacting retailers b y 40%, adding 1 lakh
retailers in last 1 year, and our business grew by 31%, which is our NSV . GMV is at 23% because
of the changes in GST where the MRP came down, but our NSV, net realization grew by 31%,
which is nice.
Next. And within that, you can see that our scale and reach is so important and our brand partners
love it. So we were able to add a lot of marquee brands during this year, brands, Colgate,
Palmolive portfolio, Johnson & Johnson portfolio, Reckitt's portf olio in the big brands and in
the regional D2C brands like Plix, Derma Co, Pilgrim, Chemist at Play, a lot of upcoming and good brands eye our network
and are happy to partner with us.
Next. Not only that, we have even scaled our own brands quite nicely. You can see 2.7x in 1
year, reaching more than 100,000 transacting retailers across all over India. So we are also able
to build our own brands in our distribution system.

Next, and this is a scale business. And as we scale, we continue to improve our unit economics.
And this quarter, we have improved 574 bps of EBITDA margin coming out of fulfillment
expenses, S&D cost and employee and other expenses, where it's not only scale, but even individually like packaging cost,
addressing leakages. So scale -based and actual unit
improvements, overall, 574 bps improvement. So net -net, very encouraging quarter. Thanks.
Over to Abhijeet.
Abhijeet Dabas: Great. Thanks, Vishal. Good evening, everyone. So as Falguni Ma'am shared upfront, this
quarter has been a story of continued acceleration in the fashion business, both on the growth as
well as profitability side. So very happy to share that we clocked alm ost INR 1,500 crores GMV
for the third quarter, which is a 31% growth year -on-year, continuing the trend of recovery that
we've been seeing in this financial year.
And while doing that, we've also been continuously fixing the underlying core platform and
intrinsics of the platform, which has resulted in 340 basis points improvement in EBITDA
margin also during the quarter. So, we've gone from minus 5.4% to minus 2 .0% for this quarter.
Next slide. Across the board, if you look at the metrics which indicate the health of the
underlying fashion business.
Whether it's visits, the number of customers, the retention of customers, new customer acquisition, overal

l, all metrics are trending very healthily. In particular, new customer
acquisition is up 45% year -on-year. And this is a quarter where we do the pink sale across both
beauty and fashion, as Anchit spoke about earlier. So it is a quarter where we expect to acquire
customers in a big way.
And that's what the 45% new customer acquisition number reflects. And it's because of this that we are in a position that since
the business is healthier, we are now starting to see signs of better
operating leverage and efficiency showing up in the margin improvement as well.
Next slide. One of our core promises to customers has been that we are a curated platform. Nykaa
Fashion is a premium position, curated platform, which is the destination for the best brands
across categories for customers to shop from. But also happy to s hare that this slide is becoming
busier not just from brands in the women's category, but in the emerging categories as we call
them as well. So, whether you talk about men's, kids, or now also smaller categories like
accessories and home, we have a fairly robust assortment of very strong brands across all of
those categories and that makes the proposition for customers more enticing. So just we have
the platform is heading in the right direction by onboarding brands across all those categories
across the board.
Next slide. So Anchit spoke about H&M debuting on Nykaa Fashion on Nykaa overall during Nykaland. H&M partnered with
us and headline sponsored Nyka aland. As most of you know,
H&M is not a brand which is new to India. It's been around for, I think, close 10 years last year
in India.

But when they debuted on Nykaa Fashion, both ways, it was a win- win because for us, of course,
having a brand of the repute of H&M just strengthens the assortment and proposition for
customers in a very big way, and that's reflected in the fact that almost from the get -go, H&M
has been the number one brand on Nykaa Fashion since launch.
But even for H&M, the quality of customers that Nykaa Fashion as a platform is able to deliver
and the shape of business that Nykaa Fashion is able to deliver, which is to be able to help them sell the more fashionable
products, the more in -season products . It works both ways, and it has

been a big win -win and a source of learning for both H&M and for us. So a very successful launch, and we hope many more marquee launches and many more wins to come in the coming quarters with H&M.
And as Falguni Ma'am touched upon, this is a new partnership that we have just embarked on with Nike. We've entered into a deep strategic partnership with Nike to run Nike's official direct -to-customer, D2C digital commerce platforms in the country. What that means is Nykaa Fashion will now run exclusively in India, Nike.in as well as the Nike Commerce Apps, which is the iOS and Android apps.
It's a unique partnership. This is a different model than the typical marketplace retail partnership that we do with most other brands. And this has just launched just a few days ago. As part of this, Nykaa Fashion will manage end -to-end everything for those platforms, which means the on-site experience, the digital marketing, fulfilment, customer experience and everything.
And again, it brings on one hand, as we all know, Nike's undoubted global brand equity and product equity on one side to customers in India in a way in which Nykaa Fashion brings to bear its deep expertise of the Indian market, the Indian ecosystem, its fu ll stack capabilities, and really the know -how of how to work with a brand of Nike standing to deliver a premium experience to customers in India.
So very excited about what this holds for both Nike and for us. And lastly, we also had a very successful Pink Friday sale. Like I mentioned earlier, it is one of the sources of the custome

r
acquisition for us. We continue to work with some marquee celebri ties, as you can see, Ishaan and Shanaya, but also a range of influencers.
Overall, this was the largest Pink Friday sale that we have ever had on Nykaa Fashion, 44% higher year -on-year customer acquisition, more than 30 million visits, more than 200 million social reach. And some of the metrics towards the bottom of the slide, I will not read, but this was a meaningful contribution to us having a successful quarter.That's all from my side. I'll hand over to Ganesh. Thank you.
P Ganesh: Thank you, Abhijeet. Good evening, everyone. I'll now share an overview of our quarterly performance. We have had a very strong quarter with both our business verticals delivering robust growth. Beauty business continues to deliver on its growth momentum of 25% plus for the last several quarters.

Fashion business saw its growth revival since quarter 1, and it continues to deliver accelerated growth now. With that at One Nykaa level, we have been consistently delivering strong top line growth of mid- 20s over the last 13 quarters, as Falguni mentione d as well, while driving strong improvement in our profitability also.
Q3FY26 has been the biggest quarter ever for Nykaa on multiple parameters. Our revenue from operations grew by 27% during the quarter. Profitability also saw a meaningful improvement with EBITDA margin coming in at 8.0 % during the quarter, which is a 180 -basis points improvement driven by strong focus on driving efficiencies across the P&L.
We have taken a onetime provision of about INR 16 crores in quarter 3 to account for the new Labour Code impact. PAT margin of 2.4%, which is after the above onetime impact, is still the highest PAT margin since our IPO. Our PAT margin for the quarter before the exceptional item would have been 2.7%.
Going to the next slide. This slide provides a snapshot of our consolidated P&L statement. We saw a healthy gross margin improvement of 144 basis points Y -o-Y this quarter, coming in at 45.2%, which is the highest in the last 13 quarters. The margin expansion was supported by robust performance from House of Nykaa Beauty brands and higher service income across verticals.
Our fulfilment expenses increased by 13 basis points Y -o-Y standing at 9.4% on a net revenue basis, given our focus on faster delivery in fashion, leading to increase in shipment mix. Fulfilment expenses in beauty continue to remain stable. We have continued to invest in performance marketing and brand and category building initiatives, leading to an 8 basis points increase in our marketing and S&D, which now stands at 16.0 % for the quarter.
We are already seeing a healthy return on this investment with accelerated new customer acquisition in both Beauty and Fashion reflected in the strong AUTC growth. Our brand and category building activities are also driving strong growth in House of Nykaa brands and enabling premiumization journey for the consumer in the beauty ecosystem. Our employee expenses saw improvement of 64 basis points Y -o-Y this quarter on the back of scale -led efficiency.
Going to the next slide. Yes. This slide now gives a vertical -wise performance. We have delivered strong industry-leading growth in both businesses with NSV growing in mid-20s while delivering healthy margin improvement in both the businesses. Beauty EBIT DA witnessed a 134 basis points expansion and Fashion EBITDA improved smartly by 340 basis points, both on

NSV basis.
Going ahead. Next slide. Yes. Yes, this slide again captures the vertical reporting. This is again for reference, the highlights we have already covered in the previous slide. So we can go to the next one. Yes. Our continued focus on driving efficiency on our balance sheet is also evident. Our fixed asset turnover on an annualized basis now stands a

t 10.5x.

Our working capital days have been consistently improving over time, and this is now at 30 days for 9 months FY26, showing an improvement of 4 days over the previous year. ROCE has also been improving over time and now stands at 19.1% annualized for 9 mont hs numbers versus 11.3% in FY25. So overall, both on the P&L front as well as on balance sheet efficiency, the performance continues to move from strength to strength. With that, I would like to hand over the call back to the operator for Q&A.
Moderator: Thank you, sir. We will now begin the question and answer session. The first question is from Sachin Dixit.
Sachin Dixit: My both questions that I had were on beauty business only. So the first one was basically on the AOV versus customer acquisition, right? So what we have seen so far is that there has been even sharper customer acquisition that we saw in this quarter, while AOV still continues to be healthy rather it keeps on improving, right?
And while a lot of us actually believe that while we ramp up customer acquisition as a user base on Nykaa expense because slightly poorer quality customer might also start factoring in, these AOVs might dip, right? So I just wanted to understand what is it that we are seeing or doing, which is proving the street wrong consistently?
Anchit Nayar: Maybe I can kick that off. So, I think firstly, we've always said that new customer AOVs tend to be lower than repeat customer AOV. And that doesn't really have to do with the quality of the customer. That's just how the customer , the more they engage with the platform, the more comfort they get shopping on the platform.
And the more they get educated by us about what types of products they should be using, that's when their basket starts to expand. And that's the magic of what we do best, which is using content and education to drive certain purchase and consumer behavior . So repeat customers have always had better AOVs than new customers.
But we are fairly confident in our ability to move that new customer along their consumption journey within the category. And as you know, a majority of our revenue, despite such healthy new customer acquisition, a majority of our revenue still comes from repeat customers because of the frequency of purchase that they have as well as you rightly mentioned, AOVs tend to be higher as well.
In terms of the new customers that we are acquiring, we are not seeing the AOVs for them dipping meaningfully. So I think it tells us that, a, that there is still lots of, I would say, still lots of opportunities, still a lot of customers out there who ar e coming into the beauty funnel for the
first time for whom affordability is not an issue. So I think that's quite promising in our opinion.
Sachin Dixit: So just to clarify, like the new customers that you would have acquired, let's say, last year versus what we are acquiring today, there is no major AOV drop that we are seeing?
Anchit Nayar: Yes. Look, I don't think we disclose that KPI. So yes, but I think directionally, I can say that sounds right.

Falguni Nayar: Yes. The number is a pure new customer AOV. So yes.
Sachin Dixit: Got it. My second question is on BPC business again. Sorry, Falguni, you were saying something?
Falguni Nayar: No, no, no. Just that.
Sachin Dixit: Yes, sure. So second question was on BPC, again, very sharp margin improvement we are seeing for the quarter. And if you are doing some triangulation, looks like ad income has also improved versus what we have seen in the last few quarters. If that is so, how much is the seasonality impact, if you can break out how much sustainable this margin that we are dropping this quarter is likely to be? Any color on those things, if that can provide that

will be great?
Anchit Nayar: We always say that the beauty vertical reporting, the gross profit margin here is a weighted average of, as you know, three or four very different businesses, right? So you've got beauty.com, Beauty Retail, own ed brands as well as B2B. So the gross profit margin

improvement is really an outcome of generally improvements across all four of those businesses that is ultimately resulting in a consolidated improvement.
In terms of ad income, as again, we don't break it out separately. But generally, what I can tell you is that things are better on that front. Yes, some of it is, of course, seasonal also. As you know, we do our Pink Friday sale during the O ND quarter, and that is when we do get a lot of traffic. We do spend a lot of money on driving awareness for the sales.
So there is a lot of demand in terms of brands wanting to participate in the sale. And so, ad dollars are collected against that. So there is some amount of seasonality. But generally, also, there has been , I think we've spoken about it in the past, but we have really focused on improving what kind of capabilities we offer to brands in terms of their ability to advertise on our platform.
So historically, it used to be all top -of-funnel advertising opportunities, but we've built out the technology and what we call as the MarTech stack to enable brands to do advertising across the funnel, mid -funnel, lower funnel advertising opportunities of f-platform through Nykaa, ability to do events, experiences, collaborate with influencers.
So we've just created a much larger bouquet of offerings for brands, which we're able to monetize and so that's more structural in nature. But some amount, as you rightly said, is also seasonal.
But overall, there is other generally general improvements across the other businesses like B2B and House of Nykaa Brands also that is helping the overall margin profile.
Moderator: Thank you. The next question is from Vijit Jain. Please accept the prompt on your screen. Introduce yourself and proceed with your question. Mr. Jain I can see your audio is not connected sir right now. Mr. Jain I would request you to kindly rejoin the que ue. We'll move on to the next question, which is from Nikhil Choudhary. Please accept the prompt on your screen. Introduce yourself and proceed with your question

Nikhil Choudhary: My first question is on Nykaa Now. Given we have now reached a decent scale and we are talking about pushing for marketing. Any early color in terms of how much scale we have already achieved in terms of, let's say, number of orders, percentage mix? And ho w is profitability in Nykaa Now versus Nykaa Platform?
Anchit Nayar: Yes. So what I will say is, there is a significant percentage of orders in cities where Nykaa Now is live that are being serviced through Nykaa Now. Exact numbers, maybe we can get back to you if that is being shared. But what I can say is that in cities and in pin codes where it is now live, the majority of the order , I mean, a large percent of the orders is now being fulfilled by Nykaa Now.
And we are, as I said, going to also expand the number of operational hours for which Nykaa Now is applicable. So, there's a few changes which we are able to do quite quickly that should increase the share of orders that are being serviced through Nykaa Now quite quickly.
And then there is some amount of our hyperlocal delivery through our retail stores across the other 90- 95 cities where we have stores also that is leading to faster delivery in Tier 2 and Tier 3 terms as well. In terms of the profitability of the margin per order, I mean, it's not very different at this point in time. Is there a chance that the average order values for Nykaa Now orders can be lower than mainline platform orders?
Yes, that is possible. And in fact, it's something whi

ch we're not entirely against. W e're more focused on seeing that if the frequency of purchase increases because of Nykaa Now, then that benefit is more than an offset to the potential dilution of average order values through Nykaa Now.
And ultimately, if there is a positive outcome on annual consumption value, which is just a multiplication of FOP and AOV, then that's a good outcome for us, both from top line as well as from bottom line. So this is not a very dilutive. This is not dilut ive currently nor do we envisage this to be dilutive to overall profitability in a meaningful way.
Nikhil Choudhary: Got it. Second, on House of Nykaa, we have seen very strong growth, but especially the growth from third -party channel was much meaningfully higher than Nykaa Platform. I mean Nykaa Platform, Nykaa Store grew 45% versus third-party platform Y -o-Y growth of more than 100%.
So just wanted to understand any color where we are growing and what is leading to such acceleration versus the core platform?
Falguni Nayar: Adwaita, will you take it.
Adwaita Nayar: Yes, I'll take that. No, I think, no, there's good growth kind of across all the channels. There are definitely some new third-party channels that were added in the last year. So it's more a reflection of just new channels being opened up rather than a slowdown in a particular channel versus not.
Anchit Nayar: The size thing also, right? Like Nykaa online is the biggest channel. So it's already operating off from a very large base, whereas some of the newer channels are operating off a smaller basis. So the growth looks higher.

Nikhil Choudhary: Sure. Make sense.
Falguni Nayar: We did many channels underlying that is like 10-12 different channels, both online and offline.
Nikhil Choudhary: Got it. Last one, Falguni, for you. For the last 2 years, we have been consistently delivering strong growth, close to 25% despite of consumption slowdown. Now finally, most of the consumption -focused companies are talking about growth revival, even you gu ys are talking about very strong KPI across the metrics. Can we say that growth can accelerate? And are you seeing some early indicator in terms of further acceleration in BPC growth, especially?
Falguni Nayar: I think the category growth has been strong and category growth is also increasing in terms of category growth through e -commerce is increasing because a lot of offline sales through GT/MT are moving to e -commerce through the quick commerce model. So e-com merce is growing. So I think we do believe that the e -commerce component of beauty business is growing strongly. And secondly, we also do feel that with the introduction of AI, the cost of marketing as well as I mean, not really cost of marketing, but efficiencies, digital marketing and ability to do a lot of personalized journeys that can improve conversion makes us believe that one can hope for a little better outcomes going forward. But I mean, I'm not guiding towards that, but I think it remains a market opportunity.
But against the market opportunity, there could be obviously need to stay on top of AI and how the discovery happens and lots of changes happening, but I think some of the partners that the Indian companies have like Google and Meta and others are also doi ng very interesting things. So the whole landscape is changing, very difficult to guide, but we remain prepared and hungry to continue to grow.
Nikhil Choudhary: Got it, Falguni. Thanks a lot again for giving me opportunity and good luck for coming period. Thank you.
Moderator: Thank you. The next question is from Kapil Singh.
Kapil Singh: Just one question. You talked about the partnership with Nike. Is it a different kind of revenue model? Is it similar to what we are doing? What will be the revenue streams? Just some color on that? And do you think this is

something that you could replica te across some other brands as well? And some color as to why Nike chose you to do it this way?
Falguni Nayar: Yes. I think I'll come in and then maybe Abhijeet can add and Adwaita also can add. But I think, yes, I think the way the deal is structured, it is finally from a unit economic perspective for Nykaa boil down to very similar to e -commerce revenues and marg ins where there is some inventory, there is margins like an e -commerce company and then there are costs for marketing and everything.
But everything is well -structured and covered. So we think this is a very good outcome for us. Secondly, I think from why we were chosen is because we have a tech stack that can be made

ready to offer their website in the country. And then we are also going to support it through digital marketing and fulfilment and customer experience.
So pretty much full -fledged services Nykaa is able to offer not just on nykaa.com platforms or nykaafashion.com platform, but beyond that to even a third-party platform like Nike. And yes, it's a way of operating and a service that we may offer to other st rategic large partners. And to that, to a certain extent, it has started with Foot Locker and Nike and also in Beauty, we have just offered it to kiehl's.com. With that, if Adwaita or Abhijeet, do you want to comment on.
Abhijeet Dabas: Yes. I will just add on to that. So it's a different nature of partnership versus a typical marketplace kind of partnership that we do to onboard brands onto the marketplace platform because in this one, the arrangement is that we will run the full stack o peration for Nike's D2C digital commerce platforms in the country, which is Nike.in and the two apps, the two Commerce Apps across iOS and Android.
So it's a different nature of partnership. Why Nike chose Nykaa, I think it's best for Nike to answer, so we'll not go into that, but what it does for Nykaa Fashion is that it positions us as a player who, on one side, of course, we have the fashion market place on which we continue to work with all brands across different categories, but it also showcases that for the right brands where there is a match between their ambition and between us seeing strategic value in the relationship.
We have a much wider set of capabilities, which spans across creating a platform to do digital commerce in the country, deep expertise of the consumer and the ecosystem in India, how to run fulfilment at scale, how to provide the kind of premium experience that brands such as Nike look for when they want to reach out to customers in India. So to that extent, it does position us as a platform, which has capabilities which go far beyond just being a marketplace, which we continue to do, but this is a different kind of model compared to that.

Kapil Singh: Yes. And just trying to understand if the profitability of this would be much better for us since we are doing a lot more and can you give some color on the revenue streams here?
Falguni Nayar: We can't guide on that now. Sorry.
Abhijeet Dabas: No, I would not want to go into the commercial construct of the arrangement. Operations -wise, like I explained, it's a different kind of construct compared to typical marketplace. But unfortunately, we'll not be able to go into details of commercials or any such.
Falguni Nayar: Yes. All we can say is it will be a win -win for both partners. We will see value and we will also see value add if done right.
Kapil Singh: Okay. Thank you so much and congratulations on the great performance for the quarter. Best wishes.
Moderator: Thank you. The next question is from Percy Panthaki.

Percy Panthaki: Yes. So I just wanted to understand the gross margin expansion for the Beauty business. What i

s driving that? I know that you don't give the numbers separately for the B2B and the B2C portion of Beauty. And I don't want the numbers as such, but any kind of directional guidance as to , is it mainly the B2B losses, which is driving the gross margin higher or even the B2C portion of the Beauty business is seeing a gross margin expansion? And if it is the latter, what is really driving that?
Falguni Nayar: Yes. Anchit, go ahead, otherwise I can take it.
Anchit Nayar: Okay. I'll just say quickly that, as I mentioned in my earlier comments, there are several things that are playing out that are leading to this margin accretion on gross margin. One of the big drivers, of course, is that we keep saying that the House of Beauty or House of Brands business of ours, like Nykaa House of Brands continues to accelerate its growth.
It is getting a lot of consumer traction across multiple brands, whether it be Dot & Key, Kay Beauty, Nykaa Cosmetics. So, there is a lot of consumer love there that is resulting in a higher GMV contribution, higher revenue mix contribution to this segment. So that is obviously having some benefit.
Vishal spoke about the improvements he's driving in the unit economics of the B2B business that has resulted in a 500 basis point plus improvement at EBITDA level. So of course, there is improvement on the gross margin for the B2B business as well. And when it comes to beauty.com, as I also mentioned earlier, for several reasons, the gross margin has also improved in that business because of the ad income and certain category mix evolution as well as it being a festive quarter. So there are several reasons behind this margin accretion that you're seeing.
And the good news is that each of the business, respectively, are moving in the right direction.
Percy Panthaki: Anchit, most of these reasons are sort of present in the past couple of quarters as well, whereas the kind of expansion that we have seen this quarter is materially larger. So just wanted to understand if this quarter, there's anything specific like lower amount of discounting or any kind of GST -led sort of benefits or anything of that sort?
Falguni Nayar: No, no, there are no one -offs. I think there's improvement in ad income for the core business.
Overall, B2B net retention margins are much lower than gross profit margin of the beauty business. But in the base, there was certain gross retention margin and that has improved to a certain extent. And also owned brands have also had a role to play and improving profitability of owned brands also have a role to play. So we have worked on improving the gross margin of our owned brands over last 3 t o 4, 5 quarters and some of that impact also gets further accelerated as the sales pick up.
Percy Panthaki: Okay. So this would sustain going ahead as well, right?
Falguni Nayar: Yes, there are no one-off items, but it has a mix impact. So mix impact sometimes pulls something down, and it also has a service ad income impact.
Percy Panthaki: Got it.

Falguni Nayar: I mean if there is a bad quarter from a service income perspective, again, it can move a bit. But inherently, it's core. Yes.
Anchit Nayar: Yes. I wouldn't say there will be a bad quarter from an ad income perspective, but because of some of the structural changes we've made and that I discussed earlier on this call. But definitely, the festive quarter, the festive season, which is Q3 does ten d to be a better quarter from an ad income perspective.
Moderator: The next question is from Vijit Jain.

Vijit Jain: Apologies for earlier. My first question is, Anchit, last time, I think you had mentioned that with the India -U.K. trade deal, there were going to be some moderate amount of benefits to the extent that you import from there. Now of course, India has done a lot of these free trade ag

reements, U.S, EU and you guys have a significant contribution of imports in your business. So just wanted to get you guys a sense on how these play into your business going forward in the next 1 to 2 years. That's my first question?

Anchit Nayar: Yes. So we don't have much on the export side yet. But as some of our owned brand’s scale, Kay Beauty is there in Space and Kay in the U.K. and there's potential to take some of our other own brands outside of India. So from an export perspective, I think it's still very small, but in the future, there might be some more opportunity.

On the import side, we do import brands, quite a few brands from the U.S. and not too many from the U.K., several, but more from the U.S. and Korea. So I think we'll wait and see what the exact this thing is, but there could definitely be some benefit to us if the tariffs are going to be lower within the Beauty and Cosmetics category, especially for things like registration or some of the other licenses which we have to get for the importing of some cosmetic products. So it can be a net positive, but we've not fully quantified that yet. And once there is more guidance, I think we'll be able to have those conversations with our brand partners to be able to rework some of the agreements to capture some of these changes.

P Ganesh: Yes, just to add to what Anchit mentioned, while the details in terms of both time frame as well as how the duty structure pan out on the import front is still to come in. Directionally, it is expected to improve access to brand as far as consumers are con cerned. And from that angle, it's expected to be positive.

Vijit Jain: Got it. And just to be clear, Anchit, this would be , you should benefit from the EU deal as well, right? Because they would be a key source of import for you as well?

Anchit Nayar: Yes, of course. Yes. That's right.

Vijit Jain: And lastly, just sticking to this question, if you could give a broad sense of what the current import contribution to your business would be, that would be helpful. And then I had a question on Perfumery. I'll just ask that upfront in the interest of time . So you've mentioned in the presentation that the AOV for Perfumery is 3x what you see in your other retail stores.

So I mean, in general, is it suffice to say that, that trend would be the similar one on online as well, online sales of perfumes? And so perfumes would be a pretty substantial part of business now, right, given that high AOV and given the fact that you ha ve a comment in there in the presentation, which says you sell one fragrance for 5 seconds. I did the math, it says 6 million fragrances. I don't know if that is right for the year. It would seem to suggest that it's a pretty substantial part of the busine ss. So if you can give more color on how perfumery is tracking as well? Those are my last two questions.

Anchit Nayar: Yes, sure. So on the first point, yes, I mean, it's a good point to make around the EU deal. I think that is , given a lot of beauty brands come out of Europe, that can definitely be a big benefit, not only to us, but as an importer, but also to a lot of our brand partners who are currently importing from the EU zone.

So, there is a chance that if the tariffs are lower, they could even pass some of that advantage on to the consumer in terms of bringing the price multiplier down and making the products more, I would say, equitable on price to what it is in the U.S. and European markets. And that could make it more affordable to more customers.

So, I think there is probably a benefit to, not only to us, but to our international to our global brand partners in terms of the kind of additional volumes they could do with better pricing, if that's the decision they choose to make. So yes, it is definitely , we're looking forward to seeing how this plays out.

In regards, to our import share of business, we don't disclose our imports portfolio in terms of what that is as a percent of total revenue. So I'm not going to comment on that. But what I can say is that we do have not just our import brands, but a lot of brands, what we call as "international brands who are manufacturing outside of India and importing into India. That is quite a substantial significant percent of our revenues. And so there can be some benefit on that front.

Now with regards to fragrance, what I said is that this Nykaa Perfumery store, the average order value is 3x that of our regular retail stores for a couple of reasons. One is, yes, generally, fragrances are a higher ASP product than, say, makeup and skin c are as a general rule of thumb. But also secondly, because this is a slightly more luxury retail concept, as you can see from the

images. So the kind of brands we keep in the store are more of the higher -end fragrance brands.
So these brands are growing really fast on the platform, but t hey are not necessarily the largest revenue contributors on the e -commerce side of the business.
So this is where we do believe that over time, India's fragrance market will continue to evolve to get to a higher share of mix from luxury fragrance brands. But currently, on e -commerce, it's a bit more balanced between what we call as luxury fragrances as well as mass fragrances. And mass fragrances have less of a delta when it comes to the ASP versus other categories.
Vijit Jain: Got it. But am I in the right ballpark when I do that 6 million fragrance pieces sold in 2025? Is that broadly correct? I mean you have already?

Anchit Nayar: Yes, you're right. It's one every 5 seconds. I never actually counted the total number of fragrance units we sell.
Falguni Nayar: It includes mass fragrance and minis also.
Anchit Nayar: No. That's , as I said, it's not just luxury fragrances we're selling. We're selling mass fragrances. Also a very popular category now is body mist.
Falguni Nayar: Mist.
Anchit Nayar: So body mists are kind of like a deodorant, but for women. And so that's also a very popular category, especially amongst younger consumers.
Vijit Jain: Got it. Thank you so much and congratulations again to everyone. Those are my questions.
Moderator: Thank you. The next question is from Nihal Mahesh Jham.
Nihal Mahesh Jham: I just had one question, which was on the BPC margins. Historically, we've guided that given the investments we have been trying to make into this business that while giving a clear guidance sort of maintain that the margins will sort of remain at the 9% ballpark which we did in FY25 for the overall BPC?
Given the kind of strong performance we've seen for the 9 months where we've already seen like 100 bps expansion in the gross margin and the advertising levers that Anchit mentioned about, is there a case that this can sort of structurally keep improving y ear-on-year? Just the thoughts on that?
Anchit Nayar: Yes. I think each of the businesses, so again, the beauty vertical comprises 4 different businesses. So operationally, we feel confident that each of those 4 businesses can continue to improve their profitability. Now for the major contributor to this busi ness vertical, which is the beauty.com business, there could be a decision to reinvest some of the profits back into the business in terms of continuing to expand our market share and our reach and our customer acquisition.
Whereas in B2B and in other businesses, there is meaningful improvement in profitability that will really make it to the bottom line. So again, it's a bit hard to say that at the consolidated level, where does this number end up. But each business individua lly, structurally in a good position to continue to improve their respective margin profile.
Nihal Mahesh Jham: Go

t it, Anchit. Just one follow -up that when you are highlighting the mix impact on gross margin, you basically mean within categories sold on beauty.com, which are accretive to gross margin, just to clarify?
Anchit Nayar: No. I mean like, again, because as B2B continues to grow, it will continue to become a larger component of the beauty vertical, right? As House of Nykaa Brands continues to grow at 60%, 70%, whatever number that is, it's going to continue to become a larger percent of the overall beauty vertical.

So as they will grow, their contribution grows, their impact on the overall gross margin profile of this vertical will also continue to grow. So it's everything that's impacting both the gross profit margin as well as EBITDA margin. I apologize if I'm not doing a good job in explaining this maybe somebody else, Ganesh, you'd like to try?
Falguni Nayar: I'll come in, Anchit. I think you've done a good job at explaining, but I think we're switching from gross profit margin to EBITDA is harder. So I think from EBITDA margin improvement, clearly, I think we feel that there is a scope for continuing to improv e EBITDA margins for the beauty consolidated like beauty vertical business because all the 4 businesses are going to gain from increase in scale and marketing costs, S&D costs, not so much, but definitely marketing costs as well as other exp enses also will get a leverage of scale.
So I think we feel more confident about EBITDA margin improving. In the past, we used to guide that we wanted to continue to spend more marketing dollar to accelerate customer acquisition growth, which we have done a lot in the last few years. And we'll continue to acquire new customers and

accelerate it, but it's already very large numbers.
So on a large base, we are talking about it. So I think EBITDA margin should be good. I don't want to guide towards any direction, but I think it can sustainably improve going forward. On gross profit margin, like Anchit said, it's more of a mix also that comes to play. And hence, it's difficult to give the guidance of the overall consolidated number, but each of the businesses are working, they've already improved their own gross profit margin, and they're working towards improving it further.
Nihal Mahesh Jham: That is clear. Thank you. Thank you so much.
Moderator: Thank you. That was the last question we can take today. You may reach out to Nykaa's Investor Relations team for any additional queries. I would now like to hand the conference back to Falguni ma'am for closing comments. Thank you and over to you, ma'am.
Falguni Nayar: Thank you very much, everyone for being with us today for this conference call. And I hope we've been able to answer each of your questions and it's been a pleasure spending this hour with all of you. Thank you and thank you to my team for facilitating thi s.
Moderator: Thank you, members of the management. On behalf of FSN E -commerce Ventures Limited, thank you for joining us and you may exit the meeting now. Thank you.

Call: Jun 2026

FSN E -Commerce Ventures Limited

Registered Office: 104 Vasan Udyog Bhavan | Sun Mill Compound | S. B. Marg | Tulsi Pipe Road | Lower Parel (W) | Mumbai – 400013
Website : www.nykaa.com | Phone : +91 22 6838 9616 | Email – nykaacompanysecretary@nykaa. com
CIN: L52600MH2012PLC230136

May 26, 2026

National Stock Exchange of India Limited

Symbol: NYKAA BSE Limited

Scrip Code: 543384

Dear Sir / Madam ,
Subject: Transcript of the Conference Call for Analyst / Investors

Please find enclosed the transcript of the Analyst / Investor Conference Call held on May 21, 2026, with regard s to the Audited Standalone and Consolidated Financial Results for the quarter and financial year ended March 31, 2026 .

This intimation is being submitted pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take the above information on records.

Thanking You,

Yours faithfully,

For FSN E -Commerce Ventures Limited

Dr. Chetan Sharma
Company Secretary & Compliance Officer

Encl.: As Above

"FSN E -Commerce Ventures Limited (Nykaa)
Q4 FY26 Earnings Conference Call"
May 21, 202 6

MANAGEMENT : MS. FALGUNI NAYAR – EXECUTIVE CHAIRPERSON , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ANCHIT NAYAR – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – BEAUTY – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MS. ADWAITA NAYAR – EXECUTIVE DIRECTOR AND CO-FOUNDER AND CHIEF EXECUTIVE OFFICER OF HOUSE OF NYKAA BRANDS – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. VISHAL GUPTA – CHIEF EXECUTIVE OFFICER – NYKAA DISTRIBUTION – FSN E-COMMERCE VENTURES LIMITED (NYKAA)
MR. ABHIJEET DABAS – HEAD OF NYKAA

FASHION .COM – FSN E-COMMERCE VENTURES
LIMITED (NYKAA)
MR. P. GANESH – CHIEF FINANCIAL OFFICER – FSN
E-COMMERCE VENTURES LIMITED (NYKAA)

Moderator: Hi. Good evening, everyone. This is Miche lle from Chorus Call. Welcome to FSN E -Commerce Ventures Limited Q4 FY 26 Earnings Ca ll. From the management at Nykaa we have Ms. Falguni Nayar, Executive Chairperson, MD and CEO; Mr. Anchit Nayar, Executive Director and CEO of Beauty; Ms. Adwaita Nayar, Executive Director and Co -Founder and CEO of House of Nykaa brands; Mr. Vishal Gupta, CEO, Nykaa Distribution; Mr. Abhijeet Dabas, who heads Nykaafashion.com ; Mr. P. Ganesh, Chief Financial Officer.

Before we start, we would like to point out that some of the statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Kindly note that this call is meant for investors and analysts only. By participating in this event, you consent to such recording, distribution and publication.

All participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation from management concludes. With that, over to you, Falguni ma'am for opening remarks.

Falguni Nayar : Thank you, Michel le. Hi. Good afternoon, everyone, and I want to welcome all of you on behalf of me and my management team who are here today. I'll start with a brief presentation of the presentation of performance snapshot. For the quarter 4 financial year '26, we are really seeing continued growth momentum in both GMV, which grew at 28% year -on-year and net revenue, which grew also at a similar pace of 28% year -on-year.

And the net revenue for the quarter was INR 2,648 crores. This is some of the highest growth we've seen in the last 12 quarters as well as around now for the last 14 quarters, we have sustained a mid -20s growth in our GMV and net revenue on a broad basis. On the gross profit, we are really happy to say that gross profit has come out at INR 1,203 crores, which is 45.4%, about a 32% i ncrease year -on-year and again.

One of the highest gross margin ever in the last 14 quarters. On the EBITDA front, the EBITDA was at INR 223 crores, 8.4% to net revenue and 67% growth year -on-year, and again, one of the highest EBITDA margin ever, not just in the last 14 quarters, but ever. And on PAT, it came out at INR 79 crores, a 3% PAT with a 313% year -on-year growth. Again, this is one of the highest PAT margins ever.

With that, I'll move on to the full year. Financial year '26 performance was also strong. Again, the GMV growth was 28%, net revenue at 26% and we touched INR 10,000 crore s net revenue for the first time ever, a $1 billion revenue mark. You can see that the last quarter, net revenue growth was higher than the full year revenue growth. So we are seeing momentum build through the year.

On the gross profit, similarly, the full year gross profit is at 45.1%, INR 4,516 crores, a 30% year-on-year growth and the EBITDA came out at INR 752 crores. That's about 7.5% of net revenue and 59% growth year -on-year. This, again, I would like to point out is the highest EBITDA margin ever.

On the PAT, the PAT is at about INR 204 crores for the full year, 2% of net revenue and 183% year-on-year growth, again, one of the highest PAT margin on a full year basis. With that, I'll move on to the next chart. What I've been wanting to share with all of you has been a multiyear journey where since 2023, we have embarked on diversification cum growth expansion journey. And what you are able to see here is that our core businesses like multi -omnichannel beauty as well as fashion have grown 2x on GMV terms over a 3-year period, which is a very healthy growth. And in addition, the Superstore, the newer business like the Superstore and House of Nykaa is also accelerating on growth though i

t's not a new business. They've grown about 4x over the same period of 3 years from FY2023 to FY20 26.

I also have been saying that if you go to see from the number’s perspective, we now serve about 45 million customers on Nykaa Beauty with annual unique transacting customers have grown about 2x in the last 3 years. From a store perspective, we are at 168 new stores added over the last 3 years.

And we added 20 new cities and 6 differentiated experiential retail format s over last 1 year alone.
On the Superstore, about 3.8 lakh transacting retailers across 1,000 cities and delivering an assortment of 200 -plus brands. And from Nykaa Fashion perspective, we are a number one destination for trend first style forward consumers, now serving almost 11 million customers with 40% growth in customer acquisition.
And we've also expanded the assortment to 6,000 brands, including marquee global brands like Nike and H&M. House of Nykaa also now has 12 brands across Beauty and Fashion categories
at various growth stages and 2 successful acquisitions of both Dot & Key and Earth Rhythm behind us. Dot & Key has grown 13x over this last 3-year period, and Kay Beauty has also gr own 3x over this period.
From a TAM perspective, I've always maintained that with the diversification and comprehensiveness of our business, we now address $15 billion in online BPC, $14 billion TAM of organized offline, $15 billion TAM of unorganized retail in beauty, all of that is addressed by us. $55 billion TAM in online fashion is addressed by us. And now with the House of Brand, you can kind of almost double it and play it through two angles.
So really large TAMs in which we are able to play and grow. With that, I'll move on to the next slide. So what is obviously, this is the strategy that is driving the long -term growth with robust growth as well as profitability and create value for the shareholders. So you can clearly see that from our revenue of INR 5,000 odd crores in financial year '23, we are now touching INR 10,000 crores.
And through this period of adding new businesses, we have improved our all the parameters, like our EBITDA has improved from 5.0 % to 7.5%. Our PAT has improved from 0.4% to 2.0 %. And you can see that return on capital employed also now stands at a healthy 21.2%. So huge improvement in return on capital employed.

We've been quite prudent on the amount of capital employed in the business, which hasn't grown that much and all of the revenue growth has come on the back of already existing capital employed. With that, I'll move on to the next slide . And I'll hand over to Anchit to talk about Beauty omni -channel retail.
Anchit Nayar : Yes. Okay. Great. Thank you very much, and thank you for everyone for joining this call. So in a similar vein, Beauty as a vertical has also had a very strong quarter to cap the end of a very strong year. To give you a sense, we closed FY '26 with almost INR 15,000 crores of GMV,
which is a 27% growth year -on-year, around INR 8,500 crores of NSV and an EBITDA margin of 9.6%.
In terms of Q4, again, 27% growth on GMV, 29% growth on NSV and an EBITDA margin of 10.3% , so exiting the year on a strong note with a 70- basis point improvement on EBITDA margin year -over -year. So, we're seeing acceleration in both growth and profitability as we end FY26. Next slide, please.
So the growth on revenue is coming alongside an improvement in the marketing efficiencies at all levels of the funnel. As you can see, we had about 1.8 billion visits to our website and app in FY '26, which was a 28% growth year -on-year. So despite getting to a very large scale in terms of customer visit and traffic, we continue to grow off of that large base at record highs.
Importantly, the visits are converting into meaningful activity on the platform. We had 45 million mo

nthly active unique visitors, of which 19.7 million transacted in the year gone by.
You can see from FY '23 to FY '26, we have almost doubled our annual unique transacting customer base. And these customers placed about 66 million orders this fiscal versus 36 million
orders in FY '23.
So you're seeing a strong traffic and investments behind bringing new customers and new visitors to the platform. And equally importantly, that is converting into very strong conversion as well as unique transacting customers on the platform who are placin g multiple orders in the year. And this marketing efficiency is allowing us to deliver not only revenue growth, but as shown on the previous slide.
Also improvement in profitability. Nykaa continues to remain the trusted partner for all of the iconic beauty groups globally. On this slide, you can see that for all the globa l beauty companies, Nykaa remains a partner of choice when it comes to launching and sustaining their business in the India market.
As a couple of case studies, we've shown you that for the L'Oreal Group, which now has 27 brands in market. Nykaa is retailing all 27 brands, b ut more importantly we have been the exclusive retail partner at time of launch for a handful of some of their brands, including La Roche -Posay, CeraVe, Redken, Urban Decay and others.
Similar story with Estée Lauder, out of the 11 brands in India, most of them have launched

exclusively with Nykaa over the years and continue to remain very strong partners of ours on

the platform and you can see from the list Unilever, PUIG, P&G, Beiersdorf, Amorepacific, similar story.
So I think brands a re seeing tremendous value in Nykaa's very large and sticky consumer base as well as its unique O +O retail model and a very strong content, commerce flywheel that helps brands to create and maintain brand equity in what is a key growth market for them in the coming years.
FY '26 for Nykaa was also a defining year of marquee brand launches. So we had 200 -plus new brands launched in FY '26 despite us already having the largest assortment of beauty brands in India. And as an example, we launched some iconic brands from the Korean beauty space, such as Aestura, Arencia, Anua and Mise en Scène.
We were also very lucky to be the partner for launch of some of the most well -known brands globally, such as La Roche -Posay, IT Cosmetics, Supergoop and Nexxus. And on the ultra - luxury side, Nykaa continues to build a very unique positioning to cater to not only where the market is today, which scales from mass to prestige, but also starting to build a play on the ultra - luxury side for where we assume segments of our consumer base will be in the co ming years.
And I' m very excited to say that Nykaa partnered with Chanel, La Prairie and SK -II to be the retail partner of choice for these ultra-luxury beauty brands when it came time for their India launch. Some of the key trends we're seeing on the beauty side are the K -Beauty conversation.
It is a con versation that is happening globally and India is no different.
For us on the platform, Korean brands have shown phenomenal growth at 58% growth year - over-year. And I would say, Nykaa has been ahead of the curve when it came to identifying and capitalizing on the Korean beauty wave early. We have the largest assortment of Korean brands in the country.
We've also created a curated and I would say, best -in-class experience for Korean beauty shopping on the platform, and we're coupling that with engagement off platform on ground to really cater to the Indian consumer today who is looking for more experient ial retail and we're
doing that through influencers as well as through our physical retail stores.
The second big trend we're seeing in the beauty space over the past several years and which we expect to continue going forward is

the trend of dermacosmetics. So these are brands that tend
to be recommended by dermatologists. These are brands that are hig h in efficacy. And globally, this has been a set of brands that have been powerful for many years.
And in India, this is also now starting to show very promising results with over 40% growth in GMV for these brands year -over -year. Again, we have the largest assortment of dermacosmetics skin care brands in India. Some of these names are global powerhouses when it comes to the category.
But beyond just having the assortment, I think what we've done well is to create the environment that is well suited to cater to these types of brands and the types of customers who are looking

for these brands. So we have created an online experience that includes an AI -powered skin scan, allowing customers to take a scan of their face and allowing them to identify the concerns that they have and recommending products accordingly.
We also have an online derma recommendation engine that allows dermatologists to engage with consumers through both voice and video consultations and again, recommend products that can help them with their skin concerns. Next slide, please. The third key trend we're seeing is the premiumization of beauty.
It's something we have talked of for a few years now. We are also pioneers in premiumizing the consumption of beauty in the country. And again, similar playbook to what we showed you before. We always try to have the biggest and best assortment of brands a vailable. And we cater to them through a very immersiv e and best -in-class experience.
Both online but for this set of brands, equally importantly, off -line through very high- quality
retail stores across the country and finally, using our marketing engine and our content powerhouse to create tremendous amount of education that will help the Indian consumer to
premiumize over the coming years into the world of luxury beauty.
Spending a minute on retail. As you are aware, we do have the largest network of beauty
specialty stores in the country. We are just shy of 100 cities, and 99 cities today, and we sit at about 313 stores. So, we have

more than doubled our retail footprint over the past 3 years.
You can see that we have shown very healthy growth, not only in store count, but also in terms of like -for-like growth being double digit for the year gone by. We now have 3 lakh plus square feet of retail space and many different formats of store to cater to very different use cases for the consumers. So you can see we have the Nykaa On Trend format, more for mass -masstige consumers in Tier 2, Tier 3 markets.
We have the Nykaa Luxe format, which is more for luxury and prestige shoppers in Tier 1 cities.
And now equally importantly, we have started opening House of Nykaa stores, which are owned brand stores, and these come across multiple formats as well as a new Nykaa Perfumery concept, which is part of our overall strategy to drive penetration of fragrance usage in the India market.
And lastly, as I had mentioned on the last quarter's earnings call, we have taken over the Kiehl's India business. Kiehl's is a prestige skin care brand owned by the L'Oreal Group. So now Nykaa operates their boutique stores in the country as well as kiehls.com and is also the exclusive retailer for Kiehl's online on Nykaa.com.
Next slide, please. So this is just a representation of some of the various new innovative store formats that we have launched over the past several years. We are definitely ahead of the curve, I would say, on creating more experiential formats that cater to a younger generation in the country.
This is a category that requires a lot of touch and feel. It's an immersive one. and we're using our stores as a great way to engage with our audience and drive customer acquisition in the coming

years. Finally, just spending a minute on our relationship with Charlotte Tilbury. The reason why we've pulled this out as a case study is because it's a great example of how brand partners see Nykaa as much more than just a platform on which to retail products.
So in 2020, we signed an exclusive agreement to retail Charlotte Tilbury in India. And that agreement, that exclusivity has now been extended for over 6 years and we continue to be their exclusive retail partner in the country. But beyond just being a retail platform for Charlotte Tilbury, we are also now building and operating their exclusive brand stores in the country.
And this is a first for them, not just in India, but in the APAC region. And this is a testament to how we're able to take a relationship and deepen that relationship over time and deliver excellent commercial outcomes to the brands as well as to ourselves and we hope to replicate this now with several brands in the future, one of which is the Kiehl's brand. As I mentioned, which we have just taken over the operations of that business in the country. And with that, I will pass it over to Adwaita to walk you through the House of Nykaa.
Adwaita Nayar : Hi, everyone. So we'll be talking about the House of Nykaa. For FY '26, this unit delivered a strong INR 3,176 crores of GMV. That's a ~ 50% year -on-year increase. Served more than 17 million consumers and expanded distribution beyond online as well to 150,000 GT doors. As a reminder, this unit includes brands across beauty and fashion, 7 brands in Beauty and in Fashion 5 brands with an inc reased focus on one in particular, which is Nykd.
The year was really strong from the perspective of certain brands really emerged as very strong players, both on our platform and on other platforms as well, and we'll talk about some of those going forward. There were a lot of very strong innovations that became real leaders on the platform and dominated in categories in which they were launched.
And there was a lot of focus on driving the right unit economics channel by channel. And therefore, this unit as a whole saw a very large EBITDA expansion as well. Moving on. Focusing on just the Beauty side of House of Nykaa, this unit now is at about INR 2,788 crores of GMV, which is a 65% year -on-year growth.
These brands have grown 4x in the last 3 years and we remain really optimistic about the year ahead and the brands that we've got in our portfolio and what we're incubating as well. On the right -hand side, we can see the mix across various channels. And so today, in FY '26, Nykaa Online contributes 45%, Nykaa stores, ~10% and other 3P channels, 30%, Nykaa Superstores, 16% and a little bit of exports.
Moving on. Double clicking on Dot & Key, our largest brand. This brand grew enormously in the last 3 years at 13x, delivering INR 1,790 crores of GMV. What I love about this brand is it actually dominates in very large categories. It's the number one sunscreen brand across Nykaa, Amazon, Flipkart and Blinkit. It's the number two mo isturizer brand, and it's the number three face wash brand.
For a brand to receive this kind of love across platforms is a testament to truly having a phenomenal product in very competitive spaces. The brand is predominantly an online focused

brand, but we have been pushing ahead on off -line as well beyond the Nykaa stores and Nykaa Distribution, we've also expanded into GT and MT with 53,000 doors across 1,000 cities.
Moving on. Kay Beauty has really been the breakout brand over the last 2 years, growing enormously and what we stated is 3x in 3 years to about INR 380 crores of GMV. We see enormous traction with this brand and are confident that the growth momentum will continue in the year ahead.
The brand is really just winnin

g on a bunch of fronts. I think it's the right product at the right price. There was a gap in the market exactly where Kay came in and played and so the uptick has really been phenomenal, and we see very good efficiency and r eturns on this brand. We've been very selective about distribution because this is more of a premium makeup brand.
So beyond Nykaa online and Nykaa stores, we've been actually launching kiosks, which we call Kay Kafés. We have a collaboration with the coffee partner as well. And here, the idea is to be in India's top most premium malls and fortify the distribution in t hat regard. Late last year, we spoke about the launch of Kay Beauty in the U.K and we continue to strengthen our partnership with Space NK which is by far the leading retailer in the U.K.
And I'm happy to say that as the partnership progresses, we're unlocking more and more doors.
But even as we widen the distribution, we're continuing to be a very strong player for them. And in many stores, we really outperformed. So it's really great to s ee a brand being able to drive that kind of traction internationally.
And we have a presence in GCC as well with our JV Nysaa. As of now, the aim is to really focus on these 2 markets and do them well. Moving on. Nykaa Cosmetics, it's actually our second largest brand at INR 400 crores of GMV. It is the namesake Nykaa brand. It's a brand that's really close to our hearts.
We want to make sure the brand stands for bringing phenomenal quality, the right international and domestic trends to the Indian consumer as fast as possible. And I think this year, we've managed to do that. This year, 24% of sales came from new launches and for a brand that is really about trend, that's a very good sign.
Again, this is a brand that we actually distribute more widely than the other 2 brands. So there are 62,000 stores off -line and an online presence strongly on Nykaa and Nykaa stores as well as Nykaa kiosks. Moving on. This past year has been about incubating and sort of setting up the next 4 brands for massive scale.
And so again, these brands have really been picking up, whether it's our bath and body brand, Wanderlust, whether it's our clean beauty brand, Earth Rhythm. We're actually really doubling down on fragrance and perfumes and you will see us talk a lot more a bout that next time in the near future. And also Nykaa Skin. So all of these now are engines of future growth, and we're feeling pretty confident about where all 4 of these updates as well.
With that, I'll hand over to Vishal, who will be speaking about the Superstore business.

Vishal Gupta : Thanks, Adwaita. Good evening, everyone. Happy to report that we continue to expand the scale of our business. In a short span of 4 years, we have created a ~INR 1,200 crore s GMV business which is quite remarkable on its own. And this has been driven by 2 things. The kind of customer base and scale that we have created, we now reach ~ 0.5 million retailers, what we call customers across 1,300 cities.
And we continue to grow that year -on-year with 1.3 lakh retailers added in last year alone and the kind of brands we attract, which I'll come to in a second. But what is also important is that this year, almost 30% of our orders actually came from retailers placing the orders on their own, which shows the shift in the habit towards self -serve, which is important for us.
Next slide. Like I said, our 0.5 million retailer base is quite mouthwatering for our brand partners. We have over 220 leading brands on our platform from the traditional large FMCG brands who, despite having a good distribution system, still find value in us. And of course, the newest D2C brands, which are still nascent and building distribution and also regional brands, which we take national. And you can see the kind of brands in all the three buckets.
I think

all the big marquee brands are there and a lot of these brands we attracted in FY '26, all the new D2C brands, just like nykaa.com is sort of super important for them to reach consumers.
Similarly, Superstore has become very important for them to r each physical distribution. In fact, some of the new brands t hat we have attracted recently.
We have become their first choice before they do anything else. And for a D2C brand, they would need to build a network of 300-plus distributors, but if they work with us, then we are a

single one place. So our network is actually quite exciting for our brand partners.
Next and you can see that because of our growing scale. It obviously helps us improve our unit economics and we have improved our EBITDA margin by greater than 500 bps which is spread across all the levers. We had good gross margin improvement, driven by mix as we expand the D2C brands, which are more profitable and our own in-house brands.
Our fulfilment cost is also coming down. S&D cost, obviously, the more organic orders are placed, our S&D expenses come down, and our overheads definitely come down. So all in all, I think I would like to summarize by saying, we have built a great network, which helps us to attract great brands, which helps us to scale GMV and continuously keep improving our unit economics. Thanks. I think over to Abhijeet.
Abhijeet Dabas : Yes. Thanks, Vishal. Hi. Good evening, everyone. I'll quickly share the highlights from the Nykaa Fashion business. So firstly, just talking about the whole year numbers first, as Falguni ma'am shared earlier. I think this has been a year of revival in gro wth and strong growth performance for the full year for the fashion business.
As you can see on the slide, the financial year '26 was 30% growth, almost reaching INR 5,000 crores in GMV, close to 30% growth in NSV reaching INR 1,447 crores in NSV for the year.
And as a result of the growth as well as the underlying health of the business that we have consistently been improving through the year.

A significant improvement in EBITDA margin from minus 8.3% in FY '25 to minus 2.6%, which is a 570 basis points improvement in EBITDA for the full year , but talking about even the last quarter, quarter 4 of financial year '26, that was even higher growth, particularly on NSV it was 42% year -on-year growth.
And I'm happy to share with everyone that we reported a positive 30 basis points EBITDA for the fourth quarter of last year. So overall, strong growth resulting in much improved profitability, but also as we exit the year, we are exiting on an even stronge r upward trajectory, and that's great news heading into FY '27.
Next slide. I'll talk a bit about the underlying levers of the business, which have led to this turnaround in the business, the improvement that we see in the GMV and profitability. Firstly, as we have been talking about consistently in each of the quarter ly updates for the last several quarters, the consumer funnel has continued to look ever healthier throughout the year.
One of the things we have consistently called out is our focus on new customer acquisition. On this slide, you will see all the metrics right from the top of the funnel, which is visits all the way down to orders. Everything shows a strong upward trajectory in this year compared to previous years.
But most particularly, new customer acquisition is 41% higher year -on-year. And it is not just the number of customers. It's also the sustained focus on the right quality of customers. This is very focused attention on high- quality premium customers that w e've always maintained, which has resulted in marketing efficiency, average order values, et cetera, just holding where we want them to be. So , the customer funnel looks very strong heading into next year.
Next slide. The second thing which has changed fundamentally for us is that we have just very aggressively onboarded brands across categories this year. Overall, over the last year, we've added more than 1,200 brands, close to 1,300 brands across different categories.
As you will see it on this slide, this time, we still continue to be a very women's -focused, women's -centric platform. But the brand addition which has happened over the last year has been fairly democratic in nature. We've also added a plethora of very strong brands across men's, across kids as well as home accessories.
And it's very heartening for us to see the growth that we have seen in these emerging categories. So, towards the end of the slide, you will see the year -on-year growth number for men is more than 60% for the last year. Kids is more than 50% for the last year and home is more than 40%.
So overall, now with the completeness of assortment across categories that Nykaa Fashion has, while we will continue to be women centric, but we are a much more holistic lifestyle platform heading into next year.
Next slide. Within those brands, and this was also a point which was alluded to earlier, we've onboarded some marquee brands, which have fundamentally shifted the shape of the business on the platform on Nykaa Fashion very meaningfully.

There are no better examples than H&M and Nike. H&M, we reported a few quarters back, we onboarded H&M in November. And H&M is now the number one brand on Nykaa Fashion since launch. A symbiotic partnership, which has resulted in a lot of goodness for H&M as it tries to reach out to a premium audience in India as well as for us, which allows us to el evate the fashion quotient.

And just the best of fashion, which we are able to make available to our customers and more recently, in the previous quarter, we've also onboarded Nike on Nykaa Fashion. I don't have to speak about the brand credentials of Nike, but I do want to highlight that in case of Nike, it's not just Nike being available on Nykaa Fashion.

We've also entered a strategic partnership with Nike to manage end -to-end their digital commerce, direct -to-customer platforms in India. As of last quarter, starting February, in fact, we manage Nike.com and the Nike application in India end -to-end. And th at's a very different nature of partnership which allows us to work more deeply and in a different business model with a marquee brand like Nike.

Next slide. Lastly, I will also talk about the shift we have made in the way we do marketing.

Increasingly, we are living in a world where the creator economy around us is booming, the way consumers discover fashion, get inspired by fashion and then transa ct or interact with commerce platforms like ourselves, it's changing.

And we have moved very fast to embrace the change which is happening around us. On this slide, you will see some examples of how we continue to work with, on one hand, celebrities. You'll see an example of a girl's night -out event we did with S hanaya Kapoor and with Adarsh Gaurav a couple of months ago.

But we have just amplified significantly the amount of activity we do with creators of various sizes, some pan -India, some regional in nature a nd in a way, we have piggybacked on the wave that is sweeping across content and commerce as we speak. And this is a direction that we will continue to maintain, which is leaning very heavily into the creator ecosystem and making content and commerce integ rate with each other going forward.

So overall, to summarize, many inputs have gone through the year over the last year to show the trajectory and the numbers we just reported, but very happy with how we are entering the year and very excited for the coming year. With that, over to Ganesh for the next section.

P. Ganesh : Thank you, Abhijeet, and good evening, everyone. I'll now s

hare a quick overview of our quarterly as well as full year performance. There's been a strong quarter and, more importantly, a strong year for Nykaa. We crossed the milestone of INR 100 billion revenue in FY '26, our revenue from operations has doubled in the last 3 years, reflecting a healthy growth and continued momentum across businesses.

The profitability improvement was even stronger with EBITDA at 3x and PAT at 10x versus 3 years ago. For FY '26, revenue, EBITDA and PAT growth has been higher compared to the last 2 years, coming in at 26%, 59% and 183%, respectively.

Moving to the next slide. Sharing a quick snapshot of the P&L, which reflects a strong improvement across gross margin, EBITDA and PAT, both for the quarter as well as the full year and going ahead.

Here, we have a quick overview of the key factors that have been driving the margin improvement. That's what you see on this slide, with gross margin improving by 132 basis points in FY '26, led by strong performance of House of Nykaa and improved service income across businesses.

Fulfilment expenses, as you can see, have increased marginally by 23 basis points as we continue to invest in fulfilment capabilities to deliver improvement in delivery efficiencies. Marketing and S&D expenses have also been marginally up by 10 basis point s Y-o -Y on account of investments in customer acquisition, which has been a feature across businesses.

So what we see is strong productivity gains, which are evident in improvement in our employee cost and other expenses. And this has resulted in EBITDA margins moving sharply to 7.5% for the year.

Moving ahead. Yes. This slide shows you a snapshot of the business verticals for the full year. And as seen earlier in the business verticals, Beauty continues its strong growth momentum, while Fashion has also made a very sharp recovery during this year. Beauty improved its margin by 70 basis points led through productivity gains and scale efficiencies. While Fashion has seen strong improvement of 570 basis points as Abhijeet covered as well, with strong improvement across marketing in S&D and other expens es.

Going to the next slide. Here, you'll see the results, vertical reporting for the quarter. Again, the key highlight here being that, as Abhijeet again mentioned, Fashion has become profitable and

we reported a 0.3% EBITDA for quarter 4.
So, with that, moving to the next slide. What we can see over here is continuing efficiency on capital front. So , our fixed asset turnover has improved to 9.9x in FY '26, up from 9.1x in FY '25, led by an increasing mix of House of Nykaa as well as Fashion which tends to be asset light.
Working capital days, as you can see, has improved further from an already health y 34 days to even better at 28 days now, driven by both inventory as well as receivable optimization.
And all of this, high profitability as well as better efficiency on both fixed capital as well as working capital has resulted in ROCE seeing a sharp improvement in FY '26 and moving up to 21.2% versus 11.3% a year ago. And so this is a reflection of not j ust strong P&L performance, but also higher efficiency on the balance sheet front.
Moving ahead. O ur capex utilization here, as we can see, has become more efficient, and it currently stands at about 1% of revenue. And again, steadily, steadily improving by way of lower salience to revenue. We continue to invest in beauty retail store expansion, fulfilment capabilities as well as technology and this is a reflection of higher capital efficiency.

So moving ahead. Yes. to round things off for the quarter and for the year. We had acquired 76% stake in Earth Rhythm over a couple of tranches between FY '23 and FY '25, as you are aware, and we now com

pleted the acquisition by acquiring an additional 24% stake and which happened at pre-agreed terms.
So to sum it up, we are very pleased with the way Nykaa has executed this quarter and, in fact, the entire year as well. We have delivered strong growth across all businesses, improved profitability, strengthened our omnichannel model and continue to invest in capabilities that will support our long-term value creation. And we do believe that we are building the business with the right balance of both ambition as well as discipline.
With that, I would like to hand over the call back to the moderator to initiate the Q&A. Thank you.
Moderator: Thank you, sir. We will now begin the question and answer session. The first question is from Kapil Singh. Please introduce yourself and proceed with your question.
Kapil Singh: Okay. This is Kapil from Nomura. Congratulations on a very strong performance for the quarter as well as for the year. As we are starting a new financial year so I thought that it would be appropriate to ask your outlook for the next year and all the key s egments, what are your thoughts, both in terms of growth and margins? We are seeing some signs of inflation as well.
So any thoughts there? How does it impact demand and margins?
Falguni Nayar : I think it's really hard to make forward -looking statements, but I have to admit that April and May have been good overall for the business in terms of the growth momentum. However, you are right that the global concerns, which are being translated to high currency and oil prices, I mean, high oil prices and depreciating currency and its impact on inflation and through that consumption makes us cautious for the next year.
But I have to admit that we are definitely seeing benefits of AI -led growth in our business for sure. So, it will be a combination of the two . There will be some general global concerns, but we also do see opportunities for businesses like us to benefit from current developments on AI.
And the benefit is both on top line as well as costs.
Kapil Singh: Sure. So broadly, we can sustain somewhere in the same growth zone we have been for last few quarters?
Falguni Nayar : Except for the general environmental concerns, we are not seeing any specific concerns yet, but it is hard to assume that they won't emerge as you go forward because inflationary pressures may be there, not necessarily for our industry, but for all consump tion in general. But there, I would like to remind everyone of our consumption categories are small luxuries. And as a result, their consumption is not as impacted during tougher times.
Kapil S ingh : Sure. And second, I had also asked about the margins. In particular, what I would like to know is that we've seen a kind of uptick in the new visitors, the top of the funnel, which I think Anchit

also referred to and marketing efficiency, we are seeing that marketing spends have come down on a quarter -on-quarter basis and that has also driven our profitability.
So how are you achieving this drive up in new visitors but marketing spends well under control?
Any insights here would be really helpful. And you also referred to AI -driven growth so would like to know a little bit more about that as well?
Falguni Nayar : Yes. So I think best to say that we are seeing improvement in marketing funnel at all levels on

visits or cost per visit to conversions to more engaged users. So I think across the board there are benefits.

Kapil Singh: Any comments from Anchit, you want to elaborate on why?

Anchit Nayar : Sure, Kapil. I can add a bit of colo ur there. So look, I think a couple of things. One is we've been talking about our focus on new customer acquisition with you now for the past at least 4 to 6 quarters, right? So that should not come as a surprise. So I think there's been a lot of work we have do

ne to improve the new customer experience on the app.

And that has led to of course, I would say there's also efficiency that we have found on customer acquisition through digital platforms like Meta and Google. And I think FN was alluding to some of the benefits that AI has allowed us to drive in terms of efficiency on marketing, on third- party platforms for customer acquisition.

But it's been a focus of ours, and we've done a lot of good work off platform as well as on platform to really continue to invest behind what we see as a big driver of growth for the coming years. And AI has only allowed us to be more efficient in terms of how we spend that additional dollar on some of these other platforms.

And the other thing where we're using AI in a big way is on app experience, personalization. And what that means is that for existing buyers, it's easy to personalize the shopping experience based on the various signals that we have from them with regards to their previous purchase and browse history on the platform.

But AI has now allowed us to also infer signals about new customers where we don't have too much previous browse and purchase history data on them. But AI allows us to personalize the experience for them to an extent that was earlier not possible. And I think that's also allowing us to drive further efficiency in customer acquisition spends, which we make off platform to convert them better on the platform. So I hope that answers your questions around the traffic, the acquisition as well as the AI i mpact, b oth on top line and to an extent on efficiency on marketing.

Kapil Singh: Yes, it does. Thank you, so much and best wishes, for next year.

Anchit Nayar : Thank you.

Moderator: The next question is from Sachin Salgaonkar.

Sachin Salgaonkar: This is Sachin Salgaonkar from Bank of America. Congrats on a great set of numbers. I have 2 questions. First question, more a follow -up on margins. I would love to understand where should we see steady state margins of BPC coming up to ? We have seen consistent improvement on margins .

I understand as a percentage of revenue continues to increase, but we would love to get a sense and same on fashion. We already had breakeven. So should we expect continued improvement in margins actually going ahead? And any thoughts on where are we from a steady state?

A relative question out here is , how should we look at the inference cost, adding some pressures to the margins? And my second question is on impact of a higher fuel price we should see on raw materials and should we see procurement cost increasing and hence an impact on margins out there?

Anchit Nayar : Maybe I'll kick it off on Beauty. And then Abhijeet you can comment on Fashion. L ook, again, as I always say on these calls, the Beauty vertical comprises 3 very different businesses. One is obviously the multi -brand retail business. Second is our house of brands and third is the B2B Superstore business. So all 3 have very different ma rgin profiles.

But what I can tell you is, and based on the commentary you heard from the various business leaders, each business is independently seeing improvement in their margin profile. So ultimately, how that shakes out at a consolidated vertical reporting level is also an outcome of how fast each of those businesses grow.

So if B2B and own brands continue, if own brands continues to grow, outpace the growth of the other businesses within the vertical, then that can be accretive. B2B of course, currently is improving its margin profile, but at the aggregate vertical level, i f it grows faster, that can be diluted.

So each of the businesses are independently improving their margin profile and there are efficiencies on the core multi -brand retail business as well, as you noted, on both marketing as well as on fulfilment. But on the beauty retail

business, there is a d egree of confidence that there is growth to be had.

And so reinvesting some of those, reinvesting some of that efficiency back into funding growth, I think will be the priority. So I think in terms of guidance, what I can say is each of the businesses will continue to improve their respective margin profile and some of that could accrue at a consolidated level.

But there is also a plan for the core beauty retail business to continue to reinvest in growth, as we have been doing. So, I think the outcome you're seeing year -over -year improvement in margin is despite us reinvesting aggressively for growth. So yes, I think you could assume that all else remaining constant, you can see similar trajectory in the coming years.
But yes, some of it is a result of the weight age of each of the respective businesses within the vertical and on inflation and procurement cost, it is a risk in the sense that I think freight cost

and obviously, with the currency issues that we are facing, there is some pressure probably on brands to take a price increase. It hasn't happened yet.
And from my conversations, it seems brands are trying their best to not pass that price increase on to the consumer, but it can happen. I would say it's not likely in the near term, but yes, it can happen. And how will the consumer react to that, I think that is yet to be seen. But as FN also alluded to earlier on the call, beauty is a small luxury of life.
The ticket size is not large. It is becoming a lot more core to people's lives. It is part of daily consumption. It is becoming habituated in terms of usage, and it's a low ticket purchase. So we're confident that even with inflationary pressures, hopefull y, our category remains more immune than others. But we have to see how things progress in terms of some of the macro conditions, which we're currently seeing.
Sachin Salgaonkar : And maybe I could just follow up before we go on to the fashion margin thought pr ocess. You mentioned about the three different subcategories in beauty. Any thoughts on where the margins would stabilize at steady state for all the three separate businesses?
Anchit Nayar : Three all three businesses have a very different steady -state margin profile, right . I think you're aware of that. And we've mentioned in the past that B2B is probably a single -digit margin type business. Beauty owned brands could have even better margin profile than the multi -brand retail business given that they have a higher gross margin.
And that is accretive and selling more of our owned brands on our platform itself is also accretive to the retailer margin. So I don't know if we've given the exact numbers in terms of guidance.
But the better own ed brands do, the more accretive it is to the vertical, the better B2B does in the short term that might be slightly dilutive, which is kind of counterintuitive, but you understand, I'm sure.
But as I said, again, generally, over time, both the own brands business and the multibrand retail business have opportunity to improve an already healthy margin profile. And I think that's anyway, what accounts for a majority of the weightage to the reven ue mix in this vertical.
Abhijeet Dabas : Yes, I'll just add on to what Anchit said. On the Fashion side, firstly, again, it's a combination of several businesses. The largest one is the fashion.com platform - Nykaafashion .com platform.
But then there is also the owned brands business. And more recently, there is an addition of a very different business model with Nike.
On the largest business, which is Nykaafashion .com, which more or less makes up for a bulk of the numbers in the vertical, we've been talking about intrinsics of the business, which we've been successively focusing on over the last year, and that is resulting in both higher growth and improved pro

fita bility. We remain confident that the intrinsics will continue to improve.
Any retail platform depends on a flywheel of the right kind of customer acquisition happening over a period of time. The retention of those customers, good quality customers taking shape, which leads to marketing efficiencies, successively improve and the retention improves when

the reasons for customers to come back to the platform are more than what they were previously, the service levels are good.
Assortment addition plays a very big role in that. So as you increase the assortment, you create more hooks for customers to want to come back to the platform. And those are the very same inputs that I very briefly spoke about in the slides, which we prese nted some time ago. So we feel confident that the intrinsics and the sort of tailwinds on each of those intrinsics are in place.
So we feel confident that the trajectory should be positive on margins for the fashion business from here on. Own ed brands, again, I think during the year, we've made gains in the health of overall the portfolio Nykd as Adwaita said most particularly, but overall for that business. And early days on the Nike partnership.
But again, we are seeing good signs in the first few months. So overall, we remain confident about the trajectory continuing to be positive from here on in. I'll not speculate on long-term

numbers just yet. But yes, very much the trajectory is expected to be positive and we are optimistic.
Sachin Salgaonkar: Got it. Thank you and all the best.
Moderator: Thank you. The next question is from Nihal Mahesh Jham. Please introduce yourself and proceed sir.
Nihal Mahesh Jham: Yes, good evening. This is Nihal Jham from HSBC. Congratulations on the strong performance.
I have 3 questions. The first was that what has driven the improvement in the fashion growth in '26? We've seen that the 15 has sort of jumped to more than 30 in this year. And this w e've managed while reducing marketing also. So if you could just give a landscape of both these elements?
Abhijeet Dabas : Sure. Thanks for the question, Nihal. Like I said, I think growth is firstly dependent on just customers transacting more frequently, more customers transacting more frequently. We have remained focused and we have called out in pretty much every quarterly update that we have remained focused on customer acquisition throughout.
A bulk of our marketing investments actually go towards brand building for the platform as well as acquiring customers. And then we have been very focused on assortment addition through the last year, particularly adding very strong brands like an H&M, like Nike. Those have very simply put, those have led to the growth revival that we have seen.
And as we focus more of our traffic towards the better brands, as we acquire the right quality of customers, marketing efficiency de facto looks better. So it's a very targeted and very deliberate effort to onboard the right kind of customers, to onboard the right kind of brands and to work deeply with partners.
Both on the brand side as well as marketing channel side to show the right brands to the right traffic to the right customers so that they convert efficiently. That's what results in marketing

efficiency looks better. And those are structural changes, very deliberate structural changes we've made in the business. And that's why we remain confident that we should continue to see positive trajectory.
Nihal Mahesh Jham: Sure. Has competitive intensity also from certain platforms who are sort of similarly positioned abated this year in any way?
Abhijeet Dabas : I wouldn't say it has abated. I think there is always competitive intensity. Although I would say to your point, other platforms, every platf

orm is positioned slightly differently. We are uniquely positioned. Nykaa Fashion is positioned differently compare d to others in the market in that we have been very clear that we focus on the premium fashion online market.
We don't so much play the mass market categories. And therefore, we go after certain kind of brands. We go after a certain kind of customers. So in that sense, we play in a different space compared to most others. It's also worth mentioning that we are a much younger business compared to BPC, and the headroom for growth is just much higher for fashion as a business compared to how large the category is.
If you recall the slide on TAM, the TAM is $55 billion, and we have a very small percentage of the market. So irrespective of competitive intensity, which will always be there. We have a lot of headroom for growth, and we, therefore, just remain focused on intrinsics.
Nihal Mahesh Jham: Sure. My second and third question is to Anchit, that inflation overall, we've seen with, say, traditional media players ends up leading to a cut in advertising or marketing spend. So from our perspective, have you historically seen that when inflation pla ys out and if say, FMCG companies is a reasonably large size of our market budget that they sort of step back?
And another question was that on private labels, in BPC, we already had 20% kind of a contribution. I s there a possibility that Nykaa as a platform can say even touch a 30% without sort of impacting the health or the way other independent brands look at our platform?
Anchit Nayar : Yes. So , to answer your first question, it is a possibility that certain brands pull back on ad spends or on marketing on digital platforms, including ours, that is a possibility. The good news for us, however, is that, as you are aware, no single brand or even brand company accounts for double - digit revenue to our plat form. So we have very low revenue concentration.
And as a result, even our ad dollars are not as concentrated to where that risk is meaningful for us. So there are thousands of brands on the platform. We have spent the last several years making the platform more inclusive in the sense that allowing more brands to be able to participate in advertising on the platform by creating more opportunities for them to participate.
And as a result, we have diversified our base on advertisers. And so we're not overly reliant on FMCG nor on international brands, neither on luxury brands nor on mass brands. So I think it's well diversified, and we continue to launch new advertising properties that are of interest to all of our brand partners. We're also now providing a lot more consumer insights.

And again, here's where AI is helping, but our ability to share real -time insights on performance of marketing campaigns on the platform has been seen as very helpful by brands as well. So I think given the strong and high-quality customer base, we have very specialized platform, very high-quality consumer, very high- quality conversations and now a much higher level of consumer insighting and more advertising opportunities on the platform .

There are a lot of things that we now have going for us that could counter the desire for brands to possibly pull back on advertising if the inflation and the currency issues continue to persist.

So that, I hope, answers your first question. On your second question regarding own brands, they don't account for 20% of our retail revenue yet. I don't know where you got that number, but we can confirm what that exact number is, if it's disclosed.

Adwaita Nayar : I can jump in there. F irst of all, obviously, our brands sell on multiple platforms like offline and other platforms and so forth. So that's just putting the number in context. And in terms of how we think about the strategy, it's not about get ting a partic

ular share of Nykaa as a platform.

We're truly trying to build an independent unit within Nykaa which is truly a house of brands.

It's a brand's business, and we want to have a beautiful portfolio of brands, which extend across many different categori es, many different positionings a nd we want to make sure every brand hits its own correct potential and its own correct distribution strategy and whatever that nets out to in terms of the revenue and top line is where we're headed.

But I would say as we're getting increasingly focused on this business, it's not about just penetrating Nykaa as a retailer, but it's truly about building standout brands in the country. And we think it's a really incredible time to be building brands in I ndia today because there's a lot of appetite from consumers to try Indian brands that are being built on Indian insight.

Falguni Nayar : And it's a very large revenue and profitability pool, which we can tap into for the future. We are building towards being a big player there.

Anchit Nayar : Yes, sure. So I'll just complete the answer. So I think as Adwaita mentioned they're building brands that can stand on their own 2 feet in a broader consumer context. And similarly, we're building a retail platform that caters fairly and equally to all of our brand partners. And this is something I've spoken about, and I'm very passionate about and I've spoken about this with all of you over many, many years th at as a retail platform.

Our multi- brand retail relationships and commitments come first. So we're very, very committed to creating a very fair and balanced playing field for all of the partners who retail on our platform. And as I say, every brand has as much of a right to win and as much of a right to lose on the platform as our owned brands.

So, the fact that our owned brands are growing well on the platform and that they are gaining market share is great, that's good. But we are not solving for any market share increase or any market share for our owned brands. So they have to grow on their own merit. They have to have a consumer connect. They have to have a unique value prop and I think they are doing that. And as a result, they're seeing success not just on our platform, but across multiple platforms.

Nihal Mahesh Jham: Sure. Thank you so much.

Moderator: Thank you. The next question is from Percy Panthaki. Please introduce yourself and proceed.

Percy Panthaki : Am I audible?

Moderator: Yes, you are.

Percy Panthaki : This is Percy Panthaki from IIFL. Maybe just had a question on your owned brands in beauty. You've done exceedingly well in this portfolio. There's been a 65% growth Y -o-Y. Dot & Key must be probably close to INR 1,000 crores in NSV terms. How do you see this portfolio growing now?

I mean, on this base, which is a pretty high base now, do you think t hat this growth rate maintains or it slows down a little bit given that it has already scaled up to a meaningful size now? And it would be unrealistic of us to expect the same kind of growth. And I'm sure that, as you said, these businesses are at higher margin. That is probably one of t he reasons contributing to the margin expansion in the Beauty segment this year. If the growth of that portfolio slows down, do we see that lever to push u p margins in the coming 1 or 2 years being a little weaker than what it was?

Adwaita Nayar : Yes. I can comment there first to address , the first part of that question. The way I would position it is more about I think Nykaa has become very excited about the opportunity to build a really compelling house of brands in

India. And I think that strategy will come down to having the right portf olio of brands.

We have three big brands at the moment. I would say we probably have 4 really meaningful brands at the moment, Dot & Key, Nykaa Cosmetics, Kay

Beauty and Nykd. And I would say there are a couple of brands further that are looking very high potential that will sort of break out this next year.

So I think the strategy is really probably three pronged. The first is making sure that the big brands continue to hit the right potential within each of their categories. So continuing to take market share in each of the categories they play in, continue to take the right distribution calls and making sure that we're as ambitious as possible for these 4 brands that have already sort of broken out.

I think the second prong of the strategy is these incubating brands that are just starting to take off, making sure again, they get through to that INR 150 crore s plus thresholds such that they can definitely exist and have a life of their own. And I would say the last bucket is to do acquisitions and look for either brands to acquire or brands to build in- house that sort of supplement our category.

So I think when you put all those three things together, I think the potential of how big this business can be is really exciting. But it will be on the back of the right portfolio strategy, picking

the right brands, the right categories and then making sure that you structure the organization to be able to deliver each of those with the right ambition.

So I'm not answering your question exactly of like will the growth continue to be 50% plus next year. I think the way I'm more saying it is I think we're getting really focused and ambitious about the strategy here. So it's about having the right breakt hrough growth in each of those three pockets and then we'll see where the growth pans out. But I think it's going to be a really exciting business from here on out.

Percy Panthaki : Okay. Second question is on, again, the beauty B2C retail platform that you have. And the kind of growth that you're clocking there probably in the high 20s on both GMV and NSV. Just wanted to understand the contours of the growth, do we see that changing l ike currently we see a lot of growth coming from unique annual customers sort of increasing?

And the AOV growth is probably not a big material contributor in the overall GMV and NSV growth. O ver the next, let's say, 2 to 3 years horizon, do you feel that you can keep adding new users at the same pace as you have been? Or do you think the new user growth is likely to taper down a little bit and the slack will be picked up by the AOV going up?

Falguni Nayar : Is this a question for the B2B business?

Anchit Nayar : B2C.

Percy Panthaki : It's the B2C retail platform, B2C business, which includes , I mean, which is your overall retail platform, own brands plus third- party ?

Anchit Nayar : Yes. You mean that Nykaa.com and Nykaa retail stores.

Percy Panthaki : Yes, absolutely.

Anchit Nayar : Okay. So first, I also just want to answer your earlier question regarding, because the sense I get is you're implying that a lot of the margin improvement we're seeing in the Beauty vertical is on the back of the owned brands growth, right? So firstly, let me say that in theory, the owned brands business should and it can be accretive to the overall margin profile for the Beauty vertical going forward.

But currently, the retailer business that we have is the business with the highest margin profile, right? So the margin improvement is not solely on the back of the own brands business growing faster than the platforms. It's also the core retailing busines s itself has a very, very healthy margin and continues to improve on the back of marketing efficiencies as well as certain improvements on fulfilment cost and repeat customer behavio ur on the platform.

So even if the owned brands business does slow down, I don't think you're going to see an impact on the overall margin profile for the Beauty vertical. So I hope that helps answ

er your first question. Now that being said, I think the other way to look at it is there is tremendous opportunity for the owned brands business to not only continue to grow fast.

But also improve its own margin profile, which will be accretive to the overall vertical going

forward. Now coming to your second question around growth and how much of that is going to come from AUTC versus AOVs going forward. Yes, I think we have invested be hind customer acquisition because a customer acquired today is a repeat customer tomor row.
And I think one thing Nykaa does very well is to convert new customers into repeat customers and over time, we've seen that the annual consumption value and the average order values of repeat customers tends to grow and be great er than that of a new customer and that is in large part due to all of the education, all the personalization, which we do on the app to get the consumer to shop more frequently, to shop at higher price points and generally increase their consumption and our wallet share of that cust omer over time.
So yes, I would say growth for us, growth comes from not just new customers but also from existing customers and how their basket evolves with every subsequent purchase. That being said, we have not seen too much growth in AOV in the past several quarters. And the reason is twofold.
One is you have to remember that because new customer AOVs are lower than repeat customer AOVs, any quarter in which we have very strong customer acquisition, at the aggregate level, the AOV can look muted. The AOV growth can look muted because we have a l arger percent of our transacting customers are coming from the new customer bucket.
And the second is that we have been trying to focus on driving a lot more frequency of purchase as opposed to just focused on average order value because ultimately, our goal is not just average order value, but more importantly, annual consumption value. And so that's why you've not seen as much AOV growth.
That being said, I think as , there are some, we have some initiatives in place to improve annual consumption value and also improve AOV for our existing buyers, our repeat shoppers in the coming quarters. And again, personalization, making the right , showing the right products to the right user, which is ultimately what personalization is, we believe, can help to improve AOVs and ACV over time.
And, of course, premiumization , relative premiumization of our consumers, given the assortment that we have can also help. So the objective is definitely to get incremental growth from AOV as well as from annual consumption value growth in the coming quarters and coming years.
And I think as the Indian consumer evolves, as they embrace premium and prestige beauty as their shopping behavior becomes more sophisticated, you'll start to see those improvements over time. But that being said, there is still tremendous runway for us on customer acquisition. You know what our annual unique transacting customer number is. It's still long way to go.
And so we're quite excited about the millions of consumers who are s till yet to experience the Nykaa universe and also engage with beauty in a meaningful way. And I think our job is to bring those consumers into the beauty ecosystem over the coming years, and we'll continue to invest behind that.

Percy Panthaki : Got it. So just to summarize, if I understand you correctly, you think that the AUTC growth can more or less continue at the current growth rate in the next 2 to 3 years as well?
Anchit Nayar : Yes. As I said, I think there is headroom for growth on customer acquisition for sure.
Percy Panthaki: Great. Those are my questions. Thank you so much.
Moderator: Thank you. The next question is from Latika C

hopra. Please introduce yourself and proceed.
Latika Chopra : Sure. Hi, t his is Latika from JP Morgan. You answered a lot of the questions that I had, but just a few more things from my side. The first is given the way the rupee is depreciating, I just wanted to get a sense of what's the salience of imported brands in your beauty business? And have you started to see some of those translations led realization increases already? Is it even meaningful to think about?
P. Ganesh : Yes. So the imports for us, direct imports form a relatively small portion of our business. So in that sense, it limits our exposure both from a for ex volatility perspective as well as from a potential supply chain challenge. Having said that, from a f orex perspective, we operate on a fully hedged basis and at any point in time, the next 2 to 3 months, exposures continue to remain hedged. So that also gives us a level of protection from near -term volatility as far as currency is concerned.
Latika Chopra : Sure. The second question I had was just an extension of the discussion you had on owned brands. Clearly, FY '26 saw massive 65% increase in GMV growth and almost 2/3 of that business is Dot & Key. And you talked about how distribution expansion, portfolio expansion actually led to that growth.
What I want to understand is there's a wide difference between a INR 1,800 crore s GMV brand and the next one is INR 400-odd crores. To sustain this kind of 50%-60% growth, do we then need another new brand in this portfolio? I'm just trying to gauge how should one think about

the growth of this portfolio in FY '27 considering it did really well in FY '26. So any more thoughts there?
Falguni Nayar : Okay, Adwaita, you go first.
Adwaita Nayar : Like I stated before, I think the growth has to be on the back of both the existing brands accelerating. And I think there's still considerable growth for Dot & Key to be had. But there's also a lot of potential in those next two makeup brands that I mentioned, where there's a larger market share gain that is possible.
And so there's a big acceleration there possible as well. And then I think the second part of it is making sure that we have new engines that also come in place which start to fire. So it is also about laying the right portfolio that delivers consistent gr owth over the next 5 years, 10 years. rather than just year -on-year as well.

Falguni Nayar : Yes, I just wanted to add to that, that actually, the weightage of Dot & Key may not be as high, I mean, that high as you spelt it out. But it's significant. But I think like Adwaita has been saying, it's a portfolio approach. And if you have 3 -4 brands who are at 1/3 the turnover but growing 65% or 100% is very much possible.
So I think on a portfolio basis, we remain confident that we can deliver high growth. Nowhere are we claiming that we will deliver 65% year -on-year growth forever for the next 5 years. I think you've been good at guiding over a 3-year or a 5 -year growth. And I think like we said, we see a very big opportunity in building a house of brands and we have a big ambition.
I think we have an annual day coming up soon in about month and ahalf . And at that time, we'll make an effort to explain the entire plan more in detail. But in many brands like that also Adwaita has been saying, in different brands, there are different opportunities. Dot & Key of this size and scale b ased on more e-commerce success and a lot can be done on physical and GT MT rollout and even international forays can be considered for many brands. So , and skin is a different space than makeup, so the two can't be compared. So I think everything has to be seen in the context of size of the TAM that they play in and what do they do well and what are their assets and how can they take them and lever them forward further

.
Latika Chopra : Okay. Okay. Understood. All right. So , I just looked at INR 1,800 crores GMV versus INR 2,788 crores. Just last two questions. Wh at's the salience sales of Nykaa Now for you in FY '26 or as you exited the year? And any specific call -outs on offline store expansion targets for FY '27?
Anchit Nayar : So yes, on the second question around retail brick-and -mortar expansion, at this point in time, it's, we're thinking it will be similar to what it was in FY '26. So similar 50 to 60 or 70 doors and we're already now covering the top 99 cities. So it's more about now increasing the density of our store network in Tier 2, Tier 3 towns to get to maybe anywhe re from 2 to 5 stores per city in these Tier 2, Tier 3 towns.
So we have said in the past that the plan was to get to about 500 stores over the next 3 to 4 years, and we said this about 2 years ago. So we're on track towards achieving that number. So , you can say about 170 or 180 doors more over the next 2 to 3 years, averages out to about 50- 60 doors a year. So we're on track with that expansion. And sorry, what was your first question?
Latika Chopra : Around Nykaa Now, what's the salience in overall GMV, anything that you could share as you exited the year?
Anchit Nayar : Yes. So what I can share, Nykaa Now is that last year was the year of really building out the network in terms of the rapid stores as we call them. And today, we're quite well covered in the top 7 metros. So we have, I think, close to 75 or 80 rapid stores in the top 7 metros that allow s us to cover 80% to 90% of the relevant pin codes in those metros with a delivery promise of about 30 minutes to 2 hours, which we think is adequate for the beauty and personal care space where we don't think t he 10 -minute delivery is required for our categories.

And we're coupling that speed with a very unique assortment . We have the largest assortment of beauty and personal care products available on a N ykaa. Now given that , we're a vertically specialized platform, and we don't have to stock other items in the dark stores.
And on top of that, we're also able to offer our prestige portfolio of brands because we're using our retail stores also to fulfil N ykaa Now orders where required. So, I would say that now there is a meaningful percentage of our orders in the top 7 metros that are being serviced through Nykaa Now.
In terms of the exact number, I don't think it's disclosed but we can get back to you offline if

that's something that we're comfortable to share. But this year, as I said, it was a year of building out the density, getting the assortment right. And now in FY '27, the plan is to really start to market Nykaa Now more actively to our consumers, given that we have the assortment and the speed buttoned up. So you'll see us marketing a lot more aggressively and hopefully start to see even better consumer tractio n. But so far, the consumer ap preciation, obviously, for Nykaa. Now has been huge because it's not something that they were expecting and I think they have been pleasantly surprised with the speed which we're able to deliver. So now that we've got the product market fit, we're going to market it, and you start to see it contribute to a much more meaningful percentage of our overall orders in the coming quarters.
Latika Chopra : I completely agree with that for sure, the customer experience. Thank you so much team and wish you all the best.
Moderator: Thank you. That was the last question we can take t oday. You may reach out to Nykaa 's Investor Relations team for any additional queries. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you.
Falguni Nayar : Thank you very much, everyone, for being on the call with us and we look forward to seeing you again later in the year.
Mode

rator: Thank you, members of the management. On behalf of FSN E -Commerce Ventures Limited, that concludes this conference. We thank you for joining us and you may exit the meeting now. Thank you.
Anchit Nayar : Thank you.
Abhijeet Dabas : Thank you.